

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

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[980 NE2d 473, 956 NYS2d 425]

HUDSON VALLEY FEDERAL CREDIT UNION, Appellant, v New York  
STATE DEPARTMENT OF TAXATION AND FINANCE et al.,  
Respondents.

Argued September 4, 2012; decided October 18, 2012

**SUMMARY**

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 2, 2011. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Judith J. Gische, J.; op 28 Misc 3d 1001 [2010]), which had dismissed the complaint.

*Hudson Val. Fed. Credit Union v New York State Dept. of Taxation & Fin.*, 85 AD3d 415, modified.

**HEADNOTES**

**Taxation — Mortgage Recording Tax — Applicability to Mortgage Loans Issued by Federal Credit Unions**

1. Federal credit unions are not exempt from the New York State mortgage recording tax under Tax Law article 11. The Federal Credit Union Act (FCUA), authorizing the formation of federal credit unions, contains an extensive list of tax exemptions for federal credit unions such as plaintiff (*see* 12 USC § 1768), but makes no mention of mortgages or loans of any kind. Federal tax exemptions in derogation of state taxing authority are, as a general rule, strictly construed and not extended beyond their express provisions. Although section 1768 does provide that the “property” of federal credit unions is exempt, that term does not encompass mortgage loans. Federal credit unions were not empowered to issue mortgage loans to their members when the FCUA was enacted and subsequently amended so as to add the exemption

provisions at issue, and therefore Congress could not have intended section 1768 to exempt from state taxation the issuance of mortgage loans. When Congress finally granted federal credit unions the power to offer residential mortgages, it did not amend section 1768 to specifically include “mortgages,” nor did it otherwise articulate an intent to include mortgages within the definition of the “property” exempt from state taxation. Moreover, permitting the mortgage recording tax to apply to federal credit unions does not thwart the FCUA’s purpose and would not have serious financial ramifications for federal credit unions.

**Taxation — Mortgage Recording Tax — Applicability to Mortgage Loans Issued by Federal Credit Unions — Supremacy Clause**

2. Plaintiff federal credit union was not a federal instrumentality entitled to exemption from the New York State mortgage recording tax under the Supremacy Clause. Constitutional tax immunity is appropriate only when the levy falls on the United States itself, or on an agency or instrumentality so closely connected to the United States Government that the two cannot realistically be viewed as separate entities, at least insofar as the activity being taxed is concerned. Federal credit unions are private associations chartered under federal law, and although they are regulated by a federal agency, they are wholly owned, funded and managed by their members. Members elect credit union boards of directors, and those directors have a significant amount of autonomy in administering credit unions’ daily operations. Accordingly, federal credit unions are not so closely connected to the United States Government that they cannot realistically be viewed as separate entities with respect to mortgage-lending activities.

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**RESEARCH REFERENCES**

By the Publisher’s Editorial Staff

AM JUR 2d, Banks and Financial Institutions §§ 140, 145;  
 AM JUR 2d, Constitutional Law §§ 55, 232–235; AM JUR  
 2d, State and Local Taxation §§ 15, 519.  
 MCKINNEY’S, Tax Law art 11.  
 NY JUR 2d, Banks and Financial Institutions §§ 814, 818;  
 NY JUR 2d, Constitutional Law §§ 101, 103; NY JUR 2d,  
 Mortgages and Deeds of Trust §§ 130, 131, 134, 135; NY  
 JUR 2d, Taxation and Assessment § 39.  
 NEW YORK REAL PROPERTY SERVICE § 31:44.  
 12 USCA § 1768.

**ANNOTATION REFERENCE**

See ALR Index under Credit Unions; Mortgages; Supremacy Clause; Taxes.

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**POINTS OF COUNSEL**

*K&L Gates LLP*, New York City (*Eli R. Mattioli, Darian Alexander, Anthony P. Badaracco* and *Sarah P. Kenney* of counsel), and *Quartararo & Lois PLLC*, Fishkill (*Dale J. Lois* and *Paul Quartararo* of counsel), for appellant. I. 12 USC § 1768 prohibits the imposition of New York mortgage recording taxes on mortgages granted to federal credit unions. (*St. Lawrence Univ. v Trustees of Theol. School of St. Lawrence Univ.*, 20 NY2d 317; *Gwaltney of Smithfield, Ltd. v Chesapeake Bay Foundation, Inc.*, 484 US 49; *Good Samaritan Hospital v Shalala*, 508 US 402; *Hartford Underwriters Ins. Co. v Union Planters Bank N.A.*, 530 US 1; *United States v Ron Pair Enterprises, Inc.*, 489 US 235; *Robinson v Shell Oil Co.*, 519 US 337; *Miller v French*, 530 US 327; *Sander v Alexander Richardson Invs.*, 334 F3d 712; *Knott v McDonald's Corp.*, 147 F3d 1065; *United States v State of Michigan*, 851 F2d 803.) II. As federal instrumentalities, federal credit unions are immune from New York mortgage recording taxes under the Supremacy Clause. (*Director of Revenue of Mo. v CoBank ACB*, 531 US 316; *McCulloch v Maryland*, 4 Wheat [17 US] 316; *United States v State of Michigan*, 851 F2d 803; *Federal Land Bank of New Orleans v Crosland*, 261 US 374; *Pittman v Home Owners' Loan Corp.*, 308 US 21; *Austin v Aldermen*, 74 US 694; *United States v San Diego County*, 249 F Supp 321; *TI Fed. Credit Union v DelBonis*, 72 F3d 921; *Keifer & Keifer v Reconstruction Finance Corp.*, 306 US 381.)

*Eric T. Schneiderman*, Attorney General, New York City (*Brian A. Sutherland, Barbara D. Underwood* and *Cecelia C. Chang* of counsel), for respondents. I. The Federal Credit Union Act does not bar collection of recording taxes on mortgages securing federal credit union loans. (*Hale v State Bd. of Assessment & Review*, 302 US 95; *Yazoo & Mississippi Valley R. Co. v Thomas*, 132 US 174; *California State Bd. of Equalization v Sierra Summit, Inc.*, 490 US 844; *Matter of S.S. Silberblatt, Inc. v Tax Commn. of State of N.Y.*, 5 NY2d 635; *Franklin Socy. v Bennett*, 282 NY 79; *Dawson v Kentucky Distilleries & Warehouse Co.*, 255 US 288; *Matter of Citibank v State Tax Commn.*, 98 AD2d 929; *United States v Detroit*, 355 US 466; *Snyder v Wetzler*, 84 NY2d 941; *South Carolina v Baker*, 485 US 505.) II. Federal credit unions are not entitled to constitutional tax immunity as virtual arms of the United States Government. (*United States v New Mexico*, 455 US 720; *Matter of Continental Bank Intl. v City of N.Y. Dept. of Fin.*, 69 NY2d 281; *Graves v New York ex rel. O'Keefe*, 306 US 466; *Director of Revenue of Mo. v CoBank*

*ACB*, 531 US 316; *First Agricultural Nat. Bank of Berkshire Cty. v State Tax Comm'n*, 392 US 339; *TI Fed. Credit Union v DelBonis*, 72 F3d 921; *United States v State of Michigan*, 851 F2d 803; *Matter of City of New York v Tully*, 88 AD2d 701; *Matter of Hotel Waldorf-Astoria Corp. v State Tax Commn.*, 86 AD2d 330.)

*Alicia M. Simmons*, New York City, *Sarah S. Normand* and *Preet Bharara* for United States of America, amicus curiae. I. The lower court's interpretation of section 122 of the Federal Credit Union Act (12 USC § 1768) is inconsistent with the statute's plain language. (*Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *McCulloch v Maryland*, 17 US 316; *California Credit Union League v City of Anaheim*, 95 F3d 30, 520 US 1261; *United States v State of Michigan*, 851 F2d 803; *United States v State of Maine*, 524 F Supp 1056; *First Fed. Sav. & Loan Assn. of Boston v Tax Comm'n of Mass.*, 437 US 255; *Federal Land Bank of St. Paul v Bismarck Lumber Co.*, 314 US 95.) II. Even under the lower court's interpretation of section 122 of the Federal Credit Union Act (12 USC § 1768), New York's mortgage recording tax is an exempted tax on a federal credit union and its property. (*Pittman v Home Owners' Loan Corp.*, 308 US 21; *Federal Land Bank of New Orleans v Crossland*, 261 US 374; *Laurens Fed. Sav. & Loan Assn. v South Carolina Tax Comm'n*, 365 US 517; *Franklin Socy. v Bennett*, 282 NY 79; *Mennonite Bd. of Missions v Adams*, 462 US 791; *Matter of S.S. Silberblatt, Inc. v Tax Commn. of State of N.Y.*, 5 NY2d 635; *People v Trust Co. of Am.*, 205 NY 74.)

*Michael A. Lanotte*, General Counsel, Credit Union Association of New York, Albany, and *Henry C. Meier*, *Eric Richard*, General Counsel, Credit Union National Association, Washington, D.C., and *Kristina A. Del Vecchio* for Credit Union Association of New York and another, amici curiae. I. New York State's mortgage recording tax is an unconstitutional tax on the power given to federal credit unions to provide mortgages. (*Connecticut Nat. Bank v Germain*, 503 US 249; *Richards v Ashcroft*, 400 F3d 125; *California v Central Pacific R. Co.*, 127 US 1; *Owensboro Nat. Bank v Owensboro*, 173 US 664; *Railroad Co. v Georgia*, 98 US 359; *Trustees of Dartmouth College v Woodward*, 17 US 518; *Williams v City of Talladega*, 226 US 404; *Telegraph Co. v Texas*, 105 US 460; *McCulloch v Maryland*, 17 US 316; *Osborn v Bank of United States*, 22 US 738.) II. Federal credit unions are federal instrumentalities. (*Department of Employment v United States*, 385 US 355; *United States v State of*

*Michigan*, 851 F2d 803; *TI Fed. Credit Union v DelBonis*, 72 F3d 921; *United States v State of Maine*, 524 F Supp 1056; *California Credit Union League v City of Anaheim*, 95 F3d 30, 520 US 1261, 190 F3d 997; *Federal Land Bank of St. Paul v Bismarck Lumber Co.*, 314 US 95; *United States v New Mexico*, 455 US 720; *First Agricultural Nat. Bank of Berkshire Cty. v State Tax Comm'n*, 392 US 339; *McCulloch v Maryland*, 17 US 316; *Educational Films Corp. of America v Ward*, 282 US 379.)

*Dewey Pegno & Kramarsky LLP*, New York City (*David S. Pegno* of counsel), for The National Association of Federal Credit Unions, amicus curiae. I. Federal statute provides federal credit unions with a broad exemption from taxation, which the Appellate Division, First Department, improperly narrowed. (*Federal Land Bank of St. Paul v Bismarck Lumber Co.*, 314 US 95; *Federal Land Bank of New Orleans v Crosland*, 261 US 374; *Pittman v Home Owners' Loan Corp.*, 308 US 21; *Laurens Fed. Sav. & Loan Assn. v South Carolina Tax Comm'n*, 365 US 517; *Franklin Socy. v Bennett*, 282 NY 79; *First Agricultural Nat. Bank of Berkshire Cty. v State Tax Comm'n*, 392 US 339; *United States v State of Michigan*, 851 F2d 803; *California Credit Union League v City of Anaheim*, 95 F3d 30, 520 US 1261, 190 F3d 997; *United States v State of Maine*, 524 F Supp 1056.) II. Federal credit unions are also immune from taxation as federal instrumentalities. (*United States v New Mexico*, 455 US 720; *United States v State of Michigan*, 851 F2d 803; *TI Fed. Credit Union v DelBonis*, 72 F3d 921; *Director of Revenue of Mo. v CoBank ACB*, 531 US 316.)

*Arnold & Porter LLP*, New York City (*Kent A. Yalowitz* of counsel), for Federal Housing Finance Agency, amicus curiae. The federal statute at issue exempts federal credit unions from the mortgage recording tax. (*Gwaltney of Smithfield, Ltd. v Chesapeake Bay Foundation, Inc.*, 484 US 49; *Good Samaritan Hospital v Shalala*, 508 US 402; *United States v Ron Pair Enterprises, Inc.*, 489 US 235; *Hartford Underwriters Ins. Co. v Union Planters Bank, N.A.*, 530 US 1; *Violette v P.A. Days, Inc.*, 427 F3d 1015; *Department of Housing & Urban Development v Rucker*, 535 US 125; *Robinson v Shell Oil Co.*, 519 US 337; *United States v State of Michigan*, 851 F2d 803; *Director of Revenue of Mo. v CoBank ACB*, 531 US 316; *Miller v French*, 530 US 327.)

*Hollingsworth LLP*, Washington, D.C. (*Rosemary Stewart* of counsel), for American Bankers Association and another, amici



curiae. I. Hudson Valley Federal Credit Union seeks a novel interpretation of the Federal Credit Union Act in order to obtain a competitive business advantage over other financial institution lenders in New York. (*Laurens Fed. Sav. & Loan Assn. v South Carolina Tax Comm'n*, 365 US 517; *Pittman v Home Owners' Loan Corp.*, 308 US 21; *Federal Land Bank of New Orleans v Crosland*, 261 US 374.) II. There is no statutory basis for the tax immunity sought by Hudson Valley Federal Credit Union. (*Iselin v United States*, 270 US 245; *Lamie v United States Trustee*, 540 US 526; *Barnhart v Peabody Coal Co.*, 537 US 149; *Pittman v Home Owners' Loan Corp.*, 308 US 21; *Chevron US A. Inc. v Echazabal*, 536 US 73; *Whitfield v United States*, 543 US 209; *FCC v NextWave Personal Communications Inc.*, 537 US 293; *Franklin Nat. Bank of Franklin Square v New York*, 347 US 373; *Oklahoma Tax Comm'n v United States*, 319 US 598; *California State Bd. of Equalization v Sierra Summit, Inc.*, 490 US 844.) III. Because Congress expressly stated specific tax exemptions in the Federal Credit Union Act, it is unnecessary to conduct a constitutional analysis of Hudson Valley Federal Credit Union's status as an instrumentality of the United States Government. (*First Agricultural Nat. Bank of Berkshire Cty. v State Tax Comm'n*, 392 US 339.)

*Wade Beltramo, General Counsel, New York State Conference of Mayors and Municipal Officials*, Albany, and *Michael E. Kennelly, Jr.*, for New York State Conference of Mayors and Municipal Officials, amicus curiae. I. The New York State mortgage recording tax is a privilege tax that is outside the scope of the generic exemption from all taxation granted to federal credit unions by Congress. (*United States v Wells Fargo Bank*, 485 US 351; *Matter of S.S. Silberblatt, Inc. v Tax Commn. of State of N.Y.*, 5 NY2d 635; *Franklin Socy. v Bennett*, 282 NY 79.) II. Generic exemptions from "all taxation" apply only to direct taxation. (*United States v Wells Fargo Bank*, 485 US 351; *Laurens Fed. Sav. & Loan Assn. v South Carolina Tax Comm'n*, 365 US 517; *Pittman v Home Owners' Loan Corp.*, 308 US 21.) III. New York State mortgage recording tax is not a direct tax on mortgages. (*Matter of S.S. Silberblatt, Inc. v Tax Commn. of State of N.Y.*, 5 NY2d 635; *Franklin Socy. v Bennett*, 282 NY 79; *United States v Wells Fargo Bank*, 485 US 351.) IV. The cost of expanding the exemption will ultimately be borne by local governments in New York.

#### OPINION OF THE COURT

GRAFFEO, J.

We are asked in this case whether mortgages issued by federal credit unions are subject to the New York State mortgage

recording tax under article 11 of the Tax Law. We answer in the affirmative.

In 2009, plaintiff Hudson Valley Federal Credit Union commenced this declaratory judgment action against defendants State Department of Taxation and Finance, its Commissioner and the State of New York (collectively, the Department). Hudson Valley asserted that it was not required to pay the mortgage recording tax (MRT) on mortgage obligations issued to members because (1) the Federal Credit Union Act (FCUA) exempts federal credit unions and their property from state taxation and (2) as instrumentalities of the United States, federal credit unions are immune from state taxation under the Supremacy Clause. Supreme Court granted the Department's motion to dismiss the complaint (28 Misc 3d 1001 [Sup Ct, NY County 2010]) and the Appellate Division affirmed (85 AD3d 415, 415 [1st Dept 2011]). Hudson Valley appeals by leave of this Court.

First enacted in 1906, Tax Law § 253 imposes a MRT of 50¢ for every \$100 of principal debt on each mortgage of real property situated within the state.<sup>1</sup> Payment of the tax is a condition precedent to the proper recording of a mortgage (*see* Tax Law § 258 [1]). Although the Tax Law does not specify whether the lender or the borrower is obligated to pay the MRT, the Attorney General is authorized to commence an action for nonpayment against either the mortgagor or the mortgagee or both (*see* Tax Law § 266).

Hudson Valley's challenge to the imposition of the MRT relies primarily on federal statutory language contained in the FCUA, which provides that

“[t]he Federal credit unions organized hereunder, their property, their franchises, capital, reserves, surpluses, and other funds, and their income shall be exempt from all taxation now or hereafter imposed by the United States or by any State, Territorial, or local taxing authority; except that any

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1. Tax Law § 253 (1) reads as follows:

“A tax of [50¢] for each [\$100] and each remaining major fraction thereof of principal debt or obligation which is, or under any contingency may be secured at the date of the execution thereof or at any time thereafter by a mortgage on real property situated within the state recorded on or after [July 1, 1906], is hereby imposed on each such mortgage, and shall be collected and paid as provided in this article.”

real property and any tangible personal property of such Federal credit unions shall be subject to Federal, State, Territorial, and local taxation to the same extent as other similar property is taxed” (12 USC § 1768).

Hudson Valley urges us to interpret the phrase “[f]ederal credit unions . . . shall be exempt from all taxation” as excluding all mortgage loans issued by federal credit unions from payment of the MRT.

[1] As a general rule, courts strictly construe federal tax exemptions in derogation of state taxing authority and decline to extend such exemptions beyond their express provisions (see *California State Bd. of Equalization v Sierra Summit, Inc.*, 490 US 844, 851-852 [1989]; *United States v Wells Fargo Bank*, 485 US 351, 354 [1988]; *Hale v State Bd. of Assessment & Review*, 302 US 95, 103 [1937]; *Yazoo & Mississippi Valley R. Co. v Thomas*, 132 US 174, 185 [1889]). Consistent with this principle, in other contexts, when Congress has intended to immunize “mortgages” of federally chartered lending entities from state taxation, it has done so explicitly. Examples of such express intent are found in the National Housing Act (see 12 USC § 1723a [c] [1], [2] [exempting from state taxation national mortgage associations, their “franchise(s), capital, reserves, surplus(es), *mortgages or other security holdings*, and income” (emphasis added)]); the National Consumer Cooperative Bank Act (see 12 USC § 3019 [a] [“The Bank, including its franchise, capital, reserves, surplus, *mortgages*, or other security holdings and income shall be exempt from taxation now or hereafter imposed by any State” (emphasis added)]); the Farm Credit Act of 1971 (see 12 USC § 2098 [“The *mortgages* held by the Federal land bank associations and the notes, bonds, debentures, and other obligations issued by the associations shall be considered and held to be instrumentalities of the United States and, as such, they and the income therefrom shall be exempt from all Federal, State, municipal, and local taxation” (emphasis added)]); 12 USC § 2023 [same for farm credit banks]); and the Higher Education Act of 1965 (see 20 USC § 1087-2 [b] [2] [the Student Loan Marketing “Association, including its franchise, capital, reserves, surplus, *mortgages*, or other security holdings, and income shall be exempt from all taxation now or hereafter imposed by any State” (emphasis added)]). Concomitantly, where Congress has used identical terminology in similar statutes to allow an exclusion, the absence of that terminology



in an analogous statute represents a strong indication of a contrary intent (see *Whitfield v United States*, 543 US 209, 216-217 [2005]; *FCC v NextWave Personal Communications Inc.*, 537 US 293, 302 [2003]; *Franklin Nat. Bank of Franklin Square v New York*, 347 US 373, 378 n 7 [1954]). Given the uniform choice of language in these other federal acts, one would expect that if federal credit union mortgages were intended to be excluded from state MRTs, such immunity would have been plainly stated in the FCUA. Instead, although the FCUA contains an extensive list of exemptions relevant to federal credit unions, it makes no mention of mortgages or loans of any kind (see 12 USC § 1768). This omission weighs against Hudson Valley's argument.<sup>2</sup>

In response to the lack of a statutory reference to mortgages, Hudson Valley submits that the term "property" in section 1768 can be construed broadly to encompass mortgage loans. Citing several United States Supreme Court decisions, it argues that mortgage recording taxes, such as the MRT, are taxes on "property" covered by the prohibition against state taxation. In the alternative, Hudson Valley contends that the MRT is tantamount to an illegal direct tax on the credit unions themselves. We do not agree.

The legislative history of the act refutes Hudson Valley's interpretation of the term "property." Congress enacted the FCUA in 1934, authorizing the formation of federal credit unions. The statute was amended three years later to address the disproportionate tax burden borne by those entities as compared to banks—resulting in the addition of the provisions at issue in 12 USC § 1768<sup>3</sup> (see Pub L 75-416, § 4, 51 US Stat 4 [75th Cong, 2d Sess, Dec. 6, 1937]). But from the act's inception and, more

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2. The dissent contends that the U.S. Supreme Court's decision in *Federal Land Bank of St. Paul v Bismarck Lumber Co.* (314 US 95 [1941]) interpreting the Federal Farm Loan Act of 1916 requires that mortgages issued by federal credit unions should similarly be included in the FCUA. In *Bismarck*, the Supreme Court held that the Farm Loan Act was written in a manner that allowed the enactment to encompass additional tax exemptions because the use of the word "including" indicated that the list of those exemptions was not exhaustive (*id.* at 99-100). Since the structure of the FCUA differs, it should not be interpreted to permit courts to add new exemptions beyond those specified. Hence, *Bismarck* is distinguishable and the dissent's reliance on it is misplaced.

3. At the time, the act permitted state taxation of members' shares in federal credit unions as well as taxation of federal credit unions themselves and their property (see Pub L 73-467, § 18, 48 US Stat 1216, 1222 [73rd Cong, 2d Sess, June 26, 1934]). The states commonly taxed domestic banking corporations based primarily on their share capital (see HR Rep 1579, 75th

(n. cont'd)

importantly, at the time of the 1937 amendment, federal credit unions were not empowered to issue mortgage loans to their members (*see* Pub L 73-467, § 7, 48 US Stat 1216, 1218 [73rd Cong, 2d Sess, June 26, 1934] [permitting credit unions only “(t)o make loans with maturities not exceeding two years”]). Congress could not have intended section 1768 to exempt from state taxation the particular lending activity at issue here—the issuance of mortgage loans—since credit unions could not engage in such activity. Furthermore, when Congress finally granted federal credit unions the power to offer residential mortgages (*see* Pub L 95-22, § 302, 91 US Stat 49 [95th Cong, 1st Sess, Apr. 19, 1977]), it did not amend section 1768 to specifically include “mortgages,” nor did it otherwise articulate an intent to include mortgages within the definition of the “property” exempt from state taxation.

The Supreme Court holdings cited by Hudson Valley do not alter our conclusion (*see Laurens Fed. Sav. & Loan Assn. v South Carolina Tax Comm’n*, 365 US 517 [1961]; *Pittman v Home Owners’ Loan Corp.*, 308 US 21 [1939]; *Federal Land Bank of New Orleans v Crosland*, 261 US 374 [1923]). In those cases, the Supreme Court concluded that the financial institutions involved—a federal savings and loan association, a home owners’ loan corporation and a federal land bank—were exempt from state mortgage recording taxes by virtue of the federal tax exemption statutes pertaining to those institutions (*see Laurens*, 365 US at 521; *Pittman*, 308 US at 31-32; *Crosland*, 261 US at 378). In sharp contrast to the provisions of the FCUA, however, the federal acts examined in *Laurens*, *Pittman* and *Crosland* provided for an exemption from state mortgage recording taxation by direct statutory reference to “advances,”<sup>4</sup> “loans” and “mortgages” (*see* 12 USC § 1433; former Home Owners’ Loan Act of 1933 § 4 [c] [Pub L 73-43, 48 US Stat 128, 130]; former Federal Farm Loan Act of 1916 § 26 [Pub L 64-158, 39 US Stat 360, 380]). As we have noted, section 1768 of the FCUA fails to incorporate similar terminology. Consequently,

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Cong, 1st Sess at 2 [Aug. 17, 1937]). Because federal credit unions, unlike banks, were not permitted to accept deposits, their share capital represented a higher proportion of their total resources and, therefore, they paid significantly more in taxes (*see id.*). Congress amended section 1768 in order to level the playing field. Although credit unions soon obtained the authority to accept member deposits, the relevant portion of the statute has remained unaltered.

4. The Supreme Court held in *Laurens* that the term “advances” in 12 USC § 1433 is synonymous with “loans” (365 US at 521 n 9).

these Supreme Court cases are not controlling in determining congressional intent related to the FCUA.<sup>5</sup>

Hudson Valley further maintains that federal credit unions were established for the purpose of making credit more accessible for “provident or productive purposes” to “people of small” or modest means (*see* Pub L 73-467, Preamble, § 2, 48 US Stat 1216, 1216 [73rd Cong, 2d Sess, June 26, 1934]). It argues that permitting the MRT to apply to federal credit unions thwarts the FCUA’s purpose and has serious financial ramifications for federal credit unions. This contention is unfounded.

Hudson Valley does not dispute that prior to the initiation of this action in 2009, it voiced no objection to the assessment of the MRT. Moreover, contrary to its assertions, there appears little danger that the MRT will drive federal credit unions out of business. Over the years, Congress has greatly expanded the powers of the credit unions and they now provide many of the same services traditionally offered by banks. For example, credit unions may accept deposits in “share” and “share draft” accounts (equivalent to bank savings and checking accounts respectively), issue first and second residential mortgages, make automobile and personal loans, extend lines of credit (including credit cards) and offer other services (*see* 12 USC § 1757; 12 CFR 701.21, 701.35). In 1998, Congress passed the Credit Union Membership Access Act (CUMAA) that enlarged their permissible membership (*see* Pub L 105-219, § 101, 112 US Stat 913, 914 [105th Cong, 2d Sess, Aug. 7, 1998], amending 12 USC § 1759 [b]). Thereafter, the National Credit Union Administration revised its regulations, making it easier for federal credit unions to qualify for community charters to serve larger geographic territories. According to a recent United States

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5. Hudson Valley and amici also cite two Federal District Court decisions standing for the proposition that a state tax imposed on the recording of an entity’s instrument is the same as a tax on the entity itself and, since the entity is exempt from “all taxation,” it is necessarily exempt from the state recording tax (*see Hager v Federal Natl. Mtge. Assn.*, 882 F Supp 2d 107, 111-112 [D DC 2012]; *Hertel v Bank of Am. N.A.*, 897 F Supp 2d 579, 582, 585 [WD Mich 2012]). We note that at least one other Federal District Court examined the same issue and reached a contrary conclusion (*see Oakland County v Federal Hous. Fin. Agency*, 871 F Supp 2d 662, 669-670 [ED Mich 2012]). Further, we decline to follow *Hager* and *Hertel* in this case in light of our own prior holdings as to the nature of the MRT (*see Matter of S.S. Silberblatt, Inc. v Tax Commn. of State of N.Y.*, 5 NY2d 635, 640, 642 [1959]; *Franklin Socy. v Bennett*, 282 NY 79, 86 [1939]).

Government Accountability Office study, this has resulted in the dramatic growth in the number of credit unions with community-based charters (see U.S. Government Accountability Office, Report to Chairman, Committee on Ways and Means, House of Representatives, *Credit Unions: Greater Transparency Needed on Who Credit Unions Serve and on Senior Executive Compensation Arrangements* at 10 [GAO-07-29, Nov. 2006] [stating that membership in community-chartered federal credit unions had “nearly tripled” and the assets of those credit unions had “nearly quadrupled” between 2000 and 2006]).<sup>6</sup>

[2] Lastly, we reject Hudson Valley’s contention that it is a federal instrumentality entitled to exemption from the MRT under the Supremacy Clause. Although Hudson Valley cites authority in support of its argument that federal credit unions are federal instrumentalities,<sup>7</sup> the United States Supreme Court has clarified that constitutional “tax immunity is appropriate in only one circumstance: when the levy falls on the United States itself, or on an agency or instrumentality so closely connected to the Government that the two cannot realistically be viewed as separate entities, at least insofar as the activity being taxed is concerned” (*United States v New Mexico*, 455 US 720, 735 [1982]). Federal credit unions are private associations chartered under federal law. Although they are regulated by the National Credit Union Administration—a federal agency—they are wholly owned, funded and managed by their members (see 12 USC §§ 1753, 1759, 1761, 1761b). Members elect credit union boards of directors (see 12 USC § 1761). The directors have a significant amount of autonomy in administering credit unions’ daily operations, including controlling investments, setting the

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6. Instead of causing the negative consequences predicted by Hudson Valley, the elimination of the MRT on credit union mortgages could conceivably lure mortgage business away from banks by offering lower closing costs to credit union borrowers, thereby giving credit unions a competitive advantage over the banking industry in New York. Had Congress intended to alter the mortgage-lending playing field between federal credit unions and banks, it could have stated such an intention.

7. In each of those cases, the federal circuit courts considered the instrumentality status of federal credit unions in other contexts (see *California Credit Union League v City of Anaheim*, 95 F3d 30, 31 [9th Cir 1996] [holding that federal credit union employees were exempt from the transient occupancy tax applied to their hotel rates], *vacated on other grounds* 520 US 1261 [1997]; *TI Fed. Credit Union v DelBonis*, 72 F3d 921, 935 [1st Cir 1995] [rejecting an attempt to discharge, through bankruptcy, certain student loan debt held by a federal credit union]; *United States v State of Michigan*, 851 F2d 803, 807 [6th Cir 1988] [concluding that federal credit unions, as purchasers, were constitutionally immune from state sales tax]).

maximum number of share accounts and designating the classes of shares (*see* 12 USC § 1761b). Further, subject to some limitations contained in the FCUA, boards of directors have the authority to “determine the interest rates on loans [including mortgages], the security[ ] and the maximum amount which may be loaned and provided in lines of credit” (12 USC § 1761b [8]). We therefore do not view federal credit unions as so “closely connected” to the United States Government that they “cannot realistically be viewed as separate entities” with respect to mortgage-lending activities.

In sum, based on principles of statutory interpretation and the legislative history of the FCUA, we hold that federal credit union mortgages are not exempt from the State’s MRT.

Accordingly, the order of the Appellate Division should be modified, with costs to defendants, by declaring that federal credit unions are not exempt from the New York State mortgage recording tax and, as so modified, affirmed.

READ, J. (dissenting). The Federal Credit Union Act (the FCUA) (12 USC §§ 1751-1795k) provides that “[t]he *Federal credit unions organized hereunder*, their property, their franchises, capital, reserves, surpluses, and other funds, and their income *shall be exempt from all taxation* now or hereafter imposed by” a government “*except* that any real property and any tangible personal property of such Federal credit unions shall be subject to Federal, State, Territorial, and local taxation to the same extent as other similar property is taxed” (*see* 12 USC § 1768 [emphases added]). I interpret this provision to mean what it plainly says: a federal credit union is exempt from all taxation except that upon real and tangible personal property.

New York’s mortgage recording tax (MRT) (Tax Law § 253) is an excise tax on the privilege of transferring title, not a tax on the real property subject to the mortgage issued to secure a loan. Further, the MRT is not a tax on tangible personal property, such as portable machinery and equipment, tools, vehicles or other assets (other than land or buildings) with a physical form. Because the MRT is not a tax on real or tangible personal property—the only two carve-outs from the FCUA’s exemption of federal credit unions from “all taxation”—New York may not impose the MRT on plaintiff Hudson Valley Federal Credit Union (Hudson Valley).



I.

The United States Supreme Court's decision in *Federal Land Bank of St. Paul v Bismarck Lumber Co.* (314 US 95 [1941]) confirms the correctness of this result. The Court there held that a statutory provision exempting a federal entity from all taxation does not allow the courts to create exceptions different or broader than those expressly stated by Congress. The statute considered in *Bismarck*, section 26 of the Federal Farm Loan Act, provided that

“every Federal land bank . . . , including the capital and reserve or surplus therein and the income derived therefrom, shall be exempt from Federal, State, municipal, and local taxation, except taxes upon real estate held, purchased, or taken by said bank . . . First mortgages executed to Federal land banks, or to joint stock land banks, and farm loan bonds issued under the provisions of this Act, shall be deemed and held to be instrumentalities of the Government of the United States, and as such they and the income derived therefrom shall be exempt from Federal, State, municipal, and local taxation” (Pub L 64-158, § 26, 39 US Stat 360, 380 [emphases added]; see 12 USC former §§ 931-933).

At issue in *Bismarck* was whether building materials purchased by a federal land bank for use in the repair and improvement of foreclosed properties were subject to state sales tax. Like the MRT, a sales tax is an excise tax. In upholding imposition of the state sales tax, the North Dakota Supreme Court concluded that because section 26 contained specific exemptions for “capital and reserve or surplus therein and the income derived therefrom,” all other taxes were authorized except for taxes on real estate (see *Federal Land Bank of St. Paul v Bismarck Lbr. Co.*, 70 ND 607, 627-628, 297 NW 42, 52 [1941]). This is the same reasoning employed explicitly by the Appellate Division and implicitly by the majority here (see *Hudson Val. Fed. Credit Union v New York State Dept. of Taxation & Fin.*, 85 AD3d 415, 417 [1st Dept 2011]; majority op at 8-9).

The Supreme Court reversed, concluding that “the broad exemption accorded [by section 26] to ‘every Federal land bank’ ” barred the state from imposing any tax of any kind, unless it fell within the express statutory exception for real estate taxes (see *Bismarck*, 314 US at 100). The Court observed that

“[t]he unqualified term ‘taxation’ used in section 26 clearly encompassed the sales tax within its scope,” and thus afforded the entity an important “protection” that could not “be frittered away” (*see id.* at 99). Further, “[i]n reaching an opposite conclusion,” the North Dakota Supreme Court “ignored the plain language, ‘That every Federal land bank . . . shall be exempt from Federal, State, municipal, and local taxation’ ” (*id.*).

The Court emphasized that section 26’s list of exempt items—i.e., “including the capital and reserve or surplus therein and the income derived therefrom”—simply illustrated and substantiated the breadth of the entity’s general exemption from all taxes except for taxes on real estate. It did not limit or modify the general exemption (*id.* at 100 [(“T)he term ‘including’ is not one of all-embracing definition, but connotes simply an illustrative application of the general principle”]). Indeed, as the Court explained, “[i]f the broad exemption accorded to ‘every Federal land bank’ were limited to the specific illustrations mentioned in the participial phrase introduced by ‘including’, there would have been no necessity to except from the purview of [the statute] the real estate held by the land banks” (*id.*).

Finally, the Court noted that “[t]he additional exemptions granted to farm loan bonds and first mortgages executed to the land banks” did not suggest a contrary result: “The bonds [might] be held by private persons, and, of course, the general exemption of section 26 would not extend to them. Likewise *the general exemption would protect mortgages executed to the land banks and held by them*, but it would not survive a transfer” (*id.* [emphasis added]). In short, the general exemption from taxation for the federal land banks included mortgages “executed to . . . and held by” the entity, although the word “mortgages” did not appear in the “illustrative application of the general principle” (*cf.* majority op at 8 [ascribing significance to whether the word “mortgages” appears in illustrative lists in federal statutes]).

Thus, *Bismarck* establishes that (1) a statutory exemption of an entity from taxation protects that entity and its transactions from all taxes for which it would otherwise be liable; (2) a clause in such a statute listing specific items that are exempt from taxation is illustrative, not limiting; and (3) exceptions to the grant of immunity from taxation must be stated expressly, not implied by the courts. These principles control the outcome of this case. Section 122 of the FCUA (12 USC § 1768) grants federal credit

unions immunity from “all taxation.” Although the FCUA does not use the word “including,” the list of exemptions in the FCUA is either illustrative, or in addition to, the exemption of federal credit unions themselves, and in either case, the exemption for the entity itself is sufficient under *Bismarck*. Because the FCUA explicitly excepts only taxation upon real and tangible personal property, and the MRT does not fall into either category, collection of the MRT from plaintiff Hudson Valley is foreclosed (see *Bismarck*, 314 US at 99; see also *California Credit Union League v City of Anaheim*, 95 F3d 30, 31-32 [9th Cir 1996] [employees of federal credit unions immune under section 1768 from city’s transient occupancy tax while in the city on business], *vacated on other grounds* 520 US 1261 [1997], *on remand* 190 F3d 997 [9th Cir 1999]; *United States v State of Michigan*, 851 F2d 803, 807 [6th Cir 1988] [federal credit unions held to be immune from portions of state sales tax]).

Applying *Bismarck*, the United States District Court for the District of Columbia recently held that Fannie Mae and Freddie Mac are exempt from the District of Columbia’s recordation tax, reasoning that “to hold otherwise would contravene Supreme Court case law”—namely, *Bismarck*—“interpreting language [that was] virtually identical” (see *Hager v Federal Natl. Mtge. Assn.*, 882 F Supp 2d 107, 112 [D DC 2012]; accord *Hertel v Bank of Am. N.A.*, 897 F Supp 2d 579 [WD Mich 2012] [Fannie Mae and Freddie Mac are exempt from a Michigan recording tax]; but see *Oakland County v Federal Hous. Fin. Agency*, 871 F Supp 2d 662 [ED Mich 2012] [Fannie Mae and Freddie Mac are not exempt from Michigan’s state and local real estate transfer taxes]). The provisions at issue in *Hager*—12 USC § 1723a (c) (2) (Fannie Mae) and 12 USC § 1452 (e) (Freddie Mac)—are likewise “virtually identical” to 12 USC § 1768. All three provisions exempt federally chartered entities from “all taxation,” with specified exceptions for real property (Fannie Mae and Freddie Mac) and real and tangible personal property (federal credit unions).

In relying on *Bismarck* as “the on-point comparison for interpreting the statutes at issue,” the District Court judge rejected the notion, also advanced by the State in this case, that the United States Supreme Court’s decision in *United States v Wells Fargo Bank* (485 US 351 [1988]) required him to interpret “all taxation” to mean only “all direct taxation,” and so

“compell[ed] the conclusion that Fannie Mae and Freddie Mac are subject to excise taxes,” as was held in *Oakland County (Hager)*, 882 F Supp 2d at 112-113). But as the judge pointed out, rather than construing an exemption that applied to a particular *entity*, the Court in *Wells Fargo* examined how a statutory exemption of certain *property*—“Project Notes”—from “all taxation” affected the computation of a federal estate tax, an excise tax (like the sales tax in *Bismarck* or the MRT here). He explained that

“[b]ecause the *Wells Fargo* provision exempted *property* from taxation, and because an excise tax like the estate tax is imposed on something other than the property itself, the statutory provision did not reach the estate tax. In other words, the exemption at issue did not match up with the tax imposed.

“The statutory provisions at issue in this case, on the other hand, exempt *an entity* from all taxation. A recordation tax for a deed [that Fannie Mae or Freddie Mac] records is indisputably a tax on that entity. It thus falls within the statutory exemption. An example illustrates the difference: if the statute had provided that ‘Fannie Mae’s real property shall be exempt from all taxation,’ Fannie Mae would still be liable for the recordation tax because it is a tax on the real property’s transfer rather than on the real property. But because the statute instead exempts Fannie Mae itself, neither its property nor its activities can be taxed” (882 F Supp 2d at 112).

Finally, the District Court judge remarked that, accepting the argument that Fannie Mae and Freddie Mac were subject to the District of Columbia’s recordation tax “would lead to near absurdity” as “[i]t would leave the statutory provisions, so sweeping in their language, virtually meaningless: Fannie Mae and Freddie Mac would be free only from capitations and taxes upon personal property,” since only these two taxes and a tax upon real property “are definitely known to be direct” (882 F Supp 2d at 113 [internal quotation marks and citations omitted]). He commented that “[i]f that were all Congress meant to accomplish, surely it would have done so with a narrowly

phrased provision rather than the sweeping ‘all taxation’ formulation it chose” (882 F Supp 2d at 113).

## II.

While pledging fidelity to the statutory text, the majority avoids section 1768’s unambiguous meaning in several ways. First, as already noted, the majority emphasizes the absence of the word “mortgages” in section 1768 because “in other contexts, when Congress has intended to immunize ‘mortgages’ of federally chartered lending entities from state taxation, it has done so explicitly” (majority op at 8). This statement directly contradicts *Bismarck*, which makes clear that where an entity is exempt from all taxation, an illustrative list does not limit or modify this general exemption. And of course, as the majority correctly points out, the FCUA did not authorize federal credit unions to offer residential mortgages until 1977 whereas the exemption set out in section 1768 was added to the FCUA long before, in 1937 (*id.* at 9-10).

The majority then attaches great significance to Congress’s neglect to amend section 1768 in 1977 so as “to specifically include ‘mortgages,’ [or to] otherwise articulate an intent to include mortgages within the definition of the ‘property’ exempt from state taxation” (*id.* at 10). This gets it exactly backwards, given *Bismarck*. That is, since section 1768 exempts federal credit unions from all state taxes except those imposed upon real and tangible personal property, Congress did not need to add the word “mortgages.” Rather, Congress would have to have created a third exception to cover taxes on mortgages and/or the transfer of real property in order to *remove* such taxes from the general exemption for “all taxation *now or hereafter imposed*” (emphasis added). Congress did not do this, and it is not for the courts to infer an additional exception.

Finally, the majority “decline[s] to follow *Hager* and *Hertel* . . . in light of our own prior holdings as to the nature of the MRT” in *Matter of S.S. Silberblatt, Inc. v Tax Commn. of State of N.Y.* (5 NY2d 635 [1959]) and *Franklin Socy. v Bennett* (282 NY 79 [1939]) (majority op at 11 n 5). We held in both cases that the MRT is not a property tax; rather it is “a tax on the privilege of recording the mortgage” (*Silberblatt*, 5 NY2d at 642), a species of excise tax (*Franklin Socy.*, 282 NY at 86). But in determining whether a federal statutory exemption precludes a particular form of state taxation, the characterization of the



tax is a question of federal, not state, law (*see First Agricultural Nat. Bank of Berkshire Cty. v State Tax Comm'n*, 392 US 339, 347 [1968]; *see also Federal Land Bank of New Orleans v Crosland*, 261 US 374, 378 [1923] [noting that the Supreme Court was not bound by the Alabama Supreme Court's characterization of that state's mortgage recording tax for purposes of determining whether a first mortgage was exempt from taxation under the Federal Farm Loan Act]). And the Supreme Court has held that a state mortgage recording tax is a tax on the mortgage (*see Crosland*, 261 US at 378-379; *Pittman v Home Owners' Loan Corp.*, 308 US 21, 31 [1939]).

In sum, 12 USC § 1768 exempts federal credit unions from all state taxation with the exception of taxes on real and tangible personal property, and the MRT is neither; therefore, plaintiff Hudson Valley, a federal credit union, is not subject to the MRT. The statute's text and federal case law, including Supreme Court precedent, call for this result. Accordingly, I respectfully dissent.

Chief Judge LIPPMAN and Judges CIPARICK, PIGOTT and JONES concur with Judge GRAFFEO; Judge READ dissents and votes to reverse in a separate opinion; Judge SMITH taking no part.

Order modified, etc.

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[979 NE2d 1125, 955 NYS2d 799]

## THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DELROY COLVILLE, Appellant.

Argued September 6, 2012; decided October 23, 2012

## SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 5, 2010. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Robert J. Collini, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree.

*People v Colville*, 79 AD3d 189, reversed.

## HEADNOTES

**Crimes — Lesser Included Offense — Defense Counsel Has Authority to Decide Whether to Request Jury Charge on Lesser Included Offenses**

1. In a criminal prosecution, the decision whether to seek a jury charge on lesser included offenses is a matter of strategy and tactics which ultimately rests with defense counsel. The decision whether to ask for a lesser included offense differs critically from fundamental decisions, such as how to plead or whether to waive a jury, which are reserved exclusively to the accused. In New York, a trial court has the discretion to submit a lesser included offense “if there is a reasonable view of the evidence which would support a finding that the defendant committed such lesser offense but did not commit the greater” (CPL 300.50 [1]), and must submit a lesser included offense where a reasonable view of the evidence supports its submission and either party requests submission (CPL 300.50 [2]). Thus, it makes little sense to hold that a defendant has the last say about an issue when the defense as a whole does not.

**Crimes — Right to Counsel — Request for Jury Charge on Lesser Included Offenses**

2. In the prosecution of defendant for murder in the second degree and another crime, the trial judge denied defendant the expert judgment of counsel to which he was entitled under the Sixth Amendment where, after initially agreeing with defense counsel’s request for a jury charge on the lesser included offenses of first- and second-degree manslaughter, the judge declined to submit the charge based on defendant’s decision that, in spite of counsel’s advice to the contrary, he did not want the jury to consider the lesser included offenses. The decision whether to seek a jury charge on lesser included offenses is a matter of strategy and tactics which ultimately rests with defense counsel. Here, notwithstanding that defense counsel repeatedly voiced his professional judgment that it was in his client’s best interests for the jury to be instructed on the lesser included offenses, the judge made plain that he would be guided solely by defendant’s choice in the matter.

**Crimes — Harmless and Prejudicial Error — Failure to Submit Lesser Included Offenses to Jury Based Solely on Defendant's Choice**

3. In a prosecution for murder and assault, the trial court's error in declining to charge the jury on the lesser included offenses of first- and second-degree manslaughter based solely on the defendant's choice and notwithstanding defense counsel's clearly stated views and advice to the contrary was not harmless beyond a reasonable doubt. Under certain circumstances, the harmless error rule may be applied where, as here, the right to counsel has been violated. However, the trial judge concluded and the prosecutor agreed in part that there was a reasonable view of the evidence to support a conviction for manslaughter but not murder. In addition, the jurors, in acquitting defendant of the second-degree assault charge based on injury to a second victim who attempted to wrest a knife from defendant during the encounter between defendant and the victim who died, decided that defendant, a man in his very early forties with no prior criminal record, did not intend to inflict physical injury on the second victim. Thus, the jury might well have found defendant guilty of manslaughter rather than murder with respect to the victim who died.

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 690, 691; AM JUR 2d, Criminal Law §§ 1126, 1138; AM JUR 2d, Homicide §§ 498, 524; AM JUR 2d, Trial §§ 923, 933, 1197–1201.  
CARMODY-WAIT 2d, Right to Counsel § 184:274; CARMODY-WAIT 2d, Charge and Instruction to Jury §§ 200:11, 200:80, 200:81, 200:83; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:36, 207:117, 207:119.  
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.6, 11.8, 24.8, 27.6.  
MCKINNEY'S, CPL 300.50 (1), (2).  
NY JUR 2d, Criminal Law: Procedure §§ 871, 878, 920, 2728, 2790, 2793, 2794, 3569, 3570.  
US Const 6th Amend.

**ANNOTATION REFERENCE**

See ALR Index under Appeal and Error; Attorneys; Harmless and Prejudicial Error; Instructions to Jury; Lesser Included Offense.

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**POINTS OF COUNSEL**

*Appellate Advocates*, New York City (*Lynn W.L. Fahey* of counsel), for appellant. I. By deferring to appellant's desire to

have no lesser-included offenses submitted to the jury, despite defense counsel's clearly-stated professional opinion to the contrary, the court denied appellant the benefit of counsel's expert tactical judgment, and therefore his constitutional rights to counsel and due process. (*Johnson v Zerbst*, 304 US 458; *Powell v Alabama*, 287 US 45; *Gonzalez v United States*, 553 US 242; *Jones v Barnes*, 463 US 745; *New York v Hill*, 528 US 110; *Taylor v Illinois*, 484 US 400; *Faretta v California*, 422 US 806; *People v Benevento*, 91 NY2d 708; *People v Colon*, 90 NY2d 824; *People v Davis*, 13 NY3d 17.) II. Appellant was denied a fair trial when the court charged the jury that he had a duty to retreat from an assault that began in the common kitchen area of the single-room-occupancy apartment in which he lived, but refused to charge that he did not have such a duty if the jurors found that he was in his dwelling. (*Payton v New York*, 445 US 573; *People v Tomlins*, 213 NY 240; *People v Aiken*, 4 NY3d 324; *People v Jones*, 3 NY3d 491; *People v Berk*, 88 NY2d 257; *People v Hernandez*, 98 NY2d 175; *People v Sullivan*, 7 NY 396; *People v Wesley*, 76 NY2d 555; *People v Primus*, 178 AD2d 565; *People v McCurdy*, 86 AD2d 493.)

*Charles J. Hynes, District Attorney, Brooklyn (Anthea H. Bruffee and Leonard Joblove of counsel)*, for respondent. I. Defendant received the effective assistance of counsel where counsel acquiesced in defendant's decision not to request the submission to the jury of lesser-included manslaughter counts. In any event, by knowingly, intelligently, and voluntarily choosing to request that those counts not be submitted to the jury, defendant waived any claim that he was denied either the effective assistance of counsel or due process by the nonsubmission of those counts. (*People v Benevento*, 91 NY2d 708; *People v Flores*, 84 NY2d 184; *People v Hobot*, 84 NY2d 1021; *People v Satterfield*, 66 NY2d 796; *People v Baldi*, 54 NY2d 137; *Strickland v Washington*, 466 US 668; *People v Rivera*, 71 NY2d 705; *People v Caban*, 5 NY3d 143; *People v Stultz*, 2 NY3d 277; *People v Colon*, 90 NY2d 824.) II. Defendant was not denied a fair trial by the court's decision not to give the jury a "no duty to retreat" instruction in the charge on justification because there was overwhelming evidence both that the stabbing did not occur in defendant's dwelling and that defendant's acts were unjustified, and there is no significant probability that the verdict would have been different but for the court's decision not to give such an instruction. (*People v Petty*, 7 NY3d 277; *People v Jones*, 3 NY3d 491; *People v Ginett*, 179 AD2d 1072; *People v Hernandez*, 98 NY2d 175; *People v Aiken*, 4 NY3d 324; *People v Mickens*,

219 AD2d 543; *People v Duren*, 234 AD2d 560; *People v Gopaul*, 171 AD2d 754; *People v Childs*, 21 AD2d 809; *People v Primus*, 178 AD2d 565.)

#### OPINION OF THE COURT

READ, J.

We hold that the decision whether to seek a jury charge on lesser-included offenses is a matter of strategy and tactics which ultimately rests with defense counsel. At defendant Delroy Colville's trial for second-degree murder, the trial judge agreed with the defense attorney that a reasonable view of the evidence supported his request to submit the lesser-included offenses of first- and second-degree manslaughter to the jury. But contrary to defense counsel's request and repeated statements that, in his professional judgment, the lesser-included offenses should be given to the jury, the judge did not do so because defendant objected. The jury found defendant guilty of murder; we now reverse and order a new trial.

#### I.

On October 28, 2004, defendant stabbed and killed Gregory Gardner with a chef's knife, which belonged to him, and sliced open the lip of another man, Carl Jones. This violence erupted on the third floor of a single-room occupancy brownstone-type duplex where defendant resided; defendant and the occupants of the four other bedrooms on the third-floor, one of whom was Jones, shared a kitchen and bathroom. In defendant's telling, he was confronted and attacked in the kitchen by Gardner, Jones's guest; and Gardner, a much younger and bigger man, repeatedly pummeled him in the head with a heavy glass ashtray, rendering defendant bloody and nearly unconscious and leading him, in fear for his life, to grab the knife from the kitchen sink counter to protect himself. In the ensuing struggle, as he and Gardner "tumbled all over the place," defendant stabbed Gardner and cut Jones's lip as he "flashed him off" with the knife.

Jones, his 11-year-old son and Abnor George, another third-floor resident, gave a markedly different account. None of these witnesses was present for the entirety of the encounter between defendant and Gardner. Additionally, Jones's girlfriend, who allegedly suffered a knife wound while trying to protect Gardner from defendant, apparently did not give a statement to the police, and was out of the country during defendant's trial. While

there was little dispute that Gardner hit defendant in the head with an ashtray, there was testimony that defendant was the aggressor; that George took the ashtray from Gardner and broke up the fight; that Gardner was headed peacefully to the hallway and down the stairs when defendant ran into his bedroom and emerged with the knife in hand; and that defendant set upon Gardner, plunging the knife into his left side, and injured Jones as he was attempting to wrest the knife away.

Gardner, bleeding profusely and mortally wounded, managed to make his way to the street before collapsing in front of a tree. The police, who arrived almost immediately, followed a trail of blood from Gardner into the building and up the staircase, encountering the injured Jones along the way. Jones identified defendant as the assailant, described what he was wearing and directed the police to the third floor. There, after forcing open the only bedroom door that was locked, they discovered defendant in the closet and arrested him. Defendant insisted that he had acted in self-defense. As the police were escorting him out of the house, defendant pointed out a mailbox in the vestibule, where he had stashed the knife. Later that evening defendant was taken to a hospital and his head wound was closed with seven stitches.

Defendant was subsequently indicted and tried before a jury for the crimes of second-degree murder for the killing of Gardner (Penal Law § 125.25 [1]), and second-degree assault for slashing Jones (Penal Law § 120.05 [2]). The trial record closed with defendant's testimony on the Friday before a three-day holiday weekend. At the conference immediately following, the judge announced his intention to charge justification with respect to the murder count, at the defense attorney's request. The attorney, stating that he had "discussed this with [defendant]," also asked the judge to charge the lesser-included offenses of first- and second-degree manslaughter (Penal Law §§ 125.20, 125.15), adding that he had "told [defendant] that, in [his] view, murder, alone, should not be submitted to the jury."

The judge, however, expressed the opinion there was "no reasonable view of the evidence . . . that would support the elements [of manslaughter], either reckless or intentional." The prosecutor agreed. After the defense attorney objected, the judge told him to raise the issue again when the trial resumed, noting that he was "not going to say this is written in stone, if you can convince me it's appropriate, but, at this point, I don't see it." Still, the judge added that he entertained "an inclination" to



view second-degree manslaughter as “potentially . . . appropriate,” based on defendant’s videotape statement to the police, which was shown to the jury, and “certain elements” of his just completed trial testimony. The judge advised that he would have such a charge ready.

The record, which picks up on the following Tuesday, establishes that in off-the-record discussions earlier that morning the judge had agreed to submit both lesser-included offenses to the jury, as the defense attorney requested; the prosecutor had “acquiesce[d]” to charging first-degree manslaughter; and the judge had prepared a verdict sheet that included both first- and second-degree manslaughter. The issue arose on the record again because defendant balked.

The defense attorney recounted that he had “spent the better part” of the three-day weekend “reviewing transcripts, evidence, preparing arguments, doing legal research” since he had indicated on Friday that he “wished lesser included charges to be charged to this jury”; namely, first- and second-degree manslaughter. He then advised the judge that defendant, “if I understand it correctly, does not wish those charges to go to the jury . . . [which] represents . . . a change of position.” He added that “as the attorney here, I am only . . . as the Supreme Court has said, the guiding hand”; and that “[i]t is my opinion as a matter of strategy, trial strategy, and as a matter of sound practice, it is my opinion that lesser included should be submitted” so as to give the jury latitude. He observed that he was “trying to protect [defendant] here.”

When the judge asked the defense attorney if he was “withdrawing” his request for lesser-included offenses to be given to the jury, the attorney replied “I am checking with the defendant.” At that point, the judge responded that “[i]f that is where we are going, instead of using you, why don’t I ask [defendant].” The judge questioned defendant directly and confirmed that he, indeed, did not want the jury to consider manslaughter. Defendant gave no reason for his stance; he simply conveyed a sense of resigned fatalism, lamenting that “[i]f the jury feels that I intentionally caused the death of Mr. Gardner, there is nothing I can do about it,” and declaring that he was prepared for whatever decision the jury might make.

Hearing this, the defense attorney asked to confer with his client again. The judge agreed to give him five minutes, but pointed out that the jury was waiting and that “[w]e have gone

through this three times.” The defense attorney countered “I understand, but I view this as so critical.” At that point, the prosecutor jumped in, stating that the People requested a charge of first-degree manslaughter to “protect the appellate record.” The judge, admonishing that he was “going to stop” the prosecutor right there, added “[t]hat is the last we are going to hear about it. I will have [the defense attorney] discuss with [defendant] whether or not he wants to include those lesser included offenses. If he does, we will come back in 5 minutes.” With that, the judge directed the defense attorney to review the proposed charge, which included intentional and reckless manslaughter, with his client.

After the brief recess, the judge twice verified with defendant that he did not want the jury to consider first- and second-degree manslaughter. The defense attorney made clear that he had advised defendant against this course of action, explaining to him “that the punishment for murder exceeds greatly the punishment for the lesser included[s], and I know what my advice would be,” to which the judge interjected “[i]t’s actually what your advice was.” The judge, after confirming with defendant yet again that he did not want the jury charged on the lesser-included offenses, advised “[s]o I am taking them out,” and handed down a verdict sheet specifying two crimes only: second-degree murder and second-degree assault.

When the judge asked the defense attorney if he had reviewed the verdict sheet himself and shared it with defendant, the attorney replied affirmatively, and noted that he was “showing the verdict sheet to [defendant] with the two charges” because he “want[ed] to make sure it’s satisfactory to him . . . [and] to make sure that [he] ha[d] discharged [his] ethical obligation” to his client. The judge reassured him that

“we can’t do any more than we have done. We have explained everything. The record is clear. We have included what [defendant] wants included. We have taken [out] what [defendant] wants taken out. The Court was willing to acquiesce to your request[, but a]t this point, we are going to go with murder 2 and assault 2.”

The judge then asked the defense attorney if he had any objection to the verdict sheet, and the following exchange ensued:

“[DEFENSE COUNSEL]: No. To the verdict sheet as it stands now, it doesn’t give the jury all the charges that I requested.

“As far as any other objection; no.

“THE COURT: I don’t want the record to be misleading at all. You have requested only 2 charges.

“[DEFENSE COUNSEL]: The defendant, through me, requested 2 charges.

“THE COURT: These are the 2 charges that you requested.

“[DEFENSE COUNSEL]: That’s correct.

“THE COURT: Your advice was different.

“[DEFENSE COUNSEL]: Yes.

“THE COURT: But your request is these 2 charges?

“[DEFENSE COUNSEL]: My request is consistent with the defendant’s request.”

The judge next denied the defense attorney’s application to instruct the jury, as part of the justification charge, that defendant did not have a duty to retreat if attacked in his dwelling (*see* Penal Law § 35.15 [2] [a] [i] [no duty to retreat where the accused is in his or her dwelling and is not the initial aggressor]). The judge rejected the attorney’s argument that the third floor’s common areas (e.g., the kitchen and/or the hallway) might constitute part of defendant’s dwelling. In his view, defendant’s dwelling was restricted under the facts of this case to his bedroom, his only private space.

After deliberating over the course of three days, the jury acquitted defendant of assault and convicted him of murder; Supreme Court subsequently sentenced defendant to prison for an indeterminate term of 22 years to life. Upon defendant’s appeal, the Appellate Division unanimously affirmed (79 AD3d 189 [2d Dept 2010]).

Addressing first whether the decision to ask for lesser-included offenses was “strategic,” and therefore entrusted to the attorney, or “fundamental,” and so reserved to the accused, the Appellate Division remarked that courts in various jurisdictions had reached “conflicting conclusions” (*id.* at 198-199). The court took the position, however, that it did not need to resolve the proper allocation of decisionmaking authority between defendant and his defense attorney under the facts presented because if “fundamental,” defendant’s choice was repeatedly articulated on the record and the trial judge honored his

wishes; but if “strategic,” a reasonable defense attorney could have chosen not to overrule defendant, and acquiescence did not make the representation constitutionally defective (*id.* at 201-202).

Assuming that the shared kitchen was part of defendant’s “dwelling,” the court next concluded that “the evidence disproving the defense of justification was overwhelming”; and further, “there [was] no significant probability, or even a reasonable possibility, that the verdict would have been different had the ‘no duty to retreat’ instruction been given[ so] any error in the court’s charge was harmless” (*id.* at 205). Finally, the court decided that the verdict was not against the weight of the evidence. A Judge of this Court granted defendant leave to appeal (17 NY3d 793 [2011]).

## II.

This appeal calls upon us to consider how decisionmaking authority is allocated within the attorney-client relationship with respect to submission of lesser-included offenses to the jury. Is this decision fundamental—comparable to how to plead and whether to waive a jury, take the stand or appeal—and therefore reserved to the accused (*see Jones v Barnes*, 463 US 745, 751 [1983]), or is it a matter of strategy and tactics, ultimately for the defense attorney to decide? As one noted commentator put it:

“Apart from disagreements concerning the entry of an insanity plea, perhaps the most troubling source of contention [between client and attorney in a criminal case] is the decision whether to consent to submitting to the jury counts or charges lower than, or included in, the most serious count of the indictment. Tactically, the choice is whether to ‘go for broke,’ that is, have the jury vote up or down on the gravest charge, or to provide a possible locus of compromise. Part gamble, part experience, it is difficult to say whether this vital choice belongs among the defendant’s reserved prerogatives or has been ceded to the wisdom and caution of counsel” (H. Richard Uviller, *Calling the Shots: The Allocation of Choice between the Accused and Counsel in the Defense of a Criminal Case*, 52 Rutgers L Rev 719, 748 [2000]).

In the second edition of its norms of practice for criminal defense counsel, the American Bar Association (ABA) resolved this issue by advising that it was

“important in a jury trial for the defense lawyer to consult fully with the accused about any lesser included offenses the trial court may be willing to submit to the jury. Indeed, because this decision is so important as well as so similar to the defendant’s decision about the charges to which to plead, *the defendant should be the one to decide whether to seek submission to the jury of lesser included offenses. For instance, in a murder prosecution, the defendant, rather than the defense attorney, should determine whether the court should be asked to submit to the jury the lesser included offense of manslaughter*” (ABA Standards for Criminal Justice, The Defense Function, standard 4-5.2, Commentary at 4.68 [2d ed 1980] [emphasis added] [hereafter, 1980 ABA Commentary]).

In the third edition issued in 1993, however, the ABA omitted the last two sentences in this paragraph (*see* ABA Standards for Criminal Justice, Defense Function, standard 4-5.2, Commentary at 202 [3d ed 1993] [hereafter, 1993 ABA Commentary]), seemingly signaling an about-face.

Since issuance of the 1993 ABA Commentary, courts have uniformly decided that whether or not to ask the trial judge to instruct the jury on lesser-included offenses is a matter of strategy and tactics ceded by a defendant to his lawyer (*see e.g. State v Eckert*, 203 Wis 2d 497, 508-509, 553 NW2d 539, 544 [1996] [noting that the “proposition contained within the (1980 ABA Commentary did) not contain any citation to authority” and observing that the decision whether to request lesser-included offenses is “a complicated one involving legal expertise and trial strategy”]; *Mathre v State*, 2000 ND 201, ¶¶ 1, 6, 619 NW2d 627, 628, 630 [2000] [holding that the defendant “was not denied effective assistance of counsel by her attorney’s failure to confer with her about whether to submit lesser included offenses for jury consideration” and commenting that ABA standard 4-5.2 “does not list the decision to submit lesser included offenses as one which must be made by the defendant and not her attorney”]; *Simeon v State*, 90 P3d 181, 184 [Alaska Ct App 2004] [rejecting the defendant’s argument, based on the 1980 ABA Commentary, that he, rather than his lawyer, should have made the decision whether to seek jury instructions on lesser-included offenses and observing that “the commentary (was) only intended as a guide to interpretation,” it was revised in

1993 anyway and the judicial decisions cited by the defendant “appear to be a minority (which) rely on the (1980 ABA Commentary) without addressing or acknowledging the current commentary”]; *Cannon v Mullin*, 383 F3d 1152, 1167 [10th Cir 2004] [rejecting claim of ineffective assistance because “(w)hether to argue a lesser-included offense is a matter to be decided by counsel after consultation with the defendant”]; *Arko v People*, 183 P3d 555, 556, 558 [Colo 2008] [holding that “the decision whether to request jury instructions on lesser offenses is a tactical decision that rests with defense counsel after consultation with the defendant,” reasoning that “a defendant retains all of his trial rights” and “also retains the opportunity to advocate for outright acquittal”]; *State v Grier*, 171 Wash 2d 17, 32, 246 P3d 1260, 1268 [2011] [indicating that “the decision to exclude or include lesser included offense instructions is a decision that requires input from both the defendant and her counsel but ultimately rests with defense counsel”]; *see also Van Alstine v State*, 263 Ga 1, 3, 426 SE2d 360, 363 [1993] [declining to follow the 1980 ABA Commentary because the decision whether to pursue lesser-included offenses “is often based on legal complexities only the most sophisticated client could comprehend, not unlike the tactical decisions involved regarding the assertion of technical defenses”]).

Other courts have essentially simply assumed that whether to request lesser-included offenses is a strategic or tactical decision made by defense counsel (*see People v Taylor*, 2 AD3d 1306, 1308 [4th Dept 2003] [“defendant was not denied his right to make a fundamental decision( ) when the court (in a nonjury trial) considered a lesser included offense charge after discussing the issue with defense counsel and the prosecutor, without input from defendant”] [internal quotation marks and citation omitted]; *see also State v Sheppard*, 253 Mont 118, 124, 832 P2d 370, 373 [1992] [“mandatory *sua sponte* jury instruction on lesser offenses is inconsistent with Montana law and . . . public policy . . . allowing trial counsel to conduct the case according to his or her own strategy”]; *Autrey v State*, 700 NE2d 1140, 1141 [Ind 1998] [defense counsel’s “tactical decision not to tender a lesser included offense does not constitute ineffective assistance”]; *United States v Mays*, 466 F3d 335, 342 [5th Cir 2006], quoting *United States v Estrada-Fernandez*, 150 F3d 491, 496 [5th Cir 1998] [“ ‘In deciding whether to request (a lesser-included offense) instruction, defense counsel must make a strategic choice: giving the instruction may decrease the chance



that the jury will convict for the greater offense, but it also may decrease the chance of an outright acquittal' ”]).

Importantly, a trial court in New York may “in its discretion” submit a lesser-included offense “if there is a reasonable view of the evidence which would support a finding that the defendant committed such lesser offense but did not commit the greater” (CPL 300.50 [1]). And where a reasonable view of the evidence supports submission of a lesser-included offense, the court “*must* do so” if “requested by *either party*” (CPL 300.50 [2] [emphases added]). This rule came about

“to benefit, where appropriate and consistent with the evidence, the defendant with the jury’s unspoken mercy dispensing power and to help the prosecution, simultaneously and also where appropriate, conclude a case without the necessity of retrial if an element of a crime is not proved at trial and the jury can have the opportunity to dispense the common sense justifiable and substantial lesser result” (Joseph W. Bellacosa, Practice Commentary, McKinney’s Cons Laws of NY, Book 11A, CPL 300.50 at 609 [1982 ed]).

[1] Defendant makes the point that, in light of CPL 300.50, the decision whether to ask for a lesser-included charge differs critically “from the decisions that are personal to the defendant” and therefore fundamental as “it makes little sense to hold that the defendant personally has the last say about an issue when *the defense as a whole does not*” (emphasis added) (*cf. People v Davis*, 13 NY3d 17, 30 [2009] [stressing that CPL 350.20 requires the “parties(’) agreement,” not defendant’s personal consent, when holding that “the decision whether to agree to JHO adjudication of a petty criminal case represents the sort of ‘tactical decision’ best left to the determination of counsel”]). We agree.

The People analogize an instruction on lesser-included offenses to a guilty plea, citing the Illinois Supreme Court’s opinion in *People v Brocksmith* (162 Ill 2d 224, 229, 642 NE2d 1230, 1232 [1994] [“Because it is defendant’s decision whether to initially plead guilty to a lesser charge, it should also be defendant’s decision to submit an instruction on a lesser charge at the conclusion of the evidence”]), which relied on the 1980 ABA Commentary; or the submission to the jury of the affirmative defense of extreme emotional distress (EED), citing *People v*

*Petrovich* (87 NY2d 961, 963 [1996] [“the submission of the (EED) defense to the jury could . . . be determinative of the verdict,” which “is not unlike a defendant, who represented by counsel, retains the ultimate authority to make certain fundamental decisions regarding the case, as to whether to plead guilty, waive a jury, testify (on one’s) own behalf, or take an appeal”] [internal quotation marks omitted]). But unlike the situation with lesser-included offenses, a decision to plead guilty rests *exclusively* with a defendant. Similarly, the EED defense can be given to the jury only upon a defendant’s request; the People may not seek and a court may not submit this defense to the jury over a defendant’s objection (*see People v Bradley*, 88 NY2d 901, 902 [1996]).

[2] Here, the defense attorney asked the trial judge to submit first- and second-degree manslaughter to the jury; he repeatedly voiced his professional judgment that it was in his client’s best interests for the jury to be instructed on these lesser-included offenses. The judge, however, made plain that he would be guided solely by defendant’s choice in the matter, despite the defense attorney’s clearly stated views and advice to the contrary. This was error because the decision was for the attorney, not the accused, to make. By deferring to defendant, the judge denied him the expert judgment of counsel to which the Sixth Amendment entitles him.\*

We emphasize that this is not a case where, after consulting with and weighing the accused’s views along with other relevant considerations, an attorney decides to forgo submission of lesser-included offenses to the jury. The record shows that the defense attorney never deviated from his position that “going for broke” was tactically unwise; rather, the judge was unwilling to submit lesser-included offenses unless defendant agreed. In short, the defense attorney never “acceded” or “acquiesc[ed]” to defendant’s decision (*see* 79 AD3d at 203, 204) except to the extent the judge impermissibly left him no alternative.

[3] Next, we cannot say that the error here was harmless beyond a reasonable doubt (*see People v Wardlaw*, 6 NY3d 556 [2006] [holding that under certain circumstances the harmless error rule may be applied where the right to counsel has been violated]). The trial judge concluded that there was a reasonable

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\* The dissent makes the point that defendant might have had an appealable issue whether or not the trial judge submitted the lesser-included offenses to the jury (dissenting op at 36). We agree the judge faced a dilemma, caused by the uncertainty in the law which today’s decision dispels.

view of the evidence to support a conviction for manslaughter but not murder; the prosecutor agreed in part, at one point himself requesting submission of first-degree manslaughter to the jury. On this record, the jurors decided that defendant, a man in his very early forties with no prior criminal record, did not intend to inflict physical injury on Jones, and might well have found him guilty of manslaughter rather than murder when he killed Gardner.

In light of our disposition of this appeal, we need not reach and do not express an opinion whether Supreme Court should have instructed the jury on the “no duty to retreat” exception to the justification charge. Accordingly, the order of the Appellate Division should be reversed, and a new trial ordered.

JONES, J. (dissenting). Because I believe the trial court did not commit reversible error in complying with defendant’s decision that first- and second-degree manslaughter not be charged as lesser-included offenses of murder, I respectfully dissent. The question raised by this appeal is whether the trial court abrogated defendant’s Sixth Amendment right to counsel by not submitting a lesser-included offense charge when defendant who had fully consulted with defense counsel on why the lesser-included offense charge was being sought, and had been repeatedly advised by both the court and defense counsel that such a charge was in his best interest and supported by the law, disregarded the advice and decided he did not want that charge submitted to the jury.

In this case, defense counsel, after the evidence portion of the trial, asked the court to submit first- and second-degree manslaughter to the jury as lesser-included offenses of second-degree murder. Among other things, defense counsel told the court he had explained to defendant, who had asserted the defense of justification, that a lesser-included charge would afford the jury the opportunity to reach a compromise verdict on manslaughter, which would carry much less prison time than murder. Subsequently, defense counsel, on the record, withdrew his request after further discussion with defendant. Defense counsel stated defendant had decided, against his advice, that the manslaughter offenses should not be submitted to the jury because he believed the evidence showed that he acted in self-defense. After discussions on and off the record, the trial court indicated that it would not submit the lesser-included counts to the jury.

Although a criminal defendant who is represented by counsel relegates control of much of the case to the lawyer (*see People v*

*Ferguson*, 67 NY2d 383, 390 [1986]), the overwhelming majority of recent jurisprudence—concerning the consultation and agreement between defense counsel and client on lesser-included offenses—leans toward permitting a defendant to participate in the decision making process (see ABA Standards for Criminal Justice, Defense Function, standard 4-5.2, Commentary at 202 [3d ed 1993] [ABA commentators wrote, “(i)t is . . . important in a jury trial for defense counsel to consult fully with the accused about any lesser included offenses the trial court may be willing to submit to the jury”]). Indeed, most controversies have come about because the defendant was not consulted or given an opportunity to express his opinion as to whether or not lesser included charges should be included in the verdict sheet (see e.g. *People v Taylor*, 2 AD3d 1306, 1308 [4th Dept 2003]). That is not what happened in the case presently before us.

Here, defendant was fully consulted by counsel on whether to include the charges of first-degree (intentional) manslaughter and second-degree (reckless) manslaughter as lesser-included counts to be considered by the jury. But defendant ultimately objected to the submission of the lesser-included counts. After defendant consulted with his attorney, the court chose to speak with defendant directly. In that exchange, defendant clearly insisted that he did not want the lesser-included charges placed before the jury. In short, both defense counsel and the court tried, unsuccessfully, to persuade defendant that it would be to his benefit to have these additional charges considered. Moreover, while defense counsel expressed his disagreement with defendant by saying that in his judgment the counts ought to be submitted, he did not specifically object when the lesser-included counts were not submitted. Instead he withdrew his request for the charge, effectively acceding to the wishes of his client.\*

The facts of this case not only highlight that defense counsel fully consulted defendant, they also make clear that defendant fully participated in the discussion and decision concerning whether the lesser-included counts charge should be submitted to the jury. This is not a case where defense counsel told defendant what the decision was and defendant silently accepted it, or where defense counsel did not advise defendant of the decision.

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\* Even if the lesser-included offenses of intentional and reckless manslaughter were supported by a reasonable view of the evidence, the trial court’s decision not to submit those charges to the jury, in light of the withdrawn request for the lesser-included charge, was not error (see CPL 300.50 [2]; *People v Crique*, 63 AD3d 566 [1st Dept 2009]).

Here, defendant was a full participant in the decision, and exercised his right to disagree with counsel and object to a particular course of action. Because a defendant has the most to lose in a criminal proceeding (i.e., freedom), reason dictates that the defendant shall control his/her own destiny and have the ultimate authority regarding choices he/she makes (even if against the advice of counsel). Our decision in *People v Petrovich* (87 NY2d 961 [1996]) illustrates this point.

In *Petrovich*, defendant was accused of murder, and, at trial, he asserted he was suffering from a mental disease or defect at the time of the incident. At the conclusion of the evidence, defense counsel requested a charge of extreme emotional disturbance. However, the next day, counsel withdrew the request at the insistence of defendant, despite his advice to the contrary. The trial court gave defendant and counsel additional time to discuss the matter, but defendant did not change his mind. The trial court did not give the charge, concluding that the defendant's decision was determinative. Defendant was convicted of second-degree murder (two counts). On appeal, defendant argued, similar to defendant in the case at bar, that the trial court deprived him of his Sixth Amendment right to counsel. This Court concluded that the trial court did not abrogate the defendant's Sixth Amendment right to counsel, reasoning that defendant, who, according to the record, (1) perceived that charging both second-degree murder and first-degree manslaughter would afford the jury two opportunities to convict; and (2) "calculated that eliminating consideration of manslaughter increased his chance for an acquittal," could not "complain" on appeal "that his miscalculation translate[d] into a forced relinquishment of the right to counsel" (87 NY2d at 963).

Applying the reasoning set forth in *Petrovich* here, defendant, who objected to the lesser-included offense charge because he believed the evidence showed he acted in self-defense, cannot now complain about his own miscalculation. The defendant's choice to reject a charge of lesser-included offenses does not amount to a forced relinquishment, by the trial court, of the right to counsel.

Moreover, defendant's considered decision—rejecting the submission of lesser-included offenses—is completely consistent and logical in light of his assertion of the justification defense. Certain defenses—e.g., the defenses of alibi, mistaken identification and justification—are unique in that their acceptance by

the jury results in a complete exoneration (i.e., acquittal of the charges). But, the submission of lesser-included offenses in a case where such a defense is asserted dilutes the force and effect of the defense itself. Petit juries, which are not instructed concerning the legal bases (and subtleties) of lesser-included offenses, would understandably find it hard to accept that a defendant acted in self-defense if lesser-included offenses are available because such charges signal that defendant is seeking a compromised verdict. In short, charging the jury on lesser-included offenses where the defense of justification has been asserted invites a jury to disregard justification and focus on the question of the defendant's mental state (here, intent and/or recklessness).

Finally, if the court had rejected the defendant's position and charged the lesser-included offenses over his objection, an acquittal on the top count together with a conviction of a charged lesser-included count may result in reversible error. In this circumstance, defendant would have an appealable issue regardless of whether the lesser-included offenses were submitted to the jury or not.

Accordingly, I would affirm the order of the Appellate Division in this case.

Chief Judge LIPPMAN and Judges CIPARICK and GRAFFEO concur with Judge READ; Judge JONES dissents and votes to affirm in a separate opinion in which Judges SMITH and PIGOTT concur.

Order reversed, etc.

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[980 NE2d 483, 956 NYS2d 435]

SIEGMUND STRAUSS, INC., Respondent, v EAST 149TH REALTY  
CORP., Defendant, WINDSOR BRANDS, LTD., et al., Appel-  
lants.

Argued September 6, 2012; decided October 23, 2012

### SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 21, 2010. The Appellate Division order, insofar as appealed from, affirmed a judgment of the Supreme Court, New York County (Bernard J. Fried, J.; *see* 13 Misc 3d 1209[A], 2006 NY Slip Op 51753[U] [2006]), which had declared plaintiff to be the lawful tenant of certain leased premises.

*Siegmund Strauss, Inc. v East 149th Realty Corp.*, 81 AD3d 260, modified.

### HEADNOTE

#### **Appeal — Matters Reviewable — Prior Non-Final Order Necessarily Affecting Final Judgment**

In a dispute involving the right to a commercial leasehold, defendants' appeal to the Appellate Division from a judgment declaring plaintiff the lawful tenant of the subject property brought up for review, pursuant to the "necessarily affects" requirement of CPLR 5501 (a) (1), a non-final Supreme Court order which had dismissed defendants' counterclaims and third-party complaint. The Appellate Division, in ruling that the prior non-final order in question was not reviewable because it did not necessarily affect the final judgment, applied a definition of "necessarily affects" that was too narrow. It was not required, as the Appellate Division held, for the reinstatement of defendants' counterclaim upon a reversal or modification to overturn completely the judgment which declared that plaintiff was entitled to possession of the leased premises. The non-final order necessarily affected the final judgment because it was in that order Supreme Court dismissed the counterclaims and third-party claim pursuant to CPLR 3211 (a) (7). Put another way, because Supreme Court's dismissal of the counterclaims and third-party claim necessarily removed that legal issue from the case (i.e., there was no further opportunity during the litigation to raise the question decided by the prior non-final order), that order necessarily affected the final judgment.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 78, 79, 115.

CARMODY-WAIT 2d, Appeals in General §§ 70:348–70:351.

McKINNEY'S, CPLR 5501 (a) (1).

NY JUR 2d, Appellate Review §§ 557, 558.

SIEGEL, NY PRAC § 530.

#### ANNOTATION REFERENCE

See ALR Index under Appeal and Error.

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#### POINTS OF COUNSEL

*Mischel & Horn, P.C.*, New York City (*Scott T. Horn* and *Naomi M. Taub* of counsel), for appellants. I. The Appellate Division erred in failing to review the interlocutory orders which necessarily affected the final judgment. (*Silverman v Bryan*, 216 AD2d 554; *American Cleaners, Inc. v American Intl. Specialty Lines Ins. Co.*, 68 AD3d 792; *Bogal v Finger*, 59 AD3d 653; *Marini v Lombardo*, 39 AD3d 824; *Oakwood Realty Corp. v HRH Constr. Corp.*, 19 AD3d 668; *Sunrise Plaza Assoc. v International Summit Equities Corp.*, 288 AD2d 299; *Ahmadi v Romano*, 226 AD2d 409; *Hunan 7 [N.Y.C.] v Ding*, 216 AD2d 356; *Matter of Goldstein v New York State Urban Dev. Corp.*, 13 NY3d 511; *Alvira v Residential Mgt.*, 89 AD3d 437.) II. The Appellate Division erred in failing to review the February 25, 2008 order on direct appeal therefrom. (*Matter of Aho*, 39 NY2d 241; *Burnell v Marine Midland Bank*, 288 AD2d 784.) III. The Appellate Division erred in failing to review the prior orders in the interest of justice. (*Matter of Aho*, 39 NY2d 241; *Aridas v Caserta*, 41 NY2d 1059; *Lomonaco v United Health Servs. Hosps., Inc.*, 16 AD3d 958.) IV. The Appellate Division erred in affirming the final judgment. (*511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144; *Foley v D'Agostino*, 21 AD2d 60; *Dulberg v Mock*, 1 NY2d 54; *Sheila C. v Povich*, 11 AD3d 120; *Leon v Martinez*, 84 NY2d 83; *Guggenheimer v Ginzburg*, 43 NY2d 268; *Fahey v County of Ontario*, 44 NY2d 934; *Cherry v Time Warner, Inc.*, 66 AD3d 233; *Reyes v City of New York*, 63 AD3d 615; *Pier 59 Studios, L.P. v Chelsea Piers, L.P.*, 40 AD3d 363.)

*LeClairRyan*, New York City (*Barry A. Cozier* and *Ralph Ber- man* of counsel), for respondent. I. The trial court's interlocutory orders did not "necessarily affect" the trial court's final judgment. (*Dog Owners Assn. of N.Y. State, Inc. v Hilleboe*, 206 Misc 119, 307 NY 734; *Matter of Aho*, 39 NY2d 241; *Silverman*

*v Bryan*, 216 AD2d 554; *Barrett Japaning, Inc. v Bialobroda*, 68 AD3d 474; *Bogal v Finger*, 59 AD3d 653; *Marini v Lombardo*, 39 AD3d 824; *Oakwood Realty Corp. v HRH Constr. Corp.*, 19 AD3d 668; *Sunrise Plaza Assoc. v International Summit Equities Corp.*, 288 AD2d 299; *Ahmadi v Romano*, 226 AD2d 409; *Mars Assoc. v New York City Educ. Constr. Fund*, 126 AD2d 178.) II. Appellants cannot pursue an independent postjudgment appeal of the trial court's non-final order. (*Matter of Aho*, 39 NY2d 241; *LaBarbera v New York Eye & Ear Infirmary*, 91 NY2d 207; *People v Belge*, 41 NY2d 60; *Lomonaco v United Health Servs. Hosps., Inc.*, 16 AD3d 958.)

#### OPINION OF THE COURT

JONES, J.

The primary question in this commercial dispute involving, among other things, the right to a leasehold to certain commercial property, is whether, pursuant to the “necessarily affects” requirement (CPLR 5501 [a] [1]), defendants’ appeal to the Appellate Division from a judgment declaring plaintiff Siegmund Strauss, Inc. (Strauss) the lawful tenant of the subject property brought up for review two non-final Supreme Court orders: one dismissing defendants’ counterclaims and third-party complaint (2007 NY Slip Op 32436[U] [2007]) and the other denying defendants’ motion for leave to amend their answer. We conclude the Appellate Division improperly held that defendants’ appeal from the judgment did not bring up for review the order dismissing defendants’ counterclaims and third-party complaint. That is, the Appellate Division erred in ruling that this order did not necessarily affect the final judgment. We do not find it necessary to address the reviewability of the order denying defendants’ motion for leave to amend. Accordingly, we modify the order of the Appellate Division.

Strauss, a wholesale food and beverage vendor, entered into negotiations with defendants Windsor Brands, Ltd. (Windsor) and Twinkle Import Co., Inc. (Twinkle) to merge their corporations and operate out of a building located at 520 Exterior Street (also known as 110 East 149th Street) in the South Bronx. The building was leased by Windsor. Windsor and Twinkle were wholly owned and operated by defendants Robert and Teresa Rodriguez. Strauss and the Rodriguezes drafted but did not execute a contract to merge their businesses by which (1) Strauss would move onto the premises and Windsor would use its best efforts to help Strauss negotiate a new lease with defendant East 149th Realty Corp. (landlord), (2) Strauss would purchase

Windsor's assets for \$100,000, (3) Windsor and Twinkle would dissolve and (4) the Rodriguezes would purchase a one-third interest in the resulting merged corporation. Subsequently, Strauss and the Rodriguezes began performing under the purported merger agreement even though the contract had not yet been executed, i.e., the Rodriguezes helped Strauss move into the premises, Twinkle terminated its business, and Windsor's and Twinkle's employees became Strauss's employees.

After a dispute arose between the parties, Strauss sought to buy the Rodriguezes out of the merged corporation, but no buy-out agreement was ever reached. Strauss subsequently removed the Rodriguezes from the corporation's payroll and changed the locks on the premises. Further, it is alleged that Strauss never paid the Rodriguezes the agreed upon \$100,000 for Windsor's assets.

In June 2006, Strauss commenced this action against the Rodriguezes and landlord, seeking, among other things, a judgment declaring that it was the tenant entitled to sole possession of the property located at 520 Exterior Street, subject to a new lease with landlord.<sup>1</sup> In their answer, the Rodriguezes counterclaimed against Strauss and asserted a third-party complaint against Strauss's principals, alleging fraud, conversion, and tortious interference with a contractual relationship. They did not assert a breach of contract claim. Strauss and its principals moved to dismiss the counterclaims and third-party complaint for failure to state a cause of action.

By order entered August 6, 2007, Supreme Court granted Strauss's motion, dismissing the counterclaims and the third-party complaint. The court reasoned that the Rodriguezes' allegations made out only a breach of contract claim, not the tort claims identified in their answer. The Rodriguezes did not appeal to the Appellate Division from the August 2007 order prior to trial and entry of judgment.

After Strauss filed its note of issue, certifying readiness for trial, the Rodriguezes moved for leave to amend their answer, counterclaims, and cross claims, and to file a third-party complaint to assert claims for breach of contract. But Supreme Court, by order entered February 25, 2008, denied the motion as untimely. The Rodriguezes appealed to the Appellate Division from the February 2008 order, but did not perfect the appeal.

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1. On October 20, 2006, Strauss and landlord executed a new lease, and Strauss subsequently withdrew its claims against landlord.

A bench trial proceeded solely on the issue of possession of the subject premises. After trial, the court adjudged Strauss the lawful tenant of the premises, subject to a lease with landlord. Judgment was entered April 7, 2009. The Rodriguezes appealed to the Appellate Division from the judgment, seeking to review the August 2007 and February 2008 orders.

The Appellate Division affirmed the judgment, holding that the appeal from the judgment did not bring up for review the prior Supreme Court orders (81 AD3d 260 [1st Dept 2010]). Specifically, the court found the August 2007 and February 2008 orders did not “necessarily affect” the April 2009 judgment because, if those orders were reversed, the Rodriguezes’ “claims would be reinstated and they would be permitted to pursue a claim for breach of contract. However, the judgment which declared that Strauss was entitled to possession of the leased premises would still stand” (*id.* at 265). The court also denied the Rodriguezes’ motion for enlargement of time to perfect their direct appeal of the February 2008 order and dismissed that appeal.

Defendants appeal pursuant to leave granted by this Court from so much of the Appellate Division order which affirmed Supreme Court’s April 2009 judgment (17 NY3d 936 [2011]).<sup>2</sup> They argue that the August 2007 and February 2008 orders are reviewable upon appeal from the April 2009 judgment because they necessarily affect that judgment.

The correctness of a final judgment may turn on the correctness of an intermediate non-final order(s); thus, it is the practice of this state that an appeal from a final judgment may, on certain occasions, bring up for review the non-final order(s). Pursuant to CPLR 5501 (a) (1), an appellate court is permitted to review, on an appeal from a final judgment, any non-final determination necessarily affecting the final judgment which has not been previously reviewed by the appellate court.<sup>3</sup> Although it is difficult to distill a rule of general applicability regarding

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2. The remaining portion of the Appellate Division order, dismissing the Rodriguezes’ direct appeal from the February 2008 order, is non-final. Therefore, this Court dismissed the Rodriguezes’ motion insofar as they sought leave to appeal from the non-final part of the Appellate Division order (17 NY3d at 936).

3. CPLR 5501 (a) (1) provides:

“An appeal from a final judgment brings up for review . . . any non-final judgment or order which necessarily affects the final judgment, including any which was adverse to the respondent on appeal from the final judgment and which, if reversed, would

(n. cont’d)

the “necessarily affects” requirement, Karger has put forth a definition that is helpful in resolving many cases. According to Karger, a non-final order “necessarily affects” a final judgment “if the result of reversing that order would necessarily be to require a reversal or modification of the final [judgment]” and “there shall have been no further opportunity during the litigation to raise again the questions decided by the [non-final] order” (Karger, Powers of the New York Court of Appeals § 9:5 at 304-305, 311 [3d ed rev]).

In reaching its conclusions, the Appellate Division below relied on a test suggested by Professor David Siegel as “not perfect but helpful”: “[A]ssuming that the nonfinal order or judgment is erroneous, would its reversal overturn the judgment? If it would, it’s a reviewable item; if it would not, and the judgment can stand despite it, it is not reviewable” (Siegel, NY Prac § 530 at 940 [5th ed 2011]). Applying this test, the Appellate Division ruled that because the April 2009 judgment would stand if the August 2007 and February 2008 orders were reversed, those non-final orders did not necessarily affect the judgment.

The Appellate Division’s ruling that the prior non-final order dismissing the defendants’ counterclaims and third-party claims is not reviewable—because it did not necessarily affect the final judgment—does not comport with our jurisprudence (*see e.g. Draper v Georgia Props.*, 94 NY2d 809 [1999] [Court implicitly concluded that an intermediate order dismissing a counterclaim necessarily affects the final judgment]; *Lasidi v Financiera Avenida*, 73 NY2d 947 [1989] [same as *Draper*]; *Karlin v IVF Am.*, 93 NY2d 282, 290 [1999] [Court explicitly stated that an intermediate order dismissing a cause of action necessarily affects the final determination]; *Scarangella v Thomas Built Buses*, 93 NY2d 655 [1999] [Court implicitly concluded same]; *Bartoo v Buell*, 87 NY2d 362 [1996] [same as *Scarangella*]). Thus, where the prior non-final order dismissed a cause of action or counterclaim pleaded in a complaint or answer, this Court has not applied a definition of “necessarily affects” as narrow as that employed by the Appellate Division in this case. To satisfy “necessarily affects” in this context, it is not required, as the Appellate Division held, for the reinstatement of the

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entitle the respondent to prevail in whole or in part on that appeal, provided that such non-final judgment or order has not previously been reviewed by the court to which the appeal is taken.”



Rodriguezes' counterclaim upon a reversal or modification to overturn completely the judgment which declared that Strauss was entitled to possession of the leased premises.

Supreme Court, pursuant to CPLR 3211 (a) (7),<sup>4</sup> dismissed the Rodriguezes' counterclaims and the third-party complaint. Specifically, Supreme Court dismissed the Rodriguezes' fraud and conversion claims because it determined that the facts as alleged only made out a claim for breach of contract. Thus, consistent with an aspect of the necessarily affects requirement recognized by Karger, the August 2007 order necessarily affected the final judgment because it was in that order Supreme Court dismissed the counterclaims and third-party claim pursuant to CPLR 3211 (a) (7). Put another way, because Supreme Court's dismissal of the counterclaims and third-party claim necessarily removed that legal issue from the case (i.e., there was no further opportunity during the litigation to raise the question decided by the prior non-final order), that order necessarily affected the final judgment. In light of the foregoing, the Appellate Division erred in holding that the Rodriguezes' appeal from Supreme Court's April 2009 final judgment did not bring up for review the August 2007 non-final order because the August 2007 order necessarily affected the April 2009 final judgment. Accordingly, we remit this matter to the Appellate Division for review of Supreme Court's August 2007 order, together with the final judgment.

Because the review that we find permissible goes to a motion directed to the counterclaims and third-party claim as originally pleaded, we find it unnecessary to address the order denying the motion to amend the answer.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be modified, without costs, by remitting the matter to that court for further proceedings in accordance with this opinion and, as so modified, affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order, insofar as appealed from, modified, etc.

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4. When deciding a 3211 (a) (7) motion, the facts as alleged in the complaint and the opposition papers must be accepted as true; the court must accord the plaintiff the benefit of every possible favorable inference and determine only whether the facts as alleged fit within any cognizable legal theory.

[980 NE2d 491, 956 NYS2d 443]

## THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SANDY FERNANDEZ, Appellant.

Argued September 13, 2012; decided October 25, 2012

## SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, Second, Eleventh and Thirteenth Judicial Districts, entered May 20, 2011. The Appellate Term affirmed a judgment of the Criminal Court of the City of New York, Kings County (Miriam Cyrulnick, J.), which had convicted defendant, upon his plea of guilty, of aggravated unlicensed operation of a vehicle in the third degree.

*People v Fernandez*, 31 Misc 3d 144(A), 2011 NY Slip Op 50932(U), affirmed.

## HEADNOTES

**Crimes — Accusatory Instrument — Simplified Traffic Information — Title of Accusatory Instrument Not Controlling**

1. The accusatory instrument charging defendant with aggravated unlicensed operation of a motor vehicle, which was titled “Complaint/Information” and contained factual information, was sufficient to serve as a simplified traffic information because it was substantially in the form prescribed by the Commissioner of Motor Vehicles. As defined in CPL 100.10 (2) (a), a simplified traffic information is a streamlined instrument designed for the expeditious processing of traffic infractions. To be facially sufficient, the instrument must also comply with the requirement of CPL 100.25 (1) that it be “substantially in the form prescribed by the commissioner of motor vehicles.” The title “Complaint/Information” here did not control what the accusatory instrument was and make it a misdemeanor complaint. The title could not be dispositive as it was the legislature’s intention, in providing that a simplified traffic information need only “substantially” conform to the requirements of the Commissioner of Motor Vehicles, that no single part of the form be dispositive. Moreover, the Commissioner does not require a simplified traffic information to have any title at all (*see* 15 NYCRR 122.2). The substance of the instrument rather than its denomination controlled.

**Crimes — Accusatory Instrument — Simplified Traffic Information — Part 122 Complaint Form Used in New York City**

2. The accusatory instrument charging defendant with aggravated unlicensed operation of a motor vehicle, which was a part 122 complaint form embodied in the New York Police Department (NYPD) Patrol Guide’s Procedure No. 209-11, was facially sufficient to serve as a simplified traffic information because it substantially complied with the requirements enumerated in 15 NYCRR 122.2. The form used here—titled “Complaint/Information” and containing factual information—did not have to comply with 15 NYCRR part 91, promulgated pursuant to Vehicle and Traffic Law § 207, as these

provisions do not apply to simplified traffic informations in New York City. Instead, the applicable requirements derive from Vehicle and Traffic Law § 226, which authorizes the Commissioner of Motor Vehicles to prescribe the form of a summons and complaint in traffic cases. The regulation, 15 NYCRR 122.2, promulgated pursuant to section 226, was intended to designate the form to be used for a simplified traffic information, but the regulation was revised in 1978 and now includes neither a sample illustrated form nor the express language “simplified traffic information.” The deletion of that specific language from the regulation did not evince any intent to alter the use of the part 122 complaint form as the simplified traffic information in New York City. Rather, the part 122 complaint form is embodied in NYPD Patrol Guide Procedure No. 209-11, which depicts the multipurpose form that is used for any misdemeanor or violation listed in the Vehicle and Traffic Law. It is the form that is routinely used as a simplified traffic information in parts of New York City to prosecute traffic misdemeanors in criminal court. Moreover, the form substantially complied with the requirements specified in 15 NYCRR 122.2 with respect to size, form and content. A new more carefully drawn form, however—one that is titled “simplified traffic information” and does not include any space for factual allegations—would better service the city and the public.

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#### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 954, 956;  
AM JUR 2d, Indictments and Informations § 96.  
CARMODY-WAIT 2d, Commencing the Prosecution; Grand  
Jury §§ 178:8, 178:21, 178:35.  
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 19.1,  
19.3.  
MCKINNEY'S, CPL 100.10 (2) (a); 100.25; Vehicle and Traf-  
fic Law §§ 207, 226.  
15 NYCRR part 91; 122.2.  
NY JUR 2d, Automobiles and Other Vehicles §§ 979, 993;  
NY JUR 2d, Criminal Law: Procedure §§ 948, 959.

#### ANNOTATION REFERENCE

See ALR Index under Automobiles and Highway Traffic;  
Indictments and Information.

#### FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: simplified /2 traffic /2 information /s suffic! /s title\*

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#### POINTS OF COUNSEL

*Steven Banks, Legal Aid Society, New York City (Svetlana M. Kornfeind of counsel), for appellant.* The accusatory instrument charging appellant with a traffic misdemeanor is a jurisdictionally

defective misdemeanor complaint, where it is denominated “Complaint/Information,” and where the instrument alleges evidentiary facts purporting to establish the elements of the offense charged but omits entirely facts supporting “reasonable cause” to believe that appellant knew or had reason to know he was driving with a suspended or revoked license. (*People v Casey*, 95 NY2d 354; *People v Dreyden*, 15 NY3d 100; *People v Nuccio*, 78 NY2d 102; *People v Di Gioia*, 98 Misc 2d 359; *People v Burwell*, 53 NY2d 849; *People v Alejandro*, 70 NY2d 133; *People v Kalin*, 12 NY3d 225; *People v Hall*, 48 NY2d 927; *People v Jones*, 9 NY3d 259; *People v Konieczny*, 2 NY3d 569.)

*Charles J. Hynes, District Attorney, Brooklyn (Terry-Ann Corniffe and Leonard Joblove of counsel)*, for respondent. The accusatory instrument was a facially sufficient simplified traffic information. (*People v Nuccio*, 78 NY2d 102; *People v Key*, 45 NY2d 111; *People v Weinert*, 178 Misc 2d 675; *People v Beattie*, 80 NY2d 840; *People v Connor*, 63 NY2d 11; *People v Monclavo*, 87 NY2d 1029; *People v Casey*, 95 NY2d 354; *People v Delmonaco*, 16 Misc 3d 526; *People v Gindi*, 166 Misc 2d 672; *People v Weinberg*, 34 NY2d 429.)

#### OPINION OF THE COURT

Chief Judge LIPPMAN.

The issue presented by this appeal is whether the accusatory instrument was a facially sufficient simplified traffic information, although it was titled “Complaint/Information,” and contained factual information. For the reasons set forth below, we hold that the accusatory instrument was sufficient to serve as a simplified traffic information because it was substantially in the form prescribed by the Commissioner of Motor Vehicles.

On January 9, 2009, defendant was arrested and arraigned on charges of aggravated unlicensed operation of a motor vehicle pursuant to Vehicle and Traffic Law § 511 (1) (a).<sup>1</sup> Defendant had 13 prior license suspensions. The accusatory instrument was four by eight inches and the front of the accusatory instrument

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1. “A person is guilty of the offense of aggravated unlicensed operation of a motor vehicle in the third degree when such person operates a motor vehicle upon a public highway while knowing or having reason to know that such person’s license or privilege of operating such motor vehicle in this state or privilege of obtaining a license to operate such motor vehicle issued by the commissioner is suspended, revoked or otherwise withdrawn by the commissioner” (§ 511 [1] [a]).

was denominated, “COMPLAINT/INFORMATION.” In a space designated, “Description of Violation,” the instrument stated, “Aggravated Unlicensed Operator.” The instrument listed defendant’s name, address, date of birth, sex, license information, vehicle description and vehicle registration information. The accusatory instrument also listed the date, time and address at which defendant was stopped. The reverse side was denominated “CRIMINAL COURT INFORMATION (DESCRIBE OFFENSE),” and was accompanied by the following handwritten description: “At t/p/o, A/O observed Deft driving S/B on 4th Ave & 40th St operating a Black, 1998 Lincoln Town car Indiana Plate #1375E complete a left turn onto 40th St. across three lanes of traffic. Informed by DMV that Deft license revoked (13 on 7 dates) [sic].”

A box was marked indicating outstanding warrants had been checked. The arresting officer dated and signed the instrument immediately below the factual write up, that the officer “PERSONALLY OBSERVED THE COMMISSION OF THE OFFENSE CHARGED HEREIN.”

Traffic misdemeanors may be prosecuted in criminal court by a misdemeanor information, misdemeanor complaint or simplified traffic information. A facially sufficient misdemeanor complaint complies with the form and content requirements of CPL 100.15 and, in its factual portion, alleges evidentiary facts providing reasonable cause to believe that the defendant committed the offense charged. (CPL 100.15 [3]; 100.40 [4] [b].) Omission of an element of the charged crime renders a misdemeanor complaint jurisdictionally defective (*People v Dreyden*, 15 NY3d 100 [2010]). A defendant may only be prosecuted upon a misdemeanor complaint if prosecution by misdemeanor information is waived.

As defined in CPL 100.10 (2),<sup>2</sup> a simplified traffic information is a streamlined instrument designed for the expeditious

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2. CPL 100.10 (2) (a) provides:

“A ‘simplified traffic information’ is a written accusation by a police officer, or other public servant authorized by law to issue same, filed with a local criminal court, which charges a person with the commission of one or more traffic infractions and/or misdemeanors relating to traffic, and which, being in a brief or simplified form prescribed by the commissioner of motor vehicles, designates the offense or offenses charged but contains no factual allegations of an evidentiary nature supporting such charge or charges. It serves as a basis for commencement of a criminal action for such traffic offenses, alternative to the charging thereof

(n. cont’d)

processing of traffic infractions; it is a short, written accusation, signed by a police officer and filed with a criminal court. Evidentiary facts are not required. To be facially sufficient, the instrument must also comply with the requirement of CPL 100.25 (1) that it be “*substantially* in the form prescribed by the commissioner of motor vehicles” (emphasis added).

The arraignment court declined to rule on “whether . . . this is a simplified traffic [information],” or a misdemeanor complaint. Defense counsel waived the reading of defendant’s rights—which included the reading of his right to have a supporting deposition filed<sup>3</sup>—and waived prosecution by information “[j]ust in case,” and defendant pleaded guilty to the misdemeanor of aggravated unlicensed operation of a motor vehicle in the third degree, under Vehicle and Traffic Law § 511 (1) (a), in exchange for a \$350 fine and a conditional discharge that required him to clear up his outstanding traffic tickets. Defendant violated the terms of the conditional discharge, and the court sentenced him to 30 days, a term that has been fully served.

Defendant challenged his conviction by arguing that the accusatory instrument was a facially insufficient misdemeanor complaint, because it omitted an element of the offense charged. The People, on the other hand, argued that the accusatory instrument was a simplified traffic information, which required no factual allegations.

The Appellate Term held that

“although the accusatory instrument is denominated a ‘complaint/information,’ it is a sufficient simplified traffic information since it designates the offense charged, substantially conforms to the form prescribed by the Commissioner of Motor Vehicles and provides the court with sufficient information to establish that it has jurisdiction to hear the case”

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by a regular information, and, under circumstances prescribed in section 100.25, it may serve, either in whole or in part, as a basis for prosecution of such charges.”

3. A defendant who is charged by a simplified traffic information is entitled, upon request, to the filing and service of a supporting deposition; or, at arraignment after arrest (as opposed to a Desk Appearance Ticket) the court must inform defendant of his right to have a supporting deposition filed unless defendant waives the reading of that right. Defendant here did not request a supporting deposition and his attorney waived the reading of the right to have one filed.



(31 Misc 3d 144[A], 2011 NY Slip Op 50932[U], \*1 [2011] [citations omitted]).

The Appellate Term relied on *People v Ferro* (22 Misc 3d 7 [App Term, 2d Dept 2008], *lv denied* 12 NY3d 757 [2009]), in holding that the title of the instrument is not controlling.

## I

[1] Defendant’s main argument is that the accusatory instrument was denominated “Complaint/Information,” and included factual allegations as to only some of the elements of the offense charged, and therefore must be held to be an insufficient misdemeanor complaint, rather than a simplified traffic information. As explained below, we reject this contention.

## A

Defendant points to our decision in *People v Casey* (95 NY2d 354 [2000]) for the proposition that a title controls what a document is and since the document at issue is titled “Complaint/Information,” it is a misdemeanor complaint.

*Casey* concerned claims that a misdemeanor information for criminal contempt was jurisdictionally defective because of its hearsay nature (*id.* at 358-359). The Appellate Term held that since the information would have “qualifie[d] as a misdemeanor complaint,” and since defendant waived the right to be prosecuted by information, it was not jurisdictionally defective (*People v Casey*, 181 Misc 2d 744, 745 [App Term, 2d Dept 1999], citing *People v Connor*, 63 NY2d 11 [1984]). We upheld defendant’s conviction, but for different reasons (*Casey*, 95 NY2d at 359). We explained that we did not find a basis in the record for a waiver of a right to be prosecuted by information (*id.*). We then noted:

“Moreover, as the Appellate Term acknowledged, the accusatory instrument here was denominated, and purported to be, a misdemeanor information with a supporting deposition, not a misdemeanor complaint. That the instrument would have *qualified* as a misdemeanor complaint did not make it one. Since the accusatory instrument here was in fact a local criminal court information, and not a misdemeanor complaint, the District Court would not have had the statutory obligation to inform defendant that he ‘may not be prosecuted [on a misdemeanor complaint] . . . unless he consents’ ” (*id.*).

Nonetheless, we held that the nonhearsay requirement could be satisfied by the contents of the supporting deposition, and, more broadly, an information should be given “a fair and not overly restrictive or technical reading” (*id.* at 359-360).

Our comment about denomination was a side-note, peripheral to the main holding and relevant only to the issue of waiver. A misdemeanor information is an accusatory instrument alleging nonhearsay evidentiary facts supporting every element of the offense charged. A defendant may be prosecuted by misdemeanor information alone. By contrast, a misdemeanor complaint is a misdemeanor information but with hearsay allegations permitted. A defendant may *not* be prosecuted by a misdemeanor complaint—and the trial court is required to so inform the defendant—unless prosecution by information is waived, or unless a supporting deposition is filed. Plainly, our comment in *Casey* was simply about whether the instrument did or did not include hearsay allegations, and what corresponding obligations the trial court had in ensuring that defendant properly waived his rights.

Moreover, a simplified traffic information need only “substantially” conform to the requirements of the Commissioner of Motor Vehicles (CPL 100.25). Title then cannot be dispositive when it is the legislature’s intention that no single part of the form be dispositive. This holistic approach to identifying the form is entirely consistent with the central holding of *Casey*. There, we said that “[s]o long as the factual allegations of an information give an accused notice sufficient to prepare a defense and are adequately detailed to prevent a defendant from being tried twice for the same offense, they should be given a fair and not overly restrictive or technical reading” (*id.* at 360). Furthermore, the Commissioner of Motor Vehicles does not require a simplified traffic information to have any title at all (*see* 15 NYCRR 122.2). It would be illogical, then, to find that the title of the form governs over its substance (*see e.g. People v Chestnut*, 19 NY3d 606, 611 n 2 [2012] [noting that a party’s adherence to the preservation rule’s “specific objection” requirement should not “emphasize form over substance”]; *People v Vespucci*, 75 NY2d 434, 442 [1990] [holding that prosecutor’s alternative arrangement complied with sealing requirement of eavesdropping statute because “(t)o rule otherwise would sacrifice substance for form and not advance” the purposes of the statute]).

The Appellate Term correctly concluded that the principles expressed in *People v Ferro* were applicable. There, the court

held that an accusatory instrument ambiguously denominated “Information/Simplified Information” could function as either a regular or a simplified traffic information because the substance of the document rather than its denomination controlled (22 Misc 3d at 8-9 [distinguishing *Casey*]).

## B

That the simplified traffic information included more factual detail than was required by the statute is inconsequential. After all, the point of an accusatory instrument is to give defendant fair notice of the charges levied against him or her. An excess of detail, therefore, cannot be fatal to its facial sufficiency. As the Appellate Term noted in *Ferro*, “[i]t would indeed be ironic if an excess of details, beyond the minimum requirements, would undermine the sufficiency of the simplified information[s]” (22 Misc 3d at 9 [internal quotation marks and citation omitted]).

## II

Defendant also argues this is not a facially sufficient simplified traffic information since the form used in this case does not comply with 15 NYCRR part 91, promulgated pursuant to Vehicle and Traffic Law § 207, which authorizes the Commissioner of Motor Vehicles to prescribe the form of a uniform summons and complaint in traffic violation cases. However, neither Vehicle and Traffic Law § 207 nor 15 NYCRR part 91 apply to simplified traffic informations in New York City.<sup>4</sup>

Instead, the applicable requirements derive from Vehicle and Traffic Law § 226,<sup>5</sup> which authorizes the Commissioner of Motor Vehicles to prescribe the form of a summons and complaint

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4. Vehicle and Traffic Law § 207 (4) states, in relevant part, that “[t]he provisions of this section shall not apply to or supersede any ordinance, rule or regulation heretofore or hereafter made, adopted or prescribed pursuant to law in any city having a population of one million or over” for offenses occurring therein. Similarly, 15 NYCRR part 91 includes a provision which states that “[t]his Part shall not apply to tickets issued within any city having a population of one million or over for offenses occurring therein” (15 NYCRR 91.4 [a]).

5. Vehicle and Traffic Law § 226 authorizes the Commissioner of Motor Vehicles to prescribe the form of a summons and complaint in all cases involving traffic infractions, as specified in Vehicle and Traffic Law § 225 (1). Although defendant argues that this section cannot apply to his case, because aggravated unlicensed operation in the third degree is a misdemeanor, Vehicle and Traffic Law § 225 (1) applies to misdemeanors when a traffic infraction and a crime arise out of the same transaction or occurrence. In this case, defendant was stopped because he completed a left turn across three lanes of

(n. cont’d)

in traffic cases. The regulation, 15 NYCRR 122.2, promulgated pursuant to Vehicle and Traffic Law § 226, was intended to designate the form to be used for a simplified traffic information, but the regulation was revised in 1978 and now includes neither a sample illustrated form nor the express language “simplified traffic information.” As the Criminal Court has held, the deletion of that specific language from the regulation does not evince “any intent to alter the use of the part 122 form as the simplified traffic information in New York City” (*People v Gindi*, 166 Misc 2d 672, 680 [Crim Ct, NY County 1995]).

The part 122 complaint form, as the City of New York’s simplified traffic information, is embodied in New York City Police Department (NYPD) Patrol Guide Procedure No. 209-11, which depicts the multipurpose form that is used for any misdemeanor or violation listed in the Vehicle and Traffic Law. Procedure No. 209-11 was promulgated pursuant to New York City Charter § 434 (b), which gives the Police Commissioner responsibility for the “execution of all laws and the rules and regulations of the [police] department.” The form in Procedure No. 209-11 is the form that was used in this case, and is the form that is routinely used as a simplified traffic information in parts of New York City to prosecute traffic misdemeanors in criminal court. Most importantly, form 209-11 substantially complies with the requirements specified in 15 NYCRR 122.2.

[2] 15 NYCRR 122.2 (a) provides that the “ticket packet shall be a multipage form of at least three parts, approximately 4<sup>1</sup>/<sub>4</sub> inches wide and 8<sup>1</sup>/<sub>2</sub> inches high, including a half-inch stub for binding across the top.” Additionally, a “serial number, in a series, form and color approved by the commissioner, shall be printed at the top of each part” (§ 122.2 [b]), and “[p]art 1, the complaint, shall contain space for: (1) motorist’s name; (2) address; (3) date of birth; (4) sex; (5) license identification; (6) ve-

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traffic, which is a traffic infraction. After he was stopped, it was determined that he had also violated Vehicle and Traffic Law § 511 (1), aggravated unlicensed operation in the third degree, which is a crime. Vehicle and Traffic Law § 225 (1) states:

“Whenever a crime and a traffic infraction arise out of the same transaction or occurrence, a charge alleging both offenses may be made returnable before the court having jurisdiction over the crime. Nothing herein provided shall be construed to prevent a court, having jurisdiction over a criminal charge relating to traffic or a traffic infraction, from lawfully entering a judgment of conviction, whether or not based on a plea of guilty, for any offense classified as a traffic infraction.”

hicle description; (7) registration information; (8) violation description; (9) time and place of appearance; and (10) complainant's name and affiliation" (§ 122.2 [c]). In this case, the accusatory instrument was a NYPD Patrol Guide form, Procedure No. 209-11, which was approximately four inches wide and approximately eight inches high. It had a serial number printed at the top, and it included space for all of the categories enumerated in 15 NYCRR 122.2 (c) which were all filled in with the requisite information. Defendant's accusatory instrument therefore substantially complied with the requirements enumerated in section 122.2, and thus was a facially sufficient simplified traffic information.<sup>6</sup>

### III

Although we hold that according to the technical specifications of the regulations, Procedure No. 209-11 substantially complies with 15 NYCRR 122.2, and is therefore sufficient as a simplified traffic information, a new more carefully drawn form would better service the city and the public. The present form is confusing and hardly "simplified." It would seem clear that, at the very least, a simplified traffic information used in New York City should be titled "simplified traffic information" and should not include any space for factual allegations.

Accordingly, the order of the Appellate Term should be affirmed.

PIGOTT, J. (dissenting). While the issue in this case, colored by the defendant's rather checkered past of run-ins with the Vehicle and Traffic Law, may seem trivial or nettlesome, it points up a vexing problem in this area of the law. Was the defendant charged using a simplified traffic information, a misdemeanor complaint, or a misdemeanor information? The dilemma is not uncommon. Unfortunately, it seems that over the years importantly different documents have been conflated into one to the benefit of no one.

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6. Defendant pointed out that Procedure No. 209-11, as listed in the Patrol Guide, states "CRIMINAL COURT[:] *PEDESTRIAN OFFENSES AND TRAFFIC MISDEMEANORS (except unlicensed operator . . . )*." This note instructs police officers that for the crime of unlicensed operator, a Desk Appearance Ticket, which does not accompany an arrest but requires defendants to come to criminal court at a specified later date, should not be issued. Instead, a defendant charged with unlicensed operator should immediately be taken into custody—which is what happened here—rather than be allowed to reenter and operate his or her vehicle.

I.

A simplified traffic information is

“a written accusation by a police officer, or other public servant authorized by law to issue same, filed with a local criminal court, which charges a person with the commission of one or more traffic infractions and/or misdemeanors relating to traffic, and which, being in a brief or simplified form prescribed by the commissioner of motor vehicles, designates the offense or offenses charged *but contains no factual allegations of an evidentiary nature supporting such charge or charges*” (CPL 100.10 [2] [a] [emphasis added]).

It is “designed to provide an uncomplicated form for handling the large volume of traffic infractions and petty offenses for which it is principally used. It need not provide on its face reasonable cause to believe defendant has committed the offense” (*People v Nuccio*, 78 NY2d 102, 104 [1991]; *see also People v Key*, 45 NY2d 111, 115-116 [1978]).

Because of its streamlined nature, a person charged by a simplified traffic information is entitled, upon request, to a supporting deposition. Under the statute,

“where a person is charged by a simplified information and is served with an appearance ticket as defined in [CPL] 150.10, such appearance ticket shall contain the following language: ‘NOTICE: YOU ARE ENTITLED TO RECEIVE A SUPPORTING DEPOSITION FURTHER EXPLAINING THE CHARGES PROVIDED YOU REQUEST SUCH SUPPORTING DEPOSITION WITHIN THIRTY DAYS FROM THE DATE YOU ARE DIRECTED TO APPEAR IN COURT AS SET FORTH ON THIS APPEARANCE TICKET. DO YOU REQUEST A SUPPORTING DEPOSITION? [ ] YES [ ] NO’ ” (CPL 100.25 [4]).

This is an important requirement because, in the vast majority of cases, motorists will mail in their pleas. Motorists are entitled to a supporting deposition if they need one, and must be advised of that right.

As the majority points out (*see* majority op at 52), the regulation intended to designate the form to be used for a simplified traffic information in New York City (where defendant



was arrested) is 15 NYCRR 122.2. That regulation provides that a simplified traffic information shall have “at least three parts” (15 NYCRR 122.2 [a])—part I, the “complaint” (15 NYCRR 122.2 [c]), and parts II and III, the “appearance ticket and the summons” (15 NYCRR 122.2 [f])—and “[a] serial number . . . shall be printed at the top of each part” (15 NYCRR 122.2 [b]). The reverse side of the ticket “shall contain a plea form and instructions for answering said summons” (15 NYCRR 122.2 [e]). The simplified traffic information will contain a “violation description” (15 NYCRR 122.2 [c] [8]), but will not contain space for a detailed description of the offense or allegations of the facts underlying it (*see* 15 NYCRR 122.2 [c]), so as to be consistent with CPL 100.10 (2) (a).

The accusatory instrument in this case bears little resemblance to that template. Most crucially, the instrument contained no fewer than eight lines headed “Criminal Court Information (Describe Offense)” that the arresting officer may fill with a description of the facts underlying the offense. The form therefore clearly contravenes the dictates of CPL 100.10 (2) (a) (simplified traffic information “contains no factual allegations of an evidentiary nature supporting such charge or charges”).

Moreover, although the instrument included what purports to be an appearance ticket and summons, it does not include the statutorily required language concerning entitlement to receive a supporting deposition (*see* CPL 100.25 [4]). If it were a simplified traffic information, it would have to be dismissed as facially insufficient.<sup>1</sup>

Additionally, although the instrument has “a serial number printed at the top” (majority op at 53) and at the foot of the reverse side, it does *not* have a serial number at the top of *each part*, in violation of 15 NYCRR 122.2 (b). In fact, it is not at all clear where each part begins and ends. And, while the reverse contains a plea form, it has no instructions for answering the summons, as required by 15 NYCRR 122.2 (e); the latter appear on the first page.

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1. The majority states that, in the absence of such notice, the court must inform a defendant of his right to have a supporting deposition filed, unless the defendant waives the reading of that right (majority op at 48 n 3; *see* CPL 170.10 [4] [c]). The majority concludes that here defendant’s counsel waived the reading of defendant’s right to a supporting deposition. Counsel did if we accept the record evidence that she waived the reading of rights and charges for all her cases that evening. But this does not constitute a knowing waiver and, absent some notice on the accusatory instrument, serves as no notice at all.

While I accept that a simplified traffic information must only be “*substantially* in the form prescribed by the commissioner” (CPL 100.25 [1] [emphasis added]; *but see* CPL 100.10 [2] [a] [no use of the word “substantially”]), the differences here are significant enough that, as a practical matter, this document is plainly something other than a simplified traffic information.

As the majority notes, the accusatory instrument in this case was on the form depicted in New York City Police Department Patrol Guide Procedure No. 209-11 (Form 209-11) (*see* majority op at 52). Indeed it is fair to say that the instrument is not “substantially in the form prescribed by the commissioner” (CPL 100.25 [1]); it is in a form prescribed by the Police Department. Form 209-11 is a versatile accusatory instrument, which the Patrol Guide describes as a “Criminal Court Summons” or a “Complaint/Information” and is to be used for “pedestrian offenses and traffic misdemeanors.”<sup>2</sup> As examples of offenses for which it might be used, the Patrol Guide gives disorderly conduct (Penal Law § 240.20 [5]) and trespass (Penal Law § 140.05). If the offense is “returnable to Criminal Court,” the arresting officer is directed to complete a section of the form titled “Criminal Court Information.” The officer is instructed that this section “must include eyewitness (non-hearsay) allegations of fact describing acts of the defendant,” rather than merely “the specific language of the law.” In other words, Form 209-11 is designed to be used as a *regular* criminal court information (*see* CPL 100.10 [1]) that must include a “factual part” (CPL 100.15 [3]), containing “[n]on-hearsay allegations” that “establish, if true, every element of the offense charged and the defendant’s commission thereof” (CPL 100.40 [1] [c]). There is no indication whatsoever that Form 209-11 was designed to be a simplified traffic information.

The majority analyzes *People v Casey* (95 NY2d 354 [2000]), pointing out that it does not stand for the proposition that the title of an accusatory instrument is dispositive (*see* majority op at 49-50). That much is correct. However, *Casey* clearly stands for a related proposition—an accusatory instrument that “was denominated, *and purported to be*, a misdemeanor information” is a misdemeanor information (*Casey*, 95 NY2d at 359 [emphasis added]). I disagree with the majority’s assertion that this holding

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2. The Patrol Guide states that Form 209-11 is not to be used for “unlicensed operator” offenses. The majority’s speculative explanation of this exception (majority op at 53 n 6) is impossible to evaluate because it is unsupported by citation or argument.

in *Casey* “was a side-note, peripheral to the main holding” (majority op at 50). In fact, it was the basis of our conclusion that the accusatory instrument in that case “was in fact a local criminal court information” (95 NY2d at 359). If we had concluded otherwise, the rest of our opinion in *Casey*, which assumed that the instrument was an information, would have been superfluous.

Here, the accusatory instrument not only was titled “Complaint/Information,” rather than “Simplified Traffic Information,” but it also purported to be a regular information, insofar as it gave the arresting officer the opportunity to describe in detail the facts underlying the suspected offense or misdemeanor. Therefore, contrary to the majority’s assertion, *Casey* is controlling.

The accusatory instrument in this case was not a simplified traffic information with some unnecessary factual detail (see majority op at 51), but an insufficient misdemeanor information. The instrument did not allege evidentiary facts showing the basis for the arresting officer’s conclusion that the defendant knew, or had reason to know, that his license had been revoked, an element of the offense charged.<sup>3</sup> This is despite the fact that there was ample space (eight lines) to do so, and the arresting officer otherwise described the evidentiary facts in detail. Therefore, the accusatory instrument was insufficient and should have been dismissed as jurisdictionally defective (see generally *People v Dreyden*, 15 NY3d 100, 102-103 [2010]; *People v Jones*, 9 NY3d 259, 262 [2007]).

The majority concedes that Form 209-11 is “confusing,” and suggests in conclusion that “a simplified traffic information used in New York City *should* be titled ‘simplified traffic information’ and *should not* include any space for factual allegations” (majority op at 53 [emphases added]). But CPL 100.10 (2) (a) compels us to say “must” rather than “should.” Nothing but confusion will be engendered by the majority’s suggesting a better form, instead of simply requiring it. Defendants will be left to navigate a fog of obscurity concerning whether they are being charged by means of a simplified traffic information, misdemeanor complaint, or misdemeanor information. Prosecutors and police officers, meanwhile, are encouraged to believe that accusatory instruments that in any way resemble a simplified

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3. Since the defendant waived his right to be prosecuted by information, it must be evaluated as a misdemeanor complaint, as defendant argues.

traffic information need not comply with “reasonable cause” sufficiency standards. And courts are left to sort it out.

## II.

Although the arraignment court declined to rule on whether the accusatory instrument was a simplified traffic information, the Appellate Term affirmed the arraignment court’s judgment on the basis that the accusatory instrument was a simplified traffic information (31 Misc 3d 144[A], 2011 NY Slip Op 50932[U] [2011]). The Appellate Term therefore affirmed on a ground that the lower court had not decided adversely to the appealing party, which would at first blush appear to be a violation of *People v LaFontaine* (92 NY2d 470 [1998]). This would mean that we would have to reverse the Appellate Term’s order and remand to the Criminal Court. Although I believe that *LaFontaine* was wrongly decided (*see People v Ingram*, 18 NY3d 948, 949-951 [2012, Pigott, J., dissenting]), we are constrained by that decision, and we cannot be arbitrary in applying it. However, as the majority implicitly holds, *LaFontaine* is inapplicable here. This is because the alleged error would be a mode of proceedings error, and *LaFontaine* does not apply to these (*see People v Concepcion*, 17 NY3d 192, 199 [2011] [noting that there is no *LaFontaine* error when the issue decided by the intermediate appellate court is one that “does not need to be raised or preserved at trial in order to be reviewed on appeal”]).

For the reasons stated in part I of this opinion, I would reverse the order of the Appellate Term, and dismiss the accusatory instrument.

Judges CIPARICK, GRAFFEO, READ and JONES concur with Chief Judge LIPPMAN; Judge PIGOTT dissents and votes to reverse in a separate opinion in which Judge SMITH concurs.

Order affirmed.

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[980 NE2d 487, 956 NYS2d 439]

WHITEBOX CONCENTRATED CONVERTIBLE ARBITRAGE PARTNERS,  
L.P., et al., Appellants, v SUPERIOR WELL SERVICES, INC., Re-  
spondent.

Argued September 12, 2012; decided October 25, 2012

### SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 7, 2011. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Charles E. Ramos, J.), which had denied defendant's motion to dismiss the complaint, and (2) granted the motion.

*Whitebox Concentrated Convertible Arbitrage Partners, L.P. v Superior Well Servs., Inc.*, 86 AD3d 431, reversed.

### HEADNOTE

#### **Corporations — Transfer of Stock — Obligation of Corporation to Repurchase Stock Pursuant to Preferred Stock Agreement**

Defendant corporation was not entitled to the dismissal of plaintiff shareholders' complaint seeking a declaration that defendant must repurchase plaintiffs' shares of preferred stock because a "fundamental change" had occurred, as there was ambiguity in the interpretation and effect of the preferred stock agreement. Considering the language of the preferred stock agreement and construing the allegations in the light most favorable to plaintiffs, there was a reasonable basis to believe that plaintiffs might be able to establish that the fundamental change provision was activated. The relevant portion of the fundamental change provision provided that the preferred stockholders would be entitled to a certain amount per share if an entity acquired more than 50% of defendant's common stock, unless such acquisition was the result of a merger with another company and defendant remained "the surviving entity" after the "transaction." Pursuant to an "agreement and plan of merger" defendant had entered into with another company and that company's wholly-owned subsidiary, the subsidiary acquired over 92% of defendant's common stock; the subsidiary merged into defendant; defendant liquidated the remaining common stock; the subsidiary went out of existence; and the other company became the sole owner of defendant. Defendant did not establish, as a matter of law, that only two of the steps in the merger plan (the tender offer and the merger of the subsidiary into defendant) constituted the relevant "transaction" for purposes of "the surviving entity" language in the fundamental change provision. Defendant's theory was plausible, but so was plaintiffs' assertion that the other company also survived the merger—not just defendant—and should not be excluded from the "transaction" analysis.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Corporations §§ 2249, 2264.

NY JUR 2d, Business Relationships §§ 352, 1339.

#### ANNOTATION REFERENCE

See ALR Index under Corporate Stock and Stockholders.

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change

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#### POINTS OF COUNSEL

*Ross & Orenstein LLC*, Minneapolis, Minnesota (*John B. Orenstein* of counsel), and *Zeichner Ellman & Krause LLP*, New York City (*Yoav M. Griver, Michael E. Sims* and *Tracee E. Davis* of counsel), for appellants. Because the holders' reading of the certificate of designations is at least as reasonable as Superior Well Services, Inc.'s, the Appellate Division erred in reversing the denial of Superior's motion to dismiss. (*Leon v Martinez*, 84 NY2d 83; *ABN AMRO Bank, N.V. v MBIA Inc.*, 17 NY3d 208; *Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314; *Greenfield v Philles Records*, 98 NY2d 562; *Riverside S. Planning Corp. v CRP/Extell Riverside, L.P.*, 60 AD3d 61, 13 NY3d 398; *White v Continental Cas. Co.*, 9 NY3d 264; *State of New York v Home Indem. Co.*, 66 NY2d 669; *Cerand v Burstein*, 72 AD3d 1262; *JFE Steel Corp. v ICI Ams., Inc.*, 797 F Supp 2d 452; *Scaringi v Broome Realty Corp.*, 154 Misc 2d 786.)

*Simpson Thacher & Bartlett LLP*, New York City (*Bruce D. Angiolillo, Jonathan K. Youngwood* and *Summer Craig* of counsel), for respondent. I. The Appellate Division correctly held that under the unambiguous contractual language at issue, the transaction did not trigger a fundamental change. (*Riverside S. Planning Corp. v CRP/Extell Riverside, L.P.*, 60 AD3d 61; *Slamow v Del Col*, 79 NY2d 1016.) II. The Appellate Division correctly held that Nabors Industries Ltd. acquired Superior Well Services, Inc. through a single integrated transaction. (*805 Third Ave. Co. v M.W. Realty Assoc.*, 58 NY2d 447; *Meritt v Libby, McNeill & Libby*, 533 F2d 1310.)

#### OPINION OF THE COURT

GRAFFEO, J.

In this case we are asked to determine whether a corporation is entitled to the dismissal of a complaint that seeks to compel the repurchase of preferred stock. Considering the allegations



and documentary proof in the shareholders' favor, we conclude that dismissal is not warranted and that the complaint should be reinstated.

I

Plaintiffs own approximately 54,000 shares of a series of preferred stock issued by defendant Superior Well Services, Inc. Unlike Superior's common stock, the preferred stock carries no voting rights, but it does confer some special benefits. Among them is a requirement that Superior repurchase the preferred stock at a price of \$1,000 per share (plus accrued dividends) in the event that a "fundamental change" occurs.

The document that governs the rights and obligations of the parties sets forth five scenarios that qualify as a fundamental change, two of which are relevant in this case:

"(i) a 'person' or 'group' within the meaning of Section 13(d)(3) of the [Securities and] Exchange Act becomes the direct or indirect 'beneficial owner,' as defined in Rule 13d-3 under the Exchange Act, of shares of the Common Stock or other capital stock of the Corporation [i.e., Superior] representing more than 50% of the voting power of the Common Stock . . . ; provided that this clause . . . shall not apply to a transaction covered in clause (iii) below, including any exception thereto; or . . .

"(iii) the Corporation merges or consolidates with or into any other Person, or any Person merges with the Corporation, other than a merger, consolidation or other transaction in which . . . the Corporation is the surviving entity."

Stated more plainly, subdivision (i) provides that a fundamental change is established if a designated entity controls more than half of the voting power of Superior's common stock, unless that occurs via a transaction listed in subdivision (iii). Subdivision (iii), in turn, directs that a merger or consolidation of Superior with or into another company (or vice versa) constitutes a fundamental change, but not if Superior is "the surviving entity" following the merger, consolidation or transaction. Thus, in this case, the preferred stockholders would be entitled to \$1,000 per share if an entity acquired more than 50% of Superior's common stock, unless such acquisition was the result of a merger with another company and Superior remained the surviving entity after the transaction.

In 2010, Superior entered into an “agreement and plan of merger” with Nabors Industries Ltd. and its wholly-owned subsidiary, Diamond Acquisition Corp., which was created for the sole purpose of facilitating the acquisition of Superior. According to the agreement, Nabors would use Diamond to make a tender offer of approximately \$22 for each share of Superior’s common stock. Once Diamond acquired a majority of the common stock, it would merge with Superior and then cease to exist, thereby making Nabors the majority shareholder of Superior.

When plaintiffs became aware of the agreement, they invoked the fundamental change provision and demanded that Superior repurchase their preferred stock at \$1,000 per share. Superior refused to do so, claiming that the arrangement did not qualify as a fundamental change under the terms of the governing agreement. The plan was then executed: Diamond acquired over 92% of Superior’s common stock; it merged into Superior; Superior liquidated the remaining common stock; Diamond went out of existence; and Nabors became the sole owner of Superior.

Plaintiffs commenced this action seeking a declaration that Superior must repurchase their shares of preferred stock because a fundamental change took place. Based on the language of the fundamental change provision, Superior moved to dismiss under CPLR 3211 claiming that a repurchase was not required since Superior survived the merger. Plaintiffs responded that, at the very least, it was ambiguous whether the initial tender offer was covered under subdivision (i) of the fundamental change provision or whether subdivision (iii) was applicable since not one, but two, companies—Superior and Nabors—survived the merger.

Supreme Court denied Superior’s motion to dismiss, concluding that at the pleading stage of the case, the fundamental change provision was subject to different interpretations. The Appellate Division reversed and dismissed the complaint, viewing Diamond’s acquisition of the common stock and Superior’s subsequent merger with Diamond as a single transaction from which Superior emerged as the surviving entity, triggering the exception in subdivision (iii) of the fundamental change provision (86 AD3d 431 [1st Dept 2011]). We granted leave to appeal (17 NY3d 716 [2011]) and now reverse.

## II

Plaintiffs maintain that the Appellate Division should not have dismissed the complaint because there is a reasonable view

that the transaction at issue was a tender offer covered by subdivision (i) of the fundamental change clause, not a merger or consolidation within the meaning of subdivision (iii); that the various steps leading to the merger were separate transactions rather than a single, integrated plan; and that, even if subdivision (iii) applies, Superior was not the sole “surviving entity” because Nabors continued to exist. Superior contends that the language of the fundamental change provision unequivocally establishes that the company is not obligated to repurchase the preferred shares and, hence, it is entitled to dismissal of the complaint.

When a court rules on a CPLR 3211 motion to dismiss, it “must accept as true the facts as alleged in the complaint and submissions in opposition to the motion, accord plaintiffs the benefit of every possible favorable inference and determine only whether the facts as alleged fit within any cognizable legal theory” (*Sokoloff v Harriman Estates Dev. Corp.*, 96 NY2d 409, 414 [2001]). The motion may be granted if “documentary evidence utterly refutes [the] plaintiff’s factual allegations” (*Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314, 326 [2002]), thereby “conclusively establishing a defense as a matter of law” (*id.*, citing *Leon v Martinez*, 84 NY2d 83, 88 [1994]). One example of such proof is an unambiguous contract that indisputably undermines the asserted causes of action (*see generally Greenfield v Philles Records*, 98 NY2d 562, 569-570 [2002]).

In our view, Superior has failed to establish entitlement to dismissal of the complaint. Considering the language of the preferred stock agreement and construing the allegations in the light most favorable to plaintiffs, there is a reasonable basis to believe that plaintiffs may be able to establish that the fundamental change clause was activated. With regard to subdivision (i) of the provision, it is undisputed that Diamond acquired more than 50% of Superior’s common stock. Standing alone, this would certainly constitute a fundamental change unless the exception described in subdivision (iii) applies. Because the use of the term “transaction” is not defined in the preferred stock agreement, the precise meaning that the parties intended to ascribe to that terminology cannot be clearly discerned at this early point in the litigation. It could reasonably refer to (1) only the tender offer that Diamond used to secure majority control of Superior; (2) the offer and the merger of Diamond into Superior; or (3) the offer, the merger and the dissolution of Diamond. The distinction is meaningful because if the offer

itself is viewed as the relevant transaction, it would not be deemed a merger or consolidation subject to subdivision (iii), meaning that a fundamental change occurred under subdivision (i) and Superior must repurchase plaintiffs' preferred stock at the agreed contract price.

Even if the entire series of steps that culminated in Nabors ownership of Superior can be considered a single, integrated transaction, plaintiffs reasonably contend that a fundamental change occurred under subdivision (iii) since Superior may not have been "the surviving entity" of the merger. Use of the word "the" tends to suggest that Superior must be the only corporate entity that remains after a merger, yet Nabors survived as well. Superior did not establish, as a matter of law, that only two of the steps in the merger plan (the tender offer and the merger of Diamond into Superior) constituted the relevant "transaction" for purposes of "the surviving entity" language in subdivision (iii). Superior's theory is plausible, but so is plaintiffs' assertion that Nabors should not be excluded from the "transaction" analysis. Consequently, the Appellate Division erred when it adopted Superior's view in the context of a CPLR 3211 motion to dismiss.

We therefore conclude that, under the facts presented, there is ambiguity in the interpretation and effect of the preferred stock agreement and, as such, Superior is not entitled to dismissal of plaintiffs' complaint.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the complaint reinstated.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, FIGOTT and JONES concur.

Order reversed, etc.

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[980 NE2d 504, 956 NYS2d 456]

BENTORIA HOLDINGS, INC., Respondent, v TRAVELERS INDEMNITY  
COMPANY, Appellant, et al., Defendants.

Argued September 6, 2012; decided October 25, 2012

### SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered May 24, 2011. The Appellate Division affirmed so much of an order of the Supreme Court, Kings County (David B. Vaughan, J.), as had denied that branch of the motion by defendant Travelers Indemnity Company which was for summary judgment dismissing the complaint insofar as asserted against it and had, in effect, denied an alternate branch of its motion which was to sever the action insofar as asserted against it. The following question was certified by the Appellate Division: “Was the decision and order of this Court dated May 24, 2011, properly made?”

*Bentoria Holdings, Inc. v Travelers Indem. Co.*, 84 AD3d 1135, reversed.

### HEADNOTE

#### Insurance — Exclusions — Earth Movement Exclusion

Plaintiff was not entitled to recover under an insurance policy, issued by defendant, for cracks plaintiff's building sustained as a result of an excavation conducted on a neighboring lot, as the policy's “earth movement” exclusion was expressly made applicable to “man made” movement. *Pioneer Tower Owners Assn. v State Farm Fire & Cas. Co.* (12 NY3d 302 [2009]) held that an “earth movement” exclusion in an insurance policy did not unambiguously apply to excavation, but that policy did not contain language regarding “man made” movement. By expressly excluding earth movement “due to man made or artificial causes” here, the policy contradicted the idea that the intentional removal of earth by humans was not an excluded event. Accordingly, the policy could not reasonably be read to cover the damage on which plaintiff's claim was based.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Insurance §§ 520, 526, 712, 2049.

COUCH ON INSURANCE (3d ed) §§ 153:65, 153:66, 153:71.

NY JUR 2d, Insurance §§ 1665, 1693, 1701.

### ANNOTATION REFERENCE

Property insurance: construction and effect of provision

excluding loss caused by earth movement or earthquake. 44 ALR3d 1316.

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**POINTS OF COUNSEL**

*Lazare Potter & Giacobas LLP*, New York City (*Stephen M. Lazare* and *Yale Glazer* of counsel), for appellant. I. The earth movement exclusion bars coverage for Bentoria Holdings, Inc.'s claim. (*Pioneer Tower Owners Assn. v State Farm Fire & Cas. Co.*, 12 NY3d 302; *Sanabria v American Home Assur. Co.*, 68 NY2d 866; *State of New York v Home Indem. Co.*, 66 NY2d 669; *United States Fid. & Guar. Co. v Annunziata*, 67 NY2d 229; *Commissioners of State Ins. Fund v Insurance Co. of N. Am.*, 80 NY2d 992; *Government Empls. Ins. Co. v Kligler*, 42 NY2d 863; *Bethlehem Steel Co. v Turner Constr. Co.*, 2 NY2d 456; *Broad St., LLC v Gulf Ins. Co.*, 37 AD3d 126; *Red Ball Interior Demolition Corp. v Palmadessa*, 173 F3d 481; *Alamia v Nationwide Mut. Fire Ins. Co.*, 495 F Supp 2d 362.) II. Alternatively, the coverage claims should be severed. (*Kelly v Yannotti*, 4 NY2d 603; *Burlington Ins. Co. v Guma Constr. Corp.*, 66 AD3d 622; *Christensen v Weeks*, 15 AD3d 330; *Emmetsberger v Mitchell*, 7 AD3d 483; *Tilcon N.Y. v Transcontinental Ins. Co.*, 261 AD2d 608; *Krieger v Insurance Co. of N. Am.*, 66 AD2d 1025.)

*John V. Decolater*, Garden City, and *Lerner Arnold & Winston, LLP* (*Jonathan J. Lerner* of counsel), for respondent. I. The Appellate Division properly affirmed the denial of Travelers Indemnity Company's motion for summary judgment and a declaration of no coverage. (*Pioneer Tower Owners Assn. v State Farm Fire & Cas. Co.*, 12 NY3d 302; *White v Continental Cas. Co.*, 9 NY3d 264; *Vigilant Ins. Co. v Bear Stearns Cos., Inc.*, 10 NY3d 170; *Antoine v City of New York*, 56 AD3d 583; *Primavera v Rose & Kiernan*, 248 AD2d 842; *Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351; *Lee v State Farm Fire & Cas. Co.*, 32 AD3d 902; *Pepsico, Inc. v Winterthur Intl. Am. Ins. Co.*, 13 AD3d 599; *Matter of Mostow v State Farm Ins. Cos.*, 88 NY2d 321.) II. The Appellate Division properly affirmed the denial of Travelers Indemnity Company's motion to sever the insurance coverage claims. (*Anderson v Singh*, 305 AD2d 620; *Finning v Niagara Mohawk Power Corp.*, 281 AD2d 844; *Kelly v Yannotti*, 4 NY2d 603; *Colins v Telcoa Intl. Corp.*, 283 AD2d 128.)



*Robinson & Cole LLP*, New York City (*Gerald P. Dwyer, Jr.*, and *Wystan M. Ackerman* of counsel), for American Insurance Association and others, amici curiae. I. This Court should enforce the earth movement exclusion as written. (*Alamia v Nationwide Mut. Fire Ins. Co.*, 495 F Supp 2d 362; *Buckner v Motor Veh. Acc. Indem. Corp.*, 66 NY2d 211; *Barash v Insurance Co. of N. Am.*, 114 Misc 2d 325; *Bailey v Hartford Fire Ins. Co.*, 565 F2d 826; *Holy Angels Academy v Hartford Ins. Group*, 127 Misc 2d 1024; *Kula v State Farm Fire & Cas. Co.*, 212 AD2d 16; *Cali v Merrimack Mut. Fire Ins. Co.*, 43 AD3d 415; *Pioneer Tower Owners Assn. v State Farm Fire & Cas. Co.*, 12 NY3d 302; *Lee v State Farm Fire & Cas. Co.*, 32 AD3d 902; *Brice v State Farm Fire & Cas. Co.*, 761 F Supp 2d 96.) II. Contract certainty is essential to a viable insurance market. (*Gregory v Tennessee Gas Pipeline Co.*, 948 F2d 203; *Transcontinental Ins. Co. v Edwards*, 139 F3d 1185.)

#### OPINION OF THE COURT

SMITH, J.

In *Pioneer Tower Owners Assn. v State Farm Fire & Cas. Co.* (12 NY3d 302 [2009]), we held that an “earth movement” exclusion in an insurance policy did not unambiguously apply to excavation. We now confront a policy in which a similar exclusion is expressly made applicable to “man made” movement of earth. We hold that this added language eliminates the ambiguity, and that loss caused by excavation is excluded from the policy.

Travelers Indemnity Company issued to plaintiff an insurance policy covering “direct physical loss of or damage to” a building in Brooklyn. Under the heading “EXCLUSIONS,” the policy said:

“1. We will not pay for loss or damage caused directly or indirectly by any of the following. . . .

“b. Earth Movement . . .

“(4) Earth sinking (other than sinkhole collapse), rising or shifting including soil conditions which cause settling, cracking or other disarrangement of foundations or other parts of realty. Soil conditions include contraction, expansion, freezing, thawing, erosion, improperly compacted soil and the action of water under the ground surface;

“all whether naturally occurring or due to man made or other artificial causes.”

The building suffered cracks as a result of an excavation being conducted on the lot next door to it. Plaintiff submitted a claim, which Travelers rejected, relying on the earth movement exclusion. Plaintiff sued for breach of the policy. Supreme Court denied Travelers' motion for summary judgment; the Appellate Division affirmed (*Bentoria Holdings, Inc. v Travelers Indem. Co.*, 84 AD3d 1135 [2d Dept 2011]), but granted leave to appeal to this Court (2011 NY Slip Op 87261[U] [2011]). We now reverse.

*Pioneer* was in most respects virtually identical to this case. The defendant there insured a building against "accidental direct physical loss" (12 NY3d at 305); the building suffered cracks and other damage as a result of an excavation on an adjoining lot. The defendant refused to pay, relying on an earth movement exclusion very similar to the one quoted above, with the distinction that the last words of the earth movement exclusion here—"all whether naturally occurring or due to man made or other artificial causes"—were absent in *Pioneer*.

The plaintiff in *Pioneer* argued that the policy did not clearly exclude "an excavation—the intentional removal of earth by humans" (*id.* at 308). We found that argument to be "reasonable" (*id.*), and therefore held that the earth movement exclusion "did not unambiguously remove" excavation damage from the coverage of the policy (*id.* at 305). But the same argument is not available to plaintiff here. By expressly excluding earth movement "due to man made or other artificial causes," the policy contradicts the idea that "the intentional removal of earth by humans" is not an excluded event. This policy cannot reasonably be read to cover the damage on which plaintiff's claim is based.

Accordingly, the order of the Appellate Division should be reversed, with costs, the motion of Travelers Indemnity Company for summary judgment dismissing the complaint as against it granted, and the certified question answered in the negative.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, PIGOTT and JONES concur.

Order reversed, etc.

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[980 NE2d 501, 956 NYS2d 453]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LONNIE  
R. MECKWOOD, Appellant.

Argued September 13, 2012; decided October 25, 2012

### SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 28, 2011. The Appellate Division affirmed a judgment of the Broome County Court (Martin E. Smith, J.), which had convicted defendant, upon his plea of guilty, of attempted robbery in the first degree, and sentenced defendant as a second violent felony offender to eight years' incarceration with five years of postrelease supervision.

*People v Meckwood*, 86 AD3d 865, affirmed.

### HEADNOTES

#### **Crimes — Sentence — Second Violent Felony Offender — Lack of Youthful Offender Status for Predicate Foreign Conviction**

1. Defendant was properly adjudicated as a second violent felony offender, predicated upon a prior foreign burglary conviction that occurred when he was 18 years old, notwithstanding that had he committed the crime in New York, he would have been eligible for consideration as a youthful offender, and, if so adjudicated, it could not have been used as a predicate conviction. A prior adjudication as a youthful offender—whether it occurred in New York or another jurisdiction—cannot serve as the basis for multiple offender sentencing provided the foreign youthful offender adjudication is similar to and consistent with New York's youthful offender treatment. However, youthful offender status cannot be retroactively assigned to underlying convictions of foreign jurisdictions even though, had the crimes been committed in New York, such consideration could have been granted. Mere speculation that defendant might have been accorded youthful offender treatment had the predicate offense been committed in New York cannot preclude the use of such a conviction as a predicate felony where such treatment was not and could not have been accorded by the jurisdiction in which the crime was actually committed. Accordingly, the sentencing court properly assigned the same status to the underlying conviction as did the foreign jurisdiction in which the conviction had been entered.

#### **Crimes — Sentence — Second Violent Felony Offender — Tolling Provision — Exclusion of Period of Incarceration Not Denial of Equal Protection**

2. Penal Law § 70.04 (1) (b) (v), which excludes all periods of incarceration from the 10-year enhanced sentencing look-back period between sentencing for the prior felony and commission of the present felony, does not violate the Equal Protection Clause on the ground that repeat offenders with lengthy sentences may receive harsher punishments than repeat offenders with lesser

sentences or no periods of incarceration. While the tolling provision, as applied to persons with differing years of incarceration, may result in disparate punishment, there is no equal protection violation under the New York State Constitution, which does not mandate absolute equality of treatment but merely prescribes that, absent a fundamental interest or suspect classification, a legislative classification be rationally related to a legitimate state purpose. Given the absence of a suspect class or a fundamental right at issue, the statutory provision need only be supported by some rational basis to survive constitutional scrutiny. Inasmuch as recidivism evidences a lack of rehabilitation and a greater danger to society, it was not irrational for the Legislature to omit periods of incarceration from the 10-year look-back period. Rather, it was rational to omit periods of incarceration from the look-back period because society has an interest in treating differently individuals who demonstrate good behavior during the time in which they are released and living in society from those who cannot.

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#### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Habitual Criminals and Subsequent Offenders  
§§ 11, 14, 19–21, 42.

CARMODY-WAIT 2d, Sentencing Procedures §§ 203:140,  
203:142, 203:143.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 26.6.

McKINNEY'S, Penal Law § 70.04 (1) (b) (v).

NY JUR 2d, Constitutional Law §§ 398, 420; NY JUR 2d,  
Criminal Law: Procedure §§ 3274, 3282, 3284, 3646.

#### ANNOTATION REFERENCE

See ALR Index under Habitual Criminals and Subsequent Offenders; Juvenile Courts and Delinquent Children; Sentence and Punishment.

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#### POINTS OF COUNSEL

*Fitzsimons, Mack & Mills, P.C.*, Valatie (*Brent R. Stack* of counsel), for appellant. I. The Third Department's affirmation of the sentencing court's adjudication of appellant as a second violent felony offender was erroneous because it is in direct conflict with this Court's ruling in *People v Carpenteur* (21 NY2d 571 [1968]). II. The Third Department's affirmation of the sentencing court's adjudication of appellant as a second violent felony offender was erroneous because it was based upon a litany of erroneous case law originating in the Third Department.

(*People v Treadwell*, 80 AD2d 697; *People v Coolbaugh*, 259 AD2d 781; *People v Arroyo*, 179 AD2d 393, 79 NY2d 997; *People v Hamilton*, 104 AD2d 1048; *People v Carpenteur*, 21 NY2d 571; *People v Kuey*, 83 NY2d 278.) III. Section 70.04 (1) (b) of the Penal Law is unconstitutional because it provides for and requires application of New York law to foreign convictions to establish the elements of a felony conviction, but does not provide for or require application of the New York youthful offender statute, which could have, and in this case did have, significant repercussions. IV. The People's statement as to predicate violent felony conviction was defective for failure to comply with section 400.15 (2) of the Criminal Procedure Law. V. Section 70.04 (1) (b) (v) of the Penal Law violates the Equal Protection Clause of the New York State Constitution and is therefore unconstitutional.

*Gerald F. Mollen, District Attorney, Binghamton (Joann Rose Parry of counsel)*, for respondent. I. Defendant was properly adjudicated as a second violent felony offender. (*People v Carpenteur*, 21 NY2d 571; *People v Muniz*, 74 NY2d 464; *People v Gonzalez*, 61 NY2d 586; *People v Kuey*, 83 NY2d 278; *People v Treadwell*, 80 AD2d 697; *People v Coolbaugh*, 259 AD2d 781; *People v Hamilton*, 104 AD2d 1048; *People v Ross*, 7 NY3d 905; *People v Ochs*, 16 AD3d 971; *People v McDowell*, 56 AD3d 955.) II. The second violent felony offender statute is constitutional. (*People v Pacheco*, 53 NY2d 663; *People v Walker*, 81 NY2d 661; *People v Shannon*, 89 NY2d 1000; *People v Drayton*, 39 NY2d 580; *People v Carpenteur*, 21 NY2d 571; *People v Muniz*, 74 NY2d 464; *People v Tatta*, 196 AD2d 328; *People v Orr*, 57 AD2d 578.)

#### OPINION OF THE COURT

JONES, J.

Defendant contests his second violent felony offender adjudication, predicated upon a prior foreign conviction that occurred when he was 18 years old, contending that, because he could have been accorded youthful offender status had he committed that crime in New York, he is entitled to such status for the purpose of enhanced sentencing. He also raises whether Penal Law § 70.04 (1) (b) (v)'s tolling provision violates the Equal Protection Clause of the New York State Constitution. These arguments are contrary to our enhanced sentencing jurisprudence.

In March 2010, defendant was convicted, upon a plea of guilty, of attempted robbery in the first degree. Thereafter, he was

adjudicated a second violent felony offender, based upon his 1999 Pennsylvania conviction for first degree burglary. At the time of the 1999 conviction, defendant, then 18 years old, was not entitled to youthful offender status pursuant to Pennsylvania laws.

In July 2010, prior to sentencing, defendant objected to the use of his prior burglary conviction in Pennsylvania as a predicate violent felony. He argued that, had he committed the crime in New York, he would have been eligible for consideration as a youthful offender; and, if so adjudicated, it could not be used as a predicate conviction. He also argued that Penal Law § 70.04 (1) (b) (v), the provision that tolls the 10-year look-back period while a person is incarcerated, violates the Equal Protection Clause of the New York State Constitution.

County Court rejected defendant's arguments and adjudicated him a second violent felony offender. The Appellate Division affirmed (86 AD3d 865 [3d Dept 2011]). A Judge of this Court granted defendant leave to appeal (17 NY3d 954 [2011]), and we now affirm.

Pursuant to Penal Law § 70.04, a person may receive an enhanced sentence as a second violent felony offender where the prior conviction occurred in a foreign jurisdiction and the underlying offense has all of the essential elements of a violent felony if it had occurred in New York. It is well settled that foreign convictions have the "same force and effect in New York that [they] would have where entered" when assessing whether a defendant is subject to multiple offender status (*People v Kuey*, 83 NY2d 278, 284 [1994]).

[1] In New York, a prior adjudication as a youthful offender—whether it occurred in New York or another jurisdiction—cannot serve as the basis for multiple offender sentencing provided the foreign youthful offender adjudication is similar to and consistent with New York's youthful offender treatment (*see People v Carpenteur*, 21 NY2d 571 [1968]; *cf. Kuey*, 83 NY2d 278). New York courts, however, have declined to retroactively assign youthful offender status to underlying convictions of foreign jurisdictions even though, had the crimes been committed in New York, such consideration could have been granted (*see People v Arroyo*, 179 AD2d 393, 394 [1st Dept 1992]; *People v Coolbaugh*, 259 AD2d 781, 782 [3d Dept 1999]). In *People v Treadwell*, the Appellate Division accurately observed, "mere speculation that defendant might have been accorded youthful



offender treatment had the offense been committed in New York, where such treatment was not and could not have been accorded by the jurisdiction in which the crime was actually committed, cannot preclude the use of such a conviction as a predicate felony” (80 AD2d 697, 698 [3d Dept 1981]).

Here, defendant did not receive youthful offender treatment for the underlying offense at issue. Defendant is not now entitled to a retroactive application of youthful offender status to a foreign felony conviction. Instead, County Court properly assigned the same status to the underlying conviction as did the foreign jurisdiction in which the conviction had been entered.

[2] Penal Law § 70.04 (1) (b) (iv) and (v) prohibits enhanced sentencing where more than 10 years have passed between sentencing for the prior felony and commission of the present felony, excluding all periods of incarceration during such time period. Defendant argues that this provision violates the Equal Protection Clause because repeat offenders with lengthy sentences may receive harsher punishments than repeat offenders with lesser sentences or no periods of incarceration. While the tolling provision, as applied to persons with differing years of incarceration, may result in disparate punishment, there is no equal protection violation under our Constitution.

“The equal protection clause does not mandate absolute equality of treatment but merely prescribes that, absent a fundamental interest or suspect classification, a legislative classification be rationally related to a legitimate State purpose” (*People v Parker*, 41 NY2d 21, 25 [1976]). Thus, given the absence of a suspect class or a fundamental right at issue, this statutory provision “need only be supported by some rational basis to survive constitutional scrutiny” (*People v Walker*, 81 NY2d 661, 668 [1993]).

As the *Walker* Court explained, enhanced sentencing statutes punish a defendant “more for the second felony . . . because recidivism evidences a lack of rehabilitation and a greater danger to society” (*id.* at 667 [emphasis omitted]). Section 70.04 of the Penal Law furthers that legitimate interest. Moreover, it was not irrational for the Legislature, in section 70.04 (1) (b) (v), to omit periods of incarceration from the 10-year look-back period, in order to assess whether a prior violent felon has abstained from a repeat offense within a 10-year period. As the Court has previously observed, “New York has a legitimate interest in upholding the State’s Penal Law, and in furtherance of this

interest it was not irrational for the Legislature to punish those who repeatedly violate New York's criminal laws more harshly than those who have violated our laws but once" (*id.* at 668 [emphasis omitted]). Indeed, it is rational to omit periods of incarceration from the look-back period because society has an interest in treating differently individuals who demonstrate good behavior during the time in which they are released and living in society from those who cannot.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order affirmed.

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[979 NE2d 1173, 955 NYS2d 846]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v LUIS ALVAREZ, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v WILLIAM GEORGE, Appellant.

Argued September 7, 2012; decided October 30, 2012

### SUMMARY

APPEAL, in the first above-entitled action, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 28, 2010. The Appellate Division modified, on the law, on the facts, and as a matter of discretion in the interest of justice, a judgment of the Supreme Court, Queens County (Michael Aloise, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree (two counts), criminal possession of a weapon in the third degree (two counts), and criminal possession of a weapon in the fourth degree (two counts). The modification consisted of (1) vacating the convictions of criminal possession of a weapon in the fourth degree, vacating the sentences imposed thereupon, and dismissing those counts of the indictment, and (2) vacating the sentences imposed on the convictions of criminal possession of a weapon in the second degree. The Appellate Division affirmed the judgment as modified and remitted the matter to Supreme Court for resentencing on the convictions for criminal possession of a weapon in the second degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 28, 2010. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Joel M. Goldberg, J.), which had convicted defendant, upon a jury verdict, of robbery in the first degree and robbery in the second degree.

*People v Alvarez*, 76 AD3d 1098, reversed.

*People v George*, 79 AD3d 1148, affirmed.

### HEADNOTES

#### Crimes — Appeal — Preservation of Issue for Review — Deprivation of Right to Public Trial

1. Defendant was entitled to a new trial on weapons charges when family members were improperly excluded from the courtroom during a portion of

voir dire and defendant adequately raised a public trial objection. The right to a public trial has long been regarded as a fundamental privilege of the defendant in a criminal prosecution and extends to the voir dire portion of the trial. Proceedings may nonetheless be closed when necessary, but the party seeking closure must advance an overriding interest that is likely to be prejudiced, the closure must be no broader than necessary to protect that interest, the trial court must consider reasonable alternatives to closing the proceeding, and must make findings adequate to support the closure. While the trial court's practice, perhaps based on the size of the courtroom involved, was to exclude spectators during jury selection, it was apparent that the judge failed to consider any alternatives to closure. Errors of constitutional dimension, including the right to a public trial, must be preserved, and the protest raised by defense counsel, both immediately after the violation and as soon as he realized that an error had occurred, was sufficient to preserve the public trial issue.

**Crimes — Appeal — Preservation of Issue for Review — Deprivation of Right to Public Trial**

2. Defendant was not entitled to a new trial on larceny and robbery charges, notwithstanding the improper exclusion of family members from the courtroom during a portion of voir dire, since defendant failed to preserve a public trial claim by raising an objection. The right to a public trial has long been regarded as a fundamental privilege of the defendant in a criminal prosecution and extends to the voir dire portion of the trial. Proceedings may nonetheless be closed when necessary, but the party seeking closure must advance an overriding interest that is likely to be prejudiced, the closure must be no broader than necessary to protect that interest, the trial court must consider reasonable alternatives to closing the proceeding, and must make findings adequate to support the closure. While the trial court's practice, perhaps based on the size of the courtroom involved, was to exclude spectators during jury selection, it was apparent that the judge failed to consider any alternatives to closure. Errors of constitutional dimension, including the right to a public trial, must be preserved, and since defendant raised no objection to the exclusion of family members from voir dire, his claim was clearly unpreserved.

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

- AM JUR 2d, Appellate Review §§ 575, 618, 619, 651; AM JUR 2d, Criminal Law §§ 967, 969, 971.  
CARMODY-WAIT 2d, Conduct of Trial, in General §§ 190:67, 190:68, 190:76, 190:78, 190:79, 190:89; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:18, 207:19, 207:45.  
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.1, 27.5.  
NY JUR 2d, Criminal Law: Procedure §§ 2468, 2471, 2476, 3454–3456, 3459.

**ANNOTATION REFERENCE**

Exclusion of public and media from voir dire examination of prospective jurors in state criminal case. 16 ALR5th 152.

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**POINTS OF COUNSEL**

*Appellate Advocates*, New York City (*Kendra L. Hutchinson* and *Lynn W.L. Fahey* of counsel), for appellant in the first above-entitled action. Appellant was denied his Sixth Amendment right to a public trial when the court, pursuant to its blanket policy in every criminal trial, secretly ejected his parents from the courtroom due to purportedly insufficient seating without informing the parties, considering reasonable alternatives to closure, or even engaging at all in the *Waller v Georgia* (467 US 39 [1984]) analysis. (*People v Martin*, 16 NY3d 607; *People v Colon*, 71 NY2d 410; *In re Oliver*, 333 US 257; *People v Jones*, 47 NY2d 409; *People v Kin Kan*, 78 NY2d 54; *People v Peterson*, 186 AD2d 231, 81 NY2d 824; *People v De Jesus*, 42 NY2d 519; *Levine v United States*, 362 US 610; *Press-Enterprise Co. v Superior Court of Cal., Riverside Cty.*, 464 US 501; *People v Ramos*, 90 NY2d 490.)

*Richard A. Brown*, District Attorney, Kew Gardens (*Danielle Hartman* and *John M. Castellano* of counsel), for respondent in the first above-entitled action. Because defendant did not raise his public trial claim until after his parents were readmitted to the courtroom, he failed to preserve his contention for review and failed to comply with Supreme Court precedent requiring that he invoke his right to a public trial. Further, defendant's statement in open court indicating that he had no desire for his family to be present in the courtroom during jury selection constituted a waiver of his claim and rendered the closure trivial as to him. (*People v Gray*, 86 NY2d 10; *People v Jackson*, 196 NY 357; *People v Garcia*, 95 NY2d 946; *People v Nieves*, 90 NY2d 426; *People v Miller*, 257 NY 54; *People v Martin*, 50 NY2d 1029; *People v Michael*, 48 NY2d 1; *People v Kelly*, 5 NY3d 116; *People v Martin*, 16 NY3d 607; *Gibbons v Savage*, 555 F3d 112.)

*Appellate Advocates*, New York City (*Denise A. Corsi* and *Lynn W.L. Fahey* of counsel), for appellant in the second above-entitled action. Appellant's Sixth Amendment right to a public trial was violated when the court closed the courtroom during jury selection for insufficient reasons and without considering alternatives to closure. (*Waller v Georgia*, 467 US 39; *People v Martin*, 16 NY3d 607; *People v Hinton*, 31 NY2d 71; *In re Oliver*, 333

US 257; *People v Colon*, 71 NY2d 410; *People v Jones*, 47 NY2d 409; *Press-Enterprise Co. v Superior Court of Cal., Riverside Cty.*, 464 US 501; *People v Kin Kan*, 78 NY2d 54; *Gibbons v Savage*, 555 F3d 112; *People v Clemons*, 78 NY2d 48.)

*Charles J. Hynes, District Attorney, Brooklyn (Sholom J. Twersky, Leonard Joblove and Victor Barall of counsel)*, for respondent in the second above-entitled action. Defendant failed to preserve his claim that he was deprived of his right to a public trial. In any event, the trial court's temporary exclusion of defendant's mother and other spectators from a limited portion of the initial stage of voir dire was of a de minimis nature, and thus, does not warrant reversal of his conviction. (*People v Nieves*, 2 NY3d 310; *People v Martin*, 16 NY3d 607; *Waller v Georgia*, 467 US 39; *People v Miller*, 257 NY 54; *People v Vargas*, 236 AD2d 258; *People v Rivera*, 162 AD2d 728; *People v Scott*, 134 AD2d 379; *People v Garcia*, 95 NY2d 946; *People v Nieves*, 90 NY2d 426; *United States v Hitt*, 473 F3d 146.)

#### OPINION OF THE COURT

Chief Judge LIPPMAN.

The question presented by these appeals is whether a defendant must preserve the argument that he was deprived of the right to a public trial when his family members were excluded from the courtroom during a portion of voir dire. Because we find that preservation is required, we must affirm in *George*. However, since the issue was adequately preserved in *Alvarez*, we reverse and remit the matter to Supreme Court for a new trial.

#### *People v Alvarez*

Alvarez was charged with two counts each of criminal possession of a weapon in the second, third and fourth degrees. Prior to trial, the parties discussed the possibility of defendant pleading guilty but, after discussing the offer with his mother, defendant elected to proceed to trial. The court brought in potential jurors and the parties conducted voir dire. Five jurors were selected from the first prospective venire. Another panel of 14 prospective jurors was then asked preliminary questions by the court concerning their prior experiences as jurors.

Upon returning from the lunch recess, defense counsel notified the court that, although it had escaped his notice, defendant advised him that his parents had not been present for the morning's jury selection proceedings. Although defendant's



parents were present at that time, counsel moved for a mistrial based on the earlier denial of the right to a public trial. The court denied the motion, observing that the courtroom had been filled by prospective jurors and that in “every trial we ask the family to step out and as soon as seats are available, they are [the] first ones offered seats.”

The jury ultimately convicted defendant as charged. The Appellate Division modified by vacating the convictions for criminal possession of a weapon in the fourth degree and remitting for resentencing, and otherwise affirmed (76 AD3d 1098 [2d Dept 2010]). The Court rejected defendant’s argument that he had been deprived of a public trial as unpreserved and, in any event, without merit. A Judge of this Court granted defendant leave to appeal (16 NY3d 827 [2011]) and we now reverse.

*People v George*

Defendant was charged with robbery in the first, second and third degrees, as well as petit larceny. Prior to jury selection, the court noted that

“the defendant has some people in the courtroom and they are certainly entitled to be here. The only thing I would ask, when we have potential jurors come in, there will not be enough seats for everybody. Within five minutes, I’ll excuse people and in order to not have spectators and jurors sitting together I’ll have the spectators leave.”

Defense counsel made no protest, but instead thanked the judge, and the parties continued with the proceedings. The court brought in a panel of prospective jurors, gave them preliminary instructions and excused a number of individuals who indicated that they were unable to be fair and impartial. After 18 prospective jurors were placed in the box for additional questioning, the court asked the remaining prospective jurors to move forward, freeing the last row for the public. The court then requested that, when a court officer became available, any spectators be notified that they could enter the courtroom.

After trial, defendant was convicted of robbery in the first and second degrees. The Appellate Division affirmed, finding defendant’s argument that his right to a public trial had been violated unpreserved and, in any event, without merit (79 AD3d 1148 [2d Dept 2010]). A Judge of this Court granted defendant leave to appeal (16 NY3d 827 [2011]) and we now affirm.

Discussion

The right to a public trial “has long been regarded as a fundamental privilege of the defendant in a criminal prosecution and extends to the voir dire portion of the trial” (*People v Martin*, 16 NY3d 607, 611 [2011] [internal quotation marks and citations omitted]). Proceedings may nonetheless be closed when necessary, but the party seeking closure “‘must advance an overriding interest that is likely to be prejudiced, the closure must be no broader than necessary to protect that interest, the trial court must consider reasonable alternatives to closing the proceeding, and . . . must make findings adequate to support the closure’ ” (*Martin*, 16 NY3d at 611, quoting *Waller v Georgia*, 467 US 39, 48 [1984]).

In *Martin*, the defendant’s father was excluded from the courtroom during voir dire because the court maintained that it needed every seat for prospective jurors and because the court did not want the father communicating with any members of the jury pool. Despite the defendant’s objection on public trial grounds, the court closed the proceeding without considering any alternatives (*see Martin*, 16 NY3d at 610). We observed that neither of the concerns advanced by the trial court, “without more,” amounted to “an overriding interest . . . likely to be prejudiced,” but determined that “the trial court’s failure to consider any alternate accommodations violated defendant’s right to an open trial, regardless of the reasons for closure” (*Martin*, 16 NY3d at 611, 612). The obligation rests with the court to consider alternatives, even where the parties themselves do not offer any (*see Martin*, 16 NY3d at 612).

Our holding rested on *Presley v Georgia* (558 US 209, 213-214 [2010]), in which the United States Supreme Court made clear that a defendant’s right to a public trial under the Sixth Amendment includes the voir dire of prospective jurors. The Court observed that it had previously recognized that the First Amendment gave the public a right to be present at the voir dire stage of a trial in *Press-Enterprise Co. v Superior Court of Cal., Riverside Cty.* (464 US 501, 510 [1984]) and saw no basis for according a defendant any lesser protections under the Sixth Amendment (*see Presley*, 558 US at 213-214). The Court also held that “trial courts are required to consider alternatives to closure even when they are not offered by the parties,” observing that “‘[t]he process of juror selection is itself a matter of importance, not simply to the adversaries but to the criminal

justice system' '' (*Presley*, 558 US at 214, quoting *Press-Enterprise Co.*, 464 US at 505).

It is apparent that neither trial judge in the present cases considered any alternatives to closure. Rather, it seems to have been common practice, perhaps based on the size of the courtrooms involved, to exclude spectators during jury selection. However, our inquiry does not end there. Defendants maintain that *Presley* obviated any requirement that they raise a public trial objection. Although *Presley* clearly holds that the trial court has the obligation to consider alternatives to closure, it did not address whether a defendant must preserve his or her objection on public trial grounds. Indeed, defense counsel in that case “objected to the exclusion of the public from the courtroom . . . [and] requested some accommodation” (*Presley*, 558 US at 210 [internal quotation marks omitted]), thereby bringing the issue to the trial court’s attention. We decline to eliminate the preservation requirement on the basis of *Presley*. That case did not decide the issue.

The argument that a public trial violation is a mode of proceedings error likewise lacks merit. We have consistently required that errors of constitutional dimension—including the right to a public trial—must be preserved (see e.g. *People v Garcia*, 95 NY2d 946, 947 [2000]; *People v Nieves*, 90 NY2d 426, 431 n [1997]). As *Presley* does not compel any change in this respect, preservation of public trial claims is still required. Bringing a public trial violation to a judge’s attention in the first instance will ensure the timely opportunity to correct such errors.

[1, 2] Since George raised no objection, his claim is clearly unpreserved. By contrast, the protest raised by defense counsel in *Alvarez*, both immediately after the violation and as soon as he realized that an error had occurred, was sufficient to preserve the public trial issue. Notably, the court did not take issue with the credibility of counsel’s representation that he had only just learned that defendant’s parents had been excluded from the courtroom; nor was there any indication that counsel was attempting to engage in some type of artifice. In these circumstances, where only five jurors had been selected, the appropriate remedy would have been to grant the request for a mistrial and start jury selection anew.

We have considered the People’s remaining arguments in *Alvarez* and find them to be without merit.

Accordingly, in *Alvarez*, the order of the Appellate Division should be reversed and a new trial ordered, and in *George*, the order of the Appellate Division should be affirmed.

Judges CIPARICK, GRAFFEO, READ, SMITH, PIGOTT and JONES concur.

In *People v Alvarez*: Order reversed, etc.

In *People v George*: Order affirmed.

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[980 NE2d 933, 957 NYS2d 268]

ROBIN CUSTODI et al., Respondents, v TOWN OF AMHERST et al.,  
Defendants, and PETER MUFFOLETTO et al., Appellants.

Argued September 6, 2012; decided October 30, 2012

### SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered February 10, 2011. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, Erie County (Paula L. Feroletto, J.), which had granted the motion of defendants Peter Muffoletto and Susan Muffoletto for summary judgment dismissing the complaint against them, (2) denied the motion, and (3) reinstated the complaint as against them. The following question was certified by the Appellate Division: “Was the order of this Court entered February 10, 2011, properly made?”

*Custodi v Town of Amherst*, 81 AD3d 1344, affirmed.

### HEADNOTES

#### **Negligence — Assumption of Risk — Applicability to Rollerblading in Residential Neighborhood**

1. The doctrine of primary assumption of the risk did not preclude the negligence claim against the landowner defendants in an action to recover damages for injuries sustained by plaintiff, an experienced rollerblader, while rollerblading in her residential neighborhood, when one of her skates allegedly struck a two-inch height differential where the edge of defendants’ driveway met a drainage culvert that ran the length of the street causing plaintiff to fall. Primary assumption of the risk applies when a consenting participant in a qualified activity is aware of the risks, has an appreciation of the nature of the risks, and voluntarily assumes the risks. In general, application of the doctrine should be limited to cases appropriate for absolution of duty, such as personal injury claims arising from sporting events, sponsored athletic and recreative activities, or athletic and recreational pursuits that take place at designated venues. No exception to that general principle was warranted under the facts presented. Plaintiff was not rollerblading at a rink, a skating park, or in a competition. Nor did defendants actively sponsor or promote the activity in question. Moreover, extension of the doctrine of primary assumption of the risk to cases involving persons injured while traversing streets and sidewalks would create an unwarranted diminution of the general duty of landowners, both public and private, to maintain their premises in a reasonably safe condition. The exception would swallow the general rule of comparative fault if sidewalk defects or dangerous premises conditions were deemed inherent risks assumed by non-pedestrians who sustain injuries, whether they be joggers, runners, bicyclists or rollerbladers.

#### **Negligence — Proximate Cause — Summary Judgment Not Warranted**

2. In an action to recover damages for injuries sustained by plaintiff, an experienced rollerblader, while rollerblading in her residential neighborhood,

when one of her skates allegedly struck a two-inch height differential where the edge of defendants' driveway met a drainage culvert that ran the length of the street causing plaintiff to fall, the landowner defendants were not entitled to judgment as a matter of law on the issue of proximate causation. Defendants did not advance the argument in their motion for summary judgment that, assuming ordinary premises liability principles applied rather than assumption of the risk, their duty to make the premises reasonably safe did not include a duty to alter the height differential at the base of their driveway to accommodate rollerbladers. Hence, that common-law negligence issue remained to be litigated.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Negligence §§ 429, 763, 792, 793; AM JUR 2d, Premises Liability §§ 32, 33, 67, 608, 613.

NY JUR 2d, Negligence §§ 16, 46, 48, 123, 125; NY JUR 2d, Premises Liability §§ 30, 32, 77, 177, 182, 189–192.

PROSSER AND KEETON, TORTS (5th ed) §§ 42, 53, 62, 68.

### ANNOTATION REFERENCE

See ALR Index under Contributory Negligence or Assumption of Risk; Negligence; Premises Liability; Proximate Cause; Skating and Skating Rinks.

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### POINTS OF COUNSEL

*Watson Bennett Colligan & Schechter, LLP*, Buffalo (Joel B. Schechter of counsel), for appellants. I. Because Robin Custodi chose to rollerblade on Peter and Susan Muffoletto's driveway with an awareness that falling as a result of encountering a height differential was a risk of the activity, the majority's decision must be reversed. (*Turcotte v Fell*, 68 NY2d 432; *Morgan v State of New York*, 90 NY2d 471; *Trupia v Lake George Cent. School Dist.*, 14 NY3d 392; *Morlock v Town of N. Hempstead*, 12 AD3d 652; *Maddox v City of New York*, 66 NY2d 270; *Peters v City of New York*, 269 AD2d 581; *Sykes v County of Erie*, 94 NY2d 912; *Retian v City of New York*, 259 AD2d 684, 93 NY2d 811; *Surace v Lostrappo*, 176 Misc 2d 408; *Sorice v Captree Homes*, 250 AD2d 755.) II. The majority's conclusion that there is an issue of fact about whether the conditions on Peter and Susan Muffoletto's driveway were open and obvious has no



support in the record and, as a result, the majority cannot and does not cite to any such evidence in the record. (*Electrolux Corp. v Val-Worth, Inc.*, 6 NY2d 556; *Loughry v Lincoln First Bank*, 67 NY2d 369; *Suria v Shiffman*, 67 NY2d 87; *Westbrook v WR Activities-Cabrera Mkts.*, 5 AD3d 69; *Tagle v Jakob*, 97 NY2d 165; *Trevett v City of Little Falls*, 24 AD3d 1197; *Lamey v Foley*, 188 AD2d 157.) III. The policy considerations articulated in *Trupia v Lake George Cent. School Dist.* (14 NY3d 392 [2010]), “facilitating free and vigorous participation in athletic activities,” mandate finding that the complaint must be dismissed “to preserve these beneficial pursuits as against the prohibitive liability.” (*Anand v Kapoor*, 15 NY3d 946; *Morgan v State of New York*, 90 NY2d 471.) IV. Not only is there no evidence that the change in elevation was the proximate cause of Robin Custodi’s alleged injuries, it was her own failures that caused the incident. (*Blake v Gardino*, 35 AD2d 1022, 29 NY2d 876; *Alvord & Swift v Muller Constr. Co.*, 46 NY2d 276; *Ginther v Ginther*, 30 AD3d 1031; *Smith Bros. Constr. Co. v New York Sur. Co.*, 236 AD2d 799; *Mochen v State of New York*, 57 AD2d 719.)

*Andrews Bernstein & Maranto, LLP*, Buffalo (Robert J. Maranto, Jr., of counsel), for respondents. I. The doctrine of primary assumption of risk is not applicable in this case. (*Griffin v Lardo*, 247 AD2d 825; *Sutfin v Scheuer*, 145 AD2d 946; *Cotty v Town of Southampton*, 64 AD3d 251; *Ashbourne v City of New York*, 82 AD3d 461; *Anand v Kapoor*, 15 NY3d 946.) II. Even if primary assumption of risk applied in this case, the risk was not known, apparent, or reasonably foreseeable. (*Lamey v Foley*, 188 AD2d 157; *Mauriello v Port Auth. of N.Y. & N.J.*, 8 AD3d 200.) III. Whether the defect was open and obvious is a question of fact for the jury, and does not absolve appellants of their duty. (*Westbrook v WR Activities-Cabrera Mkts.*, 5 AD3d 69; *Tagle v Jakob*, 97 NY2d 165; *Holl v Holl*, 270 AD2d 864; *MacDonald v City of Schenectady*, 308 AD2d 125; *Cupo v Karfunkel*, 1 AD3d 48; *Lamey v Foley*, 188 AD2d 157; *Konopczynski v ADF Constr. Corp.*, 60 AD3d 1313.) IV. There is evidence that the change in elevation was the proximate cause of Robin Custodi’s injuries. (*Bulman v P & R Enter.*, 17 AD3d 1139; *Ingersoll v Liberty Bank of Buffalo*, 278 NY 1.)

#### OPINION OF THE COURT

GRAFFEO, J.

In this case involving a plaintiff who fell and sustained injuries while rollerblading, we conclude that the doctrine of

primary assumption of the risk does not preclude her common-law negligence claim against the landowner defendants. We therefore affirm the Appellate Division order reinstating the complaint.

In July 2007, plaintiff Robin Custodi broke her hip when she tripped and fell while rollerblading in her residential neighborhood in the Town of Amherst. Moments before the accident, plaintiff, an experienced rollerblader, noticed a truck blocking her path of travel on the street and navigated around it by skating onto a driveway entrance to reach the sidewalk running parallel to the road. Plaintiff skated by several houses before attempting to reenter the street using a driveway owned by defendants Peter and Susan Muffoletto. As plaintiff neared the end of defendants' driveway, she checked for oncoming traffic but did not stop. Plaintiff fell when one of her skates allegedly struck a two-inch height differential where the edge of defendants' driveway met a drainage culvert that ran the length of the street.

Plaintiff and her husband, suing derivatively, commenced this negligence action against defendants to recover damages for plaintiff's injuries.<sup>1</sup> Following discovery, defendants moved for summary judgment dismissing the complaint on two grounds. Primarily, they asserted that plaintiff assumed the risk of injury by voluntarily engaging in recreational rollerblading, thereby negating their duty of care to her as landowners. Alternatively, defendants contended that there was no triable issue of fact as to whether the height differential was a proximate cause of plaintiff's accident.

Supreme Court granted the motion and dismissed the complaint, agreeing with defendants that plaintiff assumed the risk of her injuries. A divided Appellate Division reversed and reinstated the complaint, concluding that the doctrine of primary assumption of the risk did not apply to plaintiff's activity and that a triable issue of fact existed on the question of proximate cause (81 AD3d 1344 [4th Dept 2011]). The dissent would have affirmed Supreme Court's dismissal of the

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1. Plaintiff also sued the Town of Amherst, the Town of Amherst Highway Department, the County of Erie, the Erie County Highway Department, the Erie County Department of Public Works and the Village of Williamsville. Plaintiff later stipulated to discontinue the action as against the County defendants and the Village. The complaint was eventually dismissed against the Town defendants, so all claims against the municipal defendants have been dismissed.

complaint. The Appellate Division granted defendants leave to appeal on a certified question (2011 NY Slip Op 72435[U] [2011]).

Defendants claim that the Appellate Division erred in declining to apply the doctrine of assumption of the risk to this case. Because plaintiff chose to rollerblade on their property with an awareness that a skater using the neighborhood's residential driveways and sidewalks could encounter bumps or height differentials, defendants contend that plaintiff necessarily assumed the inherent risk of a fall. Plaintiff responds that the Appellate Division correctly held that the assumption of the risk doctrine is not applicable since she was not engaged in a sporting competition or an athletic or recreative activity at a designated venue. In plaintiff's view, this case is governed by ordinary premises liability principles.

Our analysis begins with CPLR 1411, which the Legislature adopted in 1975 to abolish contributory negligence and assumption of the risk as absolute defenses in favor of a comparative fault regime. CPLR 1411 provides:

“In any action to recover damages for personal injury, injury to property, or wrongful death, the culpable conduct attributable to the claimant or to the decedent, including contributory negligence or assumption of risk, shall not bar recovery, but the amount of damages otherwise recoverable shall be diminished in the proportion which the culpable conduct attributable to the claimant or decedent bears to the culpable conduct which caused the damages.”

Despite the text of this provision, we have held that a limited vestige of the assumption of the risk doctrine—referred to as “primary” assumption of the risk—survived the enactment of CPLR 1411 as a defense to tort recovery in cases involving certain types of athletic or recreational activities (*see Turcotte v Fell*, 68 NY2d 432, 439 [1986]). Rather than operating as a complete defense, the doctrine in the post-CPLR 1411 era has been described in terms of the scope of duty owed to a participant (*see Morgan v State of New York*, 90 NY2d 471, 485 [1997]). Under this theory, a plaintiff who freely accepts a known risk “commensurately negates any duty on the part of the defendant to safeguard him or her from the risk” (*Trupia v Lake George Cent. School Dist.*, 14 NY3d 392, 395 [2010]).

More particularly, primary assumption of the risk applies when a consenting participant in a qualified activity “is aware of the risks; has an appreciation of the nature of the risks; and voluntarily assumes the risks” (*Bukowski v Clarkson Univ.*, 19 NY3d 353, 356 [2012] [internal quotation marks and citation omitted]). A person who chooses to engage in such an activity “consents to those commonly appreciated risks which are inherent in and arise out of the nature of the sport generally and flow from such participation” (*Morgan*, 90 NY2d at 484). As a result, participants may be held to have consented to those injury-prone risks that are “known, apparent or reasonably foreseeable” (*Benitez v New York City Bd. of Educ.*, 73 NY2d 650, 657 [1989] [internal quotation marks and citation omitted]). The duty owed in these situations is “a duty to exercise care to make the conditions as safe as they appear to be” (*Turcotte*, 68 NY2d at 439). On the other hand, participants are not deemed to have assumed risks resulting from the reckless or intentional conduct of others, or risks that are concealed or unreasonably enhanced (*see Morgan*, 90 NY2d at 485).

Since the adoption of CPLR 1411, we have generally restricted the concept of assumption of the risk to particular athletic and recreative activities in recognition that such pursuits have “enormous social value” even while they may “involve significantly heightened risks” (*Trupia*, 14 NY3d at 395). Hence, the continued application of the doctrine “facilitate[s] free and vigorous participation in athletic activities” (*Benitez*, 73 NY2d at 657), and fosters these socially beneficial activities by shielding coparticipants, activity sponsors or venue owners from “potentially crushing liability” (*Bukowski*, 19 NY3d at 358).

Consistent with this justification, each of our cases applying the doctrine involved a sporting event or recreative activity that was sponsored or otherwise supported by the defendant, or occurred in a designated athletic or recreational venue. In *Morgan*, for example, we dismissed claims by a bobsledder injured on a bobsled course, and by two students who were injured while attending martial arts classes (90 NY2d at 486-488). Similarly, we applied assumption of the risk to bar claims by plaintiffs who suffered injuries while participating in collegiate baseball (*see Bukowski*, 19 NY3d at 358); high school football (*see Benitez*, 73 NY2d at 658-659); recreational basketball on an outdoor court (*see Sykes v County of Erie*, 94 NY2d 912, 913 [2000]); professional horse racing (*see Turcotte*, 68 NY2d at 437); speedskating on an enclosed ice rink (*see Ziegelmeyer v United States Olympic*

*Comm.*, 7 NY3d 893, 894 [2006]); and a round of golf at a golf course (see *Anand v Kapoor*, 15 NY3d 946, 948 [2010]).

In contrast, in *Trupia* we recently declined to apply the assumption of the risk doctrine to a child who was injured while sliding down a bannister at school. Based on the tension that exists between assumption of the risk and the dictates of CPLR 1411, we clarified that the doctrine “must be closely circumscribed if it is not seriously to undermine and displace the principles of comparative causation” (*Trupia*, 14 NY3d at 395). We noted that the injury-causing activity at issue in *Trupia*—horseplay—did not render the school worthy of insulation from a breach of duty claim, as it was “not a case in which the defendant solely by reason of having sponsored or otherwise supported some risk-laden but socially valuable voluntary activity has been called to account in damages” (*id.* at 396).

[1] Guided by these principles, we conclude that assumption of the risk does not apply to the fact pattern in this appeal, which does not fit comfortably within the parameters of the doctrine. As a general rule, application of assumption of the risk should be limited to cases appropriate for absolution of duty, such as personal injury claims arising from sporting events, sponsored athletic and recreative activities, or athletic and recreational pursuits that take place at designated venues.<sup>2</sup> In this case, plaintiff was not rollerblading at a rink, a skating park, or in a competition; nor did defendants actively sponsor or promote the activity in question.

Moreover, extension of the doctrine to cases involving persons injured while traversing streets and sidewalks would create an unwarranted diminution of the general duty of landowners—both public and private—to maintain their premises in a reasonably safe condition. As we explained in an earlier case, assumption of the risk “does not exculpate a landowner from liability for ordinary negligence in maintaining a premises” (*Sykes*, 94 NY2d at 913). The exception would swallow the general rule of comparative fault if sidewalk defects or dangerous premises conditions were deemed “inherent” risks assumed by non-pedestrians who sustain injuries, whether they be joggers, runners, bicyclists or rollerbladers (see *Ashbourne v City of New York*, 82 AD3d 461, 463 [1st Dept 2011]; *Cotty v Town of*

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2. We do not now consider whether there could be any exceptions to this general principle. Resolution of this appeal requires us only to conclude that no exception is warranted under the facts presented.

*Southampton*, 64 AD3d 251, 257 [2d Dept 2009]). We therefore decline to expand the doctrine to cover the circumstances presented here.

[2] We further agree with the Appellate Division that defendants are not entitled to judgment as a matter of law on the issue of proximate causation. Defendants did not advance the argument in their motion for summary judgment that, assuming ordinary premises liability principles apply rather than assumption of the risk, their duty to make the premises reasonably safe did not include a duty to alter the height differential at the base of their driveway to accommodate rollerbladers. Hence, that common-law negligence issue remains to be litigated.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH, PIGOTT and JONES concur.

Order affirmed, etc.

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[980 NE2d 505, 956 NYS2d 457]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MICHAEL J. SOLOMON, Appellant.

Argued September 4, 2012; decided October 30, 2012

### SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered May 7, 2010. The Appellate Division affirmed a judgment of the Niagara County Court (Peter L. Broderick, Sr., J.), which had convicted defendant, upon a jury verdict, of rape in the first degree, course of sexual conduct against a child in the first degree, course of sexual conduct against a child in the second degree, rape in the second degree (nine counts), criminal sexual act in the second degree (seven counts), and use of a child in a sexual performance (four counts).

*People v Solomon*, 73 AD3d 1440, reversed.

### HEADNOTES

#### **Crimes — Right to Counsel — Effective Representation — Conflict of Interest — Invalid Waiver**

1. In a prosecution in which the lawyer who represented defendant at a pretrial hearing and at trial was simultaneously representing, in an unrelated matter, a police officer who testified for the People that defendant had confessed to one of the charged crimes, defendant did not effectively waive the lawyer's conflict of interest. When defense counsel advised the court that she represented the police officer "in an unrelated civil matter," the trial judge merely asked the defendant if, as defense counsel had indicated, he had indeed agreed to waive any conflict, and defendant replied affirmatively. A defendant in a criminal case may waive an attorney's conflict, but only after an inquiry has shown that the defendant has an awareness of the potential risks involved in that course and has knowingly chosen it. The judge's inquiry here, in which not even the nature of defense counsel's simultaneous representation of the police officer was placed on the record, was simply inadequate.

#### **Crimes — Right to Counsel — Effective Representation — Conflict of Interest — Actual Conflict — Substantial Relation to Conduct of Defense**

2. In a prosecution in which defendant did not validly waive the conflict of interest of the lawyer who represented defendant at a pretrial hearing and at trial and who was simultaneously representing, in an unrelated civil matter, a police officer who testified that defendant had confessed to one of the charged crimes, the conflict had such a substantial relation to the conduct of the defense as to require reversal. There was an actual, as opposed to potential, conflict of interest between defendant and the police officer. The officer testified that defendant had confessed to raping his daughter and it was very

much in defendant's interest either to discredit that testimony or to show that his confession had been obtained by some unlawful or unfair means while the officer's interest was the opposite. While counsel's cross-examination of the officer may have been competently performed, the simultaneous representation of clients whose interests actually conflict cannot be overlooked and where such an actual conflict exists and is not waived, defendant has been deprived of the effective assistance of counsel. An adverse effect on the conduct of the defense necessarily exists where an actual conflict of interest is established. A defendant has a right to receive advice and assistance from an attorney whose paramount responsibility is to that defendant alone.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law § 193; AM JUR 2d, Criminal Law §§ 1135–1139.

CARMODY-WAIT 2d, Right to Counsel §§ 184:182, 184:185, 184:192.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 11.9.

NY JUR 2d, Criminal Law: Procedure §§ 759, 869, 937, 943.

### ANNOTATION REFERENCE

Circumstances giving rise to prejudicial conflict of interests between criminal defendant and defense counsel—state cases. 18 ALR4th 360.

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### POINTS OF COUNSEL

*Harrington & Mahoney*, Buffalo (*Mark J. Mahoney* of counsel), for appellant. I. In the absence of a sufficient inquiry by the court, and waiver by the accused, defense counsel's conflict of interest requires a new trial—regardless of prejudice. (*People v Gombert*, 38 NY2d 307; *People v Macerola*, 47 NY2d 257; *People v Lombardo*, 61 NY2d 97; *People v Alicea*, 61 NY2d 23; *People v Wandell*, 75 NY2d 951; *People v McDonald*, 68 NY2d 1; *People v Stewart*, 126 AD2d 943; *People v Gordon*, 272 AD2d 133; *Wheat v United States*, 486 US 153; *United States v Locascio*, 6 F3d 924.) II. Without an actual waiver of *Miranda* rights, and the interrogation being recorded, the statements made by the accused should have been suppressed. (*Miranda v Arizona*, 384 US 436; *Carnley v Cochran*, 369 US 506; *People v Huntley*, 15 NY2d 72; *Oregon v Elstad*, 470 US 298; *People v Combest*,

4 NY3d 341; *United States v Plummer*, 118 F Supp 2d 945; *United States v Mansker*, 240 F Supp 2d 902; *People v Oglesby*, 15 AD3d 888; *People v Rosario*, 20 Misc 3d 401; *People v Crews*, 18 Misc 3d 1120.) III. The unqualified admission of the complainant's extrajudicial accusations requires reversal. (*Reed v McCord*, 160 NY 330; *People v De George*, 73 NY2d 614.) IV. Appellant was deprived of effective assistance of counsel. (*People v Baldi*, 54 NY2d 137; *People v Zaborski*, 59 NY2d 863.) V. The court's rulings violated the accused's right to present a defense. (*People v Hudy*, 73 NY2d 40; *People v Shapiro*, 50 NY2d 747; *Chambers v Mississippi*, 410 US 284; *Washington v Texas*, 388 US 14; *People v Mandel*, 61 AD2d 563, 48 NY2d 952; *People v Ruiz*, 71 AD2d 569; *People v Torre*, 42 NY2d 1036; *People v Carter*, 37 NY2d 234.) VI. The cumulative errors deprived appellant of a fair trial. (*People v Crimmins*, 36 NY2d 230; *People v Durrin*, 32 AD3d 665.)

*Michael J. Violante*, District Attorney, Lockport (*Thomas H. Brandt* of counsel), for respondent. I. Defendant received effective assistance of counsel under the "conflict of interest" doctrine. (*People v Ortiz*, 76 NY2d 652; *People v Alicea*, 61 NY2d 23; *People v Ennis*, 11 NY3d 403; *People v Abar*, 99 NY2d 406; *People v Macerola*, 47 NY2d 257; *People v Konstantinides*, 14 NY3d 1; *People v Harris*, 99 NY2d 202; *People v Lombardo*, 61 NY2d 97.) II. Defendant's statement was properly admitted. (*People v Berg*, 92 NY2d 701; *People v Mateo*, 2 NY3d 383, 542 US 946; *People v Davis*, 55 NY2d 731; *People v Sirno*, 76 NY2d 967; *People v Falkenstein*, 288 AD2d 922, 97 NY2d 704; *People v Hawkins*, 11 NY3d 484; *People v Rosas*, 30 AD3d 545, 8 NY3d 493; *People v Beckingham*, 57 AD3d 1098, 13 NY3d 742.) III. Defendant's conversation with the complainant was properly admitted. (*People v Chico*, 90 NY2d 585; *People v Jackson*, 148 AD2d 930, 74 NY2d 665; *People v Hawkins*, 11 NY3d 484.) IV. Defendant received effective assistance of counsel. (*People v Flores*, 84 NY2d 184; *People v Turner*, 5 NY3d 476; *People v Baldi*, 54 NY2d 137; *People v Rivera*, 71 NY2d 705; *People v Garcia*, 75 NY2d 973; *People v Satterfield*, 66 NY2d 796.) V. Defendant's right to present a defense was not violated. (*Michigan v Lucas*, 500 US 145; *Rock v Arkansas*, 483 US 44; *United States v Valenzuela-Bernal*, 458 US 858.) VI. Defendant received a fair trial. (*People v Clyde*, 18 NY3d 145.)

#### OPINION OF THE COURT

SMITH, J.

The lawyer who represented defendant at a pretrial hearing and at trial was simultaneously representing, in an unrelated

matter, a police officer who testified for the People that defendant had confessed to one of the charged crimes. We hold that, because there was no valid waiver of the lawyer's conflict of interest, defendant is entitled to a new trial.

## I

Defendant was charged with raping his daughter, and committing other sex offenses against her, over a four-year period beginning when she was 10 years old. The evidence against him included a partial confession, in which defendant told two police detectives, Karen Smith and Larry Kuebler, that he had had sex with his daughter once.

A *Huntley* hearing was held on the voluntariness of defendant's statements to the detectives. Before the hearing began, defense counsel advised the court that she represented Kuebler "in an unrelated civil matter." She said that she had disclosed this to defendant, and that defendant "respects the nature of my representation of Detective Kuebler . . . and . . . has agreed to waive any conflict in that regard." The judge asked defendant: "Is that correct, Mr. Solomon?" and defendant replied "Yes, sir." The record reflects no other discussion with defendant about the conflict, and discloses nothing further about the nature of counsel's representation of Kuebler.

Kuebler testified at the *Huntley* hearing and at trial, and was cross-examined by the lawyer who was representing him. According to Kuebler's testimony (which was consistent with Smith's), Smith was the detective in charge of the case and had been the first to interview defendant, while Kuebler sat in a nearby room, listening through an audio system and taking notes. He testified that defendant first denied to Smith that he had sex with his daughter, but that as the interview went on "his denials kind of weakened . . . [a]nd at one point Detective Smith asked him if he did have sex with his daughter and he stated that he did." After Smith finished her interview, Kuebler conducted his own, in which, Kuebler testified, defendant told Kuebler "that he got drunk one time and had sex with his daughter just one time."

Defendant's motion to suppress his statements was denied, and he was convicted by a jury. He appealed on the ground, among others, that his lawyer's conflict denied him the effective assistance of counsel. The Appellate Division agreed with defendant that the trial court's inquiry into the conflict was

sufficient, and that defendant's waiver was therefore invalid. It nevertheless affirmed, holding that defendant "failed to establish that any 'conflict affected the conduct of the defense' " (*People v Solomon*, 73 AD3d 1440, 1441 [4th Dept 2010], quoting *People v Ortiz*, 76 NY2d 652, 657 [1990]). A Judge of this Court granted leave to appeal (17 NY3d 801 [2011]), and we now reverse.

## II

[1] We agree with the Appellate Division that defendant did not effectively waive any conflict of interest here—indeed, the People do not strongly argue otherwise. Our cases make clear that a defendant in a criminal case may waive an attorney's conflict, but only after an inquiry has shown that the defendant "has an awareness of the potential risks involved in that course and has knowingly chosen it" (*People v Gombberg*, 38 NY2d 307, 313-314 [1975]; see also *People v Macerola*, 47 NY2d 257, 263 [1979]; *People v Wandell*, 75 NY2d 951, 952-953 [1990]). The inquiry here, in which not even the nature of defense counsel's simultaneous representation of Kuebler was placed on the record, was simply inadequate.

[2] Thus, the case turns on whether the conflict had such a "substantial relation to the conduct of the defense" as to require reversal (*People v McDonald*, 68 NY2d 1, 9 [1986] [internal quotation marks and citation omitted]). We conclude that it did.

Discussions of the effect of a lawyer's conflict of interest on a defendant's right to the effective assistance of counsel distinguish between a potential conflict and an actual conflict (*e.g.* *Cuyler v Sullivan*, 446 US 335, 337, 349-350 [1980]; *People v Macerola*, 47 NY2d 257, 264-265 [1979]). The distinction can be illustrated by cases in which, as in *Cuyler* and *Macerola*, the same lawyer represents more than one defendant. Such a multiple representation carries the potential for conflict, but the potential will not always be realized. In some cases, the interests of codefendants will be in harmony, as for example when their defense consists of an attempt to show that prosecution witnesses are lying or mistaken. Thus, in *Macerola*, we rejected a per se rule that simultaneous representation of codefendants automatically requires reversal in the absence of a valid waiver: "There may always exist those cases in which joint representation of multiple defendants is, without doubt, justified, and the court's neglect in admonishing codefendants

of the potential risks entailed in joint representation would not deprive, without more, a defendant of his right to the effective assistance of counsel” (47 NY2d at 264). Similarly, in *Cuyler*, the Supreme Court, though observing that “a possible conflict inheres in almost every instance of multiple representation” (446 US at 348), held that the mere “possibility of conflict is insufficient to impugn a criminal conviction” (*id.* at 350).

On the other hand, where the interests of codefendants actually conflict, multiple representation will taint a conviction unless the conflict is waived. The “constitutional predicate” for an ineffective assistance claim is, as the Supreme Court said in *Cuyler*, a showing that the defendant’s counsel “actively represented conflicting interests” (*id.*). In *Macerola*, where such an actual conflict was established, we held that reversal of the conviction was required. Indeed, we said there that reversal is necessary where even a “significant possibility” of an actual conflict exists (*Macerola*, 47 NY2d at 264; accord *People v Recupero*, 73 NY2d 877, 879 [1988]).

In a case like this one, where a defendant’s lawyer simultaneously represents not a codefendant but a prosecution witness, the potential for conflict is more obvious. Even in such cases, however, we have not adopted a per se rule (see *McDonald*, 68 NY2d at 11 n 5). Sometimes there will be no actual conflict between the defendant and a prosecution witness—for example, where the witness testifies only about a trivial or uncontroversial issue, or where the witness, testifying reluctantly for the People, really wants the defendant to be acquitted. More typically, however, a prosecution witness’s interest will actually conflict with the defendant’s. In such cases, we have held that the same attorney cannot simultaneously represent both, unless the conflict is validly waived (*McDonald*, 68 NY2d at 7-8; *People v Mattison*, 67 NY2d 462, 465 [1986]; *Wandell*, 75 NY2d at 952-953).

There was an actual conflict of interest between defendant and Kuebler here. Kuebler testified that defendant had confessed to raping his daughter. It was very much in defendant’s interest either to discredit that testimony or to show that the confession had been obtained by some unlawful or unfair means; Kuebler’s interest was the opposite. Our holdings in *McDonald*, *Mattison* and *Wandell* require reversal.

The People argue, and the Appellate Division held, that reversal is not necessary because defendant has not shown that



the conflict “affected the conduct of the defense” (73 AD3d at 1441, quoting *Ortiz*, 76 NY2d at 657). Nothing in the record, the People say, proves that counsel was less effective in cross-examining Kuebler than she would have been had Kuebler not been her client. We assume that this is correct; it seems from the transcript that the cross-examination was competently performed. Defendant now suggests a number of lines of inquiry that counsel might have pursued, but did not. Such after-the-fact suggestions, however, can probably be made about almost every significant cross-examination in almost every case.

But we have never held, and decline now to hold, that the simultaneous representation of clients whose interests actually conflict can be overlooked so long as it seems that the lawyer did a good job. Our cases, and the United States Supreme Court’s, make clear that, where such an actual conflict exists and is not waived, the defendant has been deprived of the effective assistance of counsel.

When we have considered simultaneous representations, whether of codefendants, as in *Macerola* and *Recupero*, or of prosecution witnesses, as in *McDonald* and *Wandell*, or of a codefendant who became a prosecution witness, as in *Mattison*, we have not inquired into the quality of counsel’s performance, but have stressed the “very awkward position” of a lawyer subject to conflicting demands (*Mattison*, 67 NY2d at 470), and have protected a defendant’s “right to receive advice and assistance from an attorney whose paramount responsibility is to that defendant alone” (*Macerola*, 47 NY2d at 264). We have specifically held, and now reaffirm, that “[a] defendant is denied the right to effective assistance of counsel guaranteed by the Sixth Amendment when, absent inquiry by the court and the informed consent of defendant, defense counsel represents interests which are actually in conflict with those of defendant” (*McDonald*, 68 NY2d at 8). It is true that the Supreme Court in *Cuyler* said that a defendant must “establish that an actual conflict of interest adversely effected his lawyer’s performance” (446 US at 350). In context, however, it is clear that, in the view of the *Cuyler* Court, an adverse effect necessarily exists where “an actual conflict of interest” is established (*id.* at 349).

The cases in which a conviction has been upheld because the lawyer’s performance was not shown to be deficient were ones in which the lawyer was not subject to an *actual* conflict—the simultaneous representation of clients whose interests were opposed. Thus in *People v Abar* (99 NY2d 406 [2003]), the claimed

conflict arose from defense counsel's *prior* representation of the People. Similarly, in *Mickens v Taylor* (535 US 162 [2002]), the lawyer's representations of the victim and the defendant were successive, not concurrent. In each of these cases, it was recognized that the potential for conflict existed, but the defendants failed to show that the potential was realized—i.e. that the conflict operated on the representation. *People v Smart* (96 NY2d 793 [2001]), *People v Ennis* (11 NY3d 403 [2008]) and *People v Konstantinides* (14 NY3d 1 [2009]) did not involve the representation of multiple clients at all, either simultaneously or in succession. In each of those cases there was a circumstance—a personal acquaintance with the victim in *Smart*, a promise made to cocounsel in *Ennis*, an accusation of wrongdoing against the lawyer in *Konstantinides*—that might have led the lawyer to be less than zealous on the client's behalf, but in each case the client failed to show that the attorney's performance was impaired.

The problem in this case—a lawyer who simultaneously owed a duty of loyalty both to the defendant on trial and to the police officer she cross-examined—is of a different order. In such a case, as we have repeatedly held, if the clients' interests actually conflict, and if the defendant has not waived the conflict, the defendant is deprived of the effective assistance of counsel.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered, to be preceded by a new suppression hearing.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ, FIGOTT and JONES concur.

Order reversed, etc.

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[980 NE2d 510, 956 NYS2d 462]

In the Matter of STATE OF NEW YORK, Respondent, v SHANNON S., Appellant.

Argued September 11, 2012; decided October 30, 2012

### SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 10, 2011. The Appellate Division affirmed an order of the Supreme Court, Chautauqua County (Timothy J. Walker, J.), entered in a proceeding pursuant to Mental Hygiene Law article 10, which had found respondent to be a dangerous sex offender requiring civil confinement, ordered respondent to be committed to a secure treatment facility, and ordered respondent to receive care and treatment.

*Matter of State of New York v Shannon S.*, 85 AD3d 1646, affirmed.

### HEADNOTE

#### **Crimes — Sex Offenders — Civil Commitment or Supervision — Mental Abnormality**

In a proceeding pursuant to Mental Hygiene Law article 10 for the civil management of respondent, who was diagnosed by petitioner's experts as suffering from paraphilia not otherwise specified (paraphilia NOS), there was legally sufficient evidence to support the finding that respondent suffered from a mental abnormality as defined under article 10. The plain language of Mental Hygiene Law § 10.03 (i), in defining a mental abnormality, does not reference or require that a diagnosis be limited to mental disorders enumerated within the Diagnostic and Statistical Manual of Mental Disorders (DSM). Paraphilia NOS is a viable predicate mental disorder or defect that comports with minimal due process. Any issue pertaining to the reliability of paraphilia NOS as a predicate condition for a finding of mental abnormality is a factor relevant to the weight to be attributed to the diagnosis, an issue properly reserved for resolution by the factfinder. Moreover, paraphilia NOS is a mental condition included in the DSM; each recognized diagnostic group in the DSM includes a respective "not otherwise specified category," including paraphilia. Petitioner's expert witnesses opined that respondent's sexual offenses against adolescent victims demonstrated an attraction to nonconsenting minors that satisfied the plain definition of paraphilia NOS and evinced symptoms of hebephilia, a condition subsumed by the paraphilia NOS subcategory. To establish that respondent's sexual offenses were the result of a mental abnormality, and not merely a series of isolated criminal incidents, petitioner's experts identified respondent's lack of compunction and incapability to comprehend the inappropriateness of his conduct. Respondent's recurrent engagement in sexual conduct with pubescent females, despite numerous criminal sanctions and an asserted attraction to adult females, coupled with his impulsive sexual behavior, demonstrated his compulsion to act upon sexual urges pertaining to

pubescent females, thus supporting a finding that respondent suffered from a mental abnormality “involving such a strong predisposition to commit sex offenses, and such an inability to control behavior, that the person is likely to be a danger to others and to commit sex offenses if not confined to a secure treatment facility” (Mental Hygiene Law § 10.03 [e]).

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### RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Mentally Impaired Persons §§ 125, 137, 139.

McKINNEY’S, Mental Hygiene Law § 10.03 (e), (i).

NY JUR 2d, Penal and Correctional Institutions §§ 25, 29.

### ANNOTATION REFERENCE

Discharge from commitment and supervised release of civilly committed sex offender under state law. 78 ALR6th 417.

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### POINTS OF COUNSEL

*Davison Law Office, PLLC*, Canandaigua (*Mark C. Davison* of counsel), for appellant. I. The standard of proof beyond a reasonable doubt, rather than the standard of clear and convincing evidence, should have been applied in this proceeding. (*Matter of State of New York v Rashid*, 16 NY3d 1; *In re Winship*, 397 US 358; *United States v Comstock*, 627 F3d 513; *United States v Carta*, 592 F3d 34; *Matter of State of New York v Farnsworth*, 75 AD3d 14, 15 NY3d 848; *State of New York v Robert V.*, 31 Misc 3d 1210[A], 2011 NY Slip Op 50552[U], 33 Misc 3d 1208[A], 2011 NY Slip Op 51819[U]; *Matter of State of New York v Daniel OO.*, 88 AD3d 212; *Poole v Goodno*, 335 F3d 705; *United States v Sahhar*, 917 F2d 1197; *Matter of State of New York v Company*, 77 AD3d 92.) II. Without proof of a diagnosis from the Diagnostic and Statistical Manual, the evidence is legally insufficient to support a determination that a person suffers from a mental abnormality. (*O’Connor v Donaldson*, 422 US 563; *Kansas v Hendricks*, 521 US 346; *Foucha v Louisiana*, 504 US 71; *Kansas v Crane*, 534 US 407; *Matter of Jamie R. v Consilvio*, 6 NY3d 138; *Matter of David B.*, 97 NY2d 267; *Matter of State of New York v Shawn X.*, 69 AD3d 165, 14 NY3d 702; *United States v Carta*, 592 F3d 34; *Seling v Young*, 531 US 250;

*Allen v Illinois*, 478 US 364.) III. Civil confinement should not have been ordered without a factual finding that no less restrictive alternative was appropriate. (*Matter of Torsney*, 47 NY2d 667; *Matter of Kesselbrenner v Anonymous*, 33 NY2d 161; *Covington v Harris*, 419 F2d 617; *Kansas v Crane*, 534 US 407; *Matter of K.L.*, 1 NY3d 362; *Matter of Rhodanna C.B.*, 36 AD3d 106; *Rivers v Katz*, 67 NY2d 485, 68 NY2d 808; *Matter of Simone D.*, 9 NY3d 828; *Matter of State of New York v Flagg*, 77 AD3d 1400, 17 NY3d 784; *Matter of State of New York v Donald N.*, 63 AD3d 1391.) IV. When there is no finding of a dangerousness at a probable cause hearing, respondent in a Mental Hygiene Law article 10 proceeding must be released before trial. (*Matter of State of New York v Reeve*, 87 AD3d 1378; *James v Powell*, 19 NY2d 249; *Trocom Constr. Corp. v Consolidated Edison Co. of N.Y., Inc.*, 7 AD3d 434; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *Matter of State of New York v Sanchez*, 22 Misc 3d 1123[A], 2009 NY Slip Op 50256[U]; *People v Brooks*, 19 Misc 3d 407; *Matter of State of New York v Rashid*, 25 Misc 3d 318, 68 AD3d 615, 16 NY3d 1; *Matter of State of New York v Pagan*, 26 Misc 3d 1241[A], 2010 NY Slip Op 50506[U]; *Matter of State of New York v Thompson*, 24 Misc 3d 1208[A], 2009 NY Slip Op 51306[U]; *Matter of State of New York v P.H.*, 22 Misc 3d 689.) V. The trial court improperly reopened the proof sua sponte. (*People v Arnold*, 98 NY2d 63; *Matter of Kyle FF.*, 85 AD3d 1463; *Matter of Yadiel Roque C.*, 17 AD3d 1168; *Capodiferro v Capodiferro*, 77 AD3d 1449; *Mitchell v New York Hosp.*, 61 NY2d 208; *Town of Orangetown v Magee*, 88 NY2d 41; *People v Zawistowski*, 168 AD2d 950; *People v Mendez*, 225 AD2d 1051; *People v Whipple*, 97 NY2d 1; *People v Olsen*, 34 NY2d 349.)

*Eric T. Schneiderman, Attorney General, Albany (Kathleen M. Treasure, Barbara D. Underwood and Andrea Oser of counsel)*, for respondent. I. Respondent failed to preserve his challenge to Mental Hygiene Law article 10's "clear and convincing evidence" standard of proof, and that standard satisfies due process in any event. (*People v O'Hara*, 96 NY2d 378; *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244; *Matter of Barbara C.*, 64 NY2d 866; *People ex rel. Battista v Christian*, 249 NY 314; *Misicki v Caradonna*, 12 NY3d 511; *People v Harnett*, 16 NY3d 200; *Matter of Rivera v Smith*, 63 NY2d 501; *People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *Dalton v Pataki*, 5 NY3d 243; *People v Knox*, 12 NY3d 60.) II. Respondent failed to preserve his claim that due process precludes a finding of mental abnormality absent a mental condition recognized by the DSM-IV, and that claim is academic

here. (*People v Dozier*, 52 NY2d 781; *People v Hawkins*, 11 NY3d 484; *Matter of Barbara C.*, 64 NY2d 866; *Matter of Hofbauer*, 47 NY2d 648.) III. The disposition of confinement comports with due process. (*Melahn v Hearn*, 60 NY2d 944; *People v Hawkins*, 11 NY3d 484; *Matter of Barbara C.*, 64 NY2d 866; *Matter of George L.*, 85 NY2d 295; *Matter of State of New York v Fox*, 79 AD3d 1782; *Matter of State of New York v Richard VV.*, 74 AD3d 1402; *Matter of State of New York v Motzer*, 79 AD3d 1687; *Matter of State of New York v Donald N.*, 63 AD3d 1391.) IV. Mental Hygiene Law article 10 expressly precludes respondent's appeal from the probable cause determination, which in any event is subsumed by the final disposition. (*People ex rel. Campolito v Bennett*, 296 AD2d 835, 98 NY2d 615; *People ex rel. Reamy v Director of Cent. Islip State Hosp.*, 35 AD2d 595.) V. The Fourth Department properly rejected respondent's claim that Supreme Court's decision to reopen the record warranted a new trial. (*People v Arnold*, 98 NY2d 63; *People v Moulton*, 43 NY2d 944; *People v Jamison*, 47 NY2d 882; *People v Johnson*, 82 AD3d 415; *People v DeLeyden*, 10 NY2d 293.)

#### OPINION OF THE COURT

JONES, J.

The primary issue on this appeal is whether there was legally sufficient evidence to support the finding that respondent Shannon S. suffers from a mental abnormality as defined under article 10 of the Mental Hygiene Law. On the particular facts of this case, we hold there was.

Respondent has an extensive criminal record which includes various sexual offenses involving nonconsenting or underage, adolescent victims. In 1992, at 19 years of age, respondent was charged with sexual abuse in the third degree for pinning down a female acquaintance on her bed, removing her shirt and fondling her while she struggled to push him away. Respondent subsequently pleaded guilty to disorderly conduct and was sentenced to time served. In 1997, at 24 years of age, respondent was charged with rape in the third degree for supplying a 15-year-old girl with marijuana and alcohol, and engaging in sexual intercourse. Respondent pleaded guilty to sexual misconduct in satisfaction of the charge and was sentenced to a conditional discharge and a fine. Two years later, in 1999, respondent was charged with the forcible rape and sodomy of a 13-year-old girl who was babysitting for his sister; the violent nature of the attack resulted in the hospitalization of the victim.



Respondent pleaded guilty to rape in the second degree and was sentenced to an indeterminate term of 1 to 3 years' incarceration.

Upon release in 2002, respondent, at age 30, commenced a sexual relationship with a 16-year-old girl that resulted in her pregnancy. As a result of this relationship, respondent was subsequently charged in 2003 with rape in the third degree, criminal sexual act in the third degree and endangering the welfare of a child. Respondent, however, absconded and was not prosecuted until 2005 when he was apprehended in Florida and returned to New York. Respondent pleaded guilty to criminal sexual act in the third degree and received a sentence of 2 to 4 years' imprisonment.

While incarcerated, respondent was interviewed, at the request of the New York State Office of Mental Health, by Dr. Jacob E. Hadden, a licensed psychologist and psychiatric examiner. As a result of his personal examination of respondent and a review of the available criminal records, Dr. Hadden diagnosed respondent with paraphilia not otherwise specified (paraphilia NOS), antisocial personality disorder, as well as alcohol abuse. In a written evaluation report, Dr. Hadden concluded that respondent suffers from a mental abnormality within the meaning of article 10 of the Mental Hygiene Law that predisposes him to the commission of sexual offenses and makes it difficult for him to control such behavior. Specifically, Dr. Hadden noted that respondent's criminal history "demonstrated a deviant sexual interest in adolescents below the age of consent" and "his six year pattern of sexual offending behavior toward adolescent females, despite repeated sanctions, and his pronounced cognitive distortions involving sexual relationships with children indicate the presence of a paraphilic disorder with regard to nonconsenting adolescent females." Significantly, it was observed that respondent was "unable to give a coherent explanation of why adults should not have sex with children" and instead "he expressed frustration with several of his victims that they reported the incidents."

As a result, the State filed a petition commencing a proceeding under article 10 for the civil management of respondent (Mental Hygiene Law § 10.06 [a]). In an ensuing probable cause hearing, Supreme Court concluded that probable cause had been established that respondent was a sex offender requiring civil management and directed that he be detained at a secure

treatment facility pending trial (Mental Hygiene Law § 10.06 [k]).<sup>1</sup>

At the subsequent nonjury trial, Dr. Hadden reiterated his prior conclusions, opining that respondent suffers from paraphilia NOS, antisocial personality disorder and alcohol abuse without physiological dependence in a controlled environment. Paraphilia NOS was defined as “recurrent and intense sexual fantasies, urges, or behaviors which involve . . . [t]he physical or psychological suffering, including the humiliation of oneself or one’s partner or children or other nonconsenting partners which occurs over a period of at least six months and results in personal distress or impairment in some clinically significant area of functioning.” According to Dr. Hadden, respondent’s “four sex offenses with nonconsenting partners” fell within the plain definition of paraphilia NOS; more notably, the 1997, 1999 and 2003 offenses also demonstrated respondent’s particular sexual proclivity for females below the age of consent. In Dr. Hadden’s view, respondent’s continuous engagement in sexual relationships with pubescent females, despite his extensive criminal punishments and ostensible attraction to adult females, evinced a compulsive attraction to minor, adolescent females. It was further concluded that respondent’s “impulsive” behavior and “irritability and aggressiveness,” supported a finding that his paraphilic urges constituted a “congenital or acquired condition” affecting his “emotional, cognitive [and] volitional capacity” and ability to control his sexual offending conduct.

Dr. Stuart M. Kirschner similarly diagnosed respondent as suffering from paraphilia NOS based on his personal examination of respondent and review of respondent’s criminal history. Dr. Kirschner determined that respondent’s sexual history, particularly his recurrent sexual offenses involving nonconsenting minors, satisfied the diagnostic criteria for paraphilia NOS and reflected an apparent attraction to pubescent girls—a form of paraphilia known as hebephilia. Dr. Kirschner further testified that the absence of hebephilia from the Diagnostic and Statistical Manual of Mental Disorders (DSM), an authoritative text widely used in the mental health profession, would not preclude such a diagnosis, explaining that the DSM “is

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1. At the conclusion of the probable cause hearing, respondent signed a written consent form to remain in the custody of the Department of Correctional Services at the Wyoming Correctional Facility pending trial.

extremely limited in terms of the paraphilias that are cited” as it only lists “some of the things that a clinician might address in the manual” and, thus, is not intended to be “exhaustive in that sense.”

Dr. Charles P. Ewing, who testified on respondent’s behalf, concluded otherwise, stating that there was insufficient evidence to determine that respondent suffers from recurrent, intense sexual urges or behaviors. In Dr. Ewing’s view, there was no evidence that respondent “was sexually aroused particularly by teenage girls”; the three criminal incidents involving pubescent females constituted forcible rape and statutory rape, but were statistically insignificant to base a complete diagnosis that respondent suffers from a mental abnormality. Although he testified that paraphilia NOS is recognized by the DSM, Dr. Ewing took issue with the diagnoses of paraphilia NOS and hebephilia, arguing that hebephilia is neither abnormal nor deviant as “most males are sexually attracted to fully formed pubescent women.” Moreover, Dr. Ewing stated that a diagnosis of paraphilia NOS should be reserved for individuals who suffer from sexual disorders that are widely recognized by the medical community and are so unusual as to be “statistically deviant” and “morally deviant,” such as pedophilia.

Supreme Court concluded that the State had proven by clear and convincing evidence that respondent suffers from a mental abnormality under article 10 and ordered a dispositional hearing (Mental Hygiene Law § 10.07 [d]). At the subsequent hearing, respondent was found to be a dangerous sex offender requiring civil confinement and was ordered to be committed to a secure treatment facility (Mental Hygiene Law § 10.07 [f]).

The Appellate Division unanimously affirmed (85 AD3d 1646 [4th Dept 2011]) and this Court granted respondent leave to appeal (17 NY3d 894 [2011]).

Respondent’s primary contention on this appeal is that absent a diagnosis of a mental disease or disorder listed within the DSM, the evidence is legally insufficient to support a determination that an individual suffers from a mental abnormality under the Mental Hygiene Law. Specifically, respondent asserts that a diagnosis of a mental disorder or defect not contained within the DSM renders it unreliable and militates against its viability as a predicate medical condition for a finding of a mental abnormality.

The United States Supreme Court has previously remarked that “the States have, over the years, developed numerous specialized terms to define mental health concepts” (*Kansas v Hendricks*, 521 US 346, 359 [1997]), and in the context of civil confinement of dangerous sexual offenders, state legislatures have been granted the latitude to utilize phraseology that, while informed by prevailing medical knowledge, is intended to have greater legal, and not medical, significance. Thus, in the civil confinement arena, there will undoubtedly be an “imperfect fit between the questions of ultimate concern to the law and the information contained in [the DSM’s] clinical diagnosis” (*Clark v Arizona*, 548 US 735, 775 [2006]; *Kansas v Crane*, 534 US 407, 413 [2002] [“(T)he science of psychiatry, which informs but does not control ultimate legal determinations, is an ever-advancing science, whose distinctions do not seek precisely to mirror those of the law”]). In New York, the plain language of Mental Hygiene Law § 10.03 (i), in defining a mental abnormality,<sup>2</sup> like the analogue statutes of several states (see *In re Commitment of Frankovitch*, 211 Ariz 370, 375, 121 P3d 1240, 1245 [Ct App 2005]; *Commonwealth v Starkus*, 69 Mass App Ct 326, 336, 867 NE2d 811, 820 [2007]), does not reference or require that a diagnosis be limited to mental disorders enumerated within the DSM. Therefore, contrary to respondent’s argument, a mental abnormality “need not necessarily be one so identified in the DSM in order to meet the statutory requirement” (*United States v Carta*, 592 F3d 34, 40 [1st Cir 2010]).

Respondent also asserts that a diagnosis lacking in recognition by the mental health community and scientific foundation would contravene the rehabilitative purpose of article 10, thereby indefinitely confining offenders for want of a meaningful way to cure or mitigate mental disorders or defects that predispose offenders to the commission of sexual offenses. That is, no cure exists for an amorphously defined and medically tenuous diagnosis. Understandably, respondent fears the widespread use of untested, nascent or outlier mental disorders or defects in article 10 civil confinement proceedings. Certain diagnoses may, of course, be premised on such scant or untested evidence and “be so devoid of content, or so near-universal in

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2. A mental abnormality is defined as “a congenital or acquired condition, disease or disorder that affects the emotional, cognitive, or volitional capacity of a person in a manner that predisposes him or her to the commission of conduct constituting a sex offense and that results in that person having serious difficulty in controlling such conduct” (Mental Hygiene Law § 10.03 [i]).

[their] rejection by mental health professionals,” as to be violative of constitutional due process and preclude their meaningful use in civil confinement proceedings (*McGee v Bartow*, 593 F3d 556, 577 [7th Cir 2010]). Paraphilia NOS, however, has been found to be a viable predicate mental disorder or defect that comports with minimal due process (see *Carta*, 592 F3d at 40-42; *Brown v Watters*, 599 F3d 602, 611-612 [7th Cir 2010]; *McGee*, 593 F3d at 567-572). Furthermore, any issue pertaining to the reliability of paraphilia NOS as a predicate condition for a finding of mental abnormality has been viewed as a factor relevant to the weight to be attributed to the diagnosis, an issue properly reserved for resolution by the factfinder (see *Matter of State of New York v Leon F.*, 84 AD3d 1098, 1100-1101 [2d Dept 2011]; *Matter of State of New York v Myron P.*, 86 AD3d 26, 28 [3d Dept 2011]; *Carta*, 592 F3d at 39-40; *Brown*, 599 F3d at 612). Any professional debate over the viability and reliability of paraphilia NOS is subject to the adversarial process which, by vigorous cross-examination, would “expose the strengths and weaknesses of the professional medical opinions offered” in reaching a considered legal determination as to whether a respondent suffers a mental abnormality, as defined by statute (*Brown*, 599 F3d at 612; *Matter of State of New York v Andrew O.*, 16 NY3d 841, 844 [2011] [“The trial, however, boiled down to a battle of the experts”]).

In any event, respondent was diagnosed by the State’s experts as suffering from paraphilia NOS, a mental condition included in the DSM, as Dr. Ewing agreed. Indeed, Dr. Kirschner explained that each recognized diagnostic group in the DSM includes a respective “not otherwise specified category,” including paraphilia. Paraphilia NOS was described as “recurrent, intense sexually arousing fantasies, sexual urges, or behaviors” that “cause clinically significant distress or impairment in social, occupational, or other important areas of functioning” and are directed at, as relevant here, the suffering or humiliation of “children or other nonconsenting persons.” Respondent’s behavior was found to satisfy these criteria, and was particularly characterized as hebephilia, a condition subsumed by the paraphilia NOS subcategory.

As such, on the particular facts presented here, there was an adequate record to assess the diagnosis of paraphilia NOS and we find no basis to disturb the affirmed findings of the lower court. The State’s expert witnesses opined that respondent’s 1997, 1999 and 2003 sexual offenses against adolescent victims

demonstrated an attraction to nonconsenting minors that satisfied the plain definition of paraphilia NOS and evinced symptoms of hebephilia. Further, to establish that respondent's sexual offenses were the result of a mental abnormality, and not merely a series of isolated criminal incidents, both Drs. Hadden and Kirschner identified respondent's lack of compunction and incapability to comprehend the inappropriateness of his conduct. More significantly, respondent's recurrent engagement in sexual conduct with pubescent females, despite numerous criminal sanctions and an asserted attraction to adult females, coupled with his impulsive sexual behavior, amply demonstrated respondent's compulsion to act upon sexual urges pertaining to pubescent females, thus supporting a finding that respondent suffers from a mental abnormality "involving such a strong predisposition to commit sex offenses, and such an inability to control behavior, that the person is likely to be a danger to others and to commit sex offenses if not confined to a secure treatment facility" (Mental Hygiene Law § 10.03 [e]; *see Matter of State of New York v Donald N.*, 63 AD3d 1391, 1394 [3d Dept 2009]; *Matter of State of New York v Derrick B.*, 68 AD3d 1124, 1126-1127 [2d Dept 2009]; *Matter of John N.*, 52 AD3d 834, 835-836 [2d Dept 2008]).

Respondent's remaining contentions are either unpreserved or without merit.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

SMITH, J. (dissenting). It is established that statutes like Mental Hygiene Law article 10, under which sex offenders who have mental abnormalities that make them dangerous may be committed to mental health facilities "for care, treatment and control" (Mental Hygiene Law § 10.06 [k]), are constitutional (*Kansas v Hendricks*, 521 US 346 [1997]). And even if the question had not already been decided, it would be hard to argue that the civil commitment of mentally abnormal sex offenders is constitutionally forbidden per se. It is permissible, as a general rule, to use civil proceedings to commit to institutions people who are mentally ill and dangerous to themselves or others (*see Addington v Texas*, 441 US 418 [1979]), and it hardly seems possible that dangerous sex offenders could be an exception to that rule.

Nevertheless, article 10 and kindred statutes create dangers of abuse—abuse that could threaten some very important



principles. Many sex offenders are, or could reasonably be found to be, dangerous, and in common parlance they all have mental abnormalities: Mentally normal people do not commit sex crimes. Thus, unless “mental abnormality” is defined with scientific rigor, such statutes could become a license to lock up indefinitely, without invoking the cumbersome procedures of the criminal law, every sex offender a judge or jury thinks likely to offend again.

Some will intuitively respond: Not a bad idea. But it is a very bad idea, because not even a concern for public safety should be allowed to trump certain fundamental rules. Among them are that criminals can be confined only for crimes they have committed, after their guilt is proved beyond a reasonable doubt in a procedure in which they receive the many protections that our Constitution gives to those accused of crime, and that even when convicted they can be incarcerated for no more than the term of the maximum sentence provided by law. If the present sentences for sex offenders are too short, the legislature should make them longer, but it should not, and constitutionally cannot, simply substitute civil for criminal proceedings as a means of keeping dangerous criminals off the streets (*see Kansas v Hendricks*, 521 US at 372-373 [Kennedy, J., concurring]).

Thus the scope of statutes permitting the civil commitment of sex offenders must be kept within strict bounds. The United States Supreme Court, even while upholding such statutes, has made that clear. In his concurring opinion in *Hendricks*, Justice Kennedy—whose vote was necessary to the decision—wrote separately “to caution against dangers inherent when a civil confinement law is used in conjunction with the criminal process” (521 US at 371-372 [Kennedy, J., concurring]). He remarked: “If . . . civil confinement were to become a mechanism for retribution or general deterrence, or if it were shown that mental abnormality is too imprecise a category to offer a solid basis for concluding that civil detention is justified, our precedents would not suffice to validate it” (*id.* at 373; *see also Kansas v Crane*, 534 US 407, 412 [2002] [quoting Justice Kennedy’s *Hendricks* concurrence]; *Foucha v Louisiana*, 504 US 71, 82-83 [1992]).

The Supreme Court has warned that the application of statutes like article 10 must be limited to people who can be shown by scientifically valid criteria to have a “serious mental illness, abnormality, or disorder”—one that distinguishes them “from the dangerous but typical recidivist convicted in an

ordinary criminal case” (*Kansas v Crane*, 534 US at 413). Appellant here seems to me to be a prototype of “the dangerous but typical recidivist convicted in an ordinary criminal case.” I see nothing in this record to support a finding that he is any more mentally abnormal than any other repeat sex offender. I therefore dissent from the majority’s holding that he may be committed indefinitely to a mental health facility in a civil proceeding.

The majority accepts as sufficient to support civil commitment the diagnoses proffered by the State’s experts that appellant suffers from “paraphilia not otherwise specified” (paraphilia NOS) and “hebephilia.” The majority also mentions the State experts’ diagnosis of “antisocial personality disorder” (ASPD) (majority op at 103), but wisely does not rely on it, for ASPD, at least as used by the State’s experts in this case, means little more than a deep-seated tendency to commit crimes. One of the State’s experts acknowledged that “maybe somewhere around half” of the prison population could be labeled as having ASPD. If a diagnosis of ASPD could support civil commitment, the State could have locked up half of those now in prison without bothering with the complexities of the criminal law.

The diagnoses the majority does accept, paraphilia NOS and hebephilia, are problematic for several reasons. As applied to this case, they are not supported by the current edition of the Diagnostic and Statistical Manual of Mental Disorders (DSM-IV-TR), the standard classification used by mental health professionals in this country. Paraphilia NOS is listed in the DSM-IV-TR, but only as a “residual category” for “Paraphilias that are less frequently encountered” (DSM-IV-TR at 567)—examples given include necrophilia (attraction to corpses) and zoophilia (to animals) (*id.* at 576). The DSM-IV-TR description of paraphilia NOS is plainly not applicable to the appellant’s “abnormality”—a tendency to have sex with teenaged girls. And hebephilia—a State’s expert’s name for that tendency—is not in the DSM-IV-TR at all.

Appellant’s expert gave testimony that seems to me to support a finding that these two diagnoses, as presented by the State’s experts, amount to junk science devised for the purpose of locking up dangerous criminals. I have grave doubt whether either diagnosis would survive a *Frye* hearing to determine whether it is “sufficiently established to have gained general acceptance” in the psychiatric community (*Frye v United States*, 293 F 1013, 1014 [DC Cir 1923]). But no *Frye* hearing was held,

the factfinder below accepted the State's experts' testimony, and I am not prepared to say as a matter of law that no diagnosis not mentioned in the DSM-IV-TR can have scientific validity. Thus I will assume for present purposes that the diagnoses of paraphilia NOS and hebephilia on which the State relied are scientifically defensible.

Even on that assumption, these diagnoses cannot be the basis for civil commitment in a case like this. That is because they do not perform the task that the Supreme Court in *Crane* said such a diagnosis must perform: "to distinguish the dangerous sexual offender whose serious mental illness, abnormality, or disorder subjects him to civil commitment from the dangerous but typical recidivist convicted in an ordinary criminal case" (534 US at 413). As to paraphilia NOS, I can demonstrate the problem simply by repeating the majority's quotation from a State expert's definition of that ailment:

"recurrent and intense sexual fantasies, urges, or behaviors which involve . . . [t]he physical or psychological suffering, including the humiliation of oneself or one's partner or children or other non-consenting partners which occurs over a period of at least six months and results in personal distress or impairment in some clinically significant area of functioning" (majority op at 104).

This could describe the mental state of every dangerous rapist.

As for hebephilia, an expert testifying for the State defined it by distinguishing it from an indisputably recognized disorder, pedophilia, an attraction to prepubescent children. There is no evidence, the expert acknowledged, that appellant is a pedophile; rather he "is more inclined toward pubescent females, which would technically make him more of a hebephile." But of course, the idea that a man's mere *attraction* to pubescent females is abnormal is absurd. What is abnormal about appellant, and others who commit statutory rape by having sex with girls below the age of consent, is not that they find the girls attractive, but that they are willing to exploit them for their sexual pleasure—in other words, they commit statutory rape.

In short, in the State's lexicon, paraphilia NOS is essentially a tendency to commit rape, and hebephilia a tendency to commit statutory rape. If these are mental abnormalities warranting civil commitment, most if not all of the people who commit these crimes can be civilly committed. But, as Justice Kennedy

pointed out in his *Hendricks* concurrence, a statutory interpretation that permits “civil confinement . . . to become a mechanism for retribution or general deterrence” cannot be sustained under Supreme Court precedent (521 US at 373).

Appellant seems, from the record in this case, to be a very bad actor. The community may well be safer if he is kept behind bars. But to put him there on the fiction that he has some sort of mental condition other than a tendency to commit the crimes for which he was convicted (and has served his time) is and should be constitutionally unacceptable. I therefore dissent.

Judges CIPARICK, GRAFFEO and READ concur with Judge JONES; Judge SMITH dissents in a separate opinion in which Chief Judge LIPPMAN and Judge PIGOTT concur.

Order affirmed, without costs.

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[980 NE2d 940, 957 NYS2d 275]

J. D'ADDARIO & COMPANY, INC., Respondent, v EMBASSY INDUSTRIES, INC., Appellant.

Argued October 11, 2012; decided November 19, 2012

### SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered April 26, 2011. The Appellate Division (1) affirmed so much of a judgment of Supreme Court, Suffolk County (Elizabeth H. Emerson, J.), which had awarded defendant the principal sum of \$650,000 and costs in the sum of \$2,868.50, (2) dismissed, as academic, so much of the judgment as had awarded defendant prejudgment interest in the sum of \$224,538.27, and (3) reversed, on the facts and in the exercise of discretion, an order of the same Supreme Court, which had denied a motion by plaintiff to, in effect, vacate portions of a decision and the judgment of that Supreme Court awarding defendant prejudgment interest, (4) granted plaintiff's motion, (5) vacated so much of the judgment as had awarded prejudgment interest, and (6) remitted the matter to Supreme Court for the entry of an appropriate amended judgment.

*J. D'Addario & Co., Inc. v Embassy Indus., Inc.*, 83 AD3d 1001, affirmed.

### HEADNOTE

#### **Interest — Prejudgment Interest — Breach of Contract Action — Liquidated Damages**

In an action arising out of a failed commercial real estate transaction, the parties' contract language specifying that the seller's "sole remedy" was liquidated damages in the form of retaining the down payment and that the seller had "no further rights" against the defaulting purchaser, trumped language in CPLR 5001 (a) directing that statutory interest be awarded in a contract dispute. The terms of the contract, which was negotiated at arm's length with each party represented by counsel, were controlling and defendant seller was not entitled to statutory interest. In breach of contract cases where parties do not specify the exclusive remedy, CPLR 5001 (a) requires that statutory interest be paid, and there is no requirement that the breaching party obtain some benefit from the wronged party's money for statutory interest to be paid, since the principle behind prejudgment interest is that the breaching party should compensate the wronged party for the loss of use of the money. The parties' contract required that the down payment be placed in an interest bearing account so that the party entitled to the down payment would receive compensation for the deprivation of its use of the money in the form of bank accrued interest. Regardless of what the statute customarily requires in terms of statutory interest for breach of contract cases, the parties decided that the

amount escrowed should be the exclusive remedy to the wronged party. Parties to a civil dispute are free to chart their own course and, unless public policy is affronted, they may fashion how damages are to be computed without interference by the courts.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Contracts § 699; AM JUR 2d, Damages §§ 464, 465, 467, 471; AM JUR 2d, Interest and Usury § 39; AM JUR 2d, Vendor and Purchaser §§ 452-454, 485.  
 CARMODY-WAIT 2d, Judgments §§ 63:68, 63:73, 63:77, 63:78, 63:82, 63:83.  
 MCKINNEY'S, CPLR 5001 (a).  
 NY JUR 2d, Contracts § 435; NY JUR 2d, Damages §§ 118, 119; NY JUR 2d, Interest and Usury §§ 15, 35; NY JUR 2d, Real Property Sales and Exchanges §§ 187, 190, 205, 207.  
 NEW YORK REAL PROPERTY SERVICE §§ 25:6, 25:7.  
 SIEGEL, NY PRAC § 411.  
 WILLISTON ON CONTRACTS (4th ed) §§ 65:31, 66:110.

### ANNOTATION REFERENCE

See ALR Index under Liquidated Damages; Prejudgment Interest; Sale and Transfer of Property.

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### POINTS OF COUNSEL

*Rosenberg Fortuna & Laitman, LLP*, Garden City (David I. Rosenberg and Anthony R. Filosa of counsel), for appellant. I. The Appellate Division erred in holding that the Supreme Court had discretion to deny Embassy Industries, Inc. prejudgment interest. (*Manufacturer's & Traders Trust Co. v Reliance Ins. Co.*, 8 NY3d 583; *Spodek v Park Prop. Dev. Assoc.*, 96 NY2d 577; *John Hancock Life Ins. Co. of N.Y. v Hirsch*, 77 AD3d 710; *Baer v Anesthesia Assoc. of Mount Kisco, LLP*, 57 AD3d 817; *Delulio v 320-57 Corp.*, 99 AD2d 253; *Cantelmo v Knaust*, 206 AD2d 743; *Deutsche Bank Trust Co., Ams. v Stathakis*, 90 AD3d 983; *Brushton-Moira Cent. School Dist. v Thomas Assoc.*, 91 NY2d 256; *Solow v Wellner*, 86 NY2d 582; *Gizzi v Hall*, 309 AD2d 1140.) II. The law of contract damages compels that Embassy



Industries, Inc. be made whole for the separate and distinct wrong of the deprivation of the use of the down payment from the date of the breach of the contract. (*Brushton-Moira Cent. School Dist. v Thomas Assoc.*, 91 NY2d 256; *Spodek v Park Prop. Dev. Assoc.*, 96 NY2d 577; *Lawyers' Fund for Client Protection of State of N.Y. v Bank Leumi Trust Co. of N.Y.*, 94 NY2d 398; *Preston Co. v Funkhouser*, 261 NY 140; *NML Capital v Republic of Argentina*, 17 NY3d 250; *Downtown Harvard Lunch Club v Racso, Inc.*, 201 Misc 1087; *Shubert v Sondheim*, 138 App Div 800, 203 NY 636.) III. The order is judicial legislation under the guise of statutory interpretation. (*Manufacturer's & Traders Trust Co. v Reliance Ins. Co.*, 8 NY3d 583; *Weinberg v D-M Rest. Corp.*, 53 NY2d 499; *Pajak v Pajak*, 56 NY2d 394; *Matter of Metropolitan Life Ins. Co. v Boland*, 281 NY 357; *Bradley v Buffalo, N.Y. & Erie R.R. Co.*, 34 NY 427; *Matter of Lloyd v Grella*, 83 NY2d 537; *Matter of Yong-Myun Rho v Ambach*, 74 NY2d 318.)

*Lamb & Barnosky, LLP*, Melville (Scott M. Karson and Michael F. Mullen of counsel), for respondent. I. The law in New York is clear that when parties set down their agreement in a clear, complete document, that agreement must be enforced according to its terms. (*Clement v Cash*, 21 NY 253; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Venetoklis Family L.P. v Kora Devs., LLC*, 74 AD3d 1057; *Grace v Nappa*, 46 NY2d 560; *Truck Rent-A-Ctr. v Puritan Farms 2nd*, 41 NY2d 420; *Maxton Bldrs. v Lo Galbo*, 68 NY2d 373; *Lawrence v Miller*, 86 NY 131; *Mitchell v New York Hosp.*, 61 NY2d 208; *T. W. Oil v Consolidated Edison Co. of N.Y.*, 57 NY2d 574; *Rector, Church Wardens & Vestrymen of St. Bartholomew's Church in City of N.Y. v Committee to Preserve St. Bartholomew's Church*, 56 NY2d 71.) II. None of the cases cited by Embassy Industries, Inc. apply here because none involved liquidated damages. (*Spodek v Park Prop. Dev. Assoc.*, 96 NY2d 577; *Prager v New Jersey Fid. & Plate Glass Ins. Co. of Newark, N.J.*, 245 NY 1; *Manufacturer's & Traders Trust Co. v Reliance Ins. Co.*, 8 NY3d 583; *Love v State of New York*, 78 NY2d 540; *Toledo v Iglesia Ni Christo*, 18 NY3d 363; *Gizzi v Hall*, 309 AD2d 1140; *S&S Mgt., LLC v Berk*, 65 AD3d 1031.)

#### OPINION OF THE COURT

Chief Judge LIPPMAN.

At issue in this appeal is whether the parties' contract language specifying that the seller's "sole remedy" was liquidated

damages and the seller had “no further rights” against the defaulting purchaser, trumps language in CPLR 5001 (a) directing that statutory interest be awarded in a contract dispute. The terms of the contract are controlling here, and thereunder, we hold that defendant Embassy Industries is not entitled to statutory interest.

By real estate contract dated January 13, 2006, defendant Embassy Industries, Inc. (Embassy) agreed to sell commercial real property located in Farmingdale, New York to plaintiff J. D’Addario & Company (D’Addario) for \$6.5 million. D’Addario deposited 10% of the purchase price (\$650,000), the down payment under the contract, in escrow with Embassy’s attorney (the Escrow Agent). The contract provided that the down payment would be held at an interest-bearing account at North Fork Bank in Melville, New York. The contract further stated that the Escrow Agent would hold the down payment until the closing or termination of the contract and “pay over the interest or income earned thereon, if any, to the party entitled to the Downpayment.” If the closing did not occur and either party disputed the other’s written demand for the down payment, then the Escrow Agent would “continue to hold the Downpayment until otherwise directed by written instructions from Seller and Purchaser or a final judgment of a court of competent jurisdiction.”

Negotiating at arm’s length and each represented by counsel, the parties agreed in the liquidated damages clause that the seller’s “sole remedy” and the purchaser’s “sole obligation” would be the \$650,000 down payment plus bank-accrued interest. The seller would also have “no further rights or causes of action” against the purchaser in the event of a default. The liquidated damages clause provided that

“[i]f Purchaser defaults, the entire damages which Seller will thereby sustain cannot be exactly determined; therefore, it is agreed that in the event of any default by Purchaser, all amounts paid by Purchaser as a deposit . . . shall be considered as liquidated damages . . . and be permanently retained by Seller as Seller’s sole remedy and Purchaser’s sole obligation in any and all events. . . . Seller shall retain such amounts as liquidated damages and no further rights or causes of action shall remain against Purchaser, nor shall Purchaser have any further rights under this Contract or otherwise, with respect to Seller . . . .”

Subsequent to the signing of the contract, Embassy scheduled a time-of-the-essence closing for July 31, 2006. On July 21, 2006, D'Addario purported to terminate the contract and did not attend the convened closing on July 31. D'Addario believed it had timely and effectively terminated the contract by reason of Embassy's inability to certify that groundwater contamination at the site had been addressed to the satisfaction of regulatory authorities. Embassy declared D'Addario to be in default by reason of its failure to appear at the closing and retained D'Addario's \$650,000 down payment as liquidated damages pursuant to the contract.

D'Addario commenced the underlying action to recover its down payment, and Embassy counterclaimed, alleging that D'Addario defaulted by failing to appear at the closing. After a non-jury trial, Supreme Court rendered a judgment which awarded Embassy the \$650,000 down payment plus 9% statutory interest and costs, for a total of \$877,406.

The Appellate Division modified to vacate the award of statutory interest, holding that "Supreme Court improvidently exercised its discretion in awarding statutory prejudgment interest" (*J. D'Addario & Co., Inc. v Embassy Indus., Inc.*, 83 AD3d 1001, 1003 [2d Dept 2011]). Supreme Court then issued an amended judgment directing the Escrow Agent to turn over the down payment and bank-account interest accrued to Embassy.

We granted Embassy leave to appeal (18 NY3d 802 [2011]). The only issue raised is Embassy's entitlement to statutory prejudgment interest, and we now affirm, although on different grounds from those stated by the Appellate Division.

In breach of contract cases where parties do not specify the exclusive remedy, CPLR 5001 (a) requires that statutory interest be paid. CPLR 5001 (a) states that "[i]nterest *shall* be recovered upon a sum awarded because of a breach of performance of a contract" (emphasis added). The plain language of CPLR 5001 (a) "mandates the award of interest to verdict in breach of contract actions" (*Spodek v Park Prop. Dev. Assoc.*, 96 NY2d 577, 581 [2001]). There is no requirement that the breaching party obtain some benefit from the wronged party's money for statutory interest to be paid. The principle behind prejudgment interest is that the breaching party should compensate the wronged party for the loss of use of the money (see *NML Capital v Republic of Argentina*, 17 NY3d 250, 266 [2011]). We have previously stated that "interest is not a penalty" (*Love v*

*State of New York*, 78 NY2d 540, 544 [1991]), and the purpose of ordering statutory interest on amounts in escrow is not to punish the breaching party. The breaching party is required to pay interest despite lacking possession or enjoyment of the property in order “to make [the] aggrieved party whole” (*Spodek v Park Prop. Dev. Assoc.*, 96 NY2d at 581).

This long-recognized principle is not in conflict with our holding in *Manufacturer’s & Traders Trust Co. v Reliance Ins. Co.* (8 NY3d 583 [2007]), an equitable interpleader action where we ruled that the trial court did not have discretion to award statutory interest. In *Manufacturer’s*, we held that in an interpleader action where the losing co-claimants were not guilty of any breach, no sum is “awarded” under CPLR 5001 (a) against those who lose (*see id.* at 589). No judgment was entered against the losing claimants in *Manufacturer’s*, whereas in a breach of contract case, interest must be paid by the party against whom judgment is entered. We recognized a “fundamental objection” to awarding statutory interest in *Manufacturer’s* because the losing claimants were “not . . . found to have breached any contract,” not because the co-claimants received no benefit from the disputed funds while it was held in escrow (*see id.*).

In this case, however, Embassy and D’Addario agreed at the time of contract formation that the “sole remedy” for Embassy and the “sole obligation” of D’Addario in the event of a purchaser default would be an award of the down payment. Moreover, the parties agreed that the seller would have “no further rights” against the purchaser once the down payment was paid as liquidated damages. The contract required that the down payment be placed in an interest-bearing account, so that the party entitled to the down payment would receive compensation for the deprivation of its use of the money in the form of bank-accrued interest. Embassy’s contention that the contract never expressly mentioned statutory interest, and that therefore their right thereto was not waived, is unpersuasive. The use of the terms “sole remedy,” “sole obligation,” and “no further rights” by the parties, together with the provision for interest on the escrowed sum, was sufficiently clear to establish for purposes of this transaction that interest paid at the statutory rate was not contemplated by the parties at the time the contract was formed. We held in *W.W.W. Assoc. v Giancontieri* (77 NY2d 157, 162 [1990]) that “when parties set down their agreement in a clear, complete document, their writing should as a rule be enforced according to its terms.” Regardless of what CPLR 5001 (a)

customarily requires in terms of statutory interest for breach of contract cases, the parties here decided that the amount escrowed should be the exclusive remedy to the wronged party. As we stated in *Town of Orangetown v Magee* (88 NY2d 41, 54 [1996]), “parties to a civil dispute are free to chart their own course and, unless public policy is affronted, they may fashion . . . how damages are to be computed without interference by the courts.” In many cases, we have allowed parties to agree to give up statutory or constitutional rights in a contract, as long as public policy is not violated. Therefore, the exclusive remedy that the parties fashioned here should be honored.

In *Manufacturer’s*, we chastised the parties for the “inexplicable failure by all concerned to arrange for the payment of a meaningful interest rate on the escrowed money” (8 NY3d at 590). Here, the parties placed the down payment in an interest-bearing account as the contract required. It may be worth repeating, however, that parties should make it a matter of routine to decide in advance whether statutory interest is to be paid on amounts held in escrow. A contract clause providing that no statutory interest would accrue during an escrow dispute would have prevented this litigation altogether. But the language that was used, that the down payment on the property was to be the “sole remedy” for a breach by the purchaser and that the seller had “no further rights” against purchaser, is sufficiently clear in the end to reach the same result. The contract language will always control, as it should in this case.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

GRAFFEO, J. (dissenting). I respectfully dissent because I disagree that the liquidated damages provision in the parties’ contract vitiates the prejudgment interest provided in CPLR 5001 (a).

In a breach of contract action, an award of prejudgment interest is required under CPLR 5001 (a) (“[i]nterest shall be recovered upon a sum awarded because of a breach of performance of a contract”) and the accrual of interest is mandatory (see *Matter of Syquia v Board of Educ. of Harpursville Cent. School Dist.*, 80 NY2d 531, 536 [1992] [legislature’s use of the term “shall” implies “duty, not discretion”]; see also *Gizzi v Hall*, 309 AD2d 1140, 1142 [3d Dept 2003]). As the majority correctly recognizes, “interest is not a punishment arbitrarily levied upon a culpable party” but compensation intended to



make whole the party aggrieved (*Mohassel v Fenwick*, 5 NY3d 44, 51 [2005]; *Spodek v Park Prop. Dev. Assoc.*, 96 NY2d 577, 581 [2001]).

It is common for parties contracting for the sale of real property to agree to limit a seller's damages to the amount of the buyer's down payment (see e.g. *Beagle Devs., LLC v Long Is. Beagle Club No. II, Inc.*, 63 AD3d 607, 608 [1st Dept 2009]; *Hegner v Reed*, 2 AD3d 683, 684-685 [2d Dept 2003]). The primary objective of this practice is to eliminate the purchaser's exposure to more costly potential damages (see *Federal Realty Ltd. Partnership v Choices Women's Med. Ctr.*, 289 AD2d 439, 441 [2d Dept 2001]). Liquidated damages clauses therefore are designed to foreclose causes of action seeking damages for expectation ("benefit of bargain" or lost profits) and reliance ("expenditures made in preparation for performance or in performance") that would otherwise be available to a seller or vendor (see *St. Lawrence Factory Stores v Ogdensburg Bridge & Port Auth.*, 13 NY3d 204, 208 [2009]). Before today, such contractual provisions were not interpreted to bar recovery of statutorily-mandated interest. Indeed, courts awarded prejudgment interest in similar cases in the past (see *Gargano v Rubin*, 200 AD2d 554, 556 [2d Dept 1994]; *Shubert v Sondheim*, 138 App Div 800, 806 [1st Dept 1910]; *Downtown Harvard Lunch Club v Racso, Inc.*, 201 Misc 1087, 1092 [Sup Ct, NY County 1951]; *Norris v McMechen*, 135 Misc 361, 363 [Sup Ct, Warren County 1930]). Prejudgment interest should not be viewed as an addition to stipulated damages as the majority seems to imply, but rather, should be viewed as representing compensation "for the different and distinct wrong of not paying the agreed sum when it was due" (*Downtown Harvard Lunch Club*, 201 Misc at 1092). Thus, in the absence of specific terms in the contract excluding prejudgment interest, I would not infer limitations on statutory interest in generic liquidated damages provisions.

Here, the parties' agreement stated that in the event of D'Addario's default, Embassy would be entitled to retain all amounts paid by D'Addario as a deposit.\* Yet, the stipulation did not mention statutory interest, much less exclude it. Nor

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\* The contract provided as follows:

"If [D'Addario] defaults, the entire damages which [Embassy] will thereby sustain cannot be exactly determined; therefore, it is agreed that in the event of any default by [D'Addario], all

(n. cont'd)



does it follow that the parties intended to exempt interest simply because they used the words “sole remedy” and “sole obligation” in the contract. Such language is frequently used in contractual damages clauses to restrict a party’s potential remedies and has no bearing on the availability of statutory interest. Similarly, contrary to the majority’s assertion, the phrase “no further rights or causes of action” plainly refers to the foreclosure of claims for other categories of damages, not prejudgment interest. In short, nothing in this boilerplate language suggests that the parties contemplated that interest would not accrue if D’Addario chose to contest Embassy’s claim to the down payment.

The entitlement to interest under CPLR 5001 (a) should also not depend on whether the down payment was placed in an escrow account managed by Embassy’s counsel during the four-year pendency of this litigation. Under the terms of the parties’ agreement, the attorney could not transfer the down payment to Embassy unless both Embassy and D’Addario agreed to release the funds. By refusing Embassy’s demand for disbursement, D’Addario effectively restrained Embassy’s use of the money for the remaining duration of the action. That refusal constituted a distinct and separate wrong not covered by the liquidated damages provision and prejudgment interest should have been awarded.

Accordingly, I would modify the Appellate Division order by reversing so much of it as vacated the Supreme Court’s judgment granting Embassy statutory interest, order that portion of the judgment reinstated and otherwise affirm.

Judges CIPARICK, READ and SMITH concur with Chief Judge LIPPMAN; Judge GRAFFEO dissents in a separate opinion in which Judge PIGOTT concurs.

Order affirmed, with costs.

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amounts paid by [D’Addario] as a deposit pursuant to this Contract shall be considered as liquidated damages for such failure or refusal of [D’Addario] to consummate this transaction or for any non-compliance, non-performance, breach or default by [D’Addario], and shall become the exclusive property of, and be permanently retained by [Embassy] as [Embassy’s] sole remedy and [D’Addario’s] sole obligation in any and all events. . . . [Embassy] shall retain such amounts as liquidated damages and no further rights or causes of action shall remain against [D’Addario] . . . .”

[980 NE2d 937, 957 NYS2d 272]

## THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SAMUEL WALKER, Appellant.

Argued October 16, 2012; decided November 19, 2012

## SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 7, 2011. The Appellate Division affirmed a judgment of Supreme Court, Erie County (M. William Boller, J.), which had convicted defendant, upon a plea of guilty, of criminal possession of a weapon in the second degree.

*People v Walker*, 88 AD3d 1287, affirmed.

## HEADNOTES

**Crimes — Unlawful Search and Seizure — Impoundment of Vehicle — Reasonable Police Procedure**

1. The police, having decided to arrest defendant for driving with a revoked license and to impound the car he was driving, were not constitutionally required to inquire whether defendant's passenger, who was not the registered owner of the car, was licensed and authorized to drive it, or to initiate a phone call to the owner, before impounding the vehicle. When the driver of a vehicle is arrested, the police may impound the car, and conduct an inventory search, where they act pursuant to reasonable police regulations relating to inventory procedures administered in good faith. The state police procedure to "tow the vehicle" if the operator's license "is either suspended or revoked" and the registered owner is not present was a reasonable procedure, at least as applied here, where no facts were brought to the arresting trooper's attention to show that impounding would be unnecessary. Neither defendant nor his passenger asked the trooper if the passenger could drive the car, or told him that she had a driver's license and the owner's permission to drive it. To require the police in such situations to raise the question, or to initiate a phone call to the owner, would create an administrative burden, and involve the police in making, and the courts in reviewing, difficult decisions in borderline cases where a person present claims to have the owner's permission to drive. Accordingly, the seizure of the car defendant was driving was not unreasonable.

**Crimes — Unlawful Search and Seizure — Impoundment of Vehicle — Inventory Search**

2. The inventory search of the impounded car defendant had been driving met the constitutional minimum standards requiring that an inventory search of a lawfully impounded vehicle be conducted pursuant to an established procedure that is related to the governmental interests it is intended to promote and that provides appropriate safeguards against police abuse. While defendant contended that the written policy that governed the search was never produced, the description of the policy by the state trooper who conducted the inventory search was very vague, and the descriptions of the returned

property on the inventory form would be of limited usefulness in the event the car's owner claimed that some of her property was missing, defense counsel failed to demand production of the policy. When a car has been lawfully impounded, the reasonable expectation of the person who was driving it that its contents will remain private is significantly diminished. While the police do not have carte blanche to conduct any search they want and call it an inventory search, and they must follow a reasonable procedure and prepare a meaningful inventory list, it would serve little purpose for courts to micro-manage the procedures used to search properly impounded cars. The inventory here, while not a model, was sufficient to meet the constitutional minimum.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic § 260; AM JUR 2d, Searches and Seizures §§ 61, 117, 120, 121, 171–173, 292–294.  
CARMODY-WAIT 2d, Search and Seizure §§ 173:331, 173:352, 173:354, 173:356, 173:357.  
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 3.7.  
NY JUR 2d, Automobiles and Other Vehicles §§ 543, 549;  
NY JUR 2d, Criminal Law: Procedure §§ 478, 503, 520, 522–525.

### ANNOTATION REFERENCE

Lawfulness of “inventory search” of motor vehicle impounded by police. 48 ALR3d 537.

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### POINTS OF COUNSEL

*Legal Aid Bureau of Buffalo, Inc.*, Buffalo (Kristin M. Preve, David C. Schopp and Barbara J. Davies of counsel), for appellant. The weapon and statements were obtained in violation of appellant's federal and state constitutional rights to be free from unreasonable searches and seizures and should have been suppressed. (*Arizona v Gant*, 556 US 332; *South Dakota v Opperman*, 428 US 364; *Colorado v Bertine*, 479 US 367; *Illinois v Lafayette*, 462 US 640; *Florida v Wells*, 495 US 1; *People v Galak*, 80 NY2d 715; *People v Wilburn*, 50 AD3d 1617; *People v Schwing*, 13 AD3d 725; *People v Iverson*, 22 Misc 3d 470; *United States v Caseres*, 533 F3d 1064.)

*Frank A. Sedita, III, District Attorney, Buffalo (Ashley R. Small and Donna A. Milling of counsel), for respondent.* Defendant's federal and state rights to be free from unreasonable searches and seizures were not violated. (*Miranda v Arizona*, 384 US 436; *People v Evans*, 65 NY2d 629; *People v Gomcin*, 8 NY3d 899; *Cady v Dombrowski*, 413 US 433; *South Dakota v Opperman*, 428 US 364; *United States v Caseres*, 533 F3d 1064; *Colorado v Bertine*, 479 US 367; *United States v Ramos-Morales*, 981 F2d 625, 508 US 926; *United States v Coccia*, 446 F3d 233, 549 US 1149; *United States v Jensen*, 425 F3d 698.)

#### OPINION OF THE COURT

SMITH, J.

Having decided to arrest defendant for driving with a revoked license, a police officer also decided to impound the car he was driving. The officer did not inquire whether defendant's passenger, who was not the registered owner of the car, was licensed and authorized to drive it. We hold that such an inquiry was not constitutionally required. We also hold that the officer's search of the car after he decided to impound it was a valid inventory search.

#### I

Defendant was indicted for criminal possession of a weapon in the second degree. At a suppression hearing, a state trooper testified that he stopped the car defendant was driving because the woman in the passenger seat (later identified as defendant's girlfriend) was not wearing a seatbelt. The trooper asked for defendant's license and registration; defendant provided the registration and an identification card, but not a license, and a computer check showed that defendant's driver's license had been revoked. The name on the registration was not that of either defendant or his passenger; according to evidence at the suppression hearing, the registered owner was defendant's sister.

The trooper decided to arrest defendant and to impound the car. Before the car was towed away, the trooper conducted what he described as an inventory search—a search in which “we go through the vehicle for any valuables and we have to write them down on a certain form.” In the course of the search, he discovered a handgun on the floorboard.

The trooper testified that the search was done pursuant to a written policy of the New York State Police; he described the

policy in general terms, but no copy was offered in evidence. The People did offer a completed “VEHICLE INVENTORY” form that the trooper had filled out, showing that, in addition to the handgun, he had recovered “MISC ITEMS” from the trunk and “PAPERWORK” from the glovebox, and that the contents of the trunk and glovebox had been returned.

Defendant’s motion to suppress the gun was denied. Defendant then pleaded guilty, without waiving his right to appeal. The Appellate Division affirmed (*People v Walker*, 88 AD3d 1287 [4th Dept 2011]). A Judge of this Court granted leave to appeal (18 NY3d 887 [2012]), and we now affirm.

## II

[1] Defendant argues that the state trooper acted unreasonably when he decided to impound and search the car without inquiring whether defendant’s girlfriend was licensed and authorized to drive it. We hold that no such inquiry was necessary.

When the driver of a vehicle is arrested, the police may impound the car, and conduct an inventory search, where they act pursuant to “reasonable police regulations relating to inventory procedures administered in good faith” (*Colorado v Bertine*, 479 US 367, 374 [1987]). Here, the trooper testified that it is state police procedure to “tow the vehicle” if the operator’s license “is either suspended or revoked” and the registered owner is not present. We hold this to be a reasonable procedure, at least as applied to this case, where no facts were brought to the trooper’s attention to show that impounding would be unnecessary.

Neither defendant nor his girlfriend asked the trooper if the girlfriend could drive the car, or told him that she had a driver’s license and the owner’s permission to drive it. The trooper was not required, as a matter of constitutional law, to raise the question, or to initiate a phone call to the owner. To impose such a requirement on police in such situations would not only create an administrative burden, but would involve them in making (and the courts in reviewing) difficult decisions in borderline cases. If a person present claims to have the owner’s permission to drive, must the police take her word for it? If the owner is called and does not answer immediately, must police wait for a call back? It is reasonable for the police to institute clear and easy-to-follow procedures that avoid such questions.

The issue in this case is a variant of the many that can arise when police arrest the driver of a vehicle, and must decide

whether to impound and search the vehicle, or to permit other arrangements. While our Court has apparently never considered a question factually close to this one, somewhat similar facts have produced a number of rulings from a number of courts, not all of them consistent. The leading treatise on the law of searches and seizures summarizes the cases in this way:

“There is a considerable body of authority that when the arrestee specifically requests that his car be lawfully parked in the vicinity of the arrest or that it be turned over to a friend, the police must honor this request. Several other cases hold or suggest that the police must take the initiative with respect to other apparent alternatives, such as permitting a licensed passenger to take custody of the car or lawfully parking the car at the scene, or at least that they must determine from the arrestee what disposition he wishes when he is competent to decide the matter. On the other hand, there are decisions which specifically reject such notions; it is said that officers are not required to take time out from their immediate purpose to allow their suspect to put his affairs in order and that an arresting officer has no mandatory legal duty to advise an arrestee of any administrative regulation authorizing the release of his automobile to a third party” (3 Wayne R. LaFave, *Search and Seizure* § 7.3 [c] at 618-621 [4th ed 2004] [footnotes and internal quotation marks omitted]).

We make no attempt to answer all the questions that may be raised in such cases. We hold only that the seizure of the car in this case was not unreasonable.

### III

[2] We have held that, even where a vehicle has been lawfully impounded, the inventory search itself must be conducted pursuant to “an established procedure” that is related “to the governmental interests it is intended to promote” and that provides “appropriate safeguards against police abuse” (*People v Galak*, 80 NY2d 715, 716 [1993]; *see also People v Johnson*, 1 NY3d 252 [2003]; *People v Gomez*, 13 NY3d 6 [2009]). Defendant argues that the inventory search in this case failed to meet this requirement. We reject the argument.

Defendant’s argument focuses on several alleged deficiencies in the proof relating to the inventory search: the written policy



that governed the search was never produced; the state trooper's description of the policy was very vague; and the descriptions of the returned property on the inventory form—"MISC ITEMS" and "PAPERWORK"—would be of limited usefulness in the event the car's owner claimed that some of her property was missing. These criticisms are not without force. Certainly, it would be better for a prosecutor seeking to prove the existence of a written policy to put a copy of the policy into evidence. On the other hand, defense counsel could have demanded that the policy be produced to help her cross-examine the trooper. She did not do so.

When a car has been lawfully impounded, the reasonable expectation of the person who was driving it that its contents will remain private is significantly diminished. In such a case, the driver presumably expects the police to find whatever is in the car. *Galak, Johnson* and *Gomez* establish that this does not give the police carte blanche to conduct any search they want and call it an "inventory search." The police must follow a reasonable procedure, and must prepare a "meaningful inventory list" (*Johnson*, 1 NY3d at 256). But it would serve little purpose for courts to micromanage the procedures used to search properly impounded cars. The United States Supreme Court implicitly recognized as much in *Bertine* by upholding as constitutionally valid a search producing what a trial court had found to be a "somewhat slipshod" inventory (479 US at 369; *see id.* at 383 [Marshall, J., dissenting] [describing the inventory's deficiencies]). The inventory here, while not a model, was sufficient to meet the constitutional minimum.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ and PIGOTT concur.

Order affirmed.

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[982 NE2d 570, 958 NYS2d 650]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DALE  
BRADLEY, Appellant.

Argued October 17, 2012; decided November 20, 2012

**SUMMARY**

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 1, 2011. The Appellate Division affirmed a judgment of the Monroe County Court (Melchor E. Castro, J.), which had convicted defendant, upon a jury verdict, of manslaughter in the first degree.

*People v Bradley*, 83 AD3d 1444, reversed.

**HEADNOTES****Crimes — Proof of Other Crimes — Justification Defense — Relevancy of Evidence of Prior Stabbing**

1. In a manslaughter prosecution wherein the undisputed facts raised an issue as to whether defendant was justified in her resort to deadly force when she fatally stabbed her estranged boyfriend in the chest after he allegedly choked her and came after her with a snow shovel, the trial court erred in permitting the People to introduce evidence that defendant had stabbed another man in the thigh more than a decade earlier since that evidence was not probative as to her state of mind during the altercation with her estranged boyfriend (Penal Law §§ 35.15, 25.00 [1]). When there is an issue raised as to whether a defendant acted culpably it may be appropriate to permit the prosecution to respond by adducing evidence of uncharged conduct tending to show that the defendant possessed the mens rea necessary to guilt. However, to be admissible, evidence of uncharged bad acts, even when offered to prove a subjective element, must be demonstrably relevant to the specific state of mind issue in the case and it must be found, on balance, more probative than prejudicial. Defendant's specific relevant claim was that at the time she used her knife, she reasonably believed that her estranged boyfriend, who was the subject of an outstanding order of protection, was about to seriously harm her. That claim was not in any direct or logical way disproved by proof of the bare circumstance that she at some remote, indeterminate time had stabbed an unidentified man in the thigh. The absence of any context to shed light on the actual motivation for the thigh stabbing left the jury to speculate both as to the nature of defendant's conduct on the occasion of that earlier stabbing and as to its possible relevance to the characterization of her conduct more than 10 years later. The two incidents were resonant solely for what they seemed to disclose about defendant's violent propensity and the manner of its expression.

**Crimes — Harmless and Prejudicial Error — Evidence of Criminal Propensity**

2. Defendant, who was convicted of manslaughter in the first degree for fatally stabbing her estranged boyfriend in the chest during an altercation,

was entitled to a new trial based on the trial court's error in permitting the People to introduce evidence that defendant had stabbed another man in the thigh more than 10 years earlier. Although the trial court instructed the jury that the evidence of the earlier stabbing was not to be considered as evidence of criminal propensity, but only as it bore upon the reasonableness of defendant's conduct and with respect to the defense of justification and the defense claim that she suffered from battered woman syndrome, given the ill-defined, purely speculative relevant relation between the two stabbings, that instruction would not have avoided the forbidden inference of propensity naturally set in motion by the incidents' superficial similarity. Given the extensive evidence of the estranged boyfriend's abusive behavior, defendant's lifelong history of victimization and post-traumatic stress disorder diagnosis, and the objective corroboration of those portions of defendant's narrative in which she stated that just prior to the fatal stabbing her estranged boyfriend choked her and then attacked her with a snow shovel, it was not possible to conclude that there would have been no significant probability of a different verdict if the disputed prior stabbing evidence had not been received.

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#### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 755–757; AM JUR 2d, Evidence §§ 409, 413, 414, 420, 423, 428, 436; AM JUR 2d, Homicide §§ 134, 137, 138, 144, 150.

CARMODY-WAIT 2d, Fundamentals of Criminal Evidence §§ 193:16–193:18; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:222, 207:224.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 27.5.

NY JUR 2d, Criminal Law: Procedure §§ 2340–2342, 2345–2347, 2349–2351, 3647, 3657.

#### ANNOTATION REFERENCE

See ALR Index under Battered Spouse Syndrome; Homicide; Instructions to Jury; Justification or Excuse; New Trial; Prior Offenses and Convictions.

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#### POINTS OF COUNSEL

*Timothy P. Donaher, Public Defender, Rochester (Kimberly F. Duguay of counsel), for appellant.* I. Evidence that Dale Bradley stabbed an unknown man under unknown circumstances at an unknown time was irrelevant to whether Dale Bradley stabbed Joseph Wilburn in self-defense and, given that the potential for

unfair prejudice resulting from the admission of the evidence significantly outweighed any probative value, it was an abuse of the trial court's discretion to determine that the evidence was admissible at trial. (*People v Molineux*, 168 NY 264; *People v Williams*, 56 NY2d 236; *People v Gillyard*, 13 NY3d 351; *Coleman v People*, 55 NY 81; *People v Rojas*, 97 NY2d 32; *People v Alvino*, 71 NY2d 233; *People v Hudy*, 73 NY2d 40; *People v Concepcion*, 17 NY3d 192; *People v Wesley*, 76 NY2d 555; *People v Cass*, 18 NY3d 553.) II. The trial court committed reversible error when it refused to instruct the jury that it could consider evidence of post-traumatic stress disorder that was introduced by both the prosecution and the defense without objection because defense counsel's notice of intent to present psychiatric evidence only mentioned battered woman syndrome. (*People v Concepcion*, 17 NY3d 192; *People v Diaz*, 15 NY3d 40; *People v Berk*, 88 NY2d 257; *People v Petty*, 7 NY3d 277; *People v Davis*, 58 NY2d 1102; *People v Young*, 65 NY2d 103; *People v Goetz*, 68 NY2d 96; *People v Wesley*, 76 NY2d 555.)

*Sandra Doorley*, District Attorney, Rochester (*Leslie E. Swift* of counsel), for respondent. I. The Fourth Department's affirmation should stand because the contested *Molineux* ruling was proper as the prior stabbing was interjected into the case by defendant and thus was properly employed during the People's direct case as it was relevant and probative to the issues under the jury's consideration. (*People v Ventimiglia*, 52 NY2d 350; *People v Beam*, 57 NY2d 241; *People v Allweiss*, 48 NY2d 40; *People v Calvano*, 30 NY2d 199; *People v Alvino*, 71 NY2d 233; *People v McManus*, 67 NY2d 541; *People v Vails*, 43 NY2d 364; *People v Rojas*, 97 NY2d 32; *People v Cass*, 18 NY3d 553.) II. Defendant was precluded from obtaining a justification charge referencing post-traumatic stress disorder due to her noncompliance with the CPL, and defendant's self-defense claim was not unduly compromised as correctly found by the Fourth Department. (*People v Diaz*, 15 NY3d 40; *People v Hill*, 4 NY3d 876; *People v Almonor*, 93 NY2d 571; *People v Berk*, 88 NY2d 257; *People v Segal*, 54 NY2d 58; *People v Umali*, 37 AD3d 164, 10 NY3d 417; *People v Petty*, 7 NY3d 277; *People v Jones*, 3 NY3d 491; *People v Bolling*, 7 NY3d 874.)

#### OPINION OF THE COURT

Chief Judge LIPPMAN.

Defendant stands convicted of manslaughter in the first degree. In a statement given shortly after the homicide, and at

trial, defendant admitted fatally stabbing her estranged boyfriend, Joseph Wilburn, but claimed that she had done so while attempting to defend herself. Mr. Wilburn, she said, appeared at her home early on the morning of February 2, 2007. Although she had an order of protection against him, she allowed him in and an argument ensued. She asked him to leave but he refused, and when she tried to call the police, he choked her and then came at her with a snow shovel, threatening to “bust [her] head open.” According to defendant, as Wilburn swung the shovel at her, she grabbed a knife and, with her eyes closed, lunged at him, hitting him once in the chest. After attempting without success to stanch the bleeding from Wilburn’s wound, defendant called 911 for emergency assistance and then panicked and ran from her house. She was eventually approached on the street near her house by one of the police officers responding to the homicide scene. He testified that when she was pointed out to him by a concerned pedestrian she was shivering, disheveled and apparently disoriented. Marks observed on defendant’s neck soon after she was taken by the police to the Monroe County Public Safety Building for questioning seemed to confirm that she had been recently choked, and a snow shovel with a plastic blade was found at the homicide scene near the victim’s left hand.

The trial evidence showed, and there is no dispute, that the 45-year-old defendant had been a frequent victim of sexual and other physical abuse since her early childhood. In connection, then, with her claim that she had swung the knife at Wilburn in self-defense, she urged, and presented expert testimony to show, that her perception of and response to Wilburn on the occasion of their final altercation was significantly and reasonably influenced by post-traumatic stress disorder (PTSD) and, somewhat more specifically, battered woman syndrome (BWS).

To rebut defendant’s claim of justification and her related contention that her understanding of and reaction to the situation resulting in the homicide had been eventuated by the psychiatric sequelae of her victimization, the prosecution presented its own psychiatric expert and, in a pretrial *Molineux* application, sought as well to introduce evidence of six uncharged incidents in which defendant reportedly resorted or threatened to resort to violence against men. Evidence as to two of these incidents was allowed in the People’s direct case over defendant’s opposition: the People were permitted to elicit testimony from the victim’s brother, Quinton, that the day before the homicide he heard defendant call out that she would stab Joseph

if he did not close the door to her house, which he had left open while he and his brother conversed; and the People were permitted to elicit from a social worker testimony that defendant, during a therapy session with her some 10 years before the Wilburn homicide, confessed that she had at some unspecified, necessarily more remote time stabbed an unidentified man in the thigh.

At trial, the social worker, who had no independent recollection of her professional interaction with defendant, testified from her notes that defendant had reported that “she stabbed a gentleman who had been [harassing] her, in the thigh,” and that she had in the course of her treatment stated that she was “very angry toward men” for all the abuse she had suffered.

In summation, the prosecutor argued that the fatal Wilburn stabbing had, like the stabbings<sup>1</sup> by defendant predating it, been motivated by anger and not by a reasonably perceived need to resort to deadly force for self-protection. The court charged the jury that in assessing whether defendant reasonably believed that the use of deadly force was necessary to protect herself, it could take into account the evidence that defendant suffered from BWS.<sup>2</sup>

Defendant’s principal appellate contention has been that the social worker’s testimony as to defendant’s disclosure of the thigh stabbing should not have been received. That evidence, defendant has maintained, was not reliably probative of her state of mind on the occasion of the Wilburn stabbing more than a decade later, and introduced an unacceptable risk that defendant would be convicted on the basis of a perceived propensity on her part to knife merely bothersome men.

The Appellate Division addressed the *Molineux* issue only to the extent of rejecting defendant’s argument that the trial court did not engage in the required exercise of discretion (*see People v Alvino*, 71 NY2d 233, 242 [1987]) to weigh the probative worth of the prior bad act evidence against its potential for undue prejudice; it found that, although not memorialized on the record, the proper exercise of discretion was implicit (83 AD3d 1444, 1445 [4th Dept 2011]). The Court did not address whether

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1. In addition to the thigh stabbing, reference was made during the trial testimony to another stabbing of Wilburn by defendant (in which she cut his cheek) some six years before the homicide.

2. The trial court’s refusal to charge PTSD as well is argued by defendant as a ground for reversal, but inasmuch as we grant defendant relief on a sufficient alternative ground we do not reach that issue.



there was, in the first instance, a proper theory of relevance to support the introduction of the testimony respecting the thigh stabbing; it said, evidently inaccurately, that defendant had not argued the point.

A Judge of this Court granted defendant permission to appeal (18 NY3d 857 [2011]) and we now reverse and direct a new trial.

We have for some time recognized the broad principle that when there is an issue raised as to whether a defendant acted culpably it may be appropriate to permit the prosecution to respond by adducing evidence of uncharged conduct tending to show that the defendant possessed the mens rea necessary to guilt. In *People v Santarelli* (49 NY2d 241 [1980]), for example, we held that “evidence of uncharged criminal or immoral conduct may be admitted as part of the People’s case on rebuttal if it has a tendency to disprove the defendant’s claim that he was legally insane at the time of the crime” (*id.* at 248) and, recently, in *People v Cass* (18 NY3d 553 [2012]), we held proof of an uncharged prior homicide admissible to rebut a claim of extreme emotional disturbance. But, the receipt of evidence of uncharged bad acts, even when offered to prove a subjective element, is not exempt from the general prohibition against evidence actually probative only of criminal propensity. To be admissible, such evidence must be demonstrably relevant to the specific state of mind issue in the case and it must be found, on balance, more probative than prejudicial (*see Santarelli*, 49 NY2d at 249-250).

Applying these principles in *Santarelli*, we reversed a conviction resting upon evidence of prior uncharged behavior adduced to show that the defendant was not, as he claimed, temporarily insane at the time of the charged homicide, but merely given to explosive outbursts. We reasoned that the prior episodes upon which the People relied were presented without context and so could not be reliably characterized as probative precedent behavior (*id.* at 250-251). By contrast, in *Cass*, we held that detailed evidence of a prior homicide by the defendant had been shown relevant to rebut a claim of extreme emotional disturbance made with respect to the charged subsequent, very similarly targeted and committed homicide (*Cass*, 18 NY3d at 563); taken together, the two relatively closely spaced homicides tended to show premeditation incompatible with the defendant’s mitigating claim of extreme emotional disturbance (*id.*). In so holding, however, we reiterated that “evidence of bad acts

must have some 'logical relationship' to, and a 'direct bearing upon,' the People's effort to disprove [a state of mind defense]," and that an assertion of a state of mind defense "opens the door to bad acts evidence 'only to the extent that such evidence has a natural tendency to disprove [a defendant's] specific claim' " (*id.* at 562-563, quoting *Santarelli*, 49 NY2d at 249, 252). We also stressed, yet again, the obligation of trial courts to "take special care to ensure not only that the evidence bears some articulable relation to the issue, but also that its probative value in fact warrants its admission despite the potential for prejudice" (*id.* at 563, quoting *Santarelli*, 49 NY2d at 250 [internal quotation marks omitted]).

[1] As the present case proceeded to trial it was clear that the undisputed facts raised an issue as to whether defendant had been justified in her resort to deadly force. There was, after all, objective evidence to support defendant's claim that she had been choked by Wilburn and that Wilburn, the subject of an outstanding order of protection, then came after her with a shovel. There would, it appeared, also be evidence of defendant's personal history and knowledge of Wilburn relevant to the reasonableness of her claimed perception of imperilment (*see People v Wesley*, 76 NY2d 555, 559-560 [1990]). To meet their burden to disprove the defense of justification (Penal Law §§ 35.15, 25.00 [1]), the People would have to demonstrate that defendant did not actually believe that she was in mortal danger, or failing that, that her belief was not reasonable (*Wesley*, 76 NY2d at 559). While we do not think the trial court erred in permitting the People in the *Molineux* context to introduce on their direct case some evidence anticipatory of the elaborate justification claim defendant would imminently advance, any such evidence had to possess "a natural tendency to disprove [defendant's] specific claim" as to her state of mind (*Santarelli*, 49 NY2d at 249). The proffered evidence of the thigh stabbing did not, in our view, have such probative value.

Defendant's specific relevant claim was that at the time she swung her knife at Wilburn she reasonably believed that he was about to seriously harm her. That claim, premised in essential part on the particular objective circumstances attending the altercation and defendant's knowledge of Wilburn, was not in any direct or logical way disproved by proof of the bare circumstance that defendant at some remote, indeterminate time had stabbed an unidentified man in the thigh. While that stabbing assertedly was in response to harassment, the nature

of the harassment was left entirely to the imagination. It is possible that the harassment was relatively minor, but it is at least equally possible that it was not. If defendant during the earlier incident used her knife to ward off a sexual or other serious assault, it would not logically show that her subsequent conduct was, as the prosecution contended, simply an expression of unbridled rage.

Given her history, defendant might very well have been angry at men, but anger and fear for one's personal safety are not mutually exclusive, and defendant's mere harboring of anger did not with any degree of reliability exclude the entirely plausible hypothesis that her use of force, in either the prior uncharged or the subsequent charged stabbing, had been justified. The absence of any context to shed light on the actual motivation for the thigh stabbing left the jury to speculate both as to the nature of defendant's conduct on the occasion of that earlier stabbing and as to its possible relevance to the characterization of her conduct more than 10 years later when she plunged her knife into Wilburn's chest. Without some better developed theory of relevance the two incidents were resonant solely for what they seemed to disclose about defendant's violent propensity and the manner of its expression; the testimony as to the thigh stabbing did not in any reasonably disciplined way tend to disprove defendant's claim that she had used the knife against Wilburn to defend herself from what she reasonably believed would be grievous personal harm.

[2] Although the trial court did instruct the jury that the evidence of the earlier stabbing was not to be considered as evidence of criminal propensity, but only as it bore upon "the reasonableness of the defendant's conduct with respect to the defense of justification and the defense claim that she suffers from battered wife [sic] syndrome," given the ill-defined, indeed, on this record, purely speculative relevant relation between the two stabbings, this instruction would not, as a practical matter, have avoided the forbidden inference of propensity naturally set in motion by the incidents' superficial similarity.

We do not minimize the strength of the prosecution's case. The jury could quite reasonably have concluded that defendant was not particularly fearful of Wilburn, whom she had admitted to her home despite the order of protection barring him from being there, and that her evidently forceful knife thrust to the middle of Wilburn's chest was not justified by Wilburn's attack

with a plastic-bladed snow shovel.<sup>3</sup> There was, in addition, significant evidence, not now challenged, suggesting that defendant's use of knives against Wilburn was not confined to situations in which she was immediately imperiled, and that her relationship with Wilburn was mutually abusive. Nonetheless, given the extensive evidence of Wilburn's abusive behavior, defendant's lifelong history of victimization and PTSD diagnosis, and the objective corroboration of those portions of defendant's narrative in which she stated that just prior to the fatal stabbing Wilburn choked her and then attacked her with a snow shovel, we do not think it possible to conclude that there would have been no significant probability of a different verdict if the disputed *Molineux* evidence had not been received. The jury's understanding of this case could well have turned even on a small element of the People's proof, and defendant's admission to the prior stabbing, particularly as recounted by her former therapist in tandem with her non-contemporaneous but, as elicited, apparently motivationally relevant statements respecting her general, free floating anger towards men, were potentially extremely prejudicial.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

SMITH, J. (dissenting). I dissent because it seems only fair to me that, in a case where defendant essentially presented her autobiography as her defense, the People should be allowed to introduce a bit of her history that casts her in a less favorable light.

Defendant told the jury a truly horrifying story of the treatment she received in the home of an aunt who had raised her until she was almost 12 years old. She said: "I was treated horribly. I was sexually abused. I was beaten with extension cords. I was put in hot . . . tubs of water . . . at six." She added that her male cousins sodomized and raped her and her sister, as well as "bullying us and beating us up." Her uncle, she said, also sexually abused her. Asked when the sexual abuse started, she replied: "I was around the age of two or three." The description of defendant's childhood continues in painful detail for several pages of transcript.

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3. Although the lethality of the shovel was a matter for the jury, it is fair to point out, as defendant does, that the shovel weighed only four tenths of an ounce less than Babe Ruth's bat, one of the heaviest ever used in the major leagues.

The People, as the majority points out, did not dispute this testimony; it is not obvious how they could have obtained evidence disproving it, even if it was not true. Nor did the People challenge its relevance, and I agree that it was relevant to the issue before the jury—which was whether defendant was justified in killing a man when she was 45 years old. Defendant was entitled to argue to the jury that the child abuse, though it preceded the killing by decades, caused her to perceive as life-threatening the physical abuse that she suffered at the hands of the man she killed. His violent acts toward her, bad as they were, might not seem to many so extreme as to justify a homicide; the plastic shovel he attacked her with weighed 2.6 pounds. (Though that is only a little lighter than Babe Ruth’s baseball bat [see majority op at 136 n 3], a jury could find that it was less compact and much less likely to cause fatal injury.) The story of defendant’s early life was admissible to show that she could reasonably be more fearful than most.

But I do not see why, in fairness, the People—who obviously had much less access than defendant herself to the details of her life’s story—could not introduce in rebuttal a few details that they were able to glean, to support an inference that her dreadful experiences had instilled in her more rage than fear. That she had once told a therapist that she had stabbed a man who was “harassing” her in the thigh, and that she was “very angry toward men” was surely admissible for this purpose. It is true, as the majority says, that this evidence does not *compel* the inference that the People ask the jury to draw—just as defendant’s evidence did not compel the inference that her killing of her attacker was justified. But the evaluation of the competing inferences was properly left to the jury.

The majority speculates that perhaps defendant’s previous stabbing of a man was itself justified; perhaps she “used her knife to ward off a sexual or other serious assault” (majority op at 135). Perhaps; and perhaps defendant was exaggerating, or even fabricating, the abuse she suffered in childhood. These sorts of questions are for the jury, and defendant had a substantial advantage over the People in presenting evidence for the jury to consider. If the prior stabbing was indeed self-defense, nothing stopped her from saying so. The unconventional order of proof in this case—where, apparently with defendant’s implicit consent, the People essentially presented their rebuttal case before she testified—augmented defendant’s advantage, for she was able on her own case to rebut the rebuttal, if she had evidence to rebut it with.

The whole idea of excluding “propensity” evidence, to my mind, loses its meaning in a case like this where defendant offers a justification defense that is based in large part on the claim that she had a propensity, instilled in early childhood, to fear violence. If the jury can consider that propensity, why not another one? The majority relies on *People v Santarelli* (49 NY2d 241 [1980]), in which we held certain propensity evidence inadmissible to rebut an insanity defense. But the insanity defense in *Santarelli* was not, fundamentally, a propensity defense, as the justification defense here in large part is.

Judge JASEN, dissenting in *Santarelli*, suggested that the rule excluding propensity evidence—the rule of *People v Molineux* (168 NY 264 [1901])—should have little application in cases where there is no dispute as to “whether the defendant actually committed the acts complained of” (49 NY2d at 255). I find Judge JASEN’s dissent persuasive. But there is no need to overrule *Santarelli* to decide this case. We need only hold that, where a defendant offers evidence of her own propensities, the People are entitled to present a contrary version.

Judges CIPARICK, GRAFFEO, READ and PIGOTT concur with Chief Judge LIPPMAN; Judge SMITH dissents in a separate opinion.

Order reversed and a new trial ordered.

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[981 NE2d 260, 957 NYS2d 664]

In the Matter of P. DAVID SOARES, as District Attorney of Albany County, Respondent, v STEPHEN W. HERRICK, as Judge of the County Court of Albany County, Respondent, and NAOMI LOOMIS et al., Appellants.

Argued and submitted October 16, 2012; decided November 27, 2012

### SUMMARY

APPEALS from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered August 4, 2011, in a proceeding pursuant to CPLR article 78 (initiated in the Appellate Division pursuant to CPLR 506 [b] [1]). The Appellate Division, with two Justices dissenting, (1) granted the petition to prohibit enforcement of two orders of respondent County Court Judge of Albany County which, among other things, (a) disqualified petitioner District Attorney of Albany County and his staff from further prosecuting a case against respondents Naomi Loomis, Robert Loomis, Kenneth Michael Loomis, Kirk Calvert and Tony Palladino, and (b) appointed a special district attorney to pursue the case; (2) vacated the orders; and (3) prohibited respondent County Court Judge of Albany County from taking any action in reliance on those orders.

*Matter of Soares v Herrick*, 88 AD3d 148, affirmed.

### HEADNOTES

**Proceeding against Body or Officer — Prohibition — When Remedy Appropriate — Trial Judge's Disqualification of District Attorney**

1. A CPLR article 78 proceeding in the nature of prohibition was a remedy available to petitioner District Attorney, who sought to prohibit enforcement of respondent County Court Judge's orders disqualifying petitioner and his staff from prosecuting a certain case and appointing a special district attorney. Prohibition has been recognized to be an appropriate remedy to void the improper appointment of a special prosecutor when made by a court. To the extent that *Matter of Kavanagh v Vogt* (58 NY2d 678 [1982]) stands for the proposition that a court's decision to disqualify a district attorney is not reviewable by way of prohibition, that case is no longer good law.

**District and Prosecuting Attorneys — Disqualification — Actual Prejudice**

2. Respondent County Court Judge exceeded his authority under County Law § 701 in disqualifying petitioner District Attorney and his staff from prosecuting a case against respondent criminal defendants, who had commenced a civil lawsuit in Florida against petitioner and his staff while the criminal prosecution was pending, in the absence of a finding by respondent of actual prejudice

to the criminal defendants. Courts, as a general rule, should remove a public prosecutor only to protect a defendant from actual prejudice arising from a demonstrated conflict of interest or a substantial risk of an abuse of confidence. Here, there was no record support for the conclusion that the criminal defendants suffered actual prejudice or any risk thereof in connection with petitioner's prosecution of the criminal case. The existence of a conflict of interest between petitioner and the criminal defendants arising from the civil lawsuit did not, by itself, warrant the removal of petitioner.

**Proceeding against Body or Officer — Prohibition — Trial Judge's Disqualification of District Attorney**

3. The Appellate Division's decision to exercise its discretion in issuing a writ of prohibition to prohibit enforcement of respondent County Court Judge's orders disqualifying petitioner District Attorney and his staff from prosecuting a certain case and appointing a special district attorney was appropriate. In determining whether to exercise its discretion in issuing a writ of prohibition, a court is to consider various factors, such as the gravity of the harm caused by the excess of power, the availability or unavailability of an adequate remedy on appeal or at law or in equity and the remedial effectiveness of prohibition if such an adequate remedy does not exist. The Appellate Division weighed the relevant factors in determining to exercise its discretion in issuing the writ sought by petitioner.

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Prosecuting Attorneys §§ 11, 21, 24.

CARMODY-WAIT 2d, Proceeding Against a Body or Officer §§ 145:809, 145:826; CARMODY-WAIT 2d, Commencing the Prosecution; Grand Jury § 178:157.

McKINNEY'S, County Law § 701.

NY JUR 2d, Article 78 and Related Proceedings §§ 140, 141, 160, 166, 167, 402; NY JUR 2d, Counties, Towns, and Municipal Corporations § 737; NY JUR 2d, Criminal Law: Procedure §§ 47, 2607.

SIEGEL, NY PRAC § 559.

**ANNOTATION REFERENCE**

See ALR Index under Counties; Prohibition Writ; Prosecuting Attorneys.

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Query: prohibition /p appoint! /s special /2 prosecutor & prejudice

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**POINTS OF COUNSEL**

*Dreyer Boyajian LLP*, Albany (*William J. Dreyer* of counsel), for Naomi Loomis and another, appellants. I. Prohibition does

not lie to prohibit County Court's dismissal of the fifth indictment, disqualification of the Albany County District Attorney's office and appointment of a special district attorney. (*Matter of Dondi v Jones*, 40 NY2d 8; *La Rocca v Lane*, 37 NY2d 575, 424 US 968; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *Matter of Steingut v Gold*, 42 NY2d 311; *Matter of Proskin v County Ct. of Albany County*, 30 NY2d 15; *Matter of State of New York v King*, 36 NY2d 59; *Matter of Nigrone v Murtagh*, 36 NY2d 421; *Matter of Rush v Mordue*, 68 NY2d 348; *Matter of Pirro v Angiolillo*, 89 NY2d 351; *Matter of Holtzman v Goldman*, 71 NY2d 564.) II. County Court had specific authority to dismiss the fifth indictment with leave to re-present, to disqualify the Albany County District Attorney's office and to appoint a special district attorney. (*Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *People v Huston*, 88 NY2d 400; *People v Di Falco*, 44 NY2d 482; *People v Zimmer*, 51 NY2d 390; *Matter of State of New York v King*, 36 NY2d 59; *Matter of Rush v Mordue*, 68 NY2d 348; *Matter of Schumer v Holtzman*, 60 NY2d 46.)

*E. Stewart Jones, PLLC*, Troy (*James C. Knox* of counsel), for Kenneth Michael Loomis and others, appellants. I. A writ of prohibition does not lie to review orders of a trial court disqualifying a district attorney due to a conflict of interest created by a viable civil lawsuit pending against the district attorney in Federal District Court. (*People v Leahy*, 72 NY2d 510; *Matter of Harvey v County of Rensselaer*, 83 NY2d 917; *Matter of Schumer v Holtzman*, 60 NY2d 46; *People v Zimmer*, 51 NY2d 390; *Young v United States ex rel. Vuitton et Fils S. A.*, 481 US 787; *United States v Kember*, 685 F2d 451; *Matter of Haggerty v Himelein*, 89 NY2d 431; *Matter of Rush v Mordue*, 68 NY2d 348; *Matter of Dondi v Jones*, 40 NY2d 8; *Matter of Hancock*, 91 NY 284.) II. The court below abused its discretion in granting the extraordinary writ of prohibition. (*La Rocca v Lane*, 37 NY2d 575; *Matter of Forte v Supreme Ct. of State of N.Y.*, 48 NY2d 179; *Matter of Holtzman v Goldman*, 71 NY2d 564; *Matter of Rush v Mordue*, 68 NY2d 348; *Matter of Steingut v Gold*, 42 NY2d 311; *Matter of Chasm Hydro, Inc. v New York State Dept. of Envtl. Conservation*, 58 AD3d 1100, 14 NY3d 27; *Matter of Garner v New York State Dept. of Correctional Servs.*, 10 NY3d 358; *Matter of Town of Huntington v New York State Div. of Human Rights*, 82 NY2d 783; *Collins v State of New York*, 69 AD3d 46; *Matter of Raheem v New York State Bd. of Parole*, 66 AD3d 1270, 14 NY3d 702.)

*Christopher D. Horn*, Albany, for respondent. The Third

Department properly granted the petition for a writ of prohibition. (*Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *La Rocca v Lane*, 37 NY2d 575, 424 US 968; *Matter of Proskin v County Ct. of Albany County*, 30 NY2d 15; *Matter of Cloke v Pulver*, 243 AD2d 185; *Matter of Haggerty v Himelein*, 221 AD2d 138; *Matter of Dondi v Jones*, 40 NY2d 8; *Matter of Rush v Mor-due*, 68 NY2d 348; *Matter of Pirro v Angiolillo*, 89 NY2d 351; *Matter of Holtzman v Goldman*, 71 NY2d 564.)

Cyrus R. Vance, Jr., District Attorney, Kew Gardens (Edward D. Saslaw of counsel), and Morrie I. Kleinbart, Staten Island, for District Attorneys Association of the State of New York, amicus curiae. The constitutional concerns raised by improper disqualification of a duly elected district attorney must be remediable by CPLR article 78, and absent actual prejudice or a substantial risk of such prejudice, a district attorney simply cannot be disqualified. (*Matter of Dondi v Jones*, 40 NY2d 8; *People v Soddano*, 86 NY2d 727; *Matter of Schumer v Holtzman*, 60 NY2d 46; *People v Schrager*, 74 Misc 2d 833; *People v English*, 88 NY2d 30; *People v Keeton*, 74 NY2d 903; *People v Jackson*, 60 NY2d 848; *People v Di Falco*, 44 NY2d 482; *People v Leahy*, 72 NY2d 510; *Matter of State of New York v King*, 36 NY2d 59.)

#### OPINION OF THE COURT

CIPARICK, J.

In this appeal, we are called upon to determine whether respondent Judge of Albany County Court exceeded his authority under County Law § 701 when he disqualified petitioner District Attorney of Albany County and his staff from prosecuting a case against respondents Naomi Loomis, Robert Loomis, Kenneth Michael Loomis, Kirk Calvert and Tony Palladino (collectively the defendants) and appointed a special district attorney to pursue the case. We hold that respondent exceeded his statutory authority and that the Appellate Division's decision to issue a writ of prohibition proscribing enforcement of his orders was appropriate.

The genesis of this appeal stems from an investigation initiated by petitioner and other agencies in June 2006 relating to the illegal sale of steroids and other prescription drugs over the Internet. As a result of this investigation, an Albany County grand jury returned an indictment against the defendants in early 2007. Petitioner then obtained two successive superseding

indictments. The defendants challenged the third indictment and respondent partially granted their motion to dismiss with leave to the People to re-present. After petitioner procured a fourth indictment, respondent, once again, granted the defendants' dismissal motion, but this time without leave to the People to re-present.

The People appealed respondent's dismissal of the fourth indictment to the Appellate Division. The court modified respondent's order by granting the People leave to re-present (*see People v Loomis*, 70 AD3d 1199, 1201 [3d Dept 2010]). During the pendency of the People's appeal, the defendants commenced a civil action in the United States District Court for the Middle District of Florida against petitioner and his staff, alleging, among other claims, that their federal constitutional rights had been violated during the prosecution of the criminal case. The defendants further asserted Florida state law causes of action. As the federal civil case proceeded, petitioner obtained a fifth indictment against the defendants. Shortly after this indictment was returned, Federal District Court issued a decision, concluding that petitioner was not entitled to immunity or summary judgment with respect to the constitutional claims lodged against him and his staff. District Court also denied petitioner's motion for summary judgment on the state common-law claims.

Meanwhile, the defendants moved in County Court to dismiss the fifth indictment. By order dated November 15, 2010, respondent granted the dismissal motion with leave to re-present, but disqualified the Albany County District Attorney's office "from further prosecution of this matter." Respondent reasoned that the pending civil lawsuit against petitioner and his staff created "a conflict of interest sufficient to warrant dismissal of the indictment" in that their "personal, professional and financial stake in the outcome of both the civil and criminal cases" establishes a "demonstrable potential for prejudice." In a subsequent order, dated November 22, 2010, respondent appointed a special district attorney from the community to handle the matter.

As a result, petitioner commenced a proceeding pursuant to CPLR article 78 in the Appellate Division seeking to prohibit enforcement of respondent's orders (*see* CPLR 506 [b] [1]). With two Justices dissenting, the Appellate Division granted the petition, vacated the orders and prohibited respondent "from taking any action in reliance on said orders" (*Matter of Soares v Herrick*, 88 AD3d 148, 157 [3d Dept 2011]). As a threshold

matter, the majority determined that respondent's actions were "reviewable by way of a proceeding in the nature of prohibition" (*id.* at 152). Addressing the merits, the majority held that respondent exceeded his authority when he disqualified petitioner and appointed a special district attorney under County Law § 701 (*see id.*). The majority observed that "[t]he appearance of impropriety, standing alone, may not cause the disqualification of a district attorney" (*id.* at 152) and concluded that the defendants here have failed to "demonstrate[ ] that petitioner's continued prosecution of their cases would result in actual prejudice" (*id.* at 154 [internal quotation marks omitted]).

The dissenting Justices would have dismissed the petition. In their view, respondent did not exceed his authority when he disqualified petitioner "on the basis of a conflict of interest" (*id.* at 154-155). Citing to our decision in *Matter of Kavanagh v Vogt* (58 NY2d 678 [1982]), the dissenters further opined that the question of whether such conflict warranted disqualification was "a question of law not reviewable by way of prohibition" (*Matter of Soares*, 88 AD3d at 155). The defendants appeal as of right pursuant to CPLR 5601 (a) and we now affirm.

Our analysis begins with the recognition that a "[d]istrict [a]ttorney is a constitutional officer chosen by the electors of a county" (*Matter of Dondi v Jones*, 40 NY2d 8, 19 [1976], citing NY Const, art XIII, § 13). County Law § 700 vests a district attorney with certain statutory duties including the duty "to conduct all prosecutions for crimes and offenses cognizable by the courts of the county for which he or she shall have been elected or appointed" (County Law § 700 [1]; *Matter of Dondi*, 40 NY2d at 19). We have observed that a district attorney's broad statutory authority to prosecute all crimes and offenses within his or her jurisdiction is generally nondelegable (*see People v Soddano*, 86 NY2d 727, 728 [1995]).

However, there are certain circumstances where a court may substitute the elected district attorney and appoint a special district attorney. As relevant here, County Law § 701 (1) allows a court to appoint a special district attorney in situations where the district attorney is "disqualified from acting in a particular case to discharge his or her duties at a term of any court." In *People v Leahy* (72 NY2d 510 [1988]), we stated that the legislature designed this statute "narrowly by its terms and by its purpose to fill emergency gaps in an elected prosecutorial official's responsibility" (*id.* at 513). Acknowledging that a court's



authority under County Law § 701 “to displace a duly elected [d]istrict [a]ttorney” raises separation of power concerns, we cautioned that “[t]his exceptional superseder authority should not be expansively interpreted” (*Leahy*, 72 NY2d at 513-514).

With this background in place, the defendants argue that respondent’s decision to disqualify petitioner and appoint a special district attorney was in accordance with County Law § 701. They further contend that, in any event, relief through a writ of prohibition is unavailable to petitioner.

[1] “It is familiar law that an article 78 proceeding in the nature of prohibition will not lie to correct procedural or substantive errors of law” (*Matter of Schumer v Holtzman*, 60 NY2d 46, 51 [1983], citing *Matter of Morgenthau v Erlbaum*, 59 NY2d 143, 147 [1983]). Rather, the extraordinary remedy

“of prohibition may be obtained only when a clear legal right of a petitioner is threatened by a body or officer acting in a judicial or quasi-judicial capacity ‘without jurisdiction in a matter over which it has no power over the subject matter or where it exceeds its authorized powers in a proceeding of which it has jurisdiction’ ” (*Matter of Morgenthau*, 59 NY2d at 147, quoting *Matter of Dondi*, 40 NY2d at 13).

In the context of this case, we have recognized that “prohibition is an appropriate remedy to void the improper appointment of a [special] prosecutor when made by a court” (*Matter of Schumer*, 60 NY2d at 54). To the extent that *Matter of Kavanagh v Vogt* (58 NY2d 678 [1982]) stands for the proposition that a court’s decision to disqualify a district attorney is not reviewable by way of prohibition, that case is no longer good law.

Of course, even where prohibition is an available remedy, it “is not mandatory, but may issue in the sound discretion of the court” (*La Rocca v Lane*, 37 NY2d 575, 579 [1975]).

“In exercising this discretion, various factors are to be considered, such as the gravity of the harm caused by the excess of power, the availability or unavailability of an adequate remedy on appeal or at law or in equity and the remedial effectiveness of prohibition if such an adequate remedy does not exist” (*Matter of Dondi*, 40 NY2d at 13; see *La Rocca*, 37 NY2d at 579-580).

[2] Applying these principles to the facts presented in this case, we conclude that respondent exceeded his authority under

County Law § 701 in disqualifying petitioner. In *Matter of Schumer*, we opined that “courts, as a general rule, should remove a public prosecutor *only* to protect a defendant from *actual prejudice* arising from a demonstrated conflict of interest or a substantial risk of an abuse of confidence” (60 NY2d at 55 [emphasis added]). Here, there is no record support for the conclusion that the defendants suffered actual prejudice or any risk thereof in connection with petitioner’s prosecution of the criminal case. On that note, the defendants do not quarrel with the Appellate Division’s previous determination that petitioner’s handling of this criminal case during the time he secured the first four indictments lacked “any improper motive” or was rooted in “malfeasance” or “bad faith” (*Loomis*, 70 AD3d at 1201-1202; see *Matter of Soares*, 88 AD3d at 154).

Instead, the defendants contend that the disqualification of petitioner was proper because of the necessary conflict of interest that arose from the civil lawsuit they initiated after respondent dismissed the fourth indictment. We cannot agree. Under our precedent, the existence of a conflict of interest between the district attorney and a defendant, by itself, does not warrant the removal of the district attorney; in addition, a defendant “should demonstrate actual prejudice or so substantial a risk thereof as could not be ignored” (*Matter of Schumer*, 60 NY2d at 55). Here, the defendants do not point to any prejudice suffered in connection with the fifth indictment returned by the Albany County grand jury. Indeed, this indictment contains virtually identical charges to the fourth indictment, which was obtained well before the defendants filed the civil lawsuit.

Moreover, respondent’s rationale for removing petitioner is likewise unavailing. In his written decision, respondent identifies the purported conflict—petitioner’s “personal, professional and financial stake in the outcome of both the civil and criminal cases”—and cites the mere “potential for prejudice” as his basis for disqualifying petitioner and his staff.\* Given the absence of a finding by respondent of “actual prejudice” (*id.*) and, once

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\* At this juncture in the federal lawsuit, the federal constitutional claims against petitioner and his staff have been dismissed. Following District Court’s denial of petitioner’s motion for summary judgment, the United States Court of Appeals for the Eleventh Circuit reversed the judgment of the District Court, concluding that summary judgment should have been granted in favor of petitioner on the federal claims (see *Signature Pharm., Inc. v Soares*, 448 Fed Appx 917 [11th Cir 2011]). On October 1, 2012, the United States Supreme Court denied the defendants’ petition for a writ of certiorari (— US —, 133 S

(n. cont’d)

again, acknowledging that a court’s “exceptional superseder authority should not be expansively interpreted” (*Leahy*, 72 NY2d at 513-514), respondent’s decision to disqualify petitioner and to appoint a special district attorney was in excess of his authority under County Law § 701.

[3] In sum, while we refrain from concluding that a civil lawsuit commenced by a criminal defendant against a duly elected district attorney in the midst of a pending prosecution will never warrant the disqualification of such district attorney, we see no basis for petitioner’s disqualification here. Thus, having determined that respondent exceeded his statutory authority, we further conclude that the Appellate Division weighed the relevant factors in determining whether to exercise its discretion in issuing the writ of prohibition and that the court’s decision to do so was appropriate.

Accordingly, the judgment of the Appellate Division should be affirmed, without costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and FIGOTT concur.

Judgment affirmed, without costs.

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Ct 167 [2012]). Thus, the only claims that remain pending are the Florida common-law causes of action. We agree with the Appellate Division that these claims “fall far short of demonstrating the actual prejudice needed to remove [him] from prosecution of the case” (*Matter of Soares*, 88 AD3d at 154 [internal quotation marks omitted]).

[981 NE2d 766, 958 NYS2d 65]

In the Matter of BRONX COMMITTEE FOR TOXIC FREE SCHOOLS et al., Respondents, v NEW YORK CITY SCHOOL CONSTRUCTION AUTHORITY et al., Appellants.

Argued September 11, 2012; decided October 23, 2012

### SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 7, 2011. The Appellate Division affirmed (1) an order of the Supreme Court, Bronx County (Patricia Anne Williams, J.), to the extent it had granted the petition to direct respondent New York City School Construction Authority to prepare a supplemental environmental impact statement pursuant to the State Environmental Quality Review Act with respect to long-term maintenance and monitoring of measures for the remediation of contaminated soil and groundwater at the Mott Haven School Campus site, and (2) an order of that court which had granted respondents' motion for reargument and, upon reargument, adhered to its prior order.

*Matter of Bronx Comm. for Toxic Free Schools v New York City School Constr. Auth.*, 86 AD3d 401, affirmed.

### HEADNOTES

#### **Environmental Conservation — Environmental Impact Statement — Supplemental Environmental Impact Statement**

1. Respondent New York City School Construction Authority was required to supplement the environmental impact statement (EIS) it prepared for the construction of a campus on a site with significantly contaminated soil and ground water so as to include a description of the methods chosen by respondent for long-term maintenance and monitoring of engineering controls used to prevent or mitigate environmental harm. Respondent did not challenge petitioners' showing that such a description was essential to an understanding of the environmental impact of the project. Even if respondent acted reasonably in postponing a detailed consideration of its long-term maintenance and monitoring measures until after it had completed cleanup work at the site and after its EIS was filed, mitigation measures of undisputed importance may not escape the State Environmental Quality Review Act process. Department of Environmental Conservation regulations provide for the filing of a supplemental EIS to address subjects "not addressed or inadequately addressed in the EIS," arising from "changes proposed for the project," from "newly discovered information" or from changed circumstances (6 NYCRR 617.9 [a] [7]). Where important decisions about mitigation can only be made after the initial remedial measures are complete, a supplemental EIS may be called for, as it was here.

**Environmental Conservation — Environmental Impact Statement —  
Supplemental Environmental Impact Statement — Participation  
in Brownfield Cleanup Program**

2. Respondent New York City School Construction Authority was required to supplement the environmental impact statement (EIS) it prepared for the construction of a campus on a site accepted in part into the Brownfield Cleanup Program so as to include a description of the methods chosen by respondent for long-term maintenance and monitoring of engineering controls used to prevent or mitigate environmental harm. Respondent had prepared a site management plan, including a description of long-term monitoring and maintenance measures, that was approved by the Department of Environmental Conservation (DEC) as part of the Brownfield process, but never supplemented its EIS to include such a description. Submission of the site management plan to the DEC, or the approval of that plan as part of the Brownfield process, however, did not justify short-circuiting State Environmental Quality Review Act (SEQRA) review. The Brownfield Program and SEQRA serve related but distinct purposes. SEQRA is designed to assure that the main environmental concerns, and the measures taken to mitigate them, are described in a publicly filed document identified as an EIS, as to which the public has a statutorily-required period for review and comment. Respondent may have already done public outreach and considered public comments with respect to the project here, but SEQRA required it to take one step more.

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Pollution Control §§ 143, 144.  
6 NYCRR 617.9 (a) (7).  
NY JUR 2d, Environmental Rights and Remedies §§ 82–86,  
94, 213.70.  
NEW YORK REAL PROPERTY SERVICE §§ 42:5–42:7, 42:16–  
42:22, 42:71.5.

**ANNOTATION REFERENCE**

See ALR Index under Environmental Law; Hazardous  
Substances and Waste.

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**POINTS OF COUNSEL**

*Michael A. Cardozo, Corporation Counsel, New York City (Janet L. Zaleon, Kristin M. Helmers and Carrie Noteboom of counsel), for appellants.* The final environmental impact statement demonstrated that compliance with the Brownfield Cleanup Program (BCP) would mitigate the potential adverse

impact of contamination by hazardous materials, and identified the specific environmental controls to be put in place. The BCP regulations require a post-remediation site management plan for long-term maintenance and monitoring of the continued effectiveness of the environmental controls. Thus the New York City School Construction Authority complied with the State Environmental Quality Review Act, so that a supplemental environmental impact statement is unnecessary. (*Akpan v Koch*, 75 NY2d 561; *Matter of Coca-Cola Bottling Co. of N.Y. v Board of Estimate of City of N.Y.*, 72 NY2d 674; *Matter of Develop Don't Destroy [Brooklyn] v Urban Dev. Corp.*, 59 AD3d 312, 13 NY3d 713; *Matter of Riverkeeper, Inc. v Planning Bd. of Town of Southeast*, 9 NY3d 219; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Aldrich v Pattison*, 107 AD2d 258; *Matter of Committee to Preserve Brighton Beach & Manhattan Beach v Planning Commn. of City of N.Y.*, 259 AD2d 26; *Association for Community Reform Now v Bloomberg*, 13 Misc 3d 1209[A], 2006 NY Slip Op 51750[U], 52 AD3d 426, 11 NY3d 707; *Matter of Coalition Against Lincoln W., Inc. v Weinshall*, 21 AD3d 215, 5 NY3d 715; *Matter of C/S 12th Ave. LLC v City of New York*, 32 AD3d 1.)

*Weil, Gotshal & Manges, LLP*, New York City (*Gregory Silbert, David Berz* and *Christopher Barraza* of counsel), and *New York Lawyers for the Public Interest* (*Gavin Kearney* and *Dawn Philip* of counsel) for respondents. I. The Appellate Division, and the Supreme Court before it, correctly found that the New York City School Construction Authority's final environmental impact statement (FEIS) was deficient because the School Construction Authority failed to take a hard look at long-term maintenance and monitoring of remediation measures prior to approval of the FEIS. (*Akpan v Koch*, 75 NY2d 561; *Chinese Staff & Workers Assn. v City of New York*, 68 NY2d 359; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Matter of King v Saratoga County Bd. of Supervisors*, 89 NY2d 341; *Matter of Riverkeeper, Inc. v Planning Bd. of Town of Southeast*, 9 NY3d 219; *Matter of Save Southard Rd. Neighborhood Coalition v Town of Saratoga Planning Bd.*, 35 AD3d 1017; *Matter of Merson v McNally*, 90 NY2d 742; *Matter of City Council of City of Watervliet v Town Bd. of Town of Colonie*, 3 NY3d 508; *Matter of Baker v Village of Elmsford*, 70 AD3d 181; *Matter of Di Veronica v Arsenault*, 124 AD2d 442.) II. The Appellate Division properly upheld the Supreme Court's order that the New York City School Construction Authority issue a supplemental environmental impact statement that addresses



long-term maintenance and monitoring of remediation measures for the Mott Haven site. (*Matter of Riverkeeper, Inc. v Planning Bd. of Town of Southeast*, 9 NY3d 219; *Mobil Oil Corp. v City of Syracuse Indus. Dev. Agency*, 224 AD2d 15; *Matter of C/S 12th Ave. LLC v City of New York*, 32 AD3d 1; *Matter of Penfield Panorama Area Community v Town of Penfield Planning Bd.*, 253 AD2d 342; *Matter of Doremus v Town of Oyster Bay*, 274 AD2d 390; *Develop Don't Destroy [Brooklyn], Inc. v Empire State Dev. Corp.*, 33 Misc 3d 330; *Waldbaum, Inc. v Incorporated Vil. of Great Neck*, 10 Misc 3d 1078[A], 2006 NY Slip Op 50119[U].)

*Fried, Frank, Harris, Shriver & Jacobson LLP*, New York City (*Richard G. Leland, Laura Israel Sinrod and Deuel Ross* of counsel), and *Sive, Paget & Riesel, P.C.* (*Mark A. Chertok, Jennifer Coghlan and Edward K. Roggenkamp, IV*, of counsel) for The Real Estate Board of New York, Inc., amicus curiae. I. The Appellate Division's decision contradicts well-established precedent holding that a lead agency has broad discretion in determining whether a supplement environmental impact statement is warranted. (*Matter of Riverkeeper, Inc. v Planning Bd. of Town of Southeast*, 9 NY3d 219; *Matter of Gaines v New York State Div. of Hous. & Community Renewal*, 90 NY2d 545; *Matter of C/S 12th Ave. LLC v City of New York*, 32 AD3d 1; *Matter of Halperin v City of New Rochelle*, 24 AD3d 768; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Glen Head-Glenwood Landing Civic Council v Town of Oyster Bay*, 88 AD2d 484; *Marsh v Oregon Natural Resources Council*, 490 US 360; *Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400; *Matter of Coalition Against Lincoln W., Inc. v Weinshall*, 21 AD3d 215; *Matter of Molly, Inc. v County of Onondaga*, 2 AD3d 1418.) II. A lead agency need not await completion of Brown-field Cleanup Program remediation and a site management plan before issuing a final environmental impact statement. (*Matter of Long Is. Pine Barrens Socy. v Planning Bd. of Town of Brookhaven*, 78 NY2d 608; *Matter of Riverkeeper, Inc. v Planning Bd. of Town of Southeast*, 9 NY3d 219; *Matter of Penfield Panorama Area Community v Town of Penfield Planning Bd.*, 253 AD2d 342; *Matter of Pyramid Co. of Watertown v Planning Bd. of Town of Watertown*, 24 AD3d 1312.) III. The Appellate Division's decision sets a dangerous precedent and is contrary to public policy. (*Matter of Riverkeeper, Inc. v Planning Bd. of Town of Southeast*, 9 NY3d 219.)

*Schulte Roth & Zabel LLP*, New York City (*Howard B. Epstein, Theodore A. Keyes, Sami B. Groff, Lawrence B. Schnapf*

and Valerie L. Sheaffer of counsel), for New Partners for Community Revitalization, amicus curiae. I. The Appellate Division correctly ruled that the final environmental impact statement was deficient because the New York City School Construction Authority failed to take a hard look at long-term maintenance and monitoring related to the institutional and engineering controls. (*Matter of King v Saratoga County Bd. of Supervisors*, 89 NY2d 341; *Williamsburg Around the Bridge Block Assn. v Giuliani*, 223 AD2d 64; *Matter of Coalition Against Lincoln W, Inc. v Weinshall*, 21 AD3d 215; *Matter of Pyramid Co. of Watertown v Planning Bd. of Town of Watertown*, 24 AD3d 1312; *Matter of Penfield Panorama Area Community v Town of Penfield Planning Bd.*, 253 AD2d 342; *Matter of Holmes v Brookhaven Town Planning Bd.*, 137 AD2d 601.) II. The Appellate Division correctly required the New York City School Construction Authority to prepare a supplemental environmental impact statement that addresses the long-term maintenance and monitoring plans for engineering controls. (*Matter of Doremus v Town of Oyster Bay*, 274 AD2d 390.)

#### OPINION OF THE COURT

SMITH, J.

An agency preparing an environmental impact statement (EIS) has broad discretion in deciding what to include and what to omit. We nevertheless hold that in this case the New York City School Construction Authority (Authority) must supplement its EIS to describe certain remedial measures, because the Authority has not challenged petitioners' showing that such a description is essential to an understanding of the environmental impact of the Authority's project.

#### I

The project is the construction of a campus including four public schools in the Mott Haven area of the Bronx. The site selected by the Authority for the campus was formerly a railroad yard. The soil and ground water were significantly contaminated, and had to be cleaned up.

The process of identifying, analyzing and remedying the site's environmental problems was long and laborious. A first environmental assessment was prepared in 2001; remedial actions were not completed until 2007. In the interval, the Authority prepared many studies, consulted with community groups, repeatedly invited public comment on the project, and complied with a number of statutory requirements not relevant here.

The issue before us is whether the Authority violated the State Environmental Quality Review Act (SEQRA) (ECL 8-0101 *et seq.*) by failing to discuss in an EIS the methods it adopted for long-term maintenance and monitoring of the controls it used to prevent or mitigate environmental harm. To place this issue in context, we must discuss the impact on the project of another statutory scheme, the Brownfield Cleanup Program (ECL 27-1401 *et seq.*), by which the State offers inducements for the cleanup of contaminated sites. The Authority successfully applied to participate in the Brownfield Program before it prepared the EIS required by SEQRA.

The most contaminated section of the Mott Haven campus site was accepted into the Brownfield Program by the Department of Environmental Conservation (DEC) in 2005. Participation in the program required the Authority to submit a number of documents to the DEC, among them a Remedial Action Work Plan (RAWP), describing how it proposed to remedy the contamination. In its RAWP, the Authority proposed, among other things, to make use of so-called engineering controls—for example, a vapor barrier under a school building, to prevent contaminants from entering the school, and a hydraulic barrier to prevent recontamination of the site by groundwater (*see* ECL 27-1405 [11] *and* 6 NYCRR 375-1.2 [o] [defining “engineering control”]).

The Brownfield statute and the DEC regulations implementing it require a RAWP that includes engineering controls also to include, among other things, “a complete description of . . . any operation, maintenance, and monitoring requirements, including the mechanisms that will be used to continually implement, maintain, monitor, and enforce such controls” (ECL 27-1415 [7] [a] [ii]; *see also* 6 NYCRR 375-1.8 [h] [1] [ii]). In other words, a site owner is required to describe the means it will use to be sure that its engineering controls continue to work as intended. These long-term maintenance and monitoring methods, which are the focus of this litigation, include such things as the inspection of structures to be sure they are in good condition, and the periodic testing of groundwater for contaminants.

The RAWP that the Authority submitted to the DEC did not describe its plans for long-term maintenance and monitoring. This was because the Authority believed a choice of maintenance and monitoring methods at that time would be premature. In the Authority’s view, such methods are best chosen after cleanup work has been done, and the post-cleanup soil and

groundwater conditions can be assessed. The DEC approved the RAWP on July 5, 2006, stating as a condition, among others, that the Authority “must develop a site management plan for [DEC] approval to . . . provide for the operation and maintenance of the components of the remedy.”

After getting DEC’s conditional approval of the RAWP, but before preparing the site management plan that the DEC required, the Authority went through the SEQRA process. It prepared a draft EIS, made it available for public comment and revised it in light of those comments. Neither the draft nor the final version of the EIS described the long-term maintenance and monitoring procedures to be used.

After filing the final version of the EIS, the Authority, on November 6, 2006, made detailed findings as to the environmental impacts of the project. It concluded that “[t]he beneficial impacts of the construction of the proposed new school facility far outweigh the adverse environmental impacts,” that those impacts “can be largely mitigated” by measures identified in the final EIS, and that the project “minimizes or avoids adverse environmental impacts to the maximum extent practicable by incorporating as conditions to the decision those mitigative measures which were identified as practicable” (*see* ECL 8-0109 [2], [5], [8]).

Petitioners brought this CPLR article 78 proceeding in 2007, challenging the Authority’s SEQRA compliance. Petitioners pointed to several alleged flaws in the EIS, but the only one that now concerns us is its failure to “propose a long-term maintenance and monitoring protocol.” An expert affidavit submitted in support of the petition said that “the long-term inspection, maintenance and monitoring of protective controls is essential to ensuring that [the Authority’s] strategy will sufficiently protect a site’s occupants” and that the strategy outlined by the Authority in its RAWP “can be effective mitigation only if a robust long-term management program is implemented.”

In opposing the petition, the Authority did not assert that the methods of long-term maintenance and monitoring were not important enough to be described in an EIS. Rather, the Authority submitted an expert affidavit explaining that “developing a detailed site management plan at this time is neither necessary nor appropriate because the plan must be governed by post-remediation soil and groundwater conditions, something that

cannot be measured until after cleanup is complete.” Supreme Court interpreted the Authority’s position as an admission “that its final Environmental Impact Statement as it stands now is incomplete without a detailed long term maintenance and monitoring plan” and ordered the Authority to prepare a supplemental EIS “based upon any changes to the final Environmental Impact Statement as a result of the [Authority’s] completed, detailed long term maintenance and monitoring plan.”

After Supreme Court’s decision, the Authority prepared a site management plan that included a description of long-term maintenance and monitoring measures, which the DEC approved in November 2008. Petitioners do not dispute that these measures were adequate; thus, the Authority could presumably have complied with Supreme Court’s order and resolved this case simply by filing, in the form of a supplemental EIS, the description of long-term maintenance and monitoring that its site management plan contains. But the Authority did not file a supplemental EIS. Instead, it moved for reargument and renewal, asserting in substance that its submission of the site management plan, and DEC’s approval of it, removed the need for any further SEQRA filing.

Supreme Court granted reargument, but upon reargument adhered to its previous ruling. The Appellate Division affirmed both of Supreme Court’s orders (*Matter of Bronx Comm. for Toxic Free Schools v New York City School Constr. Auth.*, 86 AD3d 401 [1st Dept 2011]). We granted leave to appeal (17 NY3d 717 [2011]), and now affirm.

## II

SEQRA requires the preparation of an EIS “on any action . . . which may have a significant effect on the environment” (ECL 8-0109 [2]). The EIS must include, among other things, “a description of the proposed action,” its “environmental impact” and “mitigation measures proposed to minimize the environmental impact” (*id.* § 8-0109 [2] [a], [b], [f]). In reviewing the sufficiency of an EIS, the role of a court is “to determine whether the agency identified the relevant areas of environmental concern, took a ‘hard look’ at them, and made a ‘reasoned elaboration’ of the basis for its determination” (*Matter of Jackson v New York State Urban Dev. Corp.*, 67 NY2d 400, 417 [1986] [citations omitted]).

[1] In essence, the position of petitioners here, and the holding of the courts below, is that the methods chosen by the

Authority for long-term maintenance and monitoring of its engineering controls were too important not to be described in an EIS. We agree, because petitioners' showing as to the importance of these measures stands un rebutted on this record.

We do not view this case as a dispute over how much detail must be included in an EIS, or over whether events occurring after the EIS was filed were significant enough to call for a supplement. If those were the issues, we would defer to any reasonable judgment made by the Authority (*see Matter of Eadie v Town Bd. of Town of N. Greenbush*, 7 NY3d 306, 318-319 [2006]; *Webster Assoc. v Town of Webster*, 59 NY2d 220, 227-229 [1983]). But the Authority does not assert that, in its judgment, the maintenance and monitoring measures were relatively minor details that the public did not need to know about. The Authority has not disputed petitioners' showing that these measures were "essential" to protecting the site's occupants from dangerous contaminants.

The Authority seems instead to be arguing that it should not have to describe the long-term maintenance and monitoring measures in a supplemental EIS because (1) it reasonably chose not to decide on those measures before its EIS was filed and (2) it adequately described them in the site management plan approved by the DEC as part of the Brownfield Program. Both of these arguments lack merit.

We assume, without deciding, that the Authority acted reasonably in postponing a detailed consideration of its long-term maintenance and monitoring measures until after it had completed cleanup work at the site and after its EIS was filed. That does not mean, however, that mitigation measures of undisputed importance may escape the SEQRA process. DEC regulations provide for the filing of a supplemental EIS to address subjects "not addressed or inadequately addressed in the EIS," arising from "changes proposed for the project," from "newly discovered information" or from changed circumstances (6 NYCRR 617.9 [a] [7]). Where important decisions about mitigation can only be made after the initial remedial measures are complete, a supplemental EIS may be called for, as it is here.

[2] Nor does the submission of the site management plan to the DEC, or the approval of that plan as part of the Brownfield process, justify short-circuiting SEQRA review. The Brownfield Program and SEQRA serve related but distinct purposes. SEQRA is designed to assure that the main environmental



concerns, and the measures taken to mitigate them, are described in a publicly filed document identified as an EIS, as to which the public has a statutorily-required period for review and comment. We understand the Authority's view that, as to this project, it has already done enough public outreach and considered enough public comments, but SEQRA requires it to take this one step more.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

READ, J. (concurring). I agree with the result in this appeal in view of the facts and caveats as stated by the majority. But what happened here does, in my view, highlight the uncertainty that lead agencies and developers face when a project reviewable under the State Environmental Quality Review Act (SEQRA) (ECL art 8) is sited on land accepted in whole or in part into the Brownfield Cleanup Program (BCP) (ECL art 27, tit 14).

This assumes, of course, that the developer's remedial activities are not exempt from SEQRA altogether. The regulations governing the Inactive Hazardous Waste Disposal Site Remedial Program (ECL art 27, tit 13), which is akin to the BCP, provide as follows:

“(b) State environmental quality review act applicability. Remedy selection and implementation of remedial actions under Department approved work plans pursuant to ECL article 27, title 13 are not subject to review pursuant to ECL article 8 and its implementing regulation (6 NYCRR Part 617), as an exempt action pursuant to the enforcement exemption provision” (6 NYCRR 375-2.11 [b]; *see also* ECL 8-0105 [5] [i] [exempting “enforcement proceedings or the exercise of prosecutorial discretion in determining whether or not to institute such proceedings” from SEQRA’s definition of “action”]; *Matter of New York Pub. Interest Research Group v Town of Islip*, 71 NY2d 292, 306 [1988] [discussing equivalent provision in former part 617 regulations]).

The analogous provision in the BCP regulations is more complicated:

“(b) State environmental quality review act applicability.

“(1) Remedy selection and implementation of remedial actions under Department-approved work plans

pursuant to ECL article 27, title 14 are not subject to review pursuant to ECL article 8 and its implementing regulation (6 NYCRR Part 617), provided that design and implementation of the remedy do not:

“(i) commit the Department or any other agency to specific future uses or actions; and

“(ii) prevent evaluation of a reasonable range of alternative future uses of or actions on the remedial site. . . .

“(3) The exemption set forth in this subdivision is in addition to, and not in place of, other exemptions to [sic] that apply pursuant to Parts 617 or 618 of this title (e.g. the enforcement exemption)” (6 NYCRR 375-3.11 [b]).

Respondent in this CPLR article 78 proceeding, the New York City School Construction Authority (the Authority), never claimed that the BCP-related portion of its project was exempt from SEQRA. And perhaps difficulties coordinating BCP and SEQRA review seldom arise because developers routinely qualify for the exemption from SEQRA for remedial activities designed and implemented on the project site pursuant to the BCP.\*

Here, petitioner Bronx Committee for Toxic Free Schools complains that the protocols chosen by the Authority for long-term maintenance and monitoring of the remedy should have been discussed in the draft environmental impact statement (EIS) to afford the public the opportunity to comment on them.

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\* I frankly confess, though, that I find 6 NYCRR 375-3.11 (b) confusing. Does the exception from the exemption in paragraph (1) of this provision *only* apply to direct actions (*see* 6 NYCRR 617.2 [k] [defining “direct action” or “directly undertaken action” as “an action planned and proposed for implementation by an agency”])? Certainly, developers seek acceptance into the BCP because they want to redevelop contaminated property for a defined proposed project—a “specific future use[ ] or action[ ]”—which necessarily “prevent[s] evaluation of a reasonable range of alternative future uses of or actions on the remedial site.” And what does paragraph (3) mean when it says the exemption in paragraph (1) is *in addition to* the enforcement exemption? This suggests that not all “[r]emedial selection and implementation of remedial actions under Department-approved work plans” under the BCP qualify for the enforcement exemption, contrary to the situation under the Inactive Hazardous Waste Disposal Site Remedial Program (*compare* 6 NYCRR 375-3.11 [b] [3] *with* 6 NYCRR 375-2.11 [b]). But then how does a lead agency or developer know when the enforcement exemption applies and when it does not?

The Legislature, however, has already provided for public comment under the BCP (*see* ECL 27-1417 [3]; *see also* *Matter of Lighthouse Pointe Prop. Assoc. LLC v New York State Dept. of Envtl. Conservation*, 14 NY3d 161, 166 [2010] [“Public notice and opportunities for citizen participation are integral features of the BCP at every stage, from the request to participate (in the program) to issuance of the certificate” of completion issued by the New York State Department of Environmental Conservation (DEC) once a site has been cleaned up in accordance with applicable remedial requirements]). More specifically,

“[t]he BCP calls for some degree of public participation in at least seven different stages of the application and cleanup process: when an original application is filed; before finalizing a remedial investigation work plan; before the DEC approves a proposed remedial investigation report; before the agency finalizes a remedial work plan; before the applicant commences construction at a brownfield site; before the DEC approves a final engineering report; and within 10 days of issuance of a certificate of completion” (*see* Dale Desnoyers & Larry Schnapf, *Environmental Remediation Process is Undergoing Sweeping Changes Mandated by New Brownfields Law*, 76 NY St BJ 10, 14 [Oct. 2004]).

The most recent edition of DEC’s Citizen Participation Handbook for Remedial Programs provides for a 45-day public comment period for a draft Remedial Action Work Plan (RAWP), with a public meeting if requested in those cases where the site poses a significant threat to human health or the environment (*see* New York State Department of Environmental Conservation, DER-23/Citizen Participation Handbook for Remedial Programs § 3.1 [“Summary of Brownfield Cleanup Program Citizen Participation Requirements”] [Jan. 21, 2010], available at [http://www.dec.ny.gov/docs/remediation\\_hudson\\_pdf/der23.pdf](http://www.dec.ny.gov/docs/remediation_hudson_pdf/der23.pdf)). As the majority observes, the draft RAWP is supposed to describe “the means [to be used] to be sure that [the proposed remedy’s] engineering controls continue to work as intended” (majority op at 153; *see also* ECL 27-1415 [7] [a] [i]-[iv]). The Authority was of the view that, in this case, inclusion of these details in the draft RAWP was premature. Accordingly, DEC conditioned its approval of the RAWP, which occurred prior to the Authority’s issuance of a draft EIS, on “develop[ment of] a site management plan for [DEC] approval

to . . . provide for the operation and maintenance of the components of the remedy.” If the Authority had addressed long-term maintenance and monitoring in the draft RAWP, which was subject to public review and comment as part of the formal BCP citizen participation program, there presumably would have been no need to cover the same topic separately in the draft EIS. But, as noted previously, it is uncertain how BCP and SEQRA requirements fit together so as to offer meaningful and non-duplicative review of a project. Perhaps DEC will clarify this issue in the context of its proposed SEQRA amendments (see Charlotte A. Biblow, *DEC Proposes First Revisions to SEQRA Regulations Since 1996*, NYLJ, Sept. 27, 2012 at 3; see also New York State Department of Environmental Conservation, Draft Scope for the Generic Environmental Impact Statement on the Proposed Amendments to the State Environmental Quality Review Act at 5 [July 11, 2012], available at [http://www.dec.ny.gov/docs/permits\\_ej\\_operations\\_pdf/drftscope617.pdf](http://www.dec.ny.gov/docs/permits_ej_operations_pdf/drftscope617.pdf) [proposing to add “Brownfield site clean-up agreements under Title 14 of ECL Article 27” to list of actions not requiring review under SEQRA]).

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, PIGOTT and JONES concur with Judge SMITH; Judge READ concurs in result in a separate opinion.

Order affirmed, with costs.

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[981 NE2d 240, 957 NYS2d 644]

EAST MIDTOWN PLAZA HOUSING COMPANY, INC., Appellant, v  
ANDREW M. CUOMO, as Attorney General of the State of  
New York, et al., Respondents. EAST MIDTOWN PLAZA  
TENANT-COOPERATOR ASSOCIATION, Intervenor-Appellant;  
EAST MIDTOWN PLAZA MITCHELL-LAMA ORGANIZATION,  
Intervenor-Respondent.

Argued October 10, 2012; decided November 19, 2012

### SUMMARY

APPEALS, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 14, 2011. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Emily Jane Goodman, J.; op 2010 NY Slip Op 30532[U] [2010]), entered in a proceeding pursuant to CPLR article 78, which had (1) denied a petition seeking a declaration that respondent Attorney General of the State of New York lacked jurisdiction over petitioner's efforts to exit the Mitchell-Lama program; in the alternative, to compel respondent Attorney General to accept the second amendment to petitioner's offering plan declaring the plan effective; and to direct respondent New York City Department of Housing Preservation and Development to recognize that the plan achieved the necessary two-thirds shareholder vote under the one-vote-per-share formula; and (2) dismissed the proceeding.

*East Midtown Plaza Hous. Co., Inc. v Cuomo*, 85 AD3d 485, affirmed.

### HEADNOTES

#### **Condominiums and Cooperatives — Cooperative Apartments — Cooperative Offering Plan — Privatization of Mitchell-Lama Cooperative Complex**

1. The Martin Act (General Business Law art 23-A), which regulates the offer and sale of securities within or from New York, applied to the proposed privatization of petitioner's Mitchell-Lama cooperative apartment complex that was to be effectuated by an amendment to petitioner's certificate of incorporation with no conveyance of shares. It is illegal for a person to make or take part in "a public offering or sale" of securities consisting of participation interests in real estate, including cooperative apartment buildings, unless an offering statement is filed with the Attorney General (General Business Law § 352-e [1] [a]). Changes in the rights of the holders of existing securities can amount to a purchase or sale, and in ascertaining whether an interest qualifies as a "security" within the meaning of the Martin Act, substance and economic actuality control over form. Here, the changes affecting shareholders

were substantial enough to constitute a different investment such that the proposed privatization could fairly be characterized as an “offering or sale” of securities under the Martin Act. Privatization would enable residents to sell their shares at market rates, whereas the resale price of shares in a Mitchell-Lama cooperative apartment is set by law. Moreover, privatization would result in petitioner’s loss of eligibility for government-subsidized financing and property tax reductions available under Mitchell-Lama; the imposition on shareholders of a 45% transfer fee to be paid to petitioner from the proceeds of the first sale of shares; the possibility that individual shareholders would become disqualified for government programs for persons in need; and potential increases in maintenance charges.

**Condominiums and Cooperatives — Cooperative Apartments — Cooperative Offering Plan — Shareholder Voter Formula**

2. The vote by the shareholders of petitioner limited-profit housing company to determine whether to withdraw from the Mitchell-Lama program and become a private cooperative apartment complex was required to be calculated using the one-vote-per-apartment formula contained in petitioner’s certificate of incorporation rather than a per-share basis. The certificate of incorporation expressly provided that the shareholders “shall be entitled to one vote at any and all meetings of stockholders for any and all purposes regardless of the number of shares held by such holder, except as otherwise provided by statute.” Although Business Corporation Law § 1001 (a) (ii) provides that dissolution of a corporation may be authorized at a shareholder meeting by “two-thirds of the votes of all outstanding shares entitled to vote thereon,” that statutory language did not mandate a per-share vote for corporate dissolution regardless of the contrary language in the certificate of incorporation. Instead, Business Corporation Law § 612 (a) specifically addresses shareholder voting rights by establishing a default rule of one vote per share, but allowing corporations to adopt a different vote-count methodology in their certificates of incorporation, as petitioner did here. Because the Business Corporation Law does not mandate any specific method of vote calculation, petitioner’s certificate of incorporation controlled. Similarly, the New York City Department of Housing Preservation and Development regulation in effect at the time of the privatization vote, which required “approval of two-thirds ( $\frac{2}{3}$ ) of the outstanding shares of the corporation as mandated by the Business Corporation Law” (28 RCNY 3-14 [i] [former (7)]), could be read compatibly with petitioner’s certificate of incorporation.

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**RESEARCH REFERENCES**

By the Publisher’s Editorial Staff

AM JUR 2d, Condominiums and Cooperative Apartments §§ 61, 62, 78; AM JUR 2d, Corporations §§ 858, 898; AM JUR 2d, Housing Laws and Urban Redevelopment §§ 2, 16.

McKINNEY’S, Business Corporation Law §§ 612 (a); 101 (a) (ii); General Business Law § 352-e (1) (a).

NY JUR 2d, Business Relationships §§ 917, 1356; NY JUR 2d, Condominiums and Cooperative Apartments §§ 1, 3; NY JUR 2d, Investment Securities §§ 220, 221; NY JUR 2d, Public Housing and Urban Renewal §§ 39, 45.



NEW YORK REAL PROPERTY SERVICE §§ 30:87, 30:89,  
53:21, 53:26, 53:28.

#### ANNOTATION REFERENCE

See ALR Index under Condominiums and Cooperative Apartments; Corporate Stock and Stockholders; Housing and Slum Clearance.

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#### POINTS OF COUNSEL

*Sullivan & Worcester LLP*, New York City (*George O. Richardson, III*, and *Michael T. Sullivan* of counsel), for appellant. I. East Midtown Plaza Housing Company, Inc. has the absolute right to exit the Mitchell-Lama program. (*United Housing Foundation, Inc. v Forman*, 421 US 837; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; *Matter of Verdell v Lincoln Amsterdam House, Inc.*, 27 AD3d 388; *2550 Olinville Ave. v Crotty*, 149 Misc 2d 806, 185 AD2d 200, 81 NY2d 772; *Matter of Columbus Park Corp. v Department of Hous. Preserv. & Dev. of City of N.Y.*, 80 NY2d 19.) II. The Martin Act does not apply to East Midtown Plaza Housing Company, Inc.'s exiting the Mitchell-Lama program. (*Kralik v 239 E. 79th St. Owners Corp.*, 5 NY3d 54; *People v Landes*, 84 NY2d 655; *Council for Owner Occupied Hous. v Abrams*, 72 NY2d 553; *Assured Guar. [UK] Ltd. v J.P. Morgan Inv. Mgt. Inc.*, 18 NY3d 341; *United Housing Foundation, Inc. v Forman*, 421 US 837; *Isquith by Isquith v Caremark Intl., Inc.*, 136 F3d 531; *Howe v Bank for Intl. Settlements*, 194 F Supp 2d 6.) III. East Midtown Plaza Housing Company, Inc. properly counted the votes as one vote per share. (*Guzman v Haven Plaza Hous. Dev. Fund Co.*, 69 NY2d 559; *Matter of Acker v Berman*, 54 Misc 2d 647.)

*Eric T. Schneiderman*, Attorney General, New York City (*Richard Dearing*, *Barbara D. Underwood* and *David Lawrence III* of counsel), for State of New York, respondent. I. East Midtown Plaza Housing Company, Inc.'s proposed privatization is subject to the offering-plan requirement of the Martin Act. (*United Housing Foundation, Inc. v Forman*, 421 US 837; *Global Reins. Corp.-U.S. Branch v Equitas Ltd.*, 18 NY3d 722; *Matter of Walker v Walker*, 86 NY2d 624; *Abrahamson v Fleschner*, 568

F2d 862; *Rathborne v Rathborne*, 683 F2d 914; *Keys v Wolfe*, 709 F2d 413; *Perez-Rubio v Wyckoff*, 718 F Supp 217; *Pachter v Bernard Hodes Group, Inc.*, 10 NY3d 609; *New York State Psychiatric Assn., Inc. v New York State Dept. of Health*, 19 NY3d 17; *Matter of Badem Bldgs. v Abrams*, 70 NY2d 45.) II. The Attorney General reasonably rejected East Midtown Plaza Housing Company, Inc.'s proposed second amendment to its offering plan on the ground that it was false and misleading. (*Matter of Scherbyn v Wayne-Finger Lakes Bd. of Coop. Educ. Servs.*, 77 NY2d 753; 88 *Assoc. v Abrams*, 159 AD2d 412; *Treger Mgt. Co. v Abrams*, 180 AD2d 614; *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144; *State of New York v Rachmani Corp.*, 71 NY2d 718; *Council for Owner Occupied Hous. v Abrams*, 72 NY2d 553.)

*Michael A. Cardozo*, Corporation Counsel, New York City (*Victoria Scalzo*, *Kristin M. Helmers* and *Ave Maria Brennan* of counsel), for New York City Department of Housing Preservation and Development, respondent. The Appellate Division properly found that the vote of the resident shareholders of East Midtown Plaza Housing Company, Inc. on the issue of exiting the Mitchell-Lama program must be counted on a "one vote per dwelling unit" basis. (*Matter of Brooklyn Assembly Halls of Jehovah's Witnesses, Inc. v Department of Env'tl. Protection of City of N.Y.*, 11 NY3d 327; *Matter of Howard v Wyman*, 28 NY2d 434; *Matter of Tommy & Tina, Inc. v Department of Consumer Affairs of City of N.Y.*, 95 AD2d 724, 62 NY2d 671; *Kralik v 239 E. 79th St. Owners Corp.*, 5 NY3d 54; *Consolidated Resources, LLC v 210-220-230 Owner's Corp.*, 59 AD3d 579; *Mittman v Netherland Gardens Corp.*, 55 AD3d 512; *Guzman v Haven Plaza Hous. Dev. Fund Co.*, 69 NY2d 559; *Elliott v City of New York*, 95 NY2d 730; *Schumer v Caplin*, 241 NY 346; *Matter of Parkview Assoc. v City of New York*, 71 NY2d 274, 488 US 801.)

*Himmelstein*, *McConnell*, *Gribben*, *Donoghue & Joseph*, New York City (*Kevin R. McConnell* and *Serge Joseph* of counsel), for intervenor-appellant. I. East Midtown Plaza Housing Company, Inc.'s certificate of incorporation and the relevant statutes require a per-share vote. (*2550 Olinville Ave. v Crotty*, 149 Misc 2d 806, 185 AD2d 200, 81 NY2d 772; *Mendel v Henry Phipps Plaza W., Inc.*, 6 NY3d 783; *Blumenfeld v City of New York*, 44 Misc 2d 475; *Fe Bland v Two Trees Mgt. Co.*, 66 NY2d 556; *Wapnick v Seven Park Ave. Corp.*, 240 AD2d 245; *Spiegel v 1065 Park Ave. Corp.*, 305 AD2d 204; *Matter of Madison v Striggles*,

228 AD2d 170.) II. This Court owes no deference to the Department of Housing Preservation and Development's interpretation of the governing statutes. (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Dworman v New York State Div. of Hous. & Community Renewal*, 94 NY2d 359; *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225; *Matter of Ansonia Residents Assn. v New York State Div. of Hous. & Community Renewal*, 75 NY2d 206; *Matter of Schenectady Police Benevolent Assn. v New York State Pub. Empl. Relations Bd.*, 85 NY2d 480; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303.) III. The Department of Housing Preservation and Development's interpretation of the regulation and its reversal in policy were arbitrary and capricious. (*Matter of Richardson v Commissioner of N.Y. City Dept. of Social Servs.*, 88 NY2d 35; *Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516; *Matter of Blossom View Nursing Home v Novello*, 4 NY3d 581; *Matter of Cordero v Corbisiero*, 80 NY2d 771; *Matter of Roman Catholic Diocese of Albany v New York State Dept. of Health*, 66 NY2d 948; *Matter of CDL W. 45th St. v City of N.Y. Dept. of Fin.*, 308 AD2d 210; *Matter of Singh v Taxi & Limousine Commn. of City of N.Y.*, 282 AD2d 368; *Boreali v Axelrod*, 71 NY2d 1; *Matter of Nicholas v Kahn*, 47 NY2d 24.)

*Barry Mallin & Associates, P.C.*, New York City (Barry Mallin of counsel), for intervenor-respondent. I. East Midtown Plaza Housing Company, Inc.'s privatization plan is subject to the Martin Act disclosure requirements. (*All Seasons Resorts v Abrams*, 68 NY2d 81; *People v Landes*, 84 NY2d 655; *SEC v Ralston Purina Co.*, 346 US 119; *Doran v Petroleum Mgt. Corp.*, 545 F2d 893; *United Housing Foundation, Inc. v Forman*, 421 US 837; *Tcherepnin v Knight*, 389 US 332.) II. The Attorney General had a rational basis for rejecting East Midtown Plaza Housing Company, Inc.'s second amendment to the offering plan. (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Salvati v Eimicke*, 72 NY2d 784; *Matter of Nelson v Roberts*, 304 AD2d 20; *E. & R. Mavin Constr. v Abrams*, 180 AD2d 425; *Matter of 140 W. 4th St. Corp. v Abrams*, 152 AD2d 847; *Matter of 44 W. 96th St. Assoc. v Abrams*, 85 AD2d 563; *Academy St. Assoc. v Spitzer*, 50 AD3d 271.) III. The Department of Housing Preservation and Development had a rational basis for determining that the criteria for balloting was one vote per unit. (*Guzman v Haven Plaza Hous. Dev. Fund Co.*, 69 NY2d 559; *Matter of Acker v Berman*, 54 Misc 2d 647.)

IV. East Midtown Plaza Housing Company, Inc. seeks to disavow the voting procedures after losing under the rules set forth in the offering plan.

*Collins, Dobkin & Miller, LLP*, New York City (*Stephen Dobkin* of counsel), and *Mary Foutz*, Brooklyn, for Mitchell-Lama Residents Coalition and others, amici curiae. I. The election held on a one-vote-per-apartment basis was in keeping with the fundamental nature of Mitchell-Lama cooperatives. (*Schwartz v Marien*, 37 NY2d 487; *Vernon Manor Co-op. Apts., Section I v Salatino*, 15 Misc 2d 491; *Smolinsky v 46 Rampasture Owners*, 230 AD2d 620.) II. There exist no statutory or regulatory exceptions to the application of the one-vote-per-apartment rule in this case. (*Matter of Tormey v LaGuardia*, 172 Misc 1091, 259 App Div 802, 283 NY 779; *Matter of Archdeacon v Town of Oyster Bay*, 12 Misc 3d 438; *Garson v Garson*, 105 AD2d 726, *affd sub nom. Garson v Rapping*, 66 NY2d 928; *Wapnick v Seven Park Ave. Corp.*, 240 AD2d 245; *Spiegel v 1065 Park Ave. Corp.*, 305 AD2d 204; *Avon Prods., Inc. v Chartwell Assoc. L.P.*, 907 F2d 322.) III. The absence of ongoing governmental oversight is an essential difference between private and Mitchell-Lama cooperatives mandating the application of the Martin Act to the proposed privatization of East Midtown Plaza Housing Company, Inc. (*Cadplaz Sponsors v Cadman Towers*, 84 Misc 2d 961, 56 AD2d 780.)

#### OPINION OF THE COURT

GRAFFEO, J.

In this proceeding, we hold that the Martin Act applies to the proposed privatization of a Mitchell-Lama cooperative apartment complex. Based on the circumstances of this case, we also conclude that a vote to determine whether the cooperative withdraws from the Mitchell-Lama program must be counted on a per-apartment basis rather than a per-share basis.

#### I.

Petitioner East Midtown Plaza Housing Company, Inc. (East Midtown) has been a limited-profit housing company organized under the Mitchell-Lama Law since 1968.<sup>1</sup> It operates a 746-unit cooperative housing project located in six buildings in

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1. The legislature adopted the Mitchell-Lama Law (Private Housing Finance Law art II) in 1955 to offer private housing companies financial incentives to develop low and moderate income housing (see *Matter of KSLM-*

(n. cont'd)

Manhattan. Ownership shares in East Midtown are not allocated equally among the apartment units; larger units are allotted more shares. East Midtown's certificate of incorporation specifies that each shareholder is entitled to one vote at shareholder meetings, regardless of the number of shares owned. In 2004, East Midtown's cooperative shareholders held a vote to decide whether to withdraw from the Mitchell-Lama program and become a private cooperative apartment complex, as permitted by Private Housing Finance Law § 35.<sup>2</sup> Under the proposed privatization plan, East Midtown would dissolve and all its assets would be transferred to a newly incorporated private cooperative, accompanied by a formal issuance of new shares in the entity. If the votes were counted on a per-share basis, the 2004 proposal achieved the requisite two-thirds supermajority for passage, but if the votes were counted on a per-apartment basis, the proposal did not garner sufficient votes for privatization.

After the vote was taken, respondents, the New York City Department of Housing Preservation and Development (HPD) and the New York State Attorney General, informed East Midtown that a new vote was required because East Midtown had improperly held the privatization vote without first filing a cooperative offering plan with the Attorney General's office pursuant to the Martin Act. The Attorney General also notified East Midtown that, in accordance with the voting rights provision in East Midtown's certificate of incorporation, passage by two thirds of East Midtown's dwelling units, rather than two thirds of the outstanding shares, would be necessary for approval.

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*Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303, 308 [2005]). The program "encourages such housing by offering State and municipal assistance to developers in the form of long-term, low-interest government mortgage loans and real estate tax exemptions. In return for these financial benefits, developers agree to regulations concerning rent, profit, disposition of property and tenant selection" (*Matter of Columbus Park Corp. v Department of Hous. Preserv. & Dev. of City of N.Y.*, 80 NY2d 19, 23 [1992]).

2. The Mitchell-Lama Law states that a limited-profit housing company—like East Midtown—that is aided by a New York City loan made after May 1, 1959 may

"voluntarily be dissolved, without the consent of the [New York City Department of Housing Preservation and Development] not less than twenty years after the occupancy date upon the payment in full of the remaining balance of principal and interest due and unpaid upon the mortgage or mortgages and of any and all expenses incurred in effecting such voluntary dissolution" (Private Housing Finance Law § 35 [2]).



East Midtown subsequently revised its privatization proposal and in 2008 the Attorney General accepted the offering plan. Unlike the 2004 proposal, the 2008 plan did not contemplate a transfer of property or a physical exchange of shares. Rather, the privatization was to be effectuated by an amendment to East Midtown's certificate of incorporation. The proponents of the new plan informed shareholders that HPD had taken the position that the privatization vote was to "be conducted on an apartment-by-apartment basis (i.e., one vote per apartment) without regard to the number of shares held by each shareholder." East Midtown further advised the shareholders that it was reserving the right to challenge the voting requirement directing a count on a per-apartment basis.

A second vote was held in 2009, resulting in the same outcome as the original 2004 vote: the proposal would have been approved if the votes were tallied using a one-vote-per-share rule, but not if counted under a one-vote-per-household formula as directed by the certificate of incorporation and HPD. Following the vote, East Midtown filed a proposed second amendment to the offering plan with the Attorney General. This amendment sought to declare the privatization plan "effective," stating that the 2008 plan had been adopted by "the affirmative vote of at least two thirds of the outstanding shares of East Midtown . . . by counting one vote per share." The Attorney General refused to accept the amendment.

East Midtown responded by commencing this CPLR article 78 proceeding seeking to compel the Attorney General to accept the second amendment declaring the plan effective and to direct HPD to recognize that the plan achieved the necessary two-thirds shareholder vote under the one-vote-per-share formula. The petition also sought a declaration that the Attorney General lacked jurisdiction over East Midtown's efforts to exit the Mitchell-Lama program on the theory that the Martin Act did not apply to the transaction. Two tenant organizations intervened in the litigation—East Midtown Plaza Tenant-Cooperator Association, which supported East Midtown, and East Midtown Plaza Mitchell-Lama Organization, a group that opposed privatization.

Supreme Court denied the petition and dismissed the proceeding (2010 NY Slip Op 30532[U] [2010]). The Appellate Division, with one Justice dissenting, affirmed (85 AD3d 485 [1st Dept 2011]). We granted East Midtown and East Midtown Plaza Tenant-Cooperator Association leave to appeal (18 NY3d 803 [2012]), and now affirm.



II.

With respect to the jurisdictional reach of the Martin Act, East Midtown argues that it should not have been required to file an offering plan because the Attorney General lacks authority over its withdrawal from the Mitchell-Lama program. East Midtown contends that the Martin Act—the statutory predicate for the Attorney General’s oversight—does not apply here because its 2008 privatization plan did not involve the “offering or sale” of securities as required by the statute. It emphasizes that, although the original 2004 proposal would have resulted in a transfer of assets and/or exchange of shares, the 2008 plan merely called for an amendment to East Midtown’s certificate of incorporation, with no conveyance of shares. The Attorney General disagrees, asserting that, however it is packaged, the privatization of a Mitchell-Lama cooperative complex comfortably falls within the parameters of the Martin Act.

The Martin Act (General Business Law art 23-A) regulates the offer and sale of securities within or from New York (*see Kralik v 239 E. 79th St. Owners Corp.*, 5 NY3d 54, 58 [2005]). The Attorney General is responsible “for implementing and enforcing the Martin Act, which grants both regulatory and remedial powers aimed at detecting, preventing and stopping fraudulent securities practices” (*id.* at 58-59). As relevant here, the Martin Act makes it illegal for a person to make or take part in “a public offering or sale” of securities consisting of participation interests in real estate, including cooperative apartment buildings, unless an offering statement is filed with the Attorney General (General Business Law § 352-e [1] [a]).<sup>3</sup> The purpose of the disclosures required in an offering plan is to safeguard the purchasers of cooperatives and condominiums by mandating “full disclosure of risks” and promoting “unit purchasers’ self-protection by analysis of risks” (*Kerusa Co. LLC v W10Z/515 Real Estate Ltd. Partnership*, 12 NY3d 236, 243 [2009] [internal quotation marks and citation omitted]).

We have emphasized that General Business Law § 352-e (1) (a) “should be liberally construed to give effect to its remedial purpose of protecting the public from fraudulent exploitation in

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3. Plainly, the Martin Act applies to the conversion of a rental apartment building into a cooperative building (*see 511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144 [2002]; *Richards v Kaskel*, 32 NY2d 524 [1973]). The question posed by this appeal is whether the act further applies to the privatization of an already-existing Mitchell-Lama cooperative apartment complex.

the offer and sale of securities” (*All Seasons Resorts v Abrams*, 68 NY2d 81, 86-87 [1986]). In our application of the Martin Act we have repeatedly found it appropriate to be guided by the decisions of federal courts interpreting federal blue sky laws (*see id.* at 87; *see also People v Landes*, 84 NY2d 655, 660 [1994] [“Although the Martin Act was enacted in 1921, its present form generally tracks the Federal securities acts of 1933 and 1934. Accordingly, we have looked to Federal court decisions construing those statutes when interpreting our own”]; *State of New York v Rachmani Corp.*, 71 NY2d 718, 726 [1988] [observing that the remedial purposes of the state and federal statutes are the same and that General Business Law § 352-e (1) (a) “makes specific reference to the Federal Securities Act of 1933”]). We therefore turn to the federal precedents.

Federal courts have recognized that changes in the rights of the holders of existing securities can amount to a “purchase or sale” within the meaning of the federal securities laws. The Second Circuit has explained that the test is whether there has been such a “significant change in the nature of the investment or in the investment risks as to amount to a new investment” (*Gelles v TDA Indus., Inc.*, 44 F3d 102, 104 [2d Cir 1994] [internal quotation marks and citation omitted]; *see also Abrahamson v Fleschner*, 568 F2d 862, 868 [2d Cir 1977], *cert denied sub nom. Harry Goodkin & Co. v Abrahamson*, 436 US 905 [1978] [same]; 3 Hazen, Securities Regulation § 12.6 [1] at 557 [6th ed 2009] [“Concepts of purchase and sale are to be construed flexibly in order to accomplish the purpose of the securities laws. The courts will consider the economic reality of the transaction and whether it lends itself to fraud in the making of an investment decision”]). The pertinent inquiry focuses on “the economic reality of the transaction” (*Keys v Wolfe*, 709 F2d 413, 417 [5th Cir 1983] [internal quotation marks and citation omitted]). We have applied a similarly adaptable standard in ascertaining whether an interest qualifies as a “security” within the meaning of the Martin Act, recognizing that substance and economic actuality will control over form (*see All Seasons Resorts*, 68 NY2d at 88).

Here, the privatization of East Midtown’s cooperative apartment complex would result in a number of substantial changes to the nature of its shareholders’ interests. Most fundamentally, privatization would enable residents to sell their shares at market rates. In stark contrast, the resale price of shares in a Mitchell-Lama cooperative apartment is set by law at an amount

that permits a seller to recover paid-in capital, not earn a profit (*see* Private Housing Finance Law § 31-a). Indeed, East Midtown acknowledges that the ability to sell shares at market prices is the primary reason why it desires to exit the Mitchell-Lama program.

[1] Furthermore, privatization would result in East Midtown's loss of eligibility for government-subsidized financing and property tax reductions available under Mitchell-Lama. Other significant alterations upon privatization would include the imposition on shareholders of a 45% transfer fee or "flip tax" to be paid to East Midtown from the proceeds of the first sale of shares; the possibility that individual shareholders would become disqualified for government programs for persons in need; and potential increases in maintenance charges. In short, the changes affecting shareholders are substantial enough to constitute a different investment such that the proposed privatization can fairly be characterized as an "offering or sale" of securities under the Martin Act.

We do not accept East Midtown's argument distinguishing the 2004 and 2008 privatization plans since it elevates form over substance. Mindful of the economic realities of the transaction, it matters not that the 2008 plan envisioned an amendment to the certificate of incorporation rather than a physical exchange of shares, as contemplated by the earlier plan (*see* 3 Hazen, Securities Regulation § 12.6 [3] at 558-559 [6th ed 2009] ["Amendments to a corporation's articles of incorporation may result in the alteration of existing shareholder rights and thus change the nature of the shares. Alterations in the rights of securities holders can constitute a sale of the old securities and a purchase of the new"])). The end result under either proposal is the same—privatization and market value resale potential. Hence, the Attorney General properly required East Midtown to file an offering statement under the Martin Act to allow existing shareholders to make an informed decision regarding the pros and cons of withdrawal from the Mitchell-Lama program.

### III.

East Midtown also contends that the courts below erred in holding that the shareholder vote to privatize had to be counted on a one-vote-per-apartment basis. It claims that the Business Corporation Law and an HPD regulation both require that the vote be calculated using a one-vote-per-share formula, regardless of the language in the certificate of incorporation. Under

this formulation, the 2009 vote resulted in sufficient votes for approval of the 2008 privatization plan. HPD and the Attorney General counter that the courts below properly concluded that the vote was governed by a one-vote-per-apartment rule and, under this methodology, the 2009 vote did not achieve the necessary supermajority margin to exit Mitchell-Lama.

Our analysis focuses on East Midtown's certificate of incorporation, which expressly provides that its shareholders "shall be entitled to one vote at any and all meetings of stockholders for any and all purposes regardless of the number of shares held by such holder, except as otherwise provided by statute." In other words, as East Midtown acknowledges, the certificate generally establishes a one-vote-per-apartment formula. East Midtown relies on the final clause of the voting provision, asserting that Business Corporation Law § 1001 "otherwise provides" a different method—it directs that a privatization vote be conducted on a one-vote-per-share basis.

[2] Business Corporation Law § 1001 generally governs the dissolution of a corporation.<sup>4</sup> As relevant to this case, section 1001 provides that dissolution may be authorized at a shareholder meeting by "two-thirds of the votes of all outstanding shares entitled to vote thereon" (Business Corporation Law § 1001 [a] [ii]). East Midtown interprets this language to mandate a per-share vote for corporate dissolution, regardless of any contrary language that may be found in the corporation's certificate of incorporation. We are not persuaded for three reasons. First, section 1001 requires a two-thirds vote of "all outstanding shares *entitled to vote*" to approve dissolution (emphasis added). In substance, the one-vote-per-apartment rule set forth in East Midtown's certificate of incorporation entitles the holder of shares to one vote at stockholder meetings.<sup>5</sup> Second, the reference to "all outstanding shares" in section 1001 clarifies that a dissolution vote must be passed not merely by two thirds of those voting at the shareholder meeting

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4. The Mitchell-Lama Law contemplates the dissolution and reconstitution of a limited-profit housing company that desires to privatize (*see* Private Housing Finance Law § 35 [2], [3]).

5. East Midtown's certificate of incorporation permits only one class of shares. The one-vote-per-apartment voting method is compatible with the certificate's requirements because East Midtown has but one class of shares and the certificate specifies how votes are counted within that class—a holder is entitled to one vote.

(see Business Corporation Law § 614 [b] [unless otherwise specified in the Business Corporation Law, votes are to be calculated by reference to those present and voting at a quorum meeting]), but by a supermajority of all shareholders in the company. Finally, the thrust of section 1001 is directed to how corporate shareholders may authorize dissolution; the statute does not purport to calculate the relative weight to be given to each share entitled to vote.

Instead, a different provision of the Business Corporation Law specifically addresses shareholder voting rights. Business Corporation Law § 612 (a) states that “[e]very shareholder of record shall be entitled at every meeting of shareholders to one vote for every share standing in his name on the record of shareholders, *unless otherwise provided in the certificate of incorporation*” (emphasis added). Section 612 therefore establishes a default rule of one vote per share. But it allows corporations to adopt a different vote-count methodology in their certificates of incorporation. And East Midtown did just that, it selected a one-vote-per-household voting formula in its certificate of incorporation. Because the Business Corporation Law does not mandate any specific method of vote calculation, we believe that East Midtown’s certificate of incorporation controls.<sup>6</sup>

East Midtown further asserts that an HPD regulation in effect at the time of the 2009 vote required that the votes be counted on a per-share basis. That regulation provided: “Dissolution and/or reconstitution of the mutual housing company requires approval of two-thirds ( $\frac{2}{3}$ ) of the outstanding shares of the corporation as mandated by the Business Corporation Law” (28 RCNY 3-14 [i] [former (7)]).<sup>7</sup> Although the regulation may have been inartfully worded, it incorporated by reference and tracked Business Corporation Law § 1001 (a) (ii). For the same reasons that lead us to conclude that no conflict exists between the Business Corporation Law and East Midtown’s certificate of incorporation, the HPD regulation can be read compatibly with the certificate of incorporation.

Consequently, the courts below correctly held that the 2009 vote should be calculated using the one-vote-per-apartment

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6. We note that the parties do not address the applicability, if any, of the Not-for-Profit Corporation Law.

7. HPD subsequently amended 28 RCNY 3-14 (i) (7) to require approval by two thirds of the dwelling units in the housing company. The parties all agree that the revised regulation, promulgated after the 2009 vote, does not apply to this case.

formula contained in East Midtown's certificate of incorporation. Because the necessary two-thirds approval was not met under this methodology, the Attorney General properly refused to accept East Midtown's second amendment declaring an effective vote to privatize. East Midtown therefore remains subject to the Mitchell-Lama Law until such a time as two thirds of the households agree to a privatization plan.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH and FIGOTT concur.

Order affirmed, with costs.

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[982 NE2d 76, 958 NYS2d 314]

RICHARD M. METZ, as Personal Representative of the Estate of  
MARY HELEN METZ, Deceased, et al., Respondents, v STATE  
OF NEW YORK, Appellant.

Argued October 18, 2012; decided November 29, 2012

### SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered July 14, 2011. The Appellate Division modified, on the law, an order of the Court of Claims (James H. Ferreira, J.; op 27 Misc 3d 1209[A], 2010 NY Slip Op 50635[U] [2010]), which had denied claimants' motion to dismiss defendant's affirmative defense of sovereign immunity and denied defendant's cross motion for summary judgment dismissing the claims. The modification consisted of reversing so much of the Court of Claims order as had denied claimants' motion to dismiss defendant's affirmative defense of sovereign immunity, granting claimants' motion, and dismissing that affirmative defense. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: "Did this Court err, as a matter of law, in modifying, on the law, the order of [the Court of Claims], by reversing so much thereof as denied claimants' motion to dismiss defendant's affirmative defense of sovereign immunity; granting said motion and dismissing the affirmative defense; and, as so modified, affirming the order?"

*Metz v State of New York*, 86 AD3d 748, reversed.

### HEADNOTE

**State — Claim against State — Sinking of Public Vessel — Statutory Obligation to Issue Certificate of Inspection Did Not Create Special Duty to Particular Passengers**

Defendant State of New York was not liable to claimants, individuals who were injured and the personal representatives of the passengers who were killed when a tour boat capsized and sank, because the State's obligations under the Navigation Law to perform yearly inspections of the boat, as a public vessel, did not create a special duty of care owed by the State to particular passengers. The State is not liable for the negligent performance of a governmental function unless there exists a special duty to the injured person, in contrast to a general duty owed to the public. The statutory scheme at issue, which required inspectors to issue a certificate of inspection indicating that the vessel was safe and, specifically, certifying the number of passengers the vessel could safely transport (Navigation Law §§ 13, 63), although clearly designed to protect public safety, did not create a duty to particular individuals. Moreover, recognizing a private right of action would be incompatible with

the legislative design. The Navigation Law does not provide for governmental tort liability, but instead for fines and criminal penalties to be imposed upon vessel owners and operators. Under the circumstances, it could be inferred that the legislature has determined that those penalties are the best way to enforce violations of the Navigation Law and that the failure to establish a private right of action against the State was deliberate.

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#### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Boats and Boating §§ 7, 9, 15.  
McKINNEY'S, Navigation Law §§ 13, 63.  
NY JUR 2d, Boats, Ships, and Shipping §§ 29, 30, 33.

#### ANNOTATION REFERENCE

See ALR Index under Pleasure Boats; Ships and Shipping.

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#### POINTS OF COUNSEL

*Eric T. Schneiderman, Attorney General, Albany (Andrew D. Bing, Barbara D. Underwood and Laura Etlinger of counsel),* for appellant. I. The claims must be rejected under the “public duty” rule. (*O'Connor v City of New York*, 58 NY2d 184; *McLean v City of New York*, 12 NY3d 194; *Valdez v City of New York*, 18 NY3d 69; *Riss v City of New York*, 22 NY2d 579; *Motyka v City of Amsterdam*, 15 NY2d 134; *Lauer v City of New York*, 95 NY2d 95; *Pelaez v Seide*, 2 NY3d 186; *Miller v State of New York*, 62 NY2d 506; *Worth Distribs. v Latham*, 59 NY2d 231; *Sanchez v Village of Liberty*, 42 NY2d 876.) II. Alternatively, if the Court does not reject the claims on the ground of no special duty, it should reinstate the State of New York's immunity defense. (*Valdez v City of New York*, 18 NY3d 69; *Haddock v City of New York*, 75 NY2d 478.)

*Hacker Murphy, LLP, Latham (James E. Hacker of counsel),* for respondents. I. The State of New York's affirmative defense was properly dismissed pursuant to CPLR 3211 (b). (*Tango v Tulevech*, 61 NY2d 34; *In re Dorothy J v City of New York*, 749 F Supp 2d 50; *Haddock v City of New York*, 75 NY2d 478.) II. On the record before this Court the claims should not be rejected under the “public duty” rule. (*O'Connor v City of New York*, 58

NY2d 184; *Pelaez v Seide*, 2 NY3d 186; *Lauer v City of New York*, 95 NY2d 95; *Valdez v City of New York*, 18 NY3d 69; *Chiarini v County of Ulster*, 9 AD3d 769; *Boland v State of New York*, 218 AD2d 235; *Racine v Morris*, 201 NY 240; *Van Gaasbeck v Webatuck Cent. School Dist. No. 1*, 21 NY2d 239; *Smullen v City of New York*, 28 NY2d 66; *Steitz v City of Beacon*, 295 NY 51.)

*Michael A. Cardozo, Corporation Counsel*, New York City (Kristin M. Helmers and Norman Corenthal of counsel), for City of New York, amicus curiae. The claims should have been dismissed for failure to plead and demonstrate facts establishing a special duty. (*Valdez v City of New York*, 18 NY3d 69; *Lauer v City of New York*, 95 NY2d 95; *Pelaez v Seide*, 2 NY3d 186; *Smullen v City of New York*, 28 NY2d 66; *O'Connor v City of New York*, 58 NY2d 184; *Sanchez v Village of Liberty*, 42 NY2d 876; *Motyka v City of Amsterdam*, 15 NY2d 134; *McLean v City of New York*, 12 NY3d 194; *Worth Distribs. v Latham*, 59 NY2d 231; *Garrett v Holiday Inns*, 58 NY2d 253.)

#### OPINION OF THE COURT

Chief Judge LIPPMAN.

The issue presented by this appeal is whether the State can be held liable to individuals who were injured and the personal representatives of those who lost their lives due to the tragic capsizing of a public vessel—the Ethan Allen. We conclude that because the State owes no special duty to these claimants, the claims that the State’s inspectors failed to certify safe passenger capacity on the vessel must be dismissed.

The Ethan Allen was a public vessel operating as a tour boat on Lake George. In 2005, 20 passengers were killed and several others were injured when the boat capsized and sank. As a public vessel, the Ethan Allen had been subject to yearly state inspections, at which an inspector appointed by the Commissioner of the New York State Office of Parks, Recreation and Historic Preservation (OPRHP) would issue a certificate indicating, among other things, the vessel’s maximum passenger capacity. At the time the vessel sank, it had been carrying 47 passengers and 1 crew member, within the 48-passenger maximum set forth in the certificate of inspection.

The State regulates the use of public vessels under the Navigation Law.\* In order to operate a public vessel upon the state's waters, a certificate of inspection is required (*see* Navigation Law § 50). An inspector must carefully examine the vessel and its equipment and, "if satisfied that [the ship] is in all respects safe and conforms to the requirement[s] of [the Navigation Law], shall" execute the certificate of inspection (Navigation Law §§ 63, 13). The inspector is also required to determine the number of passengers that can be safely transported and that number—along with the number of crew members necessary to safely operate the vessel—must be set forth in the certificate of inspection (*see* Navigation Law §§ 13, 63).

The Ethan Allen was constructed in 1964 and its first inspections were conducted by the United States Coast Guard. The vessel's last certificate of inspection from the Coast Guard set forth a maximum passenger capacity of 48 persons and 2 required crew members, for a total capacity of 50 persons. From 1979, when OPRHP began certifying the ship, to the time of the accident in 2005, the passenger capacity was consistently certified at 48 persons. This was so, despite the fact that the Ethan Allen was modified in 1989—replacing its canvas canopy with a canopy made of wood. Several state inspectors testified at their examinations before trial that they did not independently verify the vessel's passenger capacity by conducting a stability test, but rather relied on the number certified from the previous year. For instance, one inspector agreed that the number was "rubber stamped" based on the capacity from the prior certificate of inspection and another referred to the passenger capacity certified by the Coast Guard as "gospel."

The 48-passenger limit certified by the state inspectors was, however, much higher than the level at which the vessel could safely be operated. Notably, since this accident, the State has increased the average weight per passenger from 140 pounds—an approximation apparently adopted in the 1950s and utilized by the Coast Guard—to 174 pounds.

Claimants commenced this action against the State alleging that it had been negligent in certifying an unsafe passenger

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\* " 'Public Vessel' shall mean and include every vessel which is propelled in whole or in part by mechanical power and is used or operated for commercial purposes on the navigable waters of the state; that is either carrying passengers, carrying freight, towing, or for any other use; for which a compensation is received" (Navigation Law § 2 [6] [a]).

capacity, resulting from the use of outdated passenger weight criteria, and in failing to require a new stability assessment after the vessel had been significantly modified. The State answered raising several defenses, including governmental immunity.

The Court of Claims denied claimants' motion to dismiss the State's affirmative defense of immunity and denied the State's cross motion for summary judgment (27 Misc 3d 1209[A], 2010 NY Slip Op 50635[U] [2010]). The court found insufficient evidence to allow it to determine whether the inspections were proprietary or governmental in nature. In addition, the court found issues of fact as to whether the inspections were ministerial or discretionary acts.

The Appellate Division modified by granting claimants' motion to dismiss the State's affirmative defense, dismissed the affirmative defense and, as so modified, affirmed (86 AD3d 748 [3d Dept 2011]). The Court found that the inspections were a governmental function, but concluded that the State had failed to demonstrate that its inspectors had in fact exercised any discretion in certifying the vessel's passenger capacity. The Appellate Division granted the State's motion for leave to appeal to this Court, certifying the following question for our review: "Did this Court err, as a matter of law, in modifying, on the law, the order of [the Court of Claims], by reversing so much thereof as denied claimants' motion to dismiss defendant's affirmative defense of sovereign immunity; granting said motion and dismissing the affirmative defense; and, as so modified, affirming the order?" We reverse and answer the certified question in the affirmative.

As we recently made clear in *Valdez v City of New York* (18 NY3d 69, 80 [2011]), claimants must first establish the existence of a special duty owed to them by the State before it becomes necessary to address whether the State can rely upon the defense of governmental immunity. In that vein, it is well settled that the State "is not liable for the negligent performance of a governmental function unless there existed 'a special duty to the injured person, in contrast to a general duty owed to the public' " (*McLean v City of New York*, 12 NY3d 194, 199 [2009], quoting *Garrett v Holiday Inns*, 58 NY2d 253, 261 [1983]).

Plainly, the inspections at issue here are consistent with those

that we have deemed governmental functions. The vessel inspections are undertaken by the State for safety purposes and are akin to inspections conducted by a municipality when issuing certificates of occupancy or determining compliance with fire and safety codes (*see Worth Distribs. v Latham*, 59 NY2d 231, 237 [1983]; *Garrett*, 58 NY2d at 261).

We have recognized three ways in which a special relationship can be formed, resulting in a special duty—

“ ‘(1) when the municipality violates a statutory duty enacted for the benefit of a particular class of persons; (2) when it voluntarily assumes a duty that generates justifiable reliance by the person who benefits from the duty; or (3) when the municipality assumes positive direction and control in the face of a known, blatant and dangerous safety violation’ ” (*McLean*, 12 NY3d at 199 [citations omitted]).

Here, claimants focus on the State’s alleged violation of its duty under the Navigation Law.

“[I]n the absence of some special relationship creating a duty to exercise care for the benefit of particular individuals, liability may not be imposed on a municipality for failure to enforce a statute or regulation” (*O’Connor v City of New York*, 58 NY2d 184, 192 [1983]). The statutory scheme at issue here does require inspectors to issue a certificate of inspection indicating that the vessel is safe and, specifically, certifying the number of passengers the vessel can safely transport (*see* Navigation Law §§ 13, 63). However, these statutory obligations do not create a special duty of care owed by the State to particular passengers. Rather, this case is similar to *O’Connor*, where the City’s inspector either failed to observe a defect in the gas piping system or failed to insist that such defect be corrected before certifying that the system satisfied the applicable building department rules and regulations. We observed that those regulations were intended to benefit the persons who were injured in the explosion that ensued after the defective gas system was activated “but in the broad sense of protecting all members of the general public similarly situated” (*O’Connor*, 58 NY2d at 190). There, as here, the provisions at issue—although clearly designed to protect public safety—did not create a duty to particular individuals.

Moreover, recognizing a private right of action would be incompatible with the legislative design. The Navigation Law does not provide for governmental tort liability, but instead for



finances and criminal penalties to be imposed upon vessel owners and operators (*see e.g.* Navigation Law § 62 [negligence on the part of vessel owners/employees that results in the death of a passenger is a class E felony]; Navigation Law §§ 58, 73-b [an owner or operator who overloads the vessel beyond the designated passenger capacity will be guilty of a misdemeanor]). In addition, when the legislature amended the Navigation Law in response to this tragedy, it imposed additional safety standards and enhanced certain penalties, but still did not provide for a private right of action (*see* L 2007, ch 320). Under these circumstances, we can infer that the legislature has determined that these penalties are the best way to enforce violations of the Navigation Law and that the failure to establish a private right of action against the State was deliberate (*see e.g. McLean*, 12 NY3d at 200-201).

Although the law is clear, the upshot is that, regardless of any negligence on the part of the State, the victims of this disastrous wreck are essentially left without an adequate remedy. The legislature currently has a proposal before it to require public vessels to carry marine protection and indemnity insurance (2011 NY Assembly Bill A6699). We note that such a requirement—had it existed—might have been able to provide a modicum of relief here.

In light of our determination, it is unnecessary to address the parties' remaining contentions.

Accordingly, the order of the Appellate Division should be reversed, with costs, the claims dismissed and the certified question answered in the affirmative.

Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order reversed, with costs, the claims dismissed and the certified question answered in the affirmative.

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[981 NE2d 265, 957 NYS2d 669]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TYRONE  
WATSON, Appellant.

Argued October 16, 2012; decided November 29, 2012

### SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered March 29, 2011. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (John B. Latella, J.), which had convicted defendant, after a nonjury trial, of criminal facilitation in the fourth degree and criminal possession of a controlled substance in the seventh degree.

*People v Watson*, 82 AD3d 1276, affirmed.

### HEADNOTE

#### Crimes — Agency Defense in Narcotics Prosecution — Criminal Facilitation

Agency may not be interposed as a defense to a charge of criminal facilitation. Defendant, who was charged with selling cocaine, facilitating the sale and possessing narcotics after he took an undercover police officer to meet a drug dealer, handled the cocaine transaction for the officer and then gave him the drugs, asserted an agency defense to the fourth degree criminal facilitation charge arguing that the trial court's determination that he was not guilty of the felony sale because the People did not disprove defendant's agency defense established that he acted solely in the interest of the buyer. Although the agency defense may be asserted in a drug sale case, requiring the finder of fact to determine the extent of an intermediary's criminal liability, either as a seller or a purchaser for another, "sale" or "sell" are not components of facilitation (see Penal Law § 115.00 [1]), the purpose of which is to assign criminal culpability to an individual who knowingly aids the commission of a crime but does not necessarily possess the mental culpability required for the commission of the crime. That defendant was not guilty of the felony drug sale because he did not act with the intent or other culpable mental state required for the commission thereof is not a defense to facilitation (Penal Law § 115.10 [3]). Moreover, the underlying purpose of the agency doctrine is to reduce the criminal culpability of a buyer's agent. Here defendant's facilitation and possession offenses were both class A misdemeanors, and application of the agency doctrine was not required as a matter of fundamental fairness. It would be incongruous to allow a facilitator, who clearly acts as the buyer's conduit to the drug seller and actively participates in the consummation of the transaction, to escape all criminal liability as long as that person never touches the drugs.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Drugs and Controlled Substances §§ 152, 285.

Opinion by GRAFFEO, J.

CARMODY-WAIT 2d, Criminal Proceedings in General; Jurisdiction and Venue § 172:22; CARMODY-WAIT 2d, Charge and Instructions to Jury § 200:69.

McKINNEY'S, Penal Law §§ 115.00 (1); 115.10 (3).

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 229, 339, 340, 349, 1623, 1625.

#### ANNOTATION REFERENCE

Criminality of act of directing to, or recommending, source from which illicit drugs may be purchased. 34 ALR5th 125.

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#### POINTS OF COUNSEL

*Steven Banks, Legal Aid Society, Criminal Appeals Bureau, New York City (Natalie Rea of counsel), for appellant.* The trial court erred in refusing to consider the requested agency defense to the charge of criminal facilitation, mandating reversal of the judgment and dismissal of that charge. (*Abuelhawa v United States*, 556 US 816; *United States v Sawyer*, 210 F2d 169; *People v Lam Lek Chong*, 45 NY2d 64; *People v Roche*, 45 NY2d 78; *People v Argibay*, 45 NY2d 45; *People v Manini*, 79 NY2d 561; *People v Gray*, 86 NY2d 10; *People v Feingold*, 7 NY3d 288; *People v Dreyden*, 15 NY3d 100; *People v Burwell*, 53 NY2d 849.)

*Richard A. Brown, District Attorney, Kew Gardens (Sharon Y. Brodt and John M. Castellano of counsel), for respondent.* Defendant's claim that the verdict was repugnant is unpreserved for appellate review and without merit. (*People v Carter*, 7 NY3d 875; *People v Alfaro*, 66 NY2d 985; *People v Satloff*, 56 NY2d 745; *People v Muhammad*, 17 NY3d 532; *People v Santos*, 86 NY2d 869; *People v Graves*, 85 NY2d 1024; *People v Feingold*, 7 NY3d 288; *People v Ortiz*, 76 NY2d 446; *People v Lam Lek Chong*, 45 NY2d 64, 439 US 935; *People v Argibay*, 45 NY2d 45.)

#### OPINION OF THE COURT

GRAFFEO, J.

Defendant Tyrone Watson took an undercover police officer to meet a drug dealer, handled the cocaine transaction for the officer and then gave him the drugs. For these acts, defendant was

charged with selling cocaine, facilitating the sale and possessing narcotics. At trial, defendant claimed that he was not guilty of the sale or facilitation counts because he was acting as the agent of the buyer. The trial court acquitted defendant of the sale under an agency theory, but convicted him of facilitation and possession. We must now determine whether a claim of agency may be interposed as a defense to the crime of facilitating a drug sale.

## I

Legislative efforts to combat drug abuse in New York date back to the 1800s (*see* Thomas M. Quinn & Gerald T. McLaughlin, *The Evolution & Present Status of New York Drug Control Legislation*, 22 Buff L Rev 705, 709 [1972-1973]). Criminal liability for the sale and possession of cocaine was first imposed in the early twentieth century (*see id.* at 711-712). During the next 50 years, the federal government and state legislatures increasingly relied on penal statutes to stem the tide of narcotics addiction (*see id.* at 713-732). By the early 1970s, a growing consensus recognized that earlier deterrence efforts were not effective and that new approaches were needed (*see* Interim Rep of Temp St Commn to Evaluate the Drug Laws, 1972 Legis Doc No. 10 at 7, 58). Proposals for change ran the gamut from legalization to more punitive criminal sanctions (*see id.* at 58).

The latter strategy was embraced by Governor Nelson Rockefeller, who believed that New York had unsuccessfully “tried every possible approach to stop addiction and save the addict through education and treatment” (Annual Message of the Governor, 1973 McKinney’s Session Laws of NY at 2318, quoted in *People v Davis*, 33 NY2d 221, 228 [1973], *cert denied* 416 US 973 [1974]). At the same time, the legislature was grappling with what it “found to be a high recidivism rate in drug-related crimes, an inadequate response to less severe punishment, and an insidiously growing drug abuse problem” (*People v Broadie*, 37 NY2d 100, 114 [1975], *cert denied* 423 US 950 [1975]). It accepted the Governor’s plan and a series of bills were passed that came to be known as the “Rockefeller Drug Laws” (*see* L 1973, chs 276, 277, 278, 676, 1051).

The centerpiece of the new laws was a “radical restructuring of not only drug laws but of sentencing statutes as well” (Albert M. Rosenblatt, *New York’s New Drug Laws & Sentencing Statutes* at v [Law Journal Press 1973]). In adopting harsher consequences for the sale and possession of illegal drugs, New

York's statutory penalties became the most stringent in the nation and narcotics crimes were punished "more severely and inflexibly than almost any other offense in the State"—elevating many of them to the status shared by second-degree murder, first-degree kidnapping and first-degree arson (*People v Broadie*, 37 NY2d at 115). Specifically, mandatory indeterminate life sentences were imposed "in all narcotic drug sales or transfers, however small, and for possession of over one eighth of an ounce" (Albert M. Rosenblatt, *New York's New Drug Laws & Sentencing Statutes* at v). Although the statutory minimums ranged from one year to 25 years (depending on the quantity of drug sold or possessed), the concept of an indeterminate life sentence meant that defendants who were released on parole were subject to supervision for the remainder of their lives.

In addition to the increased penalties, the preexisting Penal Law definition of the term "sell" resulted in certain persons, who would not ordinarily be considered drug dealers, being swept within the life-imprisonment provisions of the Rockefeller Drug Laws (*see generally* Arnold D. Hechtman, *Practice Commentary*, McKinney's Cons Laws of NY, Book 39, Penal Law § 220.00 at 13 [1980]). This occurred because the term "sell" was defined as covering not only a traditional sale or exchange for consideration, but also to "give or dispose of to another, or to offer or agree to do the same" (Penal Law § 220.00 [1]; *cf.* Penal Law of 1909 § 1751). Consequently, "any form of transfer of a controlled substance from one person to another"—no matter how minuscule the amount and regardless of whether there was a profit—was treated as a drug sale that could land the offender in prison for life (William C. Donnino, *Practice Commentary*, McKinney's Cons Laws of NY, Book 39, Penal Law § 220.00 at 22). In theory, this broad definition of "sell" included anyone who, upon request, offered to procure a small quantity of narcotics for another individual as a favor or without an expectation of personal benefit.

Defendants who became ensnared in this definitional net and faced charges of criminal sale of a controlled substance borrowed an "agency defense" theory that had been successfully used in criminal prosecutions during Prohibition (*see e.g. State v Lynch*, 81 Ohio St 336, 90 NE 935 [1910]). The "agency" doctrine was premised on the concept that a "person who acts solely as the agent of a buyer in procuring drugs for the buyer is not guilty of selling the drug to the buyer, or of possessing it with intent to sell it to the buyer" (William C. Donnino, *Practice*

Commentary, McKinney's Cons Laws of NY, Book 39, Penal Law § 220.00 at 33).

This Court endorsed the agency defense in the context of a drug sale in *People v Lam Lek Chong* (45 NY2d 64 [1978], *cert denied* 439 US 935 [1978]). We observed that the sale of controlled substances was treated more harshly than possession and that there “are certain cases where the defendant’s mere delivery of the drugs does not appear to involve the same degree of culpability, or warrant the extreme penalties, associated with pushing drugs” (*id.* at 72). We further reasoned that when the legislature drafted the definition of “sell,” it was presumably aware of the earlier decisional law that recognized agency as a defense to the sale of illegal substances; yet, the legislature did not evince an intent to require the courts to abandon application of the defense (*see id.* at 73-74). We therefore held that the agency defense could be asserted in a drug sale case, which required the finder of fact to determine the extent of an intermediary’s criminal liability, either as a seller or a purchaser for another (*see id.* at 74). To reach that conclusion, we indicated that the jury should consider

“the nature and extent of the relationship between the defendant and the buyer, whether it was the buyer or the defendant who suggested the purchase, whether the defendant has had other drug dealings with this or other buyers or sellers and, of course, whether the defendant profited, or stood to profit, from the transaction” (*id.* at 75).

In three cases decided on the same day as *Lam Lek Chong*, we further explained that an agency defense (1) must be charged to the jury if any reasonable view of the evidence supports it (*see People v Roche*, 45 NY2d 78, 86 [1978], *cert denied* 439 US 958 [1978]); (2) cannot be used by a person who acts “at the very least as a middleman or a broker for his supplier” (*People v Argibay*, 45 NY2d 45, 50 [1978], *cert denied sub nom. Hahn-Diguiseppa v New York*, 439 US 930 [1978]); and (3) does not apply to a drug possession charge (*see People v Sierra*, 45 NY2d 56, 58 [1978]). The harshness of the sentences that were imposed under the Rockefeller Drug Laws have been mitigated (*see e.g. People v Acevedo*, 14 NY3d 828, 831 [2010]; *People v Utsey*, 7 NY3d 398, 401 [2006] [both discussing the Drug Law Reform Act of 2004 (L 2004, ch 738)]), but the agency defense nevertheless continues to provide a means of determining the extent of the intermediary’s culpability as either a buyer or



seller of narcotics (*see generally People v Davis*, 14 NY3d 20, 24 [2009]). Surprisingly, in more than 30 years since our Court recognized the agency doctrine, we have not had occasion to consider whether it applies similarly to a charge of criminal facilitation.

## II

At approximately 7:00 p.m. on July 24, 2007, an NYPD narcotics unit arrived at a location in Queens. Acting as an undercover buyer, a narcotics sergeant approached defendant Tyrone Watson and asked him where he could find some “rock.” Defendant inquired how much he wanted and the officer stated that he had \$40. Defendant indicated that he knew how to obtain cocaine and used a pay phone to place a call. When no one answered, defendant called another number but was again unsuccessful. Defendant then remarked “we can go to my boy’s house on 123[rd] Street and Sutphin Boulevard.” Defendant suggested that they take a bus and offered to pay the officer’s fare.

While en route, the officer gave defendant \$40 in pre-recorded buy money. About 10 minutes later, the pair got off the bus and walked to a location where they encountered “JD Blue.” Defendant gave him a hug, introduced the officer as “my man” and said that his companion “want[ed] two fat ones” before handing over the buy money to JD Blue.

The three men then entered a building and JD Blue left the other two alone for a few minutes. When JD Blue returned, he gave defendant two ziplock bags containing crack and defendant passed them to the officer. Defendant asked to smoke the drugs with the officer but was rebuffed and the officer departed with the cocaine. Defendant and JD Blue were arrested a short time later by a uniformed officer after the undercover positively identified the men. Defendant had two bags of cocaine and a crack pipe on his person. The drugs that defendant procured tested positive as cocaine.

As a result of his involvement in the drug transaction, defendant was indicted for felony sale of a controlled substance in the third degree, as well as misdemeanor charges for criminal possession of a controlled substance in the seventh degree and criminal facilitation in the fourth degree. JD Blue was charged,

as a codefendant, with criminal sale in the third degree.<sup>1</sup> Defendant opted for a bench trial in Supreme Court.

At the end of the People's case, defense counsel moved to dismiss the sale count, asserting an agency defense. The court denied the motion but eventually decided that it would consider the agency doctrine during its deliberations. In her summation, defense counsel maintained that the application of agency negated the sale count, and also stated,

“The charge of criminal facilitation is on the indictment. It's my argument that the agent of a buyer is no more guilty of facilitating the sale than a lone buyer since he would take the place of the buyer.”

Supreme Court found defendant not guilty of the felony sale count upon its determination that the People did not disprove the agency defense beyond a reasonable doubt. Defendant was, however, convicted of the misdemeanor facilitation and possession charges.

The Appellate Division, Second Department, affirmed (82 AD3d 1276 [2011]). It concluded that there was no indication that the trial court failed to consider the agency defense with respect to the facilitation count, and it viewed defendant's argument as a veiled claim of a repugnant verdict based on the fact that defendant was acquitted of the sale but convicted of facilitation. However, the Appellate Division found the repugnancy challenge to be unpreserved and it declined to review the merits of such claim.

A Judge of this Court granted leave to appeal (18 NY3d 862 [2011]) and we now affirm, albeit for reasons different than those stated by the Appellate Division.

### III

Defendant argues that he should have been acquitted of criminal facilitation once the trial court determined that the People failed to disprove the agency defense. He contends that the factual finding that he acted as the agent of a drug purchaser necessarily establishes that he acted solely in the interest of the buyer and not on behalf of the seller. In opposition, the People assert that the agency defense is relevant only to a charge of selling drugs and that it is possible for a person to act as the

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1. JD Blue was acquitted by a jury.

buyer's agent while simultaneously aiding the seller's ability to consummate a transaction.<sup>2</sup>

As relevant in this appeal, a person commits the crime of criminal facilitation in the fourth degree “when, believing it probable that he is rendering aid . . . to a person who intends to commit a crime, he engages in conduct which provides such person with means or opportunity for the commission thereof and which in fact aids such person to commit a felony” (Penal Law § 115.00 [1]). The purpose of this provision is to assign criminal culpability to an individual who “knowingly aid[s] the commission of a crime” but “does not necessarily possess the ‘mental culpability’ required for the commission of the crime and is therefore not within the statutory definition of an accomplice” (William C. Donnino, Practice Commentary, McKinney’s Cons Laws of NY, Book 39, Penal Law § 115.00 at 180). Hence, the fact that the “defendant himself is not guilty of the felony [drug sale] which he facilitated because he did not act with the intent or other culpable mental state required for the commission thereof” is not a defense to facilitation (Penal Law § 115.10 [3]).

From a textual perspective (*see e.g. People v Suber*, 19 NY3d 247, 252 [2012]), the facilitation statute plainly was intended to cover the type of conduct engaged in by defendant: he brought the undercover officer to JD Blue and provided the dealer with the opportunity to intentionally sell cocaine, thereby aiding the commission of that felony (*see* Penal Law § 115.00 [1]). This view of the statute’s purpose is consistent with the ordinary meaning of “facilitate,” which commonly refers to “the efforts of someone other than a primary or necessary actor in the commission of a substantive crime” (*Abuelhawa v United States*, 556 US 816, 820 [2009])—that is, a third party like defendant who was integral to the drug transaction (*cf. People v Gordon*, 32 NY2d 62, 65-66 [1973]). In addition, the “agency defense is a well-established interpretation of the statutory definition of the term ‘sell’ ” (*People v Davis*, 14 NY3d at 24 [internal quotation marks omitted]; *see People v Andujas*, 79 NY2d 113, 117 [1992]; *People v Ortiz*, 76 NY2d 446, 448-449 [1990]). However, “sale”

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2. Unlike the Appellate Division, we conclude that this issue is preserved for review. In the factual context of this bench trial, defense counsel’s specific assertion that “the agent of a buyer is no more guilty of facilitating the sale than a lone buyer since he would take the place of the buyer” was sufficient to bring the legal issue to the trial court’s attention prior to deliberations (*see* CPL 470.05 [2]).

or “sell” are not components of facilitation (see Penal Law § 115.00 [1]). As Penal Law § 115.10 (3) specifically states, the fact that defendant was neither an accomplice to the sale nor guilty of that crime does not provide a defense to facilitation.<sup>3</sup>

There are at least several additional reasons why agency is not a defense to facilitating a drug sale. As discussed earlier, the underlying purpose of the agency doctrine was to reduce the criminal culpability of a buyer’s agent from a serious felony punishable by a mandatory indeterminate life sentence to the more lenient punishments imposed for possessory offenses (see *People v Ortiz*, 76 NY2d at 449). Here, in contrast, defendant’s facilitation and possession offenses are both classified as class A misdemeanors, so the “calibration of punishment set by the legislature” (*Abuelhawa v United States*, 556 US at 820) is balanced and application of the agency doctrine is not required as a matter of fundamental fairness.<sup>4</sup> We have also recognized that the “agency defense is not a complete defense” (*People v Lam Lek Chong*, 45 NY2d at 74) because “it acknowledges [the] defendant’s wrongdoing” in participating in a drug deal (*People v Davis*, 14 NY3d at 24). It would be incongruous to allow a facilitator, who clearly acts as the buyer’s conduit to the drug seller and actively participates in the consummation of the transaction, to escape all criminal liability as long as that person never touches the drugs. In short, such a fact pattern presents a classic example of criminal facilitation under the Penal Law.

Based on the plain language of the facilitation statutes and the historic rationale underlying the agency doctrine, we hold that agency may not be interposed as a defense to a charge of criminal facilitation. Defendant was therefore properly convicted of that offense.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (dissenting). The “thrust” of New York

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3. The main flaw in the dissent’s analysis is that it does not properly consider the actual language of the governing statutes or recognize that the agency doctrine is premised on an interpretation of a term of art—“sell”—that is not an element of facilitation’s statutory definition. Moreover, the fact that a buyer cannot be convicted of facilitation (see e.g. *Abuelhawa v United States*, 556 US at 820) is not dispositive regarding the culpability of a third party—defendant in this case—without whom the drug sale would not have been possible.

4. Although defendant was convicted of both facilitation and possession, he was effectively sentenced to “time served” when Supreme Court imposed concurrent one-year jail terms.

statutes, as “consistently construed, is not directed against purchasers” (*People v Roche*, 45 NY2d 78, 82-83 [1978], *cert denied* 439 US 958 [1978]), and buyers are not considered accomplices of the seller despite their “key position in the drug cycle” (*People v Lam Lek Chong*, 45 NY2d 64, 73 [1978], *cert denied* 439 US 935 [1978]). Likewise, the agency defense originated due to the understanding that leniency should be shown to low-level conduits, acting on behalf of purchasers with limited intent, and who are assuredly not “tycoons of the trade” (see *Lam Lek Chong*, 45 NY2d at 74). We recognized in *Roche* that buyers’ agents may not be “motivated by a criminal disposition” but rather are often gripped by addiction or attempting “to aid one so afflicted” (45 NY2d at 83). Therefore, these policy concerns militate in favor of the conclusion that the agency defense applies to criminal facilitation of a drug sale.

The majority finds that the agency defense applies only to a criminal sale and not to facilitation because of the harsh penalties imposed for selling narcotics under the Rockefeller Drug Laws, while facilitation is only a misdemeanor. The fact that facilitation is not a felony should not alter our analysis. While the stringent and inflexible penalties for the sale of drugs may have been the impetus for preserving the agency defense, the defense both predated the imposition of the Rockefeller Drug Laws (see *Lam Lek Chong*, 45 NY2d at 73) and survived their mitigation by the Drug Law Reform Act (see majority op at 186-187). The severity of the punishment does not change the underlying rationale for the agency defense. We stated plainly in *Roche* that “an individual who participates in such a transaction solely to assist a buyer and only on his behalf, incurs no greater criminal liability than does the purchaser he aids and from whom his entire standing in the transaction is derived” (45 NY2d at 83). Where a court has determined that defendant acted solely in the interests of the buyer, as here, he cannot be guilty of also aiding the seller.

The defendant here was acquitted of a narcotics sale by the trial court on the express basis that defendant was an agent of the buyer. The U.S. Supreme Court found that a buyer does not “facilitate” a drug transaction (*Abuelhawa v United States*, 556 US 816, 819-820 [2009]), and a buyer cannot be prosecuted for criminal facilitation of a sale, even though the buyer knows he or she is rendering aid to the seller, provides the “means or opportunity,” and makes the drug transaction possible (see Penal Law § 115.00 [1]). As such, an agent acting as the buyer’s proxy cannot be guilty of facilitating a criminal sale of drugs as he is

acting on behalf of a party who has been absolved of the crime of facilitation.<sup>1</sup> We held in *People v Andujas* that “[t]he [agency] defense simply reflects the logical proposition that if a defendant is acting solely in a capacity which is inherently inconsistent with being a seller—i.e., acting as an agent for the buyer—he cannot be a seller” (79 NY2d 113, 118 [1992]).

The majority takes the contradictory position that an intermediary can be aligned solely with the buyer and provide no aid to the seller for the purposes of the sale, while simultaneously being guilty of criminally facilitating the seller.<sup>2</sup> Both a buyer and his agent cannot be guilty of aiding the seller given our common-law holdings and the legislature’s decision to leave the “agency defense inviolate” (*Roche*, 45 NY2d at 84). We recognized in *Roche* that “[the legislature’s] acceptance of the [agency] defense represents a calculated and ameliorative judgment not to impose such penalties upon a person who merely facilitates the acquisition of drugs by a purchaser” (*id.*).

Furthermore, the majority’s holding implies that an intermediary of the buyer and seller who requests an agency defense charge will automatically be deemed guilty of criminal facilitation. Asking for an agency charge, in some ways, is an admission by the defendant that he or she played a role in the drug transaction and that, in itself, may be enough for a jury to determine that the defendant facilitated the sale of drugs. This result conflicts with the determination that a defendant who is deemed an agent of the buyer stands in the shoes of the buyer and cannot be more culpable under the law (*see Roche*, 45 NY2d at 83).

Consistent with our previously stated rationale for the agency defense, I would reverse defendant’s conviction for criminal facilitation; therefore, I respectfully dissent.

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1. The majority’s concern that agents of the buyer who never handle the drugs can escape all criminal liability did not alarm courts who first applied the agency defense when criminal facilitation was not even a statutory offense (*see e.g. People v Lindsey*, 12 NY2d 958 [1963], *affg* 16 AD2d 805 [2d Dept 1962]).

2. The absence of the term “sell” from the facilitation statute offers no support to the majority, and one would not expect “sell” to be there. Moreover, any offense, including the sale of narcotics, can be substituted for the term “crime” in the text of the statute (*see* Penal Law § 115.00).



Judges CIPARICK, READ, SMITH and PIGOTT concur with Judge GRAFFEO; Chief Judge LIPPMAN dissents and votes to reverse in an opinion.

Order affirmed.

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[981 NE2d 273, 957 NYS2d 677]

ALEKSEY GURYEV, Appellant, v GREGORY TOMCHINSKY et al., Defendants, and 200 RIVERSIDE BOULEVARD AT TRUMP PLACE et al., Respondents.

Argued November 14, 2012; decided December 11, 2012

### SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 16, 2011. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Kings County (Bert A. Bunyan, J.), as had denied the cross motion by defendants 200 Riverside Boulevard at Trump Place, Board of Managers of 200 Riverside Boulevard at Trump Place, and Trump Corporation for summary judgment dismissing the complaint and all cross claims insofar as asserted against them; (2) granted the cross motion; and (3) affirmed so much of that order as had denied plaintiff's cross motion for summary judgment on the issue of liability on the cause of action alleging a violation of Labor Law § 241 (6).

*Guryev v Tomchinsky*, 87 AD3d 612, affirmed.

### HEADNOTES

#### **Labor — Safe Place to Work — Liability of Owner — Condominium**

1. In an action to recover damages for injuries plaintiff sustained while working on a remodeling project in a residential apartment located in a building organized as a condominium, defendant condominium, its board of managers, and the board's managing agent were not owners or agents of owners of the apartment within the meaning of Labor Law § 241 (6). The apartment was owned by the individual defendants in fee simple absolute, and the apartment was real property separate and apart from the land beneath the apartment building owned by defendant condominium. Since the individual defendants, not the condominium, owned the apartment, defendant board and defendant managing agent were not the owner's agents.

#### **Labor — Safe Place to Work — Liability of Owner — Condominium**

2. In an action to recover damages for injuries plaintiff sustained while working on a remodeling project in a residential apartment located in a building organized as a condominium, defendant condominium was not an owner for purposes of Labor Law § 241 (6) by virtue of a mandatory alteration agreement entered into by defendant apartment owner and defendant board of managers of the condominium. The agreement's provisions reflected defendant board's interest in making sure that the proposed renovations were carried out in a way that safeguarded the integrity of the building, other units and common areas; complied with any permitting requirements; and inconvenienced other residents as little as possible. The agreement did not vest defendant board with authority to determine which contractors to hire,

control the renovation work or insist that proper safety practices be followed. Ownership of the premises where the accident occurred is a necessary condition, although not a sufficient one, for a non-contracting party's liability under section 241 (6), and defendant condominium did not own the apartment where plaintiff was injured. The agreement between defendant apartment owner and defendant board did not reflect otherwise, and did not alter that fact.

**Labor — Safe Place to Work — Liability of Owner — Condominium**

3. Although cooperative corporations have been held to be owners potentially liable under the Labor Law when a contractor's employee is injured while performing construction work in an apartment within the building, condominiums need not be treated similarly as a matter of public policy. Liability under the Labor Law as an owner turns in every case on sometimes fine distinctions relating to ownership of the premises and control of the injury-producing work. Whereas condominium apartments are owned by individual unit owners, a cooperative corporation owns an entire building, including the apartments where individual tenant-shareholders reside; the residents of these apartments own stock in the corporation, which grants them proprietary leases to occupy the space in the premises to which their shares are allocated. Some superficial aspects of condominium and cooperative ownership are similar, but the two forms of interest in real property are fundamentally different by design and as a matter of law.

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Condominiums and Cooperative Apartments  
§§ 21, 22, 41, 51.

McKINNEY'S, Labor Law § 246 (6).

NY JUR 2d, Condominiums and Cooperative Apartments  
§§ 111, 114, 120, 139, 140, 146; NY JUR 2d, Employment  
Relations §§ 270, 311, 314.

NEW YORK REAL PROPERTY SERVICE §§ 56:4, 56:5.

PROSSER AND KEETON, TORTS (5th ed) §§ 61-63.

**ANNOTATION REFERENCE**

See ALR Index under Condominiums and Cooperative  
Apartments; Occupational Safety and Health.

**FIND SIMILAR CASES ON WESTLAW®**

Database: NY-ORCS

Query: condominium /5 own! /p injur! /s work! remodel!

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**POINTS OF COUNSEL**

*Arze & Mollica, LLP*, Brooklyn (*Raymond J. Mollica* of counsel), for appellant. I. Defendants/respondents are "owners" or "agents of owners" pursuant to the Labor Law. (*Mangiameli v Galante*, 171 AD2d 162; *Wendel v Pillsbury Corp.*, 205 AD2d

527; *Copertino v Ward*, 100 AD2d 565; *Sweeting v Board of Coop. Educ. Servs.*, 83 AD2d 103; *Nowak v Smith & Mahoney*, 110 AD2d 288; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Williams v LeChase*, 15 AD3d 988; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Allen v Cloutier Constr. Corp.*, 44 NY2d 290; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513.)

II. Defendants/respondents “acted in the capacity of an owner” for the purposes of the Labor Law. (*Mangiameli v Galante*, 171 AD2d 162; *Abbatiello v Lancaster Studio Assoc.*, 3 NY3d 46; *Morton v State of New York*, 15 NY3d 50; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Sperber v Penn Cent. Corp.*, 150 AD2d 356; *Matter of Levandusky v One Fifth Ave. Apt. Corp.*, 75 NY2d 530; *Williams v LeChase*, 15 AD3d 988; *Phillips v Eastman Kodak Co.*, 204 AD2d 979; *Zaher v Shopwell, Inc.*, 18 AD3d 339; *Copertino v Ward*, 100 AD2d 565.) III. The decision of the Appellate Division thwarts the purpose of the Labor Law. (*Zimmer v Chemung County Performing Arts*, 65 NY2d 513; *Matter of Levandusky v One Fifth Ave. Apt. Corp.*, 75 NY2d 530; *Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *DeSabato v 674 Carroll St. Corp.*, 55 AD3d 656; *Maciejewski v 975 Park Ave. Corp.*, 37 AD3d 773; *Sperber v Penn Cent. Corp.*, 150 AD2d 356.)

*Cartafalsa, Slattery, Turpin & Lenoff*, New York City (Robert H. Fischler and B. Jennifer Jaffee of counsel), for respondents.

I. Condominium defendants are not owners of Gregory and Marina Tomchinskys’ unit or agents of owners pursuant to the Labor Law simply by virtue of owning the land and the common elements, since the Tomchinskys owned their unit in fee simple absolute. (*Scaparo v Village of Ilion*, 13 NY3d 864; *Abbatiello v Lancaster Studio Assoc.*, 3 NY3d 46; *Sanatass v Consolidated Inv. Co., Inc.*, 10 NY3d 333; *Celestine v City of New York*, 86 AD2d 592, 59 NY2d 938; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Coleman v City of New York*, 91 NY2d 821; *Williams v LeChase*, 15 AD3d 988; *Phillips v Eastman Kodak Co.*, 204 AD2d 979; *Sperber v Penn Cent. Corp.*, 150 AD2d 356; *Mangiameli v Galante*, 171 AD2d 162.) II. The condominium defendants did not act in the capacity of an owner for the purposes of the Labor Law. (*Mangiameli v Galante*, 171 AD2d 162; *Scaparo v Village of Ilion*, 13 NY3d 864; *Copertino v Ward*, 100 AD2d 565; *Reisch v Amadori Constr. Co.*, 273 AD2d 855; *Zaher v Shopwell, Inc.*, 18 AD3d 339; *Bart v Universal Pictures*, 277 AD2d 4; *Grilikhes v International Tile & Stone Show Expos*, 90 AD3d 480; *Lacey v Long Is. Light. Co.*, 293 AD2d 718; *Lynch v City of New York*, 209 AD2d 590; *Wendel v Pillsbury Corp.*, 205 AD2d 527.) III. Condominium associations must not be treated like

cooperative apartment corporations for the purpose of ownership under the Labor Law. (*Frisch v Bellmarc Mgt.*, 190 AD2d 383; *Matter of Levandusky v One Fifth Ave. Apt. Corp.*, 75 NY2d 530; *All Seasons Resorts v Abrams*, 68 NY2d 81; *DeSabato v 674 Carroll St. Corp.*, 55 AD3d 656; *Maciejewski v 975 Park Ave. Corp.*, 37 AD3d 773, 8 NY3d 815; *Valdovinos v Shore Rd. Apt. Corp.*, 24 Misc 3d 1204[A], 2009 NY Slip Op 51252[U]; *Celestine v City of New York*, 59 NY2d 938; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Coleman v City of New York*, 91 NY2d 821; *Sana-tass v Consolidated Inv. Co., Inc.*, 10 NY3d 333.)

### OPINION OF THE COURT

READ, J.

Defendants Gregory and Marina Tomchinsky own a residential apartment at 200 Riverside Boulevard at Trump Place, a 47-story building located in Manhattan, which is organized as a condominium (*see* Real Property Law art 9-B [Condominium Act]). The other defendants in this action are the condominium; its Board of Managers (the Board), the entity responsible for the building's day-to-day operation and management; and the Trump Corporation (Trump), the Board's managing agent (collectively, the condominium defendants).

In 2007, the Tomchinskys sought to renovate their apartment before moving in. The Board approved the project, as required by the condominium's bylaws, subject to the terms and conditions of an Alteration Agreement entered into by Mr. Tomchinsky, as unit owner,<sup>1</sup> and the Board, as agent for the building's other unit owners.<sup>2</sup> The Tomchinskys hired defendant YZ Remodeling, Inc. (YZ) to perform the work. Plaintiff Aleksey Guryev, an employee of YZ, was allegedly injured while using a nail gun to install base moldings in the apartment when a nail ricocheted and struck his eye.

This action against the condominium defendants, as well as the Tomchinskys and YZ, followed in December 2008. Plaintiff asserted causes of action to recover damages for common-law negligence and violations of Labor Law §§ 200 and 241 (6). He based his claim under section 241 (6) on Industrial Code rule

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1. Ms. Tomchinsky did not sign the Agreement.

2. The dissent rather curiously suggests that the Board was also acting as the Tomchinskys' agent when it entered into the Agreement with Mr. Tomchinsky (*see* dissenting op at 202-203, 203-204)—i.e., that Mr. Tomchinsky somehow contracted with himself.

23-1.8 (a) (12 NYCRR 23-1.8 [a]), alleging that YZ failed to supply him with eye protection.<sup>3</sup> All defendants answered; the Tomchinskys and the condominium defendants cross-claimed for indemnification from the other defendants.

YZ moved for summary judgment dismissing the complaint insofar as asserted against it, based upon the exclusive remedy afforded plaintiff under the Workers' Compensation Law, and Guryev cross-moved for summary judgment on the issue of liability on his cause of action alleging a violation of Labor Law § 241 (6). The condominium defendants also cross-moved, asking for summary judgment dismissing the complaint and all cross-claims insofar as asserted against them. Supreme Court denied the motion and cross motions on the ground there were issues of fact; the condominium defendants appealed, and Guryev cross-appealed.<sup>4</sup>

The Appellate Division reversed the order insofar as appealed from by the condominium defendants, granted their cross motion for summary judgment and otherwise affirmed (87 AD3d 612 [2d Dept 2011]).<sup>5</sup> The court held that the condominium defendants were entitled to summary judgment because they "were not entities which ha[d] an interest in the property and who fulfilled the role of owner by contracting to have work performed for [their] benefit" (*id.* at 614 [internal quotation marks omitted]). The court reasoned that these defendants "did not determine which contractors to hire, and were not in a position to control the renovation work or to insist that proper safety practices were followed" (*id.*). We granted Guryev permission to appeal (18 NY3d 802 [2011]), and now affirm.

Labor Law § 241 (6) generally requires "owners and contractors and their agents for such work, except owners of one and two-family dwellings who contract for but do not direct or control the work,"<sup>6</sup> to "provide reasonable and adequate protection and safety" for workers and to comply with specific safety

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3. This provision requires the furnishing of eye protection equipment to employees who are "engaged in any . . . operation which may endanger the eyes." (*Id.*) YZ's owner claims that he provided goggles, which Guryev failed to use.

4. According to the condominium defendants, Supreme Court granted YZ's motion in a separate order handed down the same day as the order appealed from.

5. The Appellate Division's order disposed of all claims by or against the condominium defendants, rendering it final as to them.

6. Subsequent to the Appellate Division's decision, Supreme Court granted

(n. cont'd)



rules promulgated by the Commissioner of the Department of Labor. The duty to comply with the Commissioner's safety rules, which are set out in the Industrial Code (12 NYCRR), is nondelegable. The threshold issue on this appeal is whether the condominium defendants are "owners" or "agents of owners" of the Tomchinskys' apartment. Plaintiff claims that they are, principally because the condominium owns the land beneath the building, and, he asserts, the Board and Trump are the condominium's agents as a result. Plaintiff analogizes the facts here to those in *Gordon v Eastern Ry. Supply* (82 NY2d 555 [1993]), which he calls the "seminal case" in his favor.

In *Gordon*, the plaintiff brought suit under the Scaffold Law (Labor Law § 240 [1]), which specifies that "[a]ll contractors and owners and their agents" engaged in cleaning a building or structure must furnish or erect proper scaffolding, ladders and similar safety devices to protect employees in the performance of work. Gordon was allegedly injured while cleaning the exterior of a railroad car with a hand-held sand blaster. Eastern Railway Supply, Inc. owned the "sandhouse" in which the cleaning was performed as well as the real property upon which the "sandhouse" was situated. Eastern, which had leased the real property to Ebenezer, a wholly owned subsidiary, took the position that it was not liable as an owner because it did not contract to have the sand blasting work performed, and the work was not undertaken for its benefit. Eastern further pointed out that it did not own the structure being cleaned—i.e., the railroad car. We held that Eastern was an owner, resting liability upon "the fact of ownership" of the real property, and noting additionally that the property was leased to Ebenezer to be used for cleaning and repairing railroad cars so that "[t]he very presence of the [railway car] on [Eastern's] property was the direct result of [its] actions and established a sufficient nexus for liability to attach to it as an 'owner'" (82 NY2d at 560).

[1] In this case, there was no lessor-lessee relationship between the condominium and the Tomchinskys. Rather, the Tomchinskys owned their apartment or "unit" in fee simple absolute (see Real Property Law § 339-e [16] [defining "unit owner"]; see also *id.* § 339-h ["Each unit owner shall be entitled to the exclusive ownership and possession of his unit" (emphasis added)]). In short, the Tomchinskys' apartment is real property

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the Tomchinskys summary judgment dismissing plaintiff's complaint as asserted against them on the basis of the one- and two-family homeowner's exception.

separate and apart from the land beneath the condominium building, and plaintiff's accident occurred while he was working in their apartment. In *Gordon*, by contrast, the plaintiff injured himself while working on real property owned by Eastern, on a "structure," also owned by Eastern, placed on the property as a result of its lease with Ebenezer. And since the Tomchinskys, not the condominium, own the Tomchinskys' apartment, the Board and Trump are not the owner's agents within the meaning of the Labor Law.

[2] Alternatively, plaintiff argues that the condominium was an owner for purposes of Labor Law § 241 (6) by virtue of the mandatory Alteration Agreement entered into by Mr. Tomchinsky and the Board, a position echoed by the dissent. The Agreement's provisions, however, simply reflect the Board's interest in making sure that the proposed renovations were carried out in a way that safeguarded the integrity of the building, other units and common areas; complied with any permitting requirements; and inconvenienced other residents as little as possible. The Agreement did not vest the Board with authority to "determine which contractors to hire, . . . control the renovation work or . . . insist that proper safety practices [be] followed" (87 AD3d at 614; *see also Mangiameli v Galante*, 171 AD2d 162, 164 [3d Dept 1991] [condominium association is not an owner within the meaning of Labor Law § 241 (6) where "it did not own the property upon which plaintiff was to perform his work" and there was no "allegation that the (a)ssociation had either the authority to contract with plaintiff's employer to perform the work or the right to control the work"]<sup>7</sup>).

7. The section of the Agreement between Mr. Tomchinsky and the Board relating to his obligations prior to commencement of work required him to cause preparation of plans and specifications, generally subject to the Board's approval. Concomitantly, he was

"responsible for assuring that (i) the Plans and Specifications and all modifications thereto and (ii) all Unit Owner's Work shall be performed strictly in accordance with the approved Plans and Specifications, comply with all applicable laws, ordinances, orders, rules, regulations and requirements (collectively, 'Legal Requirements') of all governmental and quasi-governmental authorities and boards of fire underwriters having jurisdiction thereof (collectively, 'Governmental Authorities') [sic]."

The dissent characterizes this provision as "[p]articularly significant" in that it shows that "[t]he condominium . . . retained the power to insist upon compliance with the Industrial Code worker safety provisions, even within a

(n. cont'd)

It bears keeping in mind that *Gordon* and our other cases relied upon by plaintiff and the dissent stand for the proposition that “ownership of the premises where the accident occurred—standing alone—is not enough to impose liability under Labor Law § 241 (6) where the property owner did not contract for the work resulting in the plaintiff’s injuries”; additionally, we have “insisted on some nexus between the [non-contracting] owner and the worker, whether by a lease agreement or grant of an easement, or other property interest” (*Morton v State of New York*, 15 NY3d 50, 56 [2010], citing *Abbatiello v Lancaster Studio Assoc.*, 3 NY3d 46 [2004], and *Scaparo v Village of Ilion*, 13 NY3d 864 [2009] [internal quotation marks omitted]). In short, ownership is a “necessary condition” although “not a sufficient one” for a non-contracting party’s liability under section 241 (6) (*id.*), and the condominium did not own the Tomchinskys’ apartment. The Agreement between Mr. Tomchinsky and the Board does not reflect otherwise, as plaintiff and the dissent contend, or, more importantly, alter this fact.

[3] Finally, plaintiff argues, and the dissent agrees, that, as a matter of public policy, condominiums and cooperative corporations should be treated similarly under the Labor Law because both are forms of “collective ownership.” Cooperative corporations have been held to be owners potentially liable under the Labor Law when a contractor’s employee is injured while performing construction work in an apartment within the building (*see DeSabato v 674 Carroll St. Corp.*, 55 AD3d 656, 658-659 [2d Dept 2008]). Liability under the Labor Law as an owner, however, turns in every case on sometimes fine distinctions relating to ownership of the premises and control of the injury-producing work. And whereas condominium apartments are owned by individual unit owners (here, the Tomchinskys), a cooperative corporation owns an entire building, including the

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residential unit nominally owned in fee by a different party” (dissenting op at 203). Of course, the Tomchinskys did not “nominally” own their apartment in fee. As noted previously, they owned their apartment in fee simple absolute (*see* Real Property Law § 339-e [16]), and were “entitled to the *exclusive* ownership and possession” of it (*see* Real Property Law § 339-h [emphasis added]). Accordingly, the Board did not possess any “power” with respect to ownership of the Tomchinskys’ apartment that it might have “retained.” Putting this aside, it is quite a leap of logic to conclude that the Board assumed responsibility for making sure the Tomchinskys’ contractor performed work in compliance with the Industrial Code by virtue of a provision relating to Mr. Tomchinsky’s responsibility to assure that this work was performed in accordance with the approved plans and specifications and legal requirements related thereto.

apartments where individual tenant-shareholders reside; the residents of these apartments own stock in the corporation, which grants them proprietary leases to occupy the space in the premises to which their shares are allocated (*see generally Frisch v Bellmarc Mgt.*, 190 AD2d 383, 387 [1st Dept 1993] [“While some superficial aspects of condominium and cooperative ownership are similar . . . , the two forms of interest in real property are fundamentally different by design and as a matter of law”]).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN (dissenting). The condominium’s claim of non-liability is premised upon the circumstance that it is not the titleholder of the Tomchinsky unit. It is, in fact, undisputed that the Tomchinskys own the unit in fee, but that is not for Labor Law purposes the end of the inquiry. Of course, under the Labor Law title ordinarily suffices as a ground for statutory liability (*but see Morton v State of New York*, 15 NY3d 50 [2010]; *Abbatiello v Lancaster Studio Assoc.*, 3 NY3d 46 [2004]). But, as the statute itself makes clear and we have accordingly recognized (*see Scaparo v Village of Ilion*, 13 NY3d 864, 866 [2009]), the absence of title does not necessarily dictate a contrary conclusion. The statute’s array of non-delegable duties are imposed not upon owners alone but also upon contractors and agents of owners—non-title holding entities. Moreover, we have recognized the principle that Labor Law “owner” liability may be imposed on non-owners where they have an interest in the property and have acted as owners in connection with contracting for improvements (*see Scaparo*, 13 NY3d at 866, citing *Copertino v Ward*, 100 AD2d 565, 566 [2d Dept 1984]). As has been observed, the critical factor in determining whether a party should be treated as an “owner” for Labor Law purposes is whether it retains the owner’s prerogative to insist upon compliance with proper safety practices (*see Copertino*, 100 AD2d at 567).

It is clear from the Alteration Agreement entered into by the condominium Board “as agent for the unit owners” and the Tomchinskys, that, notwithstanding the conveyance of a fee interest in the subject unit to the Tomchinskys, the condominium in fact continued to possess with respect to that unit certain prerogatives of ownership. Proposed alterations were subject to condominium approval, which could be withheld “in the Board’s

sole and absolute discretion,” and the condominium was empowered to require the amendment of unit owners’ plans with an architect of its own choosing. In addition, the condominium reserved to itself plenary power to veto the unit owner’s choice of contractors and the right to select contractors in certain commonly arising situations where the work within the unit would affect building systems. Particularly significant here is that provision of the agreement in which Board approval of a unit owner’s plans is conditioned upon the unit owner’s representation that “all Unit Owner’s work shall be performed strictly in accordance with the approved Plans and Specifications [and] comply with all applicable laws, ordinances, orders, rules, regulations and requirements.” The condominium, then, retained the power to insist upon compliance with the Industrial Code worker safety provisions, even within a residential unit nominally owned in fee by a different party. Indeed, the Alteration Agreement reflects a reservation by the condominium of a right to reentry “for the purpose of inspecting Unit Owner’s Work to ensure that Unit Owner’s Work *is being* performed, and has been performed, in accordance with the Plans and Specifications and this Agreement” (emphasis supplied), and further provides that the condominium at its “sole and absolute discretion” is entitled to stop work for breach of any of the agreement’s covenants, including, of course, that in which the unit owner promised compliance with “all applicable laws, ordinances, orders, rules, regulations and requirements.”

The condominium defendants concede, as they must, that “the [condominium] Board certainly dictated the terms under which the work [in the Tomchinsky unit] would be performed” (brief for defendants-respondents at 29), but contend that they may not be deemed Labor Law “owners” because, under the Alteration Agreement, it was the unit owner that was primarily responsible for assuring compliance with applicable work site safety regulations. But this only begs the question whether the condominium defendants, in light of the proprietary powers they evidently reserved, are “owners.” If they are, it makes no difference that they purported to contract their responsibilities to the unit fee owners, for those owner responsibilities are non-delegable (*Rocovich v Consolidated Edison Co.*, 78 NY2d 509, 513 [1991]). Indeed, as we observed in *Sanatass v Consolidated Inv. Co., Inc.* (10 NY3d 333, 342 [2008]), “[t]o allow owners to [contract out of the statute] . . . would eviscerate the strict liability protection afforded by the Labor Law.” Inasmuch as it would appear that the role the condominium reserved to itself

in the unit alteration process was that of an owner—or at the very least that of the owners’ agent—it was for Labor Law purposes a statutorily responsible party. And, given that status, it cannot be useful for the condominium to claim that it delegated its owner responsibilities or that it did not actually direct and control the work resulting in plaintiff’s injury (*see Rocovich*). It is a hallmark of the Labor Law’s strict liability scheme that a party will be deemed responsible based simply upon its proprietary capacity to require compliance with worker safety laws and regulations; if that capacity exists, actual supervision and control of the work site is unnecessary (*see Gordon v Eastern Ry. Supply*, 82 NY2d 555, 559 [1993]).

It is obvious that a condominium does in fact retain a propriety interest in its owners’ units every bit as palpable in the unit alteration context as that of a residential cooperative corporation and that there exists no rationale for treating the two kinds of entities differently when it comes to allocating responsibility under the Labor Law. It is to blink at reality to treat condominiums simply as agglomerations of one-family dwellings, as this Court now does. The consequence of such a studied elevation of form over substance is dramatically to reduce the Labor Law’s protective ambit: a construction laborer injured while working in a condominium unit now has no Labor Law cause of action against the unit owner by reason of the single dwelling exemption, no claim against his contractor employer by reason of the workers’ compensation defense, and no statutory claim against the condominium because it is not the title owner of the unit. The statute would apply to workers frequently employed in the tens of thousands of condominium units in this State, if at all, only haphazardly—where, for example, there was a non-employer contractor with supervisory responsibility on the site (but even under that scenario a workers’ compensation defense might be available). Plainly, this was not what the legislature had in mind when it amended the Labor Law (L 1969, ch 1108, § 1) to place non-delegable, strictly enforceable protective duties on “[a]ll contractors and owners and their agents” (Labor Law §§ 240, 241 [as amended]) so as to situate “‘ultimate responsibility for safety practices at building construction jobs where such responsibility actually belongs, on the owner and general contractor’ rather than on the workers themselves (Mem of Senator Calandra and Assemblyman Amann, 1969 NY Legis Ann, at 407)” (*Sanatass*, 10 NY3d at 338; *see also Gordon*).



It is true, of course, that the Labor Law exempts owners of single-family dwellings from its strict liability provisions, but that exemption could not, consistent with the Labor Law's broad remedial purpose, have been intended to shield from statutory "owner" responsibility entities retaining significant construction related proprietary powers as to the numerous structurally interconnected units under their aegis. The court's conclusion to the contrary rips a gaping hole in the Labor Law's protective mantle—one that the legislature will have to mend if the statutory scheme is not to be rendered utterly arbitrary in its application and largely inefficacious in meeting its vaunted objectives.

Accordingly, I dissent. The order of the Appellate Division should, in my view, be reversed and plaintiff's Labor Law § 241 (6) claim reinstated.

Judges GRAFFEO, SMITH and PIGOTT concur with Judge READ; Chief Judge LIPPMAN dissents and votes to reverse in a separate opinion in which Judge CIPARICK concurs.

Order affirmed, with costs.

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[981 NE2d 772, 958 NYS2d 71]

In the Matter of STATE OF NEW YORK, Respondent, v MYRON P,  
Appellant.

Argued October 18, 2012; decided November 20, 2012

### SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered May 5, 2011. The Appellate Division affirmed an order of the Supreme Court, Albany County (Thomas J. McNamara, J.), entered in a proceeding pursuant to Mental Hygiene Law article 10, which had found respondent to be a dangerous sex offender and confined him to a secure treatment facility.

*Matter of State of New York v Myron P.*, 86 AD3d 26, affirmed.

### HEADNOTES

#### **Constitutional Law — Equal Protection of Laws — Differences between Right to Jury Determinations under Mental Hygiene Law Articles 9 and 10**

1. Respondent detained sex offender's equal protection rights were not violated where the trial court determined that the issues pertaining to respondent's involuntary commitment were required to be resolved in a Mental Hygiene Law article 10 proceeding instead of in the pending Mental Hygiene Law article 9 proceeding in which respondent challenged his involuntary confinement, notwithstanding that the determination as to whether an individual should be confined is made by a jury under article 9 and solely by a judge under article 10. A violation of the Equal Protection Clause of the Federal and State Constitutions (US Const Fourteenth Amend; NY Const, art I, § 11) arises where a person is selectively treated as compared with others similarly situated and such treatment is based on impermissible considerations, such as the intent to inhibit or punish the exercise of constitutional rights. However, article 10 respondents are not similarly situated to those subject to proceedings under article 9. In enacting article 10, the legislature acknowledged that "sex offenders in need of civil commitment are a different population from traditional mental health patients, who have different treatment needs and particular vulnerabilities" (Mental Hygiene Law § 10.01 [g]). Moreover, the difference in the dispositional choices between article 9 and article 10 supports the legislature's decision that the confinement determination under article 10 is better suited for the court rather than the jury. Under article 10, the dispositional choices include either confinement or strict and intensive supervision and treatment, while confinement is the only available disposition under article 9. The determination as to the level of danger an individual poses to public safety is inextricably tied to the nature of the treatment and supervision options available.

#### **Trial — Right to Jury Trial — Dispositional Phase of Mental Hygiene Law Article 10 Proceeding**

2. In a proceeding pursuant to Mental Hygiene Law article 10, respondent was not denied his state constitutional right to a trial by jury when, after a

jury found him to be a detained sex offender who suffered from a mental abnormality, Supreme Court, acting without a jury, concluded that clear and convincing evidence in the record established that respondent was a dangerous sex offender requiring confinement, and committed him to a secure facility. Article I, § 2 of the New York Constitution provides that “[t]rial by jury in all cases in which it has heretofore been guaranteed by constitutional provision shall remain inviolate forever.” A jury trial is guaranteed in all cases to which it would have traditionally been afforded under the common law before 1777, in all cases to which the legislature extended a right to a jury trial between 1777 and 1894, and in new cases that are analogous to those traditionally tried by a jury. In historic civil commitment proceedings until 1972, once a jury made a finding of mental illness, a judge was statutorily mandated to confine the individual. In enacting article 10, the legislature chose not to assign to a jury the article 10 process which makes inquiry of whether the individual’s dangerousness necessarily requires retention or the individual could safely be treated and/or supervised on an outpatient basis. When the legislature assigned that new, purely remedial determination to a judge rather than a jury, it did not violate respondent’s state constitutional right to a jury trial.

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#### RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Appellate Review §§ 575, 618; AM JUR 2d, Constitutional Law §§ 823, 832–837, 931; AM JUR 2d, Jury §§ 6, 7, 10, 13, 18; AM JUR 2d, Mentally Impaired Persons §§ 9, 27, 42, 66.  
CARMODY-WAIT 2d, Right to Jury Trial §§ 49:1–49:5;  
CARMODY-WAIT 2d, Appeals in General §§ 70:93, 70:97;  
CARMODY-WAIT 2d, Appeals to the Court of Appeals § 71:93.  
MCKINNEY’S, Mental Hygiene Law arts 9, 10; § 10.01 (g);  
NY Const, art I, §§ 2, 11.  
NY JUR 2d, Appellate Review §§ 563, 601, 604; NY JUR 2d, Constitutional Law §§ 339–342; NY JUR 2d, Infants and Other Persons Under Legal Disability §§ 83, 108, 109; NY JUR 2d, Jury §§ 3–8; NY JUR 2d, Penal and Correctional Institutions §§ 25, 26.  
US Const 14th Amend.

#### ANNOTATION REFERENCE

See ALR Index under Appellate Review; Equal Protection; Incompetent or Insane Persons; Jury Trials.

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## POINTS OF COUNSEL

*Morrison & Foerster LLP*, New York City (*Charles L. Kerr*, *Mark David McPherson*, *Robert J. Baehr* and *Natalie R. Ram* of the District of Columbia bar, admitted pro hac vice, of counsel), for appellant. I. Myron P. properly preserved his constitutional claims below. (*Williams v City of New York*, 101 AD2d 835; *Barry v Manglass*, 55 NY2d 803; *Delaney v Philhern Realty Holding Corp.*, 280 NY 461; *Arrieta v Shams Waterproofing, Inc.*, 76 AD3d 495; *Baxstrom v Herold*, 383 US 107.) II. The State deprived Myron P. of equal protection by committing him to involuntary confinement pursuant to Mental Hygiene Law article 10. (*Hernandez v Robles*, 7 NY3d 338; *Baxstrom v Herold*, 383 US 107; *Humphrey v Cady*, 405 US 504; *United States ex rel. Schuster v Herold*, 410 F2d 1071; *People v Lally*, 19 NY2d 27; *Kansas v Hendricks*, 521 US 346; *Foucha v Louisiana*, 504 US 71; *Addington v Texas*, 441 US 418; *San Antonio Independent School Dist. v Rodriguez*, 411 US 1; *Johnson v California*, 543 US 499.) III. The State deprived Myron P. of his constitutional right to a jury trial by committing him to involuntary confinement pursuant to Mental Hygiene Law article 10. (*Matter of DES Mkt. Share Litig.*, 79 NY2d 299; *Colon v Lisk*, 153 NY 188; *Sporza v German Sav. Bank*, 192 NY 8; *Matter of Robert C. v Wack*, 167 Misc 2d 677; *State of N.Y. ex rel. Harkavy v Consilvio*, 7 NY3d 607; *Hughes v County of Monroe*, 147 NY 49; *Matter of Richard H. v Consilvio*, 6 AD3d 7; *Matter of Daniel R. v Wack*, 167 Misc 2d 74; *Matter of Maureen A. v Wack*, 153 Misc 2d 600.)

*Eric T. Schneiderman*, Attorney General, Albany (*Frank Brady*, *Barbara D. Underwood*, *Andrea Oser* and *Nancy A. Spiegel* of counsel), for respondent. I. The appeal should be dismissed because respondent's constitutional claims are not preserved for review by this Court. (*Matter of Schulz v State of New York*, 81 NY2d 336; *Elezaj v Carlin Constr. Co.*, 89 NY2d 992; *Feinberg v Saks & Co.*, 56 NY2d 206; *Matter of Shannon B.*, 70 NY2d 458; *State of N.Y. ex rel. Harkavy v Consilvio*, 7 NY3d 607; *Brown v City of New York*, 60 NY2d 893.) II. Respondent's jury claim fails because Mental Hygiene Law article 10 provided respondent with the jury right guaranteed by the State Constitution. (*Jones v United States*, 463 US 354; *Addington v Texas*, 441 US 418; *Kansas v Crane*, 534 US 407; *Kansas v Hendricks*, 521 US 346; *Matter of State of New York v Enrique T.*, 93 AD3d 158, 18 NY3d 976; *Matter of David B.*, 97 NY2d 267; *Matter of DES Mkt. Share Litig.*, 79 NY2d 299; *Motor Veh. Mfrs. Assn. of U.S. v State of New York*, 75 NY2d 175; *Colon v Lisk*, 153 NY 188;

*Sporza v German Sav. Bank*, 192 NY 8.) III. Respondent's equal protection claim fails because individuals considered under Mental Hygiene Law articles 9 and 10 are not similarly situated and can rationally be treated differently in any event. (*Matter of Walton v New York State Dept. of Correctional Servs.*, 13 NY3d 475; *Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *Port Jefferson Health Care Facility v Wing*, 94 NY2d 284; *Nordlinger v Hahn*, 505 US 1; *Montgomery v Daniels*, 38 NY2d 41; *Hernandez v Robles*, 7 NY3d 338; *Affronti v Crosson*, 95 NY2d 713; *Kimel v Florida Bd. of Regents*, 528 US 62; *New York City Health & Hosps. Corp. v Brian H.*, 51 AD3d 412; *Matter of Scopes*, 59 AD2d 203.)

#### OPINION OF THE COURT

PIGOTT, J.

In this proceeding pursuant to Mental Hygiene Law article 10, respondent, Myron P., contends that he was entitled to a jury trial on the determination of confinement. We hold that he was not and therefore affirm.

On February 13, 2001, respondent was convicted of attempted rape in the first degree and sentenced to six years' imprisonment with 30 months of parole supervision. Prior to his release, in October 2006, he was transferred from prison to the Sex Offender Treatment Program (SOTP), at Central New York Psychiatric Center (CNYPC) pursuant to Mental Hygiene Law article 9. In November 2006, he requested a hearing to contest his admission. Thereafter, in December 2006, CNYPC made an application to Supreme Court, pursuant to Mental Hygiene Law article 9, for an order authorizing CNYPC to retain respondent involuntarily for a period not to exceed six months.

In January 2008, while the article 9 proceeding was pending, the Attorney General, on the State's behalf, filed an article 10 petition seeking a determination that respondent is a detained sex offender requiring civil management and involuntary confinement. Thereafter, respondent applied for an order staying the commencement of the article 10 trial until the article 9 proceeding was completed, arguing that while he was a "detained sex offender" under Mental Hygiene Law § 10.03 (g) (5), the court was nevertheless required to determine whether he met the standard for "mental illness" under article 9 before proceeding under article 10. Respondent maintained that if the "article 9 admission is held to be invalid or [respondent] does not meet the criteria for involuntary admission to a psychiatric

hospital, then there is no jurisdiction to commence the article 10 proceeding” and “[the article 10] proceeding must be dismissed with prejudice.”

Respondent’s desire to proceed under article 9 was also rooted in his argument that, under Mental Hygiene Law § 9.35 he would be entitled to a jury trial on “the question of mental illness and the need for retention,” but under article 10, the question whether his condition “requires inpatient confinement in a secure facility” is decided solely by a judge. He maintained that “it is a violation of [his] constitutional rights to be compelled to go forward to an article 10 jury trial until such time as the issues raised in my MHL article 9 demand for a hearing have been addressed.”

Relying on our decision in *State of N.Y. ex rel. Harkavy v Consilvio* (8 NY3d 645 [2007]), Supreme Court denied a stay, holding that

“the issues pertaining to respondent’s involuntary commitment to the SOTP at CNYPC under MHL Article 9 must be resolved in an appropriate commitment hearing held in accordance with the procedures set forth in Article 10 of the MHL. As such, respondent’s MHL Article 9 claims are rendered moot and/or academic as the basis for respondent’s commitment is no longer MHL Article 9, but MHL Article 10.”

Thereafter, a trial was held pursuant to article 10 after which a jury found that respondent was a detained sex offender who suffered from a mental abnormality within the meaning of that statute. At a later hearing, Supreme Court, acting without a jury, concluded that clear and convincing evidence in the record established that respondent was a dangerous sex offender requiring confinement, and committed him to a secure facility.

Respondent appealed, arguing that the jury’s verdict that he suffered from a mental abnormality was not supported by legally sufficient evidence; and that Mental Hygiene Law article 10 improperly deprived him of his right to a jury trial under the United States and New York State Constitutions on the issue of whether he should be involuntarily committed to a secure facility.

The Appellate Division unanimously affirmed (86 AD3d 26 [3d Dept 2011]), finding that legally sufficient evidence supported the jury’s verdict. It further held that respondent was



not deprived of his constitutional right to a jury trial on the issue of confinement. It first concluded that because respondent “was provided [with] a jury trial on the initial question of mental abnormality, . . . his constitutional right to a jury trial” was satisfied (*id.* at 30). The court similarly held that respondent’s equal protection rights were not violated, concluding that respondents under article 10 were not similarly situated to those under article 9 (*id.*). Respondent appealed as of right to this Court pursuant to CPLR 5601 (b) (1).

As an initial matter, we conclude that respondent adequately preserved his constitutional arguments in his motion to stay the article 10 proceeding. We nevertheless disagree with respondent on the merits.

Respondent first contends that the State violated his rights under the Equal Protection Clause of the Federal and State Constitutions because the State affords other similarly situated individuals the right to have a jury determine the issue of confinement, while article 10 does not. Specifically, he points to the fact that individuals subject to article 9 are provided the right to have a jury determine both whether the individual is mentally ill and whether the individual should be confined to receive involuntary care (*see* Mental Hygiene Law § 9.35).

The Equal Protection Clause in the New York State Constitution states that “No person shall be denied the equal protection of the laws of this state or any subdivision thereof” (NY Const, art I, § 11). The Equal Protection Clause of the Fourteenth Amendment to the United States Constitution provides, “No State shall . . . deny to any person within its jurisdiction the equal protection of the laws.” In essence, the constitutional guarantee of equal protection is “that all persons similarly situated must be treated alike” (*Bower Assoc. v Town of Pleasant Val.*, 2 NY3d 617, 630 [2004]). Thus, a

“violation of equal protection arises where *first*, a person (compared with others similarly situated) is selectively treated and *second*, such treatment is based on impermissible considerations such as race, religion, intent to inhibit or punish the exercise of constitutional rights, or malicious or bad faith intent to injure a person” (*id.* at 631).

[1] It is clear that article 10 respondents are not similarly situated to those subject to proceedings under article 9. Indeed, in *State of N.Y. ex rel. Harkavy v Consilvio* (7 NY3d 607 [2006]) we

held that the State could not apply article 9 of the Mental Hygiene Law to sex offenders who were serving a sentence when that process began. After that decision the legislature enacted article 10, acknowledging that “sex offenders in need of civil commitment are a different population from traditional mental health patients, who have different treatment needs and particular vulnerabilities” and that such civil commitment “should be implemented in ways that do not endanger, stigmatize, or divert needed treatment resources away from such traditional mental health patients” (Mental Hygiene Law § 10.01 [g]).

Article 10 respondents cannot be classified as a subset of article 9 respondents because they are a different category of individuals in terms of the nature of their mental disabilities, their treatment needs and the public safety concerns they present. The individuals targeted under article 9 and article 10 proceedings are distinct.

In any event, because article 9 and article 10 involve two different categories of persons, with different treatment needs, it was appropriate for the legislature to treat them differently. The State correctly notes that the confinement decision under article 9 is quite different than that of article 10. Article 10 has two dispositional choices—either confinement or strict and intensive supervision and treatment (*see* Mental Hygiene Law § 10.07 [f])—while under article 9 confinement is the only available disposition. The determination as to the level of danger an individual poses to public safety is inextricably tied to the nature of the treatment and supervision options available. This difference supports the legislature’s decision that the confinement determination under article 10 is better suited for the court rather than a jury.

[2] Nor was respondent denied his state constitutional right to a trial by jury. Article I, § 2 of the New York Constitution provides that “[t]rial by jury in all cases in which it has heretofore been guaranteed by constitutional provision shall remain inviolate forever.” “The express language of this provision exhorts us to consider as an historical matter the types of actions to which the right to a jury trial has traditionally attached” (*Matter of DES Mkt. Share Litig.*, 79 NY2d 299, 304 [1992]). We have held that a jury trial is guaranteed: “(1) in all those cases to which it would have traditionally been afforded under the common law before 1777, and (2) in all cases to which the Legislature by statute extended a right to a jury trial between 1777 and 1894” (*id.*). “In addition, it has been held that

the right to a jury trial is not strictly limited to those instances in which it was actually used in 1894, but also extends to new cases that are analogous to those traditionally tried by a jury” (*id.* at 305).

Respondent asserts that historical civil commitment statutes on their face provided a right to a jury trial regarding questions of a person’s mental illness and need for confinement. Thus, he argues that under the law as it existed at the time of the enactment of the New York State Constitution in 1894, a jury was required to decide both mental illness and the need for confinement, as both issues were considered as part of the same overarching inquiry. However in those historic civil commitment proceedings, once the jury made a finding of mental illness, the judge was statutorily mandated to confine the individual. This continued until 1972, when the legislature amended the civil commitment statute (article 9) to direct juries to consider both mental illness and the “need for retention” in a mental facility (*see* L 1972, ch 251, § 31.25). This change was wholly for the benefit of the individual subject to civil commitment.

The legislature chose not to assign to a jury the article 10 process which makes inquiry of whether the individual’s dangerousness necessarily requires retention or the individual could safely be treated and/or supervised on an outpatient basis. When the legislature assigned that new, purely remedial determination to a judge rather than a jury, it did not violate respondent’s state constitutional right to a jury trial.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ and SMITH concur.

Order affirmed, without costs.

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[981 NE2d 777, 958 NYS2d 76]

In the Matter of RICHARD LAZZARI, Respondent, v TOWN OF EAST-CHESTER et al., Appellants, and PAULA REDD ZEMAN, as Commissioner of the Westchester County Department of Human Resources, et al., Respondents.

Argued October 10, 2012; decided November 27, 2012

### SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 2, 2011. The Appellate Division (1) dismissed an appeal from an order of the Supreme Court, Westchester County (Susan Cacace, J.), which had denied respondents' motion for discovery of a medical report that was the basis for a certification by a medical officer appointed by the County of Westchester Department of Human Resources that petitioner was physically and mentally fit to perform the duties of his former positions as Assistant Building Inspector and Deputy Building Inspector for the Town of Eastchester, and (2) affirmed a judgment of that Supreme Court, entered in a proceeding pursuant to CPLR article 78, which had granted the petition to compel the reinstatement of the petitioner as Assistant Building Inspector and Deputy Building Inspector for the Town of Eastchester and directed that respondents reinstate petitioner to his former positions with back pay.

*Matter of Lazzari v Town of Eastchester*, 87 AD3d 534, affirmed.

### HEADNOTES

#### Civil Service — Reinstatement — Medical Certification

1. When a civil service commission or department directs a municipal employer to reinstate an employee pursuant to a medical officer's determination of fitness under Civil Service Law § 71, the municipal employer must immediately reinstate the employee, and a challenge to such a determination must take the form of a CPLR article 78 petition. Pursuant to section 71, an employee terminated for a job-related incident can apply to the civil service commission or department having jurisdiction over his last position for reinstatement if the disability should cease, and the employee "shall be reinstated" if the selected "medical officer shall certify that such person is physically and mentally fit to perform the duties" of the job. It is clear, under section 71, that the certification is made to the body that arranged for the medical examination and to whom the results of that examination are reported. Nothing in the plain language of the statute suggests, much less requires, that a medical certification be in writing, or take any particular form. The legislature intended for the determination of the medical officer to be final; there is no statutory

construct for an administrative challenge, a hearing, or other means of protest. Section 71 does not give the Town the responsibility or power to police the performance of the County's statutorily mandated duties. Accordingly, in a dispute over the reinstatement of a Town employee, a letter from the County Civil Service Commission informing the Town that a medical officer had "certified" that the former employee was fit to return to work was sufficient under section 71.

#### **Civil Service — Reinstatement — Back Pay**

2. In a proceeding in which Supreme Court ordered respondent Town to reinstate petitioner, who had been injured on the job, to his former position following certification by the county civil service department that petitioner was fit to return to work and the Town's refusal to restore him to the position, petitioner was entitled to back pay pursuant to section 77 of the Civil Service Law retroactive to the time the Town was directed to reinstate him. Section 77 provides that an "employee who is removed . . . and who thereafter is restored to such position by order of the supreme court, shall be entitled to . . . the salary or compensation which he would have been entitled by law to have received in such position but for such unlawful removal." While the Town argued that section 77 did not apply because petitioner was lawfully terminated and not unlawfully removed, and did not challenge his initial termination, within the context of the statute there is no meaningful distinction between an unlawful removal and an unlawful refusal to reinstate.

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#### **RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Civil Service §§ 10, 23, 24, 92–95, 103, 106.

McKINNEY'S, Civil Service Law §§ 71, 77.

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 300, 513, 532, 543, 544, 549, 552, 561–563.

#### **ANNOTATION REFERENCE**

See ALR Index under Backpay; Civil Service; Public Officers and Employees.

#### **FIND SIMILAR CASES ON WESTLAW®**

Database: NY-ORCS

Query: civil /2 service /s reinstat! /p fit! /5 work

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#### **POINTS OF COUNSEL**

*Law Office of Vincent Toomey, Lake Success (Vincent Toomey and Christine A. Gaeta of counsel), for appellants.* I. Civil Service Law § 71 requires that certification by a medical officer of fitness for duty be provided to the municipality subject to the reinstatement order. (*Matter of Allen v Howe*, 84 NY2d 665; *Matter of Sarto v Whittemore*, 43 AD3d 1343; *Matter of City of New York v New York City Civ. Serv. Commn.*, 6 NY3d 855;

*Greuling v Breakey*, 56 AD2d 540; *St. Clare v Cattani*, 128 AD2d 766; *Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149; *Matter of M. Farbman & Sons v New York City Health & Hosps. Corp.*, 62 NY2d 75; *Yatauro v Mangano*, 17 NY3d 420; *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557; *Matter of Fink v Lefkowitz*, 47 NY2d 567.) II. The Town of Eastchester was not required to reinstate Richard Lazzari or otherwise challenge Westchester County Department of Human Resources' actions since the Department of Human Resources failed to comply with Civil Service Law § 71 or take enforcement action against the Town. (*Matter of Stitt v McMahon*, 244 AD2d 811; *Matter of Diaz v New York State Off. of Mental Health*, 188 AD2d 903.) III. This matter should have been dismissed or remanded to the Westchester County Department of Human Resources for a new determination and certification of Richard Lazzari's fitness to return to duty under Civil Service Law § 71. (*Matter of Steen v Governor's Off. of Empl. Relations*, 1 AD3d 644; *Matter of Mandle v Brown*, 4 AD2d 283; *Matter of Skorin-Kapov v State Univ. of N.Y. at Stony Brook*, 281 AD2d 632, 96 NY2d 720; *Matter of Ronga v Klein*, 23 Misc 3d 1103[A], 2009 NY Slip Op 50563[U]; *Grey-stone Mgt. Corp. v Conciliation & Appeals Bd. of City of N.Y.*, 94 AD2d 614, 62 NY2d 763; *Matter of Rocco v Board of Trustees, Police Pension Fund, Art. II*, 98 AD2d 609, 62 NY2d 803; *Burke's Auto Body v Ameruso*, 113 AD2d 198; *Matter of Hordes v McGoldrick*, 282 App Div 743.) IV. The lower courts erred in determining that an employee who was lawfully terminated under Civil Service Law § 71 is entitled to back pay under Civil Service Law § 77, which applies only in cases of unlawful termination. (*Matter of Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO v Brookhaven-Comsewogue Union Free School Dist.*, 87 NY2d 868; *Matter of Sterling v Levitt*, 168 AD2d 314, 77 NY2d 810; *Matter of Ortiz v Lesser*, 88 AD2d 1105; *Matter of Mullane v McKenzie*, 269 NY 369, 270 NY 563; *Matter of Rotkiewicz v Department of Mental Hygiene of State of N.Y.*, 283 App Div 458; *Matter of Sweeney v Donovan*, 1 Misc 2d 125; *Matter of City of Lackawanna [AFSCME, AFL-CIO Local Union No. 1205]*, 98 Misc 2d 712; *Matter of Ranni v Berger*, 52 AD2d 607, 39 NY2d 710; *Matter of Brayer v Lapple*, 52 AD2d 1034; *Matter of Carnibucci v New York State Exec. Dept. Div. for Youth*, 223 AD2d 843.) V. The courts below erred in denying the Town of Eastchester's motion for leave to seek discovery because this matter cannot be fully and fairly adjudicated without the production of certain materials and necessary documents. (*Matter*



of Civil Serv. Empls. Assn., Inc., Local 1000, AFSCME, AFL-CIO v Port Washington Union Free School Dist., 16 Misc 3d 202; *Matter of Yarbough v Franco*, 95 NY2d 342; *Allen v Crowell-Collier Publ. Co.*, 21 NY2d 403; *Constantino v Dock's Clam Bar & Pasta House*, 60 AD3d 612; *Zegarelli v Hughes*, 3 NY3d 64; *DiMichel v South Buffalo Ry. Co.*, 80 NY2d 184; *Tai Tran v New Rochelle Hosp. Med. Ctr.*, 99 NY2d 383; *Matter of Town of Pleasant Val. v New York State Bd. of Real Prop. Servs.*, 253 AD2d 8; *Matter of Town of Wallkill v New York State Bd. of Real Prop. Servs.*, 274 AD2d 856, 95 NY2d 770; *Rios v Donovan*, 21 AD2d 409.)

*James M. Rose*, White Plains, for Richard Lazzari, respondent. I. The Town of Eastchester's point I is based upon an incorrect definition of certified, to whom a doctor must certify, and a misunderstanding of the applicable case law. (*Matter of Estanluards v American Museum of Natural History*, 53 AD3d 991; *Matter of Sarto v Whittemore*, 43 AD3d 1343; *Matter of City of New York v New York City Civ. Serv. Commn.*, 6 NY3d 855; *Matter of Yong-Myun Rho v Ambach*, 74 NY2d 318; *Matter of Cortlandt Nursing Home v Axelrod*, 66 NY2d 169.) II. Point II of the Town of Eastchester's brief is premised upon the incorrect assumption that no certification exists. (*Matter of Muzzillo v Mount Vernon Civ. Serv. Commn.*, 238 AD2d 425; *Matter of Arnold v Erie County Med. Ctr. Corp.*, 59 AD3d 1074; *Matter of Kaur v New York State Urban Dev. Corp.*, 15 NY3d 235; *Matter of Vann v Callahan*, 16 AD3d 849.) III. The argument made at point III of the Town of Eastchester's brief is based upon the same faulty premise as point I and for that reason lacks merit, and is time-barred. (*Matter of Steen v Governor's Off. of Empl. Relations*, 1 AD3d 644.) IV. Richard Lazzari is entitled to be reinstated to his position with full back pay and benefits. (*Matter of Greiner v Greene County Dept. of Fire Prevention & Control*, 188 AD2d 880; *Matter of Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO v Brookhaven-Comsewogue Union Free School Dist.*, 87 NY2d 868; *Matter of Department of Personnel of City of N.Y. v New York City Civ. Serv. Commn.*, 169 AD2d 597; *Jones v City of Buffalo*, 178 NY 45; *Matter of Carnibucci v New York State Exec. Dept. Div. for Youth*, 223 AD2d 843; *Matter of Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO [State of New York]*, 273 AD2d 668; *Matter of Antonopoulou v Beame*, 32 NY2d 126; *Pauk v Board of Trustees of City Univ. of N.Y.*, 68 NY2d 702.) V. The determination of the court below that discovery would be untimely and pointless and was barred by the statute of limitations was correct. (*Matter of De Milio v*

*Borghard*, 55 NY2d 216; *Matter of Queensborough Community Coll. of City Univ. of N.Y. v State Human Rights Appeal Bd.*, 41 NY2d 926; *Zuley v Elizabeth Wende Breast Care, LLC*, 82 AD3d 1673; *People v Clark*, 82 AD3d 1674.)

*Robert F. Meehan*, County Attorney, White Plains (*Thomas G. Gardiner* and *James Castro-Blanco* of counsel), for Paula Redd Zeman and another, respondents. I. The medical officer's certification of Richard Lazzari's fitness to Westchester County satisfied the requirements of section 71 of the Civil Service Law and the correspondence of December 18, 2007 to the Town of Eastchester Supervisor was the final determination of the County. (*Matter of City of New York v New York City Civ. Serv. Commn.*, 6 NY3d 855; *Matter of City of New York v City Civ. Serv. Commn.*, 60 NY2d 436; *Matter of Hughes v Doherty*, 5 NY3d 100; *Matter of Washington v Fischer*, 85 AD3d 1484; *Matter of Multari v Town of Stony Point*, 99 AD2d 838; *Matter of Estanluards v American Museum of Natural History*, 53 AD3d 991; *Matter of Sarto v Whittemore*, 43 AD3d 1343; *Matter of Stitt v McMahon*, 244 AD2d 811; *Matter of Grossman v McMahon*, 261 AD2d 54; *Matter of Sauer v Connelie*, 71 AD2d 770.) II. The Supreme Court properly denied the Town of Eastchester's motion seeking discovery of Westchester County's independent medical evaluation.

*John A. Mancini*, Albany, for New York State Conference of Mayors and Municipal Officials, amicus curiae. I. The lower courts erred when they determined that something other than the examining physician's certification of fitness satisfies the medical certification requirement of Civil Service Law § 71. II. Sound public policy should dictate that Westchester County's independent medical report relied upon in ordering Richard Lazzari's reinstatement should be released to the Town of Eastchester. (*Matter of Buffalo News v Buffalo Enter. Dev. Corp.*, 84 NY2d 488; *Matter of Snyder v Third Dept. Jud. Screening Comm.*, 18 AD3d 1100; *Matter of Fink v Lefkowitz*, 47 NY2d 567.)

#### OPINION OF THE COURT

Chief Judge LIPPMAN.

The Town of Eastchester and Westchester County have squabbled in and out of court for five years over whether the County's Department of Human Resources was required to provide the Town with documentation of an employee's fitness

to resume work before the Town reinstated him to his position under Civil Service Law § 71. Without condoning the County's conduct in this dispute, we hold that when a civil service commission or department directs a municipal employer to reinstate an employee pursuant to a medical officer's determination of fitness under Civil Service Law § 71, the municipal employer must immediately reinstate the employee, and a challenge to such a determination must take the form of a CPLR article 78 petition.

In October 2006, Mr. Lazzari injured his neck, back, and both arms while performing his job duties. On previous occasions, he had injured his lower back, causing him to miss several days of work. Mr. Lazzari did not perform any work for the Town after suffering these most recent injuries.

Throughout Mr. Lazzari's absence, he was periodically examined by the Town's physician, at the Town's request. Approximately one year after the latest injuries, the doctor reported that he "[could] not authorize [his] return to full duty . . . if the employee will require continued ongoing treatment with prescription pain medications that were noted to me by Mr. Lazzari." That month, at the Town's request, Mr. Lazzari also underwent an independent medical examination by an orthopedic surgeon. After examining him, the surgeon reported that Mr. Lazzari "is currently not fit to perform the responsibilities of an assistant building inspector and it is unlikely that any dramatic change will allow him to return to this occupation in the near or distant future."

Based upon these two medical reports, the Town Comptroller notified Mr. Lazzari that pursuant to Civil Service Law § 71, his employment with the Town would be terminated effective November 16, 2007. Mr. Lazzari was further advised that he possessed certain reinstatement rights under Civil Service Law § 71 and was provided with a copy of the statute.

Soon thereafter, based on the required procedure in Civil Service Law § 71, Mr. Lazzari requested and obtained a review of his medical condition by the Westchester County Department of Human Resources (DHR).<sup>1</sup> DHR directed Mr. Lazzari to a physician selected by the department to make an independent determination as to whether Mr. Lazzari was medically able to perform the duties of his job.

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1. The DHR was acting as a local municipal civil service commission pursuant to Civil Service Law §§ 15 and 17.

On December 18, 2007, the Deputy Commissioner of DHR notified the Town Supervisor that it had completed Mr. Lazzari's section 71 application for reinstatement as Assistant Building Inspector, including an independent medical evaluation to determine his fitness to perform the duties of that job. The Deputy Commissioner advised the Town that "[t]he examining physician has concluded in his written report provided to this department that Mr. Lazzari is able to perform [his job] duties" and "should be immediately restored to his position."

In response, the Town Supervisor requested from DHR a copy of the medical report, claiming that "[i]n light of the apparently conflicting medical opinions, we are concerned about Mr. Lazzari's safety and that the interests of the Town and its residents will be imperiled if [he] cannot effectively perform the essential functions of his position." In response, the County, by its Deputy Commissioner of Human Resources, advised the Town that it would not provide a copy of the requested report and reiterated that the Town should immediately reinstate Mr. Lazzari to his job as Assistant Building Inspector.

The Town Supervisor again wrote to DHR asserting that the Town was entitled to the medical report. The Deputy County Attorney communicated to the Eastchester Town Attorney that nothing in Civil Service Law § 71 required DHR to disclose the medical report, but the very words of Civil Service Law § 71 directly and clearly mandated that the Town immediately reinstate Mr. Lazzari in accordance with the County's direction.

In response, the Town's Special Counsel for labor and employment law matters wrote to the Deputy County Attorney, admitting that Civil Service Law § 71 "does not specifically require the release of the [medical] report" but asking for the Civil Service Commission to articulate the evidentiary basis for its determination and to turn over the medical report to demonstrate that basis. The County continued its refusal to turn over any documentation to the Town.

The Town neither reinstated Mr. Lazzari, nor brought a Freedom of Information Law (FOIL) or article 78 proceeding against the County to procure the medical documentation and/or challenge the County's determination under Civil Service Law § 71. Mr. Lazzari was forced to take the initiative, commencing this article 78 proceeding seeking to compel the Town to reinstate him. In August 2008, Supreme Court granted the petition

and ordered the Town to reinstate Mr. Lazzari, reasoning that “[i]gnoring the mandate of Civil Service Law § 71 is not the appropriate mechanism for questioning his condition or challenging the determination of [DHR].” The Town appealed.

In May 2009, the Appellate Division reversed for failure to join DHR as a necessary party and remitted for determination with DHR’s participation (62 AD3d 1002 [2d Dept 2009]). Upon remittal to Supreme Court, the Town moved for discovery of the medical report. Supreme Court denied the Town’s motion in December 2009, explaining that “[t]o order the discovery requested by the Town would only serve to invite argument in an area not authorized by law.” The court reasoned that Civil Service Law § 71 does not provide for a challenge to the determination of the medical officer selected by the civil service commission or department and the only available remedy was for the Town to institute its own article 78 proceeding against DHR, which the Town failed to bring within the statutorily mandated time frame of four months. Thereafter, in an April 2010 judgment, the court granted the petition, reinstating Mr. Lazzari to his former position, this time also ordering the Town to compensate him with back pay in accordance with Civil Service Law § 77 calculated from December 18, 2007, the date of DHR’s initial letter directing reinstatement. The Court criticized the Town again, with the same words it used in its initial decision in 2008, stating that “[i]gnoring the mandate of Civil Service Law § 71 is not the appropriate mechanism for questioning his condition or challenging the determination of [DHR].” The Town appealed, still refusing to reinstate Mr. Lazzari.

On Mr. Lazzari’s second visit to the Appellate Division, more than two years later, the Court affirmed the judgment, concluding that Civil Service Law § 71 did not require DHR to provide the Town with medical certification or the underlying medical report (87 AD3d 534, 535 [2d Dept 2011]). In addition, the Appellate Division agreed that Mr. Lazzari was entitled to back pay, retroactive to December 18, 2007, pursuant to Civil Service Law § 77. We granted the Town leave to appeal and now affirm.

Civil Service Law § 71 states that an employee terminated for a job-related incident can apply for reinstatement if the disability should cease. The employee can apply to the civil service commission or department having jurisdiction over his last position “for a medical examination to be conducted by a medical officer selected for that purpose by such department or commission” (Civil Service Law § 71). The employee “shall be



reinstated” if “such medical officer shall certify that such person is physically and mentally fit to perform the duties” of the job (Civil Service Law § 71).

The Town argues that medical certification of fitness can only come from the examining physician and a mere statement by a non-doctor advising the municipal employer that the disabled employee has been found medically fit without the accompanying written medical certification and/or report does not satisfy Civil Service Law § 71. As the Appellate Division has recognized, it is the medical officer who certifies, and not the Civil Service Commission (*see Matter of Sarto v Whittemore*, 43 AD3d 1343 [4th Dept 2007] [holding that a local civil service commission who relied upon past medical records, rather than an independent medical examination, failed to comply with section 71 because the medical examiner, not the Commission, certifies fitness]).

Although Civil Service Law § 71 does not indicate to whom the certification must be made, read in context, it is clear that the certification is made to the Department of Human Resources acting as a civil service commission, the body that arranges for the examination and to whom the results of such an examination are reported. Indeed, the purpose of section 71 is to involve a neutral agency and a physician, independent of both the employee and the employer, with appropriate oversight. Accordingly, the letter from the Civil Service Commission, informing the Town that a medical officer had “certified” Mr. Lazzari fit to return to work, was sufficient under Civil Service Law § 71.

Nothing in the plain language of the statute suggests, much less requires, that a medical certification be in writing, or take any particular form. The Town attempts to invent such a requirement by pointing to other state and federal statutes and regulations regarding disability or fitness for duty that have been interpreted to require written medical certification from the examining physician consisting of the doctor’s signed medical report. However, the Town undermines its own argument. In each statute or regulation cited by the Town (i.e., the Workers’ Compensation Law, the Family and Medical Leave Act and the federal Department of Transportation’s Drug Testing Regulations), it has been provided that a certification is a signed document by a medical examiner, and the reasons for requiring such an executed writing are explicated in each provision. For example, in Workers’ Compensation Law § 13-a (4) (e), the certification is made so that it becomes “admissible medical



evidence” at a hearing.<sup>2</sup> The Legislature has included no such provision in Civil Service Law § 71.

[1] The Town’s choice to ignore the County’s directive was also not an option contemplated by the Legislature. The Legislature intended for the determination of the medical officer to be final. There is no statutory construct for an administrative challenge, a hearing, or other means of protest, as both Supreme Court and the Appellate Division found. The Town has neither moved to obtain a copy of the medical officer’s report of fitness pursuant to FOIL, nor, as Supreme Court noted, had it attempted to obtain it in the course of a timely article 78 proceeding brought to challenge DHR’s directive as arbitrary and capricious.

The Town makes the untenable argument that because the medical report has been withheld from the Town in an arbitrary and capricious manner and in violation of section 71, the Town does not need to reinstate Mr. Lazzari. It also contends that without the certification, it does not yet have any obligation to challenge the County’s determination in an article 78 proceeding. The Town relies on *Matter of Stitt v McMahon* (244 AD2d 811 [3d Dept 1997]), in which the Third Department upheld the Superintendent of State Police’s refusal to reinstate an injured officer based upon the Superintendent’s determination that the officer was not fit for duty because there were conflicting medical reports about the officer’s medical fitness. The Town argues that this case is similar because it had two medical opinions about Lazzari which stated that he was unfit, and one conflicting medical opinion from the DHR to which the Town had no access.

This argument demonstrates the Town’s misunderstanding of its role with respect to Mr. Lazzari and the County. *Stitt* does not apply. The Town’s position is not analogous to that of the Superintendent of the State Police who, pursuant to law and regulation, “has wide discretion in all employment matters” (see *Matter of Grossman v McMahon*, 261 AD2d 54, 58 [3d Dept 1999]; Executive Law § 215 [3]; 9 NYCRR 488.1 [g]). This is not the case for the Town, a municipal employer, which does not have discretion regarding reinstatement determinations when a Civil Service Department, pursuant to Civil Service Law § 71,

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2. The Town also makes vague reference to CPLR 2106, but it is inapt. The statement of a physician authorized under CPLR 2106 is an affirmation (to have the same effect as an affidavit), not a certification. CPLR 2105 does refer to a certification, but it is made by an attorney, not a physician.

has determined that a medical official has certified that the employee is fit to return to work and orders reinstatement. Civil Service Law § 71 does not give the Town the responsibility or power to police the performance of the County's statutorily mandated duties.

After five years of litigation, the County's refusal to give the Town a copy of the medical report, and the Town's refusal to ask for it under FOIL, remain unexplained. The County does not suggest that it would have any ground for rejecting a FOIL request. It seems that a bit more common sense and less stubbornness on either side could have avoided years of trouble and expense. Since the parties have chosen to litigate, however, we must resolve the dispute, and we do so in the County's favor.

[2] On the issue of back pay, Civil Service Law § 77 provides that an "employee who is removed . . . and who thereafter is restored to such position by order of the supreme court, shall be entitled to . . . the salary or compensation which he would have been entitled by law to have received in such position but for such unlawful removal." The Town argues that because Mr. Lazzari was lawfully terminated and not unlawfully removed, and does not even challenge his initial termination, Civil Service Law § 77 does not apply. However, within the context of the statute there is no meaningful distinction between an unlawful removal and an unlawful refusal to reinstate, so Mr. Lazzari is entitled to back pay retroactive to the time the County directed the Town to reinstate him on December 18, 2007.<sup>3</sup>

Accordingly, the order of the Appellate Division should be affirmed, with costs.

PIGOTT, J. (dissenting). I dissent and decline the majority's invitation to go "through the looking glass" to a world where a municipal employer must, in blind faith, reinstate an employee under Civil Service Law § 71 without first receiving a certification

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3. As additional authorization for the award of back pay under Civil Service Law § 77, Civil Service Law § 100 (1) (c) provides:

"Any person entitled to be [on the certified payroll] and refused such certificate, or from whom salary or compensation is otherwise unlawfully withheld, may maintain a proceeding under article seventy-eight of the civil practice law and rules to compel the issuance of such certificate or the payment of such salary, or both, as the case may be."

Mr. Lazzari has been entitled to be on the certified payroll since the County directed his reinstatement and a back pay award could be based on this statutory provision as well.

from a medical officer that the employee is fit for duty. The majority berates the parties for “squabb[ling] in and out of court” (deservedly so), but, instead of interpreting section 71 in a manner that would lead to less litigation, it offers a solution that invites more by requiring a municipal employer to commence a CPLR article 78 proceeding against another municipality that should be assisting it to obtain the certification. Although section 71 does not state to whom the certification must be given, the only practical interpretation is that it should be given to the municipal employer, the entity ultimately responsible for the consequences of an imprudent reinstatement.

As relevant here, Civil Service Law § 71 provides that an

“employee may, within one year after termination of [a disability resulting from an occupational injury or disease], make application to the . . . municipal commission having jurisdiction over the position last held by such employee for a medical examination to be conducted by a medical officer selected for that purpose by such . . . commission. If, upon such medical examination, *such medical officer shall certify that such person is physically and mentally fit to perform the duties of his or her former position, he or she shall be reinstated to his or her former position*” (emphasis supplied).

According to the majority, the Westchester County Department of Human Resources (DHR) letter apprising the Town of Eastchester that the DHR-selected physician “evaluated” Mr. Lazzari and concluded he was fit for duty was sufficient for purposes of section 71. This is so notwithstanding the fact that the Town had two medical opinions in its possession indicating that Mr. Lazzari was not fit for duty.

The majority finds in favor of the DHR and Mr. Lazzari despite the fact that the County refused to provide the Town with medical certification as to Mr. Lazzari’s fitness. In my view, submission of the certification to the Town by the DHR was a condition precedent to the Town’s reinstatement of Mr. Lazzari. The only rational interpretation of section 71 is that the Town, as employer, is entitled to that certification. It is the Town that does the reinstating, and it is the Town that will bear the liability should such reinstatement prove erroneous and result in injury to either Mr. Lazzari or others. As such, because DHR never provided such certification, it never fulfilled its duty under section 71 and, therefore, there was no reason for the Town to

either reinstate Mr. Lazzari or commence an article 78 proceeding to obtain that certification. To that extent, I also disagree with the majority's conclusion that the Town "ignore[d] the County's directive" by not reinstating Mr. Lazzari (majority op at 223); DHR never sent the Town the certification, had no authority to issue a "directive" to the Town and therefore the Town had no obligation to reinstate him.

Although the majority correctly points out that section 71's purpose "is to involve a neutral agency and a physician, independent of both the employee and the employer, with appropriate oversight" (majority op at 222), that hardly justifies keeping the results of the examination secret from—and placing the onus of actually obtaining the certification on—the Town, whose interest in ensuring that its employees are fit for duty is just as great as an employee's interest in returning to his position.

It is well settled that section 71 "strike[s] a balance between the recognized substantial State interest in an efficient civil service and the interest in the civil servant in continued employment in the event of a disability" (*Matter of Allen v Howe*, 84 NY2d 665, 672 [1994] [citations omitted]). But the majority's interpretation of section 71 places the employee's interest in continued employment before that of the State's substantial interest in an efficient civil service by ordering the employee's reinstatement without the submission of any proof of the employee's fitness to serve. The only reasonable interpretation of the statute, and the only rational approach consistent with the policy approach delineated in *Allen*, is that the civil service department (or the appropriate civil service commission) select the medical officer to examine the employee, and, should that medical officer certify that the employee is fit to perform his or her duties, the municipal employer must reinstate that employee upon receipt of that certification. Under the majority's holding, the Town must commence an article 78 proceeding without knowing DHR's basis for reinstatement. On its face, then, a blanket demand by the DHR that the Town reinstate Mr. Lazzari without any basis for doing so is the textbook definition of arbitrary and capricious.

Finally, the majority posits that, in addition to bringing an article 78 proceeding, the Town could have filed a FOIL request seeking a copy of the medical officer's report (majority op at 223). In another trip down the rabbit hole, the County does not suggest that it would have *any* ground for rejecting a FOIL request by the Town (majority op at 224). By applying for a

medical examination and seeking reinstatement, however, Mr. Lazzari has placed his physical condition in issue (*see e.g. Dillenbeck v Hess*, 73 NY2d 278, 287-288 [1989]), and, in my view, the Town was entitled to a copy of the medical officer's report and, and the very least, a certification, without having to commence a proceeding. Mr. Lazzari had no incentive to provide the Town with the medical officer's report or demand that the DHR provide the Town with the certification, as evidenced by the fact that he is now being handsomely rewarded with several years' back pay simply because neither party in control of the medical information thought it important that the Town be provided any basis for reinstatement other than a letter from a nonmedical bureaucratic agency stating, in sum and substance, that Mr. Lazzari must be reinstated because some unknown medical officer who may or may not have examined Mr. Lazzari concluded that he was fit to return to work. This, to me, is not compliance with section 71.

Judges CIPARICK, GRAFFEO, READ and SMITH concur with Chief Judge LIPPMAN; Judge PIGOTT dissents in a separate opinion.

Order affirmed, with costs.

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[982 NE2d 576, 958 NYS2d 656]

STEVE PAPPAS et al., Respondents, v STEVE TZOLIS, Appellant, et al., Defendant.

Argued October 11, 2012; decided November 27, 2012

### SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered September 15, 2011. The Appellate Division order, insofar as appealed from, modified, on the law, so much of an order of the Supreme Court, New York County (Ira Gammerman, J.H.O.), as had granted defendant Steve Tzolis's motion to dismiss the first, second, third, fourth, fifth, ninth, tenth, and eleventh causes of action pursuant to CPLR 3211 (a) (1) and (7). The modification consisted of denying the motion as to the first, fourth, fifth, and tenth causes of action. The following question was certified by the Appellate Division: "Was the order of this Court, which modified in part and otherwise affirmed the order of the Supreme Court, properly made?"

*Pappas v Tzolis*, 87 AD3d 889, reversed.

### HEADNOTES

#### **Release — Scope of Release — Breach of Fiduciary Duty Claim Barred by Release**

1. Plaintiffs' breach of fiduciary duty cause of action arising from defendant's purchase of plaintiffs' membership interests in the limited liability company (LLC) the parties had formed for the purpose of entering into a long-term lease on a building and defendant's subsequent assignment of that lease to a development company for a substantial profit was barred by the release contained in the Certificate executed by the parties at closing. Plaintiffs alleged that defendant had surreptitiously negotiated the sale with the development company before he bought plaintiffs' interests in the LLC, and breached his fiduciary duty to plaintiffs by failing to disclose the negotiations. A principal is able to release its fiduciary from claims where the principal and fiduciary are sophisticated entities and their relationship is not one of trust, so long as the principal understands that the fiduciary is acting in its own interest and the release is knowingly entered into. Plaintiffs were sophisticated businessmen represented by counsel. Moreover, plaintiffs' own allegations made it clear that at the time of the buyout, the relationship between the parties was not one of trust, and reliance on defendant's representations as a fiduciary would not have been reasonable.

#### **Release — Scope of Release — Fraud and Misrepresentation Claim Barred by Release**

2. Plaintiffs' fraud and misrepresentation cause of action arising from defendant's purchase of plaintiffs' membership interests in the limited liability company (LLC) the parties had formed for the purpose of entering into



a long-term lease on a building and defendant's subsequent assignment of that lease to a development company for a substantial profit was barred by the release contained in the Certificate executed by the parties at closing. Plaintiffs alleged that defendant had surreptitiously negotiated the sale with the development company before he bought plaintiffs' interests in the LLC, and had represented to plaintiffs that he was aware of no reasonable prospects of selling the lease for an amount in excess of \$2,500,000 before ultimately assigning it to the development company for \$17,500,000. However, in the Certificate, plaintiffs announced and stipulated that they were not relying on any representations as to the very matter as to which they claimed they were defrauded. Moreover, while a party that releases a fraud claim may later challenge that release as fraudulently induced if it alleges a fraud separate from any contemplated by the release, plaintiffs did not allege that the release was itself induced by any action separate from the alleged fraud consisting of defendant's failure to disclose his negotiations to sell the lease.

#### **Torts — Conversion**

3. In an action arising from defendant's purchase of plaintiffs' membership interests in the limited liability company (LLC) the parties had formed for the purpose of entering into a long-term lease on a building and defendant's subsequent assignment of that lease to a development company for a substantial profit, plaintiffs failed to state a cause of action for conversion. Plaintiffs' conversion claim was that defendant appropriated to himself, without authority, plaintiffs' membership interests in the LLC. Two key elements of conversion are the plaintiff's possessory right or interest in the property and the defendant's dominion over the property or interference with it, in derogation of plaintiff's rights. Since defendant had purchased plaintiffs' interests in the LLC, there could be no interference with their property rights.

#### **Equity — Unjust Enrichment**

4. In an action arising from defendant's purchase of plaintiffs' membership interests in the limited liability company (LLC) the parties had formed for the purpose of entering into a long-term lease on a building and defendant's subsequent assignment of that lease to a development company for a substantial profit, plaintiffs failed to state a cause of action for unjust enrichment. A party may not recover for unjust enrichment where the parties have entered into a contract that governs the subject matter, and here the sale of interests in the LLC was controlled by contracts.

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### **RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Conversion §§ 23, 101; AM JUR 2d, Fraud and Deceit § 321; AM JUR 2d, Release §§ 8–10, 23, 28, 29, 40, 41; AM JUR 2d, Restitution and Implied Contracts §§ 2, 3, 11, 160.

NY JUR 2d, Compromise, Accord, and Release §§ 93, 95, 96, 98, 103, 107, 113; NY JUR 2d, Contracts §§ 523, 528, 565; NY JUR 2d, Conversion and Action for Recovery of Chattel §§ 14, 15, 55; NY JUR 2d, Fraud and Deceit §§ 193, 201, 227.

PROSSER AND KEETON, TORTS (5th ed) §§ 15, 105, 107, 108.

WILLISTON ON CONTRACTS (4th ed) §§ 19:28, 68:5, 68:9.

#### ANNOTATION REFERENCE

See ALR Index under Discharge or Release; Fiduciaries and Personal Representatives; Fraud and Deceit; Unjust Enrichment.

#### FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: breach! /4 fiduciary /2 duty /s release & trust /s reliance

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#### POINTS OF COUNSEL

*Pillsbury Winthrop Shaw Pittman LLP*, New York City (*E. Leo Milonas, Frederick A. Brodie and Peter Ostrovski* of counsel), and *Ellenoff Grossman & Schole LLP*, New York City (*Eric S. Weinstein and Yong Hak Kim* of counsel), for appellant. The Appellate Division erred in holding that, in a buyout of two LLC members' interests by the third member, the sellers could sue for breach of fiduciary duty, conversion, fraud and unjust enrichment after the sellers certified that the buyer had "no fiduciary duty" to them and they were "not relying on any representation" by the buyer. (*Centro Empresarial Cempresa S.A. v América Móvil, S.A.B. de C.V.*, 17 NY3d 269; *Arfa v Zamir*, 17 NY3d 737; *Seippel v Jenkins & Gilchrist, P.C.*, 341 F Supp 2d 363; *Asian Vegetable Research & Dev. Ctr. v Institute of Intl. Educ.*, 944 F Supp 1169; *Blue Chip Emerald v Allied Partners*, 299 AD2d 278; *Palmetto Partners, L.P. v AJW Qualified Partners, LLC*, 83 AD3d 804; *Everett v Phillips*, 288 NY 227; *Dobroski v Bank of Am., N.A.*, 65 AD3d 882; *Northeast Gen. Corp. v Wellington Adv.*, 82 NY2d 158; *JFK Family Ltd. Partnership v Millbrae Natural Gas Dev. Fund 2005, L.P.*, 89 AD3d 684.)

*Carl E. Person*, New York City, for respondents. The First Department was correct in holding that in a buyout of two LLC members' interests by the third member, the sellers could sue for breach of fiduciary duty, conversion, fraud and unjust enrichment after the sellers certified in closing documents that the buyer had "no fiduciary duty" to them and they were "not relying on any representation" by the buyer. (*Centro Empresarial Cempresa S.A. v América Móvil, S.A.B. de C.V.*, 76 AD3d 310, 17 NY3d 269; *Blue Chip Emerald v Allied Partners*, 299 AD2d 278; *Everett v Phillips*, 288 NY 227.)

**OPINION OF THE COURT**

PIGOTT, J.

Plaintiffs Steve Pappas and Constantine Ifantopoulos along with defendant Steve Tzolis formed and managed a limited liability company (LLC), for the purpose of entering into a long-term lease on a building in Lower Manhattan. Pappas and Tzolis each contributed \$50,000 and Ifantopoulos \$25,000, in exchange for proportionate shares in the company. Pursuant to a January 2006 Operating Agreement, Tzolis agreed to post and maintain in effect a security deposit of \$1,192,500, and was permitted to sublet the property. The Agreement further provided that any of the three members of the LLC could “engage in business ventures and investments of any nature whatsoever, whether or not in competition with the LLC, without obligation of any kind to the LLC or to the other Members.”

Numerous business disputes among the parties ensued. In June 2006, Tzolis took sole possession of the property, which was subleased by the LLC to a company he owned, for approximately \$20,000 per month in addition to rent payable by the LLC under the lease. According to plaintiffs, they “reluctantly agreed to do this, because they were looking to lease the building and Tzolis was obstructing this from happening.” Pappas, who wanted to sublease the building to others, alleges that Tzolis “not only blocked [his] efforts, he also did not cooperate in listing the Property for sale or lease with any New York real estate brokers.” Moreover, Pappas claims that Tzolis “had not made, and was not diligently preparing to make, the improvements . . . required to be made under the Lease. Tzolis was also refusing to cooperate in [Pappas’s] efforts to develop the Property.” Further, Tzolis’s company did not pay the rent due.

On January 18, 2007, Tzolis bought plaintiffs’ membership interests in the LLC for \$1,000,000 and \$500,000, respectively. At closing, in addition to an Agreement of Assignment and Assumption, the parties executed a Certificate in which plaintiffs represented that, as sellers, they had “performed their own due diligence in connection with [the] assignments . . . engaged [their] own legal counsel, and [were] not relying on any representation by Steve Tzolis[,] or any of his agents or representatives, except as set forth in the assignments & other documents delivered to the undersigned Sellers today,” and that “Steve Tzolis has no fiduciary duty to the undersigned Sellers in connection with [the] assignments.” Tzolis made reciprocal representations as the buyer.

In August 2007, the LLC, now owned entirely by Tzolis, assigned the lease to a subsidiary of Extell Development Company for \$17,500,000. In 2009, plaintiffs came to believe that Tzolis had surreptitiously negotiated the sale with the development company before he bought their interests in the LLC.

Plaintiffs commenced this action against Tzolis in April 2009, claiming that, by failing to disclose the negotiations with Extell, Tzolis breached his fiduciary duty to them. They alleged, in all, 11 causes of action.

Tzolis moved to dismiss plaintiffs' complaint. Supreme Court dismissed the complaint in its entirety, citing the Operating Agreement and Certificate. A divided Appellate Division modified Supreme Court's order, allowing four of plaintiffs' claims to proceed—breach of fiduciary duty, conversion, unjust enrichment, and fraud and misrepresentation—while upholding the dismissal of the rest of the complaint (87 AD3d 889 [1st Dept 2011]). The dissenting Justices would have dismissed all the causes of action, relying on our recent decision in *Centro Empresarial Cempresa S.A. v América Móvil, S.A.B. de C.V.* (17 NY3d 269 [2011]).

The Appellate Division granted Tzolis leave to appeal, certifying the question whether its order was properly made (2012 NY Slip Op 61541[U] [2012]). We now answer the certified question in the negative, and reverse.

In their first cause of action, plaintiffs claim that Tzolis was a fiduciary with respect to them and breached his duty of disclosure. Tzolis counters that plaintiffs' claim fails to state a cause of action because, by executing the Certificate, they expressly released him from all claims based on fiduciary duty.

In *Centro Empresarial Cempresa S.A. v América Móvil, S.A.B. de C.V.*, we held that “[a] sophisticated principal is able to release its fiduciary from claims—at least where . . . the fiduciary relationship is no longer one of unquestioning trust—so long as the principal understands that the fiduciary is acting in its own interest and the release is knowingly entered into” (*Centro Empresarial Cempresa S.A.*, 17 NY3d at 278). Where a principal and fiduciary are sophisticated entities and their relationship is not one of trust, the principal cannot reasonably rely on the fiduciary without making additional inquiry. For instance, in *Centro Empresarial Cempresa S.A.*, plaintiffs—seasoned and counseled parties negotiating the termination of their relationship—knew that defendants had not supplied them with the

financial information to which they were entitled, triggering “a heightened degree of diligence” (*id.* at 279). In this context, “the principal cannot blindly trust the fiduciary’s assertions” (*id.*). The test, in essence, is whether, given the nature of the parties’ relationship at the time of the release, the principal is aware of information about the fiduciary that would make reliance on the fiduciary unreasonable.

[1] Here, plaintiffs were sophisticated businessmen represented by counsel. Moreover, plaintiffs’ own allegations make it clear that at the time of the buyout, the relationship between the parties was not one of trust, and reliance on Tzolis’s representations as a fiduciary would not have been reasonable. According to plaintiffs, there had been numerous business disputes, between Tzolis and them, concerning the sublease. Both the complaint and Pappas’s affidavit opposing the motion to dismiss portray Tzolis as uncooperative and intransigent in the face of plaintiffs’ preferences concerning the sublease. The relationship between plaintiffs and Tzolis had become antagonistic, to the extent that plaintiffs could no longer reasonably regard Tzolis as trustworthy. Therefore, crediting plaintiffs’ allegations, the release contained in the Certificate is valid, and plaintiffs cannot prevail on their cause of action alleging breach of fiduciary duty.

Practically speaking, it is clear that plaintiffs were in a position to make a reasoned judgment about whether to agree to the sale of their interests to Tzolis. The need to use care to reach an independent assessment of the value of the lease should have been obvious to plaintiffs, given that Tzolis offered to buy their interests for 20 times what they had paid for them just a year earlier.

[2] Plaintiffs’ cause of action alleging fraud and misrepresentation must be dismissed for similar reasons. Plaintiffs principally allege that Tzolis represented to them that he was aware of no reasonable prospects of selling the lease for an amount in excess of \$2,500,000. However, in the Certificate, plaintiffs “in the plainest language announced and stipulated that [they were] not relying on any representations as to the very matter as to which [they] now claim[ ] [they were] defrauded” (*Danann Realty Corp. v Harris*, 5 NY2d 317, 320 [1959]). Moreover, while it is true that a party that releases a fraud claim may later challenge that release as fraudulently induced if it alleges a fraud separate from any contemplated by the release (see *Centro Empresarial Cempresa S.A.*, 17 NY3d at

276), plaintiffs do not allege that the release was itself induced by any action separate from the alleged fraud consisting of Tzolis's failure to disclose his negotiations to sell the lease.

[3] Plaintiffs' conversion claim is that Tzolis appropriated to himself, without authority, plaintiffs' membership interests in the LLC. "Two key elements of conversion are (1) plaintiff's possessory right or interest in the property and (2) defendant's dominion over the property or interference with it, in derogation of plaintiff's rights" (*Colavito v New York Organ Donor Network, Inc.*, 8 NY3d 43, 50 [2006] [citations omitted]). Here, since Tzolis had purchased plaintiffs' interests in the LLC, there could be no interference with their property rights. Therefore, the conversion claim must be dismissed.

[4] Finally, we reject plaintiffs' claim that Tzolis unjustly enriched himself at their expense. The doctrine of unjust enrichment invokes an "obligation imposed by equity to prevent injustice, *in the absence of an actual agreement between the parties concerned*" (*IDT Corp. v Morgan Stanley Dean Witter & Co.*, 12 NY3d 132, 142 [2009] [emphasis added]). "[A] party may not recover in . . . unjust enrichment where the parties have entered into a contract that governs the subject matter" (*Cox v NAP Constr. Co., Inc.*, 10 NY3d 592, 607 [2008]). Because the sale of interests in the LLC was controlled by contracts—the Operating Agreement, the Agreement of Assignment and Assumption, and the Certificate—the unjust enrichment claim fails as a matter of law.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, plaintiffs' complaint dismissed in its entirety, and the certified question answered in the negative.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ and SMITH concur.

Order, insofar as appealed from, reversed, etc.

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[981 NE2d 784, 958 NYS2d 83]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v JEANNE  
M. VANDOVER, Respondent.

Argued October 17, 2012; decided November 29, 2012

### SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, Ninth and Tenth Judicial Districts, entered April 1, 2011. The Appellate Term affirmed an order of the Justice Court of the Town of Hamptonburgh, Orange County (Richard B. Golden, J.), which had granted defendant's motion to suppress evidence and, upon suppression, dismissed the accusatory instruments charging defendant with driving while intoxicated (two counts), operating a vehicle with a backseat passenger under 16 years of age who was unrestrained by a seatbelt, and endangering the welfare of a child.

*People v Vandover*, 31 Misc 3d 131(A), 2011 NY Slip Op 50592(U), affirmed.

### HEADNOTES

#### **Crimes — Arrest — Probable Cause — Proper Standard**

1. In a prosecution for, among other things, driving while intoxicated, there was support in the record for the determinations of Appellate Term and Justice Court that the facts did not support probable cause to arrest defendant. In determining probable cause, the standard to be applied is that it must appear to be at least more probable than not that a crime has taken place and that the one arrested is its perpetrator. While one police officer testified that defendant had glassy bloodshot eyes, breath that smelled of alcohol and a generally fatigued demeanor, another officer stated that the positive reading of a portable breath analyzer was as consistent with an alcohol content below the statutory level of impairment as with a blood alcohol level above the limit. The officer who had actually administered the field sobriety and portable breathalyzer tests did not testify and Justice Court found that without that officer's testimony there was "insufficient testimony in the record necessary for a finding that the arrest on any of the charges was based upon probable cause." The Appellate Term's statement that "[t]he hearing proof failed to establish that defendant exhibited 'actual impairment, to any extent, [of] the physical and mental abilities which a person is expected to possess in order to operate a vehicle as a reasonable and prudent driver,' " was not a departure from the correct standard of proof for determining probable cause.

#### **Crimes — Appeal — Matters Reviewable**

2. In a criminal prosecution where the Court of Appeals determined that the courts below applied the correct standard in deciding the question of probable cause for arrest, the conclusion by the lower courts that no probable cause

existed to arrest defendant was a mixed question of law and fact for which there was support in the record and was therefore otherwise unreviewable. Although different inferences may have been drawn from the facts, the Court of Appeals was faced with affirmed findings of fact, thereby precluding further review.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 210, 647; AM JUR 2d, Arrest §§ 9, 32-34, 40, 42; AM JUR 2d, Automobiles and Highway Traffic §§ 341, 343, 348, 982, 983, 988, 993.

CARMODY-WAIT 2d, Arrest or Other Detention; Post-Arrest Procedure §§ 177:11, 177:15-177:17, 177:31; CARMODY-WAIT 2d, Pretrial Motions §§ 189:270, 189:274, 189:277, 289:278; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:169, 207:173.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.3, 9.4, 27.5.

NY JUR 2d, Automobiles and Other Vehicles §§ 907, 909, 910, 924, 926; NY JUR 2d, Criminal Law: Procedure §§ 69, 70, 74, 87, 111, 1615, 1617-1620, 3638, 3645.

### ANNOTATION REFERENCE

See ALR Index under Appellate Review; Arrest; Breath Tests; Driving While Intoxicated; Probable Cause.

### FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: probable /2 cause /4 arrest /s breath! /s alcohol intoxic! & officer /s testi!

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### POINTS OF COUNSEL

*Francis D. Phillips, II, District Attorney, Goshen (Robert H. Middlemiss and Andrew R. Kass of counsel), for appellant.* The Appellate Term misapplied the standard for determining probable cause and erroneously affirmed the trial court's determination. (*People v Cruz*, 48 NY2d 419; *People v Bigelow*, 66 NY2d 417; *People v McRay*, 51 NY2d 594; *People v Maldonado*, 86 NY2d 631; *People v De Bour*, 40 NY2d 210; *People v Jacob*, 81 AD3d 977; *People v Terry*, 2 AD3d 977; *People v Carrasquillo*, 54 NY2d 248; *People v Shulman*, 6 NY3d 1.)

*Goldberg Segalla LLP, Albany (Matthew S. Lerner and Marianne Arcieri of counsel), amicus curiae.* I. This matter is beyond this Court's scope of review. (*People v Williams*, 17 NY3d 834;

*People v Edwards*, 69 NY2d 814; *People v Oden*, 36 NY2d 382; *People v Harrison*, 57 NY2d 470; *People v McRay*, 51 NY2d 594; *People v Wharton*, 46 NY2d 924; *People v Koch*, 135 Misc 2d 352; *People v Fox*, 256 App Div 578.) II. The purported indicia of impairment in this case were in reality merely indicia of alcohol consumption. (*People v Cass*, 18 NY3d 553; *People v Harrison*, 57 NY2d 470; *People v Cruz*, 48 NY2d 419; *People v Farmer*, 36 NY2d 386; *People v Miller*, 199 AD2d 692.) III. The initial stop of Jeanne Vandover's vehicle was improper. (*People v Spencer*, 84 NY2d 749; *People v Ocasio*, 85 NY2d 982; *People v May*, 81 NY2d 725; *People v Sobotker*, 43 NY2d 559; *People v De Bour*, 40 NY2d 210; *People v Hollman*, 79 NY2d 181.) IV. The courts below properly concluded that Jeanne Vandover's arrest was not supported by probable cause. (*People v Carrasquillo*, 54 NY2d 248; *People v De Bour*, 40 NY2d 210; *People v Havelka*, 45 NY2d 636; *People v Bryant*, 37 NY2d 208; *People v McCarthy*, 14 NY2d 206; *People v O'Neill*, 11 NY2d 148; *People v Loria*, 10 NY2d 368; *People v Cruz*, 48 NY2d 419; *People v Gibeau*, 55 AD3d 1303, 12 NY3d 758; *People v Spencer*, 289 AD2d 877.) V. The Appellate Term appropriately ruled that the People are precluded from further prosecuting the charges against Jeanne Vandover. (*People v Kates*, 53 NY2d 591.)

#### OPINION OF THE COURT

CIPARICK, J.

[1] In determining probable cause, the standard to be applied is that it must “appear to be at least more probable than not that a crime has taken place and that the one arrested is its perpetrator, for conduct equally compatible with guilt or innocence will not suffice” (*People v Carrasquillo*, 54 NY2d 248, 254 [1981]). Applying this standard, there is support in the record for the Appellate Term's determination that the facts did not support probable cause to arrest defendant. That determination, based on a mixed question of law and fact, is beyond our further review.

On October 1, 2008, defendant appeared in Justice Court on an unrelated traffic ticket. While at the courthouse, defendant spoke with an Officer James who noticed that she had glassy, bloodshot eyes, an odor of alcohol on her breath and seemed lethargic. Concerned that defendant may well be intoxicated and intending to drive a vehicle, Officer James informed Officer Barry of his observations. Both officers proceeded to follow defendant to the parking lot where they observed her getting into her automobile and moving in reverse for approximately two

feet as she exited the parking spot. Officer Barry stopped defendant. Upon her exiting the vehicle, Officer Barry administered a field sobriety test. Officer James had gone to the nearby police headquarters to retrieve a portable breath analyzer and did not observe the full field sobriety test given by Officer Barry. When Officer James returned with the equipment, he noticed, for the first time a young child in the back seat of the car without a seatbelt. Officer Barry also performed the portable breath test on defendant, which recorded a positive result. Defendant made statements, prior to her arrest, to the effect that she “had gotten off work at 8:00 [a.m.]” and “ha[d] a couple of drinks,” but those were consumed several hours prior and that she was not currently under the influence of alcohol. Defendant was arrested and charged with two counts of driving while intoxicated in violation of Vehicle and Traffic Law § 1192 (2) and (3), operating a vehicle with a backseat passenger, under 16 years of age without a seatbelt, in violation of Vehicle and Traffic Law § 1229-c (1) (b) and endangering the welfare of a child (Penal Law § 260.10 [1]).

Defendant moved to suppress her statements and other evidence obtained and a probable cause hearing was held at which Officer James and a Sergeant Metzger, who had come upon the scene, testified. Officer Barry, who administered the field sobriety test and the portable breathalyzer test, however, did not testify. Justice Court found the officers’ testimony to be credible but that Sergeant Metzger’s testimony was generally cumulative of Officer James’ testimony. However, Sergeant Metzger did testify that the positive reading of the portable breath analyzer, in this instance, was as consistent with an alcohol content below the statutory level of impairment as with a blood alcohol level above the limit. Justice Court noted Officer Barry’s absence and stated that “without [his] testimony there is insufficient testimony in the record necessary for a finding that the arrest on any of the charges was based upon probable cause” (*People v Vandover*, Hamptonburgh Just Ct, Orange County, Aug. 29, 2009, Golden, J.). Justice Court, citing the testimony of Officer James, that defendant had glassy bloodshot eyes, breath that smelled of alcohol and a generally fatigued demeanor, found that this was insufficient to establish probable cause to arrest defendant and accordingly dismissed the charges. The Appellate Term affirmed the dismissal (*People v Vandover*, 31 Misc 3d 131[A], 2011 NY Slip Op 50592[U] [App Term, 2d Dept, 9th & 10th Jud Dists 2011]). A Judge of this Court

granted leave to appeal (17 NY3d 802 [2011]) and we now affirm.

Insofar as the People argue that the Appellate Term applied an incorrect standard of proof for determining probable cause, i.e. proof beyond a reasonable doubt as opposed to the lesser standard of more probable than not, that argument must fail. While the Appellate Term did state that “[t]he hearing proof failed to establish that defendant exhibited ‘actual impairment[, to any extent, [of] the physical and mental abilities which [a person] is expected to possess in order to operate a vehicle as a reasonable and prudent driver’ ” (2011 NY Slip Op 50592[U], \*2, quoting *People v Cruz*, 48 NY2d 419, 427 [1979]), we do not read the Appellate Term as departing from the correct standard. The standard to be followed is that it is more probable than not that defendant is actually impaired. Both Justice Court, citing *Carrasquillo*, and the Appellate Term, citing *Cruz*, applied the correct standard in reaching their conclusions.

[2] Having determined that the courts below applied the correct standard in deciding the question of probable cause for arrest, we come next to the question of reviewability of the lower court findings. The conclusion that no probable cause existed to arrest defendant is a mixed question of law and fact for which there is support in the record (*see People v Omowale*, 18 NY3d 825, 827 [2011]; *People v Gomcin*, 8 NY3d 899, 901 [2007]) and is therefore otherwise unreviewable (*see People v Williams*, 17 NY3d 834, 835 [2011]). Although different inferences may have been drawn from these facts, we are faced with affirmed findings of fact precluding further review by this Court (*see Gomcin*, 8 NY3d at 901).

Accordingly, the order of the Appellate Term should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and FIGOTT concur.

Order affirmed.

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[982 NE2d 580, 958 NYS2d 660]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant-Respondent,  
v EDGAR MORALES, Respondent-Appellant.

Argued October 9, 2012; decided December 11, 2012

**SUMMARY**

CROSS APPEALS, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 31, 2011. The Appellate Division modified, on the law, a judgment of the Supreme Court, Bronx County (Michael A. Gross, J.), which had convicted defendant, after a jury trial, of manslaughter in the first degree as a crime of terrorism, attempted murder in the second degree as a crime of terrorism, criminal possession of a weapon in the second degree as a crime of terrorism, and conspiracy in the second degree. The modification consisted of reducing the conviction for manslaughter in the first degree as a crime of terrorism to manslaughter in the first degree, reducing the conviction for attempted murder in the second degree as a crime of terrorism to attempted murder in the second degree, reducing the conviction for criminal possession of a weapon in the second degree as a crime of terrorism to criminal possession of a weapon in the second degree, and reducing the conviction for conspiracy in the second degree to conspiracy in the fourth degree. The Appellate Division affirmed the judgment as modified and remitted the case to Supreme Court to resentence defendant on the reduced counts.

*People v Morales*, 86 AD3d 147, affirmed in part, reversed in part.

**HEADNOTES****Crimes — Terrorism — Intent to Intimidate or Coerce Civilian Population**

1. In the prosecution of defendant gang member for crimes of terrorism predicated upon his alleged commission of manslaughter in the first degree and other crimes during a gang-related fight in which a rival gang member and a young girl were shot, the acts perpetrated by defendant did not demonstrate an “intent to intimidate or coerce a civilian population” within the meaning of Penal Law § 490.25 (1) on the theory that there was an objective to intimidate or coerce the entire Mexican-American community. Even assuming that all of the Mexican-Americans in the area of the Bronx where the gang operated could be considered a “civilian population,” the evidence at trial failed to demonstrate that defendant and his fellow gang members committed the criminal acts with the conscious objective of intimidating everyone in that



population. Instead, the evidence demonstrated that the gang members arranged the attack because of a man's assumed membership in a rival gang and his refusal to comply with the gang's demand that he leave a party.

**Crimes — Terrorism — Intent to Intimidate or Coerce Civilian Population**

2. In the prosecution of defendant gang member for crimes of terrorism predicated upon his alleged commission of manslaughter in the first degree and other crimes during a gang-related fight in which a rival gang member and a young girl were shot, the acts perpetrated by defendant were not acts of terrorism within the meaning of Penal Law article 490 and therefore the evidence was insufficient to establish defendant's guilt beyond a reasonable doubt. While the jury could have concluded that one of defendant's goals in committing the crimes was to intimidate or coerce another gang, the legislative findings in Penal Law article 490 clearly demonstrate that the legislature was not extending the reach of the terrorism statute to cover gang-on-gang street crimes. Penal Law § 490.00 cites seven notorious acts of terrorism, including the September 11, 2001 attacks, that serve as guideposts for determining whether a future incident constitutes a terroristic act. In addition, the definitional provisions of article 490 were drawn from federal antiterrorism statutes designed to criminalize acts such as detonation of bombs in cities or deliberate assassinations of persons to strike fear and deter individuals from exercising their rights. The concept of terrorism has a unique meaning and its implications risk being trivialized if the terminology is applied loosely in situations that do not match the collective understanding of what constitutes a terrorist act.

**Crimes — Trial — Effect of Error as to Certain Counts on Other Jointly Tried Counts**

3. In a prosecution where defendant's convictions for crimes of terrorism predicated on first-degree manslaughter, attempted second-degree murder and second-degree weapon possession and for second-degree conspiracy for agreeing to commit first-degree gang assault as a crime of terrorism were based on insufficient evidence, defendant was entitled to a new trial on the underlying offenses specified in the terrorism counts. An error in the proceedings relating to one count requires reversal of convictions on other jointly tried counts if there is a reasonable possibility that the jury's decision to convict on the tainted counts influenced its guilty verdict on the remaining counts in a meaningful way. By proceeding on the terrorism theory, the People were able to introduce evidence about numerous alleged criminal acts committed by members of defendant's gang over the course of three years, which evidence would have otherwise been largely inadmissible. Thus, there was a reasonable possibility that the jury's findings were prejudicially influenced.

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review § 800; AM JUR 2d, Evidence § 1387; AM JUR 2d, Terrorism §§ 1, 15.

CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:171, 207:172.

McKINNEY'S, Penal Law art 490; §§ 490.00, 490.25 (1).

NY JUR 2d, Criminal Law: Proceeding §§ 3650, 3651; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1951, 1954.

**ANNOTATION REFERENCE**

See ALR Index under Appeal and Error; Gangs; New Trial; Terrorism.

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**POINTS OF COUNSEL**

*Robert T. Johnson, District Attorney, Bronx (Peter D. Codington, Justin J. Braun and Lindsey J. Ramistella of counsel), for appellant.* I. Violent crime committed by a street gang constitutes a crime of terrorism (Penal Law § 490.25) when it is motivated solely by the intent to establish the gang's "street credentials" as the toughest Mexican gang in the Bronx because those crimes are intended to intimidate or coerce a civilian population, to wit, the Mexican-American population of the Bronx and the members of other Mexican gangs. (*People v Concepcion*, 17 NY3d 192; *People v Levy*, 15 NY3d 510; *People v Rabb*, 16 NY3d 145; *Linde v Arab Bank, PLC*, 384 F Supp 2d 571; *Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428; *Tompkins v Hunter*, 149 NY 117; *People v Zimmerman*, 9 NY3d 421; *Matter of Taub v Altman*, 3 NY3d 30; *People v Jenner*, 39 AD3d 1083; *People v Rodriguez*, 17 NY3d 486.)

*Debevoise & Plimpton LLP, New York City (Catherine M. Amirfar, Daniel M. Abuhoff, Jeremy N. Klatell and Sonia R. Farber of counsel), for respondent.* I. The First Department correctly determined that the People had not adduced any evidence demonstrating that Edgar Morales had the intent required under the Anti-Terrorism Act. II. The terrorism convictions warrant reversal because, as a matter of law, Mexican-Americans in the St. James Park area do not constitute a "civilian population" within the meaning of the Anti-Terrorism Act. (*Holloway v United States*, 526 US 1; *United States v Santos*, 553 US 507; *People v Green*, 68 NY2d 151; *People v Rabb*, 16 NY3d 145; *People v Levy*, 15 NY3d 510; *People v McGrath*, 46 NY2d 12; *Sokolow v Palestine Liberation Org.*, 583 F Supp 2d 451; *Wultz v Islamic Republic of Iran*, 755 F Supp 2d 1; *Linde v Arab Bank, PLC*, 384 F Supp 2d 571.) III. Rival gang members do not constitute a "civilian population" within the meaning of the Anti-Terrorism Act. IV. If the Anti-Terrorism Act were construed as the People advocate, the statute would be void for vagueness. (*Kolender v Lawson*, 461 US 352; *People v Bright*, 71 NY2d 376;

*Smith v Goguen*, 415 US 566; *Papachristou v Jacksonville*, 405 US 156; *Grayned v City of Rockford*, 408 US 104.) V. The trial court's failure to dismiss the terrorism counts, in error, subverted defendant's opportunity to receive a fair trial. (*People v Baghai-Kermani*, 84 NY2d 525; *People v Doshi*, 93 NY2d 499; *People v Mahboubian*, 74 NY2d 174; *People v Berkowitz*, 50 NY2d 333; *People v Medina*, 18 NY3d 98; *Geraci v Probst*, 15 NY3d 336; *United States v Hamilton*, 334 F3d 170; *United States v Al-Moayad*, 545 F3d 139; *United States v Guiliano*, 644 F2d 85; *United States v Rooney*, 37 F3d 847.) VI. The evidence at trial was legally insufficient to support defendant's convictions. (*People v Mateo*, 2 NY3d 383; *People v Berger*, 52 NY2d 214; *People v Ohlstein*, 54 AD2d 109, 44 NY2d 896; *People v Reome*, 15 NY3d 188; *People v Moses*, 63 NY2d 299; *People v Gomez*, 39 AD3d 668; *People v Johnson*, 1 AD3d 891; *People v Jackson*, 65 NY2d 265; *People v Cabey*, 85 NY2d 417; *People v Kress*, 284 NY 452.) VII. Defendant's defense was unconstitutionally impaired by the failure of his attorney to render effective assistance at trial. (*Strickland v Washington*, 466 US 668; *People v Stultz*, 2 NY3d 277; *People v Brown*, 45 NY2d 852; *People v Gil*, 285 AD2d 7; *People v Droz*, 39 NY2d 457; *People v Wagner*, 104 AD2d 457; *Eze v Senkowski*, 321 F3d 110; *Tippins v Walker*, 77 F3d 682; *People v Chapman*, 54 AD3d 507.) VIII. Admission of gang "expert" hearsay testimony violated defendant's Sixth Amendment rights. (*Crawford v Washington*, 541 US 36; *United States v Mejia*, 545 F3d 179; *United States v Dukagjini*, 326 F3d 45; *United States v Johnson*, 587 F3d 625; *People v Hardy*, 4 NY3d 192; *Brookhart v Janis*, 384 US 1.) IX. Defendant's rights under *Payton v New York* (445 US 573 [1980]) and *Miranda v Arizona* (384 US 436 [1966]) were violated. (*People v Harris*, 77 NY2d 434; *Kaupp v Texas*, 538 US 626; *Taylor v Alabama*, 457 US 687; *People v Turriago*, 219 AD2d 383; *People ex rel. Jones v New York State Bd. of Parole*, 76 AD2d 782; *People v McIntyre*, 138 AD2d 634; *People v Pabon*, 120 AD2d 685; *People v Paulman*, 5 NY3d 122.)

*Simpson Thacher & Bartlett LLP*, New York City (*Nicholas Goldin* and *David B. Edwards* of counsel), for Center on the Administration of Criminal Law, amicus curiae. I. Terrorism is distinct from traditional gang-related crime. II. Conflating terrorism with traditional gang-related crime endangers both counter-terrorism and gang prevention efforts. III. The People need not misapply New York's anti-terrorism statute because ample statutes already exist to adequately punish gang-related crimes. (*Matter of Robinson v Snyder*, 259 AD2d 280; *People v*

*Faccio*, 33 AD3d 1041; *People v Besser*, 96 NY2d 136; *People v Sanchez*, 13 NY3d 554; *People v A.S. Goldmen, Inc.*, 9 AD3d 283; *People v Arroyo*, 93 NY2d 990.)

#### OPINION OF THE COURT

GRAFFEO, J.

Shortly after the horrendous attacks on September 11, 2001, the New York Legislature convened in special session to address the ramifications of these terrorist actions. Confronted with the tragic events of that infamous day, the legislature recognized that “terrorism is a serious and deadly problem that disrupts public order and threatens individual safety both at home and around the world” (L 2001, ch 300, § 4). It decided that New York laws needed to be “strengthened” with comprehensive legislation ensuring “that terrorists . . . are prosecuted and punished in state courts with appropriate severity” (*id.*).

The result was Penal Law article 490 and, among its provisions, was the new “crime of terrorism” (Penal Law § 490.25). It occurs when a person “commits a specified offense” with the “intent to intimidate or coerce a civilian population, influence the policy of a unit of government by intimidation or coercion, or affect the conduct of a unit of government by murder, assassination or kidnapping” (Penal Law § 490.25 [1]). Specified offenses include many class A and violent felonies, as well as attempts to commit those crimes (*see* Penal Law § 490.05 [3] [a], [b]). Article 490 does not, however, contain a statutory definition of “intent to intimidate or coerce a civilian population” (Penal Law § 490.25 [1]). This appeal requires us to consider whether this phrase encompasses the acts perpetrated by defendant.

#### I

Defendant Edgar Morales was a member of a street gang known as the “St. James Boys” or “SJB”—apparently named for the vicinity of the Bronx where the SJB operated (running from Webster Avenue to University Avenue and from 204th Street to 170th Street). The SJB was originally formed to protect its members from other gangs and its primary objective was to be the most feared Mexican gang in the Bronx. The SJB allegedly targeted and assaulted individuals who belonged to rival confederations, extorted monies from a prostitution business and committed a series of robberies.

On the evening of August 17, 2002, several SJB members, including defendant, went to a christening party in the Bronx.

They saw a man named Miguel who they thought belonged to a gang that was responsible for a friend's death. When Miguel refused to comply with their demand to leave the party, they planned to assault him after the festivities ended. Defendant took possession of a revolver from another SJB member, agreeing to shoot Miguel if it appeared that his cohorts were losing the battle.

Around midnight, a fight broke out between the SJB members and Miguel and his companions. During the melee, an SJB member directed defendant to shoot and he fired five bullets from the handgun. Three shots hit one of the rivals and paralyzed him. A 10-year-old girl was shot in the head and died. After the SJB members fled the scene, defendant handed the gun to a female member who later passed the weapon to another SJB member. Another SJB member threw the five spent shell casings into a sewer.

After the incident, the police obtained a videotape of the christening party and using still photographs from the video, they distributed photos of suspects to the media. Subsequently, several SJB members identified defendant as one of the individuals involved in the shooting. When he was questioned by the police, defendant admitted that he attended the party but denied being the shooter, claiming that he was merely the person who carried the weapon away from the scene. Additional evidence was gathered during the investigation, including four shell casings retrieved from a sewer.

The People subsequently secured a 70-count indictment against the SJB members. Defendant, along with certain accomplices, was charged with crimes of terrorism pursuant to Penal Law § 490.25 predicated on: intentional murder in the second degree; manslaughter in the first degree; attempted murder in the second degree; gang assault in the first degree; and criminal possession of a weapon in the second degree. The underlying offenses were charged separately without the terrorism designations. Defendant and 19 others were also charged with conspiracy in the second degree based on a multitude of overt acts, including various assaults and homicides that occurred from mid-2001 to mid-2004.

During the trial, defendant challenged the sufficiency of the evidence supporting the terrorism charges. The defense argued that the activities of the SJB were “directed at rival gangs, almost exclusively” and there was “no real evidence, certainly

not evidence sufficient to get to the jury on the element of acting with intent to intimidate or coerce a civilian population.” The People maintained that the targeting of other gangs was covered by Penal Law article 490 and, in any event, there was adequate proof that the SJB engaged in acts intended to intimidate or coerce all Mexican-Americans in the pertinent geographical area.

Supreme Court denied the motion, concluding that the People had established a *prima facie* case of terrorism based on the five designated underlying offenses. The jury convicted defendant of three crimes of terrorism under Penal Law § 490.25 premised on first-degree manslaughter, attempted second-degree murder and second-degree weapon possession, as well as second-degree conspiracy for agreeing to commit first-degree gang assault as a crime of terrorism. Defendant was sentenced to an aggregate prison term of 40 years to life.

The Appellate Division, First Department, held that there was insufficient evidence to prove an intent to intimidate or coerce a civilian population because the People established that defendant only engaged in gang-related street crimes, not terrorist acts (86 AD3d 147 [2011]). As a result, the Appellate Division modified by reducing the terrorism convictions to the three primary offenses and the conspiracy conviction was reduced from second degree to fourth degree. Defendant’s other challenges—including his claim that the People’s theory of terrorism unduly prejudiced the entire trial—were rejected as unpreserved or meritless.

A Judge of this Court granted leave to defendant and the People (17 NY3d 904 [2011]).

## II

The People assert that the term “civilian population” as used in Penal Law article 490 embraces all of the Mexican-Americans who resided within the SJB’s designated area, as well as the subset of rival Mexican-American gangs in the same vicinity. The prosecution asks us to reinstate the terrorism convictions, contending that there was sufficient evidence that defendant’s actions after the party furthered the SJB’s objective to intimidate or coerce other Mexican-American gangs in the Bronx and, as a result of those activities, the SJB intended to intimidate and coerce the entire Mexican-American community during the time period charged in the indictment. Defendant argues that neither the population of Mexican-Americans in the St. James



Park neighborhood, nor the smaller category of rival gangs, can constitute a “civilian population” as a matter of law.

We begin by examining the text of article 490, which does not define the phrase “intent to intimidate or coerce a civilian population.” We therefore give this language its “most natural and obvious meaning” (*People v Hedgeman*, 70 NY2d 533, 537 [1987]) based on common sense and reasonableness (*see e.g. People v Ballman*, 15 NY3d 68, 73-74 [2010]; *People v Gallagher*, 69 NY2d 525, 530 [1987]) in the context of the purpose and history of the terrorism statutes (*see e.g. People v Sanchez*, 13 NY3d 554, 565 [2009]). “Civilian population” could be read broadly to encompass a variety of communities depending on how the relevant “area” is defined and who lives within that territory.<sup>1</sup> Conceivably, it could range from the residents of a single apartment building to a neighborhood, city, county, state or even a country.

[1] Like the Appellate Division, we find it unnecessary to precisely define the contours of the phrase “civilian population” for two reasons. First, even assuming that all of the Mexican-Americans in the St. James Park area may be considered a “civilian population,” the evidence at trial failed to demonstrate that defendant and his fellow gang members committed the acts against Miguel and his companions with the conscious objective of intimidating every Mexican-American in the territory identified at trial. Rather, viewing the proof in the light most favorable to the People (*see People v Ramos*, 19 NY3d 133, 136 [2012]), the prosecution demonstrated that defendant and his accomplices arranged the attack because of Miguel’s assumed membership in a rival gang and his refusal to leave the party. We do not believe that this discrete criminal transaction against identified gang enemies was designed to intimidate or coerce the entire Mexican-American community in this Bronx neighborhood.

[2] Second, while there is a valid line of reasoning and permissible inferences from which the jury could have concluded that

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1. *See* American Heritage Dictionary of the English Language 1366 (4th ed 2006) (defining “population” as “[t]he total number of inhabitants constituting a particular race, class, or group in a specified area”); New Oxford American Dictionary 1320 (2d ed 2005) (“a particular section, group or type of people . . . living in an area or country”); Webster’s Third New International Dictionary 1766 (2002) (“a body of persons having some quality or characteristic in common and usu[ally] thought of as occupying a particular area”).

one of defendant's possible goals for attacking Miguel was to intimidate or coerce another gang, there is no indication that the legislature enacted article 490 of the Penal Law with the intention of elevating gang-on-gang street violence to the status of terrorism as that concept is commonly understood. Specifically, the statutory language cannot be interpreted so broadly so as to cover individuals or groups who are not normally viewed as "terrorists" (*see generally Hedgeman*, 70 NY2d at 537) and the legislative findings in section 490.00 clearly demonstrate that the legislature was not extending the reach of the new statute to crimes of this nature. This is apparent in the examples of terrorism cited in the legislative findings: (1) the September 11, 2001 attacks on the World Trade Center and the Pentagon; (2) the bombings of American embassies in Kenya and Tanzania in 1998; (3) the destruction of the Oklahoma City federal office building in 1995; (4) the mid-air bombing of Pan Am Flight number 103 in Lockerbie, Scotland in 1988; (5) the 1997 shooting from atop the Empire State Building; (6) the 1994 murder of Ari Halberstam on the Brooklyn Bridge; and (7) the bombing at the World Trade Center in 1993 (*see* Penal Law § 490.00). The offenses committed by defendant and his associates after the christening party obviously are not comparable to these instances of terroristic acts.

We must also consider the sources that the legislature consulted in drafting the new statutes. The definitional provisions of Penal Law article 490 were "drawn from the federal definition of 'international terrorism'" (William C. Donnino, Practice Commentary, McKinney's Cons Laws of NY, Book 39, Penal Law § 490.10 at 299; *see also* Richard A. Greenberg et al., New York Criminal Law § 39:1 at 1738 [3d ed 6 West's NY Prac Series 2007] [explaining that the legislature was able to act six days after September 11th "because of the model provided by existing federal antiterrorism legislation"]). The federal antiterrorism statutes were designed to criminalize acts such as "the detonation of bombs in a metropolitan area" or "the deliberate assassination of persons to strike fear into others to deter them from exercising their rights"<sup>2</sup>—conduct that is not akin to the serious offenses charged in this case. Similarly, a statute extending federal jurisdiction to certain crimes committed against

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2. These are set forth in the legislative history of the Foreign Intelligence Surveillance Act, as it was originally enacted (50 USC § 1801 *et seq.*) (*see* S Rep 95-701, 95th Cong, 2d Sess at 30, reprinted in 1978 US Code Cong & Admin News at 3999).

Americans abroad with the intent “to coerce, intimidate, or retaliate against . . . a civilian population” (18 USC § 2332 [d]) was not meant to reach “normal street crime”<sup>3</sup> (see e.g. *Linde v Arab Bank, PLC*, 384 F Supp 2d 571, 581 n 7 [ED NY 2005] [“drive-by shootings and other street crime,” and “ordinary violent crimes . . . robberies or personal vendettas,” do not satisfy the intent element of “international terrorism” under 18 USC § 2331 (1)]).

If we were to apply a broad definition to “intent to intimidate or coerce a civilian population,” the People could invoke the specter of “terrorism” every time a Blood assaults a Crip or an organized crime family orchestrates the murder of a rival syndicate’s soldier. But the concept of terrorism has a unique meaning and its implications risk being trivialized if the terminology is applied loosely in situations that do not match our collective understanding of what constitutes a terrorist act. History and experience have shown that it is impossible for us to anticipate every conceivable manner in which evil schemes can threaten our society. Because the legislature was aware of the difficulty in defining or categorizing specific acts of terrorism, it incorporated a general definition of the crime (see generally *People v Garson*, 6 NY3d 604, 612 [2006]; *People v Lang*, 36 NY2d 366, 371 [1975]) and referenced seven notorious acts of terrorism that serve as guideposts for determining whether a future incident qualifies for this nefarious designation (see generally *People v Assi*, 14 NY3d 335, 341 [2010]).

Considered in that context, and subject to possible exceptions that could arise if a criminal organization engages in terrorist activities, we conclude that the legislature did not intend for the crime of terrorism to cover the illegal acts of a gang member committed for the purpose of coercing or intimidating adversaries. Therefore, the evidence in this case was insufficient to establish defendant’s guilt beyond a reasonable doubt under Penal Law § 490.25. Defendant’s violent, criminal acts as a member of the SJB gang unquestionably resulted in tragic consequences—the needless death of a little girl and the paralysis of a young man—but they were not acts of terrorism within the meaning of Penal Law article 490.

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3. See HR Conf Rep 783, 99th Cong, 2d Sess at 87, reprinted in 1986 US Code Cong & Admin News at 1960.

III

[3] On his cross appeal, defendant contends that he is entitled to a new trial on the underlying offenses specified in the terrorism counts because the theory of terrorism should not have been charged and the People were therefore permitted to introduce otherwise inadmissible evidence that unduly prejudiced the jury's ability to fairly adjudicate his guilt or innocence. We agree.

“Whether an error in the proceedings relating to one count requires reversal of convictions on other jointly tried counts is a question that can only be resolved on a case-by-case basis” (*People v Baghai-Kermani*, 84 NY2d 525, 532 [1994]). We must evaluate “the individual facts of the case, the nature of the error and its potential for prejudicial impact on the over-all outcome” (*People v Concepcion*, 17 NY3d 192, 196-197 [2011] [internal quotation marks and citation omitted]; see also *People v Doshi*, 93 NY2d 499, 505 [1999]). Reversal is required if “there is a reasonable possibility that the jury's decision to convict on the tainted counts influenced its guilty verdict on the remaining counts in a meaningful way” (*Doshi*, 93 NY2d at 505 [internal quotation marks and citation omitted]; see also *People v Daly*, 14 NY3d 848, 849 [2010]).

By proceeding on the terrorism theory, the People were able to introduce evidence about numerous alleged criminal acts committed by members of the SJB gang over the course of three years. Without the aura of terrorism looming over the case, the activities of defendant's associates in other contexts would have been largely, if not entirely, inadmissible. Based on the record, it is apparent that the volume of proof regarding unrelated assaults, murders and other offenses created a reasonable possibility that the jury's findings were prejudicially influenced. Hence, the spillover effect requires reversal and a new trial on the underlying offenses.<sup>4</sup>

Accordingly, on the People's appeal, the order should be affirmed. On defendant's appeal, the order should be reversed and a new trial ordered.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH and FIGOTT concur.

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4. To the extent that defendant's remaining contentions must be addressed, we reject them because there was sufficient evidence to prove his guilt of the underlying specified offenses (see generally *People v Reome*, 15 NY3d 188, 192 [2010]) and the record supports the suppression court's determinations that defendant's *Payton* and *Miranda* rights were not violated.

On the People's appeal, order affirmed. On the defendant's appeal, order reversed and a new trial ordered.

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[982 NE2d 1237, 959 NYS2d 104]

W. JAMES MAC NAUGHTON et al., Appellants, v WARREN COUNTY et al., Respondents.

Argued November 14, 2012; decided December 11, 2012

### SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 10, 2011. The Appellate Division affirmed an order of the Supreme Court, Warren County (Thomas D. Nolan Jr., J.), which had denied plaintiffs' motion for summary judgment, granted defendant Warren County's cross motion for summary judgment dismissing the complaint, and dismissed the complaint.

*MacNaughton v Warren County*, 89 AD3d 1269, affirmed.

### HEADNOTES

#### **Taxation — Real Property Tax — Notice of Change of Address — Summary Judgment**

1. Plaintiff property owners' undocumented claim that they provided the taxing authority with a change of address in writing and by telephone prior to the property's foreclosure was insufficient to defeat summary judgment on the issue of whether they gave notice of their change of address to the taxing authority. The taxing authority's records did not reflect plaintiffs' alleged change of address attempts. To accept undocumented claims of this kind would be to invite abuse.

#### **Taxation — Tax Liens, Tax Sales and Tax Titles — Foreclosure — Due Process — Missing Taxpayer**

2. Due process did not require defendant County to attempt personal service on plaintiff property owners, or address a notice to "occupant" at their former address, or search New Jersey public records for their new address when the tax foreclosure proceeding notice that defendant mailed to plaintiffs at their last known address, in New Jersey, was returned as undeliverable. Due process requires taxing authorities to take reasonable steps to track down a missing taxpayer before seizing and selling his or her property in foreclosure. Generally, when the notice is returned as undeliverable, the tax district should conduct a reasonable search of the public record. However, a reasonable search does not necessarily require searching the Internet, voting records, motor vehicle records, the telephone book or other similar sources. While it was not clear what, if any, steps the County took to locate plaintiffs after its notice was returned as undeliverable, plaintiffs failed to show that there were any steps required by the State or Federal Constitution that would have yielded their new address. They failed to explain how the County could have served them personally without knowing their new address. In addition, it was not reasonable to believe that a notice mailed to "occupant" at plaintiffs' former address, which had no connection with the tax claim except that plaintiffs used to live there, would have been passed on to plaintiffs. Finally, requiring the County to search public records in New Jersey would have put too great a burden on the taxing authority.



### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, State and Local Taxation §§ 816, 817, 827, 828.  
CARMODY-WAIT 2d, Foreclosure of Tax Lien on Real Property §§ 99:53–99:55, 99:60.  
NY JUR 2d, Taxation and Assessment §§ 686–689.  
NEW YORK REAL PROPERTY SERVICE §§ 63:70, 63:71.

### ANNOTATION REFERENCE

See ALR Index under Due Process; Notice and Knowledge; Tax Liens.

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& undeliverable

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### POINTS OF COUNSEL

*W. James Mac Naughton*, Newton, New Jersey, and another, appellants pro se. I. Appellants were denied equal protection of the law when Warren County failed to personally serve them in the same manner as residents. (*Zobel v Williams*, 457 US 55; *Attorney General of N. Y. v Soto-Lopez*, 476 US 898; *Quill v Vacco*, 80 F3d 716; *King v New Rochelle Mun. Hous. Auth.*, 442 F2d 646; *Woodson v Mendon Leasing Corp.*, 100 NY2d 62; *Alkaifi v Celestial Church of Christ Calvary Parish*, 24 AD3d 476.) II. Appellants were denied due process when the only “notice” Warren County provided was a search of Warren County records. (*Schroeder v City of New York*, 371 US 208; *Jones v Flowers*, 547 US 220; *Mennonite Bd. of Missions v Adams*, 462 US 791; *Mullane v Central Hanover Bank & Trust Co.*, 339 US 306; *Greene v Lindsey*, 456 US 444; *Kennedy v Mossafa*, 100 NY2d 1; *Matter of Harner v County of Tioga*, 5 NY3d 136; *Matter of County of Schuyler [Solomon Fin. Ctr., Inc.]*, 83 AD3d 1243, 17 NY3d 850; *Harper v Virginia Dept. of Taxation*, 509 US 86; *Robinson v Hanrahan*, 409 US 38.) III. The courts below erred by making findings of fact adverse to appellants based on guesses, speculation and the affidavit of an attorney with no personal knowledge. (*Bernstein v City of New York*, 69 NY2d 1020; *Zuckerman v City of New York*, 49 NY2d 557; *Farina v Pan Am*.

*World Airlines*, 116 AD2d 618.) IV. Summary judgment in favor of defendants should be vacated and summary judgment in favor of appellants should be entered. (*Jones v Flowers*, 547 US 220.)

*Towne, Ryan & Partners*, Albany (*Elena DeFio Kean* of counsel), for Warren County, respondent. I. Appellants were afforded due process in this tax foreclosure matter. (*Matter of Harner v County of Tioga*, 5 NY3d 136; *Kennedy v Mossafa*, 100 NY2d 1; *Matter of Zaccaro v Cahill*, 100 NY2d 884; *Mullane v Central Hanover Bank & Trust Co.*, 339 US 306; *Mennonite Bd. of Missions v Adams*, 462 US 791; *Jones v Flowers*, 547 US 220; *Dusenbery v United States*, 534 US 161; *Akey v Clinton County*, N.Y., 375 F3d 231; *Covey v Town of Somers*, 351 US 141; *Schroeder v City of New York*, 371 US 208.) II. Appellants' equal protection argument must fail as a matter of law. (*Matter of Mingo v Pirnie*, 55 NY2d 1019; *Matter of Anonymous v Codd*, 40 NY2d 860; *Matter of Shurgin v Ambach*, 56 NY2d 700; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Bernstein v Bodean*, 53 NY2d 520; *Comiskey v Arlen*, 43 NY2d 696; *Schiavone v City of New York*, 92 NY2d 308; *York Mtge. Corp. v Clotar Constr. Corp.*, 254 NY 128; *Boyd v Boyd*, 252 NY 422; *Levine v City of New York*, 2 NY2d 246.)

*John M. Silvestri*, Chestertown, for Charles Asendorf and others, respondents. I. The conduct of appellants alone was responsible for their loss of title to their property. (*Kennedy v Mossafa*, 100 NY2d 1; *Jones v Flowers*, 547 US 220; *Matter of County of Broome*, 50 AD3d 1300; *Matter of Harner v County of Tioga*, 5 NY3d 136.) II. The procedures followed by Warren County exceeded the due process standards set by *Kennedy v Mossafa* (100 NY2d 1 [2003]) and *Jones v Flowers* (547 US 220 [2006]). (*Mullane v Central Hanover Bank & Trust Co.*, 339 US 306; *Matter of Harner v County of Tioga*, 5 NY3d 136; *Matter of County of Schuyler [Solomon Fin. Ctr., Inc.]*, 83 AD3d 1243, 17 NY3d 850; *Matter of County of Sullivan [Fay]*, 79 AD3d 1409, 17 NY3d 787; *Schroeder v City of New York*, 371 US 208; *Greene v Lindsey*, 456 US 444; *Robinson v Hanrahan*, 409 US 38; *Covey v Town of Somers*, 351 US 141.) III. The courts below correctly determined that *Jones v Flowers* (547 US 220 [2006]) did not expand retroactively the notice obligation of Warren County. (*American Trucking Assns., Inc. v Smith*, 496 US 167; *People v Nunez*, 30 Misc 3d 55; *Kalman v Neuman*, 102 Misc 2d 662.) IV. Appellants cannot maintain a claim based on an alleged violation of equal protection. (*King v New Rochelle Mun. Hous. Auth.*, 442 F2d 646; *Kennedy v Mossafa*, 100 NY2d 1; *Jones v Flowers*,

547 US 220.) V. The courts below correctly made their findings of fact based upon admissible evidence. (*Zuckerman v City of New York*, 49 NY2d 557; *Urban v City of Albany*, 90 AD3d 1132.)

### OPINION OF THE COURT

SMITH, J.

When an owner of real property moves, and does not give a new address to the collector of real property taxes, he or she may fail to receive notices of overdue taxes and related legal proceedings, and the property may consequently be lost in foreclosure. The United States Supreme Court and our Court have held that, in such situations, due process requires taxing authorities to take reasonable steps to track down the missing taxpayer before seizing and selling his or her property (*Jones v Flowers*, 547 US 220 [2006]; *Kennedy v Mossafa*, 100 NY2d 1 [2003]).

This case raises the question of how much a taxing authority is required to do. Plaintiffs argue that, when notice mailed to them at their last known address, in New Jersey, proved undeliverable, the tax collector was required to find some means of making personal service on them, or to address a notice to “occupant” at the former address, or to search New Jersey public records for a new address. We hold that these steps were not constitutionally required, and that plaintiffs have not been deprived of their property without due process of law.

### I

In 1988, plaintiffs acquired a vacant lot in the Town of Chester, in Warren County, New York. Plaintiffs then lived in South Orange, New Jersey, and their South Orange address appeared on the deed. The Town sent them real property tax bills at that address, and plaintiffs paid them.

[1] In 1993, plaintiffs moved from South Orange to Millburn, New Jersey. They arranged with the post office to forward their mail, but they did not then inform the Town of Chester taxing authorities of their new address. The 1994 tax bill was forwarded from South Orange to Millburn, and paid. Plaintiffs claim that, after receiving the forwarded bill, they gave their new address to the Town in a handwritten note and in a telephone call, but plaintiffs have no record of either communication, and neither is reflected in the Town’s records. To accept undocumented claims of this kind would be to invite

abuse, and we therefore conclude that plaintiffs' "bare allegation" is insufficient to defeat summary judgment on the issue of whether they gave notice of their change of address to the Town (*see Kennedy*, 100 NY2d at 10); we take it as established that they gave no such notice.

A year after plaintiffs moved, their forwarding arrangement with the post office expired. Tax bills for the next three years, mailed to them at the South Orange address, were returned to the Town. In 1998, Warren County sent a warning letter to the South Orange address that was also returned, and then began a foreclosure proceeding. It served plaintiffs with the petition and notice of petition by certified mail addressed to the South Orange address. The mailing was returned with the notation: "Undeliverable as Addressed-Forwarding Order Expired." Plaintiffs defaulted in the foreclosure proceeding and title to the property passed to the County, which sold it at auction in 1999.

Plaintiffs did not learn of these events until 2003. After unsuccessful federal litigation, they began the present action in 2005, asserting that the attempts to give them notice of the foreclosure were constitutionally inadequate, and seeking a declaration that they still owned the property. Supreme Court granted the County's motion for summary judgment, and the Appellate Division affirmed (*MacNaughton v Warren County*, 89 AD3d 1269 [2011]). Plaintiffs appeal to this Court as of right, pursuant to CPLR 5601 (b) (1), and we now affirm.

## II

At the time the County began its foreclosure proceeding in 1998, the Real Property Tax Law required that notice of the proceeding be published in at least two newspapers (RPTL 1124 [1]) and that it be "mailed, by ordinary first class mail" to the owners of the property (former RPTL 1125 [1]). It is not disputed that the County complied with the statutes. The question is whether the State or Federal Constitution required it to do more.

It has been clear since our 2003 decision in *Kennedy* that more is sometimes required when a mailed notice is returned as undeliverable. In that case we rejected "the view that the enforcing officer's obligation is always satisfied by sending the notice to the address listed in the tax roll" and said: "Generally, when the notice is returned as undeliverable, the tax district should conduct a reasonable search of the public record" (100

NY2d at 9). We added, however, that “[a] reasonable search of the public record . . . does not necessarily require searching the Internet, voting records, motor vehicle records, the telephone book or other similar resource” (*id.* at 10).

In *Jones*, decided in 2006, the United States Supreme Court interpreted the Due Process Clause of the Federal Constitution in a case in which two notices sent by a taxing authority were returned “unclaimed.” Applying the principle that the means used to give a constitutionally-required notice “must be such as one desirous of actually informing the absentee might reasonably adopt” (*Mullane v Central Hanover Bank & Trust Co.*, 339 US 306, 315 [1950], quoted in *Jones*, 547 US at 229), the Court held that “additional reasonable steps to provide notice” (*id.* at 223) were necessary, and specified several that could have been taken: “to resend the notice by regular mail” (*id.* at 234), “to post notice on the front door” of the taxed property (which in *Jones* was also the taxpayer’s former home) or “to address otherwise undeliverable mail to ‘occupant’ ” (*id.* at 235). But the Supreme Court in *Jones* declined, as we did in *Kennedy*, to impose more stringent requirements: It specifically rejected the taxpayer’s argument that the tax commissioner “should have searched for his new address in the . . . phonebook and other government records such as income tax rolls” (*id.* at 235-236). The Court remarked: “An open-ended search for a new address . . . imposes burdens on the State significantly greater than the several relatively easy options outlined above” (*id.* at 236).

[2] In this case it is not clear what, if any, steps the County took to locate plaintiffs after notice of the foreclosure proceeding was returned as undeliverable. Plaintiffs have not, however, shown that there were any steps required by the State or Federal Constitution, as interpreted in *Kennedy* and *Jones*, that would have yielded plaintiffs’ new address.

Plaintiffs suggest that the County should have attempted “personal service,” as it does for taxpayers who live within the County; they have not explained, however, how the County could have served them personally without knowing their new address. Plaintiffs also suggest that the County should have followed one of the courses mentioned in *Jones*: mailing notice to the taxpayer’s last known address addressed to “occupant.” But the suggestion ignores the difference between *Jones* and this case. In *Jones*, the taxpayer’s last known address was the property the taxing authority was trying to tax; the taxpayer still owned it. In that situation, it was reasonable to believe that a

mailing from the taxing authorities addressed to the “occupant” of the property would be passed on by the occupant to the owner. But we see little point in requiring a taxing authority to mail a letter to “occupant” at an address that has no connection with the tax claim except that the taxpayer used to live there. There is no reason to think that the new occupant of plaintiffs’ former home would be at all concerned with whether the taxes on a vacant parcel in Warren County, New York were paid or not.

Finally, plaintiffs suggest that the County should have searched the public records of the county of their last known address—Essex County, New Jersey. This requirement, we think, would put too great a burden on the taxing authority. It is one thing to require a search of records in the taxing authority’s own county—the county where the property being taxed is located. It is something different to require taxing authorities to familiarize themselves with the procedures for searching records in any location where a taxpayer happens to have lived. *Kennedy* and *Jones* declined to require a search of such sources as the Internet and the telephone book (*Kennedy*, 100 NY2d at 10; *Jones*, 547 US at 235-236). The search plaintiffs say the County should have conducted seems to us to be in the same category.

We therefore hold that due process did not require the County to take the steps that plaintiffs say it should have taken. In so holding, we acknowledge that the County might reasonably have been expected to do more than it did. Indeed, if the same case were to arise today, the County would be required by statute to do more: RPTL 1125 (1), which in 1998 required only an ordinary mail notice, was amended shortly after the *Jones* decision to require mailing “both by certified mail and ordinary first class mail,” and also, in the event both mailings are returned, an attempt by the taxing authority “to obtain an alternative mailing address from the United States postal service” (RPTL 1125 [1] [b] [i]; see L 2006, ch 415, § 1). This last step does not seem a burdensome one, and this case might be different if the County’s failure to take that step had caused plaintiffs to lose their property. But plaintiffs do not claim that that is true; they have made no attempt to show that an inquiry to the post office—in 1998, five years after plaintiffs moved away from South Orange—would have resulted in the County’s learning plaintiffs’ Millburn, New Jersey address.

Plaintiffs’ equal protection argument is without merit.



Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, READ and PIGOTT concur.

Order affirmed, with costs.

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[982 NE2d 1241, 959 NYS2d 108]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v BRANDON  
McFADDEN, Respondent.

Argued November 13, 2012; decided December 13, 2012

### SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered August 2, 2011. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Queens County (John B. Latella, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a controlled substance in the third degree, and (2) dismissed the first count of the indictment charging criminal possession of a controlled substance in the third degree.

*People v McFadden*, 87 AD3d 554, reversed.

### HEADNOTE

#### **Crimes — Double Jeopardy — Retrial on Greater Offense after Conviction on Lesser Included Offense**

Double jeopardy did not preclude defendant's retrial for criminal possession of a controlled substance in the third degree after a previous jury had deadlocked on that charge, but rendered a partial verdict convicting him of the lesser included offense of criminal possession of a controlled substance in the seventh degree. Under the CPL, which contemplates that a jury is properly instructed to consider inclusory concurrent counts in the alternative, a conviction of a lesser offense is deemed an acquittal of the greater counts submitted (see CPL 300.40 [3] [b]; 300.50 [4]). However, a defendant can, by his or her conduct, relinquish a double jeopardy claim. At defendant's initial trial, the court did not properly instruct the jury to consider the seventh-degree possession count in the alternative, and, when the jury indicated that they had reached a verdict on that count, but that they were deadlocked on the remaining counts, the court proposed taking a partial verdict. Defense counsel failed to object to the improper jury instruction and affirmatively requested a mistrial as to the top two counts after the court specifically stated that defendant faced retrial on those counts. Having charted his own course by opting for a mistrial and a retrial on the remaining counts, defendant could not claim that his retrial was barred. While a defendant is not precluded from pursuing a double jeopardy claim because he or she fails to request that the charges be considered in the alternative, here, defendant requested a mistrial with knowledge of the impending retrial, prior to the acceptance of the partial verdict.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 293, 298, 306, 307, 355–357.

CARMODY-WAIT 2d, Exemption from Prosecution by Reason of Previous Prosecution §§ 185:7, 185:58, 185:60,

185:77; CARMODY-WAIT 2d, Charge and Instruction to Jury § 200:85.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 25.2.

McKINNEY'S, CPL 300.40 (3) (b); 300.50 (4).

NY JUR 2d, Criminal Law: Procedure §§ 1939, 1965, 1982, 1983, 2795.

#### ANNOTATION REFERENCE

See ALR Index under Double Jeopardy; Instructions to Jury; Lesser Included Offenses; Mistrial.

#### FIND SIMILAR CASES ON WESTLAW®

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Query: double /2 jeopardy /s retrial /p convict! /5 lesser /2 included

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#### POINTS OF COUNSEL

*Richard A. Brown, District Attorney, Kew Gardens (Danielle Fenn and John M. Castellano of counsel), for appellant.* The Appellate Division improperly reversed defendant's conviction for criminal possession of a controlled substance in the third degree on double jeopardy grounds. (*People v Prescott*, 66 NY2d 216; *People v Gajadhar*, 9 NY3d 438; *People v Henriquez*, 3 NY3d 210; *People v Hansen*, 95 NY2d 227; *People v Gillian*, 8 NY3d 85; *People v Lee*, 58 NY2d 491; *People v Esajerre*, 35 NY2d 463; *People v Velasquez*, 1 NY3d 44; *People v Vargas*, 88 NY2d 363; *People v Webb*, 78 NY2d 335.)

*Appellate Advocates, New York City (Jessica McNamara, Jonathan Garvin and Lynn W.L. Fahey of counsel), for respondent.* I. The Appellate Division correctly held, based on this Court's settled law, that Brandon McFadden's retrial and conviction of third-degree criminal possession of a controlled substance violated his constitutional and statutory double jeopardy rights when a prior jury convicted him of a lesser included offense and failed to reach a verdict on the greater count, which was deemed acquitted. (*Price v Georgia*, 398 US 323; *Green v United States*, 355 US 184; *People v Fuller*, 96 NY2d 881; *People v Boettcher*, 69 NY2d 174; *People v Mayo*, 48 NY2d 245; *North Carolina v Pearce*, 395 US 711; *United States v Ball*, 163 US 662; *People v Biggs*, 1 NY3d 225; *United States v Martin Linen Supply Co.*, 430 US 564; *People v Helliger*, 96 NY2d 462.) II. The Appellate Division lacked jurisdiction to reinstate the lesser included offense because the trial court's decision to dismiss that count, on

both parties' consent, was not adversely decided against defendant. (*People v LaFontaine*, 92 NY2d 470; *People v Concepcion*, 17 NY3d 192; *People v Fuller*, 276 AD2d 263.)

#### OPINION OF THE COURT

Chief Judge LIPPMAN.

The issue presented by this appeal is whether double jeopardy barred defendant from being retried for criminal possession of a controlled substance in the third degree after a previous jury had deadlocked on that charge, but rendered a partial verdict convicting him of the lesser included offense of criminal possession of a controlled substance in the seventh degree. We find that, under these circumstances, double jeopardy does not preclude defendant's retrial and therefore reverse.

Defendant was indicted for criminal possession of a controlled substance in the third degree, criminal sale of a controlled substance in the third degree and criminal possession of a controlled substance in the seventh degree in connection with a single transaction that occurred on July 22, 2008. At his initial trial in June 2009, the jury was not instructed to consider the charges in any particular order. During the second day of deliberations, the jury sent out a note indicating that it had reached a verdict on count three (seventh-degree possession), but was unable to reach a unanimous verdict on the remaining counts. The court instructed the jury to continue deliberating on all counts, observing that it had not been deliberating for an extended time, having only received the case late in the afternoon of the previous day.

Shortly thereafter, the jury sent out a note indicating that juror number five was asking to be removed from service. The court refused to grant the request without some further indication as to the nature of the problem and asked to be advised if it was a question of the juror's health. It also instructed the jurors not to surrender their honestly held views or to close their minds to the opinions of their fellow jurors. The jury then sent out a note indicating that juror number five wanted to be excused due to blood pressure problems, that were "being exacerbated by [her belief that her] individual rights during deliberations in trying to reach a verdict beyond a reasonable doubt [were] being violated."

At that point, defense counsel moved for a mistrial. The court proposed inquiring whether the jury still had a unanimous verdict on the seventh-degree possession count and whether

further deliberations would be productive on the remaining two counts. The People then indicated that they would like additional information about the juror's blood pressure problem, but the court rejected that idea, saying "[d]efense counsel has indicated he would be moving for a mistrial. There's no prejudice to the People to retry those two counts if [the jury] can't deliberate further. I'm not going to endanger this juror's possible health by virtue of forcing her in some way to continue deliberating if defense is moving for a mistrial."

In response to the court's questions, the jury indicated that they did have a verdict on count three, but that they were deadlocked on the other counts. The court then proposed taking a partial verdict and—as to the remaining two counts—either giving the jury an *Allen* charge or declaring a mistrial. Defense counsel again requested a mistrial as to counts one and two and the court acceded to the request. The jury delivered a partial verdict convicting defendant of criminal possession of a controlled substance in the seventh degree. The court then discharged the jury, noting that the remaining "matters will have to be retried before another jury." Defense counsel ordered the transcripts to prepare for the retrial and the parties agreed to select a date for the retrial at defendant's sentencing proceeding.

Prior to the second trial, defense counsel moved to dismiss the count of criminal possession of a controlled substance in the third degree, arguing that reprosecution for that offense would violate double jeopardy. The court denied the motion and proceeded to trial. The second jury acquitted defendant of the count of third-degree criminal sale, but convicted him of third-degree criminal possession. At his sentencing proceeding, the court set aside the conviction for seventh-degree possession as an inclusory concurrent count.

The Appellate Division reversed and dismissed the count of the indictment charging defendant with criminal possession of a controlled substance in the third degree (87 AD3d 554 [2d Dept 2011]). The Court found that defendant's conviction of the lesser included offense of criminal possession of a controlled substance in the seventh degree was deemed an acquittal of third-degree possession under CPL 300.50 (4) and that double jeopardy barred defendant's retrial for the greater offense. A Judge of this Court granted the People leave to appeal and we now reverse.

Under the CPL, which contemplates that a jury is properly instructed to consider inclusory concurrent counts in the alternative, a conviction of a lesser offense is deemed an acquittal of the greater counts submitted (*see* CPL 300.40 [3] [b]; 300.50 [4]). However, we have held that a defendant can, by his or her conduct, relinquish a double jeopardy claim (*see People v Echevarria*, 6 NY3d 89, 92-93 [2005]).

In *Echevarria*, the defendant was charged with two counts of first-degree murder and two counts of second-degree intentional murder. The counts were submitted to the jury without any direction as to the order in which they should be considered and without objection by defense counsel (*see Echevarria*, 6 NY3d at 91-92). When, during deliberations, the jury sent out a note indicating that it had reached a verdict on two unspecified counts, the parties began to discuss the possibility of taking a partial verdict. The prosecutor brought *People v Fuller* (96 NY2d 881, 883-884 [2001]) to the court's attention—a case holding that a defendant was deemed acquitted of a greater offense when the jury failed to reach a verdict on that offense, but convicted him of a lesser included offense. Defense counsel in *Echevarria* argued that *Fuller* was not applicable and urged the court to take the partial verdict. The court then took the partial verdict convicting Echevarria of the second-degree murder charges and directed the jury to continue deliberating, without objection (*see* 6 NY3d at 91). The following day, the jury convicted defendant of first-degree murder.

We found that, in addition to the faulty instruction that was given to the jury without objection, defense counsel had advocated against the relevance of *Fuller* and had called for the acceptance of the partial verdict (*see Echevarria*, 6 NY3d at 92). “Although ‘[o]nce acquitted, it [is] not possible . . . to “waive” the protections against multiple prosecutions,’ counsel’s unequivocal actions occurred *prior* to the partial verdict” (*Echevarria*, 6 NY3d at 92-93 [citation omitted], quoting *Fuller*, 96 NY2d at 884).

Similarly, here, defense counsel failed to object to the improper jury instruction and affirmatively requested a mistrial after the court specifically stated that defendant faced retrial on the top two counts. Having charted his own course by opting for a mistrial and a retrial on the remaining counts, defendant cannot now claim that his retrial is barred. To be sure, *Fuller* held that a defendant is not precluded from pursuing a double jeopardy claim because he or she fails to request that the charges be



considered in the alternative (*see* 96 NY2d at 883). However, in that case, we did not consider the impact of a defendant's request for a mistrial with knowledge of the impending retrial, prior to the acceptance of a partial verdict.

In light of our determination, it is unnecessary to address the parties' remaining contentions.

Accordingly, the order of the Appellate Division should be reversed and the case remitted to the Appellate Division for consideration of the facts and issues raised but not determined on the appeal to that Court.

PIGOTT, J. (dissenting). Because, in my view, this case falls squarely within our holding under *People v Fuller* (96 NY2d 881 [2001]), I respectfully dissent.

In *Fuller*, at the defendant's trial, in addition to two robbery charges, the jury deliberated on the charges of assault in the second degree and assault in the third degree, under separate counts of the indictment (*id.* at 882). Defendant was acquitted of the robbery charges and convicted of third-degree assault (*id.* at 883). The jury, however, was unable to reach a verdict on the second-degree assault charge (*id.*). Without objection, the court accepted the partial verdict and a mistrial was declared on the second-degree assault count (*id.*). Defendant was retried on the unresolved assault count, and was ultimately convicted of that crime (*id.*).

The parties and the judge in *Fuller* never contemplated the implications of CPL 300.40 (3) (b) and 300.50 (4) when the partial verdict was taken and the mistrial declared; that being the case, the parties never considered that a verdict of guilty on the lesser count meant an acquittal of the greater count by operation of law.

On appeal, however, the defendant argued that the statutory provisions applied and that double jeopardy barred his retrial. We agreed. In doing so, we rejected the People's claim that the defendant never opposed, and in fact impliedly consented to, the retrial when the mistrial was declared and thus his double jeopardy claim had been waived.

Similarly, in this case, there is no dispute that the crime of criminal possession of a controlled substance in the seventh degree is a lesser-included offense of criminal possession of a controlled substance in the third degree (*see e.g. People v Sutton*, 289 AD2d 424 [2d Dept 2001]). As such, when the jury

returned the partial verdict of guilty on defendant's misdemeanor possession charge, by operation of law, there was acquittal of the greater possession count (CPL 300.40 [3] [b]). Once defendant was acquitted of the greater count, it was not possible for him to waive the protections of double jeopardy (*Fuller*, 96 NY2d at 883-884; *People v Boettcher*, 69 NY2d 174, 182 [1987]).

The majority contends that this case is different from *Fuller* and more akin to our decision in *People v Echevarria* (6 NY3d 89, 91 [2005]). The majority distinguishes *Fuller* on the basis that in that case "we did not consider the impact of a defendant's request for a mistrial with knowledge of the impending retrial, prior to the acceptance of a partial verdict" (majority op at 265). However, both the defendant in this case and the one in *Fuller* were acting under the mistaken belief that the People were allowed to retry the unresolved counts\* and were ignorant of the implications of CPL 300.40 (3) (b) and 300.50 (4).

In *Echevarria*, after the court received a jury note indicating that it had reached unanimity on two of the four counts against the defendant, "the court and the parties discussed the propriety of taking a partial verdict" (6 NY3d at 91). In particular, the prosecutor specifically raised double jeopardy concerns by directing the court to our decision in *Fuller*, which "holds that a retrial is barred on the higher offense after a jury finds the defendant guilty of a lesser included offense" (*id.* [emphasis omitted]). "Expressing no hesitancy," defense counsel advocated for taking the partial verdict, arguing that "*Fuller* presented no problem[.] [Defense counsel stated]: 'Judge, just for the record, I would have requested to take a partial verdict in this case. I don't think [*Fuller*] is directly applicable to this particular case, and I think the way to do a charge to the jury here, I think that there is no reason why a partial verdict can't be taken.' The court acquiesced." (*id.*).

The court took a partial verdict, but there was no mistrial on the unresolved counts. Rather, the jury was permitted to continue its deliberations. The jury then announced that it had unanimously found the defendant guilty of the greater offense. Then, on appeal, defendant argued that once the jury rendered its partial verdict finding him guilty of second-degree murder,

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\* Indeed, in *Fuller*, a retrial took place resulting in a jury verdict of guilty on the previously unresolved count.

further deliberations were impermissible and the ensuing first-degree murder conviction must be vacated (*id.* at 92). We rejected that argument. We found significant the fact that the defendant at trial had *affirmatively* argued against the applicability of CPL 300.50 and *Fuller* and urged the court not only to take the partial verdict but also to permit the jury to continue to deliberate (*id.* at 92-93).

In this case, nothing even similar occurred. The jury rendered its partial verdict, a mistrial on the unresolved counts was declared and the jury was discharged. It was before a second jury was empaneled that the defendant raised the double jeopardy issue. Unlike defendant in this case, the defendant in *Echevarria* clearly indicated he wanted to waive a double jeopardy claim, by expressly disavowing *Fuller* and declaring that he wanted the jury to continue deliberations on the two unresolved counts. No such waiver language can be found in this case. There was no discussion between the parties of the implications of our holding in *Fuller* or double jeopardy concerns.

Here, once the jury returned the verdict of guilty on the criminal possession of a controlled substance in the seventh degree, there was no longer a third-degree possession count to be retried. I therefore would affirm the order of the Appellate Division.

Judges CIPARICK, GRAFFEO, READ and SMITH concur with Chief Judge LIPPMAN; Judge PIGOTT dissents and votes to affirm in an opinion.

Order reversed and case remitted to the Appellate Division, Second Department, for consideration of the facts and issues raised but not determined on the appeal to that court.

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[982 NE2d 600, 958 NYS2d 680]

In the Matter of KAREN BITCHATCHI, Respondent, v BOARD OF TRUSTEES OF THE NEW YORK CITY POLICE DEPARTMENT PENSION FUND, ARTICLE II, Appellant.

In the Matter of EDDIE MALDONADO, Appellant, v RAYMOND KELLY, as Police Commissioner of the City of New York and as Chairman of the Board of Trustees of the Police Pension Fund, Article II, et al., Respondents.

In the Matter of NILDA MACRI, Respondent, v RAYMOND W. KELLY, as Police Commissioner of the City of New York and as Chairman of the Board of Trustees of the Police Pension Fund, Article II, et al., Appellants.

Argued and submitted November 13, 2012; decided December 13, 2012

#### SUMMARY

APPEAL, in the first above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 7, 2011. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, New York County (Eileen A. Rakower, J.; op 2010 NY Slip Op 30700[U] [2010]), entered in a proceeding pursuant to CPLR article 78, which had (1) granted the petition for judicial review of respondent's determination denying petitioner's application for accidental disability retirement (ADR) benefits; (2) annulled the determination; (3) held that petitioner was entitled to ADR benefits as a matter of law; and (4) remanded the matter to respondent to grant petitioner ADR benefits and recompute her retirement allowance.

APPEAL, in the second above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 28, 2011. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, New York County (Michael D. Stallman, J.), entered in a proceeding pursuant to CPLR article 78, which had (1) denied the petition to annul respondent Board of Trustees of the New York City Police Pension Fund, Article II's determination denying petitioner's application for ADR benefits; and (2) dismissed the proceeding.

APPEAL, in the third above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division

of the Supreme Court in the First Judicial Department, entered December 27, 2011. The Appellate Division affirmed an order and judgment (one paper) of the Supreme Court, New York County (Jane S. Solomon, J.; op 28 Misc 3d 504 [2010]), entered in a proceeding pursuant to CPLR article 78, which had (1) granted the petition to annul respondent Board of Trustees of the New York City Police Pension Fund, Article II's determination denying petitioner's application for World Trade Center line-of-duty death benefits; (2) annulled the determination; and (3) directed respondents to grant petitioner World Trade Center line-of-duty death benefits.

*Matter of Bitchatchi v Board of Trustees of the N.Y. City Police Dept. Pension Fund, Art. II*, 86 AD3d 427, affirmed.

*Matter of Maldonado v Kelly*, 86 AD3d 516, reversed.

*Matter of Macri v Kelly*, 92 AD3d 53, affirmed.

#### HEADNOTES

**Civil Service — Retirement and Pension Benefits — Accidental Disability Retirement — World Trade Center Presumption — Evidence Required to Rebut Presumption**

1. Under the World Trade Center (WTC) presumption in favor of enhanced benefits for police officers who performed rescue, recovery or cleanup operations at specified locations (*see* Administrative Code of City of NY § 13-252.1 [1] [a]), the pension fund bears the initial burden of proving that a claimant's qualifying condition was not caused by the hazards encountered at the WTC site. Unlike typical accidental disability retirement (ADR) claimants, first responders need not submit any evidence—credible or otherwise—of causation to obtain the enhanced benefits. The pension fund can rebut the presumption by competent evidence, which is equated with the well-established credible evidence standard. The pension fund cannot deny ADR benefits by relying solely on the absence of evidence tying the disability to the exposure.

**Civil Service — Retirement and Pension Benefits — Accidental Disability Retirement — World Trade Center Presumption**

2. In a CPLR article 78 proceeding challenging respondent's denial of the application for accidental disability retirement benefits submitted by petitioner police officer, who had participated in rescue and recovery operations at Ground Zero following the September 11, 2001 attacks and was diagnosed with rectal cancer about one year later, the World Trade Center (WTC) presumption in favor of enhanced benefits (*see* Administrative Code of City of NY § 13-252.1 [1] [a]) was not rebutted by credible evidence. The single journal article cited by the Medical Board of the New York City Police Department Pension Fund, Article II to link petitioner's cancer with her prior ulcerative colitis condition did not support its conclusion. Even if petitioner's previous condition put her at a higher risk than most others for that kind of cancer, that fact alone would not rebut her claim that her exposure to the WTC site caused the cancer. Moreover, although the Medical Board referred to "clinical data" as the basis for its view that the two-centimeter mass found in October 2002 would have taken more than 13 months to develop, it failed to include

the actual data in the record, thereby precluding an assessment of whether its finding of no-causation was supported by credible evidence. Because the Medical Board bore the burden on the issue of causation, that deficiency in proof was fatal.

**Civil Service — Retirement and Pension Benefits — Death Benefits — World Trade Center Presumption**

3. In a CPLR article 78 proceeding challenging respondent's denial of the application for line-of-duty death benefits made by petitioner, the widow of a police officer who participated in the recovery and cleanup effort at both Ground Zero and the Fresh Kills Landfill following the September 11, 2001 attacks and was diagnosed with lung cancer less than one year later, the World Trade Center (WTC) presumption in favor of enhanced benefits (*see* Administrative Code of City of NY § 13-252.1) was not rebutted by credible evidence. The Medical Board of the New York City Police Department Pension Fund, Article II referenced "literature" regarding cancer doubling times and "copious data" as to survival times in concluding that the lung cancer discovered in August 2002 likely predated September 11, 2001 and, therefore, was not caused by the officer's WTC-related exposures. But the Medical Board failed to identify or include the specific literature or data upon which it relied, falling short of what was required by the statute. Even though petitioner did not bear the burden of proof on causation, she submitted letters from three oncologists opining that her husband's cancer was caused by his work at the WTC and Fresh Kills Landfill sites, particularly in view of his age and nonsmoker status.

**Civil Service — Retirement and Pension Benefits — Accidental Disability Retirement — World Trade Center Presumption — Failure to Rebut Presumption**

4. In two CPLR article 78 proceedings challenging respondent's denial of an application for accidental disability retirement (ADR) benefits and an application for line-of-duty death benefits submitted by a police officer and the widow of a police officer who responded to provide assistance at the World Trade Center (WTC) site following the September 11, 2001 attacks, the courts below did not err in awarding petitioners ADR and line-of-duty death benefits as a matter of law upon finding that respondent had failed to rebut the WTC presumption in favor of enhanced benefits (*see* Administrative Code of City of NY § 13-252.1) by credible evidence. When the Board of Trustees of the New York City Police Pension Fund fails to rebut the WTC presumption, the WTC statute presumes causation and contemplates the award of ADR benefits—even if the claimant offers no medical proof.

**Civil Service — Retirement and Pension Benefits — Accidental Disability Retirement — World Trade Center Presumption**

5. In a CPLR article 78 proceeding challenging respondent's denial of the application for accidental disability retirement benefits submitted by petitioner police officer, who had participated in the recovery efforts at the World Trade Center (WTC) site following the September 11, 2001 attacks and claimed that his preexisting cancer was aggravated by his exposure to toxins at the WTC site, respondent's argument that the burden of proof remained with petitioner to demonstrate that his exposure aggravated or exacerbated the preexisting cancer was not preserved for appellate review. Accordingly, the World Trade Center presumption in favor of enhanced benefits (*see* Administrative Code of City of NY § 13-252.1 [1] [a]) applied to petitioner's claim that his cancer was aggravated by the exposure.



**Civil Service — Retirement and Pension Benefits — Accidental Disability Retirement — World Trade Center Presumption**

6. In a CPLR article 78 proceeding challenging respondent's denial of the application for accidental disability retirement benefits submitted by petitioner police officer, who had participated in the recovery efforts at the World Trade Center (WTC) site following the September 11, 2001 attacks and claimed that his preexisting cancer was aggravated by his exposure to toxins at the WTC site, the WTC presumption in favor of enhanced benefits (*see* Administrative Code of City of NY § 13-252.1 [1] [a]) was not rebutted by credible evidence. Petitioner's cancerous tumor grew from the size of a walnut to a softball between September 2001 and November 2001. Respondent and the courts below focused on the equivocal nature of the evidence submitted by petitioner in his attempt to demonstrate that the cancer was aggravated by his WTC exposure. In particular, they rejected the opinion of petitioner's oncologist provided in two letters as speculative and conjectural. But in light of the presumption, petitioner carried no burden to offer any evidence of causation, and respondent could not rely on petitioner's deficiencies to fill its own gap in proof.

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**RESEARCH REFERENCES**

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AM JUR 2d, Appellate Review § 575; AM JUR 2d, Pension and Retirement Funds §§ 1206–1208, 1248, 1250, 1253–1255.

NY JUR 2d, Appellate Review §§ 603, 604; NY JUR 2d, Pensions and Retirement Systems §§ 132, 354.

**ANNOTATION REFERENCE**

See ALR Index under Pension and Retirement; World Trade Center.

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**POINTS OF COUNSEL**

*Michael A. Cardozo, Corporation Counsel, New York City (Paul T. Rephen and Keith M. Snow of counsel), for appellant in the first above-entitled proceeding. I. The lower courts misapplied the legal standard for reviewing public pension disability determinations and statutory presumptions. (Matter of Borenstein v New York City Employees' Retirement Sys., 88 NY2d 756; Matter of Meyer v Board of Trustees of N.Y. City Fire Dept., Art. 1-B Pension Fund, 90 NY2d 139; Matter of Archul v Board of Trustees of N.Y. City Fire Dept., Art. 1B Pension Fund, 93 AD2d*

716, 60 NY2d 567; *Matter of Christian v New York City Employees' Retirement Sys.*, 83 AD2d 507, 56 NY2d 841; *Denio v State of New York*, 7 NY3d 159; *Matter of Nerney v New York State Policemen's & Firemen's Retirement Sys.*, 156 AD2d 775, 75 NY2d 710; *Matter of Helmer v New York State & Local Employees' Retirement Sys.*, 305 AD2d 949; *Matter of Kelly v Kelly*, 82 AD3d 544, 17 NY3d 705; *Matter of Jefferson v Kelly*, 14 Misc 3d 191, 51 AD3d 536; *Matter of Mulet v Kelly*, 49 AD3d 336.) II. The lower courts improperly weighed medical evidence and incorrectly found that petitioner is entitled to accidental disability retirement as a matter of law. (*Matter of Canfora v Board of Trustees of Police Pension Fund of Police Dept. of City of N.Y., Art. II*, 90 AD2d 751, 60 NY2d 347; *Matter of Meyer v Board of Trustees of N.Y. City Fire Dept., Art. 1-B Pension Fund*, 90 NY2d 139; *Matter of Wesarg v Board of Trustees of N.Y. City Fire Dept., Art. 1-B Pension Fund*, 246 AD2d 601; *Matter of Borenstein v New York City Employees' Retirement Sys.*, 88 NY2d 756; *Matter of Callaghan v Bratton*, 253 AD2d 390; *Matter of Brady v City of New York*, 22 NY2d 601; *Matter of Josey v New York City Police Dept.*, 50 AD3d 393.)

*Rosemary Carroll*, Clermont, for respondent in the first above-entitled proceeding. I. The judgment should be affirmed because respondent failed to adduce competent evidence to rebut the statutory presumption that petitioner's disabling cancer was caused by exposure to toxins at Ground Zero. (*Matter of Evans v City of New York*, 145 AD2d 361; *Matter of Jefferson v Kelly*, 14 Misc 3d 191, 51 AD3d 536; *Matter of Mulet v Kelly*, 49 AD3d 336; *Matter of Meyer v Board of Trustees of N.Y. City Fire Dept., Art. 1-B Pension Fund*, 90 NY2d 139; *Matter of Cusick v Kerik*, 305 AD2d 247; *Matter of Brady v City of New York*, 22 NY2d 601; *Matter of Rodriguez v Board of Trustees of N.Y. City Fire Dept., Art. 1-B Pension Fund*, 3 AD3d 501; *Matter of Kiess v Kelly*, 75 AD3d 416; *Matter of Macri v Kelly*, 92 AD3d 53; *Matter of Goldman v McGuire*, 64 NY2d 1041.) II. Respondent failed to apply the applicable rule of law on causation and petitioner is entitled to accidental disability retirement as a matter of law. (*Matter of Tobin v Steisel*, 64 NY2d 254; *Matter of Petrella v Board of Trustees of Police Pension Fund*, 141 AD2d 361.)

*Law Offices of Chet Lukaszewski, P.C.*, Lake Success (*Chester P. Lukaszewski* of counsel), for appellant in the second above-entitled proceeding. I. The First Department committed errors in law and in fact and misinterpreted the World Trade Center law and thereby set a precedent which nullifies the law and its

presumption. (*Santangelo v State of New York*, 71 NY2d 393; *Matter of O'Marah v Levitt*, 35 NY2d 593; *Matter of Tobin v Steisel*, 64 NY2d 254; *Matter of Jefferson v Kelly*, 51 AD3d 536; *Matter of Claudio v Kelly*, 84 AD3d 667; *Matter of Kelly v Kelly*, 82 AD3d 544; *Matter of Borenstein v New York City Employees' Retirement Sys.*, 88 NY2d 756; *Matter of Meyer v Board of Trustees of N.Y. City Fire Dept., Art. 1-B Pension Fund*, 90 NY2d 139; *Matter of Heintz v Brown*, 80 NY2d 998; *People v Ryan*, 274 NY 149.) II. Court action granting petitioner a World Trade Center accidental disability retirement pension is warranted or, at least, remanding his application for further consideration in keeping with the decision herein. (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Canfora v Board of Trustees of Police Pension Fund of Police Dept. of City of N.Y., Art. II*, 90 AD2d 751, 60 NY2d 347; *Matter of VR Equities v New York City Conciliation & Appeals Bd.*, 118 AD2d 459; *Roth v Board of Trustees of Teachers' Retirement Sys. of City of N.Y.*, 66 AD2d 664; *Matter of Borenstein v New York City Employees' Retirement Sys.*, 88 NY2d 756; *Matter of Meyer v Board of Trustees of N.Y. City Fire Dept., Art. 1-B Pension Fund*, 90 NY2d 139; *Matter of Brady v City of New York*, 22 NY2d 601; *Matter of Belnavis v Board of Trustees of N.Y. City Fire Dept., Art. 1B Pension Sys.*, 84 AD2d 244; *Pamlanye v McGuire*, 111 AD2d 721; *Matter of Perkins v Board of Trustees of N.Y. Fire Dept. Art. 1-B Pension Fund*, 59 AD2d 696.)

*Michael A. Cardozo, Corporation Counsel*, New York City (*Paul T. Rephen and Inga Van Eysden* of counsel), for respondents in the second above-entitled proceeding. Petitioner failed to meet his burden of demonstrating that his preexisting cancer was aggravated by his World Trade Center (WTC) work, and even if the WTC presumption applies, the Medical Board's determination that petitioner's cancer was not caused or aggravated by his WTC work was based on credible evidence and should be upheld. (*Matter of Borenstein v New York City Employees' Retirement Sys.*, 88 NY2d 756; *Matter of Meyer v Board of Trustees of N.Y. City Fire Dept., Art. 1-B Pension Fund*, 90 NY2d 139; *Matter of Canfora v Board of Trustees of Police Pension Fund of Police Dept. of City of N.Y., Art. II*, 60 NY2d 347; *Matter of Archul v Board of Trustees of N.Y. City Fire Dept., Art. 1B Pension Fund*, 93 AD2d 716, 60 NY2d 567; *Matter of Christian v New York City Employees' Retirement Sys.*, 83 AD2d 507, 56 NY2d 841; *Matter of Tobin v Steisel*, 64 NY2d 254; *Matter of Jefferson v Kelly*, 14 Misc 3d 191, 51 AD3d 536; *Matter of Lahm*

*v Bloomberg*, 29 AD3d 461; *Matter of Whitton v Spinnato*, 143 AD2d 274; *Matter of Bartsch v Board of Trustees of N.Y. City Fire Dept. Art. 1B Pension Fund*, 142 AD2d 577.)

*Michael A. Cardozo, Corporation Counsel*, New York City (*Paul T. Rephen and Keith M. Snow* of counsel), for appellants in the third above-entitled proceeding. The determination by the Medical Board of the Police Pension Fund that Officer Macri's lung cancer predated 9/11 was based on credible evidence, and therefore, the presumption that it was the consequence of his service at that time was properly rebutted. To the extent that petitioner offered conflicting medical evidence, the resolution of that conflict rested with the Board of Trustees of the Pension Fund and not the courts. (*Matter of Borenstein v New York City Employees' Retirement Sys.*, 88 NY2d 756; *Matter of Meyer v Board of Trustees of N.Y. City Fire Dept., Art. 1-B Pension Fund*, 90 NY2d 139; *Matter of Canfora v Board of Trustees of Police Pension Fund of Police Dept. of City of N.Y., Art. II*, 60 NY2d 347; *Matter of Archul v Board of Trustees of N.Y. City Fire Dept., Art. 1B Pension Fund*, 93 AD2d 716, 60 NY2d 567; *Matter of Christian v New York City Employees' Retirement Sys.*, 83 AD2d 507, 56 NY2d 841; *Matter of Kelly v Kelly*, 82 AD3d 544, 17 NY3d 705; *Matter of Jefferson v Kelly*, 14 Misc 3d 191, 51 AD3d 536; *Denio v State of New York*, 7 NY3d 159; *Matter of Nerney v New York State Policemen's & Firemen's Retirement Sys.*, 156 AD2d 775, 75 NY2d 710; *Matter of Helmer v New York State & Local Employees' Retirement Sys.*, 305 AD2d 949.)

*Dechert LLP*, New York City (*James M. McGuire, Edward A. McDonald and Matthew L. Mazur* of counsel), for respondent in the third above-entitled proceeding. I. No competent evidence rebutted the World Trade Center presumption. (*Matter of Brady v City of New York*, 22 NY2d 601; *Matter of Borenstein v New York City Employees' Retirement Sys.*, 88 NY2d 756; *Matter of Claudio v Kelly*, 84 AD3d 667; *United States v Stanchich*, 550 F2d 1294; *Matter of Fernandez v Board of Trustees of N.Y. Fire Dept. Pension Fund, Subchapter 2*, 81 AD3d 950; *Matter of Meyer v Board of Trustees of N.Y. City Fire Dept., Art. 1-B Pension Fund*, 90 NY2d 139; *Matter of Goldman v McGuire*, 101 AD2d 768, 64 NY2d 1041; *Matter of Wahl v Board of Trustees of N.Y. City Fire Dept.*, 89 NY2d 1065; *Matter of Liston v City of New York*, 161 AD2d 491; *Matter of Bennett v Board of Trustees of Police Pension Fund of City of N.Y.*, 20 AD2d 522, 16 NY2d 562; *Romano v Stanley*, 90 NY2d 444.) II. The Medical Board's determination did not rebut the World Trade Center presumption

under the *Tobin* rule. (*Matter of Tobin v Steisel*, 64 NY2d 254; *Matter of Meyer v McGuire*, 64 NY2d 1152; *Matter of Dement v Kelly*, 97 AD3d 223; *Matter of Britt v DiNapoli*, 91 AD3d 1102; *Matter of Jones v Board of Trustees of N.Y. Fire Dept. Art. 1-B Pension Fund*, 123 AD2d 628; *Edmond v International Bus. Machs. Corp.*, 91 NY2d 949.) III. Because petitioner is entitled to accidental death benefits as a matter of law, a remand to the Medical Board is not an appropriate remedy. (*Matter of McCambridge v McGuire*, 62 NY2d 563; *Matter of Sailer v McGuire*, 114 AD2d 334; *Matter of Dement v Kelly*, 97 AD3d 223; *Matter of City of New York v Schoeck*, 294 NY 559; *Matter of Brady v City of New York*, 22 NY2d 601; *Matter of Josey v New York City Police Dept.*, 50 AD3d 393.)

#### OPINION OF THE COURT

GRAFFEO, J.

Each of these appeals involves a police officer who responded to provide assistance at the World Trade Center following the September 11, 2001 attacks. Two officers seek accidental disability retirement benefits and the surviving spouse of another officer makes a claim for line-of-duty death benefits. Central to all three CPLR article 78 proceedings is the application of the statutory World Trade Center (WTC) presumption (*see* Administrative Code of City of NY § 13-252.1 [1] [a]), under which an officer's disability or death as a result of a qualifying condition is presumed to be caused by his or her exposure at the WTC site for purposes of benefit upgrades. The common issue presented is whether the pension fund respondents produced competent evidence to rebut the WTC presumption accorded to petitioners' claims. We hold that respondents did not meet their burden of disproving that the officers' disabilities or death were causally related to their work at the World Trade Center and related sites. We therefore affirm in *Bitchatchi* and *Macri* and reverse in *Maldonado*.

#### I.

Police officers employed by the New York City Police Department (NYPD) who become disabled may apply for ordinary disability retirement (ODR) benefits or accidental disability retirement (ADR) benefits. ODR benefits, generally comprised of a taxable pension of one half of the officer's salary, are payable if the officer is "physically or mentally incapacitated for the performance of duty and ought to be retired" (Administrative Code of City of NY § 13-251). ADR benefits are more generous—a



tax-free pension of three quarters of the officer's salary—but eligibility requires an additional showing that the officer's disability is the "natural and proximate result of an accidental injury received in . . . city-service" (Administrative Code of City of NY § 13-252). If a police officer dies as the result of a work-related accident, the officer's beneficiaries may recover line-of-duty death benefits, generally equating to the officer's full salary (*see* Administrative Code of City of NY § 13-244; General Municipal Law § 208-f).

A claimant filing for ADR benefits ordinarily has the burden of proving causation in an administrative proceeding. But as part of the legislature's response to the World Trade Center tragedy, a new statute was enacted creating a presumption in favor of ADR benefits for police officers who performed rescue, recovery or cleanup operations at specified locations, including the World Trade Center and the Fresh Kills Landfill. Under the WTC presumption, the pension fund bears the initial burden of proving that a claimant's qualifying condition was not caused by the hazards encountered at the WTC site:

"Notwithstanding any provisions of this code or of any general, special or local law, charter or rule or regulation to the contrary, if any condition or impairment of health is caused by a qualifying World Trade Center condition as defined in section two of the retirement and social security law, it shall be presumptive evidence that it was incurred in the performance and discharge of duty and the natural and proximate result of an accident not caused by such member's own willful negligence, *unless the contrary be proved by competent evidence*" (Administrative Code of City of NY § 13-252.1 [1] [a] [emphasis added]).<sup>1</sup>

To take advantage of the presumption, a claimant must have participated in operations at one of the enumerated locations for "any period of time within the forty-eight hours after the first airplane hit the towers" or "a total of forty hours accumulated any time between September eleventh, two thousand

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1. Analogous provisions extend the WTC presumption to other classes of first responders (*see e.g.* Administrative Code of City of NY § 13-353.1 [firefighters]; Retirement and Social Security Law § 363-bb [h] [state police]; Retirement and Social Security Law § 605-b [d] [sanitation workers]). The presumption also applies where a police officer later dies and death benefits are sought (*see* Administrative Code of City of NY § 13-252.1 [4]).



one and September twelfth, two thousand two” (Retirement and Social Security Law § 2 [36] [g]). There is no dispute that all of the officers in these appeals fulfilled this requirement. A claimant must also suffer from a statutorily defined qualifying condition, including “new onset diseases resulting from exposure as such diseases occur in the future including cancer” (Retirement and Social Security Law § 2 [36] [c] [v]). Whether the officers’ medical conditions qualified for the enhanced benefits is contested by the pension fund respondents in these three proceedings.

Against this statutory backdrop, we turn to the facts and procedural history underlying the appeals before us.

## II.

### *Bitchatchi*

On September 11, 2001, following the terrorist attacks on the World Trade Center, petitioner Karen Bitchatchi, a police officer with the NYPD, participated in rescue and recovery operations at Ground Zero. In the ensuing days, she logged over 60 hours of work at the site. About a year later, petitioner discovered a cyst near her rectum and a biopsy revealed that she had rectal cancer.

Petitioner applied for ADR benefits based on her service at the WTC site. The Medical Board of the New York City Police Department Pension Fund, Article II (the Medical Board) recommended disapproval, stating that the “causal factor” of the cancer was not exposure at the WTC location; instead it was petitioner’s prior ulcerative colitis, a condition that had been surgically addressed about 20 years earlier. To refute this conclusion, petitioner submitted two letters from her oncologist, Dr. Martin Oster, who opined that “her rectal cancer was not related to her ulcerative colitis . . . but rather related to her toxic exposures at the WTC site.” Dr. Oster explained that his conclusion was supported by the “two hit” hypothesis, under which “more than one mutational event is needed to induce cancer, in this case, the two events being colitis followed by exposure to carcinogens at the 9/11 site.” The Medical Board considered Dr. Oster’s evidence but reaffirmed its original recommendation to deny ADR benefits. Respondent Board of Trustees of the New York City Police Pension Fund, Article II

(the Board of Trustees) upheld the recommendation by a tie vote, thus awarding petitioner the lesser ODR benefits.<sup>2</sup>

In petitioner's CPLR article 78 proceeding challenging the Board of Trustees' denial of her ADR benefits, Supreme Court granted the petition to the extent of remanding the matter to the Board for reconsideration. On remand, the Medical Board again decided that petitioner's cancer was not causally related to the WTC site for two reasons. First, it cited a 2009 medical journal article to draw a correlation between petitioner's ulcerative colitis and her cancer. Second, it referenced "clinical data" regarding the growth rates of tumors and found it "highly likely" that the two-centimeter mass discovered in October 2002 was present prior to September 11, 2001. The Board of Trustees subsequently rejected petitioner's ADR application by a tie vote.

Petitioner brought another article 78 proceeding for judicial review of the Board of Trustees' determination. Supreme Court granted the petition, annulled the Board of Trustees' decision and held that petitioner was entitled to ADR benefits as a matter of law (2010 NY Slip Op 30700[U] [2010]). The court found that the Medical Board failed to adduce competent evidence to overcome the statutory presumption that petitioner's cancer was caused by her activities at the WTC site. The Appellate Division affirmed (86 AD3d 427 [1st Dept 2011]). We granted the Board of Trustees leave to appeal (18 NY3d 807 [2012]).

### *Macri*

Frank Macri, an NYPD police officer, was one of the first responders at the World Trade Center on September 11, 2001 and was on site when the first tower fell. Later that day, he received treatment for his injuries, which included multiple lacerations and smoke inhalation. A chest X ray taken at that time revealed no evidence of lung cancer. Over the next several months, Macri spent about 350 hours participating in the massive recovery and cleanup effort at both Ground Zero and the Fresh Kills Landfill. In July 2002, he sought treatment from an orthopedist for the sudden onset of pain in his back and thigh. The following month, Macri was diagnosed with lung cancer, which had metastasized to his sacrum. Despite years of treatment, the cancer spread, taking Macri's life in 2007.

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2. It is a "time-honored procedural practice" that a deadlock by the Board of Trustees on the issue of causation results in the denial of ADR benefits in favor of ODR benefits (see *Matter of Walsh v Scopetta*, 18 NY3d 850, 852 [2011] [internal quotation marks and citation omitted]).

Macri's wife, petitioner Nilda Macri, submitted an application for accidental line-of-duty death benefits based on Macri's service at the WTC and Fresh Kills Landfill sites. The Medical Board recommended disapproval, explaining that the discovery of metastatic lung cancer in the summer of 2002 precluded WTC exposure as the cause of Macri's cancer. On remand from the Board of Trustees, the Medical Board reaffirmed its prior determination. "[W]ith a high degree of certainty," the Medical Board stated that the lung cancer preexisted the events of September 11, 2001, noting that there was "substantial literature" quantitating the "doubling times" of primary pulmonary lung cancers.

In response, petitioner submitted statements from her husband's doctors to the Board of Trustees. Macri's treating oncologist, Dr. Jonathan Schwartz, opined that lung cancer was rare among young nonsmokers, like Macri, and that the "documented presence at high levels of carcinogenic substances in air/dust from the ground zero site, and increasing reports of malignancies in the group of first-responders all suggest a very plausible association" between his work and the onset of his lung cancer. In another submission, Macri's radiation oncologist, Dr. Jamie Cesaretti, indicated that the diagnosis of stage four cancer at "such a young age could be ascribed to 9/11 type exposure." Macri's surgeon, Dr. Scott Swanson, likewise asserted that it was "more reasonable than not" that Macri's WTC exposure precipitated his lung cancer, particularly since he was otherwise a "very healthy gentleman who is a life long nonsmoker." Based on this new evidence, the Board of Trustees remanded the case to the Medical Board for reconsideration.

The Medical Board adhered to its original recommendation to disapprove ADR benefits. It reiterated its reliance on unspecified "literature" analyzing lung cancer doubling times and stated that "copious data" of survival times, based on the stage of Macri's cancer when discovered, supported its conclusion that he had lung cancer before September 11, 2001. The Medical Board discounted the evidence offered by Macri's doctors, characterizing the submissions as mere attempts to raise a "specter of doubt" as to the etiology of his cancer. By a tie vote, the Board of Trustees denied WTC line-of-duty death benefits in favor of ODR survivor's benefits.

Petitioner brought this article 78 proceeding challenging the Board of Trustees' determination. Supreme Court granted the petition, annulled the determination and ordered the Board of

Trustees to award petitioner WTC death benefits (28 Misc 3d 504 [Sup Ct, NY County 2010]). The court concluded that the Board of Trustees' reliance on unspecified studies to establish that Macri's cancer predated and was not caused by his WTC exposure was insufficient to rebut the statutory presumption that his cancer was WTC-related. The Appellate Division affirmed (92 AD3d 53 [1st Dept 2011]). We granted leave to appeal to the Board of Trustees and Raymond Kelly, as Police Commissioner of the City of New York and Chairman of the Board of Trustees (collectively, the Board of Trustees) (18 NY3d 810 [2012]).

*Maldonado*

Beginning on September 12, 2001, petitioner Eddie Maldonado, an NYPD police officer, spent more than 40 hours working in connection with the recovery efforts at the WTC site. Prior to these WTC activities, in the summer of 2001, he noticed what he described as a "pulling sensation" in his left upper leg and, just prior to September 11th, he felt a walnut-sized lump in his left thigh. The mass grew to the size of a softball by November 2001, when a biopsy confirmed that it was cancerous.

Petitioner filed an application for ADR benefits predicated on his work at the WTC site. The Medical Board recommended disapproval because it found that "the proximity of the diagnosis of the disease to the September 11, 2001 World Trade Center exposure is competent evidence that the exposure was not the etiology of the sarcoma." Petitioner's oncologist, Dr. Max Sung, responded that there was a "possibility" that the WTC exposure "stimulated" and "accelerated" the growth of petitioner's tumor. The Medical Board rejected Dr. Sung's evidence as speculative and reaffirmed its previous decision. The Board of Trustees, by a tie vote, denied petitioner's application for ADR benefits and awarded him ODR benefits.

In his article 78 proceeding seeking to annul the Board of Trustees' denial of ADR benefits, petitioner urged that his cancer was aggravated by his exposure to the toxins at the WTC site. Supreme Court denied the petition and dismissed the proceeding. The Appellate Division affirmed, holding that "credible evidence supports the Medical Board's determination, adopted by the Board of Trustees, that the aggravation of petitioner's cancer was not caused by the World Trade Center site conditions" (86 AD3d 516, 520 [1st Dept 2011]). The Court therefore concluded that "respondents rebutted the World Trade

Center presumption” (*id.* at 520-521). We granted petitioner leave to appeal (18 NY3d 808 [2012]).

### III.

Addressing *Bitchatchi* and *Macri* first, the Board of Trustees contends that the courts below erred in annulling its determinations to deny ADR and line-of-duty death benefits. It acknowledges that the WTC presumption applies to these two cases but asserts that the Medical Board’s findings that the police officers’ cancers were not etiologically related to their WTC exposures were rationally based and met the competent evidence standard necessary to rebut the statutory presumption. The Board of Trustees submits that the courts below improperly weighed the evidence and substituted their own judgment for that of the Board. Petitioners respond that the Board of Trustees failed to adduce competent evidence to rebut the presumption and, as a result, they were properly awarded the benefit upgrades.

Although we have not had occasion to consider the WTC presumption, we have generally addressed the proper standard of judicial review of a split vote by the Board of Trustees that results in the denial of ADR benefits. A decision by the Board of Trustees that a disability was not caused by a service-related accident will be upheld provided it is supported by “credible evidence” in the record (*see Matter of Meyer v Board of Trustees of N.Y. City Fire Dept., Art. 1-B Pension Fund*, 90 NY2d 139, 147 [1997]; *Matter of Borenstein v New York City Employees’ Retirement Sys.*, 88 NY2d 756, 761 [1996]). Credible evidence “is evidence that proceeds from a credible source and reasonably tends to support the proposition for which it is offered” (*Meyer*, 90 NY2d at 147). Furthermore, “it must be evidentiary in nature and not merely a conclusion of law, nor mere conjecture or unsupported suspicion” (*id.*).

[1] The legislature created the WTC presumption to benefit first responders because of the evidentiary difficulty in establishing that non-trauma conditions, such as cancer, could be traced to exposure to the toxins present at the WTC site in the aftermath of the destruction. Hence, unlike ordinary ADR claimants, first responders need not submit any evidence—credible or otherwise—of causation to obtain the enhanced benefits. Nevertheless, the legislature did not create a per se rule mandating ADR benefits for all eligible responders. Rather, it provided that a pension fund could rebut the presumption by “competent

evidence.” Under this carefully calibrated framework, we believe that the competent evidence contemplated by the WTC presumption may be equated with the well-established credible evidence standard, provided that the pension fund bears the burden of coming forward with affirmative evidence to disprove causation (*see generally Matter of Goldman v McGuire*, 64 NY2d 1041 [1985], *affg for reasons stated below* 101 AD2d 768, 770 [1st Dept 1984] [treating competent evidence and credible evidence as interchangeable in the context of the Heart Bill statutory presumption]). In other words, unlike the typical application for disability benefits, a pension fund cannot deny ADR benefits by relying solely on the absence of evidence tying the disability to the exposure.

[2] Applying this standard, we agree with the courts below in both *Bitchatchi* and *Macri* that the presumption that the officers’ cancerous conditions were caused by their exposure at the WTC site was not rebutted by credible evidence and we therefore affirm. In *Bitchatchi*, the single journal article cited by the Medical Board to link petitioner’s cancer with her prior ulcerative colitis condition does not support its conclusion. Indeed, the article states that because of “the paucity of data in this realm, the long-term fate . . . in the surgical management of ulcerative colitis has yet to be determined.”<sup>3</sup> And even if petitioner’s previous condition put her at a higher risk than most others for this kind of cancer, that fact alone would not rebut her claim that her exposure to the WTC site caused the cancer. Moreover, although the Medical Board referred to “clinical data” as the basis for its view that the two-centimeter mass found in October 2002 would have taken more than 13 months to develop, it failed to include the actual data in the record, effectively precluding us from assessing whether its finding of no-causation was supported by credible evidence. Because the Medical Board bore the burden on the issue of causation, this deficiency in proof is fatal.

[3] Similarly, in *Macri*, the Medical Board referenced “literature” regarding cancer doubling times and “copious data” as to survival times in concluding that the lung cancer discovered in August 2002 likely predated September 11, 2001 and, therefore, was not caused by the officer’s WTC-related

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3. Jennifer Holder-Murray & Alessandro Fichera, *Anal transition zone in the surgical management of ulcerative colitis*, 15 World J Gastroenterology No. 7 at 769 (2009), available at <http://www.wjgnet.com/1007-9327/15/769.asp>.



exposures. But the Board failed to identify or include the specific literature or data upon which it relied, falling short of what is required by the statute. Even though petitioner did not bear the burden of proof on causation, she submitted letters from three oncologists opining that her husband's cancer was caused by his work at the WTC and Fresh Kills Landfill sites, particularly in view of his age and nonsmoker status. Consequently, we agree with the courts below that petitioner was entitled to WTC line-of-duty death benefits.

[4] We further reject the Board of Trustees' fallback contention in these two cases that, even if it failed to rebut the presumption, the courts below erred in awarding petitioners ADR and line-of-duty death benefits as a matter of law. The Board relies on *Matter of Canfora v Board of Trustees of Police Pension Fund of Police Dept. of City of N.Y., Art. II* (60 NY2d 347, 352 [1983])—a nonpresumption case—where we stated that “[t]he denial of accidental disability benefits in consequence of the tie vote can be set aside on judicial review only if the courts conclude that the retiree is entitled to the greater benefits as a matter of law.” In its view, since petitioners failed to affirmatively prove as a matter of law that the cancerous conditions were caused by working at the WTC site, they are not entitled to the enhanced benefits. At the very least, the Board asserts, the cases should be remanded for further administrative proceedings. But the Board misapprehends the significance of the WTC presumption. When the Board fails to rebut the presumption, the WTC statute presumes causation and contemplates the award of ADR benefits—even if the claimant offers no medical proof. In these two cases, the presumption was not rebutted and, therefore, petitioners were entitled to the benefit upgrades.

#### IV.

[5] Turning to *Maldonado*, the Board of Trustees raises a threshold argument that the WTC presumption is inapplicable in this case because petitioner concedes that he had cancer prior to September 11, 2001. The Board points out that the statutory definition of a qualifying World Trade Center condition requires that there be “no evidence of the qualifying condition or impairment of health that formed the basis for the disability . . . in the relevant medical records, prior to September eleventh, two thousand one” (Retirement and Social Security Law § 2 [36] [a] [iii]; *see also id.* [c] [v] [providing that the

presumption applies to “new onset diseases resulting from exposure” including cancer]; *cf. id.* [c] [iii], [iv] [describing other diseases where the presumption applies even in cases of aggravation]). Accordingly, the Board asserts that the burden of proof remained with petitioner to demonstrate that his exposure aggravated or exacerbated the preexisting cancer (*see Matter of Tobin v Steisel*, 64 NY2d 254, 257 [1985]). Although this may be a valid argument, the Board failed to preserve it for our review, so we apply the statutory presumption to petitioner’s claim that his cancer was aggravated by the exposure, as did the courts below.<sup>4</sup>

[6] Under the statutory burden of proof, we believe the Board of Trustees did not satisfactorily rebut the presumption with credible evidence. Petitioner’s cancerous tumor grew from the size of a walnut to a softball between September 2001 and November 2001. The Board and the courts below focused on the equivocal nature of the evidence submitted by petitioner in his attempt to demonstrate that the cancer was aggravated by his WTC exposure. In particular, they rejected the opinion of Dr. Sung provided in two letters as speculative and conjectural. But in light of the presumption, petitioner carried no burden to offer any evidence of causation. Simply put, the Board could not rely on petitioner’s deficiencies to fill its own gap in proof. Because the record contains no affirmative credible evidence to rebut the presumption, we reverse and hold that petitioner is entitled to ADR benefits.<sup>5</sup>

Accordingly, in *Bitchatchi*, the order of the Appellate Division should be affirmed, with costs; in *Maldonado*, the order of the Appellate Division should be reversed, with costs, the determination of the Board of Trustees of the New York City Police Department Pension Fund, Article II annulled, and the matter remitted to Supreme Court with directions to remand to the Board of Trustees for further proceedings in accordance with this opinion; and in *Macri*, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH and FIGOTT concur.

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4. Whether the statutory presumption applies to a claim that a preexisting cancer was aggravated by exposure to the WTC site therefore remains an open question.

5. Since petitioner has been receiving ODR benefits in the interim, the matter should be remitted for a recomputation of the appropriate level of benefits.

In *Matter of Bitchatchi v Board of Trustees of the N.Y. City Police Dept. Pension Fund, Art. II* and *Matter of Macri v Kelly*: Order affirmed, with costs.

In *Matter of Maldonado v Kelly*: Order reversed, with costs, determination of respondent Board of Trustees of the New York City Police Department Pension Fund, Article II, annulled and matter remitted to Supreme Court, New York County, with directions to remand to respondent Board of Trustees for further proceedings in accordance with the opinion herein.

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[982 NE2d 1248, 959 NYS2d 115]

In the Matter of ECHOSTAR SATELLITE CORPORATION, Appellant,  
v TAX APPEALS TRIBUNAL OF THE STATE OF NEW YORK et al.,  
Respondents.

Argued November 14, 2012; decided December 18, 2012

### SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered December 9, 2010, in a proceeding pursuant to CPLR article 78 (initiated in the Appellate Division pursuant to Tax Law § 2016). The Appellate Division (1) confirmed a determination of respondent Tax Appeals Tribunal which had sustained the denial of a sales and use tax refund, and (2) dismissed the petition.

*Matter of EchoStar Satellite Corp. v Tax Appeals Trib. of the State of N.Y.*, 79 AD3d 1307, reversed.

### HEADNOTE

**Taxation — Sales and Use Taxes — Resale Exemption — Application to Equipment Supplied to Satellite Television Programming Customers**

Petitioner satellite television provider's purchases of equipment that was used to deliver programming to its customers were exempt from sales and use taxes under the resale exemption in Tax Law § 1101 (b) (4) (i) (A). A purchaser who acquires an item for the purpose of sale or rental purchases it for resale within the meaning of section 1101 (b) (4) (i) (A). The satellite equipment purchased by petitioner was either sold to its customers, a transaction that was conceded to be eligible for the resale exemption, or furnished to the customers for a monthly fee. The latter arrangement qualified as a "lease," and consequently was a resale under the Tax Law. Petitioner's customer agreements were structured as leases, distinguishing the service component from the provision of equipment; the equipment rental fees were directly proportional to the number of receivers provided; and the equipment charges were separately delineated on monthly invoices. There was no distinction, for the purpose of the resale exclusion, between the outright purchase of equipment and its temporary transfer for valuable consideration. Both types of transactions fit comfortably within the statutory definition of "sale" as they involved either the transfer of title or possession. Furthermore, petitioner's provision of satellite equipment was far from "incidental" to its primary business, as petitioner's equipment charges were consistently part of its business model, either in the context of purchases or incorporated within its lease agreements. Moreover, retention by the State of the \$2 million in sales tax that petitioner collected from its customers when it leased the equipment in addition to the levy of \$1.8 million in use taxes on petitioner's equipment purchases from the manufacturers would amount to an unwarranted windfall to the State.

### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Sales and use Taxes §§ 42, 45, 49, 50, 84, 172–177.

McKINNEY'S, Tax Law § 1101 (b) (4) (i) (A); (5).

NY JUR 2d, Taxation and Assessment §§ 1695, 1696, 1716, 1717, 1719, 1799.

### ANNOTATION REFERENCE

Cable television equipment or services as subject to sales or use tax. 23 ALR6th 165.

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### POINTS OF COUNSEL

*Morrison & Foerster LLP*, New York City (*Paul H. Frankel*, *Irwin M. Slomka* and *Kara M. Kraman* of counsel), for appellant. I. The imposition of use tax on appellant's purchases of equipment is erroneous as a matter of law. (*Matter of Burger King v State Tax Commn.*, 51 NY2d 614; *Matter of American Molasses Co. v McGoldrick*, 281 NY 269; *Matter of Albany Calcium Light Co. v State Tax Commn.*, 44 NY2d 986; *Matter of Helmsley Enters. v Tax Appeals Trib. of State of N.Y.*, 187 AD2d 64, 81 NY2d 710.) II. The Appellate Division's decision violates the interests of substantial justice. III. The Appellate Division's decision sanctions the violation of the Equal Protection and Due Process Clauses of the U.S. Constitution. (*Nordlinger v Hahn*, 505 US 1.)

*Eric T. Schneiderman*, Attorney General, Albany (*Kathleen M. Arnold*, *Barbara D. Underwood* and *Andrew D. Bing* of counsel), for respondents. I. The Tax Appeals Tribunal rationally determined that petitioner did not purchase equipment for resale "as such" but as part and parcel of its primary business purpose of providing satellite TV programming services. (*Matter of AGL Welding Supply Co. v Commissioner of Taxation & Fin.*, 238 AD2d 734; *Matter of Savemart, Inc. v State Tax Commn.*, 105 AD2d 1001; *Matter of Albany Calcium Light Co. v State Tax Commn.*, 44 NY2d 986; *Matter of Waste Mgt. of N.Y. v Tax Appeals Trib. of State of N.Y.*, 185 AD2d 479; *Matter of 21 Club*,

*Inc. v Tax Appeals Trib. of State of N.Y.*, 69 AD3d 996; *Matter of U-Need-A-Roll Off Corp. v New York State Tax Commn.*, 67 NY2d 690; *Matter of Ace Provision & Luncheonette Supply v Chu*, 135 AD2d 1070; *Matter of Custom Mgt. Corp. v New York State Tax Commn.*, 148 AD2d 919; *Matter of Atlas Linen Supply Co. v Chu*, 149 AD2d 824; *Matter of Helmsley Enters. v Tax Appeals Trib. of State of N.Y.*, 187 AD2d 64.) II. This Court's decision in *Matter of Burger King v State Tax Commn.* (51 NY2d 614 [1980]) does not govern this case. (*Matter of American Molasses Co. v McGoldrick*, 281 NY 269; *Matter of Colgate-Palmolive-Peet Co. v Joseph*, 308 NY 333; *Matter of Dairylea Coop. v State Tax Commn.*, 41 AD2d 312; *Celestial Food of Massapequa Corp. v New York State Tax Commn.*, 63 NY2d 1020; *Matter of U-Need-A-Roll Off Corp. v New York State Tax Commn.*, 67 NY2d 690; *Servomation Corp. v State Tax Commn.*, 51 NY2d 608; *Matter of Helmsley Enters. v Tax Appeals Trib. of State of N.Y.*, 187 AD2d 64; *Matter of Atlas Linen Supply Co. v Chu*, 149 AD2d 824; *Matter of XO N.Y., Inc. v Commissioner of Taxation & Fin.*, 51 AD3d 1154; *Matter of Saltzman v New York State Tax Commn.*, 101 AD2d 910.) III. Petitioner's constitutional claims are unpreserved. (*Matter of XO N.Y., Inc. v Commissioner of Taxation & Fin.*, 51 AD3d 1154; *Matter of Peckham v Calogero*, 12 NY3d 424; *Matter of Aetna Cas. & Sur. Co. v Tax Appeals Trib. of State of N.Y.*, 214 AD2d 238.)

#### OPINION OF THE COURT

GRAFFEO, J.

On this appeal we are asked to determine whether a satellite television provider's purchases of equipment that is used to deliver programming to its customers were exempt from sales and use taxes under New York's Tax Law.

Petitioner EchoStar Satellite Corp. (EchoStar), a national satellite television provider, better known as "DISH Network," operates a number of orbital satellites that broadcast television signals directly to the homes of millions of its subscribers. In order to deliver the programming, EchoStar supplies a customer with a satellite dish and other equipment, including a "low-noise block feedhorn" (LNBF), a set-top box receiver, a switch and a remote control. The LNBF is a component part, attached to the dish, that receives the satellite signals and converts them to a lower frequency for transmittal to a receiver. The receiver, in turn, translates the data and projects images onto a television screen. The switch allows a subscriber to watch different programs on multiple receivers.



Prior to 2000, EchoStar required a subscriber to purchase the necessary equipment at the commencement of a service contract. In May 2000, it changed this practice and began renting the equipment to subscribers through customer lease agreements. Under this new procedure, EchoStar would take possession of the equipment upon the termination of a customer's programming service and refurbish the equipment for use by another subscriber.<sup>1</sup> Although EchoStar did not issue separate bills for the equipment rentals, its invoices separately listed a \$5 monthly "equipment fee" for each receiver. The lease agreement also indicated that the annual cost for an additional receiver was \$60, or \$5 per month.

Between March 2000 and February 2004, EchoStar did not pay sales or use taxes on its equipment purchases from the manufacturers. Instead, EchoStar collected sales taxes from its customers at the time the equipment was leased to them. The sales taxes collected from the subscribers—totaling approximately \$2 million—were remitted to the Department of Taxation and Finance (the Department). Following a lengthy audit in 2005, the Department issued a notice of determination assessing EchoStar an additional \$1.8 million in use taxes for the same period on the basis that EchoStar owed taxes at the time it purchased the equipment from manufacturers. When the Department refused to credit the \$2 million EchoStar had previously remitted toward the new assessment, EchoStar paid the additional taxes under protest.<sup>2</sup>

After a hearing, the Administrative Law Judge agreed with the Department's analysis and, on appeal, respondent Tax Appeals Tribunal (the Tribunal) upheld the notice of determination. Although EchoStar charged its customers an equipment fee, the Tribunal did not consider this arrangement the equivalent of a "lease" and it viewed the equipment as "purely incidental" to EchoStar's primary business of selling satellite television programming.

The Appellate Division confirmed the Tribunal's determination in a subsequent CPLR article 78 proceeding, similarly holding that "the equipment was provided as a part of petitioner's

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1. According to EchoStar's senior accounting manager, the company continued to offer the purchase option to its subscribers but approximately 90% of them elected to lease the equipment during the time period relevant to this proceeding.

2. Together with interest, this second payment totaled more than \$2.4 million.

services and the additional charge in its monthly bills was merely an ‘add-on’ for the use of the equipment, not a true rental” (*Matter of EchoStar Satellite Corp. v Tax Appeals Trib. of the State of N.Y.*, 79 AD3d 1307, 1309 [3d Dept 2010] [some internal quotation marks and punctuation omitted]). We granted EchoStar’s motion for leave to appeal (17 NY3d 701 [2011]).

Article 28 of the Tax Law sets forth the definitions of a “retail sale” and a “sale” and creates an exemption from sales and use taxes for purchases made for resale. Specifically, Tax Law § 1110 (a) states that “[e]xcept to the extent that property or services have already been or will be subject to the sales tax under this article, there is hereby imposed on every person a use tax for the use within this state . . . of any tangible personal property *purchased at retail*” (emphasis added).<sup>3</sup> A “retail sale” is described as “[a] sale of tangible personal property to any person for any purpose, other than . . . *for resale as such*” (Tax Law § 1101 [b] [4] [i] [A] [emphasis added]).<sup>4</sup> In other words, the statute imposes a use tax on EchoStar’s purchases except for property that is bought for “resale as such.” The resale exemption is the focus of EchoStar’s challenge to the Tribunal’s determination.

Although the statute does not define the term “resale,” we have deemed its definition to be coextensive with that of “sale” (see *Matter of Albany Calcium Light Co. v State Tax Commn.*, 44 NY2d 986, 987 [1978]). Tax Law § 1101 (b) (5) broadly provides that the term “sale” includes “[a]ny transfer of title or possession or both, . . . rental, lease or license to use or consume . . . in any manner or by any means whatsoever for a consideration, or any agreement therefor.” Hence, we have made clear that “a purchaser who acquires an item for the purpose of sale or rental . . . purchases it for resale within the meaning of the statute” (*Matter of Albany Calcium Light Co.*, 44 NY2d at 987).

EchoStar asserts that it obtained the satellite equipment in

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3. The use tax is generally employed “to complement the sales tax by taxing property brought into and used within the State under circumstances that prevent collection of the sales tax” (*Matter of Datascope Corp. v Tax Appeals Trib. of State of N.Y.*, 196 AD2d 35, 39 [3d Dept 1994]). In this case, EchoStar’s purchases of the equipment at issue occurred outside the state.

4. A “[p]urchase at retail” is similarly defined as “[a] purchase by any person for any purpose other than” for resale as such (Tax Law § 1101 [b] [1]).

order to resell or lease it to its customers, qualifying its equipment purchases for the resale exemption. Consistent with this position, it contends that it properly collected taxes upon the subsequent leases of the equipment to its subscribers. The Department concedes that in those instances when EchoStar's customers exercised the option to purchase the equipment, the transactions were eligible for the resale exclusion. But it maintains that the other arrangement—the furnishing of equipment for a monthly fee—did not qualify as a “lease” and, consequently, was not a resale under the Tax Law. The dispositive issue then is whether EchoStar “leased” the equipment to its customers within the meaning of the statute. We agree with EchoStar that it did and therefore reverse the order of the Appellate Division.

Our analysis begins with *Matter of Galileo Intl. Partnership v Tax Appeals Trib. of Dept. of Taxation & Fin. of State of N.Y.* (31 AD3d 1072 [3d Dept 2006]), which informs the outcome of this appeal. In *Galileo*, the Appellate Division upheld the Department's assessment of sales and use taxes on a company's provision of computer equipment to its service subscribers (*id.* at 1075). The company operated a proprietary computer reservation system through which its clients (mostly travel agencies) could obtain information and make reservations for flights, car rentals, hotels and cruises. Together with the software, the company furnished the subscribing agencies with computer equipment for use in accessing the system. The company retained title to the equipment and, presumably, the right to repossess it upon termination of the service agreement. In confirming the Department's determination that the provision of the equipment constituted a lease arrangement, the Appellate Division emphasized that the subscriber agreements were structured as leases, the contracts referred to the computers as being “leased,” the monthly charges were proportional to the volume of the equipment provided, and the travel agents could use the terminals for business purposes other than connection to the company's reservation system (*id.* at 1074-1075). As a result, the tax was properly imposed on the company's leasing of the equipment to its customers rather than at the time it purchased the equipment from manufacturers.

The Department's imposition of a use tax on EchoStar's initial procurement of the satellite equipment in this case is difficult to reconcile with *Galileo*, where it assessed the tax on the subsequent equipment leases. Moreover, nearly all of the factors

considered in *Galileo* to denote a lease are present here.<sup>5</sup> Competent evidence adduced at the administrative hearing indicates that EchoStar's customer agreements were structured as leases, distinguishing the service component from the provision of equipment; the equipment rental fees were directly proportional to the number of receivers provided; and the equipment charges were separately delineated on monthly invoices. The record demonstrates that EchoStar plainly satisfied its burden of proving that, as in *Galileo*, "the transfer of equipment was a lease and that such was a significant part of the transaction, not merely a trivial element of a contract for services" (*id.* at 1075). Hence, we conclude that EchoStar purchased the equipment for "resale" consistent with the definition of the tax exemption afforded by Tax Law § 1101 (b) (4) (i) (A).

Contrary to the Department's position, we see no distinction, for the purpose of the resale exclusion, between the outright purchase of equipment and its temporary transfer for valuable consideration. Both types of transactions fit comfortably within the statutory definition of "sale" as they involve either the transfer of title or possession (*see* Tax Law § 1101 [b] [5]). Furthermore, EchoStar's provision of satellite equipment is far from "incidental." Unlike the petitioner in *Matter of Albany Calcium Light Co.* (44 NY2d at 988), whose rental charges were conditioned on the customers' failure to timely return its property, EchoStar's equipment charges were consistently part of its business model, either in the context of purchases or incorporated within its lease agreements.

Finally, it cannot be overlooked that the result sought by the Department—the State's retention of the \$2 million in sales tax that EchoStar collected from its customers when it leased the equipment in addition to the levy of \$1.8 million in use taxes on EchoStar's equipment purchases from the manufacturers—would amount to an unwarranted windfall to the State (*see Matter of Burger King v State Tax Commn.*, 51 NY2d 614, 623 [1980] [the general purpose underlying our sales tax law "is to impose the tax only upon the sale to the ultimate consumer, at which time the price paid for the taxable item would presumably be at its highest"]; *Matter of Pantelopoulos v Commissioner*

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5. The Department attempts to distinguish *Galileo* on the basis that EchoStar's customers could not use the satellite equipment for any other purpose. However, we do not consider this distinction to be dispositive.

*of Taxation & Fin.*, 213 AD2d 768, 769 [3d Dept 1995]). As such, the determination of the Tax Appeals Tribunal must be annulled and EchoStar is entitled to a refund of the \$1.8 million payment plus interest.

Accordingly, the judgment should be reversed, with costs, respondent Tax Appeals Tribunal's determination annulled and the matter remitted to the Appellate Division, Third Department, with directions to remand to respondent Tax Appeals Tribunal for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges CIPARICK, READ, SMITH and FIGOTT concur.

Judgment reversed, with costs, determination of respondent Tax Appeals Tribunal annulled, and matter remitted to the Appellate Division, Third Department, with directions to remand to respondent Tax Appeals Tribunal for further proceedings in accordance with the opinion herein.

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[982 NE2d 1227, 959 NYS2d 94]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TAYDEN  
TOWNSLEY, Appellant.

Argued October 18, 2012; decided November 27, 2012

### SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered February 14, 2011. The Appellate Division denied defendant's application for a writ of error coram nobis to vacate an order of that Court entered June 26, 1997 (240 AD2d 955 [1997]), which had affirmed a judgment of the Sullivan County Court (Paul Czajka, J.), convicting defendant, upon a jury verdict, of murder in the second degree, criminal possession of a weapon in the second degree (two counts), attempted murder in the second degree, assault in the first degree, and criminal use of a firearm in the first degree (two counts).

*People v Townsley*, 2011 NY Slip Op 64401[U], affirmed.

### HEADNOTES

**Crimes — Right to Counsel — Effective Representation — Appellate Counsel — Failure to Argue That Trial Prosecutor's Conduct Created Ethical Conflicts for Defense Counsel**

1. Defendant was not deprived of the effective assistance of appellate counsel in the direct appeal from his conviction for murder and other offenses based on appellate counsel's failure to argue that the trial prosecutor's remarks regarding a jailhouse meeting between defendant's trial counsel and a man that the defense asserted to be the "real killer" subjected defendant's trial lawyers to ethical conflicts. The constitutional requirement of effective assistance of counsel is met where the attorney provided meaningful representation. Appellate lawyers have latitude in deciding which points to advance and need not argue every issue that may have merit. The mere fact that defendant's trial lawyers had met with defendant's accused, and that the jury knew of the meeting, did not create a conflict making it necessary or appropriate for the lawyers to testify (*see* Code of Professional Responsibility DR 5-102 [a] [22 NYCRR 1200.21 (a)]). The prosecutor presumably brought out the meeting to show that defendant's accused, whom the defense portrayed as a missing witness, was not wholly in the People's control—a legitimate, if peripheral, point. Furthermore, nothing in the record indicated that the defense lawyers could have said anything about the meeting that would have helped their client.

**Crimes — Right to Counsel — Effective Representation — Appellate Counsel — Failure to Argue That Trial Prosecutor's Conduct Created Ethical Conflicts for Defense Counsel**

2. Defendant was not deprived of the effective assistance of appellate counsel in the direct appeal from his conviction for murder and other offenses based



on appellate counsel's failure to argue that the trial prosecutor's remarks, during summation, regarding a jailhouse meeting between defendant's trial counsel and a man that the defense asserted to be the "real killer" subjected defendant's trial lawyers to ethical conflicts. The constitutional requirement of effective assistance of counsel is met where the attorney provided meaningful representation. Appellate lawyers have latitude in deciding which points to advance and need not argue every issue that may have merit. During summation the prosecutor referred to defense counsels' meeting with defendant's accused as a "little secret meeting" and suggested that counsels' purpose was "to see if he would help them save their client, say it wasn't him, say it was somebody else . . . get our boy and your friend off." While defendant argued that, in substance, the prosecutor accused defense lawyers of attempting during the jailhouse meeting to get defendant's accused to tell a false story that would exculpate defendant, defendant's appellate lawyer could reasonably have concluded that the record did not show that any accusation of criminal wrongdoing was made or required an inquiry into a possible conflict of interest under Code of Professional Responsibility DR 5-101 (a) (22 NYCRR 1200.20 [a]). While the prosecution's summation references to the meeting were inappropriate, it would have been reasonable for appellate counsel to conclude that reversal based on the trial court's failure to inquire into a potential conflict was unlikely. The prosecutor's argument did not say, and could reasonably be read not to imply, that the defense lawyers asked the other man to give false testimony.

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#### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Attorneys at Law §§ 187, 188; AM JUR 2d, Criminal Law §§ 1135–1139.

CARMODY-WAIT 2d, Officers of Court §§ 3:284, 3:285, 3:304, 3:393, 3:396; CARMODY-WAIT 2d, Right to Counsel §§ 184:162–184:165, 184:287.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.7, 11.9.

22 NYCRR 1200.20 (a); 1200.21 (a).

NY JUR 2d, Attorneys at Law §§ 93, 96, 423; NY JUR 2d, Criminal Law: Procedure §§ 864–870, 927.

#### ANNOTATION REFERENCE

Adequacy of defense counsel's representation of criminal client regarding appellate and post-conviction remedies. 15 ALR4th 582.

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#### POINTS OF COUNSEL

*Law Offices of Joel B. Rudin*, New York City (*Joel B. Rudin* of counsel), for appellant. Appellate counsel's failure to raise

three clearly meritorious issues, one of which he inexcusably failed even to perceive, in favor of issues he knew would be unsuccessful, violated appellant's constitutional right to the effective assistance of counsel. (*Strickland v Washington*, 466 US 668; *People v Baldi*, 54 NY2d 137; *People v Stultz*, 2 NY3d 277; *Evitts v Lucey*, 469 US 387; *Ramchair v Conway*, 601 F3d 66; *People v Droz*, 39 NY2d 457; *Murray v Carrier*, 477 US 478; *People v Caban*, 5 NY3d 143; *People v Jenkins*, 68 NY2d 896; *People v Rivera*, 71 NY2d 705.)

*James R. Farrell*, District Attorney, Monticello (*Bonnie M. Mitzner* and *Eamonn Neary* of counsel), for respondent. Appellant was not denied effective assistance of appellate counsel and the Appellate Division properly denied his application for coram nobis relief. (*People v Baldi*, 54 NY2d 137; *People v Benevento*, 91 NY2d 708; *People v Ellis*, 81 NY2d 854; *People v Berroa*, 99 NY2d 134; *People v Henry*, 95 NY2d 563; *People v Hobot*, 84 NY2d 1021; *People v Rivera*, 71 NY2d 705; *People v Satterfield*, 66 NY2d 796; *People v Modica*, 64 NY2d 828; *People v LaBree*, 34 NY2d 257.)

#### OPINION OF THE COURT

SMITH, J.

In this proceeding for a writ of error coram nobis, defendant claims that he was deprived of the effective assistance of appellate counsel in an earlier appeal. Specifically, he claims appellate counsel was at fault for failing to argue, on appeal, that the conduct of the prosecutor at trial subjected defendant's trial lawyers to ethical conflicts and thereby deprived defendant of the effective assistance of trial counsel. We hold that defendant has failed to demonstrate that his appellate counsel was ineffective.

#### I

Defendant was convicted in 1995 of murder, attempted murder, assault and weapons offenses after a trial in which witnesses testified that he shot two members of a rival drug gang, killing one and wounding the other. The theory of the defense at trial was that the "real killer" was not defendant, but the leader of defendant's gang, Simeon Nelson, known as "Sims," who, according to several witnesses' testimony, was present when the shootings took place. Nelson did not testify at trial. Defendant's request for a missing witness instruction was denied, but defense counsel made a missing witness argument

in summation: “Simeon Nelson, who you didn’t hear from, sits in the catbird seat this afternoon.”

The principal issues now before us arise from defense counsel’s effort to interview Nelson before trial, and the prosecutor’s attempts to use that effort to the People’s advantage. On cross-examination of defendant, the prosecutor established that, after the shootings, defendant and Nelson were incarcerated in the same jail at the same time. The prosecutor asked defendant if he and his lawyers had met with Nelson on the morning of the first day of trial. Defendant acknowledged that he had seen his lawyers meeting with Nelson that day, but denied that he had attended the meeting. Commenting in summation on this line of questioning by the prosecutor, defense counsel told the jury sarcastically: “Well, I’m sorry that the lawyers for [defendant] wanted the real killer to come forward.”

In the People’s summation, the prosecutor made the following comments about the meeting between Nelson and defense counsel:

“I went and found out about their little secret meeting on April 25th. The Defendant didn’t know that I knew, and he tried to backtrack and he tried to get flustered, and now the Defense lawyer told you it’s his duty and obligation to try to talk to the real killer.

“Is there any testimony by anyone in this trial that they spoke to Sims and confronted him? No. No lawyer for Legal Aid got on the stand and testified. You have no evidence . . . that they confronted Sims.

“No, they had their little meeting with Sims to see if he would help them save their client, say it wasn’t him, say it was somebody else, give us some information that could get our boy and your friend off.”

Defense counsel did not object either to the prosecutor’s questions about the jailhouse meeting or the argument based on it. Nor did defendant’s appellate counsel raise any issue relating to those questions or comments on the direct appeal from defendant’s conviction and sentence.

The Appellate Division affirmed on direct appeal (*People v Townsley*, 240 AD2d 955 [3d Dept 1997]). Some 12 years later, defendant moved under CPL 440.10 to set aside his conviction,

arguing among other things that the prosecutor had accused defense counsel of trying to fabricate a defense, with the result that defendant was deprived of his right to conflict-free counsel. County Court denied the CPL 440 motion, in part on the ground that the issue could have been raised on direct appeal. After the Appellate Division denied leave to appeal from the denial of the CPL 440 motion, defendant began the present coram nobis proceeding in the Appellate Division (*see People v Bachert*, 69 NY2d 593 [1987]), arguing that appellate counsel was ineffective for failing, among other things, to raise the conflict issue.

The Appellate Division denied coram nobis relief (2011 NY Slip Op 64401[U] [2011]). A Judge of this Court granted leave to appeal (17 NY3d 956 [2011]), and we now affirm.

## II

Defendant's principal argument proceeds in several stages. He argues that the prosecutor's trial tactics created ethical problems for defendant's trial counsel, who, according to defendant's present argument, were put in a position where they should have called themselves as witnesses, and were also personally accused of wrongdoing. These problems, defendant argues, should have led the trial court to conduct an inquiry and, unless the conflicts were validly waived, to disqualify trial counsel. The court's error in failing to proceed in this way, the argument continues, was so clear that appellate counsel's failure to argue it on appeal amounted to ineffective assistance of counsel.

The ultimate question raised by this argument is whether appellate counsel was ineffective. In addressing that question, we examine the merits of the underlying claim that trial counsel was conflicted, but in doing so we must remember that appellate counsel's omission of claims from his appellate brief "should not be second-guessed with the clarity of hindsight" (*People v Benevento*, 91 NY2d 708, 712 [1998]). The constitutional requirement of effective assistance of counsel is met where "the attorney provided meaningful representation" (*People v Baldi*, 54 NY2d 137, 147 [1981]). Appellate lawyers "have latitude in deciding which points to advance" and need not "brief or argue every issue that may have merit" (*People v Stultz*, 2 NY3d 277, 285 [2004]). In reviewing the performance of appellate counsel, "the minimum standard of performance required . . . is a very tolerant one" (*People v Turner*, 5 NY3d 476, 480 [2005]). Viewing the case in that light, we conclude that appellate counsel was not ineffective.

Defendant first contends that his lawyers were subject to a “conflict” because the prosecutor’s questioning and argument about defense counsel’s meeting with Nelson made the defense lawyers into necessary witnesses at trial. This argument lacks merit.

The word “conflict” does not fully describe what is sometimes called the “advocate-witness” problem. A lawyer who is both an advocate and witness does not necessarily have conflicting interests, though that possibility exists. But whether or not there is a conflict, such a mixture of roles may confuse the fact-finder and impair the fairness of the trial, and a lawyer is ethically required, subject to certain exceptions, to withdraw from a representation when he or she (in the words of the ethical rule as it existed when defendant was tried) “learns or it is obvious that the lawyer ought to be called as a witness on behalf of the client” (former Code of Professional Responsibility DR 5-102 [a] [22 NYCRR 1200.21 (a)]; *cf.* Rules of Professional Conduct [22 NYCRR 1200.0] rule 3.7 [a] [current, similar provision]). One of the exceptions—where withdrawal “would work a substantial hardship on the client because of the distinctive value of the lawyer as counsel in the particular case” (Code of Professional Responsibility DR 5-101 [b] [4] [22 NYCRR 1200.20 (b) (4)]; *cf.* Rules of Professional Conduct [22 NYCRR 1200.0] rule 3.7 [a] [3])—might be relevant here, but the point is moot because a reasonable appellate counsel could well have concluded that the trial lawyers did not need to be called as witnesses at all.

[1] The mere fact that defendant’s lawyers had met with Nelson, and that the jury knew of the meeting, did not make it either necessary or appropriate for the lawyers to testify. The prosecutor presumably brought out the meeting to show that Nelson, whom the defense portrayed as a missing witness, was not wholly in the People’s control—a legitimate, if peripheral, point that the testimony of defense counsel could hardly have refuted. Nothing in the record indicates that the defense lawyers could have said anything about the meeting that would have helped their client. It would no doubt be different if they could have testified that Nelson told them he committed the crimes, but there is no evidence that he told them anything of the kind.

Defendant’s second argument deserves more attention. It is, in substance, that the prosecutor accused the defense lawyers of criminal wrongdoing—of attempting to get Nelson to tell a false story that would exculpate the lawyers’ client. Such an accusation, while it would not automatically require disqualification,

would create at least a potential for conflict; when a lawyer's own conduct is in question, the lawyer may be impelled to protect himself at his client's expense (*see* Code of Professional Responsibility DR 5-101 [a] [22 NYCRR 1200.20 (a)]: "[A] lawyer shall not accept employment if the exercise of professional judgement on behalf of the client will be or reasonably may be affected by the lawyer's own . . . personal interests" [*cf.* Rules of Professional Conduct (22 NYCRR 1200.0) rule 1.7 (a) (2)]; *see also e.g. People v Konstantinides*, 14 NY3d 1 [2009]; *United States v Fulton*, 5 F3d 605 [2d Cir 1993]). In this case, however, defendant's appellate lawyer could reasonably have concluded that the record did not show that any such accusation was made.

The prosecutor's cross-examination of defendant about his lawyers' meeting with Nelson contained no suggestion of wrongdoing by defense counsel. It showed only that they had met with a possible witness—i.e., that they were doing their job. The prosecutor's remarks about the meeting in closing argument are more troublesome. It was entirely inappropriate for the prosecutor to refer to the defense lawyers' "little secret meeting" with Nelson and to suggest that their purpose was "to see if he would help them save their client, say it wasn't him, say it was somebody else . . . get our boy and your friend off." The argument suggested to the jury that there was something improper in a lawyer's interviewing a witness in the hope of getting favorable testimony. That is not in the least improper. It is what good lawyers do.

Thus, the prosecutor's closing argument warranted a rebuke from the trial judge. A reasonable appellate counsel could have concluded, however, that it warranted nothing more—specifically, that it did not warrant interrupting the trial to inquire whether defense counsel could still exercise independent judgment, and if not whether defendant would waive any conflict. It would have been reasonable for appellate counsel to conclude that a reversal based on the trial court's failure to make such an inquiry was highly unlikely.

[2] The prosecutor's closing argument did not say, and could reasonably be read not to imply, that the defense lawyers asked Nelson to give *false* testimony. Subornation of perjury is a serious crime, of course, but it hardly seems likely that the trial lawyers in this case should have believed, or did believe, that they were in danger of investigation or prosecution for committing it. In other cases in which the issue of defense counsel's



personal culpability has been raised, the lawyers seemed to have much more serious problems. In *Konstantinides*, a witness specifically claimed that a defense lawyer asked her to lie (14 NY3d at 6); in *Fulton*, a witness had told prosecutors “that he had once imported heroin for Fulton’s trial counsel” (5 F3d at 606).

In this case, the prosecutor’s comments about defense counsel were far less specific. Trial counsel, and a reasonable appellate counsel reviewing the record, could well have taken them as nothing more than an obnoxious, but essentially irrelevant, way of describing a defense lawyer’s legitimate activity. Now, in this coram nobis proceeding, defendant makes a perhaps plausible argument that the prosecutor’s remarks were more than that, but we do not find the argument “so compelling that a failure to make it amounted to ineffective assistance of counsel” (*People v Carter*, 7 NY3d 875, 877 [2006]).

Defendant’s remaining arguments do not require long discussion. While a few of the prosecutor’s other remarks on summation may have been objectionable, they were of minor importance. Appellate counsel was not ineffective because he chose not to make an issue of them on appeal.

Accordingly, the order of the Appellate Division should be affirmed.

CIPARICK, J. (dissenting). I believe defendant is entitled to coram nobis relief as he has demonstrated that he was denied effective assistance of appellate counsel due to counsel’s failure to argue on direct appeal that defendant’s trial counsel was ineffective. Thus, I respectfully dissent.

## I.

In June 1995, defendant was convicted of second degree murder, first degree assault, two counts of first degree criminal use of a firearm and two counts of second degree criminal possession of a weapon stemming from the fatal shooting of Lynell James and the wounding of Johmar Brangan.

The following facts were adduced at trial. In 1994, defendant worked as a courier in a low-level drug ring in South Fallsburg, New York led by Simeon Nelson, known as “Sims” or “Sim” (hereinafter Nelson or Sims). The ring conducted crack cocaine sales out of the apartment of Barbara Slater. On July 1, 1994, James was shot in the back of the head inside Slater’s apartment and Brangan was shot in the mouth and arm in the

hallway outside of the apartment. Police arrested defendant, whom witnesses identified as the assailant, 12 days later. Several of the People's eyewitnesses, including Slater and Brangan, placed both defendant and Nelson at the scene of the shootings but named defendant as the assailant.

Defendant's theory of the case was that Nelson shot James and Brangan and that the People's witnesses accused defendant in fear of Nelson. Defendant testified that he fled after witnessing the shootings and hid after learning from his brother that witnesses named him as the perpetrator. During defendant's cross-examination, the prosecutor sought to establish that defendant and his attorneys met with Nelson on the eve of trial to gain Nelson's acquiescence to the defense's strategy of shifting the blame to him. The prosecutor asked defendant, "Isn't it true that because Sims is your friend, you wanted to clear it with him . . . , like when I go to trial I'm going to say that you did it so that I can get off, but don't you be mad at me[?]" Defendant denied the allegation, stating that his attorneys instructed him not to discuss the case with anyone. The prosecutor then asked defendant whether he and his lawyers had a "get-together" at the jail with Nelson, "the same [person] . . . who you say committed the murder, not you[?]" Defendant responded that his lawyers met with Nelson, and that Nelson left within minutes of defendant's entry into the meeting. There is no indication from the record that either counsel or the court had any discussion with defendant regarding whether the prosecutor's cross-examination created a conflict for defense counsel.

During summation, defense counsel attempted to rebut the prosecutor's insinuation, stating, "I'm sorry that the lawyers for Tayden wanted the real killer to come forward . . . I'm sorry that Tayden's lawyers confronted Sim so that he would come clean." During the People's summation, the prosecutor responded:

"Is there any testimony by anyone in this trial that they spoke to Sims and confronted him? No. No lawyer for Legal Aid got on the stand and testified. You have no evidence, evidence, that they confronted Sims . . .

"So, don't get fooled by that kind of argument about . . . how their meeting with Sims was to confront the murderer."

The prosecutor also made various statements about the veracity of defendant's testimony. The prosecutor told the jurors, "For [defendant] to tell you that he carried no grudge [against Nelson] is a blatant lie," and that it was "reason enough to disregard everything that he has to say . . . as a total fabrication." Additionally, the prosecutor repeatedly described defendant as a self-proclaimed "altar boy" and, sarcastically, as a "family man" and "paragon of virtue." Moreover, in explaining that the People were not required to establish a motive for the crime, the prosecutor referred to the Oklahoma City bombings, which had taken place the week prior to closing arguments, stating: "Why did somebody blow up the building in Oklahoma? Does any motive make sense. Of course not. Can you give a logical reason for such a horrible illogical act? Of course not." With one exception, defense counsel did not object to these remarks. Finally, the prosecutor instructed the jury that it was not necessary to consider the charges, stating:

"The charges here don't matter anymore because the Defendant says he didn't do it. He didn't say the crimes weren't committed . . .

"If the gun is in the Defendant's hand, then he's guilty of every crime charged, every crime. You don't have to decide what was his state of mind, what did he intend to do, what did he really mean to do, because that's conceded . . .

"So, the criminal charges now you don't really have to deliberate very much over."

Defendant was convicted and sentenced to 37½ years to life in prison. On direct appeal, defendant was represented by court-appointed appellate counsel who raised several grounds for reversal but did not challenge trial counsel's effectiveness. The Appellate Division affirmed the conviction (*People v Townsley*, 240 AD2d 955 [3d Dept 1997], *lv denied* 90 NY2d 943 [1997]). Thereafter, defendant's pro se habeas corpus petition was denied (*Townsley v Portuondo*, 99 Civ 02476 [SD NY 2002]). In 2009, defendant moved to vacate his conviction under CPL 440.10, arguing that his trial counsel was conflicted and rendered ineffective assistance. County Court denied the motion on the ground that the claims should have been asserted on defendant's direct appeal. In 2011, defendant petitioned for a writ of error coram nobis. In support of the petition, defendant submitted an affirmation from his former appellate counsel, who

stated that “[a]t the time of Townsley’s appeal, [he] did not make any professional judgment not to raise the conflict issue” and “did not perceive the conflict of interest issue.” Counsel also stated that he “[could] not recall [his] thought process in connection with the omission from Townsley’s appellate brief of any ineffective assistance of trial counsel claims.” The Appellate Division denied defendant’s petition without opinion (2011 NY Slip Op 64401[U] [2011]). A Judge of this Court granted defendant leave to appeal (17 NY3d 956 [2011]) and the majority now affirms that order.

## II.

Criminal defendants “have a federal and state constitutional right to effective assistance of appellate counsel” (*People v Stultz*, 2 NY3d 277, 282 [2004]; see *People v Borrell*, 12 NY3d 365, 368 [2009]). Appellate advocates are held to the same standard of “meaningful representation” established in *People v Baldi* (54 NY2d 137, 147 [1981]) to evaluate the efficacy of trial counsel (see *Stultz*, 2 NY3d at 284 [explaining that it would be “inapt to have one standard for trials and another for appeals”]). A defendant claiming that he was not afforded meaningful representation “must demonstrate the absence of strategic or other legitimate explanations for counsel’s allegedly deficient conduct” (*People v Caban*, 5 NY3d 143, 152 [2005] [internal quotation marks omitted]). “Absent such a showing, it will be presumed that counsel acted in a competent manner and exercised professional judgment” (*People v Rivera*, 71 NY2d 705, 709 [1988]).

We have clarified the *Baldi* standard as applied to appellate counsel, stating:

“Appellate advocacy is meaningful if it reflects a competent grasp of the facts, the law and appellate procedure, supported by appropriate authority and argument. Effective appellate representation by no means requires counsel to brief or argue every issue that may have merit. When it comes to the choice of issues, appellate lawyers have latitude in deciding which points to advance and how to order them” (*Stultz*, 2 NY3d at 285).

“The essential inquiry in assessing the constitutional adequacy of appellate representation is, then, not whether a better result might have been achieved, but whether, viewed objectively,

counsel's actions are consistent with those of a reasonably competent appellate attorney" (*Borrell*, 12 NY3d at 368).

Applying these standards, we have "recognize[d] that in making appellate arguments, attorneys must evaluate the performance of trial counsel and, when appropriate, raise claims of ineffective representation" (*Stultz*, 2 NY3d at 287). In *People v Turner* (5 NY3d 476 [2005]), for example, we declared an appellate attorney's representation deficient where, despite an otherwise competent performance, the attorney elected not to argue that trial counsel was ineffective in failing to argue that the charge of manslaughter was time-barred (*see id.* at 480-481). We concluded that because the statute of limitations defense "was a winning argument[,] trial counsel could not reasonably have thought that the defense was not worth raising; [therefore,] appellate counsel could not reasonably have thought that she should not argue trial counsel's ineffectiveness" (*id.* at 481).

Here, defendant contends his appellate counsel was ineffective in failing to raise the issue that defendant's trial counsel labored under a conflict of interest and was otherwise ineffective in failing to object to the prosecutor's inflammatory statements. Consistent with *Turner*, the question of appellate counsel's effectiveness depends on the strength of defendant's underlying claims regarding his trial counsel's allegedly deficient performance (*see* 5 NY3d at 481).

It has long been established that constitutionally adequate criminal representation must be "conflict-free and singlemindedly devoted to the client's best interests" (*People v Ennis*, 11 NY3d 403, 409-410 [2008], quoting *People v Harris*, 99 NY2d 202, 209 [2002]; *see also People v Ortiz*, 76 NY2d 652, 657 [1990]). "Initially it is defense counsel's burden to recognize the existence of a potential conflict of interest, to alert both the client and the court to the potential risks involved, and to obtain the client's informed consent to counsel's continued representation despite those risks" (*People v McDonald*, 68 NY2d 1, 8 [1986]; *see People v Wandell*, 75 NY2d 951, 952 [1990]; *People v Lloyd*, 51 NY2d 107, 111 [1980]). When a defendant claims on appeal that his or her trial counsel's representation was compromised by a conflict of interest the court must conduct a two-part inquiry to determine first whether a conflict of interest exists, and second, whether the conflict operated on the representation (*see People v Konstantinides*, 14 NY3d 1, 10 [2009]; *Ennis*, 11 NY3d at 410; *Ortiz*, 76 NY2d at 657).

Defendant argues that his trial counsel became conflicted under the “advocate-witness” rule because the prosecutor insinuated during defendant’s cross-examination that the lawyers colluded with Nelson and defendant to concoct a false defense, creating a need for the lawyers to testify regarding the true nature of their meeting with Nelson. In my view, that would have been a winning argument on direct appeal.

“Recognizing that the roles of an advocate and of a witness are inconsistent,” the ethical rules governing the practice of law “direct[ ] that a lawyer who *ought to be called* as a witness on behalf of his client shall withdraw from the conduct of the trial” (*S & S Hotel Ventures Ltd. Partnership v 777 S. H. Corp.*, 69 NY2d 437, 444 [1987], citing former Code of Professional Responsibility DR 5-102 [a]; DR 5-105 [a] [former 12 NYCRR 1200.21 (a); 1200.24 (a) (repealed eff Apr. 1, 2009)]).<sup>1</sup> Accordingly, a lawyer whose testimony is likely to be necessary will be disqualified, with necessity measured by “such factors as the significance of the matters, weight of the testimony, and availability of other evidence” (*id.* at 446).

The majority rejects defendant’s claim, holding that “[t]he mere fact that defendant’s lawyers had met with Nelson, and that the jury knew of the meeting, did not make it either necessary or appropriate for the lawyers to testify” (majority op at 299). However, the prosecutor’s cross-examination did not merely elicit that a meeting took place. The prosecutor sought to bring out that “because Sims is [defendant’s] friend” defendant wanted to “clear . . . with him” that he was going to blame Sims for the shootings so that he “c[ould] get off.” What immediately followed were questions to establish that defendant and his attorneys met with Nelson on the eve of trial: “[D]id you not have a get-together with you and Simeon Nelson and your lawyers, on the morning of April 25th, for an hour and a half, at the Sullivan County Jail[?] . . . the same Simeon Nelson . . . who you say committed the murder, not you[?]” In my view, the clear import of that line of questioning was to insinu-

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1. The Rules of Professional Conduct currently provide that “[a] lawyer shall not act as advocate before a tribunal in a matter in which the lawyer is likely to be a witness on a significant issue of fact unless . . . (1) the testimony relates solely to an uncontested issue; (2) the testimony relates solely to the nature and value of legal services rendered in the matter; or (3) disqualification of the lawyer would work substantial hardship on the client” (Rules of Professional Conduct [22 NYCRR 1200.0] rule 3.7 [a]).



ate that the purpose of the meeting was to gain Nelson's cooperation in a fabricated theory of defense and that the lawyers played an active role in that scheme.<sup>2</sup>

Because the entire theory of defense was that Nelson, rather than defendant, was the perpetrator, the People's suggestion that the defense was manufactured with Nelson's participation was highly significant. The majority opines, however, that "[n]othing in the record indicates that the defense lawyers could have said anything about the meeting [in testimony] that would have helped their client" (majority op at 299). I disagree. If that were truly the case, defense counsel would not have felt compelled to attempt to repair the damage by asserting in summation that the attorneys "confronted Sim so that he would come clean" and to get "the real killer to come forward." That the attorneys' sworn testimony was necessary to address the People's accusation is made plain by the prosecutor's remark that "[n]o lawyer for Legal Aid got on the stand and testified. You have no evidence, evidence, that they confronted Sims."

Despite this indication that defense counsel became conflicted under the advocate-witness rule, nothing in the record shows that the attorneys alerted the court or defendant to the existence of the conflict, or that the court undertook any inquiry into whether defendant knew the risks of continuing with his current representation and had waived those risks (*see McDonald*, 68 NY2d at 8). Given that the court failed to obtain defendant's knowing, voluntary waiver of the conflict, appellate counsel would only have had to demonstrate that the conflict operated on the defense in order to obtain a reversal of defendant's conviction (*see Ortiz*, 76 NY2d at 657). That standard could have been met in light of defense counsel's attempt in summation to rebut the People's allegations in what can fairly be categorized as their unsworn testimony.

The potency of this conflict as grounds for reversal "should have been apparent to any reasonable appellate counsel, and should have prompted that counsel to make an ineffective assistance argument" (*Turner*, 5 NY3d at 483). Indeed, appellate counsel's affirmation that he "did not make any professional

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2. For this same reason, I cannot agree with the majority's assertions—rejecting defendant's additional claim that his counsel became conflicted by the prosecutor's allegation of criminal wrongdoing—that the cross-examination "contained no suggestion of wrongdoing by defense counsel" and that "defendant's appellate lawyer could reasonably have concluded that the record did not show that any such accusation was made" (majority op at 300).

judgment not to raise the conflict issue” and, in fact, “did not perceive the conflict of interest issue,” demonstrates that his conduct lacked any strategic basis (*see Rivera*, 71 NY2d at 709). To be sure, appellate counsel drafted a thorough brief, raising six grounds for reversal and challenging the severity of defendant’s sentence. However, because conflict-free representation is nothing short of fundamental, I find appellate counsel’s failure to raise trial counsel’s ineffectiveness “so egregious and prejudicial as to [have] deprive[d] . . . defendant of his constitutional right” to meaningful appellate advocacy (*Turner*, 5 NY3d at 480 [internal quotation marks omitted]).

The omission of that argument on defendant’s direct appeal is all the more glaring when one considers trial counsel’s failure to object to numerous questionable remarks during the People’s summation. Specifically, defendant points to the prosecutor’s many comments on witness credibility, including his characterization of defendant’s testimony about his personal feelings toward Nelson—evidence of which could only come from defendant—as a “blatant lie” that should prompt the jury to “disregard everything that [defendant] has to say.” Defendant also cites the prosecutor’s efforts to assail defendant’s character (including repeated sarcastic references to defendant as an “altar boy”), his attempt to draw a parallel to the recent terrorist attack in Oklahoma City, and, perhaps most egregious, his instruction to the jury to disregard the elements of the charged offenses.

Under our relevant precedents, defendant’s trial counsel had clear bases for objecting to these inflammatory statements (*see People v Bailey*, 58 NY2d 272, 277 [1983] [(“A) prosecutor may not, either in the course of closing argument or even in a less argumentative trial context, express his or her personal belief or opinion as to the truth or falsity of any testimony or evidence”] [internal quotation marks omitted]; *People v Wright*, 41 NY2d 172, 175 [1976] [condemning the prosecutor’s remarks regarding the defendant’s character as improper and “not fairly inferable from the evidence”]; *People v Flynn*, 79 NY2d 879, 881-882 [1992] [declaring it “well settled that all the elements of an indicted crime which are not conceded by defendant or defendant’s counsel must be charged” to the jury]). The attorneys’ reticence in the face of this prejudicial rhetoric is not as clear-cut a basis for a finding of ineffectiveness as their apparent conflict; nonetheless, it only enhances what a reasonable appellate attorney should have identified as defendant’s winning ineffectiveness claim.

Accordingly, I would reverse the order of the Appellate Division and grant the coram nobis relief defendant seeks.

Judges GRAFFEO, READ and PIGOTT concur with Judge SMITH; Judge CIPARICK dissents and votes to reverse in a separate opinion in which Chief Judge LIPPMAN concurs.

Order affirmed.

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[982 NE2d 609, 958 NYS2d 689]

IRB-BRASIL RESSEGUROS, S.A., Respondent, v INEPAR INVESTMENTS, S.A., Defendant, and INEPAR S.A. INDUSTRIA E CONSTRUÇÕES, Appellant.

Argued October 11, 2012; decided December 18, 2012

### SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 26, 2011. The Appellate Division modified, on the law, a judgment of the Supreme Court, New York County (Shirley Werner Kornreich, J.), in favor of plaintiff and against defendants in the principal amount of \$27,772,409.86, plus interest at the rate of 9.9% per annum from October 22, 2009 and postjudgment interest at a rate of 9.9% per annum. The modification consisted of limiting the rate of postjudgment interest to the statutory rate of 9% per annum. The Appellate Division affirmed the judgment as modified.

*IRB-Brazil Resseguros, S.A. v Inepar Invs., S.A.*, 83 AD3d 573, affirmed.

### HEADNOTE

**Conflict of Laws — Law Governing Contract Actions — New York Choice-of-Law Provision — Conflict-of-Laws Analysis Not Required**

In an action in which plaintiff sought to recover unpaid principal in the amount of \$14 million plus accrued interest on notes issued and guaranteed by defendant foreign companies, the express New York choice-of-law provisions in the governing agreements required application of New York substantive law without the need for a conflict-of-laws analysis. General Obligations Law § 5-1401 (1) provides that parties to a contract arising out of a transaction covering \$250,000 or more may agree that the laws of New York will govern their rights and obligations regardless of whether the contract bears a reasonable relation to New York. General Obligations Law § 5-1402 (1) makes New York courts available to parties who lack New York contacts, but who have engaged in a transaction involving \$1 million or more, agreed in their contract to submit to the jurisdiction of New York courts and chosen to apply New York law pursuant to section 5-1401. Here, New York substantive law governed, since the parties designated New York in their choice-of-law provision in the guarantee and the transaction exceeded \$250,000. Furthermore, express contract language excluding New York's conflict-of-laws principles was not necessary. To require courts to engage in a conflict-of-laws analysis despite the parties' plainly expressed desire to apply New York law would frustrate the legislature's purpose of encouraging a predictable contractual choice of New York commercial law and of eliminating uncertainty regarding the governing law.

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Conflict of Laws §§ 1, 78, 81; AM JUR 2d, Contracts §§ 261-263.  
MCKINNEY'S, General Obligations Law §§ 5-1401 (1); 5-1402 (1).  
NY JUR 2d, Conflict of Laws §§ 2, 33-36; NY JUR 2d, Courts and Judges § 588.

**ANNOTATION REFERENCE**

Validity of contractual provision limiting place or court in which action may be brought. 31 ALR4th 404.

**FIND SIMILAR CASES ON WESTLAW®**

Database: NY-ORCS

Query: choice-of-law /3 provision /p conflict-of-law /2 analysis

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**POINTS OF COUNSEL**

*Hoguet Newman Regal & Kenney, LLP*, New York City (*Fred-eric S. Newman* and *Helene R. Hechtkopf* of counsel), for appellant. I. The decision below misread both New York General Obligations Law § 5-1401 and the choice-of-law provision contained in the guarantee. (*City of Sterling Hgts. Police & Fire Retirement Sys. v Abbey Natl., PLC*, 423 F Supp 2d 348; *Carlos v Philips Bus. Sys., Inc.*, 556 F Supp 769; *Colt Indus., Inc. v Fidelco Pump & Compressor Corp.*, 700 F Supp 1330; *600 Grant St. Assoc. Ltd. Partnership v Leon-Dielmann Inv. Partnership*, 681 F Supp 1062; *Indosuez Intl. Fin. v National Reserve Bank*, 98 NY2d 238; *Lake County v Rollins*, 130 US 662; *Hooper Assoc. v AGS Computers*, 74 NY2d 487; *Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574; *Auten v Auten*, 308 NY 155; *Haag v Barnes*, 9 NY2d 554.) II. A proper conflicts analysis requires that Brazilian law apply to the guarantee and in Brazil the guarantee is void. (*Indosuez Intl. Fin. v National Reserve Bank*, 98 NY2d 238; *Zurich Ins. Co. v Shearson Lehman Hutton*, 84 NY2d 309; *Pension Comm. of Univ. of Montreal Pension Plan v Banc of Am. Sec., LLC*, 446 F Supp 2d 163; *Hart v General Motors Corp.*, 129 AD2d 179; *Edgar v MITE Corp.*, 457 US 624; *Memphis Biofuels, LLC v Chickasaw Nation Indus., Inc.*, 585 F3d 917; *Sanderlin v Seminole Tribe of Fla.*, 243 F3d 1282.)

*Skadden, Arps, Slate, Meagher & Flom LLP*, New York City (*Lea Haber Kuck*, *Elizabeth A. Hellmann*, *Sarah H. Yardeni* and

*Amanda Raymond Kalantirsky* of counsel), for respondent. I. The Appellate Division correctly concluded that, under General Obligations Law § 5-1401, New York law governs this dispute. (*Scherk v Alberto-Culver Co.*, 417 US 506; *Tosapratt, LLC v Sunset Props., Inc.*, 86 AD3d 768; *Bank of Am. Natl. Trust & Sav. Assn. v Envases Venezolanos, S.A.*, 740 F Supp 260, *affd sub nom. First Natl. Bank Md. v Envases Venezolanos*, 923 F2d 843; *McPhee v General Elec. Intl., Inc.*, 736 F Supp 2d 676; *Economu v Borg-Warner Corp.*, 652 F Supp 1242, 829 F2d 311; *Matter of Propulsora Ixtapa Sur, S.A. De C.V. [Omni Hotels Franchising Corp.]*, 211 AD2d 546; *Mechoshade Corp. v Designed Performance Assoc., Inc.*, 11 Misc 3d 1081[A], 2006 NY Slip Op 50636[U]; *Sun Forest Corp. v Shvili*, 152 F Supp 2d 367; *Philips Credit Corp. v Regent Health Group, Inc.*, 953 F Supp 482; *600 Grant St. Assoc. Ltd. Partnership v Leon-Dielmann Inv. Partnership*, 681 F Supp 1062.) II. Even under a common-law conflict-of-laws analysis, New York law governs. (*Matter of Allstate Ins. Co. [Stolarz—New Jersey Mfrs. Ins. Co.]*, 81 NY2d 219; *Indosuez Intl. Fin. v National Reserve Bank*, 98 NY2d 238; *SNS Bank v Citibank*, 7 AD3d 352; *J. Aron & Co. v Chown*, 231 AD2d 426; *Pension Comm. of Univ. of Montreal Pension Plan v Banc of Am. Sec., LLC*, 446 F Supp 2d 163; *Zurich Ins. Co. v Shearson Lehman Hutton*, 84 NY2d 309; *Welsbach Elec. Corp. v MasTec N. Am., Inc.*, 7 NY3d 624; *Finucane v Interior Constr. Corp.*, 264 AD2d 618; *Hart v General Motors Corp.*, 129 AD2d 179; *Edgar v MITE Corp.*, 457 US 624.)

#### OPINION OF THE COURT

Chief Judge LIPPMAN.

The issue before the Court is whether a conflict-of-laws analysis must be undertaken when there is an express choice of New York law in the contract pursuant to General Obligations Law § 5-1401. We hold that the need for a conflict-of-laws analysis is obviated by the terms of the parties' agreement.

Defendant Inepar S.A. Industria e Construções (IIC) is a Brazilian power company which held a 60% stake in defendant Inepar Investments, S.A. (Inepar), a corporation organized under the laws of Uruguay. IIC specializes in providing equipment and services for the generation, transmission, distribution, and consumption of electric power.

In September 1996, Inepar issued \$30 million in Global Notes in the Guaranteed Euro Medium-Term Note Program (the



Global Note Program) in order to raise capital and refinance debt previously incurred by Inepar and IIC. The Global Notes were denominated in U.S. dollars, issued on September 30, 1996, matured on October 1, 2001, and paid interest at a fixed rate of 9.9% per annum. A Fiscal Agency Agreement (the Agreement) between Inepar as issuer, IIC as guarantor, and the Chase Manhattan Bank as the fiscal and paying agent, governed the Global Note Program. IIC provided in a Guarantee to “unconditionally and irrevocably guarantee . . . the due and punctual payment of principal and interest” under the terms of the Global Notes. The Agreement stated that “[t]his Agreement, the Notes, and the Guarantees shall be governed by, and construed in accordance with, the laws of the State of New York, without regard to conflict of laws principles.” The Guarantee provided that it would be “governed by, and . . . be construed in accordance with, the laws of the State of New York.” New York was designated as the venue in the Guarantee, and thereunder IIC submitted to the jurisdiction of New York courts.

Plaintiff IRB-Brasil Resseguros, S.A. (IRB), a 50% state-owned corporation organized under the laws of Brazil, bought \$14 million of Inepar’s Global Notes through brokers Smith Barney and Lehman Brothers. IRB received eight interest payments on the Global Notes between April 1997 and October 2000. The interest payments ceased after October 2000, and IRB never received the payment of the principal of \$14 million from either IIC or Inepar.

IRB commenced the instant action against IIC and Inepar seeking payment of the Global Note principal and the unpaid accrued interest. Inepar defaulted in this action, and IIC moved for summary judgment, arguing that the Guarantee was void under Brazilian law because it was never authorized by IIC’s board of directors. IIC claimed that New York’s conflict-of-laws principles should apply, resulting in the application of Brazilian substantive law. IRB also moved for summary judgment. Supreme Court denied IIC’s motion and granted IRB summary judgment on the issue of liability only. A Special Referee appointed to hear and determine the issue of damages directed that judgment be entered against IIC in the sum of \$27,772,409.86 and that interest on the award be paid at a 9.9% rate. Supreme Court ruled that “a choice-of-law clause in the agreement denoting that New York law governs the parties[’] rights and obligations, shall be given mandatory effect” under

General Obligations Law § 5-1401 (2009 NY Slip Op 31723[U], \*16 [Sup Ct, NY County 2009]).

The Appellate Division modified the judgment only to the extent of limiting the rate of postjudgment interest to the statutory rate of 9% per year, and otherwise affirmed (83 AD3d 573 [1st Dept 2011]). This Court granted leave to appeal (17 NY3d 717 [2011]), and we now affirm.

General Obligations Law § 5-1401 (1) states in relevant part:

“The parties to any contract . . . arising out of a transaction covering in the aggregate not less than two hundred fifty thousand dollars . . . may agree that the law of this state shall govern their rights and duties in whole or in part, whether or not such contract, agreement or undertaking bears a reasonable relation to this state.”

The Legislature passed the statute in 1984 in order to allow parties without New York contacts to choose New York law to govern their contracts. Prior to the enactment of section 5-1401, the Legislature feared that New York courts would not recognize “a choice of New York law [in certain contracts] on the ground that the particular contract had insufficient ‘contact’ or ‘relationship’ with New York” (Sponsor’s Mem, Bill Jacket, L 1984, ch 421 at 8). Instead of applying New York law, the courts would conduct a conflicts analysis and apply the law of the jurisdiction with “ ‘the most significant relationship to the transaction and the parties’ ” (*Zurich Ins. Co. v Shearson Lehman Hutton*, 84 NY2d 309, 317 [1994] [quoting Restatement (Second) of Conflict of Laws § 188 (1)]). As a result, parties would be deterred from choosing the law of New York in their contracts, and the Legislature was concerned about how that would affect the standing of New York as a commercial and financial center (see Sponsor’s Mem, Bill Jacket, L 1984, ch 421). The Sponsor’s Memorandum states, “In order to encourage the parties of significant commercial, mercantile or financial contracts to choose New York law, it is important . . . that the parties be certain that their choice of law will not be rejected by a New York Court” (*id.* at 8). The Legislature desired for parties with multi-jurisdictional contacts to avail themselves of New York law if they so designate in their choice-of-law provisions, in order to eliminate uncertainty and to permit the parties to choose New York’s “well-developed system of commercial jurisprudence” (*id.* at 7).

General Obligations Law § 5-1402 (1) further provides:

“any person may maintain an action or proceeding against a foreign corporation, non-resident, or foreign state where the action or proceeding arises out of or relates to any contract, agreement or undertaking for which a choice of New York law has been made in whole or in part pursuant to section 5-1401 and which (a) is a contract, agreement or undertaking, contingent or otherwise, in consideration of, or relating to any obligation arising out of a transaction covering in the aggregate, not less than one million dollars, and (b) which contains a provision or provisions whereby such foreign corporation or non-resident agrees to submit to the jurisdiction of the courts of this state.”

Section 5-1402 (1) opened New York courts up to parties who lacked New York contacts but who had (1) engaged in a transaction involving \$1 million or more, (2) agreed in their contract to submit to the jurisdiction of New York courts, and (3) chosen to apply New York law pursuant to General Obligations Law § 5-1401. The statutes read together permit parties to select New York law to govern their contractual relationship and to avail themselves of New York courts despite lacking New York contacts.

Applying General Obligations Law §§ 5-1401 and 5-1402 to the facts of the present case, we conclude that New York substantive law must govern, since the parties designated New York in their choice-of-law provision in the Guarantee and the transaction exceeded \$250,000. IIC argues that the “whole” of New York law should apply, including New York’s common-law conflict-of-laws principles. IIC maintains that the Guarantee’s choice-of-law provision would have had to expressly exclude New York’s conflict-of-laws principles in order for New York substantive law to apply; otherwise, IIC claims that the court must engage in a conflicts analysis that results in the application of Brazilian substantive law. IIC’s argument is unpersuasive. Express contract language excluding New York’s conflict-of-laws principles is not necessary. The plain language of General Obligations Law § 5-1401 dictates that New York substantive law applies when parties include an ordinary New York choice-of-law provision, such as appears in the Guarantee, in their contracts. The goal of General Obligations Law § 5-1401 was to promote and preserve New York’s status as a com-

mercial center and to maintain predictability for the parties. To find here that courts must engage in a conflict-of-laws analysis despite the parties' plainly expressed desire to apply New York law would frustrate the Legislature's purpose of encouraging a predictable contractual choice of New York commercial law and, crucially, of eliminating uncertainty regarding the governing law.

The Restatement (Second) of Conflict of Laws supports our conclusion that an express exclusion of New York's conflict-of-laws rules is unnecessary. According to the Restatement (Second) of Conflict of Laws § 187 (3), "[i]n the absence of a contrary indication of intention, the reference [to the law of the state chosen by the parties] is to the local law of the state of the chosen law." "[L]ocal law" is defined as "the body of standards, principles and rules, *exclusive* of its rules of Conflict of Laws" (Restatement [Second] of Conflict of Laws § 4 [1] [emphasis added]). Under the Restatement (Second), the parties' decision to apply New York law to their contract results in the application of New York substantive law, not New York's conflicts principles.

It strains credulity that the parties would have chosen to leave the question of the applicable substantive law unanswered and would have desired a court to engage in a complicated conflict-of-laws analysis, delaying resolution of any dispute and increasing litigation expenses. We therefore conclude that parties are not required to expressly exclude New York conflict-of-laws principles in their choice-of-law provision in order to avail themselves of New York substantive law. Indeed, in the event parties wish to employ New York's conflict-of-laws principles to determine the applicable substantive law, they can expressly so designate in their contract.\*

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges CIPARICK, GRAFFEO, READ, SMITH and PIGOTT concur.

Order affirmed, with costs.

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\* For the foregoing reasons, we find the difference between the language of the choice-of-law provision in the Agreement and the Guarantee to be inconsequential as a matter of law.

[983 NE2d 259, 959 NYS2d 464]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v MIGUEL  
GARCIA, Respondent.

Argued October 18, 2012; decided December 18, 2012

### SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 26, 2011. The Appellate Division (1) reversed, on the law and the facts, a judgment of the Supreme Court, Bronx County (Seth L. Marvin, J.), which had convicted defendant, upon his plea of guilty, of attempted unlawful possession of an air pistol or air rifle in violation of Administrative Code of the City of New York § 10-131 (b) (1) (two counts); (2) vacated the judgment; (3) granted defendant's motion to suppress the air guns recovered from his vehicle; and (4) dismissed the information.

*People v Garcia*, 85 AD3d 28, modified.

### HEADNOTES

#### **Crimes — Unlawful Search and Seizure — Police Inquiry during Traffic Stop**

1. A police officer may not ask the occupants of a lawfully stopped vehicle if they possess any weapons without founded suspicion for the inquiry. The graduated framework set forth in *People v De Bour* (40 NY2d 210 [1976]) and *People v Hollman* (79 NY2d 181 [1992]) for evaluating the constitutionality of police-initiated encounters with private citizens applies with equal force to traffic stops. The evenhanded application of the *De Bour/Hollman* framework to street encounters and traffic stops alike serves to provide and maintain bright-line rules to guide the decisions of law enforcement and judicial personnel. Although a police officer may, as a precautionary measure and without particularized suspicion, direct the occupants of a lawfully stopped vehicle to step out of the car (see *People v Robinson*, 74 NY2d 773, 775 [1989]; *Pennsylvania v Mimms*, 434 US 106 [1977]), the rule of *Mimms* and *Robinson* stands independently of that articulated in *De Bour* and *Hollman* and generally used to assess the reasonableness of police conduct toward private citizens in New York State. *Mimms* and *Robinson* place automobile occupants in the same position as pedestrians vis-à-vis police officers, and the failure to apply the *De Bour/Hollman* framework to traffic stops would create disparate degrees of constitutional protections based on an individual's mode of transport. Moreover, sanctioning, in the interest of safety, a suspicionless inquiry into whether the occupants of a stopped vehicle have a weapon may open the door to less precise inquiries with potential to raise significant privacy concerns.

#### **Crimes — Unlawful Search and Seizure — Police Inquiry during Traffic Stop**

2. In a prosecution for unlawful possession of two air guns recovered from defendant's lawfully stopped vehicle during a search conducted after a passenger

respondent affirmatively when a police officer asked if anyone in the vehicle had a weapon, record evidence supported the Appellate Division's holding that there was no founded suspicion to justify the officer's inquiry. The evidence demonstrated only that the occupants of the vehicle appeared nervous, and nervousness is not an indication of criminality.

**Crimes — Unlawful Search and Seizure — Police Inquiry during Traffic Stop**

3. In a prosecution for unlawful possession of air guns, although record evidence supported the Appellate Division's holding that there was no founded suspicion to justify the police officer's inquiry, during a lawful traffic stop of defendant's vehicle, as to whether anyone in the vehicle had a weapon, the matter was remitted to Supreme Court for consideration of the People's alternative claim that officers would have inevitably discovered the air guns recovered from the vehicle. Because Supreme Court ruled in the People's favor without reaching the People's inevitable discovery argument, the People were entitled to a determination on that issue by Supreme Court, based on the evidence adduced at defendant's suppression hearing.

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Searches and Seizures §§ 60, 86, 89, 121, 123, 125, 174, 175.

CARMODY-WAIT 2d, Search and Seizure §§ 173:45, 173:67, 173:325–173:329, 173:351, 173:353, 173:356.

LaFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.2, 3.7.

NY JUR 2d, Criminal Law: Procedure §§ 216–221, 459, 462, 505, 513, 514, 520, 523.

**ANNOTATION REFERENCE**

See ALR Index under Automobiles and Highway Traffic; Search and Seizure.

**FIND SIMILAR CASES ON WESTLAW®**

Database: NY-ORCS

Query: vehicle traffic /3 stop! & founded reasonable /2 suspicion /p inquire! /s weapon

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**POINTS OF COUNSEL**

*Robert T. Johnson, District Attorney, Bronx (Stanley R. Kaplan and Joseph N. Ferdenzi of counsel), for appellant. I. The Appellate Division erred as a matter of law in failing to rule that a police officer may, in the course of a valid traffic stop, ask if anyone in the vehicle has a weapon since such inquiry serves a legitimate protective purpose and is no more intrusive than ordering the occupants out of the vehicle regardless of any*



suspicion of criminality. (*People v Alvarez*, 308 AD2d 184; *Pennsylvania v Mimms*, 434 US 106; *United States v Robinson*, 414 US 218; *Maryland v Wilson*, 519 US 408; *People v McLaurin*, 70 NY2d 779; *People v Banks*, 85 NY2d 558; *United States v Sharpe*, 470 US 675; *Florida v Royer*, 460 US 491; *People v Belton*, 55 NY2d 49; *People v Langen*, 60 NY2d 170.) II. In the event that this Court determines that the question posed by the officer was improper, it should remand the case to the hearing court to rule on the People's claim that the gun and rifle would have been inevitably discovered. (*People v Fitzpatrick*, 32 NY2d 499; *People v Stith*, 69 NY2d 313; *People v Turriago*, 90 NY2d 77; *People v Robinson*, 97 NY2d 341; *People v LaFontaine*, 92 NY2d 470.)

*Kramer Levin Naftalis & Frankel, LLP*, New York City (*Matan A. Koch* of counsel), and *Steven Banks, Legal Aid Society* (*Andrew C. Fine* and *Denise Fabiano* of counsel), for respondent. I. The Appellate Division's unanimous reversal of Mr. Garcia's conviction was based upon its review of both the law and decisive facts and is beyond the jurisdiction of this Court to review. (*People v Holland*, 18 NY3d 840; *People v McIntosh*, 96 NY2d 521; *People v Silvestry*, 11 NY3d 902; *People v Pines*, 99 NY2d 525; *People v Harrison*, 57 NY2d 470; *People v Allen*, 9 NY3d 1013; *People v Hollman*, 79 NY2d 181.) II. The Appellate Division appropriately applied the well-established four-part framework announced by this Court in *People v De Bour* (40 NY2d 210 [1976]) and *People v Hollman* (79 NY2d 181 [1992]) in suppressing the evidence obtained from the unfounded common-law inquiry of Mr. Garcia. (*People v Marsh*, 20 NY2d 98; *Pennsylvania v Mimms*, 434 US 106; *People v Robinson*, 74 NY2d 773; *People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *People v Dercole*, 52 NY2d 956; *People v McAlpin*, 17 NY3d 936; *Matter of Patchogue-Medford Congress of Teachers v Board of Educ. of Patchogue-Medford Union Free School Dist.*, 70 NY2d 57; *People v Battaglia*, 86 NY2d 755; *People v Faines*, 297 AD2d 590; *People v Jackson*, 251 AD2d 349.)

#### OPINION OF THE COURT

CIPARICK, J.

On this appeal, we must determine whether a police officer may, without founded suspicion for the inquiry, ask the occupants of a lawfully stopped vehicle if they possess any weapons. We answer in the negative and, in so holding, necessarily conclude that the graduated framework set forth in *People*

*v De Bour* (40 NY2d 210 [1976]) and *People v Hollman* (79 NY2d 181 [1992]) for evaluating the constitutionality of police-initiated encounters with private citizens applies with equal force to traffic stops.

### I.

On September 19, 2007, shortly after 10:00 p.m., Police Officers Cleri, Manning and Payton, on patrol in a marked police vehicle, pulled over defendant's vehicle because of a defective rear brake light. In addition to defendant, who was behind the wheel, there were four male occupants in the vehicle. According to Officer Manning, the three passengers in the rear seat "were a little[ ] furtive," kept "looking behind," and "stiffened up" when he and Officer Cleri approached the vehicle. Officer Cleri also observed that the passengers "made furtive movements, [and] act[ed] nervous." Officer Cleri asked defendant for his license and registration. Defendant complied with the request. Officer Cleri then asked if anyone in the vehicle had a weapon, and the passenger in the rear middle seat answered, "Yes, I . . . have a knife." The officer directed the passenger to place the knife on the floor and to keep his hands in view. The passenger complied. The officers then ordered the occupants out of the vehicle and frisked each man as he exited the car. After the last passenger exited, Officer Manning saw what appeared to be "a gun or some sort of weapon" wedged between the front passenger seat and the door of the vehicle. With the aid of a flashlight, the officer retrieved and inspected the item, an air pistol.

All five occupants were handcuffed and taken to the police precinct. During a subsequent inventory search of the vehicle, Officer Cleri discovered a second air rifle located in the trunk. Defendant waived his *Miranda* rights and, after a 15 to 20 minute police interrogation, admitted that he was the owner of the air guns. An ensuing misdemeanor information charged defendant with two counts of misdemeanor possession of an air pistol or rifle (Administrative Code of City of NY § 10-131 [b]).

Defendant moved, as relevant to this appeal, to suppress the air rifles recovered from his vehicle, arguing that the officers had no basis for searching the car after it was stopped. Supreme Court granted defendant's motion, holding that Officer Cleri's question as to whether the occupants possessed any weapons required founded suspicion of criminality and that mere nervousness on the part of the occupants did not give rise to

such suspicion. Supreme Court further determined that the People failed to demonstrate a very high probability that the officers would have inevitably discovered the air guns.

The People moved to reargue that portion of Supreme Court's order that suppressed the physical evidence. Relying on *People v Alvarez* (308 AD2d 184 [1st Dept 2003], *lv denied* 3 NY3d 657 [2004]), the People argued that "an inquiry into weapon possession is not a greater intrusion than the right to remove the occupants from the car" and, therefore, does not require suspicion of criminality. Finding *Alvarez* persuasive, Supreme Court reversed its prior order and held that Officer Cleri's inquiry into the presence of weapons was permissible even though the officer lacked a founded suspicion of criminality. The court did not reach the People's alternative argument that the evidence was admissible under the inevitable discovery doctrine. Defendant pleaded guilty to two counts of the reduced charge of attempted unlawful possession of an air pistol or air rifle (Administrative Code of City of NY § 10-131 [b] [1]) and was sentenced to a conditional discharge. The Appellate Division reversed and vacated the judgment convicting defendant, granted defendant's suppression motion and dismissed the information (*People v Garcia*, 85 AD3d 28 [1st Dept 2011]). The court held that Supreme Court erred in relying on *Alvarez* upon reargument, as that case was distinguishable, and that the trial court's initial determination that the officer's inquiry required founded suspicion was correct (*see id.* at 33-34).

A Judge of this Court granted the People's application for leave to appeal (18 NY3d 883 [2012]) and we now modify.

## II.

In light of the heightened dangers faced by investigating police officers during traffic stops, a police officer may, as a precautionary measure and without particularized suspicion, direct the occupants of a lawfully stopped vehicle to step out of the car (*see People v Robinson*, 74 NY2d 773, 775 [1989], citing *Michigan v Long*, 463 US 1032, 1047-1048 [1983]; *Pennsylvania v Mimms*, 434 US 106 [1977]). While "[a] citizen does not surrender all the protections of the Fourth Amendment by entering an automobile" (*New York v Class*, 475 US 106, 112 [1986]), the United States Supreme Court declared in *Mimms* that the intrusion occasioned by requiring an occupant to "expose to view very little more of his person than is already exposed" is

“de minimis” and “cannot prevail when balanced against legitimate concerns for the officer’s safety” (434 US at 111 [emphasis omitted]). Accordingly, we held in *Robinson* that “[b]rief and uniform precautionary procedures of this kind are not per se unreasonable and unconstitutional” under federal law (74 NY2d at 775).

The rule of *Mimms* and *Robinson* stands independently of that articulated in *De Bour* and *Hollman* and generally used to assess the reasonableness of police conduct toward private citizens in New York State. The *De Bour/Hollman* framework sets out four levels of police-citizen encounters and the attendant, escalating measures of suspicion necessary to justify each. At the initial level, a “request for information,” a police officer may approach an individual “when there is some objective credible reason for that interference not necessarily indicative of criminality” (*De Bour*, 40 NY2d at 223; see *Hollman*, 79 NY2d at 185). The request may “involve[ ] basic, nonthreatening questions regarding, for instance, identity, address or destination” (*Hollman*, 79 NY2d at 185). However, “[o]nce the officer asks more pointed questions that would lead the person approached reasonably to believe that he or she is suspected of some wrongdoing . . . the officer is no longer merely seeking information” (*id.*). This “common-law right of inquiry, a wholly separate level of contact, is ‘activated by a founded suspicion that criminal activity is afoot’ ” (*id.* at 184, quoting *De Bour*, 40 NY2d at 223). Although we have not yet addressed this issue, other appellate courts have characterized a police officer’s question as to whether an individual has a weapon as a common-law inquiry requiring founded suspicion of criminality (see *People v Ward*, 22 AD3d 368, 368 [1st Dept 2005]; *People v Stevenson*, 7 AD3d 820, 821 [2d Dept 2004]; *People v Park*, 294 AD2d 887, 888 [4th Dept 2002]).

Whether the “founded suspicion” requirement of *De Bour* and *Hollman* applies to a police officer’s ability to ask the occupants of a lawfully stopped vehicle if they are in possession of a weapon is debated on this appeal. Relying on the police safety justification discussed in *Mimms* and *Robinson*, the People ask us to adopt the rule that police officers may routinely pose that question regardless of any suspicion of criminality because the inquiry serves a legitimate protective purpose and is no more intrusive on the occupants’ privacy than an order to step out of the vehicle. While the People acknowledge that we have applied the *De Bour/Hollman* framework in the context of traffic stops (see *People v Battaglia*, 86 NY2d 755 [1995]), they argue that it

is best suited for, and should generally be limited to, street encounters. Defendant, conversely, points out that in addition to this Court, all four departments of the Appellate Division have applied the *De Bour/Hollman* rules to traffic stops and argues that carving out the exception the People seek would be inconsistent with our search and seizure jurisprudence and would subject citizens to accusatory inquiry without even a minimal factual basis.

[1] We have long placed paramount importance on promoting “‘predictability and precision in judicial review of search and seizure cases and the protection of the individual rights of our citizens’” (see *People v P.J. Video*, 68 NY2d 296, 304 [1986], quoting *People v Johnson*, 66 NY2d 398, 407 [1985]). We have also “sought to provide and maintain ‘bright line’ rules to guide the decisions of law enforcement and judicial personnel who must understand and implement our decisions in their day-to-day operations in the field” (*P.J. Video*, 68 NY2d at 305). Contrary to the dissent, we believe these interests are better served by the evenhanded application of the *De Bour/Hollman* framework to street encounters and traffic stops alike. As noted, this Court and the courts of the Appellate Division have consistently applied *De Bour* and *Hollman* to traffic stops, demonstrating that the guidelines prove equally viable in that context (see *Bataglia*, 86 NY2d at 756; *People v Faines*, 297 AD2d 590, 593 [1st Dept 2002]; *People v Jackson*, 251 AD2d 349, 349 [2d Dept 1998]; *People v Tejada*, 270 AD2d 655, 656 [3d Dept 2000]; *People v McCarley*, 55 AD3d 1396, 1396-1397 [4th Dept 2008]). Moreover, the rule of *Mimms* and *Robinson* already guards against the unique danger of a partially concealed automobile occupant by allowing the officer to order occupants out of a car and readily observe their movements. Indeed, *Mimms* and *Robinson* place automobile occupants in the same position as pedestrians vis-à-vis police officers; the People’s proposed rule, on the other hand, would create disparate degrees of constitutional protections based on an individual’s mode of transport. Finally, by sanctioning, in the interest of safety, a suspicionless inquiry into whether the occupants of a stopped vehicle have a weapon, we may open the door to less precise inquiries with potential to raise significant privacy concerns.\* We decline to

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\* For example, it would not be entirely unreasonable for an officer to believe it to be within the bounds of the People’s proposed rule to ask “Is there anything in the car I should know about?” The question may be posed in

(n. cont’d)

introduce uncertainty into this area of the law when it is not necessary to do so. Whether the individual questioned is a pedestrian or an occupant of a vehicle, a police officer who asks a private citizen if he or she is in possession of a weapon must have founded suspicion that criminality is afoot.

[2] Having concluded that the standards of *De Bour* and *Hollman* govern police-citizen encounters during lawful traffic stops, we turn to the question of whether the Appellate Division erred in holding that there was no founded suspicion to justify Officer Cleri's inquiry. Our review of that mixed question of law and fact is limited to whether record evidence supports the Appellate Division's determination (see *People v Evans*, 83 NY2d 934, 935 [1994]). As the evidence demonstrated only that the occupants of the vehicle appeared nervous, the court's determination has record support (see *People v Milaski*, 62 NY2d 147, 156 [1984] [concluding that nervousness is not an indication of criminality]; *People v Banks*, 85 NY2d 558, 562 [1995]). Accordingly, we agree with that portion of the Appellate Division order that suppressed the air guns.

[3] The People, however, further argue that in the event we determine that the officer's question was improper we should remit the case to Supreme Court for consideration of the People's alternative claim, asserted upon reargument, that officers would have inevitably discovered the disputed physical evidence. Because Supreme Court ruled in the People's favor without reaching the People's inevitable discovery argument, the People are entitled to a determination on that issue by Supreme Court, based on the evidence adduced at defendant's suppression hearing.

Accordingly, the order of the Appellate Division should be modified by remitting the matter to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

SMITH, J. (dissenting). I believe that New York is the only state in the union that forbids police officers to talk to people they meet in the street unless certain preconditions are met, and requires the suppression of evidence derived from a forbidden conversation. Today, the majority needlessly expands the already hyper-stringent rule of *People v De Bour* (40 NY2d 210

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reference only to weapons but could just as easily encompass drugs, other contraband or any number of items a vehicular occupant may wish not to reveal.



[1976]) and *People v Hollman* (79 NY2d 181 [1992]) by limiting a police officer's ability to address a question to the occupants of a lawfully stopped automobile.

The United States Supreme Court has held that the Fourth Amendment is not violated "simply because a police officer approaches an individual and asks a few questions" (*Florida v Bostick*, 501 US 429, 434 [1991]). But we adopted a different rule in *De Bour*, and reaffirmed it in *Hollman*, "as a matter of State common law" (*Hollman*, 79 NY2d at 195-196). Under *De Bour* and *Hollman*, a police officer who approaches a citizen to request information must have "some objective credible reason" for doing so (*De Bour*, 40 NY2d at 223), while the more intrusive "common-law inquiry"—questioning which would lead the person approached "reasonably to believe that he or she is suspected of some wrongdoing" (*Hollman*, 79 NY2d at 185)—is permissible only where the officer has "a founded suspicion that criminal activity is afoot" (*De Bour*, 40 NY2d at 223). New York's "unique" approach has been criticized by the leading treatise on searches and seizures as likely to result in "such confusion and uncertainty that neither police nor courts can ascertain with any degree of confidence precisely what it takes" to comply with its requirements (4 LaFare, Search and Seizure § 9.4 [e] at 466, 468-469 [4th ed 2004]). No other state, so far as I know, has adopted a similar rule, though cases in a few states hold that intrusive or pointed questioning may constitute a "seizure" triggering constitutional protections (*State v Quino*, 74 Haw 161, 840 P2d 358 [1992]; *State ex rel. J.G.*, 320 NJ Super 21, 726 A2d 948 [1999]; *State v Pitts*, 186 Vt 71, 76-84, 978 A2d 14, 18-24 [2009]).

The *De Bour* rule has existed for 36 years, and respect for stare decisis might well deter us from abandoning it. No similar reason, however, compels us to extend it to traffic stops. This appears to be the first case in which we have ever relied on *De Bour* to suppress evidence obtained from the questioning of occupants in a lawfully stopped car. In *People v Battaglia* (86 NY2d 755 [1995]), on which the majority relies (majority op at 322-323), we denied suppression in a five-sentence memorandum that assumes the applicability of *De Bour*, but does not discuss the question.

Traffic stops are distinguishable from the street encounters between police officers and citizens to which *De Bour* and the cases following it have long been applied. Most obviously, the occupant of a stopped car has already been stopped: In *De Bour*

terms, he or she has already been subjected to a level three temporary detention (*see* 40 NY2d at 223), and it seems paradoxical to suppress evidence because of the lesser intrusion created by a level one or level two inquiry. And, as the Appellate Division pointed out in *People v Alvarez* (308 AD2d 184, 187 [1st Dept 2003]), a police officer who stops a car is permitted to order all the occupants to get out (*Pennsylvania v Mimms*, 434 US 106 [1977]; *People v Robinson*, 74 NY2d 773 [1989], *cert denied* 493 US 966 [1989]). Why can he not subject them to the much lesser inconvenience of being asked some questions, which they are not legally obliged to answer?

The *De Bour* rule is an attempt to prevent police officers from taking unfair advantage of the deference that civilians ordinarily give to agents of law enforcement—“the tendency to submit to the badge” (*De Bour*, 40 NY2d at 219). I grant that this tendency exists, and indeed that there is something inherently coercive in many, probably most, forms of police inquiry. But it is utopian to believe that we can create a society in which no such coercion exists, or in which it is never exploited by police officers investigating crimes, or that, in such a society, reasonably efficient law enforcement would be possible. As a general rule, police officers who are not using or threatening force against citizens should be allowed to do their jobs without interference from the courts. The case of an officer who, having already lawfully stopped a vehicle, asks its occupants a question does not justify an exception to this general rule.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and PIGOTT concur with Judge CIPARICK; Judge SMITH dissents in an opinion.

Order modified by remitting to Supreme Court, Bronx County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

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[984 NE2d 893, 960 NYS2d 695]

YAAKOV LICCI, a Minor, by His Father and Natural Guardian,  
ELIHAV LICCI, and by His Mother and Natural Guardian,  
YEHUDIT LICCI, et al., Appellants, v LEBANESE CANADIAN  
BANK, SAL, Respondent, et al., Defendant.

Argued October 10, 2012; decided November 20, 2012

### SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “(1) Does a foreign bank’s maintenance of a correspondent bank account at a financial institution in New York, and use of that account to effect ‘dozens’ of multimillion dollar wire transfers on behalf of a foreign client, constitute a ‘transact[ion]’ of business in New York within the meaning of N.Y. C.P.L.R. § 302(a)(1)? (2) If so, do the plaintiffs’ claims under the Anti-Terrorism Act, the ATS, or for negligence or breach of statutory duty in violation of Israeli law, ‘aris[e] from’ LCB’s transaction of business in New York within the meaning of N.Y. C.P.L.R. § 302(a)(1)?”

### HEADNOTES

#### **Courts — Jurisdiction — Long-Arm Jurisdiction — Foreign Bank’s Maintenance and Use of Correspondent Account in New York**

1. Defendant foreign bank’s use of a correspondent bank account in New York to effect dozens of international wire transfers on behalf of an overseas client was an act directed with sufficient purposefulness at New York to constitute a transaction of business in New York within the meaning of CPLR 302 (a) (1). In order to determine whether personal jurisdiction exists under CPLR 302 (a) (1), a court must decide whether the defendant “transacts any business” in New York and, if so, whether the cause of action asserted “aris[es] from” such a business transaction. The first prong of the long-arm jurisdiction test under CPLR 302 (a) (1) may be satisfied by a foreign bank’s use of a correspondent bank account in New York, even if no other contacts between the foreign bank and New York can be established, if the foreign bank’s use of that account was purposeful. Complaints alleging a foreign bank’s repeated use of a correspondent account in New York on behalf of a client—in effect, a course of dealing—show purposeful availment of New York’s dependable and transparent banking system, the dollar as a stable and fungible currency, and the predictable jurisdictional and commercial law of New York and the United States.

**Courts — Jurisdiction — Long-Arm Jurisdiction — Foreign Bank's Maintenance and Use of Correspondent Account**

2. Plaintiffs' claims under the Anti-Terrorism Act, the Alien Tort Statute, and for negligence and breach of statutory duty in violation of Israeli law against defendant foreign bank for engaging in terrorist financing by using its correspondent bank account in New York to move the necessary dollars arose from defendant's transaction of business in New York within the meaning of CPLR 302 (a) (1). In order to determine whether personal jurisdiction exists under CPLR 302 (a) (1), a court must decide whether the defendant "transacts any business" in New York and, if so, whether the cause of action asserted "aris[es] from" such a business transaction. The second prong of the jurisdictional inquiry requires that, in light of all the circumstances, there be an articulable nexus or substantial relationship between the business transaction and the claim asserted. Causation is not required, and the inquiry under the statute is relatively permissive, but those standards connote, at a minimum, a relatedness between the transaction and the legal claim such that the latter is not completely unmoored from the former, regardless of the ultimate merits of the claim. Taking plaintiffs' allegations as true, defendant arguably violated duties owed to plaintiffs under the various statutes asserted as a basis for subject matter jurisdiction. Furthermore, the alleged breaches occurred when defendant used the New York account. Whether or not plaintiffs could prove those allegations at trial, including showing links between the bank client and the terrorist organization, and whether or not those allegations stated a claim under the various statutes, the pleadings established the articulable nexus or substantial relationship necessary for purposes of personal jurisdiction.

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Foreign Corporations §§ 430–432; AM JUR 2d, Process §§ 159, 160, 165.  
CARMODY-WAIT 2d, Jurisdiction in Personam and in Rem §§ 25:21–25:23, 25:33, 25:35, 25:38.  
MCKINNEY'S, CPLR 302 (a) (1).  
NY JUR 2d, Banks and Financial Institutions §§ 595, 597;  
NY JUR 2d, Courts and Judges §§ 600, 621–623, 645.  
SIEGEL, NY PRAC § 86.

**ANNOTATION REFERENCE**

In personam jurisdiction under long-arm statute of non-resident banking institution. 9 ALR4th 661.

**FIND SIMILAR CASES ON WESTLAW®**

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**POINTS OF COUNSEL**

*The Berkman Law Office, LLC*, Brooklyn (*Robert J. Tolchin* of counsel), and *Meir Katz* of the Maryland bar, admitted pro

hac vice, for appellants. I. The exercise of personal jurisdiction over Lebanese Canadian Bank, SAL is entirely consistent with federal constitutional due process limitations. (*International Shoe Co. v Washington*, 326 US 310; *Hanson v Denckla*, 357 US 235.) II. Defendant's communications with and use of American Express Bank Ltd.'s services in New York to conduct business in New York constitute a "transact[ion]" of business for the purposes of CPLR 302 (a) (1). (*Deutsche Bank Sec., Inc. v Montana Bd. of Invs.*, 7 NY3d 65; *Kreutter v McFadden Oil Corp.*, 71 NY2d 460; *Chloe v Queen Bee of Beverly Hills, LLC*, 616 F3d 158; *George Reiner & Co. v Schwartz*, 41 NY2d 648; *Fischbarg v Doucet*, 9 NY3d 375; *Indosuez Intl. Fin. v National Reserve Bank*, 98 NY2d 238; *Banco Ambrosiano v Artoc Bank & Trust*, 62 NY2d 65.) III. The "articulable nexus" and "substantial relationship" tests under CPLR 302 (a) (1) require only that defendant's transaction(s) and plaintiffs' cause of action are related. (*Kreutter v McFadden Oil Corp.*, 71 NY2d 460; *SPCA of Upstate N.Y., Inc. v American Working Collie Assn.*, 18 NY3d 400; *Johnson v Ward*, 4 NY3d 516; *Fischbarg v Doucet*, 9 NY3d 375; *McGowan v Smith*, 52 NY2d 268; *Talbot v Johnson Newspaper Corp.*, 71 NY2d 827; *State of New York v Patricia II.*, 6 NY3d 160; *Longines-Wittnauer Watch Co. v Barnes & Reinecke*, 15 NY2d 443; *Simonson v International Bank*, 14 NY2d 281.) IV. Alternatively, if this Court concludes that CPLR 302 (a) (1)'s "arising from" language denotes causation, it denotes mere "but-for" causation rather than proximate causation. (*Boim v Holy Land Found. for Relief & Dev.*, 549 F3d 685.) V. Alternatively, if this Court concludes that CPLR 302 (a) (1)'s "arising from" language denotes proximate causation, it should find an exception for cases arising from acts of terrorism. (*Doundoulakis v Town of Hempstead*, 42 NY2d 440.) VI. Plaintiffs' factual allegations and the legal elements of their claims adequately relate to Lebanese Canadian Bank, SAL's transactions in New York. (*Kreutter v McFadden Oil Corp.*, 71 NY2d 460; *Longines-Wittnauer Watch Co. v Barnes & Reinecke*, 15 NY2d 443.) VII. Plaintiffs' position is modest and does not open the proverbial "floodgates of litigation."

*DLA Piper LLP*, New York City (*Jonathan D. Siegfried*, *Andrew Deutsch* and *Joshua Sprague* of counsel), for respondent. I. The correspondent bank relationship alleged in the complaint does not constitute a transaction of business within the meaning of CPLR 302 (a) (1). (*McKee Elec. Co. v Rauland-Borg Corp.*, 20 NY2d 377; *Ehrenfeld v Bin Mahfouz*, 9 NY3d 501; *Fischbarg v Doucet*, 9 NY3d 375; *Amigo Foods Corp. v*

*Marine Midland Bank-N.Y.*, 39 NY2d 391; *Faravelli v Bankers Trust Co.*, 85 AD2d 335, 59 NY2d 615; *Nemetsky v Banque de Developpement de la Republique du Niger*, 65 AD2d 748, 48 NY2d 962; *Taub v Colonial Coated Textile Corp.*, 54 AD2d 660; *Tamam v Fransabank SAL*, 677 F Supp 2d 720; *Daventree Ltd. v Republic of Azerbaijan*, 349 F Supp 2d 736; *Exchange Natl. Bank of Chicago v Empresa Minera Del Centro Del Peru S.A.*, 595 F Supp 502.) II. The complaint does not set forth a substantial relationship between the maintenance and use of Lebanese Canadian Bank, SAL's correspondent bank account and plaintiffs' claims. (*Fischbarg v Doucet*, 9 NY3d 375; *Deutsche Bank Sec., Inc. v Montana Bd. of Invs.*, 7 NY3d 65; *Kreutter v McFadden Oil Corp.*, 71 NY2d 460; *McGowan v Smith*, 52 NY2d 268; *SPCA of Upstate N.Y., Inc. v American Working Collie Assn.*, 18 NY3d 400; *Frummer v Hilton Hotels Intl.*, 19 NY2d 533; *Kramer v Vogl*, 17 NY2d 27; *Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574; *Banco Ambrosiano v Artoc Bank & Trust*, 62 NY2d 65; *Indosuez Intl. Fin. v National Reserve Bank*, 98 NY2d 238.) III. Lebanese Canadian Bank, SAL is not subject to personal jurisdiction in New York under the alternate standards proposed by plaintiffs. (*Monahan v Weichert*, 82 AD2d 102; *Samuels v American Cyanamid Co.*, 130 Misc 2d 175; *Carter v Full Serv., Inc.*, 29 AD3d 342; *Montgomery v Pena*, 19 AD3d 288; *Russac v Crest Hollow Country Club of Woodbury*, 252 AD2d 548; *Ehrenfeld v Bin Mahfouz*, 9 NY3d 501; *Parke-Bernet Galleries v Franklyn*, 26 NY2d 13; *Deutsche Bank Sec., Inc. v Montana Bd. of Invs.*, 7 NY3d 65; *Ferrante Equip. Co. v Lasker-Goldman Corp.*, 26 NY2d 280.)

#### OPINION OF THE COURT

READ, J.

Plaintiffs are several dozen United States, Canadian, and Israeli citizens who reside in Israel and were injured, or whose family members were killed or injured, in rocket attacks allegedly launched by Hizballah during the Second Lebanon War in July and August 2006. Hizballah is designated by the United States Department of State as an Islamic terrorist organization. Plaintiffs brought suit in July 2008 in Supreme Court against the Lebanese Canadian Bank, SAL (LCB or the bank), a now defunct bank headquartered in Beirut,<sup>1</sup> claiming that LCB, with

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1. In February 2011, the United States Department of the Treasury designated LCB as a "primary money laundering concern" (76 Fed Reg 9403

(n. cont'd)



the aid of codefendant American Express Bank (AmEx), assisted Hizballah in committing these illegal attacks by facilitating international monetary transactions through the Shahid Foundation (Shahid or the foundation),<sup>2</sup> an entity the complaint identifies as part of the “financial arm” of Hizballah. After AmEx removed the lawsuit to the United States District Court for the Southern District of New York, plaintiffs filed an amended complaint in January 2009, bringing claims against LCB, depending on their citizenship, for primary and aiding-and-abetting liability for international terrorism under the Anti-Terrorism Act<sup>3</sup> (United States citizens); aiding-and-abetting liability for genocide, war crimes and crimes against humanity in violation of international law, as made actionable by the Alien Tort Statute (ATS)<sup>4</sup> (various Canadian and Israeli citizens); and negligence and breach of statutory duty in violation of Israeli law<sup>5</sup> (all but four plaintiffs). Plaintiffs asserted personal jurisdiction over LCB under New York’s long-arm statute, which states at CPLR 302 (a) (1) as follows:

“(a) Acts which are the basis of jurisdiction. As to a cause of action *arising from any of the acts enumerated in this section*, a court may exercise personal jurisdiction over any non-domiciliary, or his executor or administrator, who in person or through an agent:

“1. *transacts any business within the state . . .* ;”  
(emphases added).

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[Feb. 17, 2011]]. The privately-owned bank subsequently merged with the Lebanese subsidiary of the French bank, Société Générale SA.

2. “Shahid,” translated as “Martyr,” allegedly provides support for Hizballah fighters and their surviving families. There is evidence the foundation is involved with the overall financing of Hizballah’s activities.

3. “Any national of the United States injured in his or her person, property, or business by reason of an act of international terrorism, or his or her estate, survivors, or heirs, may sue therefor in any appropriate district court of the United States and shall recover threefold the damages he or she sustains and the cost of the suit, including attorney’s fees” (18 USC § 2333 [a]).

4. “The district courts shall have original jurisdiction of any civil action by an alien for a tort only, committed in violation of the law of nations or a treaty of the United States” (28 USC § 1350).

5. “[A] person who by his negligence causes damage to another commits a civil wrong” (Israeli Civil Wrongs Ordinance § 35); “Breach of statutory obligation . . . (a) A person commits a breach of a statutory obligation if he does not comply with an obligation imposed on him under any enactment [if intended for the benefit or protection of another person, which means] (b) . . . it is intended for the benefit or protection of that person, or for the benefit or protection of persons in general or of persons of a category or definition to which that certain person belongs” (*id.* § 63).

In April 2009, LCB moved under Federal Rules of Civil Procedure rule 12 (b) (2) to dismiss the complaint for lack of personal jurisdiction, and under Federal Rule 12 (b) (6) for failure to state a claim upon which relief can be granted.<sup>6</sup> Plaintiffs opposed LCB's motion and submitted evidence linking Hizballah and Shahid, including a declaration from a former Israeli counter-terrorism official attesting to Shahid's status as a financial front for Hizballah. LCB did not operate branches or offices, or maintain employees, in the United States. Its sole point of contact with the United States was a correspondent banking account with AmEx in New York. Plaintiffs allege that LCB used this correspondent account with AmEx to transfer several million dollars by means of "dozens" of international wire transfers on behalf of Shahid; that LCB knew that Hizballah was a terrorist organization and that Shahid was part of its financial arm; that the wire transfers "caused, enabled and facilitated the terrorist rocket attacks" that injured them and their families; and that LCB knew that Hizballah required wire transfer services in order to operate, plan, prepare for and carry out such terrorist attacks. Plaintiffs also claim that LCB's official policy "continuously supports and supported Hizballah and its anti-Israel program, goals and activities"; and that LCB carried out the wire transfers "to assist and advance Hizballah's goal of using terrorism to destroy the State of Israel."

On March 31, 2010, the District Court Judge granted LCB's motion to dismiss for lack of personal jurisdiction, concluding that plaintiffs had not made a prima facie showing under CPLR 302 (a) (1). First, the Judge concluded that LCB had not "transacted business" within the meaning of section 302 (a) (1) because "mere maintenance of [a] correspondent bank account with a financial institution in New York is not, standing alone, a sufficient basis to subject a foreign defendant to personal jurisdiction," citing *Tamam v Fransabank SAL* (677 F Supp 2d

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6. AmEx also moved to dismiss under Federal Rule 12 (b) (6). Plaintiffs, in their amended complaint, pleaded a single cause of action against AmEx for negligence under Israeli law. The District Court Judge decided there was no actual conflict between the applicable New York and Israeli substantive law, and the pleadings were insufficient to state a negligence claim against AmEx under New York law (704 F Supp 2d 403, 408-411 [SD NY 2010]). The Second Circuit affirmed solely on the basis that, even assuming there was no actual conflict, a choice-of-law analysis required application of New York law to plaintiffs' negligence cause of action against AmEx, and plaintiffs conceded that this claim failed if New York law applied (672 F3d 155 [2012]).

720, 727 [SD NY 2010]);<sup>7</sup> and “**active execution** through New York of dozens of wire transfers totaling millions of dollars over a multi-year period” does not convert “mere maintenance” into “a ‘use’ of a correspondent account . . . sufficient to confer jurisdiction over a foreign bank” since “no meaningful distinction may be drawn between a foreign bank’s maintenance of a correspondent account to effect international wire transfers and its indiscriminate use of that account for that exact purpose” (704 F Supp 2d at 407-408).

Second, the District Court Judge opined that plaintiffs’ claims did not “arise from” LCB’s wire transfers in New York because no “articulable nexus or substantial relationship exist[ed] between LCB’s general use of its correspondent account for wire transfers through New York and the specific terrorist activities by Hizbollah underlying plaintiffs’ claims,” again citing *Tamam* (*id.* at 408; *see* n 7, *supra*). He considered it important that although “plaintiffs allege[d] that [the] transferred funds at issue ‘substantially increased’ Hizbollah’s ability to commit rocket attacks, including the ones in which plaintiffs were harmed[, they] themselves [were] not customers of [LCB or AmEx], nor did they have any financial interest in the wired funds” (*id.*). Next,

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7. In *Tamam*, which LCB mentions throughout its brief, Israeli citizens who were injured or whose family members were killed in the missile attacks during the Second Lebanon War sued five Lebanese banks (not including LCB) under the ATS. The plaintiffs alleged that the banks’ provision of correspondent banking services to various parties associated with Hizbollah constituted terrorism financing as well as conspiracy and aiding and abetting Hizbollah to commit genocide, crimes against humanity, war crimes and terrorism. The court dismissed the complaint for lack of personal jurisdiction, finding first that the Lebanese banks did not transact business in New York because the plaintiffs (unlike plaintiffs here) did not allege actual transfers from Hizbollah front group accounts in Lebanon through correspondent banks in New York; specifically, the “only one relevant jurisdictional allegation” was that, “[o]n information and belief, [the Lebanese banks] processed funds and cleared U.S. dollars for [the] direct benefit [of the Islamic Resistance Support Organization (IRSO), alleged to be a Hizbollah-controlled entity tasked with raising funds to purchase weapons,] through the United States in this District’ ” (677 F Supp 2d at 727). Acknowledging that “[w]hile the processing of IRSO funds through correspondent banks may indicate that [the Lebanese banks] purposefully availed themselves of business opportunities in New York,” the court concluded that “the use of correspondent accounts in New York nonetheless [could not] form the basis of personal jurisdiction because the Amended Complaint [did] not set forth a ‘substantial relationship’ between the correspondent bank accounts and Hizbollah’s terrorist activity” (*id.*); specifically, “the events giving rise to the physical injuries and deaths for which Plaintiffs [sought] redress [were] missile attacks in Israel, not funds transfers in New York” (*id.* at 728). The *Tamam* plaintiffs did not appeal the dismissal of their complaint.

the Judge observed that the harms suffered by plaintiffs and their family members were caused by rockets, not banking services. As a result, he concluded, “LCB’s maintenance or use of its correspondent bank account [was] too attenuated from Hizbollah’s attacks in Israel to assert personal jurisdiction based solely on wire transfers through New York” (*id.*).

Additionally, the District Court Judge denied plaintiffs’ “alternative request” to conduct limited jurisdictional discovery because “[t]he Court’s finding, that LCB’s correspondent banking activities [were] insufficient to subject it to jurisdiction, renders the proposed discovery sought by plaintiffs futile” (*id.*). Having granted LCB’s motion to dismiss the complaint for lack of personal jurisdiction, the Judge did not consider whether the pleadings stated a cognizable legal claim.

Plaintiffs appealed the dismissal to the United States Court of Appeals for the Second Circuit.<sup>8</sup> Noting that in order to determine whether personal jurisdiction exists under CPLR 302 (a) (1), “ ‘a court must decide (1) whether the defendant ‘transacts any business’ in New York and, if so, (2) whether [the] cause of action ‘aris[es] from’ such a business transaction’ ” (673 F3d 50, 60 [2012], quoting *Best Van Lines, Inc. v Walker*, 490 F3d 239, 246 [2d Cir 2007]), the Second Circuit has asked us to resolve two questions of New York law regarding this two-prong jurisdictional analysis, which we now consider.

#### Certified Question No. 1

“(1) Does a foreign bank’s maintenance of a correspondent bank account at a financial institution in New York, and use of that account to effect ‘dozens’ of wire transfers on behalf of a foreign client, constitute a ‘transact[ion]’ of business in New York within the meaning of N.Y. C.P.L.R. § 302(a)(1)?” (673 F3d at 66.)

In asking us this, the Second Circuit observed that we had “apparently not yet addressed the precise question” of “whether a foreign bank’s frequent use of a correspondent account in New York to effect international wire transfers on behalf of an overseas client is an act directed with sufficient purposefulness at New York to constitute a transaction of business” under our long-arm statute (673 F3d at 62-63). As the court recognized,

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8. Plaintiffs did not appeal the lower court’s denial of their alternative request for jurisdictional discovery.

though, we have discussed similar or related issues in several decisions, first and perhaps most importantly in *Amigo Foods Corp. v Marine Midland Bank-N.Y.* (39 NY2d 391 [1976]; see also *Ehrlich-Bober & Co. v University of Houston*, 49 NY2d 574 [1980] [upholding personal jurisdiction over defendant public university located in Texas based upon use of a correspondent bank in New York to carry out a transaction with plaintiff New York securities dealer where other contacts existed—i.e., the disputed “reverse repurchase” agreements involved phone calls and visits to plaintiff’s office in New York, and the placing of a securities order and delivery and payment in that office]; *Banco Ambrosiano v Artoc Bank & Trust*, 62 NY2d 65 [1984] [quasi-in-rem jurisdiction exists where defendant Bahamian bank regularly used its New York correspondent account to accomplish its international banking business, including the loan transaction at issue]; *Indosuez Intl. Fin. v National Reserve Bank*, 98 NY2d 238 [2002] [upholding personal jurisdiction over defendant Russian bank that maintained a bank account in New York and regularly used it in connection with currency-exchange options transactions, thus establishing a “course of dealing” in New York]).

Plaintiff Amigo Foods Corporation (Amigo), a New York wholesaler, contracted to buy several truckloads of potatoes from defendant E. H. Parent, Inc. (Parent), a Maine potato grower and distributor; payment was to be made at or through Aroostook Trust Company (Aroostook), a Maine bank. Amigo obtained a letter of credit in New York from defendant Marine Midland Bank (Marine), which delivered it to Aroostook’s New York correspondent, defendant Irving Trust Company (Irving). Amigo alleged that Parent refused to accept payment and thus breached the contract or, alternatively, that the banks wrongfully failed to deliver and pay Parent in accordance with the terms of the letter of credit. Parent, for its part, claimed never to have received payment and cross-claimed against the banks.

Aroostook made a pre-answer motion to dismiss for lack of personal jurisdiction, stating in its supporting affidavit that “‘[b]eyond the notification to its depositor of the arrival of the Letter of Credit and the notification to Irving . . . , who had forwarded the Letter of Credit . . . , [it] took no action, and had none to take’ ”; and, therefore, “did not act in New York out of which the cause of action arose” (*Amigo Foods*, 39 NY2d at 394). In opposition, Amigo alleged that Aroostook and Irving were agents or, alternatively, their relationship was uncertain

and so depositions were warranted on the question of jurisdiction. Supreme Court agreed that depositions were called for, but the Appellate Division, with two Justices dissenting, reversed and granted Aroostook's motion to dismiss, concluding that Irving,

“as Aroostook's correspondent, was not the latter's agent in New York, but, rather, these banks were, at most, independent contractors with respect to each other. Aroostook, itself, not having transacted any business here and not having purposefully interjected itself into the transactions here and Irving, not constituting its agent here, it follows that there was no transaction of business in New York by Aroostook.” (48 AD2d 628, 629 [1st Dept 1975] [citations omitted].)

We reversed, holding that discovery should go forward because Amigo “alleged that an agency relationship exist[ed] between Aroostook and Irving and, from the pleadings and affidavits, it [was] obvious that their position [was] not frivolous” (39 NY2d at 395). Notably, in so holding we rejected both Amigo's position “that the undisputed fact that Irving [was] the New York correspondent for Aroostook [was] sufficient, in and of itself, to resolve the jurisdictional issue in [its] favor”; and Aroostook's counter, adopted by the Appellate Division, “that correspondent banks [were], at best, independent contractors with respect to each other and, thus, that their relationship cannot serve as a jurisdictional basis” (*id.* at 395-396). It was in this context that we stated as follows:

“In sum, we conclude that, standing by itself, a correspondent bank relationship, without any other indicia or evidence to explain its essence, may not form the basis for long-arm jurisdiction under [CPLR 302 (a) (1)]” (*id.* at 396).

Disclosure proceedings, we concluded, should reveal “whether Aroostook purposely availed itself of the privilege of conducting activities in New York thereby invoking the benefits and protections of its laws . . . and, particularly, the precise nature of its relationship with Irving vis-à-vis the handling of letters of credit” (*id.*, citing *Hanson v Denckla*, 357 US 235, 253 [1958]).

After discovery was completed, Aroostook again unsuccessfully moved to dismiss. The Appellate Division unanimously reversed (61 AD2d 896 [1st Dept 1978]), and this time we



affirmed (46 NY2d 855 [1979]). The facts disclosed during discovery, as related by the Appellate Division, showed that Aroostook had a long-standing correspondent banking relationship with Irving, with whom Aroostook maintained a relatively small checking account. As Parent was making demands for payment, Amigo directed Marine to wire funds to Parent for its account, and Marine, in the interest of speed, chose to deposit those funds with Irving in New York to the credit of Aroostook for the benefit of Parent. Irving informed Aroostook of the deposit; Aroostook, in turn, informed Parent; Parent directed Aroostook to reject the funds; and Aroostook instructed Irving to do so. The Appellate Division remarked that

“[o]n the previous appeal, the Court of Appeals said: ‘Standing by itself, a correspondent bank relationship, without any other indicia or evidence to explain its essence, may not form the basis for long-arm jurisdiction under [CPLR 302 (a) (1)].’ In our view, disclosure has revealed nothing which forms the basis for long-arm jurisdiction over Aroostook in the present case. In particular, Aroostook has not ‘purposely availed itself of the privilege of conducting activities in New York thereby invoking the benefits and protections of its laws.’ *On the contrary, it has passively and unilaterally been made the recipient of funds which at its customer’s direction it has declined*” (61 AD2d 896, 897 [citations omitted; emphasis added]).

As the Second Circuit commented, the general statement in *Amigo Foods* that a correspondent banking relationship “standing by itself” is insufficient to establish long-arm jurisdiction has been interpreted by “[s]ome New York State courts” to mean that “a nondomiciliary defendant’s maintenance *and use* of such an account in New York, standing alone, [is] *ipso facto* insufficient to support personal jurisdiction under the New York long-arm statute” (673 F3d at 64 [emphasis added]). Relatedly, federal district court judges in the Circuit have cited these state court decisions and the general statement in *Amigo Foods* “to conclude that the ‘mere maintenance’ of a correspondent bank account in New York does not suffice to establish personal jurisdiction there” (*id.* at 65).

The Second Circuit then went on to explain that “[a]ssuming for present purposes that this ‘mere maintenance’ principle is a faithful articulation of [the] decision in *Amigo Foods*,” that

principle's application to the facts of this case is unclear because there are arguably several interpretations of the qualifier "mere"—i.e., "that it is intended to distinguish the 'maintenance' of an account from its active use," as plaintiffs suggest; "that other types of contacts with the forum—such as borrowing money in New York, signing notes payable in New York, or negotiating agreements in New York—are also required"; or "that a transaction of business in New York will not suffice unless the plaintiff's cause of action also 'arise[s] from' that transaction—in other words that the second prong of the test must also be satisfied" (*id.* at 65). The court then suggested that perhaps

"*Amigo Foods* [was] best read as standing for the proposition that the first prong of the long-arm jurisdiction test under [CPLR 302 (a) (1)] . . . may be satisfied by the defendant's use of a correspondent bank account in New York, even if no other contacts between the defendant and New York can be established, *if* the defendant's use of that account was purposeful" (*id.* at 66).

[1] This is an accurate summing up of New York law. The jurisdictional inquiry under CPLR 302 (a) (1) necessarily requires examination of the particular facts in each case. And although determining what facts constitute "purposeful availment" is an objective inquiry, it always requires a court to closely examine the defendant's contacts for their quality (*see Fischbarg v Doucet*, 9 NY3d 375, 380 [2007]). Thus, in *Amigo Foods* we focused on the nature and extent of Aroostook's involvement in the deposit of funds intended to pay Parent in the correspondent account that Aroostook maintained at Irving in New York. As discovery revealed, Aroostook's purported use of the account in this transaction, the sole potential basis for personal jurisdiction, was essentially adventitious—i.e., it was not even Aroostook's doing.

In the banking context, the requisite inquiry under CPLR 302 (a) (1)'s first prong may be complicated by the nature of inter-bank activity, especially given the widespread use of correspondent accounts nominally in New York to facilitate the flow of money worldwide, often for transactions that otherwise have no other connection to New York, or indeed the United States. As a result, determining in an individual case whether a foreign bank's maintenance and use of a correspondent account is purposeful or coincidental may often prove more difficult than

was the case in *Amigo Foods*, once the facts there were established. Nonetheless, complaints alleging a foreign bank's repeated use of a correspondent account in New York on behalf of a client—in effect, a “course of dealing” (see *Indosuez*, 98 NY2d at 247)—show purposeful availment of New York's dependable and transparent banking system, the dollar as a stable and fungible currency, and the predictable jurisdictional and commercial law of New York and the United States.

### Certified Question No. 2

“(2) Do the plaintiffs’ claims under the Anti-Terrorism Act, the A[lien] T[ort] S[tatute],<sup>9</sup> or for negligence or breach of statutory duty in violation of Israeli law, ‘aris[e] from’ LCB’s transaction of business in New York within the meaning of N.Y. C.P.L.R. § 302(a)(1)?” (673 F3d at 74.)

We have interpreted the second prong of the jurisdictional inquiry to require that, in light of all the circumstances, there must be an “articulable nexus” (*McGowan v Smith*, 52 NY2d 268 [1981]) or “substantial relationship” (*Kreutter v McFadden Oil Corp.*, 71 NY2d 460 [1988]) between the business transaction and the claim asserted. We have consistently held that causation is not required, and that the inquiry under the statute is relatively permissive (see *McGowan*, 52 NY2d at 272; *Kreutter*, 71 NY2d at 467). But these standards connote, at a minimum, a relatedness between the transaction and the legal claim such that the latter is not completely unmoored from the former, regardless of the ultimate merits of the claim.<sup>10</sup> In effect,

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9. As the Second Circuit pointed out, the United States Supreme Court will soon decide whether the ATS provides subject matter jurisdiction for federal courts to entertain civil actions against corporations for violations of customary international law (see *Kiobel v Royal Dutch Petroleum Co.*, 621 F3d 111 [2d Cir 2010], *cert granted* 565 US —, 132 S Ct 472 [2011]). Depending on the outcome, *Kiobel* may render moot the question of whether personal jurisdiction exists over plaintiffs’ ATS claim (see 673 F3d at 73).

10. Indeed, in framing its inquiry about the second prong, the Second Circuit remarked that although the lower court correctly observed that the rockets launched by Hizballah were “the alleged immediate cause” of the damages claimed, plaintiffs were suing LCB “for its role in the transfer of funds to Hizballah[, and] the jurisdictional nexus analysis directs [the court] to consider the relationship between . . . plaintiffs’ claims and LCB’s alleged transactions in New York,” not “reach[ ] a conclusion that properly bears upon the ultimate merits of plaintiffs’ claims, which seek to hold LCB liable for damages allegedly inflicted by Hizballah” (673 F3d at 67-68).

the “arise-from” prong limits the broader “transaction-of-business” prong to confer jurisdiction only over those claims in some way arguably connected to the transaction. Where this necessary relatedness is lacking, we have characterized the claim as “too attenuated” from the transaction, or “merely coincidental” with it (*see Johnson v Ward*, 4 NY3d 516, 520 [2005]).

[2] Accepting the complaint’s allegations as true, LCB’s use of its AmEx correspondent account to transfer money for Shahid provided money for Hizballah to carry out terrorist violence, including the 2006 rocket attacks. Application of the second prong of the jurisdictional inquiry varies according to the nature and elements of the particular causes of action pleaded; here, LCB’s alleged breach of various statutory duties. As personal jurisdiction is fundamentally about a court’s control over the person of the defendant, the inquiry logically focuses on the defendant’s conduct. Again, the complaint alleges that LCB engaged in terrorist financing by using its correspondent account in New York to move the necessary dollars. Taken as true, LCB arguably thereby violated duties owed to plaintiffs under the various statutes asserted as a basis for subject matter jurisdiction. Furthermore, the alleged breaches occurred when LCB used the New York account. Again, whether or not plaintiffs can prove these allegations at trial, including showing links between Shahid and Hizballah, and whether or not these allegations state a claim under the various statutes, the pleadings establish the “articulable nexus” or “substantial relationship” necessary for purposes of personal jurisdiction.

While it may be that LCB could have routed the dollar transactions on behalf of Shahid elsewhere, the fact that LCB used a New York account “dozens” of times indicates desirability and a lack of coincidence. Presumably, using the AmEx account was cheaper and easier for LCB than other options, and whatever financial and other benefits LCB enjoyed as a result allowed the bank to retain Shahid as a customer and to support its allegedly terrorist activities and programs.

In sum, repeated use of the correspondent account shows not only transaction of business, but an articulable nexus or substantial relationship between the transaction and the alleged breaches of statutory duties. LCB did not route a transfer for a terrorist group once or twice by mistake. Rather, plaintiffs allege that LCB deliberately used a New York account again and again to effect its support of Shahid and shared terrorist goals.

Not all elements of the causes of action pleaded are related to LCB's use of the correspondent account. And the specific harms suffered by plaintiffs flowed not from LCB's alleged support of a terrorist organization, but rather from rockets. Yet CPLR 302 (a) (1) does not require that every element of the cause of action pleaded must be related to the New York contacts; rather, where at least one element arises from the New York contacts, the relationship between the business transaction and the claim asserted supports specific jurisdiction under the statute.

Accordingly, the certified questions should be answered in the affirmative.

Chief Judge LIPPMAN and Judges CIPARICK, GRAFFEO, SMITH and PIGOTT concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the New York State Court of Appeals, and after hearing argument by counsel for the parties and consideration of the briefs and the record submitted, certified questions answered in the affirmative.

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[985 NE2d 128, 961 NYS2d 364]

GREGORY C. MIGLINO, JR., as Executor of GREGORY C. MIGLINO, SR., Deceased, Respondent, v BALLY TOTAL FITNESS OF GREATER NEW YORK, INC., Appellant, et al., Defendant.

Argued January 3, 2013; decided February 7, 2013

### SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered December 27, 2011. The Appellate Division order, insofar as appealed from, affirmed so much of an order of the Supreme Court, Suffolk County (Jeffrey Arlen Spinner, J.; op 2010 NY Slip Op 33790[U] [2010]), as had denied defendants' motion to dismiss the complaint as against defendant Bally Total Fitness of Greater New York, Inc. for failure to state a cause of action. The following question was certified by the Appellate Division: "Was the opinion and order of this Court dated December 27, 2011, properly made with respect to the cause of action asserted against Bally Total Fitness of Greater New York, Inc.?"

*Miglino v Bally Total Fitness of Greater N.Y., Inc.*, 92 AD3d 148, affirmed.

### HEADNOTES

#### **Negligence — Duty — Duty of Health Club to Use Automated External Defibrillator during Emergency**

1. General Business Law § 627-a, which requires that certain health clubs have an Automated External Defibrillator (AED) available for a trained employee or authorized volunteer to employ in the event of a cardiac emergency and also have a trained employee or volunteer in attendance at all times during staffed business hours, does not create a duty running from a health club to its members to use an AED required by that provision to be maintained on site. A health club had no duty at common law to use an AED, and could not be held liable for failing to do so. To interpret section 627-a as implicitly creating a new duty would conflict with the rule that legislative enactments in derogation of the common law, and especially those creating liability where none previously existed, must be strictly construed. The provisions of section 627-a, read together with Public Health Law §§ 3000-a and 3000-b, to which they explicitly refer, and the words "volunteer" (General Business Law § 627-a [1]) and "voluntarily" (General Business Law § 627-a [3]) evince the legislature's intent to protect health clubs and their employees from the risk of liability for ordinary negligence with respect to AEDs.

#### **Negligence — What Constitutes — Failure of Health Club to Employ or Properly Employ Lifesaving Measures**

2. In a wrongful death action arising from the death of plaintiff's decedent after he collapsed at defendant health club, plaintiff's allegations in the



complaint that defendant did not “employ or properly employ lifesaving measures regarding [decedent]” after he collapsed pleaded a viable cause of action at common law sufficient to survive defendant’s motion to dismiss pursuant to CPLR 3211 (a) (7). Although defendant’s motion was supported by affidavits that contradicted plaintiff’s claim, by purporting to show that the minimal steps adequate to fulfill a health club’s limited duty to a patron apparently suffering a coronary incident—i.e., calling 911, administering cardiopulmonary resuscitation and/or relying on medical professionals who are voluntarily furnishing emergency care—were undertaken, the case was not in a posture to be resolved as a matter of law on the basis of the parties’ affidavits.

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### RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Entertainment and Sports Law § 52; AM JUR 2d, Negligence §§ 71, 73, 76; AM JUR 2d, Premises Liability §§ 453, 477.

CARMODY-WAIT 2d, Action for Wrongful Death §§ 130:73, 130:85.

McKINNEY’S, General Business Law § 627-a.

NY JUR 2d, Consumer and Borrower Protection § 441; NY JUR 2d, Premises Liability § 108.

PROSSER AND KEETON, TORTS (5th ed) §§ 53, 61, 62, 125A.

### ANNOTATION REFERENCE

Liability of proprietor of private gymnasium, reducing salon, or similar health club for injury to patron. 79 ALR4th 127.

### FIND SIMILAR CASES ON WESTLAW®

Database: NY-ORCS

Query: health /2 club & defibrillator & duty

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### POINTS OF COUNSEL

*Morrison Mahoney LLP*, New York City (*Brian P. Heermance* and *Demi Sophocleous* of counsel), for appellant. I. Plaintiff assumed the risk of cardiac arrest when he engaged in strenuous physical activity at defendant’s health club. (*Morgan v State of New York*, 90 NY2d 471; *Rutnik v Colonie Ctr. Ct. Club*, 249 AD2d 873; *Chappill v Bally Total Fitness Corp.*, 2011 NY Slip Op 30146[U].) II. Defendant is immune from liability under New York’s Good Samaritan Statute. III. Defendant had no legal duty to use an Automated External Defibrillator and, therefore, plaintiff’s complaint fails to state a viable cause of action. (*Rutnik v Colonie Ctr. Ct. Club*, 249 AD2d 873; *Putrino v*

*Buffalo Athletic Club*, 193 AD2d 1127; *Chappill v Bally Total Fitness Corp.*, 2011 NY Slip Op 30146[U]; *Vucetovic v Epsom Downs, Inc.*, 10 NY3d 517; *Brown v Barry*, 3 US 365; *Janssen v Incorporated Vil. of Rockville Ctr.*, 59 AD3d 15; *Digiulio v Gran, Inc.*, 74 AD3d 450, 17 NY3d 765.)

*Charnas Law Firm, P.C.*, Garden City (*John V. Decolator* and *Scott E. Charnas* of counsel), for respondent. I. The Appellate Division properly held that the complaint states a cognizable cause of action based upon Bally Total Fitness of Greater New York, Inc.'s failure to use its Automated External Defibrillator upon the decedent. (*State of New York v Cities Serv. Co.*, 180 AD2d 940; *Zappone v Home Ins. Co.*, 55 NY2d 131; *Ragucci v Professional Constr. Servs.*, 25 AD3d 43; *Westchester County Socy. for Prevention of Cruelty to Animals v Mengel*, 266 App Div 151, 292 NY 121; *Parvi v City of Kingston*, 41 NY2d 553; *Nallan v Helmsley-Spear, Inc.*, 50 NY2d 507; *Kaplan v Dart Towing*, 159 AD2d 610; *Mirza v Metropolitan Life Ins. Co.*, 2 AD3d 808; *Walsh v Town of Cheektowaga*, 237 AD2d 947; *Palka v Servicemaster Mgt. Servs. Corp.*, 83 NY2d 579.) II. Bally Total Fitness of Greater New York, Inc. is not immune from liability under New York's Good Samaritan Statute. (*Salvia v Long Is. R.R.*, 207 AD2d 534; *McDaniel v Keck*, 53 AD3d 869.) III. Bally Total Fitness of Greater New York, Inc.'s assumption of risk argument is unpreserved. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Misicki v Caradonna*, 12 NY3d 511.)

#### OPINION OF THE COURT

READ, J.

On March 26, 2007, plaintiff Gregory C. Miglino, Jr.'s father, Gregory C. Miglino, Sr. (Miglino or decedent), collapsed while near the racquetball courts at a health club owned and operated by Bally Total Fitness of Greater New York, Inc. (Bally). Kenneth LaGrega, employed by Bally as a personal trainer, was standing at the club's front desk with the receptionist when he learned of this medical emergency. The receptionist immediately called 911, and an announcement was broadcast summoning anyone with medical training to the front desk; the receptionist also brought the club's Automated External Defibrillator (AED) to Miglino's side. An AED is a portable medical device for delivery of an electroshock to restore normal heart rhythm (see Public Health Law § 3000-b [a]). As the 911 call was being made, LaGrega rushed to assist Miglino.

LaGrega saw that Miglino was lying on his back with his eyes open, breathing heavily and with normal color; he checked for

and found a faint pulse. LaGrega was certified to operate an AED and to administer cardiopulmonary resuscitation (CPR), having successfully completed courses taught under the aegis of the American Heart Association to instruct people in these skills. He did not start CPR or use the AED, though, later declaring that he was trained to view such measures as “inappropriate in light of a breathing individual with detectable pulse.” LaGrega then left briefly to check on the status of the 911 response. When he returned, two club members previously known to him to be a doctor and a medical student were attending to Miglino and administering CPR. LaGrega assisted as needed, having concluded that the doctor and medical student were “in a better position [than he was] to continue caring for [Miglino] until paramedics arrived,” a judgment “in keeping with [his] American Heart Association training, as well as the emergency training [he] received from Bally.” Upon arrival, the ambulance personnel administered shocks to Miglino with an AED, but he never revived.

By summons and complaint filed on February 26, 2008, plaintiff, as executor of decedent’s estate, brought a wrongful death suit against Bally and Bally Total Fitness Corporation (Bally Total). The complaint alleged that Bally and Bally Total neither “provided nor caused to be provided a . . . person in attendance at the club” who was properly certified to operate an AED or perform CPR, as required by New York law; and that Bally employees negligently failed to use an available AED, or failed to use it within sufficient time, to save Miglino’s life. Bally and Bally Total served a joint answer to the complaint on April 8, 2008; by notice of motion dated June 23, 2008, they moved to dismiss pursuant to CPLR 3211 (a) (7) for failure to state a cause of action.

Bally primarily argued that it was immune from liability under the State’s Good Samaritan Law (Public Health Law § 3000-a); Bally Total, that it did not own or operate the health club. In support of the motion, Bally submitted LaGrega’s affidavit, in which he described his training and the actions that he and other club personnel took to assist Miglino, related above, and copies of his CPR/AED certificate from the American Heart Association; Bally Total furnished the affidavit of its assistant vice-president and associate general counsel, who attested that Bally Total did not own, operate, manage or employ any personnel at the club, and therefore could not be vicariously liable for the acts or omissions alleged by plaintiff.

Plaintiff opposed Bally's motion, contending that the Good Samaritan Law did not apply because, among other reasons, Bally's employees did not, in fact, render emergency treatment to Miglino since LaGrega neglected to apply the AED; and that Bally had a statutory and common-law duty to use the AED. Plaintiff submitted the affidavit of a board-certified cardiologist, who opined that Miglino's "chances of survival would have been significantly higher if the AED had been used within the first few minutes after his collapse" rather than upon arrival of the ambulance. Plaintiff did not oppose dismissal of the complaint against Bally Total.

On June 9, 2010, Supreme Court denied the motion in its entirety (2010 NY Slip Op 33790[U] [2010]). The court commented that Bally's evidentiary affidavits made out a "strong, but not conclusive showing that the plaintiff does not have a cause of action" (*id.* at \*2). The court added, however, that "plaintiff [was] not obligated to come forth with evidence as he would on a motion for summary judgment to withstand dismissal"; as a result, the judge, "being only concerned with the sufficiency of the plaintiff's pleadings, and not evidentiary matters," determined that the complaint stated cognizable claims (*id.* at \*2, \*3).

In a decision and order dated December 27, 2011, the Appellate Division modified Supreme Court's order by dismissing the complaint against Bally Total and otherwise affirming (92 AD3d 148 [2d Dept 2011]). The Second Department held, contrary to the First Department's decision in *Digiulio v Gran, Inc.* (74 AD3d 450, 453 [2010], *affd on other grounds* 17 NY3d 765 [2011]), that General Business Law § 627-a, which mandates certain health clubs to maintain on premises at least one AED and an individual trained to operate it, "also imposes an affirmative duty of care upon the facility so as to give rise to a cognizable statutory cause of action in negligence for failure to [do so]" (92 AD3d at 150). The court additionally concluded that the complaint stated a cause of action against Bally "based solely upon common-law negligence" because "LaGrega assumed a duty by coming to the decedent's assistance" (*id.* at 159, 160). Finally, the Appellate Division held that Bally Total was entitled to dismissal of the complaint insofar as asserted against it, as conceded by plaintiff both at Supreme Court and on appeal.

Bally subsequently moved in the Appellate Division for permission to appeal. By order entered on March 19, 2012, that

court certified the following question to us: “Was the opinion and order of [the Appellate Division,] dated December 27, 2011, properly made with respect to the cause of action asserted against [Bally]?” We now answer the question in the negative, but affirm the result on procedural grounds only.

General Business Law § 627-a

General Business Law § 627-a (1) requires every health club, as defined under Public Health Law § 3000-d (1) (b),<sup>1</sup> with 500 or more members to

“have on premises at least one [AED] and [to] have in attendance, at all times during staffed business hours, at least one individual performing employment or individual acting as an authorized volunteer who holds a valid certification of completion of a course in the study of the operation of AEDs and a valid certification of the completion of a course in the training of [CPR] provided by a nationally recognized organization or association.”

Subdivision (2) provides that “[h]ealth clubs and staff pursuant to [General Business Law § 627-a (1)] shall be deemed a ‘public access defibrillation provider’ as defined in [Public Health Law § 3000-b (1) (c)] and shall be subject to the requirements and limitations of such section” (General Business Law § 627-a [2]). Under section 3000-b (1) (c), a “public access defibrillation provider” means “a person, firm, organization or other entity possessing or operating an [AED] pursuant to a collaborative agreement under this section”; and subdivision (2) of section 3000-b states

“Collaborative agreement. A person, firm, organization or other entity may purchase, acquire, possess and operate an [AED] pursuant to a collaborative

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1. This provision defines “[h]ealth club” as “any commercial establishment offering instruction, training or assistance and/or the facilities for the preservation, maintenance, encouragement or development of physical fitness or well-being. ‘Health club’ as defined herein shall include, but not be limited to health spas, health studios, gymnasiums, weight control studios, martial arts and self-defense schools or any other commercial establishment offering a similar course of physical training” (Public Health Law § 3000-d [1] [b]).

agreement with an emergency health care provider.<sup>[2]</sup> The collaborative agreement shall include a written agreement and written practice protocols, and policies and procedures that shall assure compliance with this section. The public access defibrillation provider shall file a copy of the collaborative agreement with the [New York State Department of Health] and with the appropriate regional council prior to operating the [AED].”

Additionally, Public Health Law § 3000-b (4) provides that the “[o]peration of an [AED] pursuant to this section [governing public access providers] shall be considered first aid or emergency treatment for the purpose of any statute relating to liability.” This is a clear reference to Public Health Law § 3000-a, the Good Samaritan Law, which protects volunteers who supply first aid or emergency treatment outside a medical facility from liability for injuries or death unless caused by their gross negligence. The broad goal of the Good Samaritan Law is to prompt aid by people under no duty to act who otherwise might be dissuaded by the prospect of ordinary tort liability.

Finally, General Business Law § 627-a (3) specifies that

“[p]ursuant to [Public Health Law § 3000-a (the Good Samaritan Law)] and [Public Health Law § 3000-b (Public Access Providers)], any public access defibrillation provider, or any employee or other agent of the provider who, in accordance with the provisions of this section, voluntarily and without expectation of monetary compensation renders emergency medical or first aid treatment using an AED which has been made available pursuant to this section, to a person who is unconscious, ill or injured, shall be liable only pursuant to [Public Health Law § 3000-a].”

[1] Plaintiff contends (and the Second Department held) that section 627-a creates an affirmative duty for health clubs to use the AEDs which they are required to have available for a trained employee or authorized volunteer to employ in the event of a cardiac emergency. We do not agree. The provisions of section 627-a, read together with Public Health Law §§ 3000-a and

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2. Public Health Law § 3000-b (1) (b) defines an “emergency health care provider” as “(i) a physician with knowledge and experience in the delivery of emergency cardiac care; or (ii) a hospital licensed under article twenty-eight of this chapter that provides emergency cardiac care.”



3000-b, to which they explicitly refer, and the words “volunteer” (General Business Law § 627-a [1]) and “voluntarily” (General Business Law § 627-a [3]) evince the legislature’s intent to protect health clubs and their employees from the risk of liability for ordinary negligence with respect to AEDs.

As the First Department pointed out in *Digiulio*, a health club had no duty at common law to use an AED, and could not be held liable for failing to do so (*Digiulio*, 74 AD3d at 452). Accordingly,

“to interpret section 627-a as implicitly creating a new duty would conflict with the rule that legislative enactments in derogation of common law, and especially those creating liability where none previously existed, must be strictly construed. The statute’s limitation of the liability of health clubs and their agents when ‘voluntarily’ using AEDs to aid stricken persons indicates that its use is not obligatory. While the Legislature meant to require health clubs to make AEDs available and encourage their use in medical emergencies, it did not intend to impose liability on clubs for usage failures” (*id.* at 453 [citations omitted]).

In sum, we now resolve the issue that we left open when we affirmed *Digiulio* on other grounds: we hold that General Business Law § 627-a does not create a duty running from a health club to its members to use an AED required by that provision to be maintained on site.

The dissent objects that our interpretation renders section 627-a “virtually meaningless” (dissenting op at 352) and “purposeless” (*id.* at 353). On the contrary, there is nothing meaningless or purposeless about a statute that seeks to insure the availability of AEDs and individuals trained in their use at locations—i.e., health clubs—where there is a population at higher risk of sudden cardiac arrest. Obviously, though, AEDs are not meant to be employed mindlessly. For example, the implied duty favored by the dissent would cause a dilemma for the lay health club employee whenever a volunteer medical professional is furnishing aid at the scene, as allegedly happened here and in *Putrino v Buffalo Athletic Club* (193 AD2d 1127 [4th Dept 1993], *aff’d* 82 NY2d 779 [1993]), discussed later.

A law that mandates the presence of AEDs and trained individuals at health clubs is easy to obey and enforce. The implied duty envisioned by the dissent is neither; such a duty

would engender a whole new field of tort litigation, saddling health clubs with new costs and generating uncertainty. The legislature is unlikely to have imposed such a new duty absent an express statement, especially given the remedy of treble damages provided by General Business Law § 628.<sup>3</sup>

#### Common Law Liability

New York courts have viewed health clubs as owing a limited duty of care to patrons struck down by a heart attack or cardiac arrest while engaged in athletic activities on premises. For example, in *Putrino*, the decedent suffered a fatal heart attack while participating in an aerobics class at an athletic club. Plaintiff, administratrix of the decedent's estate, claimed that the club's employees negligently rendered emergency treatment to the decedent while awaiting the rescue squad. The court concluded, however, that the club was entitled to summary judgment where its personnel deferred to the superior medical training and experience of a nurse, called 911 immediately, and sent someone to the first floor to direct emergency personnel to the decedent.

In *Rutnik v Colonie Ctr. Ct. Club* (249 AD2d 873 [3d Dept 1998]), the decedent collapsed while playing racquetball during a tournament at a tennis club; the cause of death was later determined to be cardiac arrest as a consequence of atherosclerotic heart disease. The court held that the club had not breached any duty owed the decedent and was entitled to summary judgment where the entire staff was trained in CPR and 911 was called. The Appellate Division rejected the notion that the club was negligent for not having a defibrillator on hand in case a cardiac emergency cropped up during the tournament.

The facts in *Digiulio* were unusual. The decedent suffered cardiac arrest while exercising on a treadmill at a health club. There was an AED on the premises, as was by then required by section 627-a, but the employee trained in its operation saw

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3. Section 628 (1) specifies that “[a]ny buyer damaged by a violation of this article [30 (Health Club Services)] may bring an action for recovery of damages. Judgment may be entered in an amount not to exceed three times the actual damages plus reasonable attorney fees” (General Business Law § 628 [1] [emphases added]). This private right of action is available, by its literal terms, to enforce General Business Law § 627-a since “buyer” is defined in article 30 as “any individual who enters into a contract for services with a health club” (General Business Law § 621 [5]). Thus, if the legislature in section 627-a enacted a duty to use the AED, as the dissent contends, then violation of that duty would subject a health club to treble damages.

that the device was stored in a glass case with a visible key lock mechanism. Later admitting to panic, he ran to the front desk to look fruitlessly for the key. In fact, though, the glass case was unlocked all along. Meanwhile, other staff called 911 and performed CPR. Emergency services personnel arrived within 10 minutes and successfully used their AED to restore Digiulio's heartbeat. He had suffered anoxic brain damage by that time, however, and he died a few months later. On these facts, the Appellate Division determined that the "club's employees more than fulfilled their duty of care by immediately calling 911 and performing CPR" (74 AD3d at 452); we agreed that the health club "did not breach any common-law duty to render aid to the decedent" (17 NY3d at 767).

In *Putrino*, *Rutnik* and *Digiulio*, the courts considered whether the health club defendants were entitled to summary judgment. In this case, though, Bally has moved to dismiss under CPLR 3211 (a) (7), which limits us to an examination of the pleadings to determine whether they state a cause of action. Further, we must accept facts alleged as true and interpret them in the light most favorable to plaintiff; and, as Supreme Court observed, plaintiff may not be penalized for failure to make an evidentiary showing in support of a complaint that states a claim on its face (*see Rovello v Orofino Realty Co.*, 40 NY2d 633, 635 [1976] [as long as a pleading is facially sufficient, the plaintiff is not obligated to come forward with claim-sustaining proof in response to a motion to dismiss unless the court treats the motion as one for summary judgment and so advises the parties]).

[2] Here, the complaint asserts that Bally did not "employ or properly employ life-saving measures regarding [Miglino]" after he collapsed. Bally's motion is supported by affidavits that contradict this claim, by purporting to show that the minimal steps adequate to fulfill a health club's limited duty to a patron apparently suffering a coronary incident—i.e., calling 911, administering CPR and/or relying on medical professionals who are voluntarily furnishing emergency care—were, in fact, undertaken. But, as noted before, this matter comes to us on a motion to dismiss, not a motion for summary judgment. As a result, the case is not currently in a posture to be resolved as a matter of law on the basis of the parties' affidavits, and Miglino has at least pleaded a viable cause of action at common law.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs, and the certified question answered in the negative.

Chief Judge LIPPMAN (dissenting in part). Although the majority opinion recognizes a limited common-law duty running from a health club to its patrons who suffer a heart attack while exercising at the facility, it finds that an analogous statutory duty is not imposed by General Business Law § 627-a. Because I do not believe the statute should be interpreted in a way that renders it virtually meaningless, I respectfully dissent from that portion of the decision.

The statute plainly requires that health clubs maintain an automated external defibrillator (AED) on the premises and that a person trained in its use must be present during business hours (*see* General Business Law § 627-a [1]). In addition, as a public access defibrillation provider, the health club and its employees who render aid using the AED will be subject to liability only in accordance with Public Health Law § 3000-a—the “Good Samaritan” Statute (*see* General Business Law § 627-a [3]; Public Health Law § 3000-b [1] [c]). The Good Samaritan Statute provides that “any person who voluntarily and without expectation of monetary compensation renders first aid or emergency treatment” will not be liable for damages for injuries sustained as the result of such treatment, unless the injuries were caused by gross negligence on the part of the person rendering aid (*see* Public Health Law § 3000-a [1]).

The legislative history demonstrates that the intent behind requiring AEDs in health clubs was based on the recognition that the likelihood of cardiac arrest increases in locations where individuals engage in physical exertion and that there is a dramatic reduction in the fatality rate from such episodes with the immediate use of AEDs and CPR (*see* Assembly Mem in Support, Bill Jacket, L 2004, ch 186). Indeed, the measure was meant to “ensure a higher level of safety for thousands of [i]ndividuals who belong to health clubs” (Assembly Mem in Support, Bill Jacket, L 2004, ch 186). It should go without saying that the presence of an AED will be of no benefit whatsoever to a person in cardiac arrest unless, of course, it is actually used.

In the absence of any explicit statement concerning whether or not the statute imposes a duty to use the AED, the statute should be interpreted in a way that is consistent with its spirit and benevolent aim (*see Matter of New York City Asbestos Litig. [Brooklyn Nav. Shipyard Cases]*, 82 NY2d 342, 352 [1993]; McKinney’s Cons Laws of NY, Book 1, Statutes § 96 at 210 [“The courts will assume that a statute was not enacted without

some purpose, and also that it was a practical and reasonable one, directed to some useful result, beneficial to some persons; and, acting on such assumption, they will attempt to ascertain such purpose’’]). The majority opinion, however, does the opposite. As read by the majority, the legislature enacted an essentially purposeless statute that requires health clubs to purchase AEDs and train employees to use them, but does not require that the devices be applied in any potentially lifesaving situation. I cannot agree with an interpretation that is so plainly contrary to accomplishing the goal of the legislation. I would find that plaintiff’s statutory claim states a sufficient cause of action.

In light of the majority opinion, the legislature in its discretion may wish to revisit the statute and make clear that health clubs are in fact under a duty to make use of AEDs they are required to have on their premises.

Judges GRAFFEO, SMITH and PIGOTT concur with Judge READ; Chief Judge LIPPMAN dissents in part in an opinion.

Order, insofar as appealed from, affirmed, with costs, and certified question answered in the negative.

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[984 NE2d 902, 960 NYS2d 704]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TREVIS  
D. BAKER, Appellant. (Appeal No. 1.)

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TREVIS  
D. BAKER, Appellant. (Appeal No. 2.)

Argued January 8, 2013; decided February 7, 2013

### SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 25, 2011. The Appellate Division affirmed a judgment of the Supreme Court, Monroe County (Alex R. Renzi, J.), which had convicted defendant, upon his plea of guilty, of criminal possession of a controlled substance in the third degree.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 25, 2011. The Appellate Division affirmed a judgment of the Supreme Court, Monroe County (Alex R. Renzi, J.), which had convicted defendant, upon his plea of guilty, of assault in the second degree.

*People v Baker*, 82 AD3d 1656, reversed.

*People v Baker*, 82 AD3d 1657, reversed.

### HEADNOTE

#### **Crimes — Arrest — Probable Cause — Disorderly Conduct — Intent to Cause Public Harm**

An arrest for disorderly conduct, arising from defendant's verbal exchange with a police officer on a public street during which defendant, while walking away from the police vehicle that the officer was in, twice used a profanity and accused the officer of harassing him, was not supported by probable cause. Critical to a charge of disorderly conduct under Penal Law § 240.20 (3), is the presence of an intent to cause public harm, which requires a finding that defendant's disruptive statements and behavior were of a public rather than an individual dimension. Factors considered in making that finding include the time, place, nature and character of the conduct, the number of people in the vicinity, whether they are drawn to the disturbance and, if so, the nature and number of persons attracted. The risk of public disorder need not be realized, but the circumstances must be such that defendant's intent to create such a threat (or reckless disregard thereof) can be readily inferred. Here, the public outburst, while loud, was extremely brief and was not accompanied by menacing conduct and there was no basis to infer that the officer



felt threatened by the statements. Moreover, the fact that another officer was present at the scene diluted the risk that others would join forces with defendant. Although about 10 people had congregated on the sidewalk behind defendant and his girlfriend, there was no evidence that the bystanders were motivated by anything other than curiosity or expressed any inclination to involve themselves in the dispute. Finally, the fact that the abusive statements were directed exclusively at a police officer who was trained to defuse situations involving angry or emotionally distraught persons undermines any inference that there was a threat of public harm, particularly since the officer was in a position of safety and could have ignored defendant.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Arrest §§ 32–34; AM JUR 2d, Breach of Peace and Disorderly Conduct §§ 23–27, 32, 36.  
CARMODY-WAIT 2d, Arrest or Other Detention; Post-Arrest Procedure §§ 177:11, 177:15–177:17.  
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) § 3.3.  
MCKINNEY'S, Penal Law § 240.20 (3).  
NY JUR 2d, Criminal Law: Procedure §§ 69, 74; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1817, 1819.

### ANNOTATION REFERENCE

Insulting words addressed directly to police officer as breach of peace or disorderly conduct. 14 ALR4th 1252.

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### POINTS OF COUNSEL

*Timothy P. Donaher, Public Defender, Rochester (Timothy S. Davis of counsel)*, for appellant in the first above-entitled action. As the words defendant uttered were neither erotic in nature nor likely to provoke a violent response, his criticism of Officer Michael Johnson was constitutionally protected, and therefore could not serve as a valid predicate for his arrest. (*Johnson v Campbell*, 332 F3d 199; *Texas v Johnson*, 491 US 397; *Terminiello v Chicago*, 337 US 1; *Houston v Hill*, 482 US 451; *People v Cradle*, 160 AD2d 891; *People v Delhall*, 131 AD2d 870; *Riley v County of Broome*, 95 NY2d 455; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Matter of Auerbach v Board of Educ. of City School Dist. of City of N.Y.*,

86 NY2d 198; *Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669.)

*Timothy P. Donaher*, Public Defender, Rochester (*Timothy S. Davis* of counsel), for appellant in the second above-entitled action. If this Court reverses defendant's conviction of criminal possession of a controlled substance in the third degree under indictment No. 409/2006, then his conviction of assault in the second degree under indictment No. 368/2006 must also be reversed, for he pleaded guilty under this indictment with the understanding that the sentence imposed would run concurrently with the sentence imposed on the other. (*Boykin v Alabama*, 395 US 238; *Santobello v New York*, 404 US 257; *Brady v United States*, 397 US 742; *Johnson v Lumpkin*, 769 F2d 630; *People v Rowland*, 8 NY3d 342; *People v Taylor*, 80 NY2d 1; *People v Boston*, 75 NY2d 585; *People v Fuggazzatto*, 62 NY2d 862; *People v Calvi*, 89 NY2d 868; *People v Seaberg*, 74 NY2d 1.)

*Sandra Doorley*, District Attorney, Rochester (*Geoffrey Kaeuper* of counsel), for respondent in the first and second above-entitled actions. I. The police had probable cause to arrest defendant for disorderly conduct. (*People v Furet*, 12 NY3d 740; *People v Weaver*, 16 NY3d 123; *People v Bakolas*, 59 NY2d 51; *People v Todaro*, 26 NY2d 325; *People v Tichenor*, 89 NY2d 769; *People v Munafo*, 50 NY2d 326; *People v Dietze*, 75 NY2d 47; *Chaplinsky v New Hampshire*, 315 US 568; *Miller v California*, 413 US 15; *People v Couser*, 94 NY2d 631.) II. If reversal were warranted in the drug case, that would not invalidate the assault conviction. (*People v Fuggazzatto*, 62 NY2d 862; *People v Lowrance*, 41 NY2d 303.)

*New York Civil Liberties Union Foundation*, New York City (*Daniel Mullkoff* and *Arthur Eisenberg* of counsel), for New York Civil Liberties Union, amicus curiae. I. The speech at issue in this case is protected by the First Amendment. (*Ashcroft v American Civil Liberties Union*, 535 US 564; *Brandenburg v Ohio*, 395 US 444; *Cohen v California*, 403 US 15; *Chaplinsky v New Hampshire*, 315 US 568; *Gooding v Wilson*, 405 US 518; *R.A.V. v St. Paul*, 505 US 377; *Hess v Indiana*, 414 US 105; *Texas v Johnson*, 491 US 397; *Houston v Hill*, 482 US 451; *Lewis v New Orleans*, 415 US 130.) II. The Court's analysis in *People v Tichenor* (89 NY2d 769 [1997]) does not apply because defendant here was engaged in pure speech, not conduct. (*Norwell v Cincinnati*, 414 US 14; *Mt. Healthy City Bd. of Ed. v Doyle*, 429 US 274; *Devenpeck v Alford*, 543 US 146.)

**OPINION OF THE COURT**

GRAFFEO, J.

Following a verbal exchange between defendant and a police officer on a Rochester street, defendant was arrested for disorderly conduct. He challenged the legality of his arrest, arguing that the statements and conduct that preceded it did not rise to the level of disorderly conduct. We agree.

The facts giving rise to the disorderly conduct arrest are undisputed. On a spring evening at around 6:30 p.m., Officer Johnson and another police officer were parked in separate marked police vehicles on a residential street in Rochester. Johnson noticed that a woman (later determined to be defendant's girlfriend) was standing in front of a house across the street from where he was parked and was videotaping his activities. Curious about the woman's identity, Johnson ran the license plate of a Cadillac that was parked in her driveway and discovered that the plate number had been issued for a Toyota—not a Cadillac. Johnson briefly stepped out of his car to ask who owned the automobile and the woman responded that it was her grandfather's vehicle. The officer then reentered his patrol car. A few minutes later, defendant Trevis Baker approached the open passenger-side window of Johnson's car, leaned his head in and inquired why Johnson had checked the license plate. Johnson said something to the effect that he could run a plate if he wanted to.

Defendant started backing away from the police vehicle towards the middle of the street, swearing at the officer. When Officer Johnson asked "what did you say," defendant repeated the profanity and accused Johnson of harassing him. After radioing his partner that he intended to make an arrest, Johnson exited his vehicle and, with the assistance of his partner, placed defendant under arrest. These activities apparently attracted the attention of various civilian bystanders and, by the time of the arrest, about 10 people had congregated on the sidewalk behind defendant and his girlfriend. In a search incident to arrest, the police discovered that defendant was in possession of 25 bags of crack cocaine. Defendant was subsequently indicted and charged with criminal possession of a controlled substance third degree, criminal possession of a controlled substance fourth degree and disorderly conduct.

Defendant moved to suppress the drugs found on his person, contending that the arrest for disorderly conduct was illegal,

rendering the contraband fruit of the poisonous tree. At the suppression hearing, Officer Johnson testified to the events described above and the People introduced the videotape of the incident made by defendant's girlfriend, which largely corroborated Johnson's testimony. At the close of the proof, defense counsel argued that the police lacked probable cause for the disorderly conduct arrest because defendant's statements were not uttered with the intent to annoy, harass or alarm, the culpable mental state under the disorderly conduct statute (*see* Penal Law § 240.20 [3]). Defense counsel further asserted that the First Amendment protects the right of a citizen to express disagreement with police actions, which was precisely all that defendant was doing in this case.

Crediting Officer Johnson's uncontradicted testimony, County Court found that the police had probable cause to make the arrest, meaning that the resulting search was lawful and the contraband discovered incident thereto was admissible at trial. Following the denial of the suppression application, defendant was presented with a plea proposal that would simultaneously resolve the drug possession charges and unrelated assault charges from a separate pending indictment. If defendant pleaded guilty to one count of criminal possession of a controlled substance third degree in satisfaction of this indictment and one count of assault second degree in satisfaction of the assault indictment, County Court promised that he would receive concurrent terms of six years in prison plus appropriate post-release supervision (five years on the assault conviction and three years on the drug conviction). The court clarified that this disposition would not preclude defendant from challenging the denial of suppression on appeal, which defense counsel indicated was his intent. Defendant accepted this resolution, pleading guilty to the two offenses in satisfaction of both indictments, and County Court imposed the agreed-upon sentence.

In an appeal from the judgment in the drug possession case, defendant sought review of the suppression ruling (appeal No. 1) but the Appellate Division summarily affirmed (82 AD3d 1656 [2011]). In a separate appeal (appeal No. 2), defendant sought vacatur of his plea in the assault case in the event that he succeeded in his challenge to the suppression order. That appeal was also rejected by the Appellate Division (82 AD3d 1657 [2011]). A Judge of this Court granted defendant leave to appeal from both Appellate Division orders (18 NY3d 857 [2011]) and we now reverse.

Defendant argues that, if applied to criminalize his statements and conduct, Penal Law § 240.20 (3)—the disorderly conduct statute underlying his arrest—violates the First Amendment. He contends that the Court should avoid this result by construing the provision narrowly to permit prosecution only when the statements uttered by the accused either constitute obscenity (as that term has been defined in First Amendment cases) or “fighting words” and he claims that his arrest was unlawful because his utterances did not fall into either category. Before we can address what is, in effect, an as-applied challenge to the constitutional validity of the statute, we must first determine whether the Penal Law § 240.20 (3) arrest was lawful under our existing precedent. Thus, the threshold issue presented in this case is whether there was a record basis for the finding of the courts below that defendant’s disorderly conduct arrest was supported by probable cause.\* “Probable cause exists if the facts and circumstances known to the arresting officer warrant a prudent [person] in believing that the offense has been committed” (*People v Oden*, 36 NY2d 382, 384 [1975]).

Under Penal Law § 240.20 (3), “[a] person is guilty of disorderly conduct when, with intent to cause public inconvenience, annoyance or alarm, or recklessly creating a risk thereof . . . [i]n a public place, he uses abusive or obscene language, or makes an obscene gesture.” The offense has existed in one form or another for more than a century and has spawned a significant body of case law. As is clear from the precedent, critical to a charge of disorderly conduct is a finding that defendant’s disruptive statements and behavior were of a public rather than an individual dimension. This requirement stems from the mens rea component, which requires proof of an intent to threaten public safety, peace or order (or the reckless creation of such a risk). Thus, “a person may be guilty of disorderly conduct only when the situation extends beyond the exchange between the individual disputants to a point where it becomes a potential or

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\* In the typical case, probable cause determinations involve mixed questions of law and fact that are beyond our further review power if supported by any evidence in the record (see e.g. *People v Furet*, 12 NY3d 740 [2009]). But here an issue of law is presented because the probable cause issue distills to whether, viewed in the light most favorable to the People, the defendant’s statements and associated conduct witnessed by the police officer constituted the crime of disorderly conduct, justifying an arrest on that charge (see *People v Oden*, 36 NY2d 382, 384 [1975]; see generally *People v McRay*, 51 NY2d 594 [1980]).

immediate public problem” (*People v Weaver*, 16 NY3d 123, 128 [2011] [internal quotation marks and citation omitted]).

The “public harm” element is what distinguishes the disorderly conduct statute from other offenses that contain similar requirements but encompass disputes of a more personal nature (see *People v Tichenor*, 89 NY2d 769 [1997], *cert denied* 522 US 918 [1997] [contrasting disorderly conduct statute with harassment statute struck down in *People v Dietze*, 75 NY2d 47 (1989)]). As we have previously explained, this element performs an important narrowing function (see *People v Bakolas*, 59 NY2d 51 [1983]).

The significance of the public harm element in disorderly conduct cases cannot be overstated. In virtually all of our prior decisions, the validity of disorderly conduct charges has turned on the presence or absence of adequate proof of public harm. To determine whether the record supports an inference that the requisite mens rea was present, we have employed a contextual analysis that turns on consideration of many factors, including “the time and place of the episode under scrutiny; the nature and character of the conduct; the number of other people in the vicinity; whether they are drawn to the disturbance and, if so, the nature and number of those attracted; and any other relevant circumstances” (*Weaver*, 16 NY3d at 128). We have clarified that the risk of public disorder does not have to be realized but the circumstances must be such that defendant’s intent to create such a threat (or reckless disregard thereof) can be readily inferred (*id.*; *People v Todaro*, 26 NY2d 325, 329 [1970]).

For example, in *Weaver* (16 NY3d 123), the Court upheld a conviction involving a newlywed who created a disturbance that spilled from the parking lot of a hotel into the area outside a mini-mart and gas station in the middle of the night. When a police officer drove up to the hotel, which was situated in a quiet village, she found defendant yelling and waving his arms at his bride, who was seated on a curb weeping while still in full wedding attire. In the presence of the officer, defendant issued a stream of obscenities at his wife in a loud, aggressive and threatening tone. He then turned his attention to the police officer who had attempted to intervene, telling her that if she put her “hands” on him, she would be taking him to jail. After failing to heed repeated warnings to stop his disruptive behavior and calm down, defendant was arrested for disorderly conduct. We held that the arrest was lawful, concluding there was sufficient evidence that defendant’s statements and conduct evidenced an



intent to create a risk of public harm given the late hour, the quiet nature of the surrounding community and the protracted, increasingly aggressive nature of defendant's vocalizations.

Likewise, in *Tichenor* (89 NY2d 769), we declined to disturb a conviction that arose from a late night encounter between a bar patron and a police officer on the threshold of a busy drinking establishment. There, defendant uttered an obscenity and spit at the officer, who was walking by; defendant then shoved the officer as he approached. Intending to make an arrest for disorderly conduct, the officer—who was alone on foot patrol—directed defendant to step onto the sidewalk. A crowd of patrons gathered, yelling at the officer to leave defendant alone. At this juncture, defendant retreated into the bar, the officer followed and a scuffle ensued between defendant, the officer and a number of other bar patrons. In *Tichenor*, the Court had no difficulty inferring that the mens rea requirement was met—that there had been the intentional or reckless initiation of a risk of public harm. There, the risk came to fruition since defendant's statement and conduct led to a brawl involving himself, the officer and numerous other bar patrons—a predictable result given the context of his obstreperous statements and conduct.

In contrast, we concluded that the public harm element was lacking in *People v Munafo* (50 NY2d 326 [1980]), a case where a landowner engaged in a confrontation with a State Power Authority construction crew that was attempting to erect a transmission line on a right-of-way that cut through his farmland. After firing a shot into the air (and being divested of his gun), defendant positioned himself in the path of a backhoe and, when he refused to move after being ordered to do so by police, he was arrested for disorderly conduct. Eight or 10 people witnessed the incident but no one was attracted to the scene by defendant's conduct, nor did they get involved in his protest. We determined that the evidence was insufficient to support the disorderly conduct conviction since defendant's actions took place in broad daylight on his own property far removed from any public thoroughfare, business or residence. Based on these facts, the Court observed that there was no indication that defendant sought to incite or involve the spectators, who were in the area before the confrontation, and the only fair inference was that “the differences between the authority and the defendant were confined to these two disputants rather than spread to the public” (*id.* at 332).

The same was true in *People v Pritchard* (27 NY2d 246 [1970]) where an off-duty deputy sheriff moonlighting as security for a

teenage night club was present when a fight broke out between defendant and another youth. The proof indicated that defendant had reflexively become entangled in the scuffle when the other boy uttered provocative epithets. Although a group of onlookers had gathered around the two brawlers, the Court held that there was insufficient evidence to infer that defendant recklessly engendered a risk of public disorder. Instead, “[t]his purely personal clash and momentary teenage flare-up did not contain the seeds of such a crowd reaction nor did it attain the degree of gravity warranting criminal prosecution under the statute” (*id.* at 249). Moreover, there was no indication that the crowd of spectators “were moved by anything more than curiosity or whatever entertainment value the incident afforded” (*id.* at 248).

Under the multifactored analysis we have used in these prior cases, there is no record basis for the finding of probable cause in this case because the proof is insufficient to support the public harm element. During daylight hours on a public street, defendant made two abusive statements claiming harassment to a police officer who was seated in a patrol car. It is clear from the videotape that the public outburst was extremely brief, lasting about 15 seconds. The statements were not accompanied by menacing conduct—defendant was stepping away from the vehicle when he made them. And there is no basis to infer that Officer Johnson felt threatened by the statements. If he had, he would likely have remained in his vehicle, rolled up the windows, radioed his partner to do the same and requested backup. Instead, Johnson immediately exited his vehicle. The fact that another police officer was present—also safely ensconced inside his own patrol car and fully able to provide assistance—diluted the risk that others in the vicinity would join forces with defendant and gang up on Johnson.

Here, the risk to public order was far less than in *Tichenor* where the officer was alone on foot late at night when defendant instigated a confrontation on the doorstep of a crowded bar only a few feet away from other inebriated patrons. This case is also significantly distinguishable from *Weaver*, where a public spectacle was created by defendant yelling at his new bride. There, the protracted encounter involved more than a brief exchange of words between a defendant and a police officer. In *Weaver*, the focus of defendant’s invective was his wife—his attention was redirected at the police officer only after she came to the woman’s assistance—and defendant refused to stop even

after multiple warnings by the police, supporting the inference that the disruptive behavior would continue and perhaps escalate absent interruption by the police.

Although it is true in this case that a group of bystanders gathered around defendant and his girlfriend—a fact certainly relevant to our public harm analysis—there is no evidence that the bystanders expressed any inclination, verbally or otherwise, to involve themselves in the dispute between defendant and Officer Johnson, nor did the suppression court draw any such inference. The assembly here was comparable to the group that gathered to watch the bar fight in *Pritchard* because there is no basis to infer that these spectators were motivated by anything other than curiosity. And, unlike *Weaver*, there was no significant likelihood that defendant’s brief statements—loud though they were—would disrupt peace and order in the vicinity. As is evident from the videotape, the incident occurred around dinner time on a heavily-populated city street bustling with car traffic and pedestrian activity.

Finally, this case includes one more factor worthy of consideration. Here, both at its inception and conclusion, the verbal exchange was between a single civilian and a police officer. The fact that defendant’s abusive statements were directed exclusively at a police officer—a party trained to defuse situations involving angry or emotionally distraught persons—further undermines any inference that there was a threat of public harm, particularly since the police officer was in a position of safety and could have closed his windows and ignored defendant. We do not suggest that the public harm element can never be present in such encounters; *Tichenor* demonstrates that this is not the case. But isolated statements using coarse language to criticize the actions of a police officer, unaccompanied by provocative acts or other aggravating circumstances, will rarely afford a sufficient basis to infer the presence of the “public harm” mens rea necessary to support a disorderly conduct charge.

After consideration of all relevant factors, we conclude that defendant’s arrest for disorderly conduct was not supported by probable cause due to insufficient proof on the public harm element. Because the arrest was unlawful under our long-standing precedent, we have no occasion to address defendant’s First Amendment arguments.

Since we have concluded that the arrest was invalid, the cocaine seized during the search incident to that arrest should

have been suppressed. In this case, because the disorderly conduct charge was unlawful and the cocaine discovered during the search (the only evidence underlying those charges) must be suppressed, it follows that the indictment should have been dismissed in its entirety. Defendant is also entitled to vacatur of his guilty plea in the assault case, which was predicated on the promise that he would receive a sentence of six years of incarceration to be served concurrently to the identical prison sentence on the drug conviction—a promise that can no longer be kept (see *People v Pichardo*, 1 NY3d 126 [2003]).

Accordingly, in appeal No. 1, the order of the Appellate Division should be reversed, defendant's motion to suppress physical evidence granted and the indictment dismissed. In appeal No. 2, the order of the Appellate Division should be reversed, defendant's guilty plea vacated and the case remitted to County Court for further proceedings on the indictment.

Chief Judge LIPPMAN and Judges READ, SMITH and PIGOTT concur.

In *People v Baker* (appeal No. 1): Order reversed, defendant's motion to suppress physical evidence granted and the indictment dismissed.

In *People v Baker* (appeal No. 2): Order reversed, defendant's plea vacated and case remitted to Monroe County Court for further proceedings on the indictment.

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[1984 NE2d 909, 960 NYS2d 711]

BESSIE CALDWELL et al., Appellants, v CABLEVISION SYSTEMS CORPORATION et al., Defendants, and COMMUNICATIONS SPECIALISTS, INC., Respondent.

Argued January 8, 2013; decided February 7, 2013

### SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered May 31, 2011. The Appellate Division, among other things, affirmed so much of an amended judgment of the Supreme Court, Westchester County (Richard B. Liebowitz, J.), as had denied plaintiffs' motion to set aside a jury verdict in favor of defendant Communications Specialists, Inc., as contrary to the weight of the evidence, and dismissed the complaint insofar as asserted against that defendant.

*Caldwell v Cablevision Sys. Corp.*, 86 AD3d 46, affirmed.

### HEADNOTES

#### **Witnesses — Fees — Fact Witness — Payment in Excess of Statutory Rate**

1. The testimony of a subpoenaed fact witness, who receives a fee alleged to be disproportionately in excess of the mandatory fee requirement for attendance at trial as provided in CPLR 8001 (a), is generally admissible, but the trial court should, in a proper case, charge the jury as to the witness's potential bias, in light of the perceived excessiveness of the fee. Thus, in a personal injury action in which a fact witness subpoenaed by the defense was paid a fee allegedly disproportionately in excess of the mandatory fee set forth in CPLR 8001 (a), the trial court should have issued a bias charge specifically tailored to address the payment defendant made to the witness. Although the court generally instructed the jury that bias or prejudice was a consideration that it should consider in weighing the testimony of any of the witnesses, that was insufficient as it pertained to defendant's payment to the witness. The court properly acted within its discretion in concluding that the fee payment was fertile ground for cross-examination and comment during summation. But because defendant did not even attempt to justify the \$10,000 payment for one hour of testimony, the court should have also crafted a charge that went beyond the CPLR 8001 requirements, instructing the jury that fact witnesses may be compensated for their lost time but that the jury should assess whether the compensation was disproportionately more than what was reasonable for the loss of the witness's time from work or business. If the jury found that the compensation was disproportionate, it should then have considered whether it had the effect of influencing the witness's testimony.

#### **Trial — Harmless and Prejudicial Error — Jury Charge**

2. In a personal injury action, the failure of the trial court to give a more specific jury charge concerning the potential bias effect of a fee paid to a

subpoenaed fact witness was harmless error. The witness, an emergency room physician who treated plaintiff shortly after her accident, received a fee far in excess of the minimum prescribed by CPLR 8001 (a), but his testimony consisted only of his verification that he made the entry into the emergency room record and no professional opinion was sought nor given. The dispute underlying the witness's testimony was not whether he fabricated the contents of a consultation note created after his treatment of plaintiff; rather, the substance of the witness's testimony was such that the jury's assessment was only tangentially related to the physician's credibility.

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#### RESEARCH REFERENCES

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AM JUR 2d, Appellate Review §§ 660–663, 692, 693; AM JUR 2d, Trial §§ 463, 933, 1179; AM JUR 2d, Witnesses §§ 66–70, 799.

CARMODY-WAIT 2d, Subpoenas; Notice to Produce § 54:61; CARMODY-WAIT 2d, Presentation of the Case §§ 56:158, 56:260; CARMODY-WAIT 2d, Charge to Jury §§ 57:10, 57:36; CARMODY-WAIT 2d, Appeals in General §§ 70:437, 70:439.

McKINNEY'S, CPLR 8001 (a).

NY JUR 2d, Appellate Review §§ 760, 762; NY JUR 2d, Evidence and Witnesses §§ 8, 937, 971; NY JUR 2d, Trial §§ 363, 411.

SIEGEL, NY PRAC §§ 397, 398, 413.

#### ANNOTATION REFERENCE

See ALR Index under Arguments of Counsel; Bias or Prejudice; Cross-Examination; Harmless and Prejudicial Error; Instructions to Jury; Witnesses.

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#### POINTS OF COUNSEL

*Profeta & Eisenstein*, New York City (*Fred R. Profeta, Jr.*, of counsel), and *Schlemmer & Maniatis, LLP*, for appellants. I. The agreement by defendant's attorneys to pay \$10,000 to a fact witness for one hour of testimony was unethical and constituted a bribe, and the testimony of that witness should have been stricken. (*Clifford v Hughes*, 139 App Div 730; *Niesig v Team I*, 76 NY2d 363; *Matter of Robinson*, 151 App Div 589, 209 NY 354; *Golden Door Jewelry Creations, Inc. v Lloyds Underwriters Non-Marine Assn.*, 865 F Supp 1516; *Maglione v Cunard*



S.S. Co., 30 AD2d 784; *United States v Cervantes-Pacheco*, 826 F2d 310; *Sackler v Sackler*, 15 NY2d 40; *Mapp v Ohio*, 367 US 643; *Stagg v New York City Health & Hosps. Corp.*, 162 AD2d 595; *Nordhauser v New York City Health & Hosps. Corp.*, 176 AD2d 787.) II. Contrary to the holding of the Appellate Division, both the failure to exclude Dr. Krosser's testimony and the failure to give special instructions were not harmless, but were rather highly prejudicial. (*Rothberg v Reichelt*, 293 AD2d 948; *Shufelt v City of New York*, 80 AD2d 554; *Smith v General Acc. Ins. Co.*, 244 AD2d 402; *Carcamo v Stein*, 53 AD3d 520; *Mendez v New York City Tr. Auth.*, 196 AD2d 460; *Carr v Burnwell Gas of Newark, Inc.*, 23 AD3d 998; *Fields v City of New York*, 4 NY2d 334.)

*Shaub, Ahmuty, Citrin & Spratt, LLP*, Lake Success (*Christopher Simone* and *Scott M. Fusaro* of counsel), and *Wilson, Elser, Moskowitz, Edelman & Dicker LLP*, for respondent. I. Plaintiffs failed to preserve for appellate review the trial court's alleged error in not striking Dr. Krosser's testimony or giving a specific jury instruction regarding factual testimony by a paid witness. (*Hunt v Bankers & Shippers Ins. Co. of N.Y.*, 50 NY2d 938; *Matter of Khan v New York State Dept. of Health*, 96 NY2d 879; *Suria v Shiffman*, 67 NY2d 87; *Merrill v Albany Med. Ctr. Hosp.*, 71 NY2d 990; *Feinberg v Saks & Co.*, 56 NY2d 206.) II. The Appellate Division correctly concluded that, in light of the limited nature of Dr. Krosser's testimony, the trial court's alleged error in failing to give a specific charge regarding factual testimony by a paid witness was at most harmless error that did not materially affect the outcome of the trial; the ultimate issue on appeal is unreviewable by this Court under these circumstances. (*Walker v State of New York*, 111 AD2d 164; *Barbagallo v Americana Corp.*, 25 NY2d 655; *Fishman v Scheuer*, 39 NY2d 502; *People v Crimmins*, 36 NY2d 230; *Fahy v Connecticut*, 375 US 85; *Chapman v California*, 386 US 18; *Flynn v Manhattan & Bronx Surface Tr. Operating Auth.*, 61 NY2d 769; *Khan v Galvin*, 206 AD2d 776; *Nappi v Gerds*, 103 AD2d 737; *Judson v Fielding*, 253 NY 596, 227 App Div 430.) III. Plaintiffs' proposed per se exclusionary rule for fact witnesses compensated beyond the statutory fee is legally unsupportable, impracticable and bad policy. The Appellate Division correctly found that the appropriate remedy, where a genuine issue of excessive compensation exists, is to permit opposing counsel to explore the issue on cross-examination and summation. (*Pauzar v Children's Hosp. of Buffalo*, 167 AD2d 933; *Davis v McDaniel*, 60 Misc 2d 390; *Matter of Dudley v Kerwick*, 52 NY2d 542; *Matter of Stephen*, 239

AD2d 963; *Clifford v Hughes*, 139 App Div 730; *Matter of Robinson*, 151 App Div 589; *Maglione v Cunard S.S. Co.*, 30 AD2d 784; *Golden Door Jewelry Creations, Inc. v Lloyds Underwriters Non-Marine Assn.*, 865 F Supp 1516; *United States v Cervantes-Pacheco*, 826 F2d 310; *United States v Persico*, 832 F2d 705.) IV. Plaintiffs failed to present a prima facie case of negligence. (*Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *Cohen v Hallmark Cards*, 45 NY2d 493; *Louman v Town of Greenburgh*, 60 AD3d 915; *Manning v 6638 18th Ave. Realty Corp.*, 28 AD3d 434; *Teplitskaya v 3096 Owners Corp.*, 289 AD2d 477; *Hartman v Mountain Val. Brew Pub*, 301 AD2d 570; *Garvin v Rosenberg*, 204 AD2d 388.)

#### OPINION OF THE COURT

PIGOTT, J.

At issue on this appeal is whether the testimony of a subpoenaed fact witness, who receives a fee alleged to be disproportionately in excess of CPLR 8001 (a)'s mandatory fee requirement for attendance at trial, is inadmissible as a matter of law. We conclude that such testimony is generally admissible, but that the trial court should, in a proper case, charge the jury as to the witness's potential bias, in light of the perceived excessiveness of the fee. Where, as here, the party that subpoenaed the witness offers no explanation for a fee that is seemingly in excess of reasonable compensation for lost time and incidental expenses, the trial court, upon a timely request by an objecting party, must charge as to the witness's potential bias.

#### I.

In September 2006, defendant Communications Specialists, Inc. (CSI), per its contract with Cablevision Systems Corporation, began the installation of high-speed fiber-optic cable underneath Benefield Boulevard in Peekskill, New York. The work required CSI to cut a two-foot-deep and four- or five-inch-wide trench along the entire length of the 3,000-foot street. CSI also dug 58 one-foot-wide "test pits" in certain locations adjacent to the trench in order to locate preexisting utility lines. CSI backfilled the trench and test pits but, at the time of the incident giving rise to this action, the street had not been repaved.

On October 11, 2006 at approximately 10:00 p.m., plaintiff Bessie Caldwell, who resided on Benefield Boulevard, took her dog out for a walk. She crossed Benefield Boulevard and walked

the dog for a short distance. As she was crossing the street again, returning to her residence, plaintiff tripped and fell, injuring her leg.

Plaintiff and her husband (suing derivatively) commenced this negligence action against, among others, CSI for creating a hazardous and unsafe condition in the road by failing to properly backfill the trench and test pits, failing to properly or adequately pave over those areas, and failing to install temporary asphalt. After CSI answered and the parties conducted discovery, the matter proceeded to a bifurcated trial with liability being tried first.

Plaintiff testified that she stepped into a “dip in the trench” that caused her to fall. To rebut this testimony, CSI subpoenaed a physician who had treated plaintiff in the emergency room shortly after the accident. The doctor was called merely as a fact witness to testify concerning his entry in the “history” section of his consultation note that plaintiff “*tripped over a dog* while walking last night in the rain” (emphasis supplied). He testified consistently with his documented note. During cross-examination, plaintiff’s counsel elicited from the doctor that CSI had paid him \$10,000 for appearing and testifying. The doctor denied that his testimony was influenced by the payment, stating simply that he was there to “testify[ ] to my records.” His testimony consisted only of his verification that he made the entry into the emergency room record. No professional opinion was sought nor given. Plaintiff’s counsel requested that the court strike the doctor’s entire testimony or, in the alternative, issue either a curative instruction or a jury charge concerning monetary influence.

The following day, before summations, plaintiff’s counsel asked that the court charge the jury that, pursuant to CPLR 8001, the doctor, as a fact witness, was entitled to a witness fee of \$15 per day and \$.23 per mile to and from the place where he was served with the subpoena. Defense counsel countered that the witness fee was the statutory minimum and that there was no prohibition against paying a fact witness for time missed from work. The court suggested that, rather than issuing a charge, the parties could address the issue during summation and the jury could draw whatever inference it wished from those facts. The court cautioned the parties against referencing the statutory criteria of CPLR 8001.

After summations, where the parties addressed the doctor’s fee payment in detail, the court gave the jury a general bias

charge but made no specific reference to the doctor's testimony or the payment he received for appearing at trial. Following deliberations, the jury found CSI negligent, but that such negligence was not a substantial factor bringing about the accident. Supreme Court denied plaintiff's motion to set aside the verdict. The Appellate Division affirmed, holding that although CSI's "substantial payment" to the doctor did not warrant exclusion of his testimony, Supreme Court erred in failing "to adequately charge the jury regarding the suspect credibility of factual testimony by a paid witness," but that reversal was not required because the error was harmless (86 AD3d 46, 48 [2d Dept 2011]).

## II.

We, like the Appellate Division, are troubled by what appears to be a substantial payment to a fact witness in exchange for minimal testimony. Such payments, when exorbitant as compared to the amount of time the witness spends away from work or business, create an unflattering intimation that the testimony is being bought or, at the very least, has been unconsciously influenced by the compensation provided. While we are concerned by the amount the witness was paid for this minimal attendance and testimony, we conclude that the Appellate Division's order should be affirmed under the circumstances of this case.

CPLR 8001 (a) provides that one who is compelled by subpoena to appear at trial is entitled to a \$15 daily attendance fee and \$.23 per mile in mileage fees. Although this is only the minimum that must be paid to a subpoenaed fact witness, that does not mean that an attorney may pay a witness whatever fee is demanded, however exorbitant it might be. Our courts and disciplinary rules have long acknowledged that "[t]o procure the testimony of witnesses it is often necessary to pay the actual expenses of a witness in attending court and a *reasonable compensation* for the time lost" (*Matter of Robinson*, 151 App Div 589, 600 [1st Dept 1912] [emphasis supplied], *aff'd* 209 NY 354 [1913]). "[T]here are [also] many incidental expenses in relation to the prosecution or defense of an action at law which can with propriety be paid by a party to the action" (*id.*; see Rules of Professional Conduct [22 NYCRR 1200.0] rule 3.4 [b] [1] [permitting a lawyer to pay a witness "reasonable compensation . . . for the loss of time in attending, testifying, preparing to testify or otherwise assisting counsel, and reasonable related

expenses”]; *see also* NY St Bar Assn Comm on Prof Ethics Op 668 [1994]).

What is not permitted and, in fact, is against public policy, is any agreement to pay a fact witness in exchange for favorable testimony, where such payment is contingent upon the success of a party to the litigation (*see Bergoff Detective Serv., Inc. v Walters*, 239 App Div 439, 442-443 [1st Dept 1933]; Rules of Professional Conduct [22 NYCRR 1200.0] rule 3.4 [b] [prohibiting a lawyer from paying, offering to pay or acquiescing “in the payment of compensation to a witness contingent upon the content of the witness’s testimony or the outcome of the matter”]). Of course, that situation is not presented here. The doctor’s testimony was limited to what he had written on his consultation note less than 12 hours after the accident and well before plaintiff commenced litigation. Nor can it be argued that the doctor tailored his testimony in exchange for the fee or that there is any record evidence that the doctor’s consultation note was fabricated.

Plaintiff argues that, having been subpoenaed, the doctor had a legal duty to appear and a legal right to only a \$15 attendance fee, and because he was paid in excess of that amount, Supreme Court should have stricken his testimony. That argument, however, is without merit since the fee set forth in CPLR 8001 (a) is a minimum fee (*see* 234 Siegel’s Practice Review, *When Does Fee for Fact Witness in Excess of Statutory Daily \$15 Become Bribe, and What Roles Have Court and Jury in Looking into Issue?* at 1 [June 2011] [noting that payment of more than the \$15 daily fee is not precluded under either the law or code of ethics]). Nonetheless, the payment of such a disproportionate fee for a short amount of time at trial is troubling, and the distinction between paying a fact witness for testimony and paying a fact witness for time and reasonable expenses can easily become blurred. A line must therefore be drawn “between compensation that enhances the truth seeking process by easing the burden of testifying witnesses, and compensation that serves to hinder the truth seeking process because it tends to ‘influence’ witnesses to ‘remember’ things in a way favorable to the side paying them” (NY St Bar Assn Comm on Prof Ethics Op 668).

In addition to asking the trial court to strike the doctor’s testimony, plaintiff’s counsel asked the court to charge the jury that, per the subpoena, the doctor was required by law to appear at trial and was entitled to a \$15 attendance fee and \$.23

per mile and “let [the jury] do with it what they will.” This was tantamount to a charge request for a special jury instruction relative to the doctor’s potential bias.

[1] We agree with plaintiff that Supreme Court should have issued a bias charge specifically tailored to address the payment CSI made to the doctor. Supreme Court generally instructed the jury that bias or prejudice was a consideration that it should consider in weighing the testimony of *any* of the witnesses, but this was insufficient as it pertained to CSI’s payment to the doctor. To be sure, Supreme Court properly acted within its discretion in concluding that the fee payment was fertile ground for cross-examination and comment during summation. But because CSI did not even attempt to justify the \$10,000 payment for one hour of testimony, Supreme Court should have also crafted a charge that went beyond the CPLR 8001 requirements. Supreme Court should have instructed the jury that fact witnesses may be compensated for their lost time but that the jury should assess whether the compensation was disproportionately more than what was reasonable for the loss of the witness’s time from work or business. Should the jury find that the compensation is disproportionate, it should then consider whether it had the effect of influencing the witness’s testimony (*see* PJI 1:90.4). Of course, such a charge must be requested in a timely fashion. Additionally, it is within the trial court’s discretion to determine whether the charge is warranted in the context of a particular payment to a witness, and to oversee how much testimony should be permitted relative to the fact witness’s lost time and other expenses for which he is being compensated.

[2] We conclude that, although a more specific jury charge should have been given, Supreme Court’s failure to issue one in this case was harmless. The dispute underlying the doctor’s testimony was not whether he fabricated the contents of the consultation note. In other words, the substance of the doctor’s testimony was such that the jury’s assessment was only tangentially related to the doctor’s credibility.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and SMITH concur.

Order affirmed, with costs.

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[984 NE2d 917, 960 NYS2d 719]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MICHAEL PALMER, Appellant.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v CORNELL LONG, Appellant.

Argued January 7, 2013; decided February 12, 2013

### SUMMARY

APPEAL, in the first above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered October 4, 2011. The Appellate Division affirmed an order of the Supreme Court, Kings County (Elizabeth A. Foley, J.), which, after a hearing, had designated defendant a level two sex offender pursuant to Correction Law article 6-C.

APPEAL, in the second above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 18, 2011. The Appellate Division affirmed an order of the Supreme Court, Erie County (John L. Michalski, J.), which had adjudicated defendant a level two sex offender pursuant to Correction Law article 6-C.

*People v Palmer*, 88 AD3d 676, reversed.

*People v Long*, 89 AD3d 1513, reversed.

### HEADNOTES

#### **Crimes — Sex Offenders — Sex Offender Registration Act — “Drug or Alcohol Abuse” Risk Factor**

1. Only alcohol abusers should be subject to stricter scrutiny and assessed a higher point level under the Sex Offender Registration Act Guidelines, as opposed to occasional, moderate social drinkers. To the extent that lower courts have determined that alcohol use, as opposed to abuse, is sufficient for the assessment of points pursuant to risk factor 11 under the Sex Offender Registration Act, Guidelines and commentary, these cases should not be followed (*e.g. People v Sterling*, 71 AD3d 654, 654 [2d Dept 2010], *lv denied* 15 NY3d 703 [2010]; *People v Britt*, 66 AD3d 853, 854 [2d Dept 2009], *lv denied* 13 NY3d 716 [2010]).

#### **Crimes — Sex Offenders — Sex Offender Registration Act — “Drug or Alcohol Abuse” Risk Factor — Clear and Convincing Evidence**

2. In a proceeding to determine defendant’s risk level classification under the Sex Offender Registration Act (SORA), defendant’s admission that he had been socially drinking at an after work party on the day he committed his first sex offense against his victim did not, in and of itself, constitute clear and

convincing evidence of drug or alcohol abuse under Correction Law § 168-*l* (5) (a) (ii) and the SORA Guidelines so as to warrant the assessment of 15 points under risk factor 11. In order to demonstrate alcohol abuse at the time of the sex offense so as to warrant the assessment of points under risk factor 11, the People must show by clear and convincing evidence that the offender used alcohol in excess either at the time of the crime or repeatedly in the past. Here, there was no evidence that defendant had a history of alcohol abuse. Furthermore, there was no indication in the record that he abused alcohol by drinking in excess, that he became intoxicated, or that alcohol affected his behavior on the day in question. While clear and convincing evidence of alcohol abuse at the time of the offense might consist of proof of an excessive quantity of alcohol imbibed, proof that the offender was impaired, or proof that there was a direct link between the offender's drinking and his sex predation, there was no evidence that defendant drank alcohol at any of the other times he offended.

**Crimes — Sex Offenders — Sex Offender Registration Act — “Drug or Alcohol Abuse” Risk Factor — Clear and Convincing Evidence**

3. In a proceeding to determine defendant's risk level classification under the Sex Offender Registration Act (SORA), defendant's admission that he had been drinking beer for 90 minutes on the night he committed a sex offense against his live-in girlfriend did not, in and of itself, constitute clear and convincing evidence of drug or alcohol abuse under Correction Law § 168-*l* (5) (a) (ii) and the SORA Guidelines so as to warrant the assessment of 15 points under risk factor 11. In order to demonstrate alcohol abuse at the time of the sex offense so as to warrant the assessment of points under risk factor 11, the People must show by clear and convincing evidence that the offender used alcohol in excess either at the time of the crime or repeatedly in the past. Here, the People failed to prove the number of drinks defendant imbibed, failed to show that his drinking was excessive, failed to demonstrate that defendant was intoxicated, and failed to provide evidence that his drinking was causally linked to the sexual assault. To prove alcohol abuse by clear and convincing evidence, the People would have had to present additional evidence as to defendant's behavior and drinking, which might have been obtained from the adult victim. Evidence of a causal link between alcohol use and persistent social or relationship problems is a sign of alcohol abuse, which the People failed to show here.

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 1233; AM JUR 2d, Mentally Impaired Persons §§ 126, 137, 139.

McKINNEY'S, Correction Law § 168-*l* (5) (a) (ii).

NY JUR 2d, Penal and Correctional Institutions §§ 316–321.

**ANNOTATION REFERENCE**

Validity, construction, and application of state sex offender registration statutes concerning level of classification—initial determination. 65 ALR6th 1.

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#### POINTS OF COUNSEL

*Lynn W.L. Fahey, Appellate Advocates, New York City (Anna Pervukhin of counsel)*, for appellant in the first above-entitled action. The Court erroneously elevated appellant's Sex Offender Registration Act risk level by assessing him points for "drug and alcohol abuse" when the only relevant evidence was appellant's statement that he drank some alcohol at an after work party the same night he committed the first of a series of sexual offenses. (*Doe v Pataki*, 3 F Supp 2d 456; *People v Versaggi*, 83 NY2d 123; *People v Hedgeman*, 70 NY2d 533; *People v Wyatt*, 89 AD3d 112; *People v Mingo*, 12 NY3d 563; *People v Faul*, 81 AD3d 1246; *People v Irizarry*, 36 AD3d 473; *People v Titmas*, 46 AD3d 1308; *People v Collazo*, 7 AD3d 595; *People v Hueber*, 81 AD3d 1466.)

*Charles J. Hynes, District Attorney, Brooklyn (Adam M. Koelsch, Leonard Joblove and Anthea H. Bruffee of counsel)*, for respondent in the first above-entitled action. The hearing court properly assessed defendant points for the risk factor of "drug or alcohol abuse," based upon clear and convincing evidence that he was drinking alcohol on the night that he first sexually abused the victim. Thus, defendant's designation as a risk level two (moderate risk) sex offender was proper. (*People v Alemany*, 13 NY3d 424; *People v Sterling*, 71 AD3d 654; *People v Britt*, 66 AD3d 853; *People v Robinson*, 55 AD3d 708; *People v Long*, 89 AD3d 1513, 18 NY3d 809; *People v Stirrup*, 91 NY2d 434; *People v Giordano*, 87 NY2d 441; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *People v Faul*, 81 AD3d 1246; *People v Titmas*, 46 AD3d 1308.)

*Barbara J. Davies, Legal Aid Bureau of Buffalo, Inc., Buffalo (Vincent F. Gugino and David C. Schopp of counsel)*, for appellant in the second above-entitled action. The Appellate Division erred when it found appellant to be a level two sexual offender after previously holding that the record was insufficient for meaningful appellate review and after the Sex Offender Registration Act hearing court again on the same record failed to make adequate findings of fact. (*People v Miranda*, 24 AD3d 909; *People v Mingo*, 12 NY3d 563; *People v Deturris*, 90 AD3d 727; *People v Leopold*, 13 NY3d 923; *People v Smith*, 11 NY3d 797; *People v Wyatt*, 89 AD3d 112; *People v Mabee*, 69 AD3d 820;

*People v Hueber*, 81 AD3d 1466; *People v Pettigrew*, 14 NY3d 406; *Mathews v Eldridge*, 424 US 319.)

*Frank A. Sedita, III*, District Attorney, Buffalo (*David A. Heraty* and *Donna A. Milling* of counsel), for respondent in the second above-entitled action. Defendant is properly classified as a level two sex offender. (*People v Robinson*, 55 AD3d 708, 11 NY3d 713; *People v Faul*, 81 AD3d 1246.)

#### OPINION OF THE COURT

Chief Judge LIPPMAN.

Under the Sex Offender Registration Act (SORA), Guidelines, and commentary, offenders are assessed 15 points under risk factor 11 if they have a history of drug or alcohol abuse or if they were abusing drugs or alcohol at the time of the sex offense. At issue in these two appeals is the extent of proof necessary to constitute clear and convincing evidence of “drug or alcohol abuse” under the SORA Guidelines. As the proof in these two cases failed to meet this standard, we conclude that Supreme Court improperly assessed each defendant.

#### I.

##### Palmer

Defendant Michael Palmer was convicted of criminal sexual act in the second degree for sexually molesting his underage victim over a period of two years. When he was being interviewed for his presentence report, Palmer told the Probation Department that he “had been drinking alcohol at an after work party on the date he committed the [first] offense” in the summer of 2007. Defense counsel later stated that Palmer hoped to mitigate his behavior by telling the Probation Department that he had been drinking the first time he sexually abused his victim. There was no evidence that Palmer was intoxicated or used drugs or alcohol at any other time. In his presentence interview, Palmer denied abusing alcohol or drugs.

At the SORA hearing, the court assessed Palmer a total of 80 points, including 15 points for drug or alcohol abuse, and Palmer was designated a level two sex offender. The Appellate Division affirmed and determined that the Supreme Court properly assessed Palmer 15 points for drug or alcohol abuse “based upon his admission that he was using alcohol at the time of the offense” (88 AD3d 676, 676 [2d Dept 2011]). This Court granted Palmer leave to appeal (18 NY3d 804 [2012]).

Long

Defendant Cornell Long was convicted of one count of criminal sexual act in the third degree for forcing his live-in girlfriend to have anal and oral sex. Long told the Probation Department at his presentence interview that on the night in question, he had a few beers between 11:00 p.m. and 12:30 a.m. and became depressed while thinking about his deceased brother. Long also stated that he occasionally drank alcohol and usually consumed two or three beers once a month. Long averred that he never received a substance abuse evaluation or enrolled in alcohol treatment. At the SORA hearing, Long was designated a level two sex offender.

The Appellate Division reserved decision and remitted the matter to Supreme Court, since the lower court failed to comply with Correction Law § 168-n by not setting forth findings of fact and conclusions of law (81 AD3d 1432, 1432-1433 [4th Dept 2011]). Upon remittal, Supreme Court once again failed to set forth any findings of fact. The court assessed Long a total of 80 points, including 15 points for a history of substance abuse, and designated Long a level two sex offender. The Appellate Division affirmed, recognizing that the court below failed to set forth its findings of fact and conclusions of law in an adequate manner but deciding that the record before it was sufficient to enable the appellate court to make its own findings of fact (89 AD3d 1513, 1513 [4th Dept 2011]). The Appellate Division determined that Supreme Court properly adjudicated Long a level two sex offender and that Long was properly assessed 15 points under the history of alcohol abuse risk factor because he admitted to drinking alcohol 1½ hours prior to committing the offense (89 AD3d at 1514). This Court granted Long leave to appeal (18 NY3d 809 [2012]).

II.

[1] The SORA Guidelines were developed to “assess the risk of a repeat offense by [a] sex offender and the threat posed to the public safety” (Correction Law § 168-l [5]). The Board of Examiners of Sex Offenders (SORA Board) created an objective assessment instrument that assigns numerical values to each risk factor, and the offender’s risk level is calculated by adding the points the offender scores in each category (Sex Offender Registration Act: Risk Assessment Guidelines and Commentary at 3 [2006]). Under the criminal history category of the SORA Guidelines, 15 points are assessed under risk factor 11 if the

offender “has a history of drug or alcohol abuse.” Correction Law § 168-1 (5) (a) (ii) provides that “repetitive and compulsive behavior, associated with drugs or alcohol” should be taken into consideration when assessing the risk of a repeat offense. While both the statute and the Guidelines textually provide that individuals with a history of drug or alcohol abuse are to be assessed points, the commentary to the Guidelines notes that points for drug or alcohol abuse may be assessed even if the offender abused substances only “at the time of the offense.” The commentary to the SORA Guidelines describes risk factor 11 as follows:

“Alcohol and drug abuse are highly associated with sex offending. The literature indicates that use of these substances does not cause deviate behavior; rather it serves as a disinhibitor and therefore is a precursor to offending. The guidelines reflect this fact by adding 15 points if an offender has a substance abuse history or was abusing drugs and or alcohol at the time of the offense. The category focuses on the offender’s history of abuse and the circumstances at the time of the offense. It is not meant to include occasional social drinking” (Guidelines and Commentary at 15 [citations omitted]).

As indicated by the Guidelines and commentary, the drug or alcohol abuse category only applies in instances where the offender had a history of alcohol or drug abuse or where the offender consumed sufficient quantities of these substances such that the offender can be shown to have abused alcohol or drugs. Since the Board commented that “occasional social drinking” is not counted as alcohol abuse, periodic, moderate drinking of alcoholic beverages does not qualify as abuse<sup>1</sup> under the SORA risk factors and does not warrant the assessment of points. In order to demonstrate that an offender was “abusing . . . alcohol at the time of the offense,” the People must show by clear and convincing evidence that the offender used alcohol in excess either at the time of the crime or repeatedly in the past (*id.*). The purpose of the SORA Guidelines is to identify behavior that is relevant to the risk of reoffending. A sex offender who abuses alcohol prior to committing a sex offense represents a greater risk to the community and must be more carefully monitored. Only alcohol abusers should be subject to stricter scrutiny and

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1. We note, however, that a one-time or occasional use of illegal drugs may raise different issues from social or occasional drinking.



assessed a higher point level under the SORA Guidelines, as opposed to occasional, moderate social drinkers.<sup>2</sup>

[2] In *Palmer*, the hearing court should not have assessed defendant 15 points for drinking at an after work party on the day he committed his first sex offense against his victim. There was no evidence that Palmer had a history of alcohol abuse. There was also no indication in the record that Palmer abused alcohol by drinking in excess, that Palmer became intoxicated, or that alcohol affected his behavior on the day in question. It is not clear from the record what time the drinking occurred, how much Palmer had to drink, and how much time passed before he abused his victim. Palmer's admission that he had been socially drinking before abusing his victim for the first time, is not itself proof of alcohol abuse. Clear and convincing evidence of alcohol abuse at the time of the offense might consist of proof of an excessive quantity of alcohol imbibed, proof that the offender was impaired, or proof that there was a direct link between the offender's drinking and his sex predation. Here, there was no evidence that Palmer drank alcohol at any of the other times he offended.

[3] The People also failed to demonstrate in *Long* that defendant's 90 minutes of beer drinking constituted alcohol abuse. The People failed to prove the number of drinks Long imbibed, failed to show that his drinking was excessive, failed to demonstrate that defendant was intoxicated, and failed to provide evidence that his drinking was causally linked to the sexual assault. To prove alcohol abuse by clear and convincing evidence, the People would have had to present additional evidence as to defendant's behavior and drinking, which in this case might have been obtained from the adult victim. The Court can only speculate regarding whether defendant abused alcohol on the night in question and whether the drinking led to his deviant behavior. While undoubtedly alcohol plays a pernicious role in various domestic violence disputes and sexual assaults, the record before us contains no clear evidence that Long abused alcohol. The Diagnostic and Statistical Manual of Mental Disorders, Fourth Edition (American Psychiatric Association

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2. [1] To the extent that lower courts have determined that alcohol use, as opposed to abuse, is sufficient for the assessment of points under risk factor 11, these cases should not be followed (*e.g.* *People v Sterling*, 71 AD3d 654, 654 [2d Dept 2010], *lv denied* 15 NY3d 703 [2010]; *People v Britt*, 66 AD3d 853, 854 [2d Dept 2009], *lv denied* 13 NY3d 716 [2010]).

[2004]) (DSM-IV-TR) describes one symptom of alcohol abuse as “continued [alcohol] use despite having persistent or recurrent social or interpersonal problems caused or exacerbated by the effects of the [alcohol].”<sup>3</sup> Consequently, evidence of a causal link between alcohol use and persistent social or relationship problems is a sign of alcohol abuse, which the People failed to show here.

Long’s contention that the Appellate Division improperly made its own findings of fact and conclusions of law is without merit. The Appellate Division acted within its powers when it reviewed the record and made the findings of fact required by the statute.

### III.

Accordingly, the Appellate Division order in *Palmer* should be reversed, without costs, and the case remitted to Supreme Court for further proceedings in accordance with the opinion. The Appellate Division order in *Long* should also be reversed, without costs, and the case remitted to Supreme Court for further proceedings in accordance with the opinion.

Judges GRAFFEO, READ, SMITH and PIGOTT concur; Judge RIVERA taking no part.

In *People v Palmer*: Order reversed, without costs, and case remitted to Supreme Court, Kings County, for further proceedings in accordance with the opinion herein.

In *People v Long*: Order reversed, without costs, and case remitted to Supreme Court, Erie County, for further proceedings in accordance with the opinion herein.

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3. Though the DSM-IV-TR provides some guidance on what constitutes “alcohol abuse,” the SORA Board took a more expansive view of abuse and determined that points can be assessed under risk factor 11 even where there is no recurrent conduct. In order to give meaning to the language of the SORA Guidelines and commentary, we conclude that the People do not have to present evidence of a pattern of conduct to find that an offender abused alcohol.

[985 NE2d 415, 961 NYS2d 820]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RAFAEL  
L. BELLIARD, Appellant.

Argued January 2, 2013; decided February 12, 2013

### SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 10, 2011. The Appellate Division affirmed a judgment of the Supreme Court, Monroe County (Stephen R. Sirkin, J.), which had convicted defendant, upon his plea of guilty, of criminal possession of a controlled substance in the first degree, criminal possession of a controlled substance in the third degree and criminal possession of a weapon in the second degree.

*People v Belliard*, 89 AD3d 1443, affirmed.

### HEADNOTE

**Crimes — Plea of Guilty — Sufficiency of Allocution — Failure to Advise Defendant That Sentence Will Run Consecutively to Prior Undischarged Sentence**

The trial court's failure during defendant's plea colloquy to address the impact of Penal Law § 70.25 (2-a), which requires that, as a second felony offender, defendant's prison term run consecutively to defendant's previously imposed undischarged state sentence, did not require vacatur of the plea. The consecutive nature of defendant's sentence pursuant to Penal Law § 70.25 (2-a) was a collateral rather than a direct consequence of his conviction. A trial court has a duty to advise a defendant about direct consequences, which are those that have a definite, immediate and largely automatic effect on defendant's punishment. A court may, but need not, refer to collateral consequences during a plea allocution, and a court's silence regarding collateral consequences will not warrant vacating a plea. The consecutive nature of a prison term pursuant to Penal Law § 70.25 (2-a) is not a component of the sentence itself. During defendant's plea colloquy, defendant was informed of the core elements of his sentence when the trial judge stated that, as a second felony drug offender, defendant would receive 12 years' imprisonment to be followed by five years of postrelease supervision. Nothing in the statutory scheme requires a trial court to characterize a term of imprisonment as "consecutive."

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 619, 620, 628; AM JUR 2d,  
Habitual Criminals and Subsequent Offenders § 48.  
CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:57,

182:58, 182:60–182:62; CARMODY-WAIT 2d, Sentencing Procedures § 203:96.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 21.3, 21.4, 26.6.

McKINNEY'S, Penal Law § 70.25 (2-a).

NY JUR 2d, Criminal Law: Procedure §§ 1483–1485, 1511–1513, 3163.

#### ANNOTATION REFERENCE

See ALR Index under Concurrent and Consecutive Sentences; Guilty Plea; Habitual Criminals and Subsequent Offenders.

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#### POINTS OF COUNSEL

*Timothy P. Donaher, Public Defender, Rochester (David R. Juergens of counsel)*, for appellant. Rafael Belliard's guilty plea was involuntary, because the trial court failed to warn him of a direct, adverse consequence—that Penal Law § 70.25 (2-a) would require the new determinate sentences of imprisonment to run consecutively to Mr. Belliard's undischarged determinate sentence of imprisonment. (*People v Catu*, 4 NY3d 242; *People v Louree*, 8 NY3d 541; *People v Hill*, 9 NY3d 189; *People v Boyd*, 12 NY3d 390; *People v Morbillo*, 56 AD3d 694; *People v Ford*, 86 NY2d 397; *People v Harris*, 61 NY2d 9; *Boykin v Alabama*, 395 US 238; *People v Van Deusen*, 7 NY3d 744; *North Carolina v Alford*, 400 US 25.)

*Sandra Doorley, District Attorney, Rochester (Kelly Wolford and Leslie E. Swift of counsel)*, for respondent. I. Defendant's Penal Law § 70.25 (2-a) plea contention is not properly before this Court as it is not only unpreserved but also incorrectly premised upon presumed matters which are de hors the appellate record. (*People v Adams*, 46 NY2d 1047; *People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *People v Michael*, 48 NY2d 1; *People v Martin*, 50 NY2d 1029; *People v Claudio*, 64 NY2d 858; *People v Warren*, 47 NY2d 740; *People v Pellegrino*, 60 NY2d 636; *People v Newbould*, 83 AD3d 1570, 17 NY3d 904; *People v Lagas*, 76 AD3d 384, 16 NY3d 744, 16 NY3d 860; *People v Silva*, 220 AD2d 230, 87 NY2d 977.) II. The Fourth Department's

affirmance should stand because consecutive sentencing via Penal Law § 70.25 (2-a) was not a direct consequence of defendant's 2007 plea deal. (*Santobello v New York*, 404 US 257; *People v Selikoff*, 35 NY2d 227, 419 US 1122; *People v Alexander*, 97 NY2d 482; *People v Seaberg*, 74 NY2d 1; *People v Green*, 75 NY2d 902, 498 US 860; *Brady v United States*, 397 US 742; *People v Moissett*, 76 NY2d 909; *People v Garcia*, 92 NY2d 869; *People v Fiumefreddo*, 82 NY2d 536; *People v Seeber*, 4 NY3d 780.)

#### OPINION OF THE COURT

GRAFFEO, J.

Penal Law § 70.25 (2-a) requires that a prison term imposed upon a second felony offender run consecutively to a previously imposed undischarged sentence. We hold that the consecutive nature of the new sentence is a collateral rather than direct consequence of a conviction in determining the adequacy of a plea allocution.

Following a buy and bust operation in 2006, defendant Rafael Belliard was arrested for possessing cocaine and a loaded firearm. He was subsequently charged with criminal possession of a controlled substance in the first and third degrees and criminal possession of a weapon in the second degree. In July 2007, defendant pleaded guilty to all three counts of the indictment. At the time of his guilty plea, defendant had a prior undischarged state sentence stemming from an earlier state felony drug conviction. And in committing the 2006 crimes, defendant was also facing a federal violation of supervised release in connection with two prior federal felonies.

During the July 2007 plea colloquy, the trial court explained that, as a second felony drug offender, defendant would receive a prison sentence of 12 years, followed by five years of post-release supervision (PRS). Defense counsel asked the court to delay sentencing until the federal court had resolved defendant's violations of his supervised release, thereby permitting the new state sentence to be served concurrently with the federal sentence. The court agreed. No mention was made by defense counsel or the court as to whether the negotiated 12-year prison term would run concurrently or consecutively with the prior undischarged state sentence arising from his previous state drug conviction. Defendant allocuted to the charges and the court accepted his plea and adjourned his sentencing.

About two months later, defendant was sentenced to a determinate prison term of 12 years plus five years of PRS on

the first-degree drug possession conviction, to be served concurrently with determinate terms of five years and five years of PRS on the third-degree drug possession and second-degree weapon possession convictions. The sentencing court further stated that the 12-year sentence would be concurrent to the federal sentence, as permitted by Penal Law § 70.25 (4).<sup>1</sup> As a second felony drug offender, Penal Law § 70.25 (2-a) required that defendant's 12-year prison term run consecutively to his prior undischarged state sentence.<sup>2</sup> The court, however, was silent on this subject.

Defendant appealed from the judgment of conviction, asserting that his guilty plea was involuntary and should be vacated because the trial court did not advise him of a consequence of his plea, namely, that the 12-year term of imprisonment would run consecutively to his prior undischarged state sentence. The Appellate Division rejected this contention and affirmed (89 AD3d 1443 [4th Dept 2011]). A Judge of this Court granted defendant leave to appeal (18 NY3d 955 [2012]), and we now affirm.

Defendant maintains—and the dissent agrees—that his plea must be vacated because the trial court neglected to inform him that the determinate term of 12 years imposed as a result of his plea bargain was to run consecutively to the undischarged portion of the sentence relating to the earlier state drug conviction. He seeks to analogize his situation to that in *People v Catu* (4 NY3d 242 [2005]), where we held that a mandatory PRS term is a direct consequence of a conviction and must be addressed by the court during a plea allocution. The People counter that the consecutive nature of defendant's sentence is a collateral

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1. Penal Law § 70.25 (4) provides:

“When a person, who is subject to any undischarged term of imprisonment imposed at a previous time by a court of another jurisdiction, is sentenced to an additional term or terms of imprisonment by a court of this state, the sentence or sentences imposed by the court of this state . . . shall run either concurrently or consecutively with respect to such undischarged term in such manner as the court directs at the time of sentence.”

2. Penal Law § 70.25 (2-a) states in relevant part:

“When an indeterminate or determinate sentence of imprisonment is imposed pursuant to . . . subdivision three . . . of section 70.71 . . . and such person is subject to an undischarged indeterminate or determinate sentence of imprisonment imposed prior to the date on which the present crime was committed, the court must impose a sentence to run consecutively with respect to such undischarged sentence.”



consequence and the trial judge's failure to raise it does not undermine the validity of the plea.

A trial court is constitutionally required to ensure that a defendant, before entering a guilty plea, has a full understanding of what the plea entails and its consequences. The court is not obligated to engage in any particular litany during the plea colloquy, "but due process requires that the record must be clear that the plea represents a voluntary and intelligent choice among the alternative courses of action open to the defendant" (*People v Ford*, 86 NY2d 397, 403 [1995] [internal quotation marks and citations omitted]). Nevertheless, because it would be unfeasible for a court to advise a defendant of all the possible ramifications of a guilty plea, our cases have drawn a distinction between the direct and collateral consequences of a plea.

The significance of this distinction is that a trial court has a duty to advise a defendant about direct consequences, which are defined as having "a definite, immediate and largely automatic effect on defendant's punishment" (*id.*). A court's failure to comply with this mandate is not subject to harmless error review and requires reversal (*see People v Harnett*, 16 NY3d 200, 205 [2011]). In contrast, a court may, but need not, refer to collateral consequences during a plea allocution. A court's silence regarding collateral consequences "will not warrant vacating a plea because they are peculiar to the individual and generally result from the actions taken by agencies the court does not control" (*Ford*, 86 NY2d at 403).

In *Catu*, defendant pleaded guilty to various crimes and his sentence, by virtue of his status as a second felony offender, was required by statute to include a five-year period of PRS (*see* Penal Law § 70.45). The trial court, however, did not inform defendant of the period of supervision during the plea colloquy. We held that PRS is a direct consequence of a conviction as it constitutes a "component of [a] sentence" (*Catu*, 4 NY3d at 245) and, consequently, a defendant must be advised of the PRS term associated with the subject crimes. We further noted that, "[w]hereas the term of supervision to be imposed may vary depending on the degree of the crime and the defendant's criminal record, imposition of supervision is mandatory and thus has a definite, immediate and largely automatic effect on defendant's punishment" (*id.* at 244 [internal quotation marks and citation omitted]). As a result, we concluded that defendant was entitled to have his plea vacated.

Next, in *People v Gravino* (14 NY3d 546 [2010]) and its companion case, *People v Ellsworth*, we addressed whether mandatory registration under the Sex Offender Registration Act (SORA) and terms of probation are direct or collateral consequences of a plea. In *Gravino*, the trial judge did not notify defendant that she would have to register as a sex offender under SORA because of her rape conviction. And in *Ellsworth*, defendant was not told about the conditions of probation, including noncontact with his own children, before entering a guilty plea to a sex crime. On appeal, both defendants relied on *Catu*, asserting that SORA registration and probation conditions, like PRS, were direct consequences requiring that their pleas be set aside.

We rejected the proposed analogy between SORA and PRS in *Gravino*, stressing that PRS “is, by statute, a component element of a sentence, which is why a judge must pronounce the period of postrelease supervision at sentencing; it is thus an integral part of the punishment meted out upon a defendant’s conviction of a crime” (*id.* at 556 [citation omitted]). In contrast, we noted that SORA is not a penal statute nor is the registration requirement a part of the sentence; rather, SORA is a remedial statute designed to prevent future criminal behavior. Although SORA unquestionably imposes significant burdens on a registrant, we determined that it is not a “‘direct consequence’ of a conviction within the meaning of *Ford* as interpreted in *Catu*” (*id.* at 557). Similarly, in *Ellsworth*, we held that the conditions of probation are collateral consequences, reasoning that “courts taking guilty pleas cannot be expected to predict any and every potential condition of probation that might be recommended in the presentence report—an impossible task given the individualized nature of probation supervision” (*id.* at 558). The end result was that neither of these defendants was awarded relief.

We most recently dealt with the direct versus collateral framework in *Harnett*, where the trial judge did not apprise defendant that he might be subject to the Sex Offender Management and Treatment Act (SOMTA) as a result of his guilty plea to first-degree sexual abuse. Subsequently, defendant argued that the possibility of being held as a detained sex offender past his release date amounted to a direct consequence that he should have been notified about at his plea proceeding. We disagreed and affirmed the conviction, concluding that SOMTA consequences, while serious, are collateral. In so holding, we observed:

“The direct consequences of a plea—those whose omission from a plea colloquy makes the plea per se invalid—are essentially the core components of a defendant’s sentence: a term of probation or imprisonment, a term of postrelease supervision, a fine. Our cases have identified no others” (*Harnett*, 16 NY3d at 205).

Finally, although not a plea vacatur case, *People ex rel. Gill v Greene* (12 NY3d 1 [2009], *cert denied sub nom. Gill v Rock*, 558 US 837 [2009]) also bears on our analysis of defendant’s claim. In *Gill*, petitioner pleaded guilty as a second felony offender and was required by Penal Law § 70.25 (2-a)—the same provision at issue here—to have his sentence run consecutively with his prior undischarged sentences. The trial judge did not address this topic at the plea or sentencing stages of the proceedings and, lacking a court directive, the Department of Correctional Services (DOCS) administratively calculated the consecutive sentence. Relying on *Matter of Garner v New York State Dept. of Correctional Servs.* (10 NY3d 358 [2008]), where we held that only a court, not DOCS, may impose a term of PRS, petitioner brought a habeas corpus petition seeking to annul DOCS’s determination that the sentences ran consecutively. We squarely rejected petitioner’s contention and stated that, when a court is required by statute to impose a consecutive sentence but does not address the matter, it is deemed to have imposed the consecutive sentence.

In reaching this conclusion, we explained that the analogy petitioner proposed between consecutive sentencing and PRS was “flawed” because the problem in *Garner* “was that a part of the sentence—the PRS term—was never imposed” (*Gill*, 12 NY3d at 5-6). By comparison, we held that the *Gill* court did impose the sentence (an indeterminate term of 2½ to 5 years); all that was omitted was the characterization of the sentence as concurrent or consecutive. In language that is particularly relevant here, we remarked:

“Nothing in [Penal Law § 70.25 (2-a)] and nothing in the Constitution requires the sentencing court to say the word ‘consecutive,’ either orally or in writing. Nothing in the statute even requires that the sentencing court be made aware that the prior sentences are undischarged. Unlike the petitioners in *Garner* and *Earley* [*v Murray* (451 F3d 71 [2d Cir 2006])], who were told nothing about PRS by the

courts that sentenced them, Gill was told in plain terms that he was being sentenced to 2½ to 5 years in prison. He was never given any reason to think that part or all of that sentence would be effectively nullified, by running simultaneously with sentences he had already received. Indeed, nothing in the record here shows the court knew that previous undischarged sentences existed” (*id.* at 6).

In this case, defendant similarly seeks to draw a parallel between PRS and consecutive sentencing, claiming that, like the mandatory PRS term in *Catu*, a sentence that must run consecutively to a prior undischarged sentence is a direct consequence of a plea. But this contention is undermined by *Gravino* and *Harnett*, where we clarified that the PRS term in *Catu* constituted a direct consequence because it was “a component element of a sentence” (*Gravino*, 14 NY3d at 556) or, stated otherwise, one of “the core components of a defendant’s sentence” (*Harnett*, 16 NY3d at 205).<sup>3</sup> Unlike PRS, the consecutive nature of a prison term pursuant to Penal Law § 70.25 (2-a) is *not* a component of the sentence itself, a point that was critical to our holding in *Gill* (*see also Wilson v McGinnis*, 413 F3d 196, 200 [2d Cir 2005] [rejecting the related argument that “mandatory consecutive state sentences . . . ha(ve) the effect of lengthening the actual state sentence and punishment that was imposed pursuant to the guilty plea” (internal quotation marks and emphasis omitted)]). And here, during defendant’s plea colloquy, it is undisputed that he was informed of the core elements of his sentence when the trial judge stated that, as a second felony drug offender, he would receive 12 years’ imprisonment to be followed by five years of PRS. In other words, he was fully advised of the direct consequences of his guilty plea.

Furthermore, as we emphasized in *Gill*, nothing in the statutory scheme requires a trial court to characterize a term of imprisonment as “consecutive,” particularly since the judge may not even be aware that a defendant has time remaining on a previously-imposed sentence. Indeed, as in *Gill*, nothing in the record before us demonstrates that the trial judge knew defendant had a prior undischarged sentence. It also cannot be overlooked that defendant had no reasonable basis to believe that the 12-year term would run concurrently with his prior

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3. The dissent disregards these passages from *Gravino* and *Harnett*.

unrelated sentence, “effectively nullif[ying]” the new sentence (*Gill*, 12 NY3d at 6). Although the trial judge stated that the newly imposed sentence would be concurrent to the federal sentence—the sole issue of concern voiced by his counsel—no reference was made to the prior undischarged state sentence.

In sum, our holdings in *Gravino*, *Harnett* and *Gill* lead us to conclude that the consecutive nature of defendant’s sentence pursuant to Penal Law § 70.25 (2-a) is a collateral consequence of his conviction. For the reasons stated, the failure of the trial court to address the impact of Penal Law § 70.25 (2-a) during the plea colloquy does not require vacatur of the plea.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN (dissenting). The problematic quality of today’s decision is evident from its opening sentences. The Court begins by acknowledging, as it must, that Penal Law § 70.25 (2-a) mandates, in the case of a second felony offender, the imposition of a prison term consecutive to one previously imposed but undischarged, yet then announces that a consecutive sentence imposed pursuant to Penal Law § 70.25 (2-a) is not a direct consequence of a second felony offender’s plea. Nothing that follows in the decision’s lengthy discussion of this Court’s cases explains how it is that the subject legally mandated, automatically attaching, penalty enhancing sentence attribute may be characterized as anything other than a “direct” consequence of an underlying plea. It is, in fact, no less direct than the sentence itself—so direct that the sentencing court need not even mention it for it to take effect, or so this Court has held (*People ex rel. Gill v Greene*, 12 NY3d 1, 6 [2009] [“We read the words of Penal Law § 70.25 (2-a)—‘the court must impose a sentence to run consecutively with respect to such undischarged sentence’—to mean that any sentence imposed by the court shall run consecutively to the undischarged sentence, whether the sentencing court says so or not’’]). If it is the case, as the majority allows, that the court must advise a pleading defendant of his or her sentence because the sentence is a direct penal consequence of the plea, the question naturally arises as to how it is that the court is not also obliged to advise the defendant of the highly material circumstance that the sentence imposed must run consecutively to any undischarged sentence—a penal consequence entailed by and logically no less immediate than the sentence itself. The only answer offered by the Court is that the consecutive running of the sentence is not a “component” of the sentence.

It is true that in *Gill* the Court said that the consecutive running of a sentence pursuant to Penal Law § 70.25 (2-a) is not a “part of” the sentence, but merely a statutorily supplied sentence “characterization” (12 NY3d at 6). However, while this very fine semantic distinction may have been pertinent in defining the extent of the judicial obligation in pronouncing a sentence—the issue in *Gill*—it should count for very little in defining the prior obligation of the court to assure, as a condition of a plea’s validity, that the defendant has been informed, not just of the sentence that will be pronounced in exchange for the plea, but of any other similarly direct plea consequence.

In *People v Ford* (86 NY2d 397, 403 [1995]) this Court described a direct consequence of a plea as one with “a definite, immediate and largely automatic effect on defendant’s punishment.” It is plain that this formulation, which we have employed repeatedly since *Ford* (see *People v Catu*, 4 NY3d 242, 244 [2005]; *People v Gravino*, 14 NY3d 546, 553-554 [2010]; *People v Harnett*, 16 NY3d 200, 205 [2011]), and to which the majority again purports to adhere, may encompass more than the “component” or “core elements” of the sentence. That the *Catu* court said that postrelease supervision should be deemed a direct consequence of a plea because it is a significant component of the sentence, is not logically equivalent to the much broader proposition the majority now embraces, that only a sentence component will qualify as a direct plea consequence. Nor does the Court’s observation in *Harnett*, that our five decisions in the relevant area had not identified any direct plea consequences other than the “core components” of a defendant’s sentence (16 NY3d at 205), amount to a reasoned argument that the “core components” of a sentence are exhaustive of the “definite, immediate and largely automatic effects” upon punishment to which *Ford* referred. Indeed, the very case from which *Ford*’s formulation is borrowed, *Cuthrell v Director, Patuxent Inst.* (475 F2d 1364 [4th Cir 1973], *cert denied* 414 US 1005 [1973]), observes that the distinction between direct and collateral plea consequences is “sometimes shaded” (*id.* at 1366), and itself adverts to a plea consequence—i.e., ineligibility for parole—which had been widely viewed as a direct consequence even though it was not the sentence per se but, like the consequence here at issue, an entailed attribute of the sentence.

In any case, it does not seem arguable that the mandatory consecutive running of a sentence pursuant to Penal Law § 70.25 (2-a) corresponds precisely to *Ford*’s description of a



direct plea consequence. The effect of the statute's consecutive mandate is both punitive and definite. Penal Law § 70.25 (2-a) is patently directed at augmenting the length of time a defendant will spend behind bars; the consecutive "characteristic" of the sentence is nothing if not "an integral part of the punishment meted out upon a defendant's conviction of a crime" (*People v Gravino*, 14 NY3d at 556). And, although the effect of the statute's application will vary from case to case (*see Catu*, 4 NY3d at 245), it is a virtual certainty that in every case governed by Penal Law § 70.25 (2-a) there will be some penal consequence beyond that pronounced as part of the sentence proper. Nor can there be any question that the provision's effect on punishment is immediate and automatic. As noted, we have held that the statute will apply by operation of law in the case of every second felony offender with a prior undischarged sentence (*Gill*, 12 NY3d at 6).

Of course there is legitimate concern with requiring judges to advise defendants of consequences that will depend on their individual circumstances or that emanate from non-judicial agencies—circumstances of which a court may not be aware—and that is the reason for distinguishing between direct and collateral plea consequences; it is not that collateral plea consequences are necessarily less important to a defendant's decision as to whether to enter a plea. Indeed, it is now clear that a defendant's understanding of what would under the *Ford* dichotomy be deemed a collateral plea consequence may yet be highly material to a plea's constitutional validity (*see Padilla v Kentucky*, 559 US 356, —, 130 S Ct 1473, 1486 [2010]). The dichotomy's legitimate utility, then, lies not in gratuitously narrowing the court's scope of required inquiry, but simply in tailoring a judge's plea-vetting obligation to what he or she can reasonably be expected to know respecting a plea's material punitive consequences for the defendant.

Even while acknowledging this practically necessary limitation, it is exceedingly difficult to understand why it should operate to relieve a judge from informing a second felony offender tendering a plea that his or her sentence must run consecutively to any undischarged term previously imposed—in other words, that the period of incarceration resulting from the plea may actually be significantly longer than the stated term in the sentence. In the ordinary course of preplea proceedings, a judge will learn of a defendant's predicate status, and this case is not in that respect exceptional, as the majority suggests. Moreover,

inasmuch as a defendant's predicate status is extant, documented information that is easily made available to the court—and is routinely furnished by the prosecution prior to sentencing—it is plain that there exists no considerable impediment to its production in connection with a plea.

It is the core object of every defendant entering a plea to minimize the punitive consequence of his or her conviction. Where, as here, a plea entails incarceration beyond that expressly agreed to as part of the bargained for sentence, it cannot be ascertainably knowing, intelligent and voluntary unless that entailment is first disclosed by the court. This conclusion I do not believe is soundly or prudently avoided by the analysis the Court advances today.

Judges READ, SMITH and PIGOTT concur with Judge GRAFFEO; Chief Judge LIPPMAN dissents in an opinion; Judge RIVERA taking no part.

Order affirmed.

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[984 NE2d 914, 960 NYS2d 716]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v DAMIEN  
WARREN, Respondent.

Argued January 7, 2013; decided February 12, 2013

### SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 17, 2011. The Appellate Division (1) reversed, on the law, a judgment of the Erie County Court (Shirley Troutman, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and criminal possession of a weapon in the second degree, and (2) granted a new trial.

*People v Warren*, 87 AD3d 36, affirmed.

### HEADNOTES

#### **Crimes — Fair Trial — Simultaneous Bench Trial for Codefendant with Conflicting Defense — Showing of Prejudice**

1. In a joint bench and jury trial of defendant and two codefendants for murder and weapon possession, the trial judge erred in refusing to direct the codefendant who had waived a jury trial to testify outside the jury's presence. Once the codefendant waived a jury trial, there arose a situation akin to trial by dual juries, amounting to a modified form of severance, and under standards for reviewing severance motions generally, defendant had to show that he was prejudiced by the trial judge's decision to allow the jury to hear the testimony of the codefendant who had waived trial by jury. Here, the codefendant's testimony, which took place after the People had rested, implicated defendant as the shooter. The People could not have forced the codefendant to testify against defendant, and it would have been easy enough for the judge to excuse the jury for the codefendant's defense. In cases involving multiple juries in which no prejudice has been found, the trial judge took pains to shield each jury from presentation of evidence admissible only before the other. That the second factfinder in defendant's case was the court and not a jury did not alter the analysis. In addition, defendant could have made a strong case for severance on the ground that his defense was irreconcilable with the testifying codefendant's and, under those circumstances, defendant's jury would not have been permitted to hear the witnesses who testified on the codefendant's behalf.

#### **Crimes — Harmless and Prejudicial Error — Simultaneous Bench Trial for Codefendant with Conflicting Defense — Allowing Jury to Hear Codefendant's Testimony after Case against Defendant Concluded**

2. In a joint bench and jury trial of defendant and two codefendants for murder and weapon possession, the trial judge's refusal to direct the codefendant who had waived a jury trial to testify outside the jury's presence was not harmless error. The People's case against defendant was certainly strong, but

not overwhelming. Perhaps as a result, the prosecutor essentially adopted the codefendant's narrative implicating defendant as the shooter, even though it was at odds with some of the testimony of the People's main witness. Moreover, the prosecutor repeatedly referenced the codefendant's testimony during his summation to the jury, emphasizing that, although he was not the People's witness, he had corroborated the People's proof against defendant. The codefendant's vivid account of the crime may well have sealed defendant's fate with the jurors.

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#### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 925, 926, 931; AM JUR 2d, Trial §§ 69, 70, 88, 97, 99, 101, 102, 105, 108–113, 117, 130, 131, 1662.

CARMODY-WAIT 2d, Conduct of Trial, in General § 190:57; CARMODY-WAIT 2d, Postjudgment Motions §§ 205:33, 205:34; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:117, 207:119.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 17.2, 17.3, 24.6, 24.11, 27.6.

NY JUR 2d, Criminal Law: Procedure §§ 1632, 2453, 2457, 2597, 2623, 3392, 3569–3574.

#### ANNOTATION REFERENCE

See ALR Index under Criminal Procedure Rules; Harmless and Prejudicial Error; Joint and Separate Trials; Jury Trials; New Trial.

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#### POINTS OF COUNSEL

*Frank A. Sedita, III, District Attorney, Buffalo (Donna A. Milling of counsel), for appellant.* Defendant was not deprived of a fair trial based on the manner in which the court conducted a simultaneous bench trial of codefendant and jury trial of defendant. Defendant's severance claim is both unpreserved and meritless. (*People v Ricardo B.*, 73 NY2d 228; *People v Fleming*, 76 AD3d 582, 15 NY3d 893; *People v Wallace*, 153 AD2d 59, 75 NY2d 925; *People v Irizarry*, 83 NY2d 557; *People v Owens*, 22 NY2d 93; *People v Bornholdt*, 33 NY2d 75; *People v Mahboubian*, 74 NY2d 174; *People v Cruz*, 66 NY2d 61, 481 US 186, 70 NY2d 733; *People v Johnson*, 124 AD2d 1063, 69 NY2d 713, 69 NY2d 951; *People v De Los Angeles*, 270 AD2d 196, 95 NY2d 889.)

*Michael L. D'Amico*, Buffalo, for respondent. The Appellate Division properly found respondent was deprived of a fair trial. (*People v Cona*, 49 NY2d 26; *People v Turriago*, 90 NY2d 77; *People v Johnson*, 47 NY2d 124; *People v Amato*, 173 AD2d 714, 78 NY2d 919; *People v Wallace*, 153 AD2d 59; *People v Imburgia*, 134 Misc 2d 1057; *People ex rel. Rohrlich v Follette*, 20 NY2d 297; *People v Firestone*, 118 Misc 2d 314; *People v Ricardo B.*, 73 NY2d 228; *People v Irizarry*, 83 NY2d 557.)

#### OPINION OF THE COURT

READ, J.

Defendant Damien Warren and three codefendants, Eric Young, Marvin Howard and Nathaniel Williams, were jointly indicted on a theory of accomplice liability for second-degree murder (Penal Law § 125.25 [1]) and second-degree weapon possession (Penal Law § 265.03 [former (2)]) in connection with a drug-related shooting death in the City of Buffalo on March 23, 2006. The week before jury selection, Young, who had just waived his right to a jury trial, was offered a plea to a class A misdemeanor in exchange for his testimony. Howard also waived his right to a jury, which prompted Warren's attorney to ask County Court to try Warren and Howard separately, or, alternatively, direct that Howard testify outside the jury's presence if he took the stand. The judge denied these requests, and a joint bench and jury trial ensued.

Among the People's witnesses, both Young and a jailhouse informant, who unbeknownst to Warren was related to the victim, implicated Warren as the shooter; Young testified that Warren pursued the wounded victim as he stumbled to a nearby park and fell to the ground, where the armed Warren walked up to him.\* Young additionally told the jury that Williams ran in the opposite direction of the park after the first shots were fired; he further stated that he never saw Williams with a gun, and that Howard was simply not present when the gunfire erupted.

Another witness, a 16-year-old runaway who lived with the victim, claimed that Warren, Williams and Howard each possessed a gun and fired at the victim as he stood in front of the house where he sold crack, talking to Young; and that it was Howard who ran down the victim in the park and "kick[ed]

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\* The medical examiner testified that the victim suffered six gunshot wounds, five to his extremities and buttocks, which were probably survivable. The lethal bullet entered the left side of the victim's chest.

something” on the ground, while Williams ran the other way. This witness related that Young had earlier pulled up in a car, which he parked across the street from the victim’s house, in front of the house from which Warren dealt drugs; and that Young had shouted out to the victim, at the time near an open, second-floor window, enticing him out of doors. She also claimed that Young drove Warren away from the crime scene after the shooting; and that Warren, as he was entering the passenger side of the car, threatened to kill her if she said anything about what she had seen. This witness was awaiting sentence on an armed robbery charge at the time of trial; many details of her testimony were inconsistent with her previous statements to the police or grand jury.

After the People rested, Warren’s and Williams’s attorneys each indicated that they did not intend to offer proof. Howard’s counsel, however, advised the judge that his client planned to take the stand. Warren’s attorney then again asked County Court for Howard to testify outside the jury’s presence because the People’s proof had closed with respect to Warren, and the jury would not be deciding Howard’s guilt or innocence. In opposition, the People argued that the trials were not separate, Howard might corroborate the People’s witnesses, he was subject to cross-examination, and the jury had a right to hear from him. The judge denied Warren’s attorney’s request, expressing her belief that Howard’s defense would not be “separate and distinct as to any of the defendants.”

Howard, a drug dealer whose supplier was Warren, claimed that he was sitting on the steps of the front porch of a friend’s house down the street from the crime scene when he heard gunfire and saw Warren chase someone into the park while Williams fled in the opposite direction. He further testified that another friend then drove him to the park, where they saw the victim lying on the grass, not moving. At that point, Howard implored this friend to “take [him] home” as “it[ ] [was] about to [get] hot,” and they drove off. A few blocks away, Warren flagged down the friend’s car and hitched a ride to Howard’s house. Once there, according to Howard, Warren acknowledged shooting the victim; washed his hands with disinfectant; and buried a gun in the backyard and set his sweatshirt on fire. The jury also heard recordings of telephone calls made by Howard from jail, directing his brother to unearth a hidden gun and deliver it to a reverend. The brother testified that, after retrieving the gun, he instead handed it over for safekeeping to a friend, who sold it.



The jury convicted Warren and acquitted Williams of both crimes charged, while the judge acquitted Howard. County Court sentenced Warren to concurrent terms of imprisonment of 25 years to life for murder, and 15 years followed by five years of postrelease supervision on the weapon possession conviction. Warren appealed on the ground that the judge's refusal to direct Howard to testify outside the jury's presence deprived him of his right to a fair trial. The Appellate Division unanimously agreed and reversed the judgment of conviction and sentence (87 AD3d 36 [4th Dept 2011]). A Judge of this Court granted the People leave to appeal (18 NY3d 862 [2011]), and we now affirm.

Once Howard waived a jury trial, there arose a situation akin to trial by dual juries, which we have called, "at root, a modified form of severance" (see *People v Irizarry*, 83 NY2d 557, 560 [1994]). And trials with dual juries, which are to be used "sparingly" (*People v Ricardo B.*, 73 NY2d 228, 235 [1989]), are "evaluated under standards for reviewing severance motions generally, which require a showing of prejudice to entitle a defendant to relief" (*Irizarry*, 83 NY2d at 560, citing *Ricardo B.*, 73 NY2d at 233 and *People v Mahboubian*, 74 NY2d 174, 183 [1989] [internal quotation marks omitted]). Thus, Warren must show that he was prejudiced by the judge's decision to allow the jury to hear Howard's defense.

[1] Here, the People could not have forced Howard to testify against Warren. Further, it would have been easy enough for the judge to excuse the jury for Howard's defense. After all, the jury was not the factfinder in Howard's trial. In those cases involving multiple juries where we have found no prejudice, the trial judge took pains to shield each jury from presentation of evidence admissible only before the other (see *Ricardo B.*, 73 NY2d at 232; *Irizarry*, 83 NY2d at 559). That the second factfinder here was the court and not a jury does not alter the analysis.

Indeed, if Howard had not waived a jury trial, Warren could have made a strong case for severance on the ground that his defense was irreconcilable with Howard's (see *Mahboubian*, 74 NY2d at 184 ["severance is compelled where the core of each defense is in irreconcilable conflict with the other and where there is a significant danger, as both defenses are portrayed to the trial court, that the conflict alone would lead the jury to infer defendant's guilt"]; see also *People v Cardwell*, 78 NY2d 996, 998 [1991] [severance required because, during the conduct

of the trial, codefendant's attorney "took an aggressive adversarial stance against" the defendants, "in effect becoming a second prosecutor," which resulted in "damaging evidence (being) elicited not by the People, but by a codefendant"]. In that event, whether the trials were conducted separately or simultaneously with separate juries, Warren's jury would not have been permitted to hear the witnesses who testified on Howard's behalf (*Ricardo B.*, 73 NY2d at 232; *Irizarry*, 83 NY2d at 559). No less is required for the modified severance that occurred here.

[2] Finally, we cannot say that the judge's failure to prevent the jury from hearing Howard's defense was harmless. The People's case against Warren was certainly strong, but not overwhelming. Perhaps as a result, the prosecutor essentially adopted Howard's narrative of the shooting, even though it was at odds with some of the testimony of the 16-year-old girl, the People's main witness. As the Appellate Division observed, "the prosecutor repeatedly referenced [Howard's testimony] during his summation to the jury, emphasizing that, although he was not the People's witness, he had corroborated the People's proof" against Warren (87 AD3d at 39). Howard's vivid account may well have sealed Warren's fate with the jurors.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH and PIGOTT concur; Judge RIVERA taking no part.

Order affirmed.

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[984 NE2d 925, 960 NYS2d 727]

In the Matter of JACQUELINE PEREZ, Respondent, v JOHN B.  
RHEA, as Chairman of the New York City Housing Author-  
ity, Appellant.

Argued January 10, 2013; decided February 14, 2013

### SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered August 25, 2011. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Paul Feinman, J.; op 2010 NY Slip Op 30763[U] [2010]), entered in a proceeding pursuant to CPLR article 78, which had confirmed a determination of the New York City Housing Authority terminating petitioner's tenancy, denied the petition to annul and vacate the penalty, or alternatively to remand for the imposition of a lesser penalty, and dismissed the proceeding, (2) granted the petition to the extent of vacating the penalty of termination, and (3) remanded the matter to the New York City Housing Authority for the imposition of a lesser penalty.

*Matter of Perez v Rhea*, 87 AD3d 476, reversed.

### HEADNOTES

#### **Public Housing — Termination of Tenancy — Consequences of Eviction**

1. In a proceeding to review a determination terminating petitioner's tenancy in public housing based on her failure to report her income for several years, thereby allowing her to pay a substantially lower rent than she would have had she revealed the income, the Appellate Division erred in considering public housing accommodation to be a tenancy of last resort, thus giving rise to an implicit assumption that any termination of tenancy is a drastic penalty that, by default, is excessive. The universal application of those principles would result in no tenant of public housing ever being evicted, whatever the grounds. Instead, reviewing courts must consider each petition on its own merit. Absent from the Appellate Division's analysis here was any estimate of how probable it was that petitioner's eviction would result in homelessness. Unlike some residents of public housing, petitioner had an income, and while petitioner testified that she could not afford a larger apartment, she did not claim at her New York City Housing Authority hearings that she would become homeless if evicted. Nor was it alleged that petitioner would lose her job, or be forced to resign, if she were obliged to move.

#### **Public Housing — Termination of Tenancy — Defrauding Housing Authority — Appropriateness of Penalty**

2. A public housing authority's termination of petitioner's tenancy for her failure to report her income for several years, thereby allowing her to pay a

substantially lower rent than she would have had she revealed the income, was not so disproportionate to her misconduct as to shock the judicial conscience and, thus, did not constitute an abuse of discretion. Petitioner knowingly and intentionally concealed her income from the authority for seven years, which defrauded the agency of over \$27,000 and resulted in her petit larceny conviction. Moreover, termination was compelled by a supervening public interest, which is the need to enforce income rules pertaining to public housing. Although petitioner lived with three children, two of whom had learning disabilities, and would allegedly encounter difficulties if her tenancy were terminated, public housing is of limited availability and there are waiting lists of other families in need of homes, whose situations may be equally sympathetic. If income reporting violations were to be ignored by the housing authority, there would be no meaningful deterrent to residents of income-based public housing who misstate their earnings. If residents believed that the misrepresentation of income carried little to no chance of eviction, the possibility of restitution after criminal conviction might not serve adequately to discourage that illegal practice. The deterrent value of eviction, however, is clearly significant and supports the purposes of the limited supply of publicly-supported housing.

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#### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Housing Laws and Urban Redevelopment §§ 2, 35.

NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1189–1191; NY JUR 2d, Public Housing and Urban Renewal §§ 20, 39, 43, 44.

NEW YORK REAL PROPERTY SERVICE § 79:11.

#### ANNOTATION REFERENCE

See ALR Index under Ejectment, Eviction, and Ouster; Fraud and Deceit; Housing and Slum Clearance.

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#### POINTS OF COUNSEL

*Kelly D. MacNeal, General Counsel, New York City Housing Authority, New York City (Seth E. Kramer and Nancy M. Harnett of counsel), for appellant.* The Appellate Division majority erred in substituting its preferred result for a rational agency determination. (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Peconic Bay Broadcasting Corp. v Board of Appeals, Town of Southampton*, 99 AD2d 773;

*Matter of Featherstone v Franco*, 95 NY2d 550; *Matter of Wooten v Finkle*, 285 AD2d 407; *Matter of Ahsaf v Nyquist*, 37 NY2d 182; *Matter of Kelly v Safir*, 96 NY2d 32; *Matter of Newton v Municipal Hous. Auth. for City of Yonkers*, 38 NY2d 220; *Matter of Parker v New York City Hous. Auth.*, 73 AD3d 632; *Matter of Bland v New York City Hous. Auth.*, 72 AD3d 528; *Matter of Smith v New York City Hous. Auth.*, 40 AD3d 235, 9 NY3d 816.)

*Marc Sackin*, Royal Oak, Michigan, for respondent. This Court should affirm the well-reasoned decision of the Appellate Division, which is in conformity with well-settled precedent. (*Matter of Holiday v Franco*, 268 AD2d 138; *Matter of Wise v Morales*, 85 AD3d 571, 18 NY3d 808; *Matter of Brown v Popolizio*, 166 AD2d 44; *Matter of Dickerson v Popolizio*, 168 AD2d 336; *Matter of Milton v Christian*, 99 AD2d 984; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Davis v New York City Dept. of Hous. Preserv. & Dev.*, 58 AD3d 418; *Matter of Gray v Donovan*, 58 AD3d 488; *Matter of Williams v Donovan*, 60 AD3d 594; *Matter of Vazquez v New York City Hous. Auth. [Robert Fulton Houses]*, 57 AD3d 360.)

*Weil, Gotshal & Manges LLP*, New York City (*Ronit J. Berkovich* and *David J. Schwartz* of counsel), for Housing Court Answers, Inc., amicus curiae. I. The Court of Appeals must preserve the *Pell* standard and appellate courts' consistent interpretation. (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Stolz v Board of Regents of Univ. of State of N. Y.*, 4 AD2d 361.) II. New York appellate courts applying the *Pell* standard have consistently held that administrative penalties affecting tenancy were disproportionate to the offense in cases with graver offenses and weaker mitigation evidence than that which was demonstrated by Jacqueline Perez. (*Matter of Wise v Morales*, 85 AD3d 571; *Matter of Paul v New York City Hous. Auth.*, 89 AD3d 520; *Matter of Davis v New York City Dept. of Hous. Preserv. & Dev.*, 58 AD3d 418; *Matter of Gray v Donovan*, 58 AD3d 488; *Matter of Holiday v Franco*, 268 AD2d 138; *Matter of Rodriguez v New York City Hous. Auth.*, 84 AD3d 630; *Matter of Spencer v New York City Hous. Auth.*, 81 AD3d 537; *Matter of Bellamy v Hernandez*, 72 AD3d 814; *Matter of Vazquez v New York City Hous. Auth. [Robert Fulton Houses]*, 57 AD3d 360; *Matter of Spand v Franco*, 242 AD2d 210.) III. Every case the New York City Housing Authority cites to support its proposition that the penalty imposed on

Jacqueline Perez was proportionate to her circumstances is highly distinguishable from the case at bar. (*Matter of Newton v Municipal Hous. Auth. for City of Yonkers*, 38 NY2d 220; *Matter of Parker v New York City Hous. Auth.*, 73 AD3d 632; *Matter of Bland v New York City Hous. Auth.*, 72 AD3d 528; *Matter of Smith v New York City Hous. Auth.*, 40 AD3d 235; *Matter of Waterside Redevelopment Co. v Department of Hous. Preserv. & Dev. of City of N.Y.*, 270 AD2d 87; *Matter of Cuevas v Beacon Hous. Auth.*, 220 AD2d 179; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222.)

#### OPINION OF THE COURT

PIGOTT, J.

The question presented by this case is whether the New York City Housing Authority's termination of petitioner's tenancy was, in light of the circumstances, so disproportionate to her misconduct as to shock the judicial conscience, thereby constituting an abuse of discretion as a matter of law (*see generally Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222, 233 [1974]; *Matter of Featherstone v Franco*, 95 NY2d 550, 554 [2000]). We hold that it was not.

Petitioner is a tenant in a New York City Housing Authority (NYCHA) public housing apartment in Manhattan. In the late 1990s, she became employed, for the first time, as a bookkeeper. She failed to disclose her new earnings to her landlord, each year stating in an affidavit of income that she did not work. This omission allowed petitioner to pay a substantially lower rent than she would have had she revealed the income.

When NYCHA officials discovered the misrepresentation, the matter was referred to its Office of the Inspector General. In December 2006 petitioner was charged criminally with grand larceny in the third degree and offering a false instrument for filing in the first degree, for failing to report her income, "thereby causing NYCHA to be defrauded of \$27,144.00." In July 2008, petitioner pleaded guilty to a reduced charge of petit larceny and received a conditional discharge, upon her agreement to pay restitution to NYCHA in monthly installments totaling \$20,000.

Thereafter, NYCHA sought to terminate petitioner's tenancy, on the grounds of non-desirability, misrepresentation, non-verifiable income, and breach of rules and regulations. In hearings



in the spring of 2009, petitioner admitted that at the time she failed to report her employment, she had been aware that her rent was based on income. She also testified that her three children, two of whom have learning disabilities, live with her, and that she needed a larger home for her family, but could not afford to rent one.

The Hearing Officer ruled that, despite “[t]he plight of the family,” termination of petitioner’s tenancy was “[t]he only appropriate disposition.” Petitioner, the Hearing Officer reasoned, had given no explanation for her misrepresentations that might tend to “show that she did not intend to defraud NYCHA.” The Hearing Officer concluded that “[a]n individual who through misrepresentation obtains from the tax-paying public a greater subsidy than that to which she is entitled is not eligible for tenancy.” NYCHA approved the Hearing Officer’s decision and ordered that petitioner’s tenancy be terminated.

Petitioner then commenced this CPLR article 78 proceeding, challenging that determination. She contended that the penalty of termination was so harsh as to constitute an abuse of discretion as a matter of law. For the first time, petitioner claimed that eviction might leave her homeless. She included documentary evidence concerning her sons’ learning disabilities and the negative impact on their schooling should the family be forced to move to a homeless shelter.

Supreme Court confirmed NYCHA’s determination, denied the article 78 petition, and dismissed the proceeding, holding that “[t]ermination is appropriate when the tenant conceals a large amount of income over an extended period causing a substantial rent underpayment, even if a child is part of the household” (2010 NY Slip Op 30763[U], \*7 [2010]).

The Appellate Division reversed Supreme Court’s judgment, granted the article 78 petition to the extent of vacating the penalty of termination, and remanded the matter to NYCHA for the imposition of a lesser penalty (87 AD3d 476 [1st Dept 2011]). It concluded that termination of tenancy was so disproportionate to the offense, in the light of all the circumstances, as to shock the judicial conscience. The court stated that “forfeiture of public housing accommodations is a drastic penalty because, for many of its residents, it constitutes a tenancy of last resort” (87 AD3d at 479, quoting *Matter of Holiday v Franco*, 268 AD2d 138, 142 [1st Dept 2000]).

One Justice dissented, reasoning that “[i]n accordance with her plea agreement, petitioner was required to repay only

\$20,000 of the more than \$27,000 in rent that she avoided paying, which amounts to no penalty at all. If defrauding a governmental agency incurs no adverse consequence, others will be encouraged to engage in similar fraudulent conduct—hardly an outcome that promotes the ends of justice” (87 AD3d at 481 [Tom, J.P., dissenting]).

We granted NYCHA’s motion for leave to appeal, and now reverse.

The principal reason that the Appellate Division overturned NYCHA’s determination and Supreme Court’s judgment is that the Appellate Division considered public housing accommodation to be “a tenancy of last resort” (87 AD3d at 479); the quotation is from a dictum in *Matter of Holiday* (268 AD2d at 142). The Appellate Division’s decision begins with the premise that termination “would likely leave petitioner . . . homeless” (87 AD3d at 476).

[1] Absent from the Appellate Division’s analysis, however, is any estimate of how probable it is that petitioner’s eviction would result in homelessness. Unlike some residents of public housing, petitioner, of course, has an income. Notably, while petitioner testified that she could not afford a *larger* apartment, she did not claim at her hearings that she would become homeless if evicted. That assertion originates in her petition in this article 78 proceeding, which states, conclusorily, that “[i]f petitioner is evicted from her apartment, she and her family will be rendered homeless.” Implicit in petitioner’s statement is the claim that the income that she earns from her employment is insufficient to allow her to afford appropriate accommodation. But the petition has no affidavit from petitioner to this effect, nor any support for her claim. Nor is it alleged that petitioner would lose her job, or be forced to resign, if she were obliged to move.\* Indeed, on appeal to this Court, petitioner asserts, more narrowly, that “*if* she loses her employment, she certainly would not be able to afford an apartment for her family” (emphasis added).

The Appellate Division erred by importing its prior dictum that public housing is “a tenancy of last resort” into its analysis, thus giving rise to an implicit assumption that any termination of tenancy is a “drastic penalty” (87 AD3d at 479, quoting *Holiday*, 268 AD2d at 142) that, by default, is excessive. In

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\* Petitioner focuses exclusively on the consequences if she were “to move to a homeless shelter that is a significant distance away.”

short, we share the dissenting Justice's concern that "universal application" of the Appellate Division majority's principles "would result in no tenant of public housing ever being evicted, whatever the grounds" (87 AD3d at 480-481 [Tom, J.P., dissenting]). Instead, reviewing courts must consider each petition on its own merit. The Appellate Division failed to do that here.

[2] The remaining question, then, is whether the penalty of termination of petitioner's tenancy was an abuse of discretion as to the measure or mode of penalty (CPLR 7803 [3]). "It is well settled that a court may not substitute its judgment for that of the board or body it reviews unless the decision under review is arbitrary and unreasonable and constitutes an abuse of discretion" (*Matter of Pell*, 34 NY2d at 232 [emphasis omitted]). Petitioner, whose rent was income-based, knowingly and intentionally concealed her income from NYCHA for seven years, defrauding the agency of \$27,144. We hold that termination of petitioner's tenancy was not "so disproportionate to the offense, in the light of all the circumstances, as to be shocking to one's sense of fairness" (*id.* at 233). Moreover, termination in this case is "compelled by a supervening public interest" (*id.* at 241).

A vital public interest underlies the need to enforce income rules pertaining to public housing. Despite petitioner's alleged difficulties if her tenancy is terminated, public housing is of limited availability and there are waiting lists of other families in need of homes, whose situations may be equally sympathetic. If income reporting violations were to be ignored by the NYCHA, there would be—as noted by the dissenting Justice—no meaningful deterrent to residents of income-based public housing who misstate their earnings. If residents believe that the misrepresentation of income carries little to no chance of eviction, the possibility of restitution after criminal conviction may not serve adequately to discourage this illegal practice. The deterrent value of eviction, however, is clearly significant and supports the purposes of the limited supply of publicly-supported housing. It follows, then, that NYCHA's decision to terminate petitioner's tenancy is not so disproportionate to her misconduct as to shock the judicial conscience.

The remaining contentions in the petition are either unpreserved or without merit.

Accordingly, the order of the Appellate Division should be reversed, without costs, and the judgment of Supreme Court reinstated.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and SMITH concur; Judge RIVERA taking no part.

Order reversed, without costs, and judgment of Supreme Court, New York County, reinstated.

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[985 NE2d 876, 962 NYS2d 566]

UNITED STATES FIDELITY & GUARANTY COMPANY et al., Respondents, v AMERICAN RE-INSURANCE COMPANY et al., Appellants, et al., Defendants.

Argued January 2, 2013; decided February 7, 2013

### SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered January 24, 2012. The Appellate Division affirmed (1) a judgment of the Supreme Court, New York County (Richard B. Lowe, J.), which had awarded plaintiffs damages; and, (2) as brought up for review, an order of that court (op 2010 NY Slip Op 32441[U] [2010]) which had granted plaintiffs' motion for summary judgment and denied defendants' motions for summary judgment. The following question was certified by the Appellate Division: "Was the order of the Supreme Court, as affirmed by this Court, properly made?"

*United States Fid. & Guar. Co. v American Re-Ins. Co.*, 93 AD3d 14, modified.

### HEADNOTES

#### **Insurance — Reinsurance — "Follow the Settlements" Clause — Review of Allocation Decisions**

1. Under a "follow the settlements" clause in a reinsurance contract a cedent's allocation of a settlement for reinsurance purposes will be binding on a reinsurer if, but only if, it is a reasonable allocation, and consistency with the allocation used in settling the underlying claim does not by itself establish reasonableness. A follow the settlements clause requires deference to a cedent's decisions on allocation, which makes for a more orderly and predictable resolution of claims. However, as the cedent's and the reinsurer's interests will often conflict, a reinsurer is bound only by a cedent's "good faith" decisions. Objective reasonableness should ordinarily determine the validity of an allocation, meaning that the reinsured's allocation must be one that the parties to the settlement of the underlying insurance claims might reasonably have arrived at in arm's length negotiations if the reinsurance did not exist. Reasonableness cannot be established merely by showing that the cedent's allocation for reinsurance purposes is the same as the allocation that the cedent and the insurance claimants actually adopted in settling the underlying insurance claims. The fact that they did adopt it does not prove that they would have, or reasonably could have, adopted it if reinsurance did not exist.

#### **Insurance — Reinsurance — "Follow the Settlements" Clause — Reasonableness of Allocation Decision**

2. In an action in which plaintiff insurance company, having settled asbestos claims for nearly a billion dollars, sought to recover a share of its settlement payment from defendant reinsurers under a "follow the settlements" clause,

the reasonableness of the assumption that all of the settlement amount was attributable to claims within the policy limits, and nothing to the claims that plaintiff had acted in bad faith when it refused to defend its insured's successor in the underlying litigation, presented issues of fact sufficient to defeat plaintiff's motion for summary judgment. It could have been found that plaintiff faced a significant risk of an adverse verdict on the bad faith claims, and that plaintiff, in allocating the settlement, assigned inflated values to claims other than the bad faith claims—i.e., to claims that were covered in part by reinsurance. In addition, although the people who negotiated the settlement of the coverage litigation all agreed that the settlement gave no value to the bad faith claims, a demand made shortly before the settlement did include such value. Finally, the parties to the settlement persuaded a bankruptcy court to approve a plan of reorganization for the insured's successor based on the settlement, partly on the ground that the bad faith claims had significant value. Accordingly, it was impossible to conclude, as a matter of law, that parties bargaining at arm's length, in a situation where reinsurance was absent, could reasonably have given no value to the bad faith claims.

**Insurance — Reinsurance — “Follow the Settlements” Clause — Reasonableness of Allocation Decision**

3. In an action in which plaintiff insurance company, having settled asbestos claims for nearly a billion dollars, sought to recover a share of its settlement payment from its reinsurers under a “follow the settlements” clause, the reasonableness of the assumption that claims made by claimants with lung cancer had a value of \$200,000 each, while certain other claims had values of \$50,000 or less, presented issues of fact sufficient to defeat plaintiff's motion for summary judgment. Under the policies with its insured, plaintiff could be liable for no more than \$200,000 to each claimant; and under the reinsurance treaties between plaintiff and defendant reinsurers, the amount exceeding \$100,000 of each loss was defendants' responsibility. The claims for the most serious disease, mesothelioma, were reasonably valued above the \$200,000 cap, but plaintiff also valued each claim by a claimant suffering from lung cancer at \$200,000—thus allocating the maximum payment to each such claim. At an earlier stage of the coverage litigation, however, an expert retained by the asbestos claimants estimated the liability of plaintiff's insured's successor for each lung cancer claim at \$91,174. Accordingly, a fact-finder could conclude that the lung cancer claims were priced at an unreasonably high level, and included value that should have been attributed to the so called “bad faith” claims against plaintiff that were not covered by reinsurance. Another possible inference was that claims falling below the reinsurers' \$100,000 retention amount were undervalued. Plaintiff's allocation assigned values of \$50,000, \$20,000 and \$20,000 to the claims of sufferers from asbestosis, pleural thickening and “other cancer,” respectively. Whether the values assigned to lung cancer, asbestosis, pleural thickening and other cancer claims could reasonably have been agreed on in arm's length bargaining in the absence of reinsurance presented an issue of fact.

**Insurance — Reinsurance — “Follow the Settlements” Clause — Reasonableness of Allocation Decision**

4. In an action in which plaintiff insurance company, having settled asbestos claims for nearly a billion dollars, sought to recover a share of its settlement payment from its reinsurers under a “follow the settlements” clause, summary judgment in plaintiff's favor was properly granted as to plaintiff's allocation of all of the losses encompassed in the settlement to a single insurance



policy, which was to the advantage of plaintiff and the disadvantage of defendant reinsurers. There was no evidence in the record from which a factfinder could conclude that such allocation was unreasonable. Plaintiff did its allocation on the assumption that California courts deciding the coverage issue with respect to the policies issued by plaintiff would follow the rules referred to as “continuous trigger,” “all sums” and “no stacking.” The “all sums” rule, which is that all of the damages from an injury suffered continuously for a period in which several policies are applicable may be attributed to any policy that was in effect during the period in which the injury was suffered, was accepted in California at the time of the coverage litigation. The “no stacking” rule, also viable in California at the time of the coverage litigation, means that a claimant suffering a continuous injury spanning multiple policies must pick one policy; he or she is not entitled to recover under every policy that could be triggered. Defendants could not complain about that rule, which significantly limited the total obligation of defendants as well as plaintiffs. The “continuous trigger” rule is that when a continuous injury spanning multiple policies is suffered, coverage under all of the policies is triggered. Whether that rule would apply to an “accident-based” policy as opposed to an “occurrence-based” policy under California law at the time of the coverage litigation was not clear, so it would not have been unreasonable for parties bargaining at arm’s length in the absence of reinsurance to expect, at that time, that the California courts would reject a claim that the “accident-based” policies issued by plaintiff did not permit application of the continuous trigger rule. Moreover, the allocation of all losses to one policy year was not prohibited by the “Other Insurance” clause of the policies plaintiff issued to its insured. It was at least reasonable to read the clause as applicable to policies issued by other insurers, not to policies of the same insurer covering other time periods.

#### **Insurance — Reinsurance — Liability of Reinsurer**

5. In an action in which plaintiff insurance company, having settled asbestos claims for nearly a billion dollars, sought to recover a share of its settlement payment from defendant reinsurers, the evidence of a retroactive amendment to the applicable reinsurance treaty to increase the retention per loss to an amount far more than any loss for which plaintiff could have been liable, with the result that defendants would have no liability to plaintiff, was insufficient to raise an issue of fact. There was no evidence of any written endorsement or amendment to alter the retention on the treaty in issue, though such endorsements existed for later treaties. It was highly unlikely that an agreement of such importance between such sophisticated parties would be orally amended, without any writing being issued for the purpose of confirming the amendment. Defendants relied on evidence showing at most that certain representatives of the parties thought that they would agree, or mistakenly thought that they had agreed, to increase the retention for the period in question. The proof offered by plaintiff that no such increase was ever finally agreed to stood without any refutation of substance.

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#### **RESEARCH REFERENCES**

By the Publisher’s Editorial Staff

AM JUR 2d, Insurance §§ 1809, 1810, 1817, 1819, 1822, 1823.

COUCH ON INSURANCE (3d ed) §§ 9:10, 9:13, 9:18, 9:24–9:27, 9:31.

NY JUR 2d, Insurance §§ 2372, 2375, 2377, 2380, 2383.

#### ANNOTATION REFERENCE

See ALR Index under Insurance and Insurance Companies; Reinsurance.

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Query: reinsur! & follow /3 settlement /2 clause & allocation

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#### POINTS OF COUNSEL

*Wachtell, Lipton, Rosen & Katz*, New York City (*Herbert M. Wachtell*, *Ben M. Germana* and *Michael J. McDuffie* of counsel), for American Re-Insurance Company, appellant. I. The Appellate Division erred in upholding summary judgment for United States Fidelity & Guaranty Company based upon an overbroad and erroneous legal interpretation of the follow the fortunes doctrine. (*Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd's of London*, 96 NY2d 583; *Allstate Ins. Co. v American Home Assur. Co.*, 43 AD3d 113; *Matter of Union Indem. Ins. Co. of N.Y.*, 89 NY2d 94; *Travelers Cas. & Sur. Co. v Insurance Co. of N. Am.*, 609 F3d 143; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.*, 79 NY2d 576; *North Riv. Ins. Co. v CIGNA Reins. Co.*, 52 F3d 1194; *Insurance Co. v Associated Manufacturers' Corp.*, 70 App Div 69, 174 NY 541; *Christiania Gen. Ins. Corp. of N.Y. v Great Am. Ins. Co.*, 979 F2d 268; *Hartford Acc. & Indem. v Columbia Cas. Co.*, 98 F Supp 2d 251.) II. Reversal of summary judgment is independently required in that there is a triable issue of fact as to whether the parties' conceded retroactive agreement to change the treaty retention level reached back to the years at issue. (*Columbus Trust Co. v Campolo*, 110 AD2d 616, 66 NY2d 701; *Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd's of London*, 96 NY2d 583.)

*Quinn Emanuel Urquhart & Sullivan, LLP*, New York City (*Kathleen M. Sullivan*, *Jane M. Byrne*, *J. Toji Calabro*, *Brad Evan Rosen* and *Cleland B. Welton II* of counsel), and *Boies, Schiller & Flexner, LLP*, Albany (*George F. Carpinello* and *Benjamin D. Battles* of counsel), for Excess Casualty Reinsurance Association and others, appellants. I. Follow the fortunes does not preclude all judicial review of an insurer's allocation of losses to its reinsurer. (*Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd's of London*, 96 NY2d 583; *North Riv.*

*Ins. Co. v CIGNA Reins. Co.*, 52 F3d 1194; *Continental Cas. Co. v Stronghold Ins. Co., Ltd.*, 77 F3d 16; *Allstate Ins. Co. v American Home Assur. Co.*, 43 AD3d 113; *Affiliated F.M. Ins. Co. v Employers Reins. Co.*, 369 F Supp 2d 217; *Hartford Acc. & Indem. v Columbia Cas. Co.*, 98 F Supp 2d 251; *Employers Reins. Corp. v Newcap Ins. Co., Ltd.*, 209 F Supp 2d 1184; *American Employers' Ins. Co. v Swiss Reins. Am. Corp.*, 413 F3d 129; *Travelers Cas. & Sur. Co. v Insurance Co. of N. Am.*, 609 F3d 143; *Dalton v Educational Testing Serv.*, 87 NY2d 384.) II. Summary judgment for United States Fidelity & Guaranty Company was improper because the reinsurers raised material disputes of fact as to whether United States Fidelity & Guaranty Company's post-settlement allocation was made in good faith. (*Negri v Stop & Shop*, 65 NY2d 625; *F. Garofalo Elec. Co. v New York Univ.*, 300 AD2d 186; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Christiania Gen. Ins. Corp. of N.Y. v Great Am. Ins. Co.*, 979 F2d 268; *Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd's of London*, 96 NY2d 583; *Allstate Ins. Co. v American Home Assur. Co.*, 43 AD3d 113; *Hartford Acc. & Indem. v Columbia Cas. Co.*, 98 F Supp 2d 251; *Pavia v State Farm Mut. Auto. Ins. Co.*, 82 NY2d 445; *Bellefonte Reins. Co. v Aetna Cas. & Sur. Co.*, 903 F2d 910; *Matter of Midland Ins. Co.*, 87 AD3d 487.) III. Summary judgment for United States Fidelity & Guaranty Company was improper because there are material disputes of fact as to the amount of the retention in the applicable reinsurance treaty years. (*Gulf Ins. Co. v Transatlantic Reins. Co.*, 69 AD3d 71; *Federal Ins. Co. v Americas Ins. Co.*, 258 AD2d 39; *Webster's Red Seal Publs. v Gilberton World-Wide Publs.*, 67 AD2d 339; *Koester v Rochester Candy Works*, 194 NY 92; *Navedo v 250 Willis Ave. Supermarket*, 290 AD2d 246; *Gian-dana v Providence Rest Nursing Home*, 32 AD3d 126, 8 NY3d 859; *Matter of Anthus v Rail Joint Co.*, 193 App Div 571; *Reed v McCord*, 160 NY 330; *Nemeroff v Coby Group*, 54 AD3d 649.)

*Simpson Thacher & Bartlett LLP*, New York City (Mary Kay Vyskocil, Chet A. Kronenberg, Ryan A. Kane and Jonathan M. Weiss of counsel), for respondents. I. The court should reject appellants' attempt to distort the follow the fortunes doctrine beyond recognition and denude it of any force and effect. (*Allstate Ins. Co. v American Home Assur. Co.*, 43 AD3d 113; *Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd's of London*, 96 NY2d 583; *International Surplus Lines Ins. Co. v Certain Underwriters & Underwriting Syndicates at Lloyd's of London*, 868 F Supp 917; *Commercial Union Ins. Co. v Seven Provinces Ins. Co., Ltd.*, 9 F Supp 2d 49, 217 F3d 33; *Travelers Cas. & Sur. Co.*

*v Gerling Global Reins. Corp. of Am.*, 419 F3d 181; *North Riv. Ins. Co. v Ace Am. Reins. Co.*, 361 F3d 134; *National Union Fire Ins. Co. of Pittsburgh, PA v American Re-Ins. Co.*, 441 F Supp 2d 646; *Granite State Ins. Co. v ACE Am. Reins. Co.*, 46 AD3d 436; *Mentor Ins. Co. [U.K.] Ltd. v Brannkasse*, 996 F2d 506; *Champion Intl. Corp. v Continental Cas. Co.*, 400 F Supp 978, 546 F2d 502.) II. The decisions by United States Fidelity & Guaranty Company that appellants denominate “post-settlement allocation decisions” were *all* integral to the settlement itself and under follow the fortunes principles may not be second-guessed. (*International Surplus Lines Ins. Co. v Certain Underwriters & Underwriting Syndicates at Lloyd’s of London*, 868 F Supp 917; *North Riv. Ins. Co. v Ace Am. Reins. Co.*, 361 F3d 134; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.*, 79 NY2d 576; *Granite State Ins. Co. v ACE Am. Reins. Co.*, 46 AD3d 436.) III. All parties to the settlement have sworn that the settlement did not encompass any amounts on account of bad faith and appellant reinsurers have no evidence to contradict this indisputable fact. (*National Union Fire Ins. Co. of Pittsburgh, PA v American Re-Ins. Co.*, 441 F Supp 2d 646; *Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd’s of London*, 96 NY2d 583; *North Riv. Ins. Co. v CIGNA Reins. Co.*, 52 F3d 1194; *Aetna Cas. & Sur. Co. v Home Ins. Co.*, 882 F Supp 1328; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.*, 79 NY2d 576; *Peerless Ins. Co. v Inland Mut. Ins. Co.*, 251 F2d 696; *Grullon v City of New York*, 297 AD2d 261; *American Ins. Co. v North Am. Co. for Prop. & Cas. Inc.*, 697 F2d 79; *Commercial Union Ins. Co. v Seven Provinces Ins. Co., Ltd.*, 9 F Supp 2d 49; *Liberty Mut. Ins. Co. v Rotches Pork Packers, Inc.*, 969 F2d 1384.) IV. Appellant reinsurers’ complaints about United States Fidelity & Guaranty Company’s allocation of the losses to the 1959 treaty year is an improper attempt to dissect the settlement itself and is without merit. (*Travelers Cas. & Sur. Co. v Gerling Global Reins. Corp. of Am.*, 419 F3d 181; *Allstate Ins. Co. v American Home Assur. Co.*, 43 AD3d 113; *National Union Fire Ins. Co. of Pittsburgh, PA v American Re-Ins. Co.*, 441 F Supp 2d 646; *Commercial Union Ins. Co. v Seven Provinces Ins. Co., Ltd.*, 9 F Supp 2d 49; *Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd’s of London*, 96 NY2d 583; *North Riv. Ins. Co. v Ace Am. Reins. Co.*, 361 F3d 134; *Aetna Cas. & Sur. Co. v Home Ins. Co.*, 882 F Supp 1328; *Simplexdiam, Inc. v Brockbank*, 283 AD2d 34; *In re Prudential Lines Inc.*, 158 F3d 65; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.*, 79 NY2d 576.) V. Appellants cannot avoid their

indemnification obligations simply because United States Fidelity & Guaranty Company, like appellant reinsurers, sought to determine its potential net exposure prior to entering into the settlement. (*Travelers Cas. & Sur. Co. v Insurance Co. of N. Am.*, 609 F3d 143; *Insurance Co. v Associated Manufacturers' Corp.*, 70 App Div 69; *Travelers Cas. & Sur. Co. v Gerling Global Reins. Corp. of Am.*, 419 F3d 181.) VI. Appellants' argument that the parties orally agreed to increase the retention amount in the treaty—made for the first time six years into this litigation—is baseless and contrary to appellants' own pleading. (*W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Stevens & Thompson Paper Co., Inc. v Niagara Mohawk Power Corp.*, 49 AD3d 1011; *Stroll v Epstein*, 818 F Supp 640; *Chimart Assoc. v Paul*, 66 NY2d 570; *Matter of Union Indem. Ins. Co. of N.Y.*, 162 AD2d 398; *George Backer Mgt. Corp. v Acme Quilting Co.*, 46 NY2d 211; *Resort Sports Network Inc. v PH Ventures III, LLC*, 67 AD3d 132.)

*Freeborn & Peters LLP*, Chicago, Illinois (*Thomas R. Fawkes* of counsel), for Reinsurance Association of America, amicus curiae. I. Follow the fortunes is a key reinsurance doctrine with carefully defined scope of application. (*Matter of Union Indem. Ins. Co. of N.Y.*, 89 NY2d 94; *Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd's of London*, 96 NY2d 583; *Unigard Sec. Ins. Co. v North Riv. Ins. Co.*, 79 NY2d 576; *Aetna Cas. & Sur. Co. v Home Ins. Co.*, 882 F Supp 1328; *Compagnie de Reassurance d'Ile de France v New England Reins. Corp.*, 944 F Supp 986; *Travelers Cas. & Sur. Co. v Insurance Co. of N. Am.*, 609 F3d 143; *Allstate Ins. Co. v American Home Assur. Co.*, 43 AD3d 113; *Granite State Ins. Co. v ACE Am. Reins. Co.*, 46 AD3d 436; *Hartford Acc. & Indem. v Columbia Cas. Co.*, 98 F Supp 2d 251; *Mentor Ins. Co. [U.K.] Ltd. v Brannkasse*, 996 F2d 506.) II. The Appellate Division misinterpreted and misapplied the follow the fortunes doctrine. (*Affiliated F.M. Ins. Co. v Employers Reins. Co.*, 369 F Supp 2d 217; *Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd's of London*, 96 NY2d 583.) III. The decision below is inconsistent with the purpose of follow the fortunes, creates incentives for misconduct, and presents new risks and uncertainties in the reinsurance industry.

*Goldberg Segalla LLP*, New York City (*James J. Wrynn* of counsel), amicus curiae. I. The follow the fortunes doctrine provides risk transfer certainty. (*North Riv. Ins. Co. v CIGNA Reins. Co.*, 52 F3d 1194; *Sumitomo Mar. & Fire Ins. Co.—U.S. Branch v Cologne Reins. Co. of Am.*, 75 NY2d 295; *Aetna Cas. &*



*Sur. Co. v Home Ins. Co.*, 882 F Supp 1328; *Mentor Ins. Co. [U.K.] v Brannkasse*, 996 F2d 506; *National Union Fire Ins. Co. of Pittsburgh, Pa. v American Re-Insurance Co.*, 351 F Supp 2d 201; *International Surplus Lines Ins. Co. v Certain Underwriters & Underwriting Syndicates at Lloyd's of London*, 868 F Supp 917; *North Riv. Ins. Co. v Ace Am. Reins. Co.*, 361 F3d 134; *National Union Fire Ins. Co. of Pittsburgh, PA v American Re-Ins. Co.*, 441 F Supp 2d 646; *Travelers Cas. & Sur. Co. v Insurance Co. of N. Am.*, 609 F3d 143; *Travelers Cas. & Sur. Co. v Gerling Global Reins. Corp. of Am.*, 419 F3d 181.) II. Commercial certainty and insurer solvency depend upon liberal risk transfer from insurer to reinsurer.

*Reed Smith LLP*, New York City (*John N. Ellison* and *Jill N. Averett* of counsel), and *Amy Bach*, San Francisco, California, for United Policyholders, amicus curiae. I. The purpose of insurance is to insure. (*Matter of Union Indem. Ins. Co. of N.Y.*, 89 NY2d 94.) II. To protect policyholders, primary insurance companies must have prompt access to reinsurance. (*National Union Fire Ins. Co. of Pittsburgh, PA v American Re-Ins. Co.*, 441 F Supp 2d 646; *Travelers Cas. & Sur. Co. v Gerling Global Reins. Corp. of Am.*, 419 F3d 181; *International Surplus Lines Ins. Co. v Certain Underwriters & Underwriting Syndicates at Lloyd's of London*, 868 F Supp 917.) III. Reinsurance companies are not—and should not—be claims handlers. IV. Reinsurers' interpretation of follow the fortunes would discourage settlements and create endless litigation. (*North Riv. Ins. Co. v Ace Am. Reins. Co.*, 361 F3d 134; *Allstate Ins. Co. v American Home Assur. Co.*, 43 AD3d 113; *Travelers Cas. & Sur. Co. v Insurance Co. of N. Am.*, 609 F3d 143.) V. Allegations of bad faith do not on their own allow an inference that the basis of a settlement is bad faith. (*Travelers Cas. & Sur. Co. v Gerling Global Reins. Corp. of Am.*, 419 F3d 181; *Unigard Sec. Ins. Co., Inc. v North Riv. Ins. Co.*, 4 F3d 1049; *North Riv. Ins. Co. v CIGNA Reins. Co.*, 52 F3d 1194; *Commercial Union Ins. Co. v Seven Provinces Ins. Co., Ltd.*, 9 F Supp 2d 49; *Aetna Cas. & Sur. Co. v Home Ins. Co.*, 882 F Supp 1328; *Allstate Ins. Co. v American Home Assur. Co.*, 43 AD3d 113; *Travelers Cas. & Sur. Co. v Insurance Co. of N. Am.*, 609 F3d 143.)

#### OPINION OF THE COURT

SMITH, J.

An insurance company, United States Fidelity & Guaranty Company (USF&G), having settled asbestos claims for nearly a



billion dollars, seeks to recover a share of its settlement payment from its reinsurers. The courts below granted summary judgment for USF&G. We modify the Appellate Division's order to deny summary judgment on two issues, and otherwise affirm.

We conclude, as did the dissenting Justice in the Appellate Division, that there is an issue of fact as to whether USF&G, in allocating the settlement amount, reasonably attributed nothing to the so called "bad faith" claims made against it. We also find a factual issue as to whether certain claims were given unreasonable values for settlement purposes. However, we hold that the courts below correctly rejected the reinsurers' other defenses.

## I

From 1948 or earlier until mid-1960, USF&G was one of the liability insurers of Western Asbestos Company, a distributor of asbestos products. The business of Western Asbestos was taken over in the 1960s by Western MacArthur Company, a subsidiary of Mac Arthur Corporation. (The difference between the subsidiary and the parent is unimportant here, and we will refer to both as "MacArthur.") It was eventually decided that MacArthur was liable for personal injury claims arising out of exposure to the products that Western Asbestos had sold (*Kaminski v Western MacArthur Co.*, 175 Cal App 3d 445, 220 Cal Rptr 825 [1985]). By 1991, such claims had apparently exhausted MacArthur's own insurance coverage, and MacArthur demanded a defense from Western Asbestos's insurers, including USF&G. USF&G refused the demand, and in 1993 MacArthur brought suit in a California state court against USF&G and others to establish the existence of coverage.

USF&G relied principally on two grounds in defense of the coverage litigation. First, in the decades that passed between the issuance of the USF&G policies and the claims made under them, the policies themselves had been lost; USF&G took the position that MacArthur, lacking copies of the policies, could not prove that they had ever been issued. Secondly, USF&G argued that it had, at most, insured only Western Asbestos, not MacArthur, and had no obligation to defend the latter company.

USF&G's first line of defense did not fare well. Although the policies themselves had disappeared, other documents, including the form of policy used by USF&G at the time, and documents showing that Western Asbestos was among its insureds, sufficed to prove both the existence of the policies and their terms. In 2001, more than seven years after the litigation began,

USF&G acknowledged that it had had an insurance relationship with Western Asbestos during the years in question.

But USF&G initially prevailed on its second argument. A California Court of Appeal held in 1997 that MacArthur, though it was liable on claims made against Western Asbestos, did not succeed by operation of law to Western Asbestos's liability insurance (*General Acc. Ins. Co. of Am. v Superior Ct. of Cal., Alameda County*, 55 Cal App 4th 1444, 64 Cal Rptr 2d 781 [1997]). This victory proved hollow, however, because MacArthur obtained an assignment of Western Asbestos's rights, and in 2002 the trial court in the coverage litigation held that USF&G lacked standing to challenge the assignment.

While the coverage litigation wore on, MacArthur's underlying liability to the asbestos claimants grew. After Western Asbestos's insurers refused to defend MacArthur, MacArthur agreed not to oppose the entry of default judgments against it in favor of the asbestos claimants; in exchange the asbestos claimants, hoping for a favorable outcome of the coverage litigation, agreed to refrain from executing against MacArthur on the judgments. According to figures used in settlement negotiations, there were by 2002 more than a thousand such default judgments, totaling \$1.4 billion without interest. MacArthur faced additional risks from pending and possible future claims.

USF&G had not insured the full amount of MacArthur's liability. The policies it issued to Western Asbestos contained "per person" and "per accident" limits in varying amounts; the highest per person limit was \$200,000. But the policies contained no aggregate limit; USF&G could be liable under the policies for any number of separate claims. In addition, MacArthur alleged in the coverage litigation that USF&G had, by refusing to defend the asbestos claimants' lawsuits, breached its implied covenant of good faith and fair dealing. These "bad faith" claims, if successful, could have led to a judgment against USF&G for whatever liability of MacArthur was found to be attributable to USF&G's failure to defend—without regard for policy limits.

The coverage suit went to trial in 2002, and was settled in June of that year, while the trial was in progress. The settlement required USF&G to pay a total of \$975 million to resolve the asbestos claims, plus \$12.3 million in fees to counsel for the asbestos claimants. As part of the settlement, MacArthur was to file for bankruptcy, and a trust was to be created, as authorized

by the Bankruptcy Code, to assume MacArthur’s asbestos-related liabilities (*see* 11 USC § 524 [g] [1], [2] [B] [i] [I]).

Having settled the coverage case, USF&G turned to its reinsurers, defendants in this case, with whom it had entered into a “treaty” of reinsurance applicable to the years 1956 through 1962. The reinsurance was of the type known as “excess of loss”: the reinsurers agreed to pay to USF&G the amount over \$100,000 of any loss occurring during the period covered by the treaty. Since USF&G’s loss in the asbestos litigation could not, under its policies, exceed \$200,000 per claimant, the reinsurers’ liability was in effect capped at \$100,000 per loss. But the reinsurance treaty, like the underlying policies, had no aggregate limit—the reinsurers could be liable for any number of losses, up to \$100,000 each.

USF&G calculated the reinsurers’ obligation to it at approximately \$391 million, a calculation determined by USF&G’s allocation of the settlement payment, which was based on assumptions we will describe below. The reinsurers refused to pay, and this action followed. Some reinsurers have settled with USF&G, but approximately \$262 million (not including interest) remains in dispute.

Supreme Court granted summary judgment to USF&G (2010 NY Slip Op 32441[U] [2010]). The Appellate Division affirmed, with one Justice dissenting on the ground that “[t]here is a genuine triable issue of fact as to whether a portion of the . . . settlement . . . was for bad faith claims” (*United States Fid. & Guar. Co. v American Re-Ins. Co.*, 93 AD3d 14, 27 [1st Dept 2012, Abdus-Salaam, J., dissenting]). The Appellate Division granted the reinsurers leave to appeal, and we now modify the Appellate Division’s order.

## II

The reinsurers’ main arguments are challenges to USF&G’s allocation of the settlement payment—i.e., the amounts that USF&G attributed to each of the claims made against it, and to each of the policies under which the claims were made, when it billed the reinsurers. The reinsurers say that USF&G’s allocation minimizes the burden on itself and maximizes the cost to the reinsurers, and that the reinsurers are not bound by it. To analyze the issues the reinsurers raise, we must first identify some rules of law that govern the allocation of settlement payments for reinsurance purposes.

The reinsurance treaty at issue here contained, as contracts of reinsurance commonly do, what is often referred to as a “follow the fortunes” or “follow the settlements” clause (*see generally* Staring, Law of Reinsurance ch 18 at 407-468 [2012] [hereafter Staring]). We will use the latter term. The follow the settlements clause says:

“All claims in which this reinsurance is involved, when allowed by the Company [USF&G], shall be binding upon the Reinsurers, which shall be bound to pay or allow, as the case may be, their proportion of such loss. It is understood, however, that when so requested, the Company will afford the Reinsurers an opportunity to be associated with the Company, at the expense of the Reinsurers, in the defense of any claim or suit or proceeding involving this reinsurance, and the Company and the Reinsurers shall cooperate in every respect in the defense or control of such claim or suit or proceeding, provided that the Company shall have the right to defend, settle, or compromise any such claim, suit or proceeding, and such action on the part of the Company shall be binding upon the Reinsurers.”

It is well established, and the parties here do not dispute, that a clause like this ordinarily bars challenge by a reinsurer to the decision of a party in USF&G’s position—called in reinsurance jargon the “cedent,” because it has ceded part of its risk to its reinsurers—to settle a case for a particular amount (*see* Staring § 18.6 at 434-447). That rule usually creates little risk of unfairness because, in deciding whether and for how much to settle, the interests of cedent and reinsurer will normally be aligned; both will want the cheapest settlement possible. There are exceptions to this generalization, but they do not concern us here, because the reinsurers do not challenge USF&G’s decision to settle MacArthur’s lawsuit, nor do they assert that USF&G overpaid in the settlement. Rather, they challenge the way the settlement was allocated.

As the reinsurers point out, the application of a follow the settlements clause to allocation decisions raises problems, because in that context the interests of cedent and reinsurer will often conflict. This case can serve as an illustration. Under the reinsurance treaty, the first \$100,000 of every loss must be borne by USF&G, and the second \$100,000 by the reinsurers. If the settlement were allocated entirely to losses amounting to \$100,000 or less, the whole cost would be borne by USF&G and

the reinsurers would pay nothing; but if it were allocated entirely to losses of \$200,000 each, the reinsurers would bear half the cost. Because conflicts of this kind will occur often, the reinsurers argue, cedents' allocation decisions should not bind reinsurers under a follow the settlements clause.

[1] There is logic to this argument, but almost all courts to consider the question have held, and we join them in holding, that a follow the settlements clause does require deference to a cedent's decisions on allocation (*see Travelers Cas. & Sur. Co. v Insurance Co. of N. Am.*, 609 F3d 143, 157-159 [3d Cir 2010] [hereafter *Travelers v INA*] [applying New York law]; *Travelers Cas. & Sur. Co. v Gerling Global Reins. Corp. of Am.*, 419 F3d 181, 186-190 [2d Cir 2005] [hereafter *Gerling*]; *North Riv. Ins. Co. v ACE Am. Reins. Co.*, 2002 WL 506682, \*2-3, 2002 US Dist LEXIS 5536, \*4-9 [SD NY 2002], *affd in relevant part* 361 F3d 134, 139-141 [2d Cir 2004]; *Hartford Acc. & Indem. v Columbia Cas. Co.*, 98 F Supp 2d 251, 258 [D Conn 2000]; *Commercial Union Ins. Co. v Seven Provinces Ins. Co., Ltd.*, 9 F Supp 2d 49, 67-68 [D Mass 1998], *affd* 217 F3d 33 [1st Cir 2000]; *but see Employers Reins. Corp. v Newcap Ins. Co., Ltd.*, 209 F Supp 2d 1184, 1190-1191 [D Kan 2002]; *see generally* Staring § 18:10 at 455-465). As other courts have observed, there seems to be no good alternative to giving a measure of deference to a cedent's allocation decisions. To review each decision *de novo* would invite long litigation over complex issues that courts may not be well equipped to resolve, creating cost and uncertainty and making the reinsurance market less efficient (*see Commercial Union*, 9 F Supp 2d at 67-68; *North Riv.*, 2002 WL 506682, \*3, 2002 US Dist LEXIS 5536, \*7-8; *North Riv.*, 361 F3d at 140-141). Deference to a cedent's decisions makes for a more orderly and predictable resolution of claims.

The language of the follow the settlements clause in this case supports the conclusion that precedent and policy suggest. The words "[a]ll claims . . . when allowed by the Company, shall be binding upon the Reinsurers" imply discretion in the cedent to decide which claims should be considered "allowed," and to what extent. And the clause gives the reinsurers a measure of protection against abuse by allowing the reinsurers to take a role in defending claims and requiring that the cedent and the reinsurers "cooperate in every respect in the defense or control" of claims, while preserving the cedent's right "to . . . settle, or compromise any such claim" by action that "shall be binding upon the Reinsurers." If reinsurers think that they are not

adequately protected by this language, their remedy is to negotiate better terms.

But to say that a cedent's allocation decisions are entitled to deference is not to say that they are immune from scrutiny. Recognizing that the cedent's and the reinsurer's interests will often conflict, courts generally hold that a reinsurer is bound only by a cedent's "good faith" decisions. While that expression might seem to suggest that the cedent's subjective intentions are critical, most decisions also consider reasonableness or some other objective element (see *Commercial Union*, 9 F Supp 2d at 68 [deferring to "good faith and reasonable" allocation]; *Hartford Acc.*, 98 F Supp 2d at 258-260 [rejecting deference if "gross negligence or recklessness" could be shown]; *North Riv.*, 361 F3d at 141 [cedents "must make good-faith allocations"]; *Gerling*, 419 F3d at 191-193 [a cedent may choose among "reasonable allocation possibilities"]; *Travelers v INA*, 609 F3d at 158-159 [allocation must be "legitimate" or "credible"])). This approach is consistent with our own in *Travelers Cas. & Sur. Co. v Certain Underwriters at Lloyd's of London* (96 NY2d 583, 596-597 [2001]), where we held that a follow the settlements clause "does not alter the terms or override the language of reinsurance policies," and rejected a cedent's attempt to "allocate" to certain reinsurance treaties losses that the treaties simply did not cover.

In our view, objective reasonableness should ordinarily determine the validity of an allocation. Reasonableness does not imply disregard of a cedent's own interests. Cedents are not the fiduciaries of reinsurers, and are not required to put the interests of reinsurers ahead of their own. As the Third Circuit put it in *Travelers v INA*:

"[T]o establish a breach of the duty of good faith, it is not sufficient simply to demonstrate that a particular allocation decision increased the insurer's access to reinsurance, at least not where the insurer is able to point to some legitimate (i.e., non-reinsurance-related) reason for the challenged decision" (609 F3d at 158-159).

We mean by "reasonable" essentially what we take the Third Circuit to mean by "legitimate": The reinsured's allocation must be one that the parties to the settlement of the underlying insurance claims might reasonably have arrived at in arm's length negotiations if the reinsurance did not exist.



The Third Circuit said that a cedent's allocation could be rejected if the cedent's allocation was not "credible"—a word seemingly used to mean the same thing as "legitimate" or "reasonable"—or if the cedent "was motivated primarily by reinsurance considerations" (*id.* at 159). We conclude, however, that the cedent's motive should generally be unimportant. When several reasonable allocations are possible, the law, as several courts have recognized, permits a cedent to choose the one most favorable to itself (*see id.*; *Gerling*, 419 F3d at 193 [an "allocation that increases reinsurance recovery . . . would rarely demonstrate bad faith in and of itself"]). We think it unrealistic to expect that the cedent will not be guided by its own interests in making the choice.

But the choice must be a reasonable one, and we also conclude that reasonableness cannot be established merely by showing that the cedent's allocation for reinsurance purposes is the same as the allocation that the cedent and the insurance claimants actually adopted in settling the underlying insurance claims. The fact that they did adopt it does not prove that they would have, or reasonably could have, adopted it if reinsurance did not exist. In this case, the record shows that the allocation USF&G used in billing the reinsurers was one that it discussed and agreed on in negotiations with MacArthur and the asbestos claimants. We reject USF&G's argument that this in itself establishes the validity of the allocation.

Again, we follow what we take to be the view of the Third Circuit in *Travelers v INA*. Like the Third Circuit, "[w]e are reluctant to adopt a rule whereby an insurer could insulate its allocation from challenge by its reinsurer simply by getting its, essentially indifferent, insured to agree to it" (609 F3d at 159 n 25). Indeed, we will put the point more strongly than the Third Circuit did: in many cases claimants and insureds (i.e., those in the position of the asbestos claimants and MacArthur here), far from being indifferent, will enthusiastically support insurers' efforts to fund a settlement at reinsurers' expense. They will do this for the simple reason that insurers, like everyone else, are apt to be more generous with other people's money than their own.

In sum, under a follow the settlements clause like the one we have here, a cedent's allocation of a settlement for reinsurance purposes will be binding on a reinsurer if, but only if, it is a reasonable allocation, and consistency with the allocation used in

settling the underlying claim does not by itself establish reasonableness. We now consider whether USF&G's allocation decisions in this case were reasonable as a matter of law, thus entitling USF&G to the summary judgment that it was granted by the courts below.

### III

The significant, disputed assumptions underlying USF&G's settlement allocation were: (1) that all of the settlement amount was attributable to claims within the limits of USF&G's policies, and none of it to the claims that USF&G acted in bad faith when it refused to defend MacArthur in asbestos litigation; (2) that claims by claimants suffering from lung cancer had a value of \$200,000 each, while certain other claims had values of \$50,000 or less; and (3) that USF&G's entire payment should be attributed to the policy in force in 1959—the last full year in which USF&G was Western Asbestos's liability insurer. We consider whether these assumptions might reasonably have been the basis for an arm's length settlement among the asbestos claimants, MacArthur and USF&G if reinsurance were not in the picture. We conclude that the reasonableness of the first two, but not the third, of these assumptions presents issues of fact.

#### The Bad Faith Claims

The decision to allocate all the settlement to claims within the policy limits, and nothing to the claims for bad faith, worked to USF&G's advantage because the bad faith claims were not covered by reinsurance. The reinsurance treaty covered "loss in connection with each policy" of USF&G in effect at the relevant time; these words, read with a common-sense appreciation of the risks that reinsurers could reasonably be expected to take, must be interpreted to mean losses for which USF&G was liable under its policies—not losses for which it became liable by failing in bad faith to observe the policies' terms (*see* Staring § 18:7 [1] at 447; *National Union Fire Ins. Co. of Pittsburgh, Pa. v Clearwater Ins. Co.*, 2007 WL 2106098, \*2, 2007 US Dist LEXIS 52770, \*4-6 [SD NY 2007]; *American Ins. Co. v North Am. Co. for Prop. & Cas. Ins.*, 697 F2d 79, 81 [2d Cir 1982]).

[2] There is evidence in the record from which a factfinder could conclude that an allocation giving no value to the bad faith claims was unreasonable. The more important features of that evidence may be summarized as follows:

First, it could be found that USF&G faced a significant risk of an adverse verdict on the bad faith claims. It had taken a very

aggressive position in refusing to admit, for almost a decade, that it had ever written liability insurance that covered the asbestos claimants' claims—a position that it abandoned at a late stage of the coverage litigation, in the face of strong proof that coverage existed. It could be found that USF&G knew, well before it admitted, that it did indeed provide such coverage, and that its litigation position was an irresponsible attempt to exploit the fact that, with the passage of time, the policies it issued had disappeared. It could also be found that USF&G's refusal to defend MacArthur resulted in the many large default judgments with which MacArthur was faced.

Admittedly, USF&G had a plausible defense to the bad faith claims. Its refusal to acknowledge the existence of the policies was not its only reason for refusing to defend MacArthur. It also refused on the alternative ground that, even if it insured Western Asbestos, it did not insure MacArthur—and that defense was accepted by the California courts, though it was later nullified by an assignment. It was not until 2002 that the California trial court held the assignment unchallengeable by USF&G—a holding that was even then still subject to appeal. It could hardly be argued that this second ground for refusing to defend MacArthur was not advanced in good faith.

USF&G's argument is, in substance, that since one of its two grounds for refusing to defend was asserted in good faith, the possible bad faith of the other was inconsequential. Perhaps this argument would persuade us, if we were the court adjudicating the bad faith claims, but we are not. The California trial court before whom those claims were pending was evidently not persuaded: it denied USF&G's motion for summary adjudication on the bad faith claims, and also denied, at the outset of the coverage trial, a motion in limine to exclude some evidence thought to be relevant to those claims.

Thus, when the coverage case went to trial, USF&G was faced with the possibility of a jury verdict—possibly a very large one—against it on the bad faith claims, with the uncertain comfort of having a logically persuasive argument that it could assert on appeal. It is a fact of life, well known to insurance companies, that logically persuasive arguments do not always win cases for defendants that juries or courts may think have acted outrageously. It was therefore arguably not reasonable, at the time the coverage litigation was settled, to say that the bad faith claims had no value.

Secondly, it could be found that USF&G, in allocating the settlement, assigned inflated values to claims other than the bad faith claims—i.e., to claims that were covered in part by reinsurance. As we explained above, under its policies with Western Asbestos, USF&G could be liable for no more than \$200,000 to each claimant; and under the reinsurance treaties, the amount exceeding \$100,000 of each loss (i.e., half of each \$200,000 loss) was the reinsurers' responsibility.

In allocating its settlement payment, USF&G classified the claims according to the disease from which the claimant suffered. It seems to be undisputed (and in any event, it is clear from the record) that the claims for the most serious disease, mesothelioma, were reasonably valued above the \$200,000 cap. But USF&G also valued each claim by a claimant suffering from lung cancer at \$200,000—thus allocating the maximum payment to each such claim. According to affidavits submitted in this case, this allocation was agreed to, in the settlement negotiations, by MacArthur and the asbestos claimants; but we do not, for the reasons we explained above (at 421-422), assign dispositive weight to their agreement. At an earlier stage of the coverage litigation, an expert retained by the asbestos claimants estimated MacArthur's liability for each lung cancer claim at \$91,174. It is unusual for claims to be settled for more than twice what the claimant's expert has asserted they are worth. A factfinder could conclude that the lung cancer claims were priced at an unreasonably high level, and included value that should have been attributed to the bad faith claims.

Thirdly, while the people who negotiated the settlement of the coverage litigation all agreed that the settlement gave no value to the bad faith claims, a demand made shortly before the settlement did include such value. A proposal by MacArthur's counsel on April 19, 2002 suggested a payment of \$1.953 billion by USF&G, of which \$167 million was ascribed to "Bad faith tort measures of liability." The settlement agreement signed seven weeks later was for \$975 million (plus attorneys' fees)—almost exactly half the MacArthur demand. A factfinder might infer that this was a simple 50% settlement, and that therefore \$83.5 million of it—a relatively small part of the total, but considerably more than zero—was attributable to the bad faith claims.

Fourthly, the parties to the settlement persuaded a bankruptcy court to approve a plan of reorganization based on the settlement, partly on the ground that the bad faith claims had

significant value. To obtain court approval, the proponents of the plan had to show, among other things, that the contribution of the debtors, Western Asbestos and MacArthur, to the settlement was “fair and equitable . . . in light of the benefits provided, or to be provided” on the debtors’ behalf (11 USC § 524 [g] [4] [B] [ii]). The debtors claimed, and the Bankruptcy Court agreed, that the debtors’ bad faith claims against USF&G, which they surrendered in the settlement, were part of the “benefits provided.” The Bankruptcy Court found that the claims had “great settlement value”; it did not value them, but remarked that they were significant even if they “represent only ten percent of the settlement amount.”

When the confirmation of the plan was appealed to the United States District Court, the debtors submitted a brief, joined by USF&G in relevant part, saying that the debtors’ contributions included their “valuable rights of action for bad faith . . . against their insurers.” The reinsurers do not argue, and we do not imply, that USF&G is estopped or otherwise barred from taking an inconsistent position now. But the position it did take, successfully, in the bankruptcy proceedings would be admissible against it on the issue of whether its allocation of nothing to the bad faith claims for reinsurance purposes was reasonable.

In short, we find it impossible to conclude, as a matter of law, that parties bargaining at arm’s length, in a situation where reinsurance was absent, could reasonably have given no value to the bad faith claims. This issue must be decided at trial.

#### The Relative Valuation of Lung Cancer and Other Claims

There is, as we have explained, evidence from which a factfinder could conclude that the \$200,000 value assigned by USF&G to the claims against MacArthur by claimants with lung cancer was unreasonably high (at 424). As our discussion above shows, a possible inference is that some of this value should properly have been attributed to the bad faith claims; but another possible inference is that claims falling below the reinsurers’ \$100,000 retention amount were undervalued. USF&G’s allocation assigned values of \$50,000, \$20,000 and \$20,000 to the claims of sufferers from asbestosis, pleural thickening and “other cancer,” respectively. If some of the value attributed to the lung cancer claims were reassigned to these less serious claims, the result would be to decrease the reinsurers’ liability. For example, if (to use values chosen arbitrarily) the lung cancer claims were reduced to \$100,000 each, while the

values given the claims for the three other diseases were doubled, the result would be no reinsurance coverage for any claims in these four categories.

[3] Whether the values assigned to lung cancer, asbestosis, pleural thickening and other cancer claims could reasonably have been agreed on in arm's length bargaining in the absence of reinsurance presents an issue of fact.

The Allocation to the 1959 Policy

[4] The allocation of all of the losses encompassed in the settlement to a single insurance policy, the 1959 policy, was also to the advantage of USF&G and the disadvantage of the reinsurers. If the claims had been prorated over the many policy years in which claimants were exposed to asbestos, few if any losses would have exceeded the \$100,000 retention in the reinsurance treaty, and thus the reinsurers would have largely or wholly escaped liability. We see no evidence, however, from which a factfinder could infer that this aspect of USF&G's allocation was unreasonable.

Courts have long struggled with the insurance coverage problems presented by injuries that, like those suffered by people exposed to asbestos, occur gradually, over a period of years in which several liability insurance policies are successively in force. Rules to deal with such problems have been developed, and which policy or policies will apply often depends on which rules are invoked. Here, USF&G did its allocation on the assumption that California courts would follow the rules sometimes referred to as "continuous trigger," "all sums" and "no stacking."

The continuous trigger rule is that, when an injury is suffered continuously for a period in which several policies are applicable, coverage under all of the policies is triggered (*see Montrose Chem. Corp. of Cal. v Admiral Ins. Co.*, 10 Cal 4th 645, 913 P2d 878 [1995]). The all sums rule is that all of the damages from such an injury may be attributed to any policy that was in effect during the period in which the injury was suffered (*see Armstrong World Indus., Inc. v Aetna Cas. & Sur. Co.*, 45 Cal App 4th 1, 49-50, 52 Cal Rptr 2d 690, 705-707 [1996]). And no stacking means, in substance, that the claimant must pick one policy; he or she is not entitled to recover under every policy that could be triggered, thus adding or "stacking" the policy limits to produce a larger recovery (*see FMC Corp. v Plaisted & Cos.*, 61 Cal App 4th 1132, 1189-1191, 72 Cal Rptr 2d 467, 502-504 [1998]). Applied to this case, these rules mean that the



asbestos claimants could have chosen any one of the policies that USF&G issued to Western Asbestos, and attributed all their injuries to that policy. It is not disputed that, given that choice, they would have picked the 1959 policy, for there is no policy with higher policy limits, and all claimants who were exposed to asbestos in 1959 or earlier could claim to have suffered some injury in that year.

The reinsurers complain of USF&G's adoption of all three of these rules for allocation purposes. As to all sums and no stacking we find their objections plainly lacking in merit. At least the *Armstrong World Indus.* case clearly held that the all sums approach was accepted in California, and the reinsurers cite no authority contrary to that decision. And we do not understand how the reinsurers can complain of the no stacking rule, which significantly limited both USF&G's and the reinsurers' total obligation. Indeed, in light of the California Supreme Court's recent approval of stacking (*see State of California v Continental Ins. Co.*, 55 Cal 4th 186, 281 P3d 1000 [2012] [overruling the *FMC* case]), it seems that the reinsurers were lucky that the settlement occurred while the no stacking rule was still viable in California.

The application of the continuous trigger rule requires more discussion. The California Supreme Court held in *Montrose* that that rule applied to policies obligating the insurer to pay damages "caused by an occurrence," where "occurrence" was defined as "an accident, including continuous or repeated exposure to conditions" (10 Cal 4th at 656, 913 P2d at 881). The reasoning of the *Montrose* court is tied to the precise wording of the policies (*see* 10 Cal 4th at 669-689, 913 P2d at 890-904). The policies USF&G issued to Western Asbestos, which were on a form older than the one at issue in *Montrose*, insured against liability for injuries caused by "accident," but "accident" was not defined, and the policies made no reference to "continuous or repeated exposure." It could be argued—and USF&G did argue, during the negotiations for settlement of the coverage litigation—that these older, "accident-based" policies did not permit application of the continuous trigger rule. Indeed, a California case decided after USF&G settled the coverage litigation, *Lockheed Corp. v Continental Ins. Co.* (134 Cal App 4th 187, 208, 35 Cal Rptr 3d 799, 814 [2005]), rejected the continuous trigger rule; that case involved another older form of policy, which the court described as "accident-based."

It was not unreasonable to believe in 2002, however, that USF&G's attempt to distinguish "occurrence-based" from

“accident-based” policies would not succeed. Before the *Lockheed* decision, the distinction was by no means so well established as the reinsurers now claim (see *Aerojet-General Corp. v Transport Indem. Co.*, 17 Cal 4th 38, 56 n 9, 948 P2d 909, 919 n 9 [1997] [“As pertinent here, the difference in words (between ‘accident’ and ‘occurrence’ policies) does not reflect any difference in substance”]). The Third Circuit had said, in 1991, that the insurance industry’s transition from accident-based to occurrence-based coverage in the 1960s was merely a recognition of what was already “prevailing case law” (*New Castle County v Hartford Acc. & Indem. Co.*, 933 F2d 1162, 1196 [3d Cir 1991]). The *New Castle* court remarked that a narrow definition of “accident” which would not include gradual damage had been “roundly rejected by the judiciary” (*id.*). We see no basis for concluding that it would have been unreasonable for parties bargaining at arm’s length in the absence of reinsurance to expect, in 2002, that the California courts would reject a similar argument.

The reinsurers also argue that the “Other Insurance” clause of the policies USF&G issued to Western Asbestos forbade the allocation of all losses to one policy year. That clause says:

“If the Insured has other insurance against a loss covered by this policy the Company shall not be liable under this policy for a greater proportion of such loss than the applicable limit of liability stated in the declarations bears to the total applicable limit of liability of all valid and collectible insurance against such loss.”

The reinsurers’ argument is that each of USF&G’s policies in force during any of the years at issue here was “other insurance” with respect to the other policies, and so must bear a pro rata share of each loss. The argument is without merit. It was and is at least reasonable to read the clause as applicable to policies issued by other insurers, not to policies of the same insurer covering other time periods (see *Dart Indus., Inc. v Commercial Union Ins. Co.*, 28 Cal 4th 1059, 1078-1080, 52 P3d 79, 92-93 [2002]). The reinsurers cite no authority in support of their reading.

As to the allocation of all losses to the 1959 policy year, summary judgment in USF&G’s favor was properly granted.

#### IV

[5] In addition to challenging USF&G’s allocation, the reinsurers argue in the alternative that they have no liability to

USF&G because the applicable reinsurance treaty was retroactively amended to increase the retention per loss to \$3,000,000, far more than any loss for which USF&G could have been liable. We find the evidence of this alleged amendment insufficient to raise an issue of fact.

There is no evidence of any written endorsement or amendment to alter the retention on the treaty in issue here, though such endorsements exist for later treaties, covering the years 1962 and afterwards. The suggestion that an agreement of such importance between such sophisticated parties would be orally amended, without any writing being issued for the purpose of confirming the amendment, is a highly unlikely one. The reinsurers rely on evidence showing at most that certain representatives of the parties thought that they would agree, or mistakenly thought that they had agreed, to increase the retention for years preceding 1962. The proof offered by USF&G that no such increase was ever finally agreed to stands without any refutation of substance.

. . .

The reinsurers' other arguments are without merit.

Accordingly, the order of the Appellate Division should be modified, without costs, to grant USF&G's motion for summary judgment in part and to deny it in part in accordance with this opinion, and as so modified affirmed, and the certified question should not be answered on the ground that it is unnecessary.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and PIGOTT concur.

Order modified, without costs, in accordance with the opinion herein and, as so modified, affirmed, and certified question not answered upon the ground that it is unnecessary.

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[986 NE2d 430, 963 NYS2d 613]

RUBIN SCHRON et al., Plaintiffs, v TROUTMAN SANDERS LLP et al., Defendants.

MICH II HOLDINGS LLC et al., Plaintiffs, and SVCARE HOLDINGS, LLC, Appellant, v RUBIN SCHRON et al., Defendants, and CAMMEBY'S EQUITY HOLDINGS LLC, Respondent.

Argued January 10, 2013; decided February 14, 2013

### SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered May 22, 2012. The Appellate Division order, insofar as appealed from, affirmed an order of the Supreme Court, New York County (James A. Yates, J.; op 32 Misc 3d 231 [2011]), which had granted defendant Cammeby's Equity Holdings LLC's motions to exclude certain parol evidence and to dismiss the fifteenth cause of action seeking a declaration that the unit purchase option agreement was void.

*Schron v Troutman Sanders LLP*, 97 AD3d 87, affirmed.

### HEADNOTES

#### Appeal — Academic and Moot Questions

1. Plaintiff's appeal challenging the validity of an option contract, in which plaintiff sought to introduce parol evidence to show that consideration for the option contract included a separate loan agreement and the loan was never funded, was not rendered moot by a Supreme Court ruling in a separate related action determining that the loan had been fully funded. A case is moot when the rights of the parties cannot be affected by the determination of the appeal. The ruling of the trial court in the related action was pending on appeal. If the appellate court were to reverse that ruling or remit for a new trial, the rights of the parties could possibly be affected by the outcome of this appeal.

#### Evidence — Parol Evidence — Consideration for Option to Purchase

2. An option agreement between plaintiff and defendant, which described the consideration for the option as "the mutual covenants and agreements hereinafter set forth, and other good and valuable consideration (the receipt and adequacy of which is hereby acknowledged by the Parties)" and which contained a merger clause stating that the option agreement was a fully integrated document superseding all other understandings, was a valid and enforceable contract and plaintiff was precluded from introducing parol evidence to show that "other good and valuable consideration" included a separate loan obligation involving different parties and that the loan was never funded. A written agreement that is complete, clear and unambiguous on its face must be enforced according to the plain meaning of its terms. Parol evidence is admissible only if a court finds an ambiguity in the contract and is

generally not admissible to alter or add a provision to a written agreement. Moreover, the existence of a merger clause requires full application of the parol evidence rule to bar the introduction of extrinsic evidence to vary or contradict the terms of the writing. Here, the option agreement unambiguously provided that the mutually beneficial covenants constituted the consideration. The commonplace recital of “other good and valuable consideration” did not render the agreement ambiguous or incomplete. Had the parties, who were sophisticated, counseled business entities, intended to make the loan payment a condition to the enforceability of the option, they could have easily included a provision to that effect. The option did not even mention the existence of the loan agreement. Thus, the importation of the separate loan obligation would impermissibly alter the writing in violation of the parol evidence rule and would negate the merger clause.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 596–599, 605; AM JUR 2d, Contracts §§ 328–331, 379, 507, 518; AM JUR 2d, Statute of Frauds §§ 180, 181, 186; AM JUR 2d, Vendor and Purchaser §§ 27, 39, 40.

CARMODY-WAIT 2d, Appeals in General §§ 70:332, 70:336.

NY JUR 2d, Appellate Review §§ 543, 563, 638; NY JUR 2d, Contracts §§ 66, 208–211, 220, 223, 255; NY JUR 2d, Frauds, Statute of §§ 141–143; NY JUR 2d, Real Property Sales and Exchanges §§ 28–30.

NEW YORK REAL PROPERTY SERVICE §§ 16:15, 16:79.

SIEGEL, NY PRAC § 525.

WILLISTON ON CONTRACTS (4th ed) §§ 29:41, 29:42, 29:46; 30:2–30:6.

### ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Contracts; Frauds, Statute of; Moot and Abstract Matters; Options; Sale and Transfer of Property.

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### POINTS OF COUNSEL

*Zuckerman Spaeder LLP*, New York City (*Paul Shechtman* and *Christina P. Skinner* of counsel), for appellant. Parol evidence is admissible to give content to the words “other good and valuable consideration.” (*Ronnen v Ajax Elec. Motor Corp.*,

88 NY2d 582; *Greenfield v Philles Records*, 98 NY2d 562; *Boghossian v SCS Props.*, 299 AD2d 693; *McCreary Co. v People*, 267 NY 37; *Diamond v Scudder*, 45 AD3d 630; *Baker v Higgins*, 21 NY 397; *O'Neil Supply Co. v Petroleum Heat & Power Co.*, 280 NY 50; *Rudman v Cowles Communications*, 30 NY2d 1; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Reed v Insurance Co.*, 95 US 23.)

*Dechert LLP*, New York City (Andrew J. Levander and Steven A. Engel of counsel), for respondent. I. The subsequent trial moots this appeal. (*City of New York v Maul*, 14 NY3d 499; *Matter of Hearst Corp. v Clyne*, 50 NY2d 707; *People v Payne*, 88 NY2d 172; *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *Matter of Anonymous v New York City Health & Hosps. Corp.*, 70 NY2d 972; *People v Hecker*, 15 NY3d 625.) II. Leonard Grunstein, Murray Forman, and SVCare Holdings, LLC may not appeal the nonfinal order. (*Burke v Crosson*, 85 NY2d 10.) III. The First Department correctly held that the option agreement, as a fully integrated and unambiguous contract, may not be modified through extrinsic evidence. (*Matter of Primex Intl. Corp. v Wal-Mart Stores*, 89 NY2d 594; *Jarecki v Shung Moo Louie*, 95 NY2d 665; *Braten v Bankers Trust Co.*, 60 NY2d 155; *Ronnen v Ajax Elec. Motor Corp.*, 88 NY2d 582; *Torres v D'Alesso*, 80 AD3d 46; *Levey v Saphier*, 83 Misc 2d 146; *Boghossian v SCS Props.*, 299 AD2d 693; *Holt v Feigenbaum*, 52 NY2d 291; *Loika v Howard*, 103 AD2d 874; *Weiner v McGraw-Hill, Inc.*, 57 NY2d 458.) IV. Any ambiguities in the SVCare option must be construed against the conflict-ridden attorneys who drafted it. (*Eastside Exhibition Corp. v 210 E. 86th St. Corp.*, 18 NY3d 617; *151 W. Assoc. v Printsiples Fabric Corp.*, 61 NY2d 732; *Shaw v Manufacturers Hanover Trust Co.*, 68 NY2d 172; *Schlanger v Flaton*, 218 AD2d 597; *Shapiro v Glens Falls Ins. Co.*, 39 NY2d 204; *Hemsley v Pannick*, 131 AD2d 940.)

#### OPINION OF THE COURT

GRAFFEO, J.

In this case, we conclude that the option contract at issue is valid and enforceable and that the optionor may not introduce parol evidence to import a separate obligation as consideration for the agreement. We therefore affirm the order of the Appellate Division.

Leonard Grunstein and Murray Forman manage and indirectly own plaintiff SVCare Holdings LLC (SVCare), which operates nursing homes through a subsidiary. Rubin Schron, a real



estate investor, controls a number of entities, including defendant Cammeby's Equity Holdings LLC (Cam Equity).<sup>1</sup> For years, Grunstein was Schron's attorney and Forman was his investment banker.

In 2004, Grunstein and Forman sought Schron's participation in the acquisition of Mariner Health Care, Inc., a publicly held company engaged in the nursing home business.<sup>2</sup> Schron agreed to finance the \$1.3 billion purchase of Mariner; Grunstein and Forman did not contribute any funds to the buyout. The deal was structured to provide that Schron, through a corporate entity (SMV Property Holdings LLC), would own the underlying real estate and a separate company would manage the facilities. SVCare and its operating subsidiary, SavaSeniorCare LLC (Sava), were formed to carry out the operating and administrative functions. In other words, Schron's company was to hold title to the properties and Grunstein's and Forman's companies (SVCare and Sava) were to manage the nursing homes.

The transaction closed in December 2004 and involved two written agreements relevant to this appeal, both of which were amended in June 2006.<sup>3</sup> First, Cam Equity (the Schron entity) received an option to acquire 99.999% of the membership units of SVCare. The consideration given by Cam Equity to SVCare for the option was described in the contract as "the mutual covenants and agreements hereinafter set forth, and other good and valuable consideration (the receipt and adequacy of which is hereby acknowledged by the Parties)." Under the terms of the agreement, Cam Equity had until June 2011 to exercise the option at the strike price of \$100 million. In the event that Cam Equity exercised the option but later sold the company, the contract specified that Cam Equity could retain no more than \$400 million of the sale proceeds, with any remaining moneys to be assigned to SVCare. The option agreement also contained a merger clause, which stated:

"This Agreement contain[s] the entire agreement and understanding of the Parties . . . and supersedes and completely replaces all prior and other

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1. Although there are many parties to this litigation, only two are before us on this appeal—plaintiff SVCare and defendant Cam Equity.

2. Mariner's assets included 170 skilled nursing facilities that it owned and operated.

3. The parties agree that the 2006 documents are the relevant agreements.

representations, warranties, promises, assurances and other agreements and understandings (whether written, oral, express, implied or otherwise) among the Parties with respect to the matters contained in this Agreement.”

The second pertinent contract related to the Mariner transaction was a loan agreement under which another of Schron’s entities—Cammeby’s Funding III LLC (Cam III)—agreed to lend \$100 million to SVCare for the purpose of capitalizing its subsidiary, Sava. The loan agreement and the option contract were executed on the same date in December 2004 and amended on the same day in June 2006 as part of a refinancing of the Mariner transaction. At some point after the refinancing, the relationship between the parties deteriorated.

In anticipation that Cam Equity would exercise the option, Grunstein, Forman and their related companies (including SVCare) commenced this action in March 2010 under the caption *Mich II Holdings LLC v Schron*.<sup>4</sup> The only claim relevant to this appeal is the fifteenth cause of action in the complaint, wherein SVCare alleges that the option is unenforceable because the consideration underlying its agreement to offer the option was contingent on Cam III loaning it \$100 million, which SVCare claims was never paid.

Despite the pending litigation, Cam Equity gave written notice to SVCare of its intent to exercise the option in June 2010. When SVCare refused to honor the option, Schron and his affiliated entities (including Cam Equity) brought a separate lawsuit—*Schron v Troutman Sanders LLP*—seeking specific performance of the option agreement.

Cam Equity later moved in limine in the *Schron* suit for the exclusion of any parol evidence by SVCare intended to show that the \$100 million loan was the “other good and valuable consideration” referenced in the option agreement. In the *Mich II* action, Cam Equity also filed a motion to dismiss SVCare’s fifteenth cause of action that asserted similar claims.

Supreme Court consolidated and granted both motions in favor of Cam Equity, concluding that the option and loan were entirely separate agreements; that the option was supported by

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4. This lawsuit is one of several involving Schron, Grunstein, Forman and their related companies (see also *Fundamental Long Term Care Holdings, LLC v Cammeby’s Funding LLC*, 20 NY3d 438 [2013] [decided today]).

consideration, namely, the mutual covenants cited; and that SVCare could not offer extrinsic evidence regarding the \$100 million loan obligation that was not mentioned in the option agreement (32 Misc 3d 231 [2011]). The Appellate Division affirmed (97 AD3d 87 [1st Dept 2012]), and we granted SVCare leave to appeal from so much of the Appellate Division order that affirmed the dismissal of the fifteenth cause of action in the *Mich II* litigation (19 NY3d 811 [2012]).

[1] In the meantime, following a 10-day bench trial in the *Schron* action, Supreme Court issued a decision in September 2012 determining that Cam III had, in fact, fully funded the \$100 million loan to SVCare pursuant to the loan agreement (36 Misc 3d 1238[A], 2012 NY Slip Op 51730[U] [2012]). SVCare has taken an appeal to the Appellate Division.<sup>5</sup>

On this appeal, SVCare no longer presses its argument raised below that the option and loan agreement—involving separate subject matters, different parties and without any cross-references—are inextricably intertwined and must be read together. Instead, SVCare maintains that the courts below erred in precluding it from introducing extrinsic evidence regarding the meaning of the phrase “other good and valuable consideration” in the option contract. SVCare asserts that the language is ambiguous and that it should be permitted to adduce parol evidence showing (1) the parties intended the “other consideration” to mean the \$100 million loan obligation between Cam III and SVCare and (2) the loan was never funded. Cam Equity responds that the “mutual covenants” set forth in the option agreement suffice for consideration and objects to SVCare’s attempt to change the terms of the option by imposing an additional

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5. [1] As a threshold matter, Cam Equity asks us to dismiss this appeal in the *Mich II* action on the basis that Supreme Court’s determination after the trial in *Schron* moots the appeal. Cam Equity submits that, even if we were to decide that SVCare could introduce parol evidence in support of its contention that the \$100 million loan was the true consideration for the option, the rights of the parties would not be affected because the loan monies were paid to SVCare. In Cam Equity’s view, because Supreme Court has determined that the loan was funded, it follows that the option is necessarily valid and enforceable regardless of whether the loan was the consideration for it. But a case is moot when “the rights of the parties cannot be affected by the determination of th[e] appeal” (*Matter of Hearst Corp. v Clyne*, 50 NY2d 707, 714 [1980]). Although the trial court in *Schron* found that Cam III loaned \$100 million to SVCare, that ruling is pending on appeal at the Appellate Division. If that court reverses and concludes that Cam III did not fund the loan, or remits for a new trial, the rights of the parties could possibly be affected by the outcome of this appeal. Consequently, this appeal is not moot.

\$100 million condition on the parties' agreement. We conclude that Cam Equity's position better comports with our well-established contract jurisprudence.

Option contracts, like any other agreement, are subject to basic contract interpretation principles. Under New York law, written agreements are construed in accordance with the parties' intent and "[t]he best evidence of what parties to a written agreement intend is what they say in their writing" (*Greenfield v Philles Records*, 98 NY2d 562, 569 [2002] [internal quotation marks and citation omitted]). As such, "a written agreement that is complete, clear and unambiguous on its face must be enforced according to the plain meaning of its terms" (*id.*).

Parol evidence—evidence outside the four corners of the document—is admissible only if a court finds an ambiguity in the contract. As a general rule, extrinsic evidence is inadmissible to alter or add a provision to a written agreement. This rule gives "stability to commercial transactions by safeguarding against fraudulent claims, perjury, death of witnesses . . . infirmity of memory . . . [and] the fear that the jury will improperly evaluate the extrinsic evidence" (*W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162 [1990] [internal quotation marks and citation omitted]). Furthermore, where a contract contains a merger clause, a court is obliged "to require full application of the parol evidence rule in order to bar the introduction of extrinsic evidence to vary or contradict the terms of the writing" (*Matter of Primex Intl. Corp. v Wal-Mart Stores*, 89 NY2d 594, 599 [1997]).

[2] Applying these precepts, we agree with the courts below that the option agreement unambiguously provided that the mutually beneficial covenants constituted the consideration and that the importation of another obligation, such as the separate loan obligation, would impermissibly alter the writing in violation of the parol evidence rule.<sup>6</sup> Contrary to SVCare's contention, the commonplace recital of "other good and valuable

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6. In fact, General Obligations Law § 5-1109 provides that "when an offer to enter into a contract is made in a writing signed by the offeror, or by his agent, which states that the offer is irrevocable during a period set forth or until a time fixed, the offer shall not be revocable during such period or until such time because of the absence of consideration for the assurance of irrevocability."

This provision has been applied to option contracts (*see Levey v Saphier*, 83 Misc 2d 146, 150 [Sup Ct, Nassau County 1975] [10-year stock option agreement would be enforceable under the statute even if unsupported by

(n. cont'd)

consideration” does not render the option contract ambiguous or incomplete. We therefore cannot accept SVCare’s view that it should be permitted to introduce extrinsic evidence—presumably in the form of oral testimony—to show that the parties intended to include the \$100 million loan obligation addressed in a distinct agreement between Cam III and SVCare as consideration for the option.

Moreover, had these sophisticated business entities, represented by counsel,<sup>7</sup> intended to make the \$100 million loan payment a condition to the enforceability of the option, they easily could have included a provision to that effect (*see Braten v Bankers Trust Co.*, 60 NY2d 155, 163 [1983] [“Such a fundamental condition would hardly have been omitted”]; *see also Fundamental Long Term Care Holdings, LLC v Cammeby’s Funding LLC*, 20 NY3d 438, 445 [2013] [decided today] [“(T)his is not the sort of term these sophisticated, counseled parties would have reasonably left out of the option agreement”]). Notably, the option does not even mention the existence of the loan agreement, let alone condition its validity on the effectuation of the loan. To allow parol evidence at this late stage to inject an entirely different obligation into the parties’ option contract would not only modify the requirements spelled out in that agreement, it would also negate the merger clause, which states that the option is a fully integrated document superseding all other understandings, whether written or oral.

In sum, we conclude that the option is a valid, stand-alone contract and that Cam Equity is free to exercise the option by paying the agreed-upon amount of \$100 million.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs.

Chief Judge LIPPMAN and Judges READ, SMITH and PIGOTT concur; Judge RIVERA taking no part.

Order, insofar as appealed from, affirmed, with costs.

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consideration]; *see also Capalongo v Desch*, 81 AD2d 689, 690 [3d Dept 1981], *affd for reasons stated below* 57 NY2d 972 [1982] [“The proper interpretation of this statute is that lack of consideration does not affect revocability, provided the writing contains reference either to a specific period of time, or simply states that it is irrevocable”]).

7. Grunstein and his former law firm drafted the option.

[985 NE2d 893, 962 NYS2d 583]

FUNDAMENTAL LONG TERM CARE HOLDINGS, LLC, et al., Appellants, v CAMMEBY'S FUNDING LLC et al., Respondents.

Argued January 10, 2013; decided February 14, 2013

### SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 7, 2012. The Appellate Division affirmed (1) an order of the Supreme Court, New York County (O. Peter Sherwood, J.), which had granted defendants' motions for summary judgment and denied plaintiffs' cross motion for summary judgment; and (2) an order of that court which had (a) directed the clerk of the court to enter judgment declaring that (i) the Unit Purchase Option Agreement (Option) entered into by plaintiffs and defendant Cammeby's Funding LLC (Cam Funding) dated July 1, 2006, is valid and enforceable; (ii) subject to all regulatory filings and approvals, if any, plaintiff Fundamental Long Term Care Holdings, LLC (Fundamental) must issue 500 membership units of Fundamental or such greater amount as may be necessary to provide Cam Funding's designee, Quality Health Services, LLC (QHS), with ownership equal to 33.33% of all such outstanding units; (iii) QHS is entitled to 500 membership units of Fundamental or such greater amount as may be necessary to equal one third of all such outstanding units, without regard to the capital contribution obligations applicable to new members as set forth in Fundamental's operating agreement; (iv) plaintiffs are obligated to take all steps required to enable QHS to effectuate the rights under the Option, including by cooperating with the regulatory approval process, by providing any information reasonably requested by the regulators, and by working in good faith cooperation with defendants so as to make any required regulatory filings and to obtain any necessary regulatory approvals; and (v) plaintiffs shall close on the Option promptly following the completion of all required regulatory filings and approvals, if any, and without prejudice to an earlier application, if there is no closing within 30 days of this order, plaintiffs shall, upon request of defendants, promptly provide a letter to counsel explaining the precise regulatory approvals required, together with supporting correspondence from the regulators at issue; and (b) dismissed the complaint.

*Fundamental Long Term Care Holdings, LLC v Cammeby's Funding LLC*, 92 AD3d 449, affirmed.



**HEADNOTES**

**Contracts — Construction — Option Agreement and Operating Agreement Not Read Together**

1. In an action arising from defendant limited liability company's attempt to exercise its option to acquire one third of plaintiff limited liability company's membership units, valued at more than \$33 million, for the strike price of \$1,000 as set forth in the option agreement between the parties, the option agreement must be read separately from plaintiff's operating agreement, which required a capital contribution equivalent to the fair market value of the interest being issued. Multiple agreements may be considered together, even though they were executed on different dates and/or by different parties, if the agreements are inextricably intertwined. The option agreement and the operating agreement, however, were not inextricably intertwined. The breach of either the option agreement or the operating agreement would not undo the obligations imposed by the other. If the parties had meant for fair market value to be due upon defendant's exercise of the option, that was not the sort of term the sophisticated, counseled parties would have reasonably left out of the option agreement. The mere reference in the option agreement to the operating agreement was not enough to evidence clear intent for the two separate contracts to be read as one.

**Contracts — Construction — Commercial Reasonableness**

2. In an action arising from defendant limited liability company's attempt to exercise its option to acquire one third of plaintiff limited liability company's membership units, valued at more than \$33 million, for the strike price of \$1,000 as set forth in the option agreement between the parties, the commercial reasonableness of the option agreement was irrelevant as the agreement was unambiguous. In any event, parties enter into option agreements for all sorts of reasons, and the agreement here was executed by sophisticated, counseled parties.

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Contracts §§ 26, 328–331, 351, 379; AM JUR 2d, Limited Liability Companies § 4; AM JUR 2d, Vendor and Purchaser §§ 39, 40, 50.

NY JUR 2d, Business Relationships § 2207; NY JUR 2d, Contracts §§ 208–211, 234, 255; NY JUR 2d, Real Property Sales and Exchanges §§ 28–30, 32, 36, 40.

NEW YORK REAL PROPERTY SERVICE § 16:43.

WILLISTON ON CONTRACTS (4th ed) §§ 30:4–30:6, 30:26.

**ANNOTATION REFERENCE**

See ALR Index under Contracts; Limited Liability Companies; Options.

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## POINTS OF COUNSEL

*Arent Fox LLP*, New York City (*Allen G. Reiter* and *Asari Aniagolu* of counsel), and *DLA Piper LLP (US)* (*Anthony P. Coles* and *Shand S. Stephens* of counsel) for appellants. I. The Appellate Division's order disregards the law governing limited liability companies. (*Hart v General Motors Corp.*, 129 AD2d 179; *Kaplan v Lippman*, 75 NY2d 320; *Torres v D'Alesso*, 80 AD3d 46, 15 NY3d 951; *Tropical Leasing v Fiermonte Chevrolet*, 80 AD2d 467; *Procopis v G. P. P. Rests.*, 43 AD2d 974; *TVT Records v Island Def Jam Music Group*, 412 F3d 82; *Nau v Vulcan Rail & Constr. Co.*, 286 NY 188; *Shutter v Hillside Med. Inv. Corp.*, 192 AD2d 699; *Nassau v Associates* 66, 149 AD2d 489; *Duration Mun. Fund, L.P. v J.P. Morgan Sec. Inc.*, 25 Misc 3d 1203[A], 2009 NY Slip Op 51962[U].) II. Both the operating agreement and the option must be enforced to avoid an "unreasonable" and "absurd" result. (*Fleischman v Furgueson*, 223 NY 235; *Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430; *ERC 16W Ltd. Partnership v Xanadu Mezz Holdings LLC*, 95 AD3d 498; *Superb Gen. Contr. Co. v City of New York*, 39 AD3d 204; *Tibbetts Contr. Corp. v O & E Contr. Co.*, 15 NY2d 324; *Schoellkopf v Coatsworth*, 166 NY 77; *Gillet v Bank of Am.*, 160 NY 549; *Matter of Lipper Holdings v Trident Holdings*, 1 AD3d 170; *Greenwich Capital Fin. Prods., Inc. v Negrin*, 74 AD3d 413.) III. *Torres v D'Alesso* (80 AD3d 46 [1st Dept 2010]) should not be expanded to exclude consideration of the terms of an operating agreement. (*Hicks v Bush*, 10 NY2d 488; *Procopis v G. P. P. Rests.*, 43 AD2d 974; *Tropical Leasing v Fiermonte Chevrolet*, 80 AD2d 467; *Mack-Lowe v Picault-Cadet*, 33 AD3d 504.)

*Dechert LLP*, New York City (*Steven A. Engel* and *Andrew J. Levander* of counsel), for respondents. I. This Court lacks jurisdiction over the non-final order. (*Matter of Jazmin A.*, 15 NY3d 439; *Burke v Crosson*, 85 NY2d 10; *Doyle v Allstate Ins. Co.*, 1 NY2d 439.) II. If the Court reaches the merits, the decision below should be affirmed. (*W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *Matter of Wallace v 600 Partners Co.*, 86 NY2d 543; *Braten v Bankers Trust Co.*, 60 NY2d 155; *Jarecki v Shung Moo Louie*, 95 NY2d 665; *Fineman Family LLC v Third Ave. N. LLC*, 90 AD3d 549; *British Am. Dev. Corp. v Schodack Exit Ten, LLC*, 83 AD3d 1247; *Nathanson v Nathanson*, 20 AD3d 403; *Kaplan v Lippman*, 75 NY2d 320; *Silverstein v United Cerebral Palsy Assn. of Westchester County*, 17 AD2d 160.)

OPINION OF THE COURT

READ, J.

This lawsuit is one of several between business entities controlled by plaintiffs Leonard Grunstein and Murray Forman and defendant Rubin Schron (*see also Schron v Troutman Sanders LLP*, 20 NY3d 430 [2013] [decided today]). Cammeby's Funding LLC (Cam Funding) is a limited liability company managed by Schron, a real estate investor; Fundamental Long Term Care Holdings, LLC (Fundamental) is a limited liability company whose sole members are Grunstein—formerly Schron's attorney—and Forman—formerly Schron's investment banker.

In 2003, SWC Property Holdings LLC (SWC), another company controlled by Schron, acquired the facilities and real estate occupied by a string of 26 nursing homes and, through subsidiaries, leased these properties to an independent operating company. In 2006, Grunstein and Forman purchased all of the issued and outstanding capital stock of these nursing homes, having formed Fundamental in December 2005 for the purpose of owning companies that manage health care facilities. Grunstein and Forman each contributed \$50 in equity for a half interest in Fundamental; they paid \$10 million for the stock, financed by debt. Additionally, Schron executed a covenant not to sue on any claims that SWC, the landlord, might have against the nursing homes.

On July 1, 2006, Fundamental and Cam Funding entered into an option agreement entitling Cam Funding (or its designee) to acquire one third of Fundamental's membership units for a strike price of \$1,000, provided the option was exercised on or before June 9, 2011. This agreement was signed by Forman, as manager of Fundamental, and was accepted and agreed to by Schron, as manager of Cam Funding, and Grunstein and Forman, the sole members of Fundamental.

The agreement's preamble states that the option was given “[i]n consideration of the mutual covenants and agreements hereinafter set forth, and for \$10 and other good and valuable consideration (the receipt and adequacy of which is hereby acknowledged by the Parties [i.e., Fundamental, Grunstein, Forman and Cam Funding]).” Section 3 provides that “on the requested closing date . . . [Fundamental] *shall* execute and deliver to [Cam Funding] . . . (i) certificates for the Acquired Units, and (ii) all resolutions, documents and instruments necessary or required to properly issue to [Cam Funding] all of the

Acquired Units” (emphasis added). Section 4 specifies that, upon exercise of the option, Cam Funding “*shall* be admitted as a member of [Fundamental]” (emphasis added).

Sections 5 and 6 obligate Fundamental, Grunstein and Forman to facilitate, and prohibit their interference with, Cam Funding’s exercise of the option. Specifically, in section 5, Fundamental agreed not to

“cause, suffer or permit any of its subsidiaries to, enter into any agreement or commitment with any unitholder, subscriber, officer, director or employee or other person that would conflict with or interfere with any of the rights of [Cam Funding] under this Agreement, including (without limitation) the exercise of the Option, and any such conflicting agreement or commitment shall be deemed void and of no force or effect.”

Similarly, in section 6, Grunstein and Forman, as the sole members of Fundamental, promised not to take any action inconsistent with the option and, upon Cam Funding’s exercise of it, to

“(a) consent to the issuance of the Acquired Units to [Cam Funding], (b) consent to the admission of [Cam Funding] as a member of [Fundamental], and (c) *cause* [Fundamental] to carry out its obligations herein and to *execute and deliver such amendments and schedules to the Operating Agreement* of [Fundamental] to reflect the issuance of the Acquired Units to [Cam Funding]” (emphases added).

Finally, section 15 sets out a standard merger clause, stating that there was no “agreement or understanding (whether written, oral, express, implied or otherwise) . . . respecting any of the matters contained in this Agreement except for those expressly set forth in this Agreement.” As a result, the option agreement encompassed

“the entire agreement and understanding of the Parties [i.e., Fundamental, Grunstein, Forman and Cam Funding], and supersedes and completely replaces all prior and other representations, warranties, promises, assurances and other agreements and understandings (whether written, oral, express, implied or otherwise) among the Parties with respect to the matters contained in this Agreement.”

On December 20, 2010, Cam Funding notified Fundamental in writing that it was exercising the option, designating Quality Health Services LLC to acquire the ownership interest, specifying January 20, 2011 at its lawyers' offices as the date and place of closing, and enclosing a certified check for \$1,000. On January 18, 2011, Fundamental responded that, pursuant to its operating agreement, "no membership units in Fundamental can be issued to [Cam Funding] until . . . [Cam Funding] provides the required capital contribution of 'at least the fair market value' of its proposed interest, which is 33.33%."

Fundamental relied on paragraph 3.3 of its operating agreement, dated December 22, 2005 and amended and restated September 3, 2009, which states that

"[a]dditional Interests shall not be issued except upon the consent of the Board of Managers [i.e., Grunstein and Forman] and the unanimous consent of the Members [i.e., Grunstein and Forman]. Upon the issuance of any additional Interests, the Person to whom such Interests are issued shall make a capital contribution to the Company in respect of such issuance in an amount equal to at least the fair market value per Interest so issued."

At the time Cam Funding exercised the option, the market value of a one-third interest in Fundamental was estimated to be more than \$33 million.

By complaint dated February 7, 2011, Fundamental sought a declaration that Cam Funding was bound by the membership requirements in the operating agreement to "make the requisite capital contribution upon the issuance of any additional interests in Fundamental." On or about March 1, 2011, Cam Funding filed an answer, affirmative defenses and counterclaim for breach of contract, along with a motion for summary judgment; Fundamental thereafter cross-moved for summary judgment.

By decision and order entered on August 29, 2011, Supreme Court disposed of the motion and cross motion, ruling that the option agreement unambiguously granted Cam Funding the right to acquire a one-third interest in Fundamental upon payment of the strike price of \$1,000. The judge determined that enforcing paragraph 3.3 of the operating agreement, as Fundamental advocated, would violate section 5 of the option

agreement by “allow[ing] a subsequent agreement—the Operating Agreement—to interfere with Cam Funding’s rights under the terms of the Option Agreement.” Supreme Court interpreted section 6 of the option agreement as evidence that “the parties contemplated a future operating agreement and intended that the Operating Agreement yield to the Option Agreement.” Indeed, he opined, to the extent that paragraph 3.3 “prohibit[ed] issuance of the requisite number of units to Cam Funding upon exercise of the option at the option strike price, it [was] incumbent on [Fundamental] under the terms of Section 6 of the Option Agreement to amend the Operating Agreement and its schedules to enable Fundamental to issue such units to Cam Funding.”

Consistent with Supreme Court’s decision, Cam Funding proposed an order directing the clerk to enter judgment declaring that Fundamental was required to “close on the Option promptly following the completion of all required regulatory filings and approvals, if any.” The judge signed this order, which was entered on October 6, 2011. Fundamental then appealed; on December 13, 2011, the Appellate Division issued a stay of Supreme Court’s orders pending hearing and determination of the appeal (2011 NY Slip Op 92223[U] [2011]).

In a decision issued February 7, 2012, the Appellate Division affirmed (92 AD3d 449 [1st Dept 2012]). The Court concluded that “[r]egardless of which document was executed first,” the option agreement unambiguously entitled Cam Funding to acquire one third of Fundamental’s membership units for \$1,000 “without the need for any capital contribution” (*id.* at 450). The Court further noted that the option agreement’s integration clause “bar[red] parol evidence of the parties’ intent and of any other agreements or understandings” (*id.*). On May 22, 2012, the same panel denied Fundamental’s motion for leave to appeal, and granted Cam Funding’s cross motion to vacate the stay (2012 NY Slip Op 73848[U] [2012]). Fundamental then asked us for permission to appeal, and on June 5, 2012, a Judge of this Court granted an interim stay pending the motion’s resolution. On September 11, 2012, we granted Fundamental’s motions for leave to appeal and a stay (19 NY3d 1012 [2012]). We now affirm.

As an initial matter, Fundamental and Cam Funding agree that the parol evidence rule has no bearing on this case. Fundamental does not argue that the operating agreement should be looked at to explain ambiguous terms in the option



agreement (*see Hicks v Bush*, 10 NY2d 488, 491 [1962] [“Parol testimony is admissible to prove a condition precedent to the legal effectiveness of a written agreement, if the condition does not contradict the express terms of such written agreement” (citations omitted)]). Instead, Fundamental takes the position that the two agreements must be read together as creating a “two-step process”—i.e, under the option agreement, Cam Funding pays \$1,000 for the right to acquire a one-third interest in Fundamental, a privately held company, and the operating agreement governs the terms for issuance of membership units reflecting this interest if the option is exercised; namely, a capital contribution equivalent to the one-third interest’s fair market value.

[1] In support of its position, Fundamental cites several cases in which courts have considered multiple agreements together, even though they were executed on different dates and/or by different parties. In these cases, however, the agreements are inextricably intertwined, unlike the option agreement and the operating agreement in this case (*see e.g. Nau v Vulcan Rail & Constr. Co.*, 286 NY 188, 197 [1941] [three agreements “executed at substantially the same time, related to the same subject-matter, . . . must be read together as one . . . since they were to effectuate the same purpose and formed a part of the same transaction”]; *TVT Records v Island Def Jam Music Group*, 412 F3d 82, 89 [2d Cir 2005] [two agreements were both “intended to effectuate . . . the production and release of [an] album,” and one of them explicitly required honoring all terms and conditions of the other]). Further, the breach of either the option agreement or the operating agreement would not undo the obligations imposed by the other (*see TVT Records*, 412 F3d at 90). And if it were, in fact, the case that the parties meant for fair market value to be due upon Cam Funding’s exercise of the option, this is not the sort of term these sophisticated, counseled parties would have reasonably left out of the option agreement. The mere reference in the option agreement to the operating agreement is not enough to evidence clear intent for these two separate contracts to be read as one.

[2] Finally, Fundamental argues that the payment of \$1,000 for a membership interest valued at \$33 million is commercially unreasonable. First, an inquiry into commercial reasonableness is only warranted where a contract is ambiguous. Here, the option agreement is unambiguous, and therefore its reasonableness is beside the mark. In any event, parties enter into option

agreements for all sorts of reasons, and, as noted earlier, this agreement was executed by sophisticated, counseled parties.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH and PIGOTT concur; Judge RIVERA taking no part.

Order affirmed, with costs.

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[985 NE2d 903, 962 NYS2d 592]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ROBERT  
PEALER, Appellant.

Argued January 3, 2013; decided February 19, 2013

### SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 18, 2011. The Appellate Division affirmed a judgment of the Yates County Court (W. Patrick Falvey, J.; *see* 24 Misc 3d 1235[A], 2009 NY Slip Op 51753[U] [2009]), which had convicted defendant, upon a jury verdict, of driving while ability impaired and driving while intoxicated.

*People v Pealer*, 89 AD3d 1504, affirmed.

### HEADNOTES

#### **Crimes — Right of Confrontation — Records Pertaining to Routine Maintenance of Breathalyzer Machines — Nontestimonial Nature of Documents**

1. Records pertaining to the routine inspection, maintenance and calibration of breathalyzer machines are nontestimonial under the Confrontation Clause of the Sixth Amendment to the United States Constitution and consequently can be offered as evidence in a criminal trial without producing the persons who created the records. In determining whether records are the functional equivalent of in-court testimony and subject to Confrontation Clause requirements, it is necessary to identify the primary purpose for their creation by evaluating (1) whether the agency that produced the record is independent of law enforcement; (2) whether it reflects objective facts at the time of their recording; (3) whether the report has been biased in favor of law enforcement; and (4) whether the report accuses the defendant by directly linking him or her to the crime. While the breathalyzer testing certificates bore some resemblance to traditional testimonial hearsay because they contained certified declarations of fact attesting that the breathalyzer machine was functioning properly and its readings were accurate and reliable, the remaining considerations weighed against application of the Confrontation Clause. The primary motivation for examining the breathalyzer was to advise the police department that its machine was adequately calibrated and operating properly. The testing was performed by the Division of Criminal Justice Services, an executive agency that is independent of law enforcement agencies. That the scientific test results and the observations of the technicians might be relevant to future prosecutions of unknown defendants was, at most, an ancillary consideration when the machine was inspected and calibrated. The breathalyzer testing certificates did not directly inculcate defendant or prove an essential element of the charges against him. They simply reflected objective facts to establish the accuracy of the device. At their core the documents should be viewed as business records which are generally deemed nontestimonial.

**Crimes — Unlawful Search and Seizure — Validity of Pretextual Traffic Stop — Probable Cause to Believe Driver Committed Traffic Infraction**

2. Probable cause to believe that the Vehicle and Traffic Law has been violated provides an objectively reasonable basis for the police to stop a vehicle, and there is no exception for infractions that are subjectively characterized as “de minimis.”

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Automobiles and Highway Traffic §§ 348, 988;  
AM JUR 2d, Criminal Law §§ 1081, 1086, 1088–1090; AM  
JUR 2d, Evidence §§ 1035, 1036; AM JUR 2d, Searches  
and Seizures §§ 60, 61, 125, 126.

CARMODY-WAIT 2d, Search and Seizure §§ 173:325, 173:333,  
173:351, 173:355, 173:356; CARMODY-WAIT 2d, Particular  
Types of Evidence §§ 194:59, 194:60, 194:78, 194:79.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.3, 3.7,  
24.4.

McKINNEY'S, Vehicle and Traffic Law § 375.

NY JUR 2d, Automobiles and Other Vehicles § 910; NY JUR  
2d, Criminal Law: Procedure §§ 220–225, 515, 2127, 2128,  
2130, 2132.

**ANNOTATION REFERENCE**

See ALR Index under Breath Tests; Confrontation of Witnesses; Probable Cause; Search and Seizure.

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**POINTS OF COUNSEL**

*D.J. & J.A. Cirando, Esqs.*, Syracuse (*John A. Cirando, Bradley E. Keem and Elizabeth deV. Moeller* of counsel), for appellant. I. The District Attorney of Seneca County was not authorized to prepare, file and serve the People's brief in the Appellate Division. (*People v Di Falco*, 44 NY2d 482; *Matter of Haggerty v Himelein*, 89 NY2d 431.) II. The police stop of appellant's vehicle was improper. (*Whren v United States*, 517 US 806; *People v Robinson*, 97 NY2d 341; *People v Wright*, 42 AD3d 942; *People v Rose*, 67 AD3d 1447; *People v Ingle*, 36 NY2d 413; *People v Wright*, 98 NY2d 657.) III. Appellant was prejudiced by Deputy Lerch's testimony that appellant requested to speak to

an attorney prior to submitting to a breath test. (*People v Von Werne*, 41 NY2d 584; *People v Goldston*, 6 AD3d 736; *People v Hunt*, 18 AD3d 891; *People v Al-Kanani*, 26 NY2d 473; *People v Bianculli*, 9 NY2d 468; *People v Travato*, 309 NY 382; *People v Fisher*, 18 NY3d 964.) IV. Appellant was denied his constitutional right to confront the witnesses against him when the trial court admitted certified documents into evidence under the business record exception to the hearsay rule. (*People v Mertz*, 68 NY2d 136; *People v Huertas*, 75 NY2d 487; *People v Nieves*, 67 NY2d 125; *People v Settles*, 46 NY2d 154; *People v Gaimari*, 176 NY 84; *Crawford v Washington*, 541 US 36; *Melendez-Diaz v Massachusetts*, 557 US 305; *People v Brown*, 13 NY3d 332; *People v Freycinet*, 11 NY3d 38; *People v Rawlins*, 10 NY3d 136.) V. Appellant was denied due process of law due to prosecutorial misconduct. (*People v Bailey*, 58 NY2d 272; *People v Zimmer*, 51 NY2d 390; *People v Higgins*, 88 AD2d 921, 57 NY2d 678; *People v Toomer*, 87 AD2d 875; *People v Millard*, 247 App Div 253; *People v Alicea*, 37 NY2d 601; *People v De Tore*, 34 NY2d 199; *People v Whalen*, 59 NY2d 273; *People v Rivera*, 116 AD2d 371; *People v Mott*, 94 AD2d 415.) VI. The trial court erred in allowing improper and prejudicial rebuttal testimony. (*Marshall v Davies*, 78 NY 414; *People v Harris*, 84 AD2d 63, 57 NY2d 335, 460 US 1047; *People v Schwartzman*, 24 NY2d 241, 396 US 846; *People v Castro*, 101 AD2d 392, 65 NY2d 683; *People v Crimmins*, 36 NY2d 230.) VII. Appellant's constitutional right to a fair trial was violated. (*People v Crimmins*, 36 NY2d 230; *People v Robinson*, 71 AD2d 1008; *People v Tucker*, 133 AD2d 787.)

Jason L. Cook, District Attorney, Penn Yan, and Hannah E.C. Moore, New York Prosecutors Training Institute, Inc., Albany, for respondent. I. The Appellate Division correctly upheld the trial court's determination that the vehicle stop was proper since defendant was initially stopped for a violation of the Vehicle and Traffic Law. (*People v Robinson*, 97 NY2d 341; *Whren v United States*, 517 US 806; *People v Petikas*, 10 Misc 3d 915; *People v Edwards*, 14 NY3d 741; *People v Mundo*, 99 NY2d 55; *People v Wright*, 98 NY2d 657; *People v Jeffery*, 2 AD3d 1271; *People v Lowe*, 12 NY3d 768; *People v Krom*, 61 NY2d 187.) II. As the Appellate Division found, the admission of breath test documents did not violate defendant's Sixth Amendment right to confront the witnesses against him. (*People v Carreira*, 27 Misc 3d 293; *People v Lebrecht*, 13 Misc 3d 45; *Crawford v Washington*, 541 US 36; *Marks v United States*, 430 US 188; *United States v Cundiff*, 555 F3d 200; *Nichols v United States*, 511 US 738; *Green v DeMarco*, 11 Misc 3d 451; *People v Kanhai*,

8 Misc 3d 447; *People v Krueger*, 9 Misc 3d 950; *People v Fisher*, 9 Misc 3d 1121[A], 2005 NY Slip Op 51726[U].) III. Defendant's claim that he was prejudiced by Officer Lerch's testimony that he requested to speak to an attorney prior to submitting to a breath test is unpreserved and without merit, and was properly rejected by the Appellate Division. (*People v Patterson*, 39 NY2d 288; *People v Al-Kanani*, 26 NY2d 473; *People v Von Werne*, 41 NY2d 584; *People v Smith*, 18 NY3d 544; *People v Shaw*, 72 NY2d 1032; *People v Curkendall*, 12 AD3d 710; *Matter of Jimmy D.*, 15 NY3d 417; *People v Scott*, 86 NY2d 864; *People v Crimmins*, 36 NY2d 230.) IV. The trial court properly allowed rebuttal testimony, and the Appellate Division properly rejected this claim. (*People v Harris*, 98 NY2d 452; *People v Blair*, 90 NY2d 1003; *People v Hernandez*, 71 NY2d 233; *People v Taylor*, 24 AD3d 1269; *People v Crimmins*, 36 NY2d 230.) V. The prosecutor's conduct did not deprive defendant of a fair trial, and this unpreserved claim was properly rejected by the Appellate Division. (*People v Ashwal*, 39 NY2d 105; *Williams v Brooklyn El. R.R. Co.*, 126 NY 96; *People v Ortiz*, 116 AD2d 531; *People v Galloway*, 54 NY2d 396; *People v D'Alessandro*, 184 AD2d 114; *People v Calabria*, 94 NY2d 519; *People v Arce*, 42 NY2d 179; *People v Savinon*, 100 NY2d 192; *People v Heide*, 84 NY2d 943; *People v Medina*, 53 NY2d 951.) VI. The People's Appellate Division brief was properly prepared and filed, and this issue is not properly before this Court. (*People v Ford*, 69 NY2d 775; *People v Paz*, 158 AD2d 1008; *People v Perez*, 67 AD3d 1324; *People v Higgins*, 55 AD3d 1303; *People v Chianese*, 41 AD3d 1168; *People v Bowen*, 17 AD3d 1054; *People v Delair*, 6 AD3d 1152; *People v Brown*, 6 AD3d 1125; *People v Allen*, 301 AD2d 57; *People v Luedecke*, 22 AD2d 636.)

Cyrus R. Vance, Jr., District Attorney, New York City (Susan Axelrod of counsel), and Morrie I. Kleinbart, Staten Island, for District Attorneys Association of the State of New York, amicus curiae. I. Records of the results of tests that are done as part of the Police Department's administrative requirements to maintain its equipment in proper working order, and that are not prepared in connection with or anticipation of a particular defendant's prosecution, are not testimonial. (*Crawford v Washington*, 541 US 36; *Davis v Washington*, 547 US 813; *Melendez-Diaz v Massachusetts*, 557 US 305; *People v Fisher*, 9 Misc 3d 1121[A], 2005 NY Slip Op 51726[U]; *People v Brown*, 13 NY3d 332; *People v Rawlins*, 10 NY3d 136; *People v Hulbert*, 93 AD3d 953; *People v Damato*, 79 AD3d 1060; *People v Lent*, 29 Misc 3d 14; *People v Bonner*, 31 Misc 3d 142[A], 2011 NY Slip Op



50830[U].) II. The assistance rendered by District Attorney Porsch was lawful and appropriate. (*People v Di Falco*, 44 NY2d 482; *Matter of Lewis v Carter*, 220 NY 8; *Matter of Sedore v Epstein*, 56 AD3d 60; *People v Herman*, 187 AD2d 1027; *People v Coger*, 2 AD3d 1279; *People v McClure*, 26 AD3d 674; *Matter of Haggerty v Himelein*, 89 NY2d 431; *Matter of Schumer v Holtzman*, 60 NY2d 46; *People v Sanducci*, 195 NY 361.)

### OPINION OF THE COURT

GRAFFEO, J.

The question presented in this appeal is whether records pertaining to the routine inspection, maintenance and calibration of breathalyzer machines can be offered as evidence in a criminal trial without producing the persons who created the records. We hold that because such documents are nontestimonial, the records are not subject to the Confrontation Clause requirements set forth in *Crawford v Washington* (541 US 36 [2004]).

### I

Early one morning in October 2008, the Penn Yan Police Department in Yates County received an anonymous telephone call indicating that someone who was possibly intoxicated had left a particular restaurant and was driving a gray car with a sticker on its rear window. Shortly after receiving this information, a police officer on patrol saw a gray 1996 Subaru and he followed the car for several minutes. After observing the car weaving, he stopped the vehicle for the illegal window sticker (*see* Vehicle and Traffic Law § 375 [1] [b] [i]).

The driver, defendant Richard Pealer, stated that he had just left work at the restaurant that had been identified by the tipster. When asked if he had consumed any alcohol, defendant replied that he had “two beers” after finishing his shift. The officer noticed that defendant’s eyes were red and glossy, his speech was impaired and defendant had an odor of alcohol. After defendant failed several field sobriety tests and a breath screening test confirmed that defendant had been drinking, he was arrested for driving while intoxicated (*see* Vehicle and Traffic Law § 1192 [3]).

At the police station, defendant telephoned a lawyer and then agreed to take a breathalyzer test. A breath-test operator conducted the testing and the machine computed defendant’s blood alcohol content at .15% (close to twice the legal limit).

Defendant was eventually indicted for felony DWI (defendant had two prior felony DWI convictions).

During the jury trial, the People offered into evidence documents pertaining to the routine calibration and maintenance of the breathalyzer machine used in defendant's breath test, in order to demonstrate that it was in proper working order at the time defendant was tested. Specifically, two of the documents certified that the breathalyzer had been calibrated by the New York State Division of Criminal Justice Services in Albany in September 2008 and March 2009, respectively. The third document stated that a sample of the simulator solution had been analyzed and approved for use in the breathalyzer by the State Police. The People intended to introduce these records through the testimony of the officer who administered the breathalyzer test to defendant.

Defendant raised a Confrontation Clause challenge to these documents, contending that he was entitled to cross-examine the authors of the three records. County Court disagreed and allowed the documents to be received in evidence. The jury found defendant guilty of DWI as a D felony (along with driving while ability impaired) and defendant was later sentenced to a prison term of  $2\frac{1}{3}$  to 7 years.

The Appellate Division affirmed (89 AD3d 1504 [4th Dept 2011]), concluding that no Confrontation Clause error had occurred. It reasoned that the breathalyzer documents were neither accusatory nor testimonial because they merely established the functionality of the machine and did not directly prove an element of the charged crimes or specifically inculcate defendant.

A Judge of this Court granted defendant leave to appeal (18 NY3d 961 [2012]) and we now affirm.

## II

Defendant argues that the People's use of the three breathalyzer records violated his rights under the Confrontation Clause since he was not given an opportunity to cross-examine the persons who performed the testing of the machine or the simulator solution. According to defendant, the records were testimonial in nature since their purpose was to prove that the breathalyzer was in proper working order and, consequently, they were created in anticipation of their use in a criminal proceeding. The People counter that the documents were not testimonial

because they were not generated for use against a specific individual, nor did they establish an element of the crimes charged.

The Confrontation Clause of the Sixth Amendment to the United States Constitution prohibits the “admission of testimonial statements of a witness who did not appear at trial unless he was unavailable to testify, and the defendant ha[s] had a prior opportunity for cross-examination” (*Crawford v Washington*, 541 US at 53-54). The key inquiry focuses on the category that a statement falls into—whether the nature of the statement or record is testimonial or nontestimonial (see *Michigan v Bryant*, 562 US —, —, 131 S Ct 1143, 1152-1153 [2011]; *Davis v Washington*, 547 US 813, 823-824 [2006]). “[T]he basic objective of the Confrontation Clause . . . is to prevent the accused from being deprived of the opportunity to cross-examine the declarant about statements taken for use at trial” and a statement will be treated as testimonial only if it was “procured with a primary purpose of creating an out-of-court substitute for trial testimony” (*Michigan v Bryant*, 562 US at —, 131 S Ct at 1155). If a different purpose underlies its creation, the issue of admissibility of the statement is subject to federal or state rules of evidence rather than the Sixth Amendment (see *id.*).

Based on relevant precedent, we have identified two factors that are “especially important” in resolving whether to designate a statement as testimonial—“first, whether the statement was prepared in a manner resembling ex parte examination and second, whether the statement accuses defendant of criminal wrongdoing” (*People v Rawlins*, 10 NY3d 136, 156 [2008], *cert denied sub nom. Meekins v New York*, 557 US —, 129 S Ct 2856 [2009]). Furthermore, the “purpose of making or generating the statement, and the declarant’s motive for doing so,” also “inform these two interrelated touchstones” (*People v Rawlins*, 10 NY3d at 156).

We have held that the Confrontation Clause applies to an affidavit of an employee of the Department of Motor Vehicles attesting to the revocation of an accused’s license in a prosecution for aggravated unlicensed operation of a motor vehicle in the first degree because the document had an accusatory purpose in that it provided proof of an element of the crime and resembled testimonial hearsay (see *People v Pacer*, 6 NY3d 504, 512 [2006]). Similarly, fingerprint comparison reports that directly linked the accused to the charged crimes “could be nothing but testimonial” (*People v Rawlins*, 10 NY3d at 157). The same held true for an affidavit identifying a substance connected to the

defendant as cocaine (*see Melendez-Diaz v Massachusetts*, 557 US 305, 310-311 [2009]) and a report certifying that the accused's blood alcohol content was above the legal limit (*see Bullcoming v New Mexico*, 564 US —, —, 131 S Ct 2705, 2716-2717 [2011])—both of these documents were generated for law enforcement purposes in order to establish a necessary element of the charged offenses.

In contrast, we determined that a graphical DNA report that did not explicitly tie the accused to a crime was deemed to be nontestimonial since it “shed no light on the guilt of the accused in the absence of an expert’s opinion that the results genetically match a known sample” (*People v Rawlins*, 10 NY3d at 159; *see also People v Brown*, 13 NY3d 332, 340-341 [2009]; *Williams v Illinois*, 567 US —, —, 132 S Ct 2221, 2243 [2012, plurality op] [“the primary purpose of the (DNA) report, viewed objectively, was not to accuse (the) petitioner or to create evidence for use at trial. . . . (I)ts primary purpose was to catch a dangerous rapist who was still at large, not to obtain evidence for use against (the) petitioner, who was neither in custody nor under suspicion at that time”]). A similar conclusion applied to an autopsy report prepared by a civilian agency in that it was a contemporaneous, objective account of observable facts that did not link the commission of the crime to a particular person (*see People v Freycinet*, 11 NY3d 38, 42 [2008]).

We now consider these principles in assessing the admissibility of the breathalyzer calibration and maintenance documents in this case. As our case law makes clear, to determine whether these records are the functional equivalent of in-court testimony, it is necessary to identify the primary purpose for their creation by evaluating the following factors:

“(1) whether the agency that produced the record is independent of law enforcement; (2) whether it reflects objective facts at the time of their recording; (3) whether the report has been biased in favor of law enforcement; and (4) whether the report accuses the defendant by directly linking him or her to the crime” (*People v Brown*, 13 NY3d at 339-340).

In examining these factors, the records at issue bear some resemblance to traditional testimonial hearsay because they contain certified declarations of fact attesting that the breathalyzer machine was functioning properly and its readings were accurate and reliable. Nevertheless, the remaining considerations

weigh against application of the Confrontation Clause. *Melendez-Diaz* recognized the possibility that records “prepared in the regular course of equipment maintenance”—precursors to an actual breathalyzer test of a suspect—“may well qualify as non-testimonial records” (557 US at 311 n 1). It may reasonably be inferred that the primary motivation for examining the breathalyzer was to advise the Penn Yan Police Department that its machine was adequately calibrated and operating properly (see generally *People v Boscic*, 15 NY3d 494, 500 [2010]). The testing of the machine was performed by employees of the Division of Criminal Justice Services, an executive agency that is independent of law enforcement agencies, whose task was to ensure the reliability of such machines—not to secure evidence for use in any particular criminal proceeding. The fact that the scientific test results and the observations of the technicians might be relevant to future prosecutions of unknown defendants was, at most, an ancillary consideration when they inspected and calibrated the machine.

Relatedly, it is also significant that, as with an autopsy report or a graphical DNA report, and unlike the certification of the accused’s actual blood alcohol content in *Bullcoming*, the breathalyzer testing certificates do not directly inculcate defendant or prove an essential element of the charges against him. All three records simply reflected objective facts that were observed at the time of their recording in order to establish that the breathalyzer would produce accurate results, rather than to prove some past event. At their core, these documents should be viewed as business records (see CPLR 4518 [a]) which, as a class, are generally deemed nontestimonial (see *People v Rawlins*, 10 NY3d at 150 n 11; *Crawford*, 541 US at 56).

[1] For these reasons, we believe that the US Supreme Court’s primary purpose test, and the analytical framework articulated in *Rawlins*, *Freycinet* and *Brown*, indicate that the breathalyzer calibration documents offered in this case were not testimonial in nature. Although it has been suggested that *Melendez-Diaz* pronounced a shift in Confrontation Clause analysis that might call our precedent into question, we reject this assertion. *Melendez-Diaz* itself avowed that it was not breaking new ground because it “involve[d] little more than the application of [the] holding in *Crawford*” (557 US at 329). Moreover, both before and after *Melendez-Diaz* was decided, a virtually uniform national consensus emerged classifying documents similar to these as nontestimonial (see e.g. *State v Benson*, 287 P3d 927,

932 [Kan 2012]; *Chambers v State*, 2012 Ark 407, \*8, — SW3d —, — [2012]; *State v Lutz*, 820 NW2d 111, 117-118 [ND 2012]; *State v Britt*, 283 Neb 600, 603, 813 NW2d 434, 437 [2012]; *Matthies v State*, 85 So 3d 838, 844 [Miss 2012], *cert denied* 568 US —, 133 S Ct 317 [2012]; *Commonwealth v Zeininger*, 459 Mass 775, 788-789, 947 NE2d 1060, 1070 [2011], *cert denied* 565 US —, 132 S Ct 462 [2011]; *State v Chun*, 194 NJ 54, 144, 943 A2d 114, 167-168 [2008], *cert denied* 555 US 825 [2008]; *State v Fischer*, 272 Neb 963, 971-972, 726 NW2d 176, 182-183 [2007]; *Rackoff v State*, 281 Ga 306, 309, 637 SE2d 706, 709 [2006]; *Commonwealth v Walther*, 189 SW3d 570, 575 [Ky 2006]; *State v Carter*, 326 Mont 427, 437, 114 P3d 1001, 1007 [2005]).<sup>1</sup> Additionally, the Appellate Divisions that have considered this issue have concurred that, even under *Melendez-Diaz*, these types of records fall outside the ambit of the Confrontation Clause (see e.g. *People v Hulbert*, 93 AD3d 953, 953-954 [3d Dept 2012]; *People v Damato*, 79 AD3d 1060, 1061-1062 [2d Dept 2010]).

We endorse this widely-held view and hold that documents pertaining to the routine inspection, maintenance and calibration of breathalyzer machines are nontestimonial under *Crawford* and its progeny. Consequently, the Confrontation Clause was not implicated in this case and the trial judge did not err in declining defendant's request to cross-examine the authors of the testing records before the court ruled on their admissibility.

### III

[2] Defendant raises additional issues, many of which are either unpreserved or otherwise unreviewable, and the remainder

1. See also *State v Kramer*, 153 Idaho 29, 36 (Ct App 2012); *State v Lindner*, 227 Ariz 69, 71-72, 252 P3d 1033, 1035-1036 (Ct App 2010), *cert denied* 565 US —, 132 S Ct 1111 (2012); *Jacobson v State*, 306 Ga App 815, 818, 703 SE2d 376, 379 (2010); *People v Jacobs*, 405 Ill App 3d 210, 217, 939 NE2d 64, 71 (2010); *Ramirez v State*, 928 NE2d 214, 220 (Ind Ct App 2010), *transfer denied* 940 NE2d 824 (2010); *Settlemyre v State*, 323 SW3d 520, 522 (Tex Ct App 2010); *Commonwealth v Dyarman*, 2011 PA Super 245, 33 A3d 104, 108 (2011), *appeal granted* 41 A3d 1282 (2012); *Hamilton v State*, 2010 WL 4260608, \*3, 2010 Alas App LEXIS 125, \*7-10 (Alaska Ct App 2010); *State v Bergin*, 231 Or App 36, 42, 217 P3d 1087, 1090 (2009), *review denied* 348 Or 280, 230 P3d 933 (2010); *Salt Lake City v George*, 189 P3d 1284, 1289 (Utah Ct App 2008), *cert denied* 200 P3d 193 (2008); *Pflieger v State*, 952 So 2d 1251, 1254 (Fla Ct App 2007); *State v Marshall*, 114 Hawai'i 396, 402, 163 P3d 199, 205 (Ct App 2007), *cert denied* 117 Hawai'i 234 (2007); *United States v Forstell*, 656 F Supp 2d 578, 581 (ED Va 2009). But see *United States v Gorder*, 726 F Supp 2d 1307, 1314 (D Utah 2010); *People v Carreira*, 27 Misc 3d 293, 296 (Watertown City Ct 2010).



lack merit: the curative instruction during the prosecutor's summation corrected any perceived error (*see People v Heide*, 84 NY2d 943, 944 [1994]); it was not an abuse of discretion to permit a rebuttal witness (*see People v Anonymous*, 96 NY2d 839, 840 [2001]); defendant has failed to demonstrate that he was deprived of meaningful legal assistance (*see e.g. People v Baker*, 14 NY3d 266, 270 [2010]); and there was no basis for suppression (*see e.g. People v Edwards*, 14 NY3d 741, 742 [2010]).<sup>2</sup>

Accordingly, the order of the Appellate Division should be affirmed.

PIGOTT, J. (dissenting in part). While I concur with the majority's Confrontation Clause analysis, I part company with it on the reasonableness of the police officer's initial stop of defendant. The suppression court ruled that the police officer lacked probable cause to stop the defendant but for the fact that defendant had a Finger Lakes Community College sticker in the rear window (police officer: "I can't recall what side it was on, the left or the right").

Prior to 2001, all four Departments of the Appellate Division uniformly held that evidence obtained as a result of pretext stops was inadmissible (*see People v Young*, 241 AD2d 690 [3d Dept 1997]; *People v Roundtree*, 234 AD2d 612 [2d Dept 1996]; *People v Laws*, 213 AD2d 226 [1st Dept 1995]; *People v Cammarre*, 171 AD2d 1002 [4th Dept 1991]). Then, in *People v Robinson* (97 NY2d 341 [2001]), this Court adopted the rationale of *Whren v United States* (517 US 806 [1996]), which held that an investigatory stop is valid, regardless of the officer's motivation, so long as there is an *objectively reasonable* basis for it (*see id.* at 812-815).

In my view, the stop in this case was not objectively reasonable, and was premised on what could only be deemed a "de minimis" violation of Vehicle and Traffic Law § 375 (1) (b) (i). That section provides that "[t]he use or placing of posters or stickers on windshields or rear windows of motor vehicles other than those authorized by the commissioner, is hereby prohibited." The concern, of course, as the commissioner notes in the regulations, is that the placement of such items not approved by

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2. [2] Probable cause to believe that the Vehicle and Traffic Law has been violated provides an objectively reasonable basis for the police to stop a vehicle and, contrary to the dissent's suggestion, there is no exception for infractions that are subjectively characterized as "de minimis" (*see e.g. People v Robinson*, 97 NY2d 341, 349 [2001]).

the commissioner will “interfere with visibility” (15 NYCRR 174.1).

Here, the suppression court concluded that an anonymous tip and the fact that defendant’s car was weaving, but within its lane of traffic, were insufficient to justify the stop. However, the suppression court found that the presence of a transparent college sticker located on the bottom, left-hand corner of the rear windshield of defendant’s car at 1:26 a.m. provided sufficient justification to stop defendant’s vehicle. While having a sticker on the car’s back window may have transgressed section 375 (1) (b) (i), this is the type of school pride that is commonly exercised by New York drivers every day and, I suspect, the statute is rarely, if ever, enforced. Stopping a vehicle at 1:26 in the morning because of a college sticker on the back window is, in my view, not objectively reasonable and therefore the evidence discovered as a result of the stop should have been suppressed.

SMITH, J. (concurring). I join Judge Graffeo’s majority opinion, and add this concurrence to reply to the dissent.

I concede that my dissenting colleague has a point; like him, I am uncomfortable with what happened in this case. It presents an extreme example of the opportunities given to law enforcement officers by the United States Supreme Court’s holding in *Whren v United States* (517 US 806 [1996]), and ours in *People v Robinson* (97 NY2d 341 [2001]), that a traffic stop made with probable cause may not be challenged as pretextual—i.e., that the motive for the stop is irrelevant. Here, the pretext—a small sticker in a corner of a car’s rear window—is as transparent as the sticker. But under *Whren* and *Robinson* that does not matter.

The dissent suggests that, where police blatantly exploit a trivial offense, we can avoid the more unpleasant consequences of *Whren* and *Robinson* by finding the officers’ actions to be “not objectively reasonable” (dissenting op at 457). The dissent’s position is similar to that of the dissenters in *Atwater v Lago Vista* (532 US 318, 360-373 [2001, O’Connor, J., dissenting])—a case involving an arrest, not just a traffic stop. In *Atwater*, a woman was arrested, without a warrant, for an offense (having her children in the front seat of a car without seatbelts) punishable only by a fine under state law. The Supreme Court majority held that the arrest was consistent with the Fourth Amendment. It concluded that a state does not violate the Federal Constitution when it authorizes warrantless arrest for a criminal offense, no matter how minor (532 US at 354).

It is clear from *Atwater* that there was no violation of the Federal Constitution here. Indeed, for two reasons, this case is a fortiori from *Atwater*; defendant here was not arrested for the traffic infraction, and his offense, unlike *Atwater*'s, could theoretically be punished by imprisonment (see Vehicle and Traffic Law § 375 [32]). We have not addressed the *Atwater* issue in interpreting our State Constitution (NY Const, art I, § 12), though we have held that the seriousness of an offense is relevant to the validity of a search incident to arrest (*People v Marsh*, 20 NY2d 98, 102-103 [1967] [search not justified by arrest for "minor traffic violations"]; see also *People v Troiano*, 35 NY2d 476, 478 [1974] [suggesting that the rule of *Marsh* applies only "where an arrest was not necessary"]; *People v Howell*, 49 NY2d 778 [1980] [suppressing evidence in reliance on *Marsh* and *Troiano*]).

Today's dissent would hold that, under the State Constitution, an officer may be held to have acted unreasonably in stopping a car for a trivial violation of a statute. I would not accept this rule. Where the challenge is only to a traffic stop, the interference with a person's liberty is much less than when that person is arrested or searched. And while the dissent's rule may seem attractive in this case, it will be hard to administer: defendants will not hesitate to invoke it on less sympathetic facts than these, and deciding whether an officer used good judgment in stopping a car will become part of the routine fare of judges deciding suppression motions. The certainty and predictability that result from the *Whren* and *Robinson* holdings will be in large part lost.

My reluctance to agree with the dissent is fortified by my distaste for the suppression of relevant evidence as a remedy for every mistake a police officer makes. As I have said before, I think that the exclusionary rule is a blunt instrument that lets too many guilty people go free (see *People v Weaver*, 12 NY3d 433, 451 [2009, Smith, J., dissenting]; *People v Gavazzi*, 20 NY3d 907, 909-910 [2012, Smith, J., dissenting]). There are surely other remedies for law enforcement that is too aggressive. Here, the remedy seems obvious enough: the legislature can amend Vehicle and Traffic Law § 375 [1] [b] [i] to remove the ban on small, transparent stickers. That is preferable, I think, to dismissing a well-founded drunk driving prosecution because we think the sticker law has been over-enforced.

Chief Judge LIPPMAN and Judges READ and SMITH concur with Judge GRAFFEO; Judge SMITH in a separate concurring opinion; Judge PIGOTT dissents in part in an opinion; Judge RIVERA taking no part.

Order affirmed.

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[985 NE2d 899, 962 NYS2d 589]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DANIEL  
VASQUEZ, Appellant.

Argued January 10, 2013; decided February 19, 2013

### SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered September 13, 2011. The Appellate Division affirmed a judgment of the Supreme Court, Queens County (Richard L. Buchter, J.), which had convicted defendant, upon a jury verdict, of attempted robbery in the first degree, criminal possession of a weapon in the third degree, and menacing in the second degree.

*People v Vasquez*, 87 AD3d 1042, affirmed.

### HEADNOTES

#### **Crimes — Right to Counsel — Effective Representation — Failure to Object to Testimony Concerning Victim's Out-of-Court Identification**

1. In a prosecution for attempted robbery and related crimes, defendant's trial counsel was not ineffective for failing to object under CPL 710.30 to testimony about the victim's out-of-court identification of defendant. Shortly after being approached for money by a man on the street, the victim summoned the police, pointed to defendant as the person who had accosted him, and confirmed defendant as the perpetrator after defendant was arrested. After the victim was unable to identify defendant in court as the man who had accosted him, the arresting officer testified, pursuant to CPL 60.25, as to the victim's pre- and post-arrest identifications and that defendant was the person identified by the victim. Pursuant to CPL 710.30, the People only gave defendant notice of the victim's initial identification of defendant to the arresting officer. Assuming that the failure to give notice of the victim's post-arrest identification was a violation of section 710.30, such failure might not have resulted in exclusion of the evidence in question. The statute provides for the possibility of late notice and a belated suppression hearing when the People show good cause. An argument for preclusion could have been made, but not an argument so compelling that a failure to make it amounted to ineffective assistance of counsel. Any deficiency in counsel's performance was not so great that it could have supported an ineffective assistance claim.

#### **Crimes — Harmless and Prejudicial Error — Failure to Object to Testimony Concerning Victim's Out-of-Court Identification**

2. Defendant, who was convicted of attempted robbery and related crimes and claimed on appeal that he was denied effective assistance of counsel, did not show any serious likelihood that he was prejudiced by trial counsel's alleged error in failing to object to testimony concerning the victim's out-of-court identification of defendant. Even if the trial court had precluded evidence of the victim's post-arrest identification for the People's failure to

comply with the notice requirements of CPL 710.30, the evidence against defendant would remain strong. That evidence included the victim's description of an attempted robbery; the victim's pointing out of a man, whom the arresting officer identified as defendant, immediately after the crime; the victim's testimony that the would-be robber had thrown away a knife near a tree; the officer's recovery of the knife from that location; and defendant's admission to the grand jury that he had asked a "gentleman"—who the jury could readily infer was the victim—for money. Accordingly, it is hard to believe that a jury that did not know of the post-arrest identification would have been left in doubt of defendant's guilt. Under the circumstances here, where trial counsel committed at most a single, and not egregious, error, the absence of prejudice was fatal to defendant's claim of ineffective assistance under either the Federal or State Constitution.

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#### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 657, 666, 703, 707; AM JUR 2d, Criminal Law §§ 1135–1139; AM JUR 2d, Evidence § 573.

CARMODY-WAIT 2d, Right to Counsel §§ 184:162–184:167, 184:234, 184:240; CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:236–194:240.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.7, 11.10.

McKINNEY'S, CPL 60.25, 710.30.

NY JUR 2d, Criminal Law: Procedure §§ 864–870, 898, 906, 3569, 3570, 3572, 3573.

#### ANNOTATION REFERENCE

See ALR Index under Attorneys; Description and Identification.

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Query: ineffective /5 counsel & fail! /4 object & out-of-court /3 identification

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#### POINTS OF COUNSEL

*Lynn W.L. Fahey, Appellate Advocates*, New York City (Warren S. Landau of counsel), for appellant. Appellant was denied the effective assistance of counsel when defense counsel, who argued that the People failed to prove appellant's identity, failed to seek preclusion of the complainant's showup identification although the People had given no CPL 710.30 notice of their intent to elicit that evidence. (*Strickland v Washington*, 466 US 668; *People v Turner*, 5 NY3d 476; *People v Baldi*, 54 NY2d 137;



*People v Benevento*, 91 NY2d 708; *People v Zaborski*, 59 NY2d 863; *People v Caban*, 5 NY3d 143; *Murray v Carrier*, 477 US 478; *Kimmelman v Morrison*, 477 US 365; *United States v Cronin*, 466 US 648; *People v Cass*, 18 NY3d 553.)

*Daniel Vasquez*, appellant pro se. I. Appellant was denied effective assistance of counsel when defense counsel failed to properly object to the admission of hearsay identification testimony and the Court's decision to allow the arresting officer to testify regarding the victim's out-of-court identification violated the requirements of CPL 60.25 and did not meet the statutory exception to the *Trowbridge* bolstering doctrine. (*People v LaBree*, 34 NY2d 257; *People v Prado*, 4 NY3d 725; *People v Brown*, 45 NY2d 852; *Strickland v Washington*, 466 US 668; *People v Riley*, 101 AD2d 710; *People v Zaborski*, 59 NY2d 863; *People v Bayron*, 66 NY2d 77; *People v Quevas*, 81 NY2d 41; *Brady v Maryland*, 373 US 83; *Manson v Brathwaite*, 432 US 98.) II. Defendant was deprived of a fair trial, where the jury was tainted by the assistant district attorney, who maliciously misstated and fabricated her own version of the 911 transcribance to the jury at summation, after the Court previously corrected and ruled on the true contents of the 911 transcribance, denying appellant due process of law. (*People v Moye*, 52 AD3d 1; *People v Paperno*, 54 NY2d 294; *Berger v United States*, 295 US 78; *People v Lovello*, 1 NY2d 436; *People v Torres*, 223 AD2d 741; *People v Allen*, 127 AD2d 840; *People v Russell*, 307 AD2d 385; *People v Fielding*, 158 NY 542; *People v Esposito*, 224 NY 370; *People v Collins*, 12 AD3d 33.)

*Richard A. Brown*, District Attorney, Kew Gardens (*Donna Aldea* and *John M. Castellano* of counsel), for respondent. I. Defendant received meaningful representation at trial and his attorney committed no error—let alone any prejudicial error—by not registering a baseless objection to identification testimony on the grounds of deficient notice when notice was not legally required and was, in any event, waived by counsel's strategic choice to litigate the constitutionality of the identification procedures at the hearing. (*Strickland v Washington*, 466 US 668; *People v Benevento*, 91 NY2d 708; *People v Baldi*, 54 NY2d 137; *People v Baker*, 14 NY3d 266; *People v Satterfield*, 66 NY2d 796; *People v Borrell*, 12 NY3d 365; *People v Turner*, 5 NY3d 476; *People v Henry*, 95 NY2d 563; *People v Flores*, 84 NY2d 184; *People v Rivera*, 71 NY2d 705.) II. Defendant's claim that the prosecutor improperly relied on an incorrect transcription of the victim's 911 call during her summation is unpreserved

and without merit. (*People v Fleming*, 70 NY2d 947; *People v Gajadhar*, 38 AD3d 127; *People v Halm*, 81 NY2d 819; *People v Ashwal*, 39 NY2d 105; *People v Crimmins*, 36 NY2d 230; *People v Galloway*, 54 NY2d 396; *People v Wood*, 66 NY2d 374.)

#### OPINION OF THE COURT

SMITH, J.

We hold that defendant's trial counsel was not ineffective for failing to object under CPL 710.30 to testimony about a victim's out-of-court identification.

#### I

A jury convicted defendant of attempted robbery, menacing and possession of a weapon, based on evidence that defendant approached a man in the street, asked for money, and pointed a knife at him. Evidence at trial showed that the victim ran into a nearby store and called 911. When Officer Brian Herbert responded to the call, defendant was still in the vicinity; the victim pointed him out, and Herbert arrested him. After the arrest, before taking defendant to the station house, Herbert asked the victim if he was sure that this was the man who robbed him, and the victim said "yes."

Thus, the victim twice said to Herbert that defendant was the guilty party—before the arrest, when he pointed him out, and after it, when he told the officer he was sure. However, the People's notice of intention to offer identification testimony, served before trial pursuant to CPL 710.30 (1) (b), said only:

"the People intend to offer at trial testimony of a witness, [naming the victim], who identified the defendant in a Pointout, on July 4, 2007, at approximately 10:08 P.m., at Cypress Avenue and Madison Street."

The notice did not mention that the victim had also said he was sure of his identification a few minutes later, while viewing defendant in Herbert's custody.

Defendant moved to suppress the point-out identification. The motion was denied after a *Wade* hearing at which Herbert was the only witness. The victim's post-arrest statement to Herbert was not mentioned at the hearing.

At trial, the People's first witness was Herbert, who testified that he responded to a radio call, went to the scene and spoke to the victim, arrested defendant and recovered a knife from a tree

nearby. The second witness was the victim, who described his encounter with a man who tried to rob him. The victim said that he had pointed the man out to a police officer, and that the officer had arrested the offender, but the victim was not able to identify defendant in court as the man who committed the crime. He did say, however, that he had seen the offender throw away a knife near a tree, and that he had given that information to the officer.

The victim testified that, before the officer made the arrest, the person he arrested turned a corner and was briefly out of the victim's sight. In this, the victim's recollection differed from Herbert's; Herbert had testified that he arrested defendant on the corner. The victim also testified, without objection, that he had seen the person the officer had in custody, and that that person was indeed the would-be robber.

After the victim testified, the People re-called Herbert to give testimony authorized by CPL 60.25. Section 60.25 (1) (a) applies where a witness testifies that he "observed" a person at the time and place of a crime or on another "incriminating occasion," and that he later saw someone he recognized to be the same person, but cannot say at trial whether that person was the defendant. In such cases, the witness may testify that he observed the same person both times, and another witness may supply the missing link by testifying that the defendant was the person observed on the second occasion (CPL 60.25 [2]).

Here, the victim had testified to what may be viewed as three separate occasions, close to each other in time, on which he observed the man who tried to rob him: the crime itself; the moment when he pointed the offender out to Herbert; and the moment when he saw the arrested man in Herbert's custody. Herbert testified about both the second and third observations; the critical one for our purposes is the third. Herbert recounted the victim's post-arrest statement that he was sure the man arrested—identified by Herbert as defendant—was the man who robbed him. Defense counsel questioned whether the prerequisites of CPL 60.25 had been met, but did not object to testimony about the post-arrest statement on the ground that it was omitted from the pretrial CPL 710.30 notice.

The People concluded their case by offering defendant's testimony before the grand jury, in which he said that, just before being arrested, he had asked "a gentleman" for change (without brandishing a weapon); and that the gentleman "went

in this restaurant and I guess maybe he misunderstood me . . . but when he came back out there was police around.”

Defendant was convicted. He argued on appeal that the People had violated CPL 710.30, and that trial counsel’s failure to raise that issue deprived him of the effective assistance of counsel. The Appellate Division held that the section 710.30 issue was unpreserved, and added that “although the trial court may have erred in admitting the showup identification testimony . . . any such error was harmless” (*People v Vasquez*, 87 AD3d 1042, 1043 [2d Dept 2011]). The court also held that “defendant was not deprived of the effective assistance of counsel, as defense counsel provided meaningful representation” (*id.*). A Judge of this Court granted leave to appeal (18 NY3d 862 [2011]), and we now affirm.

## II

CPL 710.30 requires the People to serve on a defendant, before trial, a notice of their intention to offer “testimony regarding an observation of the defendant either at the time or place of the commission of the offense or upon some other occasion relevant to the case, to be given by a witness who has previously identified him as such.” The notice “must be served within fifteen days after arraignment and before trial” but the court may permit a late notice “[f]or good cause shown” and if it does so “must accord the defendant reasonable opportunity thereafter to make a suppression motion” (CPL 710.30 [2]). When no notice is served, evidence of the kind specified in the statute may not be offered, unless defendant “has, despite the lack of such notice, moved to suppress such evidence and such motion has been denied” (CPL 710.30 [3]). Defendant contends that he was entitled under this statute to the suppression of testimony about the victim’s post-arrest identification.

[1] We do not decide whether a CPL 710.30 violation justifying suppression occurred in this case. We are satisfied that, if defense counsel did make a mistake in failing to object to the evidence, the mistake was not so “egregious and prejudicial” as to deprive defendant of a fair trial (*People v Caban*, 5 NY3d 143, 152 [2005]).

The People argue that there was no CPL 710.30 violation, saying among other things that the point-out was not separable from the post-arrest conversation minutes later. Because the two are part of the same continuum of events, the People say, the notification of the point-out gave defendant all the notice

that he was entitled to. The argument is not without merit, especially if the People, when they served their CPL 710.30 notice, did not know (and nothing in the record indicates they did know) that the victim would testify at trial that he lost sight of the offender between his two conversations with the officer. If the offender was continuously in the victim's view, the argument that there was really only one post-crime "observation," even though the victim identified defendant twice within a few minutes' time, seems a reasonable one. It is more plausible to speak of two observations—and the victim's post-arrest statement that he was sure the officer had the right man takes on greater importance—if the victim's view of the offender was interrupted.

Assuming that there was a section 710.30 violation, it might not have resulted in exclusion of the evidence in question. CPL 710.30 (2) provides for the possibility of late notice, and a belated suppression hearing, when the People show "good cause." The belated notice and hearing may occur during the trial (*People v Anderson*, 66 NY2d 529, 537 [1985]), and if the trial court thought the People had made an excusable error it might have granted such a remedy here.

In short, it is not obvious that defendant's counsel could have successfully sought preclusion of the evidence of the victim's post-arrest identification under section 710.30. An argument for preclusion could have been made, but not an argument "so compelling that a failure to make it amounted to ineffective assistance of counsel" (*People v Carter*, 7 NY3d 875, 877 [2006]). Counsel's performance should not be "second-guessed with the clarity of hindsight" (*People v Benevento*, 91 NY2d 708, 712 [1998]). Any deficiency in her performance was not so great that it can support an ineffective assistance claim.

[2] Nor has defendant shown any serious likelihood that he was prejudiced by trial counsel's alleged error. Even if the trial court had precluded evidence of the victim's post-arrest identification, the evidence against defendant would remain strong. That evidence included the victim's description of an attempted robbery; the victim's pointing out of a man, whom Herbert identified as defendant, immediately after the crime; the victim's testimony that the would-be robber had thrown away a knife near a tree; Herbert's recovery of the knife from that location; and defendant's admission to the grand jury that he had asked a "gentleman"—who the jury could readily infer was the victim—for money. It is hard to believe that, in light of

this evidence, a jury that did not know of the post-arrest identification would have been left in doubt of defendant's guilt.

[1] Under the Federal Constitution, a defendant claiming ineffective assistance of counsel "must show that there is a reasonable probability that, but for counsel's unprofessional errors, the result of the proceeding would have been different" (*Strickland v Washington*, 466 US 668, 694 [1984])—a showing defendant cannot make here. Under our State Constitution, a showing of prejudice is "not indispensable" but it is nevertheless "significant" in evaluating a claim of this kind (*People v Stultz*, 2 NY3d 277, 284 [2004]). Under the circumstances here, where trial counsel committed at most a single, and not egregious, error, the absence of prejudice is fatal to defendant's claim.

The arguments made in defendant's pro se brief are not preserved for our review.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and PIGOTT concur; Judge RIVERA taking no part.

Order affirmed.

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[985 NE2d 911, 962 NYS2d 600]

In the Matter of M.G.M. INSULATION, INC., et al., Appellants, v  
COLLEEN C. GARDNER, as Commissioner of Labor, Respon-  
dent.

Argued January 2, 2013; decided February 19, 2013

### SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment of the Appellate Division of the Supreme Court in the Third Judicial Department, entered July 21, 2011, in a proceeding pursuant to CPLR article 78 (initiated in the Appellate Division pursuant to Labor Law § 220). The Appellate Division confirmed a determination of respondent Colleen C. Gardner, as Commissioner of Labor, which had found that the contract entered into between the Bath Volunteer Fire Department, Inc. and petitioner R-J Taylor General Contractors, Inc. for the construction of a new firehouse was subject to the prevailing wage laws of Labor Law article 8, and dismissed the petition.

*Matter of M.G.M. Insulation, Inc. v Gardner*, 86 AD3d 812, reversed.

### HEADNOTE

#### **Labor — Prevailing Rate of Wages — Contract Involving Volunteer Fire Department**

The prevailing wage requirement of Labor Law § 220 was not applicable to a construction contract for a new firehouse entered into by a volunteer fire department since no public agency, as contemplated by the statute, was a party to the contract. The prevailing wage law covers contracts involving each of four specific public entities: the state, a public benefit corporation, a municipal corporation or a commission appointed pursuant to law (*see* Labor Law § 220 [2]) and the fire department was not one of the public entities named in the statute. Respondent Commissioner of Labor incorrectly determined that the fire department, a not-for-profit fire corporation, was the “functional equivalent” of a municipal corporation and was therefore a covered entity under section 220, as a “functional equivalent” test has been previously rejected by the Court of Appeals. Had the legislature intended to include volunteer fire corporations under the statute, it could easily have done so. Nor did protection services agreements between the fire department and the municipality constitute a contract for public work within the meaning of the prevailing wage law. Those agreements were for emergency fire protection services pursuant to Village Law § 4-412 (9) and did not contemplate the work involved here, the construction of a new firehouse.

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### RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d, Public Works and Contracts §§ 213, 216, 224.

McKINNEY'S, Labor Law § 220 (2).

NY JUR 2d, Public Works and Contracts §§ 94, 95.

#### ANNOTATION REFERENCE

What entities or projects are “public” for purposes of state statutes requiring payment of prevailing wages on public works projects. 5 ALR5th 470.

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#### POINTS OF COUNSEL

*Gates & Adams, P.C.*, Rochester (*Anthony J. Adams, Jr.*, of counsel), for appellants. I. Prevailing wage requirements apply only to those entities specified in Labor Law § 220. (*Matter of Erie County Indus. Dev. Agency v Roberts*, 94 AD2d 532, 63 NY2d 810; *Bruckhman v Giuliani*, 94 NY2d 387; *Varsity Tr. v Saporita*, 71 AD2d 643, 48 NY2d 767; *New York State Coalition for Criminal Justice v Coughlin*, 64 NY2d 660; *Matter of New York Charter School Assn. v Smith*, 15 NY3d 403; *Tri-City Elec. Co. v People*, 96 AD2d 146, 63 NY2d 969; *Bender v Jamaica Hosp.*, 40 NY2d 560; *Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669.) II. “Substantial evidence” is not the test of whether the Commissioner exceeded her statutory enforcement authority by extending it to “functional equivalents” of specified entities. (*Matter of Rosenbluth v Finkelstein*, 300 NY 402; *Matter of National Merchandising Corp. v Public Serv. Commn.*, 5 NY2d 485; *Matter of Raritan Dev. Corp. v Silva*, 91 NY2d 98; *Matter of Erie County Indus. Dev. Agency v Roberts*, 94 AD2d 532; *Matter of National R.R. Passenger Corp. v Hartnett*, 169 AD2d 127; *Matter of Stephens & Rankin v Hartnett*, 160 AD2d 1201; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Doctors Council v New York City Employees' Retirement Sys.*, 71 NY2d 669; *Cattaraugus Community Action v Hartnett*, 166 AD2d 891; *Matter of Pyramid Co. of Onondaga v New York State Dept. of Labor*, 223 AD2d 285.) III. As a matter of law the Bath Volunteer Fire Department firehouse project was not a “public work.” (*Matter of Erie County Indus. Dev. Agency v Roberts*, 94 AD2d 532, 63 NY2d 810; *Varsity Tr. v Saporita*, 71 AD2d 643; *Matter of National R.R. Passenger Corp. v Hartnett*, 169 AD2d 127; *Matter of Vulcan Affordable Hous. Corp. v Hart-*

*nett*, 151 AD2d 84; *Cattaraugus Community Action v Hartnett*, 166 AD2d 891; *Matter of 60 Mkt. St. Assoc. v Hartnett*, 153 AD2d 205, 76 NY2d 993.)

*Eric T. Schneiderman, Attorney General, Albany (Zainab A. Chaudhry, Barbara D. Underwood and Andrew D. Bing of counsel)*, for respondent. I. The firehouse project satisfies the first prong of the *Matter of Erie County Indus. Dev. Agency v Roberts* (94 AD2d 532 [1983]) prevailing wage law test. (*Harland Enters. v Commander Oil Corp.*, 64 NY2d 708; *Matter of Westchester Rockland Newspapers v Kimball*, 50 NY2d 575; *Miller v Morania Oil of Long Is., O.C.P.*, 194 AD2d 770; *Helman v County of Warren*, 114 AD2d 573; *Matter of New York Charter School Assn. v Smith*, 15 NY3d 403; *Matter of New York Charter Schools Assn., Inc. v DiNapoli*, 13 NY3d 120; *Janusaitis v Middlebury Volunteer Fire Dept.*, 607 F2d 17; *Gibson v Hurleyville Fire Co. No. 1*, 1 F Supp 2d 329; *United States v Craft*, 535 US 274; *Matter of Oswald N.*, 87 NY2d 98.) II. The firehouse project is a public work and thus satisfies the second prong of the *Matter of Erie County Indus. Dev. Agency v Roberts* (94 AD2d 532 [1983]) test. (*Matter of 60 Mkt. St. Assoc. v Hartnett*, 153 AD2d 205, 76 NY2d 993; *Harland Enters. v Commander Oil Corp.*, 64 NY2d 708; *Matter of Long Is. Light. Co. v Industrial Commr. of N.Y. State*, 40 AD2d 1003, 34 NY2d 725; *Fehrer Rubbish Removal, Inc. v New York State Dept. of Labor, Bur. of Pub. Works*, 28 AD3d 1, 6 NY3d 711; *Matter of Sarkisian Bros. v Hartnett*, 172 AD2d 895, 78 NY2d 859; *Matter of Pyramid Co. of Onondaga v New York State Dept. of Labor*, 223 AD2d 285.)

*Couch White, LLP, Albany (Joel M. Howard, III, of counsel)*, for Associated General Contractors of New York State, LLC, amicus curiae. I. The new standard of review promulgated by the “functional equivalent” test departs from decades of legislative and judicial determinations. (*Matter of Erie County Indus. Dev. Agency v Roberts*, 94 AD2d 532, 63 NY2d 810; *Matter of National R.R. Passenger Corp. v Hartnett*, 169 AD2d 127; *Matter of Pyramid Co. of Onondaga v New York State Dept. of Labor*, 223 AD2d 285; *Matter of Stephens & Rankin v Hartnett*, 160 AD2d 1201; *Matter of New York Charter School Assn. v Smith*, 15 NY3d 403.) II. The uncertainty generated by the “functional equivalent” standard will have a detrimental impact on the construction industry statewide. (*Matter of Naftilos Painting & Sandblasting v Hartnett*, 173 AD2d 964; *Matter of Taj Airconditioning & Refrig. Co. v Goldin*, 158 AD2d 350; *Matter of*

*Chesterfield Assoc. v New York State Dept. of Labor*, 3 AD3d 491; *Matter of City Constr. Dev. v Hartnett*, 192 AD2d 651; *Matter of Sierra Telecom Servs. v Hartnett*, 174 AD2d 279.)

*Couch White, LLP*, Albany (Joel M. Howard, III, of counsel), for Empire State Chapter of the Associated Builders and Contractors, Inc., amicus curiae. I. The Department of Labor's "functional equivalent" test constitutes an impermissible administrative amendment to Labor Law § 220 (2). (*Matter of New York Charter School Assn. v Smith*, 15 NY3d 403; *Weiss v City of New York*, 95 NY2d 1; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801; *Boreali v Axelrod*, 71 NY2d 1; *Packer Coll. Inst. v University of State of N.Y.*, 298 NY 184; *Ellicott Group, LLC v State of N.Y. Exec. Dept. Off. of Gen. Servs.*, 85 AD3d 48; *Matter of Pyramid Co. of Onondaga v New York State Dept. of Labor*, 223 AD2d 285.) II. The broad discretion assumed by the Department of Labor to determine "functional equivalents" is ripe for abuse and selective enforcement. (*Matter of Cayuga-Onondaga Counties Bd. of Coop. Educ. Servs. v Sweeney*, 89 NY2d 395; *Matter of CNP Mech., Inc. v Angello*, 31 AD3d 925.)

*Hurwitz Law, P.C.*, Rochester (Jayme Hurwitz of counsel), for Firemen's Association of the State of New York, amicus curiae. I. The Department of Labor may not bring fire corporations within the reach of Labor Law § 220 when the legislature has declined to do so. (*Helman v County of Warren*, 114 AD2d 573; *Steitz v City of Beacon*, 295 NY 51; *Moch Co. v Rensselaer Water Co.*, 247 NY 160; *People v Tychanski*, 78 NY2d 909; *Pajak v Pajak*, 56 NY2d 394; *Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Matter of Town of Riverhead v New York State Bd. of Real Prop. Servs.*, 5 NY3d 36; *Walker v Town of Hempstead*, 84 NY2d 360; *Matter of Roberts v Community School Bd. of Community Dist. No. 6*, 66 NY2d 652.) II. Standard service agreements made between a village and a volunteer fire corporation are not agreements "which may involve the employment of laborers, workers or mechanics" under Labor Law § 220. (*Matter of New York Charter School Assn. v Smith*, 15 NY3d 403.)

*McMahon, Kublick & Smith, P.C.*, Syracuse (Jan S. Kublick of counsel), for New York State Council of the National Electrical Contractors Association Chapters, amicus curiae. I. The functional equivalence test would not result in a high level of

uncertainty, and offers much needed guidance. II. A functional equivalency standard is needed in an increasingly complicated contracting environment. (*Matter of Griffiss Local Dev. Corp. v State of N.Y. Auth. Budget Off.*, 85 AD3d 1402, 17 NY3d 714; *Matter of New York Charter School Assn. v Smith*, 15 NY3d 403.) III. Empire State Chapter of Associated Builders and Contractors, Inc.'s and Associated General Contractors of New York State, LLC's claim that prevailing wage requirements significantly increase construction costs are unfounded. IV. Prevailing wages support local economic development. V. Empire State Chapter of Associated Builders and Contractors, Inc.'s and Associated General Contractors of New York State, LLC's claim that prevailing wage is discriminatory is not empirically supported and is not a reason to weaken prevailing wage. VI. Acceptance of prevailing wage extends well beyond labor unions.

#### OPINION OF THE COURT

PIGOTT, J.

In this CPLR article 78 proceeding, we are asked to determine whether the prevailing wage requirement of Labor Law § 220 is applicable to a construction contract entered into by the Bath Volunteer Fire Department (BVFD). We hold that because no public agency, as contemplated by the statute, is a party to the contract, the prevailing wage law does not apply.

The Bath Volunteer Fire Department is a not-for-profit fire corporation under Not-For-Profit Corporation Law § 1402. Historically, it operated from a building owned by the Village of Bath. Sometime prior to 2002, it determined that the facility was inadequate for its needs. After the Village declined to build it a new firehouse, BVFD commissioned a feasibility study and obtained its own financing for the construction of one. It acquired land and invited contractors to bid for the construction work. In September 2006, it hired petitioner R-J Taylor General Contractors, Inc. (Taylor) as the general contractor. Taylor subsequently hired a number of subcontractors to construct the various portions of the firehouse.

After an investigation, the Department of Labor (DOL) issued an opinion letter, concluding that the firehouse project was a public work subject to the prevailing wage law. Once the subcontractors learned of the DOL's determination, work on the project halted. In December 2006, BVFD agreed to indemnify Taylor and its subcontractors against any liability resulting from their failure to pay the prevailing wages, and construction resumed and the project was completed.



In the meantime, an administrative hearing was held on the question of the applicability of the prevailing wage law to the firehouse project. The Hearing Officer determined that the project was subject to the prevailing wage law, concluding that the firehouse project satisfied both prongs of the so-called *Erie County* test for prevailing wage law applicability (see *Matter of Erie County Indus. Dev. Agency v Roberts*, 94 AD2d 532 [1983], *affd for reasons stated below* 63 NY2d 810 [1984]). Specifically, the Hearing Officer concluded that volunteer fire corporations, such as BVFD, are the “functional equivalent[s]” of municipal corporations and are therefore “covered entities” under Labor Law § 220. In the alternative, the Hearing Officer reasoned that even if a volunteer fire corporation did not generally satisfy the public entity test, the protection services agreement between BVFD and the Village of Bath satisfied the first prong of the test. Further, because the Village authorized and supported the firehouse project, and the object of the project entailed provision of fire protection services for the community, the project satisfied the “public works” requirement.

Petitioners commenced this article 78 proceeding for review of that determination. The Appellate Division confirmed the determination and dismissed the petition (86 AD3d 812 [3d Dept 2011]). This Court granted petitioners’ motion for leave to appeal (18 NY3d 806 [2012]) and we now reverse.

We begin by considering whether the first prong of the *Erie County* test—the public agency prong—has been met. The prevailing wage law covers contracts involving each of four specific public entities: the state, a public benefit corporation, a municipal corporation or a commission appointed pursuant to law (see Labor Law § 220 [2]). It is undisputed that BVFD is a fire corporation as defined by the Not-For-Profit Corporation Law, and it is not one of the public entities named in the statute. Nevertheless, the Commissioner determined that BVFD could be deemed “the functional equivalent” of a “municipal department” within the meaning of the Labor Law. In doing so, the Commissioner considered, among other things, that volunteer fire corporations receive immunity for negligence in extinguishing fires just like district and municipal fire corporations; members of volunteer fire corporations enjoy many of the same benefits as public service employees, including immunity from liability in performance of their duties; and volunteer fire corporations are statutorily under the supervision of the municipality they service.



The “functional equivalent” test, however, was rejected by this Court in *Matter of New York Charter School Assn. v Smith* (15 NY3d 403 [2010]). There, the DOL deemed charter schools “public benefit corporations” because the schools serve a valuable public purpose and their existence is the result of a charter issued by a state or local municipal entity. Given those factors, the DOL determined that charter schools met the requirements established by the courts of this State for public work projects. We rejected that argument because while charter schools, like volunteer fire corporations, may be “quasi-public” in nature, they are not a specified public entity and thus, do not fit within the ambit of the statute (*id.* at 410).

Had the legislature intended to include volunteer fire corporations under the statute, it could easily have done so. Notably, in 2007, the legislature expanded the statute’s coverage to include contracts involving other types of entities, but only when it can be shown they were acting on behalf of the public entity (Labor Law § 220 [2]; *see Charter School Assn.*, 15 NY3d at 410). Indeed, certain volunteer fire department contracts may fall under the prevailing wage law based on the amendment language. At the time of this contract, however, the 2007 amendment of the prevailing wage law did not exist.

The Commissioner argues alternatively that the service agreements entered into with the Village trigger the prevailing wage requirement. However, these contracts are for emergency services pursuant to Village Law § 4-412 (9). That provision empowers a village to contract with the local fire corporation for the “furnishing of fire protection within the village” (*id.*). The service agreements do not include any provision contemplating the work involved here: the construction of a new firehouse (*see Charter School Assn.*, 15 NY3d at 409). Thus, the service agreements are not a contract for public work within the meaning of the prevailing wage law.

Because of our determination, we need not reach the issue of whether the construction project meets the criteria of a “public work” under the second prong of the prevailing wage law test.

Accordingly, the judgment of the Appellate Division should be reversed, with costs, the petition should be granted and respondent’s determination should be annulled.

Chief Judge LIPPMAN (dissenting). Article I, section 17 of our State Constitution commands that

“[n]o laborer, worker or mechanic, in the employ  
of a contractor or sub-contractor engaged in the

performance of any public work . . . [shall] be paid less than the rate of wages prevailing in the same trade or occupation in the locality within the state where such public work is to be situated, erected or used.”

The provision says absolutely nothing about public agency contracting; it simply requires that the prevailing wage be paid to workers engaged in the performance of “any public work.” Conditioning payment of the prevailing wage upon the existence of a contract with a public agency, is an interpolation traceable instead to the legislature, which, in implementing article I, section 17, provided that “[e]ach contract [for a public work] to which the state or a public benefit corporation or a municipal corporation or a commission appointed pursuant to law is a party . . . and which may involve the employment of laborers, workers or mechanics” would trigger the prevailing wage requirement (Labor Law § 220 [2], [3]). Although this language could have been understood differently, it was judicially read as limiting the prevailing wage requirement to work contracted for by a public agency (see *Matter of Erie County Indus. Dev. Agency v Roberts*, 94 AD2d 532 [4th Dept 1983], *affd* 63 NY2d 810 [1984]). And, while this construction was dicta in *Erie County*—a case which turned entirely upon whether the contracted for project qualified as a public work (94 AD2d at 537-540)—it has stuck, with results, likely unforeseen, that are now generally acknowledged to have been incompatible with the categorical constitutional command that workers employed on public works be paid the prevailing wage. In *Matter of Pyramid Co. of Onondaga v New York State Dept. of Labor* (223 AD2d 285 [1996]), the most commonly cited example of this disjunction, a highway ramp constructed by a private party pursuant to a State Department of Transportation permit was found to be a public work (*id.* at 287), but the Appellate Division was constrained to deem it immune from section 220’s prevailing wage requirement because, notwithstanding the state permit and the contemplated state ownership of the ramp once completed, the State had not itself contracted for the improvement (*id.* at 288).

To address what is now commonly referred to as the “loop-hole” created by section 220’s original public agency contract requirement, the statute was amended in 2007 to provide, in substance, that that requirement could be met not only by the already specifically enumerated public entities, but also by third parties contracting for a public work on a public entity’s behalf (see Labor Law § 220 [2] [as amended by L 2007, ch 678]).

The contract for the construction of the new Bath firehouse was entered into by the Bath Volunteer Fire Department (the BVFD) and R-J Taylor General Contractors, Inc. in 2006. It was, then, not subject to section 220's "loophole" closing amendment. Had it been, it is clear that it would have qualified as a prevailing wage trigger, since it was plainly a contract for a public work—a firehouse having as its purpose the provision of a quintessentially governmental service under municipal control (*see* N-PCL 1402 [e] [1])<sup>1</sup>—and was executed by a party (the BVFD) duly found by the Commissioner, after an evidentiary hearing at which the Village of Bath's close financial and consultative involvement with the firehouse construction project was set upon the record, to have been contracting on behalf of a municipal entity.

The question thus arising is whether respondent Commissioner should be deemed to have erred when, in September 2010—that is to say, subsequent to section 220's remedial amendment and the attendant recognition of the pre-amendment statute's inadequacy (*see* Governor's Mem approving L 2007, ch 678, 2007 NY Legis Ann at 425)—she construed the pre-amendment statute to capture, as an entity capable of triggering the prevailing wage requirement, a fire corporation, clearly acting in the stead of and for the benefit of a statutorily covered municipal entity, and doing so for the frankly acknowledged purpose of avoiding the prevailing wage requirement.<sup>2</sup> While plugging a legislative loophole is ordinarily a legislative task and, as such, not one appropriate for an administrative agency, the situation confronting the Commissioner was not so clear-cut. The Commissioner was charged with enforcing a statute that in its pre-amendment form was, as it had been read, demonstrably unequal to and, indeed, an occasional impediment to achieving the constitutional objective of assuring that workers employed on public works projects would be paid the prevailing wage. The liberty that the Commissioner took with the statute's application—employing the concept of functional equivalency to treat the BVFD as a municipal entity within the

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1. This provision states in relevant part that special Type B "fire corporations," such as the BVFD, are subject to "the control of the city, village, fire district or town authorities having, by law, control over the prevention or extinguishment of fires therein" (N-PCL 1402 [e] [1]).

2. The Chief of the BVFD acknowledged at the administrative hearing that "the reason we [the BVFD] were owning the station [ ] [was] because we could significantly lower the labor rates . . . ."

statutory enumeration—does not in this unusual legal and temporal context appear at all unreasonable as a means of achieving what the statute, in implementing article I, section 17 of the State Constitution, was supposed to, but sometimes failed to, accomplish because of its legislatively acknowledged “loop-hole.”

Having said this, I acknowledge that the rules of statutory construction, acontextually deployed, plausibly support the result the Court has reached. The statute said what it said in 2006 and its enumeration of entities capable of triggering the prevailing wage requirement admits of being understood as exclusive, if one’s understanding is guided solely by the commonly applied statutory construction maxim that what the legislature did not include when it undertook to describe the situations to which an enactment would apply, it intended to omit (see e.g. *Walker v Town of Hempstead*, 84 NY2d 360, 367 [1994]; *Patrolmen’s Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208-209 [1976]).

But, leaving aside the circumstance that, as has been clear since the statute’s 2007 “loophole” patching amendment, the omission which the Court now vests with decisive import, was not intentional but simply attributable to a failure to anticipate a device by which the prevailing wage mandate could and would be circumvented by public agencies, application of the relied upon maxim does not require today’s constitutionally dissonant redux of the *Pyramid* anomaly. This is because it is clear that, as the Commissioner found, the Village of Bath—a municipal entity indisputably covered by the unamended statute’s enumeration—itself triggered the prevailing wage requirement when, in the annual contract pursuant to which it retained the services of the BVFD, it agreed to increase BVFD’s fee by \$150,000—an uncommonly large ongoing commitment for a small municipality—for the clearly understood purpose of amortizing the debt to be assumed by the BVFD in connection with its financing of the construction of the Bath firehouse. While it is the majority’s view that the subject services contract was for services only, and it is true that the contract did not expressly provide that the additional funding was to be applied to pay for the firehouse, the factual record made at the administrative hearing leaves not the slightest doubt that the contract did contemplate in a most concrete way the construction of the new village firehouse.

The chartering of a school, this Court has held, is not an agreement susceptible of description pursuant to Labor Law

§ 220 (2) as one “which may involve the employment of laborers, workers or mechanics” and thus may not occasion the applicability of the prevailing wage (*Matter of New York Charter School Assn. v Smith*, 15 NY3d 403, 409 [2010]). But, as the Court simultaneously acknowledged, an agreement pursuant to which money is paid for contemplated construction is quite different (*id.*, citing *Matter of 60 Mkt. St. Assoc. v Hartnett*, 153 AD2d 205 [3d Dept 1990], *affd* 76 NY2d 993 [1990]; *Matter of National R.R. Passenger Corp. v Hartnett*, 169 AD2d 127 [3d Dept 1991]). When public entities enter into agreements involving, even remotely, public payment for construction, the threshold for public entity contracting within the description of Labor Law § 220 (2) has been deemed to have been crossed (*see e.g. Matter of Bridgestone/Firestone, Inc. v Hartnett*, 175 AD2d 495 [3d Dept 1991] [warranty purchased on the State’s behalf and eventually used to pay for a roof repair held to satisfy the public agency contracting requirement]). And, this is in keeping with the often adverted to admonition that section 220 “is to be interpreted with the degree of liberality essential to the attainment of the end in view,” namely, that the State’s territorial subdivisions will be held “to a standard of social justice in their dealings with laborers, workmen and mechanics” (*Bucci v Village of Port Chester*, 22 NY2d 195, 201 [1968] [internal quotation marks omitted]). It cannot be consistent with that admonition for the Court to hold, as it now does, that service agreements requiring annual payments by a municipality of public monies in substantial additional increments, explicable and explained in the extensive administrative record only as amounts necessary to service debt incurred in the construction of a village firehouse, are not contracts which “may involve the employment of laborers, workers or mechanics,” and thus are not contracts for public work within the meaning of the Labor Law.

The confirmed factual finding of the Administrative Hearing Officer was that “the municipalities, [while] aware of and supporting the construction of a new firehouse, specifically agreed to increase the payments under the fire protection service agreement in amounts sufficient to fund its construction and loan amortization.” It is only by overlooking this unreviewable finding (*see Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222, 230 [1974] [“the doctrine is well settled, that neither the Appellate Division nor the Court of Appeals

has power to upset the determination of an administrative tribunal on a question of fact'' [internal quotation marks omitted]), that the Court today manages to grant a state subdivision a dispensation from the prevailing wage law.

I would affirm the well-considered decision and order of the Appellate Division confirming the Commissioner's determination and dismissing the petition.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Chief Judge LIPPMAN dissents and votes to affirm in an opinion; Judge RIVERA taking no part.

Judgment reversed, with costs, petition granted and respondent's determination annulled.

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[986 NE2d 898, 964 NYS2d 64]

SUNRISE CHECK CASHING AND PAYROLL SERVICES, INC., et al.,  
Respondents, v TOWN OF HEMPSTEAD, Appellant.

Argued January 7, 2013; decided February 14, 2013

### SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 29, 2011. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, Nassau County (Antonio I. Brandveen, J.; op 2010 NY Slip Op 31005[U] [2010]), as had denied plaintiffs' motion for summary judgment and granted defendant's cross motion for summary judgment dismissing the complaint, in effect, declaring that section 302 (K) of article XXXI of the Building Zone Ordinance of the Town of Hempstead is valid; (2) granted plaintiffs' motion for summary judgment; (3) denied defendant's cross motion for summary judgment; and (4) remitted the matter to Supreme Court for the entry of a judgment, among other things, declaring that section 302 (K) of article XXXI of the Building Zone Ordinance of the Town of Hempstead is void and of no effect.

*Sunrise Check Cashing & Payroll Servs., Inc. v Town of Hempstead*, 91 AD3d 126, affirmed.

### HEADNOTE

#### **Municipal Corporations — Zoning — Zoning Measure Prohibiting Check-Cashing Establishments in Town's Business District**

Defendant town's zoning measure prohibiting check-cashing establishments in defendant's business district was invalid because it violated the principle that zoning is concerned with the use of land, not with the identity of the user. The zoning power is not a general police power, but a power to regulate land use. Defendant's zoning measure contradicted that principle, as it was clear that the measure was directed at the perceived social evil of check-cashing services, which were thought to exploit the younger and lower income people who are their main customers. Whatever the merits of that view as a policy matter, it could not be implemented through zoning. Although there are cases in which the nature of the business is relevant to zoning because of the businesses' negative secondary effects on the surrounding community, defendant had not tried to show and did not argue that check-cashing services were in a similar category. Further, assuming, as defendant argued, that a concern about armed robberies would justify a zoning regulation, the record refuted the idea that defendant's zoning measure was a public safety measure.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Zoning and Planning §§ 35–39, 226, 227.

NY JUR 2d, Buildings, Zoning, and Land Controls §§ 165, 205, 316.

#### ANNOTATION REFERENCE

See ALR Index under Municipal Corporations; Zoning.

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#### POINTS OF COUNSEL

*Berkman Henoch Peterson Peddy & Fenchel, P.C.*, Garden City (Peter Sullivan, Todd Steckler, Robert Carruba and Daniel Evers of counsel), for appellant. The Appellate Division improperly declared the subject Town Zoning Ordinance invalid as preempted by a conflict with the state Banking Law with respect to the licensing of check-cashing establishments. (*Monroe-Livingston Sanitary Landfill v Town of Caledonia*, 51 NY2d 679; *People v New York Trap Rock Corp.*, 57 NY2d 371; *DJL Rest. Corp. v City of New York*, 96 NY2d 91; *Incorporated Vil. of Nyack v Daytop Vil.*, 78 NY2d 500; *American Broadcasting Cos. v Siebert*, 110 Misc 2d 744; *Matter of Union Indem. Ins. Co. of N.Y.*, 89 NY2d 94; *Matter of Myer*, 184 NY 54; *Commissioners of State Ins. Fund v Low*, 3 NY2d 590; *Matter of Shea*, 309 NY 605.)

*Forchelli, Curto, Deegan, Schwartz, Mineo & Terrana, LLP*, Uniondale (Jeffrey G. Stark and Richard A. Blumberg of counsel), for respondents. I. The Appellate Division properly held that section 302 (K) of article XXXI of the Building Zone Ordinance of the Town of Hempstead is unenforceable by reason of conflict preemption. (*DJL Rest. Corp. v City of New York*, 96 NY2d 91; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99; *Incorporated Vil. of Nyack v Daytop Vil.*, 78 NY2d 500; *Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91; *Vatore v Commissioner of Consumer Affairs of City of N.Y.*, 83 NY2d 645; *Matter of Moran Towing & Transp. Co. v New York State Tax Commn.*, 72 NY2d 166; *Oneida Sav. Bank of Oneida v Tese*, 108 AD2d 1042; *Matter of Trump-Equitable Fifth Ave. Co. v Gliedman*, 62 NY2d 539; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Matter of Madison-Oneida Bd. of Coop. Educ. Servs. v Mills*, 4 NY3d 51.) II. Section 302 (K) of article XXXI of the Building Zone Ordinance of the Town of Hempstead is unenforceable by reason of field preemption. (*Vatore v Commissioner of Consumer Affairs of City of N.Y.*, 83 NY2d 645; *DJL*

*Rest. Corp. v City of New York*, 96 NY2d 91; *People v De Jesus*, 54 NY2d 465; *Robin v Incorporated Vil. of Hempstead*, 30 NY2d 347; *Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372; *Mayor of City of N.Y. v Council of City of N.Y.*, 4 Misc 3d 151; *Matter of Tze Chun Liao v New York State Banking Dept.*, 74 NY2d 505.) III. Section 302 (K) of article XXXI of the Building Zone Ordinance of the Town of Hempstead is an invalid exercise of the zoning power. (*Suffolk Interreligious Coalition on Hous. v Town of Brookhaven*, 176 AD2d 936; *Louhal Props. v Strada*, 191 Misc 2d 746, 307 AD2d 1029; *Matter of Augenblick v Town of Cortlandt*, 66 NY2d 775; *De Sena v Gulde*, 24 AD2d 165; *Matter of Old Country Burgers Co. v Town Bd. of Town of Oyster Bay*, 160 AD2d 805; *Amerada Hess Corp. v Town of Oyster Bay*, 36 AD3d 729; *Spilka v Town of Inlet*, 8 AD3d 812; *McMinn v Town of Oyster Bay*, 66 NY2d 544; *Burger King Corp. v Village of Larchmont*, 89 Misc 2d 901, 52 AD2d 898, 41 NY2d 1097.) IV. Section 302 (K) of article XXXI of the Building Zone Ordinance of the Town of Hempstead denies respondents the equal protection of the laws. (*Cleburne v Cleburne Living Center, Inc.*, 473 US 432; *Continental Bldg. Co. v Town of N. Salem*, 211 AD2d 88.)

*Eric T. Schneiderman*, Attorney General, New York City (*Matthew W. Grieco*, *Barbara D. Underwood* and *Richard Dearing* of counsel), for Superintendent of Financial Services, amicus curiae. I. New York State Department of Financial Services's issuance of licenses to plaintiffs does not preempt the Town's Zoning Ordinance. (*Stringfellow's of N.Y. v City of New York*, 91 NY2d 382; *Incorporated Vil. of Nyack v Daytop Vil.*, 78 NY2d 500; *Matter of Tze Chun Liao v New York State Banking Dept.*, 74 NY2d 505; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99.) II. New York State Department of Financial Services takes no position as to whether the ordinance is a legitimate exercise of the Town's zoning power. (*American Broadcasting Cos. v Siebert*, 110 Misc 2d 744; *Group House of Port Washington v Board of Zoning & Appeals of Town of N. Hempstead*, 45 NY2d 266.)

#### OPINION OF THE COURT

SMITH, J.

We hold that a zoning measure that prohibits check-cashing establishments in a town's business district is invalid, because it violates the principle that zoning is concerned with the use of land, not with the identity of the user.

The provision in question is section 302 (K) of article XXXI of

the Building Zone Ordinance of the Town of Hempstead, adopted January 10, 2006. It says in pertinent part: “In any use district except Y Industrial and LM Light Manufacturing Districts, check-cashing establishments are hereby expressly prohibited” (§ 302 [K] [1]).

The only document explaining the purpose of this enactment is a memorandum from a deputy town attorney dated December 13, 2005, the date of a public hearing held on the proposal that became section 302 (K). The subject of the memorandum is “*Public Policy behind Check Cashing Ordinance.*” The memorandum says that the measure “represents sound public policy” because:

“Essentially, it serves the interest of encouraging young people and those of lower incomes to establish savings and checking accounts, do their banking at sound and reputable banking institutions, and develop credit ratings. It also eliminates predatory and exploitative finance enterprises from commercial areas, which is beneficial because these enterprises tend to keep a neighborhood down.”

The memorandum consists of several pages criticizing check-cashing establishments on social policy grounds. It says that such establishments make it convenient for young and lower income people “to remain in the cash-only economy” and adds: “This is bad for society as a whole.” The memorandum refers to studies finding that “check-cashing establishments actually exploit the poor and African Americans.” It concludes that the proposal under consideration “encourages young and lower income people to open up bank accounts, save their money, and develop a credit rating” and “also removes a seedy type of operation, akin to pawnshops and strip clubs, from the commercial areas of the Town.” Section 302 (K) was adopted by the Town Board some four weeks after the memorandum was issued.

Several check-cashing establishments brought the present action, seeking a declaratory judgment that section 302 (K) is invalid, and an injunction against its enforcement. Supreme Court granted summary judgment dismissing the complaint. The Appellate Division reversed, holding section 302 (K) to be preempted by article IX-A of the Banking Law and related regulations, which govern the licensing of check-cashers (*Sunrise Check Cashing & Payroll Servs., Inc. v Town of Hempstead*, 91 AD3d 126 [2d Dept 2011]); the Town appeals to us as of

right, pursuant to CPLR 5601 (b) (1). We affirm without reaching the preemption issue, because the challenged provision is not a proper exercise of the zoning power.

A town's power to adopt zoning regulations derives from Town Law § 261, which authorizes town boards

“to regulate and restrict the height, number of stories and size of buildings and other structures, the percentage of lot that may be occupied, the size of yards, courts, and other open spaces, the density of population, and the location and use of buildings, structures and land for trade, industry, residence or other purposes” (*see also* Town Law § 263 [listing the purposes of zoning]).

Our cases make clear that the zoning power is not a general police power, but a power to regulate land use: “[I]t is a fundamental principle of zoning that a zoning board is charged with the regulation of land use and not with the person who owns or occupies it” (*Matter of Dexter v Town Bd. of Town of Gates*, 36 NY2d 102, 105 [1975] [citations omitted]; *see also Matter of St. Onge v Donovan*, 71 NY2d 507, 515, 517 [1988]).

The provision at issue here contradicts this principle. It is clear from the memorandum of the deputy town attorney that section 302 (K) was directed at the perceived social evil of check-cashing services, which were thought to exploit the younger and lower income people who are their main customers. Whatever the merits of this view as a policy matter, it cannot be implemented through zoning. Section 302 (K) is obviously concerned not with the use of the land but with the business done by those who occupy it. It is true that there are cases in which the nature of the business is relevant to zoning because of the businesses’ “negative secondary effects” on the surrounding community; this is true of so-called “adult entertainment” uses (*see Stringfellow’s of N.Y. v City of New York*, 91 NY2d 382, 395-396 [1998]), but, despite the reference to “pawnshops and strip clubs” in the deputy town attorney’s memorandum, the Town has not tried to show and does not argue that check-cashing services are in a similar category.

Indeed, the Town makes no attempt to defend the purposes advanced in the memorandum as legitimate objects of the zoning power. Instead, the Town tries to save section 302 (K) by attributing to it a different purpose: protecting the health and safety of the community against the dangers created by armed

robbery. The Town quotes the observation of the court in *American Broadcasting Cos. v Siebert* (110 Misc 2d 744, 746, 747 [Sup Ct, NY County 1981]) (a case arising under the Freedom of Information Law) that check-cashing facilities “are and have been over the years, the subject of robberies, kidnappings and murders” and that “the risk of robberies inherently exists in the check-cashing business.” There is no evidence that the Town Board of Hempstead, when it enacted section 302 (K), was worrying about armed robbery; but the Town, relying on the presumption of validity accorded to zoning legislation (see *Robert E. Kurzius, Inc. v Incorporated Vil. of Upper Brookville*, 51 NY2d 338, 344 [1980]; *Town of Huntington v Park Shore Country Day Camp of Dix Hills*, 47 NY2d 61, 65-66 [1979]) argues that, if any valid purpose for the enactment can be imagined, the body enacting it must be deemed to have had that purpose in view.

We reject the Town’s argument. Deference to legislative enactments, at least where the issue is abuse of the zoning power, does not go as far as the Town would have us go. The record here clearly refutes the idea that section 302 (K) was a public safety measure. Assuming, without deciding, that a concern about armed robberies would justify a zoning regulation, this one cannot be justified on that ground.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and PIGOTT concur; Judge RIVERA taking no part.

Order affirmed, with costs.

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[1987 NE2d 244, 964 NYS2d 467]

PAULA WHITE, Individually and as Executrix of the Estate of  
LEONARD WHITE, Respondent, v DENNIS FARRELL et al., Ap-  
pellants.

Argued February 12, 2013; decided March 21, 2013

### SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered September 30, 2011. The Appellate Division affirmed so much of an order of the Supreme Court, Onondaga County (Brian F. DeJoseph, J.), as had determined that defendants sustained no actual damages.

*White v Farrell*, 87 AD3d 1309, modified.

### HEADNOTES

#### **Vendor and Purchaser — Contract for Sale of Real Property — Measure of Seller's Damages for Buyer's Breach of Contract**

1. The measure of a seller's damages for a buyer's breach of a contract to sell real property is the difference, if any, between the contract price and the fair market value of the property at the time of the breach. The time-of-the-breach rule is longstanding in New York, seems to be the rule everywhere in the United States, and is consistent with the general contract principles that damages are properly ascertained as of the date of the breach, and the injured party has a duty to mitigate. The price obtained by the seller on a later resale of the property may well bear on damages, depending upon the circumstances. The resale price, in a particular case, may be very strong evidence of fair market value at the time of the breach, especially where the time interval between default and resale is not too long, market conditions remain substantially similar, and the contract terms are comparable.

#### **Vendor and Purchaser — Contract for Sale of Real Property — Measure of Seller's Damages for Buyer's Breach of Contract — Determination of Fair Market Value at Time of Breach**

2. Issues of fact as to the fair market value of defendants' real property at the time of plaintiff buyers' breach of the contract to sell the property precluded Supreme Court's summary judgment determination that defendants suffered no actual damages because the fair market value at the time of the plaintiffs' breach was the same as the contract price. The measure of a seller's damages for a buyer's breach of a contract to sell real property is the difference, if any, between the contract price and the fair market value of the property at the time of the breach. Fair market value is a question of fact and although the deposition testimony of defendants' real estate agent regarding the fair market value at the time of breach did not lack factual support, there was evidence contradicting the agent's testimony, including the property's substantially lower eventual sale price. On remittal, the judge will need to consider at least the following factors relevant to damages: whether, or the degree to which, the property's resale price approximately 14 months after the

breach reflected fair market value as of the time of the breach, given the lapse of time and any differences in market conditions and contract terms; whether defendants made sufficient efforts to mitigate (i.e., to resell at a reasonable price after plaintiffs' default), which is relevant to any weight to be given the resale price as a measure of fair market value at the time of the breach; and the cost to remedy the property's drainage deficiencies and to complete other specified tasks and a certain credit—all agreed to by the parties in the contract addendum—should be subtracted from the original contract price in order to establish the contract price to be compared to the property's fair market value at the time of the breach.

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#### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Summary Judgment §§ 6, 47–50; AM JUR 2d, Vendor and Purchaser §§ 452, 480, 481, 539, 540.  
NY JUR 2d, Real Property Sales and Exchanges §§ 205–208, 215–217; NY JUR 2d, Summary Judgment and Pretrial Motions to Dismiss §§ 8, 22–25.  
NEW YORK REAL PROPERTY SERVICE §§ 25:12–25:14, 25:31.  
SIEGEL, NY PRAC § 278.

#### ANNOTATION REFERENCE

See ALR Index under Sale and Transfer of Property; Summary Judgment.

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#### POINTS OF COUNSEL

*Milford, Lynch & Shannon*, Syracuse (*John A. Cirando*, *Bradley E. Keem* and *Elizabeth deV. Moeller* of counsel), for appellants. The sellers are entitled to actual and consequential damages. (*Merritt Hill Vineyards v Windy Hgts. Vineyard*, 94 AD2d 947; *Weiss v Karch*, 62 NY2d 849; *Todd v Gamble*, 148 NY 382; *Matter of John P. Burke Apts. v Swan*, 137 AD2d 321; *Matter of Estate of Taylor v State of New York*, 39 AD2d 984; *City of Yonkers v State of New York*, 49 AD2d 647; *Di Scipio v Sullivan*, 30 AD3d 677; *Ashton v McLenithan*, 224 AD2d 749; *Tesmer Bldrs. v Cimato*, 217 AD2d 953; *Ryan v Corbett*, 52 AD3d 1270.)

*Mackenzie Hughes LLP*, Syracuse (*W. Bradley Hunt* of

counsel), for respondent. I. The Supreme Court and the Fourth Department correctly ruled that the sellers sustained no actual damages. (*Astoria Caterers, Inc. v J&P 1870 Realty Corp.*, 24 AD3d 478; *Ryan v Corbett*, 52 AD3d 1270; *Matzkowitz v Prince*, 195 AD2d 842; *Hayden v Pinchot*, 172 App Div 102; *Brushton-Moira Cent. School Dist. v Thomas Assoc.*, 91 NY2d 256; *Procopis v G. P. P. Rests.*, 43 AD2d 974; *Di Scipio v Sullivan*, 30 AD3d 677; *Ashton v McLenithan*, 224 AD2d 749; *Tesmer Bldrs. v Cimoto*, 217 AD2d 953; *Abdella v Foley*, 75 AD2d 983.) II. The Supreme Court correctly ruled that the sellers are not entitled to recover consequential damages—a ruling that the sellers did not appeal to the Fourth Department. (*Clifford R. Gray, Inc. v City School Dist. of Albany*, 277 AD2d 843; *City of Mount Vernon v Mount Vernon Hous. Auth.*, 235 AD2d 516; *Matter of Seitelman v Lavine*, 36 NY2d 165; *Tator v Salem*, 81 AD2d 727; *Di Scipio v Sullivan*, 30 AD3d 677; *Czarnikow-Rionda Co. v Federal Sugar Ref. Co.*, 255 NY 33.) III. In the alternative, if this Court determines that the lower courts erred in ruling as a matter of law that the sellers are not entitled to damages, this Court should remand this case to the Supreme Court for a determination of the amount—if any—of damages.

#### OPINION OF THE COURT

READ, J.

We are called upon in this appeal to decide the measure of a seller's damages for a buyer's breach of a contract to sell real property. We hold that the measure of damages is the difference, if any, between the contract price and the fair market value of the property at the time of the breach. The price obtained by the seller on a later resale of the property may well bear on damages, depending upon the circumstances. As matters stand in this case, there is conflicting evidence as to the property's fair market value when the buyer defaulted, an issue of fact, which precludes summary judgment.

#### I

In May 2004, defendants Dennis and Nancy Farrell decided to sell their lakeside property in Skaneateles, New York. The Farrells originally purchased this land in October 2002 and razed the existing structures—a seasonal home, guest cottages and a garage—to build themselves a new single-family, year-round residence as a second home. They resided in New Jersey at the time, but by 2004 the Farrells were considering moving to South

Carolina. Because of construction delays, the house in Skaneateles was not completed until March or April 2005; a certificate of occupancy was issued on May 31, 2005, a year after the Farrells first listed the property for sale.

On June 12, 2005, the Farrells' real estate agent, Linda Roche, showed the property to plaintiff Paula White and her now-deceased husband, Leonard. That same day, the Whites signed a contract to buy the property for \$1.725 million, the Farrells' asking price, and tendered a \$25,000 deposit. The \$1.7 million balance was to be paid in cash at a closing to be held "on or about July 10, 2005." The contract, which did not state that time was of the essence, was contingent on a satisfactory home inspection; resolution of a number of construction-related items, including one identified as "drainage finished"; and attorney approval. The Farrells executed the contract on June 13, 2005.

At the time the parties reached this agreement, a drainage system intended to divert surface water away from the house was apparently still under construction on the north side of the property, and the leach field for the raised bed septic system was soggy. On June 15, 2005, Mr. Farrell wrote Ms. Roche to advise that "[i]n response to our buyer [i.e., Mr. White] and his concerns" he was prepared to "fix or credit him to make [the] house as close to what he wants as possible." He mentioned one project that would take five or six weeks to complete, and identified the steps then being taken to correct "[t]he water between the garage and [the] house" and "[t]he water in front of the garage." Mr. Farrell added that he lived too far away to hire or monitor contractors, and so would agree to reduce the contract price by \$10,000 to cover other items that Mr. White might "choose[ ] to change or modify like bench tops, locks, painting[, ] new front lawn[, ] etc." Ms. Roche conveyed this information to the Whites' real estate agent; retained a plumber and septic system expert to investigate and remedy water and drainage problems; and kept the Whites' real estate agent closely apprised of progress.

The house inspection was conducted on June 18, 2005. On June 22, 2005, the Whites' attorney approved the contract, subject to proof of real estate taxes being \$30,000 or less, and the parties executed a contract addendum. By the addendum, the Whites removed all contingencies in exchange for the Farrells' promise to complete several enumerated tasks, including finishing the drainage system on the north and south sides of the house, and to provide the \$10,000 credit. According to Mr.

Farrell, while “it was known” when the addendum was signed “that a portion of the property was wet and/or having drainage issues,” the cause of the dampness, which he claimed was not present when he and his wife signed the property condition disclosure statement in May 2004 (*see* Real Property Law § 462), had yet to be figured out. The addendum did not set any time frame or deadline for completion of the work the Farrells committed to accomplish.

Two weeks later, by letter dated July 7, 2005, the Whites’ attorney notified the Farrells’ attorney that his clients had “elected to terminate the contract [because] upon closer inspection . . . the drainage situation [might] never be rectified.” He indicated they reached this conclusion after Mr. White toured the site that day with his construction consultant. The Farrells’ attorney responded by letter dated July 8, 2005, essentially taking the position that the Whites were well-aware when they signed the contract that additional measures needed to be implemented to fix the septic system and deal with surface water runoff. He outlined what had been done to date, and observed that Mr. Farrell considered one of the issues now raised by the Whites—the supposed necessity for a retaining wall—“nothing more than a fabricated reason to cancel the contract.” He closed by saying that Mr. Farrell would be “more than willing” to meet with Mr. White on the premises to review the work completed and address his concerns, but that “[i]f [Mr. White was] unwilling to discuss the ‘alleged issues’ in a good faith manner, then we will have no alternative but to relist the property for sale and hold your clients responsible for the damages which might result.” On July 13, 2005, the Whites’ attorney responded that Mr. White had “no intentions of going forward with the contract,” and was “extremely upset that the drainage problem was never disclosed, and in fact [the property condition disclosure statement] affirmatively denie[d] any drainage problem” existed.

On October 4, 2005, the Farrells’ attorney sent a time-is-of-the-essence letter to the Whites’ attorney, stating that Mr. Farrell had “resolved all issues” regarding required septic modifications on his property; declaring the place, time and date (Oct. 24, 2005) of closing; and enclosing the relevant closing documents. The Whites neither responded to this letter nor showed up at the closing. On July 23, 2005, they had signed a contract of purchase and sale for another piece of property on Skaneateles Lake. The Whites closed on this property, for which they paid \$1.7 million, on August 24, 2005.

On June 6, 2006, the Whites sued the Farrells to recover their \$25,000 down payment, alleging fraudulent inducement, negligent misrepresentation and that the Farrells were not ready, willing and able to close as of the declared closing date in October 2005. In particular, the Whites claimed that they made the offer to purchase and tendered the earnest money in reliance on the Farrells' representation in the property condition disclosure report, attached to the contract, that there were no flooding, drainage or grading problems resulting in standing water on the property. On July 31, 2006, the Farrells answered and counterclaimed for damages for breach of contract.

During discovery, the Farrells' real estate agent, Ms. Roche, was deposed by the Whites' attorney. She testified that she had worked as a broker in the Skaneateles area since 1980; that she would generally be considered an expert regarding the value of properties around the lake; and that real estate appraisers and bankers looked to her when they wanted an accurate estimate of value in the Skaneateles real estate market. When asked a series of questions about fair market value, Ms. Roche opined that \$1.725 million was the fair market value of the Farrells' property in May 2004 (when it was first listed), June 2005 (when the contract was signed), July 2005 (when the Whites repudiated the contract), and October 2005 (the date set for conveying title). She added that \$1.725 million was also the fair market value of the Farrells' property in the spring and summer of 2006 "because everything still was selling at . . . 1.5 to 3 million in 2006 . . . We were still in a very heated market." Ms. Roche acknowledged that the only offer the Farrells ever received in the \$1.725 million "range" was from the Whites. On January 11, 2007, while this lawsuit was pending, the Farrells accepted a purchase offer of \$1,376,550 from a third party, to whom they conveyed the property on March 9, 2007.

On December 14, 2009, the Farrells moved for summary judgment to dismiss the Whites' complaint and award them damages on their counterclaim. They sought \$348,450 in actual damages (the difference between the original contract price of \$1.725 million agreed to by the Whites and the eventual sale price of \$1,376,550), and consequential damages of \$217,636.88 (apparently, the sum of mortgage and tax payments made on the property from July 7, 2005 until the closing with the ultimate purchaser on March 9, 2007). The Whites opposed the Farrells' motion and cross-moved for summary judgment to dismiss the counterclaim and compel the Farrells to return the \$25,000 deposit.



On February 9, 2010, Supreme Court handed down a bench decision disposing of the parties' motions. The judge concluded that the Whites had breached the contract, and so were not entitled to return of their \$25,000 down payment. He adopted as the measure of the Farrells' actual damages the standard stated in *Webster v Di Trapano* (114 AD2d 698, 699 [3d Dept 1985])—i.e., “the difference between the contract price and the market value of the real property at the time of the breach.” The judge then reasoned that, in view of Ms. Roche's deposition testimony that the property's “market value at the time of the breach was, in fact, the same as the contract price,” the buyers (the Whites) had established that the sellers (the Farrells) did not suffer any actual damages on account of the buyers' breach. Additionally, he ruled that the Farrells' claim for consequential damages was “not valid.” The Farrells appealed from so much of Supreme Court's subsequent order, entered on June 9, 2010, as determined that they suffered no actual damages; the Whites did not cross-appeal. The Appellate Division unanimously affirmed the order, insofar as appealed from, without opinion (87 AD3d 1309 [4th Dept 2011]). We subsequently granted the Farrells leave to appeal (18 NY3d 809 [2012]).<sup>1</sup>

## II

The Farrells argue that Supreme Court should have measured damages by applying a principle articulated by the Third Department in *Di Scipio v Sullivan* (30 AD3d 660 [3d Dept 2006]). In that case, the buyer in a real estate transaction died suddenly several days before the scheduled closing. Following the appointment of an administrator for the buyer's estate, the seller declared time to be of the essence and scheduled two closing dates. When the administrator failed to close, the seller brought an action for breach of contract. Supreme Court granted, and the Third Department affirmed, an order determining that the administrator breached the contract, which entitled the seller to retain the 10% down payment of \$99,900 as damages.

The seller then sought an inquest, claiming that he had suffered further actual or consequential damages. After the

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1. We agree with the Whites that any question of whether, or to what extent, the Farrells were entitled to recover consequential damages is not properly before us (see *Clifford R. Gray, Inc. v City School Dist. of Albany*, 277 AD2d 843, 846-847 [3d Dept 2000]; *City of Mount Vernon v Mount Vernon Hous. Auth.*, 235 AD2d 516, 516-517 [2d Dept 1997]).

inquest, Supreme Court ruled that the seller had not proven any additional damages by a preponderance of the evidence. The seller then appealed, claiming that he had shown further damages consisting of a real estate broker's commission owed and real estate taxes, mortgage interest, maintenance expenses and utilities paid. The Third Department disagreed, stating in dictum that

“the measure of damages incurred as a result of a breach of a real estate contract is *either* the difference between the contract price and a subsequent lower sale price *or*, where no subsequent sale has occurred, the difference between the contract price and the market value of the real property at the time of breach. Here, [the seller] spurns the commonly accepted measure of damages and, instead, seeks recovery for the aforementioned items,” which the court considered to be unrecoverable consequential damages or expenses not proximately caused by the buyer's breach (*see Di Scipio v Sullivan*, 30 AD3d 677, 677-678 [3d Dept 2006] [emphasis added and citations omitted]).

The Farrells take *Di Scipio* to mean that the measure of a seller's actual damages for a buyer's breach of a contract to sell realty is always the difference between the contract price and any later lower selling price, and ask us to adopt this as the rule of decision. The majority of jurisdictions, however, adhere to a different standard, succinctly explained in Williston on Contracts as follows:

“Unless the vendor has elected to accept, as the exclusive remedy, liquidated damages represented by the purchaser's deposit, where the vendor sues the purchaser for breach of contract, the vendor may recover for the loss of the bargain, and *the generally accepted measure of damages is the difference between the contract price and the fair market value of the property at the time of the breach*. The vendor may recover damages in the amount of the contract price reduced by the fair market value of the property, less any deposit or earnest money paid by the purchaser. . . . *The price obtained by the vendor on a later resale of the property may be regarded as competent evidence of its fair market value on the date of the purchaser's breach, provided that the*

*market conditions are similar and the time elapsed between the date of the breach and the date of the resale is not too great*” (13 Lord, Williston on Contracts § 66:80 [4th ed] [emphasis added]; see also 14 Powell on Real Property § 81.04 [2] [b] at 81-183 [Michael Allan Wolf ed, LexisNexis Matthew Bender 2000] [where the buyer breaches a contract for the sale of real property, “(t)he damage award is set by determining the difference between the contract price and the property’s market value at the time of breach”]; Korngold, *Seller’s Damages from a Defaulting Buyer of Realty: The Influence of the Uniform Land Transactions Act on the Courts*, 20 Nova L Rev 1069, 1073 [1995-1996] [collecting cases and noting that “(c)ourts typically declare that the measure of a seller’s damages for a buyer’s failure to perform under a contract of sale for realty is the difference between the contract price and the market value of the property on the date of the breach”]; Calamari & Perillo’s Hornbook on Contracts § 14.30 [6th ed 2009] [“If the vendee breaches, it seems to be the rule everywhere that the vendor may recover standard contract damages: the difference between the unpaid contract price and the market value of the real property at the time of the breach”]).

We have never before considered the measure of damages for a buyer’s breach of a contract to sell real property. The four departments of the Appellate Division, however, have consistently endorsed the time-of-the-breach rule, although there are certainly cases where the standard used is not stated, or it is not made clear that the resale price is simply evidence of the property’s fair market value at the time of the breach.

In *Hayden v Pinchot* (172 App Div 102 [1st Dept 1916]), there was conflicting proof at trial of the property’s market value at the time the buyer broke the contract of purchase and sale. The First Department affirmed the trial judge’s finding as to fair market value, concluding that it was not against the weight of the evidence. In so doing, the court observed that “[t]he rule seems to be well settled that the measure of damages for the breach of a contract by the vendee is the difference between the contract price and the market value of the property at the time of the breach” (*id.* at 105).

The Second Department in *Cohen v Kranz* (15 AD2d 938 [2d Dept 1962], *aff'd* 12 NY2d 242 [1963]) did not state the rule applied to affirm a trial judge's award of damages amounting to the difference between the contract and resale prices, less the buyer's down payment. On appeal, we addressed other issues presented by the case. With respect to the measure of damages, we observed only that the sellers "obtained an affirmative recovery on their counterclaim for breach of contract based on the loss they sustained when they sold the house to a third person for what the courts below found to be its fair market value" (*id.* at 247).

The seller in *Procopis v G. P. P. Rests.* (43 AD2d 974 [2d Dept 1974]) sought as damages the difference between the contract price and the property's fair market value at the time of the buyer's breach, which he argued was the resale price. The judge, after a nonjury trial, agreed and awarded damages in the amount asked for. The Second Department reversed, reasoning that "although the subsequent sale [was] some evidence of the fair market value of the property at the time of the breach, standing alone it [was] insufficient proof . . . upon which to predicate [sellers'] damages," especially since the terms of the resale were "substantially different . . . from those contained in the contract sued upon" (*id.* at 975-976).

In *Colonial Diversified v Assured Holding Corp.* (71 AD2d 1011 [2d Dept 1979]), the judge, after a nonjury trial, dismissed the seller's counterclaim for damages for breach of contract and directed return of the buyer's down payment. The Second Department reversed, holding that "it [was] apparent that the [buyer] was the defaulting party, and as a result [was] barred from recovering its down payment, as well as remaining liable for damages sustained by the [sellers] by virtue of its default" (*id.* at 1012 [citations omitted]). The court noted that at trial the sellers presented expert testimony to show that the market value of the property at the time of the buyer's breach was \$32,000, and also proved they were only able to resell the property for that amount. Accordingly, the Second Department ruled that the sellers were entitled to recover the difference between \$32,000 and the contract price, less the down payment already in their possession.

In addition to *Di Scipio*, the Third Department has in relatively recent years considered four other appeals in cases where the trial judge, after a nonjury trial, assessed damages for a buyer's breach of a contract to sell realty. In *Tator v Salem*

(81 AD2d 727, 728 [3d Dept 1981]), the Third Department affirmed an award of \$10,000 in “direct damages,” which was the difference between the original contract price and the eventual sale price. The decision is silent as to the standard applied.

In *Webster*, the case relied upon by Supreme Court to support the bench decision and order here, the trial judge computed damages for the buyer’s breach by subtracting the real property’s eventual sale price from the contract price. Citing the First Department’s decision in *Hayden*, the Third Department “[found] merit in [the sellers’] argument that the proper measure of damages is the difference between the contract price and the market value of the real property at the time of breach” (*Webster*, 114 AD2d at 699). Since the trial judge “expressly found” that the property’s market value at the time of the breach was higher than the resale price, and this higher figure was supported by the evidence, the court concluded that calculation of damages using the resale price was “inappropriate,” and remitted for purposes of recalculation. (*Id.*)

The Third Department in *Matzkowitz v Prince* (195 AD2d 842 [3d Dept 1993], *lv denied* 83 NY2d 751 [1994]) recast somewhat the rule stated in *Webster*. There, the seller contended that the trial judge had erred by calculating damages using the price for which the property was sold some 11 months after the breach. The court stated that “[o]rdinarily, [sellers] are entitled to the difference between the price established in their contract with [buyers] and the amount ultimately received for the [real] property’ *unless there is evidence that the fair market value at the time of the breach is otherwise*” (*Matzkowitz*, 195 AD2d at 842, quoting *Binks v Farooq*, 178 AD2d 999, 1001 [4th Dept 1991], *lv denied* 80 NY2d 752 [1992], discussed later, and citing *Tator*, *Cohen*, and *Webster*, discussed earlier [emphasis added]). And “[w]hile . . . [the buyer] offered expert testimony of market value at the time of the breach in excess of the amount ultimately received, [the sellers’] expert offered contrary opinion evidence which created a credibility issue for determination by the trial court” that the Third Department was “loath to disturb” (*id.*).

In *Ashton v McLenithan* (224 AD2d 749 [3d Dept 1996]), the sellers commenced an action alleging fraud and breach of contract for the sale of a parcel of land. The parties reached a settlement agreement in open court whereby the sellers agreed to sell the parcel with a newly constructed home to the buyers for \$300,000. The buyers failed to perform in accordance with

this agreement, and the sellers sought judgment for the agreed-upon amount. At the subsequent nonjury trial held to determine the sellers' damages "as the difference in value of the settlement amount and the actual value of the house at the time of the breach," both parties submitted expert evidence on this issue (*id.* at 749). The trial judge found the value of the property to be \$214,000 "based upon the assessments of value offered by both experts," and "determined damages to be the difference between the settlement price and the value at the time of the breach" (*id.* at 750-751). The Appellate Division concluded there was "sufficient evidence for Supreme Court to have made its assessment within the range of values given" (*id.* at 751). This property was apparently not resold while the lawsuit was pending.

The Fourth Department in *Binks*, reversing the trial court, ruled that the buyers had breached their contract to purchase the sellers' apartment complex. Stating that the sellers were "entitled to the difference between the price established in their contract with [the buyers] and the amount ultimately received for the property," the court awarded the sellers this amount, which was "uncontroverted," less the buyers' down payment, ordered to be released from escrow to the sellers (178 AD2d at 1001). In support of its ruling, the Fourth Department cited our decision in *Tague Holding Corp. v Harris* (250 NY 422 [1929] [the seller was awarded profits lost when the buyer defaulted on an installment contract for the purchase of land that the seller had contracted to buy from a third party]), which deals with consequential damages, *Tator* and *Cohen*.

In *Tesmer Bldrs. v Cimato* (217 AD2d 953 [4th Dept 1995]), the trial court awarded the buyer summary judgment on its claim to recover a down payment. The Fourth Department reversed, holding that the buyer's unilateral rescission of the contract for the sale of real property constituted an anticipatory breach, entitling the sellers to retain the down payment. The court endorsed a judgment in favor of the sellers representing the difference between the contract price and the resale price, while observing that the buyer had "not controverted the claim of damages asserted by the seller" (*id.* at 954).

The Fourth Department in *Ryan v Corbett* (52 AD3d 1270 [4th Dept 2008]) agreed with the buyer that the trial court had erred by relying on *Di Scipio* when assessing the amount of the sellers' damages caused by the buyer's breach of the parties' contract of purchase and sale. In sum, "[b]ecause there was a



subsequent sale of the [sellers'] residence, the court in reliance on *Di Scipio* did not consider evidence of the market value of the property at the time of the breach, and it awarded [the sellers] the difference between the contract price and the price received upon the subsequent sale of the property" (*id.* at 1270). Instead, the Fourth Department agreed with the Third Department's decisions in *Matzkowitz* and *Webster*. But although "agree[ing] with [the seller] that the [trial judge] erred in failing to consider the testimony of her expert appraiser with respect to the fair market value at the time of the breach," the court "nevertheless conclude[d], upon [its] independent review of the record, that the expert's testimony did not establish 'that the fair market value at the time of the breach [was] otherwise[;]' i.e., it did not outweigh the evidence of value established by the subsequent sale of the property" (*id.* at 1271 [citation omitted], quoting *Matzkowitz*, 195 AD2d at 842).

### III

[1] We reject the Farrells' invitation to put aside settled law and adopt a new rule whereby a seller's damages for a buyer's breach of a contract to sell real property is the difference between the contract price and the resale price (assuming, of course, the property is resold in an arm's length transaction sometime before the conclusion of the lawsuit for breach of contract). The time-of-the-breach rule is longstanding in New York, as illustrated by the preceding Cook's tour of appellate decisions from throughout the State and as early as 1916; "seems to be the rule everywhere" in the United States (*see Calamari & Perillo, supra* at 495); and is consistent with the general contract principles that damages "are properly ascertained as of the date of the breach," and "the injured party has a duty to mitigate" (*see Brushton-Moira Cent. School Dist. v Thomas Assoc.*, 91 NY2d 256, 262-263 [1998] [measuring damages for breach of a construction contract from the date of the breach rather than from the date of the damages trial held 13 years later]). This is not to say that resale price is irrelevant to the determination of damages; in fact, the resale price, in a particular case, may be very strong evidence of fair market value at the time of the breach. This is especially true where the time interval between default and resale is not too long, market conditions remain substantially similar, and the contract terms are comparable (*cf. Procopis*, discussed earlier).

In the view of the concurring judges, the "better rule" for calculating a seller's damages when a buyer breaches a contract

to sell real property “is found in the Uniform Land Transactions Act” (ULTA) (*see* concurring op at 502). The relevant provision states that the wronged seller “may resell the real estate . . . and recover any amount by which the unpaid contract price . . . exceeds the resale price, less expenses avoided because of the buyer’s breach” (ULTA [1975] § 2-504 [a]). Initially approved by the National Conference of Commissioners on Uniform State Laws (the National Conference) in 1975 and intended to be the Uniform Commercial Code of real estate law, ULTA was something of a flop. It was never adopted by any state, and was withdrawn by the National Conference in 1990 (*see* Brown, *Whatever Happened to the Uniform Land Transactions Act?*, 20 Nova L Rev 1017, 1018 [1996]). Further, ULTA’s measure-of-damages rule for a buyer’s breach appears to have been adopted judicially by only a single intermediate appellate court some 20 years ago (*see Kuhn v Spatial Design, Inc.*, 245 NJ Super 378, 585 A2d 967 [Super Ct, App Div 1991] [where the buyer breaches a contract to purchase real estate, the seller may recover the difference between the contract price and the resale price and any incidental and consequential damages, less expenses avoided as a result of the breach]). This is not surprising, as the ULTA rule is not conspicuously fairer or easier to apply than the time-of-the-breach rule. And as we noted in *Maxton Bldrs. v Lo Galbo* (68 NY2d 373 [1986]), where we reaffirmed a seller’s right to retain the down payment when the buyer in a real estate transaction wrongly fails to perform,<sup>2</sup> adherence to tradition is

“particularly apt in cases involving the legal effect of contractual relations. In fact, when contractual rights are at issue, ‘where it can reasonably be assumed that settled rules are necessary and necessarily relied upon, stability and adherence to precedent are generally more important than a better or even a “correct” rule of law’ ” (*id.* at 381, quoting

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2. In *Maxton*, the defaulting buyer failed to persuade us to replace our traditional rule with a “modern rule” permitting recovery for part performance in excess of the seller’s actual damages, with the burden on the buyer to prove the net benefit conferred (68 NY2d at 379-380). Because in New York it is “axiomatic [that] a ‘vendee who defaults on a real estate contract without lawful excuse[ ] cannot recover the down payment’ ” (*see Cipriano v Glen Cove Lodge #1458, B.P.O.E.*, 1 NY3d 53, 62 [2003], quoting *Maxton*, 68 NY2d at 378), it may well be that, in most instances where the buyer breaches a contract to sell real estate, the seller simply retains the down payment without resorting to the expense and uncertainty of litigating actual harm.

*Matter of Eckart*, 39 NY2d 493, 500 [1976]; *see also* *People v Damiano*, 87 NY2d 477, 488, 489 [1996, Simons, J., concurring] [“common-law decisions should stand as precedents for guidance in cases arising in the future” for substantial reasons of stability and legitimacy, subject to “reexamination if there is some evidence that the policy concerns underlying them are outdated or if (existing rules) have proved unworkable”)].

#### IV

[2] Here, the Farrells contend that Ms. Roche’s opinion as to the value of their property on the date of the breach (which is October 24, 2005, given the facts) is not entitled to any weight; contrariwise, the Whites maintain that Ms. Roche’s opinion is conclusive as a matter of law, which is how Supreme Court seems to have treated it. Ms. Roche’s deposition testimony does not lack factual support, as the Farrells protest: she is an experienced broker in the Skaneateles area; she explained the factors she considered to come up with \$1.725 million as the property’s listing price and fair market value, including what the Farrells paid for the property in 2002 (she was the seller’s broker at the time), the cost of the improvements they subsequently made, and the size and lake frontage of other properties selling in the \$1.5 to \$3 million range in 2005 and 2006 (although she did not describe or discuss the property the Whites actually bought for \$1.7 million in August 2005). But fair market value is a question of fact, and in this case there was evidence contradicting Ms. Roche’s testimony, including the property’s substantially lower eventual sale price. As a result, neither party was entitled to the summary judgment both sought and the Whites successfully secured in Supreme Court. Notably, in the Appellate Division decisions discussed earlier the trial judges determined damages only *after* a trial or inquest. On remittal, the judge in this case will need to consider at least the following factors relevant to damages: whether, or the degree to which, the property’s resale in January 2007 for \$1,376,550 reflects fair market value as of October 2005, given the lapse of time (about 14 months) and any differences in market conditions and contract terms; whether the Farrells made sufficient efforts to mitigate (i.e., to resell at a reasonable price after the Whites’ default), which is relevant to any weight to be given the resale price as a measure of fair market value at the time of the

breach; and the cost to remedy the property's drainage deficiencies, which, like the cost to complete several other specified tasks and the \$10,000 credit—all agreed to by the parties in the contract addendum—should be subtracted from \$1.725 million (the original contract price) in order to establish the contract price to be compared to the property's fair market value in October 2005.<sup>3</sup>

Accordingly, the order of the Appellate Division should be modified, without costs, by remitting to Supreme Court for further proceedings in accordance with this opinion, and, as so modified, affirmed.

PIGOTT, J. (concurring). I concur in the result reached by the majority, but I disagree with its rationale because, in my view, the majority is blurring an important distinction between the measure of damages for breach of real estate contracts and the measure of damages in other sales.

Real property is and has always been treated differently from other sales, mainly because real property, by its very nature, is unique (*see* 1-3 Warren's *Weed*, New York Real Property § 3.01 [1] [f]). There is no dispute here that the buyers breached the contract. The sellers should therefore recover the benefit of their bargain from the buyers. In this case, that may very well be \$348,450, the difference between the contract price and the subsequent sale price, subject, of course, to any evidence proffered by the buyers that the sellers failed to act with due diligence to mitigate their claimed loss. Any other measure is a fiction. To flatly suggest, as the majority does, that the measure should be "fair market value" at the time of the breach would almost always mean the actual contract price, for the simple reason that a willing seller and willing buyer had established that price at arm's length. The end result is that a seller will rarely be damaged by a purchaser's breach for any reason.

Under the majority's rule, it is the innocent sellers, and not the breaching buyers, who must bear the cost of the buyers' breach. In my view, the better rule is found in the Uniform Land Transactions Act:

"If a buyer wrongfully rejects, or otherwise commits a material breach, or repudiates as to a substantial part of the contract . . . , the seller may resell the

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3. Any damages awarded would, of course, be less the \$25,000 down payment.

real estate . . . and recover any amount by which the unpaid contract price . . . exceeds the resale price, less expenses avoided because of the buyer's breach" (Uniform Land Transactions Act [ULTA] [1975] § 2-504 [a]).<sup>1</sup>

Not only does this rule recognize the unique character of real estate transactions and provide some certainty for the non-breaching seller, it also places the risk where it properly belongs, i.e. on the breaching buyer. This rule is not one-sided, affording protection to the breaching buyer should the seller be fortunate enough to resell the property at the same or a higher price (*see* ULTA § 2-504 [f] [stating that the seller will not be "accountable to the buyer for any profit made on any resale"]).

The nonbreaching sellers are entitled to the benefit of their bargain, and that benefit should not be denied by the application of a rule that fails to take that basic tenet into account. The cases cited by the majority in support of the "time-of-the-breach" rule appear to apply the rule by rote (majority op at 495-499), detached from the reality of realty by failing to consider the legal consequence of an axiom that is harmful to the nonbreaching party.

The majority ultimately supports its adoption of the "time-of-the-breach" rule—which is common in contract law and in the Uniform Commercial Code<sup>2</sup> where the parties are dealing in common activities or fungible goods—by relying primarily on a case involving a school district's cause of action seeking the cost of replacing or repairing defective window panels that had been installed in its building (*see Brushton-Moira Cent. School Dist. v Thomas Assoc.*, 91 NY2d 256 [1998]). There, the Court, applying general, black letter law, stated that "damages for breach of contract are ordinarily ascertained as of the date of the breach" (*id.* at 261 [citations omitted]).

But real property, unlike window panels, is not fungible. While there are usually extensive and active markets for fungible goods, thereby making it relatively less difficult for the seller to mitigate or cover in the event of a breach, the sale of real estate is clearly different because each parcel is unique (*see Alba v Kaufmann*, 27 AD3d 816, 818 [3d Dept 2006]; *EMF Gen. Contr. Corp. v Bisbee*, 6 AD3d 45 [1st Dept 2004], *lv denied* 3 NY3d

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1. Although this provision also states that a buyer may also recover incidental and consequential damages, whether or not the sellers here are entitled to such damages is not before us.

2. Uniform Commercial Code § 2-725.

607 [2004]). As a result, the pool of buyers is plainly smaller for real estate than goods, and when a buyer breaches a real estate purchase agreement, the seller must then commence the sale process anew, which may require a reassessment of the list price and more showings of the property to new buyers, who may or may not find the property's location, amenities or architectural style desirable. This may take a substantial amount of time and effort on the seller's part, and the seller's efforts may not readily succeed, because once the house has been on the market for a significant period of time, the market may have declined or prospective purchasers may be wary of the amount of time the house has been on the market, leading them to conclude that the property is tainted in some fashion. Meanwhile, under our holding today, the breaching buyer will walk away indifferent to the hardship caused to the seller by his conduct.

The majority agrees that "the resale price, in a particular case, may be very strong evidence of fair market value at the time of the breach," especially if "the time interval between default and resale is *not too long*, market conditions remain substantially similar, and the contract terms are comparable" (majority op at 499 [emphasis added]). There is no dispute that the general rule is that damages are measured by the fair market value at the time of the breach; the issue here is whether that measure, in cases where the property is later sold with reasonable diligence and in good faith, is adequate or even realistic. In such a circumstance, why should the nonbreaching seller suffer the consequences of the buyer's breach? If market conditions decline, shouldn't the loss be laid squarely at the feet of the breaching buyer, particularly where the seller is able to make a colorable claim at trial in that regard?

The majority also holds that the trial court in this case will need to consider, among other things, whether the sellers "made sufficient efforts to mitigate" (majority op at 501), but mitigation is irrelevant under the majority's rule since the only calculation that matters is the difference between the fair market value at the time of the breach and the contract price. Under the ULTA rule proposed by this concurrence, the seller's mitigation is very relevant, and would constitute a valid defense by a breaching purchaser on the issue of damages once the nonbreaching seller has made a prima facie case for breach of contract and entitlement to damages. Applying that rule here, there is a question of fact as to whether the sellers mitigated their damages subsequent to the buyers' breach and whether



the sale in March 2007 for \$1,376,550 represented the fair market value of the property.

Although the majority correctly concludes that there are questions of fact, it is my view that the trial court should follow the above rule in assessing the true nature of the damages incurred by the sellers.

Chief Judge LIPPMAN and Judges GRAFFEO and RIVERA concur with Judge READ; Judge PIGOTT concurs in the result in an opinion in which Judge SMITH concurs.

Order modified, without costs, by remitting to Supreme Court, Onondaga County, for further proceedings in accordance with the opinion herein, and, as so modified, affirmed.

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[986 NE2d 903, 964 NYS2d 69]

PAUL MARINACCIO, SR., Respondent, v TOWN OF CLARENCE, Defendant, and KIEFFER ENTERPRISES, INC., Appellant.

Argued February 5, 2013; decided March 21, 2013

### SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered December 30, 2011. The Appellate Division, with two Justices dissenting in part, affirmed so much of a judgment of the Supreme Court, Erie County (Frederick J. Marshall, J.), entered upon a jury verdict, as had awarded plaintiff punitive damages against defendant Kieffer Enterprises, Inc.

*Marinaccio v Town of Clarence*, 90 AD3d 1599, reversed.

### HEADNOTE

**Damages — Punitive Damages — Trespass on Real Property — Intentional Diversion of Storm Water Onto Property**

In an intentional tort action arising from defendant residential real estate company's actions in developing a drainage system that diverted storm water from a residential subdivision to a ditch and an abandoned farmer's furrow on plaintiff's property without his permission, thereby creating 30 acres of flooded wetlands, the evidence was insufficient for an award of punitive damages. Punitive damages are awarded to punish and deter behavior involving moral turpitude and only in exceptional cases where defendant's conduct manifests spite or malice, a fraudulent or evil motive, or such a conscious and deliberate disregard of the interests of others that the conduct may be called wilful or wanton. Defendant's behavior here did not rise to that level. In planning the residential subdivision, defendant complied with all federal, state and local planning and development laws, worked closely with government engineers and planners to secure the required permits and approvals, and hired experts in wetlands, engineering and soil. This planning showed at least that defendant's conduct could not be considered wanton, reckless or malicious. Defendant's less than ideal dealings with plaintiff and his property, i.e., knowing that overflow would be a problem and failing to obtain plaintiff's permission regarding an easement, amounted to nuisance and trespass, but something more than the mere commission of a tort is required for punitive damages.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Damages §§ 556–565, 569, 570, 675, 706; AM JUR 2d, Torts § 20; AM JUR 2d, Waters §§ 380, 391.  
NY JUR 2d, Damages §§ 180, 182, 184; NY JUR 2d, Torts § 11.  
NEW YORK REAL PROPERTY SERVICE §§ 4:60, 4:61, 4:64, 4:65.

PROSSER AND KEETON, TORTS (5th ed) § 13.

**ANNOTATION REFERENCE**

See ALR Index under Floods and Flooding; Intentional, Willful, and Wanton Acts; Punitive Damages.

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**POINTS OF COUNSEL**

*Phillips Lytle LLP*, Buffalo (*Michael B. Powers* and *Patricia A. Mancabelli* of counsel), for appellant. I. Plaintiff offered no proof of willful, wanton or malicious conduct by Kieffer Enterprises, Inc. (*Rocanova v Equitable Life Assur. Socy. of U.S.*, 83 NY2d 603; *Laurie Marie M. v Jeffrey T.M.*, 159 AD2d 52, 77 NY2d 981; *Sharapata v Town of Islip*, 56 NY2d 332; *New York Univ. v Continental Ins. Co.*, 87 NY2d 308; *Camillo v Geer*, 185 AD2d 192; *Prozeralik v Capital Cities Communications*, 82 NY2d 466; *Ross v Louise Wise Servs., Inc.*, 8 NY3d 478; *Nickerson v Te Winkle*, 161 AD2d 1123; *Garricks v City of New York*, 1 NY3d 22; *McCann v McCann*, 110 AD2d 1069.) II. The trial court's preclusion of the easement and the Appellate Division's holding that this preclusion was "irrelevant" constitute reversible error. (*Witter v Taggart*, 78 NY2d 234; *Green Bus Lines v Consolidated Mut. Ins. Co.*, 74 AD2d 136; *Nunn v GTE Sylvania*, 251 AD2d 1089; *Perry v Town of Geneva*, 64 AD3d 1225; *Matter of Siwek v Mahoney*, 39 NY2d 159; *Trefoil Capital Corp. v Creed Taylor, Inc.*, 121 AD2d 874; *Harbor Hills Landowners v Manelski*, 65 Misc 2d 682; *Prego v Gutches*, 61 AD3d 1394.) III. The trial court's allowance of plaintiff's untruthful testimony and plaintiff's counsel's improper argument after the trial court ordered that no one mention the easement was reversible error. (*Matter of New York Diet Drug Litig.*, 47 AD3d 586; *Shouse v Lyons*, 4 AD3d 821; *Pizzi v Anzalone*, 261 AD2d 374; *Peterson v Melchiona*, 269 AD2d 375; *Bromberg v City of New York*, 25 AD2d 885.) IV. The trial court erroneously precluded the defense expert's damages testimony. (*Collins v Greater N.Y. Sav. Bank*, 194 AD2d 514; *Fine Ornaments v Esplanade Gardens*, 248 AD2d 287; *Bliss v Consolidated Edison Co. of N.Y., Inc.*, 28 Misc 3d 1215[A], 2010 NY Slip Op 51364[U]; *Williams v Way*, 289 AD2d 483; *Amherst Synagogue v Schuele Paint Co., Inc.*, 30 AD3d 1055; *Kane v Shapiro, Rosenbaum, Liebschutz, & Nelson, L.L.P.*,

57 AD3d 1513; *Petracca v Petracca*, 305 AD2d 568; *Baez v Sugrue*, 300 AD2d 519; *Law v Moskowitz*, 279 AD2d 844; *Gordon v Hancock*, 292 AD2d 858.) V. Instructing the jury to ignore proof of Kieffer Enterprises, Inc.'s reliance upon his engineers and sound engineering practices was error. (*Nickerson v Te Winkle*, 161 AD2d 1123; *Garricks v City of New York*, 1 NY3d 22; *McCann v McCann*, 110 AD2d 1069; *Liberty Drug Co. v Bell Maintenance Co.*, 16 AD2d 809; *Kerhonkson Lodge v State of New York*, 4 AD2d 575.) VI. The trial court erroneously directed the jury to disregard proof that plaintiff caused his own flooding. (*Mirand v City of New York*, 84 NY2d 44; *Finnegan v Brothman*, 270 AD2d 808; *Clark v City of Rochester*, 25 AD2d 713; *Nickerson v Te Winkle*, 161 AD2d 1123; *Levine v Abergel*, 127 AD2d 822; *Kiff v Youmans*, 86 NY 324.)

*Lipsitz Green Scime Cambria LLP*, Buffalo (*Joseph J. Manna* and *Kenneth E. Webster* of counsel), for respondent. I. The punitive damages award should be affirmed because it is supported by legally sufficient evidence under the charge that was read to the jury without Kieffer Enterprises, Inc.'s objection. (*Cohen v Hallmark Cards*, 45 NY2d 493; *Brown v Du Frey*, 1 NY2d 190; *Harris v Armstrong*, 64 NY2d 700; *Titlebaum v Loblaws, Inc.*, 75 AD2d 985.) II. The easement affirmative defense was properly precluded. (*Braman v Rochester Gas & Elec. Corp.*, 54 AD2d 174; *Keinz v Niagara Mohawk Power Corp.*, 41 AD2d 431; *Chlystun v Kent*, 185 AD2d 525; *Branower & Son, Inc. v Waldes*, 173 App Div 676; *Aikens Constr. of Rome v Simons*, 284 AD2d 946; *St. Lawrence Explosives Corp. v Law Bros. Contr. Corp.*, 170 AD2d 957; *Schoenborn v Kinderhill Corp.*, 98 AD2d 831; *Hawley v Travelers Indem. Co.*, 90 AD2d 684; *Halmar Distribs. v Approved Mfg. Corp.*, 49 AD2d 841; *Wroblewski v Wakefield Homes*, 46 AD2d 805.) III. No easement exists. IV. The belated easement defense would not have impacted the punitive damages verdict. (*Western N.Y. Land Conservancy, Inc. v Cullen*, 66 AD3d 1461.) V. There was no fraud. (*Baylis v Wood*, 246 App Div 779; *Matter of Selle [Lubin]*, 286 App Div 1058; *Leszczynski v Pennsylvania R.R. Co.*, 274 App Div 1003; *Griffin v Griffin*, 231 App Div 819; *Joyce v Katzberg*, 213 App Div 883; *Scholing v O'Conner*, 209 App Div 839; *Jamaica Estates v Smith*, 177 App Div 882; *Matter of Reynolds*, 23 AD2d 623.) VI. The court properly excluded the Town of Clarence's proposed expert. (*Matter of Daubman v Nassau County Civ. Serv. Commn.*, 195 AD2d 602; *Cahill v Harter*, 277 AD2d 655; *Puderbaugh v State Empls. Fed. Credit Union*, 276 AD2d 992; *Fleet Bank v Powerhouse Trading Corp.*, 267 AD2d 276; *Kadan v Volkswagen of Am.*, 111

AD2d 540; *Oram v Capone*, 206 AD2d 839; *Telaro v Telaro*, 25 NY2d 433; *Ryan v St. Francis Hosp.*, 62 AD3d 857; *Marwin v Top Notch Constr. Corp.*, 50 AD3d 977; *Lucian v Schwartz*, 55 AD3d 687.) VII. Kieffer Enterprises, Inc.'s objections are waived and unpreserved because it did not object to the court's instruction to the jury. (*Beltz v City of Buffalo*, 61 NY2d 698; *Brown v Concord Nurseries, Inc.*, 53 AD3d 1067; *Fitzpatrick & Weller, Inc. v Miller*, 21 AD3d 1374; *Harris v Armstrong*, 64 NY2d 700; *Kerhonkson Lodge v State of New York*, 4 AD2d 575; *Noonan v City of Albany*, 79 NY 470; *Keller v State of New York*, 19 Misc 2d 794; *Holmes v State of New York*, 32 Misc 2d 1077.)

#### OPINION OF THE COURT

Chief Judge LIPPMAN.

The question presented by this case is whether the evidence was sufficient to find defendant liable for punitive damages for intentional diversion of storm water onto plaintiff's property, which caused extensive damage to his land, constituting the torts of trespass and nuisance. We find that although the injury was considerable and the tortious acts undeniably intentional, the evidence in this case was insufficient for an award of punitive damages.

Plaintiff Paul Marinaccio and defendant Kieffer Enterprises, Inc. (KEI) are adjoining landowners in the Town of Clarence, Erie County (Town). KEI was a small residential real estate company, operated by 82-year-old Bernard Kieffer. KEI sought to develop the second and third phases of a residential subdivision on his land called "Lexington Woods" and began the process of planning. KEI submitted a plan to the Town for its approval. The approved plan required that water from the west side of the development would flow into a storm sewer and then into a ditch, which was to create a mitigation pond on the northeast section of Lexington Woods. According to the Town Engineer, the ditch was on KEI's property. But as the Town later discovered, this ditch was actually located on plaintiff's property, and it was used without plaintiff's permission.

KEI also should have known that this ditch did not have the capacity to contain the large amount of water that KEI diverted. Worse, KEI's design of the mitigation pond bordering plaintiff's property, the purpose of which was to retain water and prevent it from discharging downstream, was insufficient in size to handle the flow of water from the surrounding area. To address the problem, KEI installed two drainage pipes and routed the

quickly rising water into an abandoned farmer's furrow located on plaintiff's land, again, without plaintiff's permission, resulting in over 30 acres of flooded wetland.

This newly created wetland caused mosquitos to breed and frogs to gather on plaintiff's property, about which plaintiff is particularly phobic. Consequently, plaintiff had problems traversing his property without the assistance of his family and friends, whom plaintiff would often call on to remove frogs from his driveway and near the door of his home.

Plaintiff personally contacted Bernard Kieffer about the flooding, but was told that the flooding was "[not] his problem." Plaintiff's counsel also sent a letter to Mr. Kieffer, demanding assistance cleaning up the flooding, to which he received no response. However, according to KEI, plaintiff refused to allow the Town to clean out the ditch on his property, which would have significantly alleviated the flooding by allowing water to move through it more easily. In fact, when the Town arrived to clean the ditch, plaintiff became enraged and would not allow the Highway Superintendent, or any of the Town's workers to enter his property. Thereafter, the Town Engineer met with plaintiff to discuss the Town's assistance with other remedial efforts, but according to the Town and KEI, plaintiff again became enraged and ordered him to leave. The Town admittedly made no further efforts to clean the ditch.

Plaintiff commenced this action against KEI and the Town alleging, among other things, trespass and nuisance and seeking money damages for alleged intentional diversion of water onto his property. KEI moved, at the close of proof, to dismiss the punitive damages claim against it based on insufficiency of the evidence. The trial court denied that motion. The jury returned a verdict of \$1,313,600 for plaintiff against the Town for compensatory damages. The jury also awarded plaintiff \$328,400 in compensatory damages and \$250,000 in punitive damages against KEI.

Following the denial of KEI's and the Town's posttrial motions, the parties settled all but the punitive damages claim. KEI appealed that part of Supreme Court's judgment against it which awarded \$250,000 in punitive damages plus interest. The Appellate Division affirmed (90 AD3d 1599 [4th Dept 2011]). The majority characterized KEI's argument as "a contention that the award of punitive damages is not supported by legally sufficient evidence" (*id.* at 1600) and concluded that a valid line



of reasoning did exist to support “the jury’s conclusion that KEI’s conduct was sufficiently egregious to warrant an award of punitive damages” (*id.*).

Two Justices dissented on the basis that “insufficient evidence [existed] in this record that KEI was motivated by maliciousness or vindictiveness or that KEI engaged in such ‘outrageous or oppressive intentional misconduct’ to warrant a punitive damages award” (*id.* at 1604). For the reasons expressed below, we now vacate the award of punitive damages.

Because the standard for imposing punitive damages is a strict one and punitive damages will be awarded only in exceptional cases, the conduct justifying such an award must manifest “spite or malice, or a fraudulent or evil motive on the part of the defendant, or such a conscious and deliberate disregard of the interests of others that the conduct may be called wilful or wanton” (*Dupree v Giugliano*, 20 NY3d 921, 924 [2012] [citation and internal quotation marks omitted]). As conceded by plaintiff, the trial court correctly charged the jury that punitive damages may only be awarded if defendant’s acts were, “wanton and reckless or malicious. Punitive damages may be awarded for conduct that represents a high degree of immorality and shows such wanton dishonesty as to imply a criminal indifference to civil obligations.”

Plaintiff argues that KEI willfully and wantonly caused danger to the health, safety and welfare of the public because of the flooding. But the intent plaintiff would impute to KEI’s actions cannot find support in the record. The facts in evidence do not demonstrate that KEI’s actions “impl[ied] a criminal indifference to civil obligations.” Defendant complied with all federal, state and local planning and development laws and regulations, and worked closely with the US Army Corps of Engineers, the Town Engineer and the Town Planner to secure all required permits and approvals; it hired a wetlands expert, an engineering expert, and soil expert to assist in those regards. Clearly, those measures were ultimately unsuccessful in preventing damage to surrounding property. However, this planning, if not indicative of good faith, at least shows that KEI’s actions could not be considered “wanton and reckless or malicious.”

Certainly the Town and KEI’s dealings with plaintiff and his property were not ideal, and both defendants have been held liable for compensatory damages for their transgressions. Defendants knew that overflow would be a problem along the

furrow bordering plaintiff's property, and the Town told KEI that it would contact plaintiff regarding an easement along his west property line. Although it is undisputed that the Town did not obtain plaintiff's permission to allow water to flow onto his property, it does not follow that the acts resulting in overflow onto plaintiff's property were undertaken with the requisite malice or gross indifference. KEI failed to ensure that the Town followed through with its plan to obtain an easement, so that they were liable in nuisance and trespass, but "[s]omething more than the mere commission of a tort is always required for punitive damages" (*Prozeralik v Capital Cities Communications*, 82 NY2d 466, 479 [1993] [internal quotation marks and citation omitted]). Punitive damages are permitted only when a defendant purposefully causes, or is grossly indifferent to causing, injury and defendant's behavior cannot be said to be merely volitional; an unmotivated, unintentional or even accidental result of a legally intentional act cannot, alone, qualify (*see Hartford Acc. & Indem. Co. v Village of Hempstead*, 48 NY2d 218, 227-228 [1979]). Punitive damages are awarded to punish and deter behavior involving moral turpitude (*see Ross v Louise Wise Servs., Inc.*, 8 NY3d 478, 489 [2007]). Here, KEI's behavior does not rise to that level.

Accordingly, the order of the Appellate Division should be reversed, with costs, and that part of the judgment awarding punitive damages vacated.

Judges GRAFFEO, READ, SMITH and PIGOTT concur; Judge RIVERA taking no part.

Order reversed, with costs, and that part of the judgment awarding punitive damages vacated.

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[986 NE2d 907, 964 NYS2d 73]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DEM-  
ETRIUS MCGEE, Appellant.

Argued February 5, 2013; decided March 21, 2013

### SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered September 30, 2011. The Appellate Division affirmed a judgment of the Supreme Court, Erie County (Shirley Troutman, J.), which had convicted defendant, upon a jury verdict, of attempted murder in the first degree and reckless endangerment in the first degree.

*People v McGee*, 87 AD3d 1400, affirmed.

### HEADNOTES

#### **Crimes — Corroboration of Admission**

1. In a prosecution arising from allegations that defendant drove a vehicle down a street while a codefendant fired shots from the vehicle at civilians, cars and homes and then led police on a high-speed chase, swerving into the oncoming lane of traffic to allow the codefendant to fire shots at an officer driving a vehicle in pursuit, defendant's convictions on an accomplice theory for reckless endangerment and attempted murder, based in part on his statement that he was "just the driver," was supported by legally sufficient evidence. CPL 60.50 precludes a person from being convicted of a crime based solely on a confession unless it is corroborated with "additional proof that the offense charged has been committed." The corroboration requirement serves the purpose of averting the danger that a crime may have been confessed when no crime in any degree was committed by anyone. It is thus satisfied by some proof, of whatever weight, that a crime was committed by someone. Given the civilian eyewitness testimony about the street shooting and evidence from police officers recounting the events of the car chase, there was ample independent evidence that a crime was committed. There was also other evidence connecting defendant to the crime, including a police officer's identification of him as the driver and his arrest not far from the abandoned vehicle while attempting to flee.

#### **Crimes — Right to Counsel — Effective Representation — Failure to Raise Sufficiency of Evidence Argument — Intent**

2. Defendant, who was charged on an accomplice theory with attempted murder in the first degree arising from an incident where he drove a vehicle that led police on a high-speed chase and swerved into the oncoming lane of traffic to allow the codefendant to fire shots at an officer driving a vehicle in pursuit, was not denied the effective assistance of counsel based on his trial counsel's failure to argue that the proof was insufficient to support an inference that the codefendant intended to kill a police officer or that defendant shared his intent. A failure to raise a significant argument may result in a

finding of constitutionally deficient representation when the error is sufficiently egregious and prejudicial to compromise defendant's right to a fair trial. The omission must typically involve an issue that is so clear-cut and dispositive that no reasonable defense counsel would have failed to assert it and it must be evident that the decision to forgo the contention could not have been grounded in a legitimate trial strategy. Here, defendant's contention was of dubious efficacy where precedent existing at the time of trial had rejected a comparable sufficiency argument in a case involving a high-speed chase where the passenger codefendant had shot at the police who were following behind.

**Crimes — Right to Counsel — Effective Representation — Failure to Raise Sufficiency of Evidence Argument — Attempt**

3. In a prosecution on an accomplice theory for attempted murder arising from an incident where defendant drove a vehicle that led police on a high-speed chase, swerving into the oncoming lane of traffic to allow the codefendant to fire shots at an officer driving a vehicle in pursuit, defense counsel was not ineffective in failing to argue that there was insufficient evidence that the actions rose to the level of attempt. A failure to raise a significant argument may result in a finding of constitutionally deficient representation when the error is sufficiently egregious and prejudicial to compromise defendant's right to a fair trial. The omission must typically involve an issue that is so clear-cut and dispositive that no reasonable defense counsel would have failed to assert it and it must be evident that the decision to forgo the contention could not have been grounded in a legitimate trial strategy. To constitute an attempt, conduct must come dangerously near commission of the completed crime. In light of prior precedent holding that evidence of a defendant's possession of a memorialized plan and a weapon outside the intended victim's home was sufficient to support attempted murder and attempted burglary convictions, defense counsel could not be assailed for neglecting to challenge the adequacy of the attempt evidence showing that codefendant actually fired two or three shots at the police officer while the vehicles were in close proximity to each other.

**Crimes — Right to Counsel — Effective Representation — Failure to Request Lesser Included Offense Charge**

4. In the prosecution of defendant on an accomplice theory for attempted murder arising from an incident where he drove a vehicle that led police on a high-speed chase, swerving into the oncoming lane of traffic to allow the codefendant to fire shots at an officer driving a vehicle in pursuit, defense counsel was not ineffective in failing to request that the court charge attempted assault as a lesser included offense. The decision to request or consent to the submission of a lesser included offense is often based on strategic considerations, taking into account factors such as the strength of the People's case. Defendant, who had an arguably less active role, was tried jointly with a codefendant more directly involved in the attempted murder. The defense at trial was that defendant was "just the driver," who was unarmed, never shot at anybody and did not intend to kill a police officer. This defense theory appeared consistent with counsel having adopted a "go for broke" strategy that would force the jury to choose between convicting both defendants of the same serious crimes despite their different roles or drawing a distinction between the two by convicting only the more active participant.

**Crimes — Right to Counsel — Effective Representation — Failure to Seek Severance**

5. In a prosecution arising from allegations that defendant drove a vehicle down a street while a codefendant fired shots from the vehicle at civilians,

cars and homes and then led police on a high-speed chase, swerving into the oncoming lane of traffic to allow the codefendant to fire shots at an officer driving a vehicle in pursuit, defendant's trial counsel was not ineffective for failing to seek a severance of defendant's trial from that of his codefendant. Even if an application for severance had merit, there could have been a strategic basis for counsel's omission. A distinction exists between an unsuccessful trial strategy and constitutionally defective performance. With the codefendant in the courtroom, the jury had someone before it who was directly responsible for the attempt on the officer's life, giving the jury the option of convicting the codefendant, while extending leniency to defendant. Although unsuccessful, counsel attempted to distance defendant from the codefendant's acts by drawing strong contrasts between their conduct and noting the relative weakness of the evidence against defendant.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law §§ 162, 166, 171, 1135–1139; AM JUR 2d, Evidence §§ 765, 766.

CARMODY-WAIT 2d, Right to Counsel §§ 184:162, 184:163, 184:169, 184:174, 184:175, 184:244, 184:254, 184:274; CARMODY-WAIT 2d, Fundamentals of Criminal Evidence §§ 193:4–193:6; CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:257, 194:258.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 6.1, 11.7, 17.2.

McKINNEY'S, CPL 60.50.

NY JUR 2d, Criminal Law: Procedure §§ 859, 864–866, 878, 891, 899, 920, 2060, 2061, 2254, 2255.

### ANNOTATION REFERENCE

See ALR Index under Accomplices; Attorneys; Confessions and Admissions; Criminal Procedure Rules; Instructions to Jury; Lesser Included Offenses; Severance of Action.

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### POINTS OF COUNSEL

*Barbara J. Davies, Chief Attorney, Legal Aid Bureau of Buffalo, Buffalo (Karen C. Russo-McLaughlin and David C. Schopp of counsel), for appellant.* I. Because the proof was insufficient as a matter of law to sustain his convictions of attempted murder in the first degree and reckless endangerment in the first

degree appellant was deprived of his constitutional rights to a fair trial and due process under the law. (*Jackson v Virginia*, 443 US 307; *In re Winship*, 397 US 358; *Braxton v United States*, 500 US 344; *United States v Fernandez-Antonia*, 278 F3d 150; *People v Acosta*, 80 NY2d 665; *People v Rizzo*, 246 NY 334; *People v Kassebaum*, 95 NY2d 611; *People v Mahboubian*, 74 NY2d 174; *People v Bracey*, 41 NY2d 296; *People v Sullivan*, 173 NY 122.) II. Appellant was denied his constitutional right to the effective assistance of counsel, requiring the reversal of his conviction. (*People v Baldi*, 54 NY2d 137; *People v Benevento*, 91 NY2d 708; *People v Hobot*, 84 NY2d 1021; *People v Caban*, 5 NY3d 143; *People v Turner*, 5 NY3d 476; *People v Cabassa*, 79 NY2d 722; *People v Lane*, 60 NY2d 748; *People v Hunter*, 35 AD3d 1228; *People v Chrysler*, 233 AD2d 928; *People v Santana*, 156 AD2d 736.)

*Frank A. Sedita, III, District Attorney, Buffalo (Michael J. Hillery and Donna A. Milling of counsel)*, for respondent. I. The verdict rested on legally sufficient evidence. (*People v Acosta*, 80 NY2d 665; *People v Steinberg*, 79 NY2d 673; *People v Rizzo*, 246 NY 334; *People v Butts*, 72 NY2d 746; *People v La Belle*, 18 NY2d 405; *People v Borrero*, 26 NY2d 430; *People v Lipsky*, 57 NY2d 560.) II. Defendant received effective assistance of counsel. (*People v Benevento*, 91 NY2d 708; *People v Stultz*, 2 NY3d 277.)

#### OPINION OF THE COURT

GRAFFEO, J.

According to the proof presented at trial, viewed in the light most favorable to the People, defendant Demetrius McGee drove a Chevy Equinox down Cambridge Street in Buffalo while codefendant Mychal Carr fired shots toward civilians, cars and homes from the front passenger window of the vehicle. Law enforcement personnel immediately responded to the scene and, rather than surrendering, defendant led multiple police vehicles on a high-speed chase through the city. At one point during the pursuit, Officer Ron Clark nearly caught up to the Equinox. When Clark was within one car length, defendant suddenly swerved into the oncoming lane of traffic in a manner that gave Carr a clearer shot at the police officer. Carr leaned out the front passenger window and fired two or three shots at Clark but the shots missed; one bullet ricocheted off the rear driver's side door of the patrol car. As Carr slipped back into the Equinox, Clark saw that he was holding a silver handgun. Officer Clark lost sight of the Equinox as it sped away. A few



minutes later the Equinox was found abandoned and both defendant and Carr were apprehended attempting to flee the area on foot. A silver handgun bearing DNA evidence linking it to Carr was found nearby. Remarkably, no one was injured during the initial incident or the car chase.

At the joint trial of defendant and Carr, both men were convicted on an accomplice theory of reckless endangerment in the first degree for the Cambridge Street shootings and attempted murder in the first degree for the shots fired at Officer Clark. On appeal, defendant argued that the indictment should be dismissed because the evidence presented at trial was legally insufficient and, alternatively, that he was entitled to reversal of his conviction and a new trial based on the ineffective assistance of trial counsel. The Appellate Division rejected these contentions (87 AD3d 1400 [4th Dept 2011]), as do we.

Repeating the argument he made in his motion to dismiss at trial, defendant asserts that the evidence was insufficient to support the conviction because the only proof connecting him to the car chase was a spontaneous statement he made after being apprehended that he was “just the driver” of the vehicle. Claiming that this statement was uncorroborated, defendant maintains that reversal of the conviction and dismissal of the indictment was required pursuant to CPL 60.50. That statute precludes a person from being convicted of a crime based solely on a confession unless it is corroborated “with[ ] additional proof that the offense charged has been committed.” The purpose of this requirement is to “avert the danger that a crime may have been confessed when no crime *in any degree* has been committed by anyone” (*People v Chico*, 90 NY2d 585, 590 [1997] [internal quotation marks and citation omitted]). Accordingly, CPL 60.50 “does not mandate submission of independent evidence of every component of the crime charged” but merely requires “some proof, of whatever weight, that a crime was committed by someone” (*id.* at 589 [citation omitted]).

[1] Here, there was ample independent evidence that a crime was committed since a civilian eyewitness testified about the Cambridge Street shooting incident, several police officers recounted the events relating to the car chase and Officer Clark described the firing of shots at his vehicle. Nor was defendant’s statement the only evidence connecting him to the crime—a police officer identified defendant at trial as the driver of the Equinox and defendant was arrested not far from the abandoned vehicle while attempting to flee the area.

On appeal, defendant raises several other challenges to the sufficiency of the evidence that were not presented to the trial court, arguing that his attorney was constitutionally deficient for failing to move to dismiss the indictment based on these claims. Given that defendant alleges that his trial counsel rendered ineffective assistance, we begin by noting that defendant's attorney mounted a vigorous defense, ably arguing motions such as a *Sandoval* application, actively participating in the voir dire of prospective jurors, making a cogent opening statement, cross-examining the People's witnesses, lodging appropriate objections and offering an articulate closing argument that marshaled the evidence and pointed out weaknesses in the People's proof for the benefit of defendant. That being said, we have recognized that a failure to make a significant argument may, in a rare case, result in a finding of constitutionally deficient representation, despite an attorney's otherwise adequate performance, "but only when the error is sufficiently egregious and prejudicial as to compromise a defendant's right to a fair trial" (*People v Caban*, 5 NY3d 143, 152 [2005] [citations omitted]; see *People v Turner*, 5 NY3d 476 [2005]). To rise to that level, the omission must typically involve an issue that is so clear-cut and dispositive that no reasonable defense counsel would have failed to assert it, and it must be evident that the decision to forgo the contention could not have been grounded in a legitimate trial strategy. For example, "[i]n *Turner*, we determined that defendant had a meritorious record-based ineffective assistance of counsel claim because defense counsel had objected to the submission of a lesser-included offense but had neglected to raise a clear-cut and completely dispositive statute of limitations defense relating to that charge" (*People v Brunner*, 16 NY3d 820, 821 [2011] [internal quotation marks omitted], citing *Turner*, 5 NY3d at 481).

[2] In this case, defense counsel was not ineffective for failing to raise the sufficiency arguments identified on appeal because they are not fairly characterized as clear-cut and dispositive in defendant's favor (see *Brunner*, 16 NY3d 820 [it was not ineffective for counsel to fail to make CPL 30.30 motion where there was negative precedent and the applicability of various exclusions was debatable]; *People v Borrell*, 12 NY3d 365, 369 [2009] [counsel was not ineffective for failing to raise issue of "uncertain efficacy"]). To the contrary, the contentions highlighted on appeal are of dubious efficacy as is evident from precedent existing at the time of trial. Defendant claims that trial counsel

should have argued that the proof was insufficient to support an inference that Carr—the shooter—intended to kill a police officer or that defendant shared Carr’s intent. But we rejected comparable sufficiency arguments in *People v Cabassa* (79 NY2d 722 [1992], *cert denied sub nom. Lind v New York*, 506 US 1011 [1992]), a similar case that also involved a high-speed chase in which a passenger shot at the police who were following behind and defendant driver claimed there was insufficient evidence either of an intent to kill or a shared community of purpose between he and the shooter.

[3] Likewise, the contention that trial counsel should have asserted a lack of sufficient evidence that defendants’ actions rose to the level of an attempt, necessary to support the attempted first-degree murder conviction, also does not meet the *Turner* standard. To constitute an attempt, conduct must come dangerously near commission of the completed crime (*see People v Kassebaum*, 95 NY2d 611, 618 [2001], *cert denied* 532 US 1069 [2001]; *see* Penal Law § 110.00). In a decision issued prior to the trial of this case, we held that the evidence was sufficient to support attempted murder and attempted burglary convictions where a defendant who had been stalking a woman was arrested outside her home with a shotgun, having compiled a “to do” list memorializing a plan to break into the home and shoot the woman and her husband in front of their children (*People v Naradzay*, 11 NY3d 460 [2008]). Given this precedent, defense counsel cannot be assailed for neglecting to challenge the adequacy of the attempt evidence here since Carr actually fired two to three rounds of ammunition at Officer Clark when the two vehicles were within close proximity of each other.

[4] To the extent that the record permits us to review defendant’s remaining ineffective assistance of counsel contentions in this direct appeal, we have considered them and find them to be similarly unavailing. For example, there may have been a strategic reason for counsel’s failure to request that the court charge attempted assault as a lesser included offense of the attempted murder count. In prior cases, we have recognized that the decision to request or consent to the submission of a lesser included offense is often based on strategic considerations, taking into account a myriad of factors, including the strength of the People’s case. As we have noted, “[a] defendant who thinks his chances of acquittal are small may welcome giving the jury an opportunity for a compromise verdict” and therefore may not object when the People seek the submission of a lesser included

offense (*Turner*, 5 NY3d at 483-484). Conversely, where the proof against a defendant is relatively weak and the charges very serious, a defendant may elect not to request a lesser included offense so that the jury is forced to choose between conviction of a serious crime or an acquittal, with the hope that the jury will be sympathetic to defendant and uncomfortable convicting on scant evidence.

From the defense perspective, this case presented a variation on the latter scenario since a defendant with an arguably less active role was tried jointly with a codefendant more directly involved in the attempted murder. In a situation like this, the more passive defendant may be portrayed as less culpable than the codefendant, leading counsel to adopt a “go for broke” strategy that forces the jury to choose between convicting both defendants of the same serious offense despite their different roles—a result jurors may view as inequitable—or drawing a distinction between the two by convicting only the more active participant. Here, the defense at trial was that defendant was “just the driver” who was unarmed, never shot at anybody and did not intend to kill a police officer. This defense theory would appear to be consistent with a “go for broke” strategy on the attempted murder count.

[5] For related reasons, we are unpersuaded by defendant’s ineffective assistance argument predicated on defense counsel’s failure to seek a severance of defendant’s trial from that of the codefendant. Not only is it highly unlikely that such a motion would have been granted but, even if the application had merit, we could not conclude on this record that there was no strategic basis for the omission. With Carr—the party who discharged the gun, as established by eyewitness accounts and DNA evidence—present in the courtroom, the jury had someone before it who was directly responsible for the attempt on Officer Clark’s life. Thus, the jury had the option of convicting Carr, thereby holding someone accountable, while at the same time extending leniency to defendant on the rationale that he was merely the driver of the Equinox. During his summation, defense counsel drew strong contrasts between defendant’s conduct and that of Carr, noting the relative weakness of the evidence against his client as compared to Carr. To be sure, the attempt to distance defendant from Carr’s acts failed since the jury convicted both men of attempted murder. But we have long recognized a distinction between an unsuccessful trial strategy

and constitutionally deficient performance (*see People v Benvento*, 91 NY2d 708, 712 [1998] [“a reviewing court must avoid confusing true ineffectiveness with mere losing tactics and according undue significance to retrospective analysis”] [internal quotation marks and citation omitted]).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges READ, SMITH and PIGOTT concur; Judge RIVERA taking no part.

Order affirmed.

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[986 NE2d 911, 964 NYS2d 77]

In the Matter of DAVID W. HOWARD, Respondent, v STATURE ELECTRIC, INC., et al., Appellants. WORKERS' COMPENSATION BOARD, Respondent.

Argued February 5, 2013; decided March 21, 2013

### SUMMARY

APPEAL, by permission of the Court of Appeals, from a decision of the Workers' Compensation Board, filed November 30, 2011. The Workers' Compensation Board found that claimant did not violate Workers' Compensation Law § 114-a. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered April 1, 2010. The Appellate Division (1) reversed a decision of the Workers' Compensation Board which had determined that claimant violated Workers' Compensation Law § 114-a, and (2) remitted the matter to the Workers' Compensation Board for further proceedings.

*Matter of Howard v Stature Elec., Inc.*, 72 AD3d 1167, affirmed.

### HEADNOTE

#### **Workers' Compensation — Disqualification for False Representation — Collateral Estoppel Effect of *Alford* Plea**

Claimant's plea of guilty to insurance fraud in the fourth degree through an *Alford* plea (*North Carolina v Alford*, 400 US 25 [1970]), whereby the criminal court accepted the plea without an admission of wrongdoing, should not have been given preclusive effect in a subsequent workers' compensation proceeding, at which the workers' compensation carrier sought to preclude claimant from further benefits based upon his alleged violation of Workers' Compensation Law § 114-a, since claimant's plea did not necessarily resolve the issue raised in the workers' compensation proceeding. An *Alford* plea may generally be used for the same purposes as any other conviction and two factors should be considered in determining whether preclusive effect should be given: first, whether the identical issue was necessarily decided in the prior action or proceeding and is decisive of the present action, and second, whether the party who is attempting to relitigate the issue had a full and fair opportunity to contest it in the prior action or proceeding. Claimant's plea colloquy preceding his insurance fraud conviction included no reference to the facts underlying the conviction, so it was impossible to conclude that the conviction was based upon the same circumstances alleged to have been fraudulent in the workers' compensation proceeding. Therefore, the workers' compensation carrier failed to meet its burden of proving identity of issue and the plea did not prohibit claimant from challenging the workers' compensation violation alleged.



### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Workers' Compensation §§ 570, 651, 655.  
CARMODY-WAIT 2d, Judgments § 63:470.  
MCKINNEY'S, Workers' Compensation Law § 114-a.  
NY JUR 2d, Workers' Compensation §§ 661, 746–752, 1154,  
1156.

### ANNOTATION REFERENCE

See ALR Index under Collateral Estoppel; Fraud and  
Deceit; Workers' Compensation.

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### POINTS OF COUNSEL

*Susan B. Marris*, Liverpool (*Michael Miliano* of counsel), for appellants. I. The Third Department erred when it distinguished an *Alford* guilty plea from a non-*Alford* guilty plea. (*Matter of Silmon v Travis*, 95 NY2d 470; *People v Washington*, 51 AD3d 1223; *People v Hill*, 16 NY3d 811; *People v Tausinger*, 21 AD3d 1181; *People v Miller*, 91 NY2d 372; *Matter of State of New York v Mark S.*, 87 AD3d 73, 17 NY3d 714; *Matter of Aaron H. [Barbara H.]*, 72 AD3d 1602; *Matter of Feuereisen v Axelrod*, 100 AD2d 675, 62 NY2d 605; *Matter of Cumberland Pharmacy v Blum*, 69 AD2d 903; *Matter of Hopfl*, 48 NY2d 859.) II. The Third Department erred when it found that Statute Electric, Inc. did not meet its burden of proving identity of issues. (*City of New York v College Point Sports Assn., Inc.*, 61 AD3d 33; *Ols-son v MacDonald*, 16 AD3d 1017; *Merchants Mut. Ins. Co. v Arzillo*, 98 AD2d 495; *People v Aksoy*, 84 NY2d 912; *Matter of Lo-surdo v Asbestos Free*, 1 NY3d 258; *Matter of Bottieri v New York State Dept. of Taxation & Fin.*, 27 AD3d 1035; *Matter of Dieter v Trigen-Cinergy Solutions of Rochester*, 14 AD3d 748.)

*Christine Ann Scofield*, Syracuse, for respondent. I. The Third Department did not commit reversible error by distinguishing an *Alford* guilty plea from a non-*Alford* guilty plea. (*Merchants Mut. Ins. Co. v Arzillo*, 98 AD2d 495; *People v Serrano*, 15 NY2d 304; *Matter of Aaron H. [Barbara H.]*, 72 AD3d 1602.) II. The Third Department did not commit reversible error when it found that the State Insurance Fund did not meet its burden of

proving identity of issues. (*D'Arata v New York Cent. Mut. Fire Ins. Co.*, 75 NY2d 711.)

#### OPINION OF THE COURT

PIGOTT, J.

The question presented on this appeal is whether claimant's *Alford*\* plea should be given preclusive effect in a subsequent workers' compensation proceeding. Because it cannot be said that the guilty plea necessarily resolved the issue raised in the workers' compensation proceeding, preclusive effect should not be given.

In March 2003, claimant, David Howard, sustained a back injury while employed by respondent Stature Electric, Inc. He applied for and received workers' compensation benefits. At a workers' compensation hearing, when asked, claimant testified that he had no employment outside of his job with Stature Electric.

In November 2005, claimant was arrested and faced four charges: insurance fraud in the third degree (Penal Law § 176.20), grand larceny in the third degree (Penal Law § 155.35), offering a false instrument for filing in the first degree (Penal Law § 175.35), and a violation of Workers' Compensation Law § 114, entitled "Penalties For Fraudulent Practices," which defines various fraudulent acts under the Workers' Compensation Law and classifies them as E felonies. Ultimately, claimant entered a plea of guilty to only one charge, insurance fraud in the fourth degree (Penal Law § 176.15), in satisfaction of all charges. He did so, according to the record, by entering an "*Alford* plea," i.e., he was pleading guilty as defense counsel said, because of the "risks involved in going to trial" and "without an admission of [any] wrongdoing." The court accepted his plea without any allocution as to the facts underlying it, and sentenced him to an agreed-upon conditional discharge, restitution of an unknown amount, and a certificate of relief from disabilities.

At a subsequent workers' compensation hearing, the State Insurance Fund (SIF), Stature Electric's workers' compensation carrier, sought to preclude claimant from further benefits based upon the guilty plea. The Workers' Compensation Law Judge denied the application on the ground that the plea "did not contain a factual allocution such that it could be determined

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\* *North Carolina v Alford*, 400 US 25 (1970).

that the plea matched the carrier's claim of a violation of the Workers' Compensation Law." The Workers' Compensation Board modified, by giving preclusive effect to Howard's guilty plea and finding that Howard violated Workers' Compensation Law § 114-a. The Appellate Division reversed and remitted for further proceedings, reasoning that "the requirement of identity was not met and collateral estoppel does not apply" because, when claimant entered his *Alford* plea, he made no factual admissions and the transcript of the plea proceedings lacked any discussion of the factual basis for the charge (*Matter of Howard v Stature Elec., Inc.*, 72 AD3d 1167, 1170 [3d Dept 2010]). We agree and therefore affirm the final Workers' Compensation Board decision and the Appellate Division order brought up for review.

In New York, "*Alford* pleas are—and should be—rare" (*Matter of Silmon v Travis*, 95 NY2d 470, 474 [2000]). Such a plea is allowed only when, as in *Alford* itself, "it is the product of a voluntary and rational choice, and the record before the court contains strong evidence of actual guilt" (*id.* at 475). And we have said that "from the State's perspective [*Alford* pleas] are no different from other guilty pleas; it would otherwise be unconscionable for a court to sentence an individual to a term of imprisonment" (*id.*). Indeed, we have made clear that an *Alford* plea may generally be used for the same purposes as any other conviction and that, like any other guilty plea, it may be used as a predicate for civil and criminal penalties (*id.*).

Thus, as we would with any plea, we consider two factors when determining whether preclusive effect should be given: First, whether the identical issue was necessarily decided in the prior action or proceeding and is decisive of the present action, and second, whether the party who is attempting to relitigate the issue had a full and fair opportunity to contest it in the prior action or proceeding (see *Kaufman v Eli Lilly & Co.*, 65 NY2d 449, 455 [1985]). Importantly,

"[t]he party seeking the benefit of collateral estoppel has the burden of demonstrating the identity of the issues in the present litigation and the prior determination, whereas the party attempting to defeat its application has the burden of establishing the absence of a full and fair opportunity to litigate the issue in the prior action" (*id.* at 456).

Here, the plea colloquy preceding claimant's insurance fraud conviction included no reference to the facts underlying the

conviction, so it is impossible to conclude that the conviction was based upon the same circumstances alleged to be fraudulent in the workers' compensation proceeding. SIF therefore failed to meet its burden of proving identity of issue. As a result, the plea did not prohibit claimant from challenging the workers' compensation violation alleged.

Accordingly, the decision of the Workers' Compensation Board appealed from and the order of the Appellate Division brought up for review should be affirmed, with costs.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and SMITH concur; Judge RIVERA taking no part.

Decision of the Workers' Compensation Board appealed from and order of the Appellate Division brought up for review affirmed, with costs.

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[987 NE2d 264, 964 NYS2d 487]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v STEPHEN DEPROSPERO, Appellant.

Argued February 12, 2013; decided March 26, 2013

### SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 18, 2011. The Appellate Division affirmed a judgment of the Oneida County Court (Michael L. Dwyer, J.), which had convicted defendant, upon his plea of guilty, of predatory sexual assault against a child.

*People v DeProspero*, 91 AD3d 39, affirmed.

### HEADNOTE

#### Crimes — Unlawful Search and Seizure — Forensic Examination of Electronic Media Pursuant to Search Warrant

In defendant's prosecution for predatory sexual assault against a child based upon digital images discovered during a January 2010 State Police laboratory forensic examination of the memory card of a digital camera seized from his residence pursuant to a search warrant executed in May 2009, defendant had no reasonable expectation of privacy justifying suppression of those images on Fourth Amendment grounds. Although defendant was convicted in September 2009 of another charge based on a single pornographic image discovered on his computer during a preliminary on-site examination at the time of the warrant's execution, the intervening conviction did not sap the warrant of its justifying predicate, nor did the winding-up of the prosecution resulting in that conviction. Defendant's property had been seized upon probable cause to believe that he had used it to engage in felonious conduct and nothing had happened since the warrant was issued to diminish the cause for its issue. The continued validity of a search warrant and any assumption of custody it authorizes is not necessarily tied to the pendency of any particular prosecution (*see* CPL 690.55 [2]). The duration of a warrant's authority is more appropriately measured by the persistence of the cause for its issue. Here, the predicate for the seizure and examination of defendant's digital media devices was at least as compelling in January 2010 as it had been in May 2009. Thus, there was no reason to conclude that the warrant did not at the time of the state laboratory examination remain valid and allow both the State's continued custody of the seized property and the "lesser-related intrusion" involved in that property's inspection.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Searches and Seizures §§ 9, 19, 303.

CARMODY-WAIT 2d, Search and Seizure §§ 173:45–173:47,  
173:173.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 3.1, 3.4.  
 NY JUR 2d, Criminal Law: Procedure §§ 240, 241, 349.

#### ANNOTATION REFERENCE

Delay in execution of search warrant as affecting admissibility of evidence seized under warrant. 2002 ALR5th 18.

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#### POINTS OF COUNSEL

*Frank Policelli*, Utica, for appellant. The search of Stephen DeProspero's digital camera after the criminal proceedings had terminated was a warrantless search requiring suppression under both the State and Federal Constitutions. (*United States v \$490,920 in United States Currency*, 911 F Supp 720; *Matter of Documents Seized Pursuant to Search Warrant*, 124 Misc 2d 897; *Matter of DeBellis v Property Clerk of City of N.Y.*, 79 NY2d 49; *People v Scott*, 79 NY2d 474; *United States v Jeffers*, 342 US 48; *Coolidge v New Hampshire*, 403 US 443; *Stanley v Georgia*, 394 US 557; *United States v Harrell*, 530 F3d 1051; *United States v Carey*, 172 F3d 1268; *United States v LaFatch*, 565 F2d 81.)

*Scott D. McNamara*, District Attorney, Utica (*Steven G. Cox* of counsel), for respondent. I. The inspection of digital media seized pursuant to a lawful judicial order was proper. (*McClen-don v Rosetti*, 460 F2d 111; *Matter of DeBellis v Property Clerk of City of N.Y.*, 79 NY2d 49; *United States v Jeffers*, 342 US 48; *United States v LaFatch*, 565 F2d 81; *Matter of Sea Lar Trading Co. v Michael*, 94 AD2d 309, 60 NY2d 860; *United States v \$490,920 in United States Currency*, 911 F Supp 720; *United States v Harrell*, 530 F3d 1051; *United States v Farrell*, 606 F2d 1341; *One 1958 Plymouth Sedan v Pennsylvania*, 380 US 693.) II. The United States Constitution imposes no deadline for the forensic examination of evidence seized lawfully. (*Warden, Md. Penitentiary v Hayden*, 387 US 294; *United States v Poller*, 43 F2d 911; *Brigham City v Stuart*, 547 US 398; *United States v Knights*, 534 US 112; *Wyoming v Houghton*, 526 US 295; *People v Galak*, 80 NY2d 715; *United States v Brignoni-Ponce*, 422 US 873; *South Dakota v Opperman*, 428 US 364; *Colorado v Bertine*, 479 US 367; *Katz v United States*, 389 US 347.) III. Law enforcement, prosecutors and the courts have a common-law



obligation to prevent the return of contraband to any individual. (*United States v Jeffers*, 342 US 48; *One 1958 Plymouth Sedan v Pennsylvania*, 380 US 693; *Carroll v United States*, 267 US 132; *Sullivan v Gruppiso*, 77 Misc 2d 833; *Jacobson v United States*, 503 US 540; *Simpson v St. John*, 93 NY 363; *Wise v Henkel*, 220 US 556; *Matter of Moss v Spitzer*, 19 AD3d 599; *DXB Video Tapes v Halay*, 239 AD2d 205; *SSC Corp. v State of N.Y. Organized Crime Task Force*, 128 AD2d 860.)

#### OPINION OF THE COURT

Chief Judge LIPPMAN.

Defendant entered a plea to predatory sexual assault against a child after his motion to suppress evidence alleged to have been obtained by the State in consequence of an illegal search was denied. That evidence, consisting of several hundred still-frame digital images depicting defendant engaged in a sexual act with a child, was found on the memory card of a digital camera seized from defendant's residence pursuant to a warrant issued on May 4, 2009 and executed the following day. The forensic examination of the memory card and other digital media devices seized pursuant to the warrant was, for the most part, not performed until January 2010. In the interim, however, defendant was prosecuted for and, in September 2009, pleaded guilty to one count of possessing a sexual performance by a child, based on a single pornographic image of a child found on his computer during a preliminary on-site examination of that device at the time of the warrant's execution.

After defendant served the prison sentence imposed upon his September 2009 conviction, and after his time to appeal from the judgment of conviction elapsed, his attorney, in December 2009, contacted the Oneida County prosecutor who had handled the matter, and requested the return of the various items seized from defendant's residence pursuant to the May 2009 warrant. The prosecutor responded that he could not return items containing contraband images and that he would have to ascertain from the State Police laboratory, which had been in possession of the sought property since the warrant's return, whether the various digital devices seized from defendant's home were clean. On contacting the laboratory, however, the prosecutor learned that the devices had not yet been forensically

examined.<sup>1</sup> It was only when they were finally examined a relatively short time later that the still-frame images upon which defendant's presently challenged predatory sexual assault conviction is based were discovered.

Although defendant sought suppression of the evidence obtained in the search of his home upon the ground that the warrant authorizing the search was issued on a deficient predicate, that contention is no longer pressed, and, indeed, it is clear that, as the motion court found, the state investigator's affidavit submitted in support of the warrant application, detailing the tracing of numerous child pornography downloads to an IP address used under an Internet account bearing defendant's name and address, amply established probable cause for the requested search and seizure. Nor is there any current contention that the warrant was overbroad or that the search and seizure performed on May 5, 2009 exceeded the warrant's scope. The presently relevant claim is rather that by the time of the January 2010 forensic examination yielding the inculpatory still-frame images, the authority provided by the May 4, 2009 warrant had lapsed—that in the absence of fresh judicial authorization, the January 2010 search was illegal and the evidence obtained from it therefore inadmissible.

County Court, in denying defendant's suppression motion, and the Appellate Division, in its decision affirming the judgment convicting defendant (91 AD3d 39 [2011]), rejected this contention, and, the matter having now come before us pursuant to permission granted by a Judge of this Court (18 NY3d 957 [2012]), we reject it as well.

Although the issue is far from settled, we assume for present purposes in defendant's favor that the illegal retention of property by the state subsequent to an initial lawful seizure is redressable as a Fourth Amendment violation, that is to say as a continuing "seizure" which at some point subsequent to its inception lost its justifying predicate.<sup>2</sup> Even while hypothetically allowing the viability of the theory, however, it is plain that it cannot avail defendant on the present facts.

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1. It was explained at the hearing held on defendant's suppression motion that the delay in examining his digital storage devices was occasioned by the Computer Forensic Laboratory's policy of prioritizing examinations of the many devices awaiting its inspection based on certain indicia of urgency not present in defendant's case.

2. Although the Supreme Court, arguably, has implicitly recognized that a "seizure" within the meaning of the Fourth Amendment may continue

(n. cont'd)

The Fourth Amendment prohibition against unreasonable searches and seizures is now prevalently understood to protect what an individual may legitimately expect to keep private against unwarranted intrusion by agents of the state (*Katz v United States*, 389 US 347, 351 [1967]). It is, then, ordinarily elemental to the viability of a claim of a Fourth Amendment violation, that its proponent is able to allege a legitimate expectation of privacy in the places or items said to have been illegally searched or seized (*Rakas v Illinois*, 439 US 128 [1978]; *People v Ramirez-Portoreal*, 88 NY2d 99, 108 [1996]).

Here, it is plain that in the aftermath of the execution of the valid May 4, 2009 warrant, defendant was deprived of any legitimate expectation of privacy he may have had respecting the seized items, which were, pursuant to the warrant and warrant return, to be retained by the police for an unspecified period “for the purpose of further analysis and examination.” Defendant does not argue to the contrary. Rather, he contends that in advance of the January 2010 laboratory examination of his property the legitimate expectation of privacy lost by reason of the warrant’s execution was restored. This, he says, occurred when the prosecution culminating in his September 2009 conviction for possessing a sexual performance by a child ran its course, and the seized items were no longer useful in that or any other pending criminal proceeding. Defendant points out that when, in December 2009, his attorney requested the return of his property, there was no outstanding criminal matter to which the seized items or their contents were assertedly relevant, and evidently no new prosecution was then in the offing.

It does not, however, follow that the authority of the warrant should be understood to have waned, or defendant’s legitimate expectations as to the privacy of his seized property to have commensurately waxed. Defendant’s property had been seized upon probable cause to believe that he had repeatedly used it to engage in felonious conduct punishable pursuant to Penal Law article 263. Nothing had happened since the warrant was signed to diminish the cause for its issue. Certainly, defendant’s

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beyond the initial taking (see e.g. *United States v Place*, 462 US 696 [1983]), the issue has been closely debated in the federal circuits, several of which have held that the Fourth Amendment has no bearing where a claim relates to the legality of the government’s retention of property following a legal seizure, because the subsequent retention is not itself a “seizure” (see e.g. *Lee v City of Chicago*, 330 F3d 456, 460-466 [7th Cir 2003]; *Fox v Van Oosterum*, 176 F3d 342, 349-352 [6th Cir 1999]).

intervening child pornography conviction did not sap the warrant of its justifying predicate; nor did the winding-up of the prosecution resulting in that conviction. It is manifest that the continued validity of a search warrant and any assumption of custody it authorizes is not necessarily tied to the pendency of any particular prosecution (*see* CPL 690.55 [2]). The duration of a warrant's authority is more appropriately measured by the persistence of the cause for its issue. Here, the predicate for the seizure and examination of defendant's digital media devices was at least as compelling in January 2010 as it had been in May 2009. This being so, there appears no reason to conclude that the warrant did not at the time of the state laboratory examination remain valid and allow both the State's continued custody of the seized property and the "lesser-related intrusion" involved in that property's inspection (*see People v Natal*, 75 NY2d 379, 384 [1990], *cert denied* 498 US 862 [1990]). It is plain that defendant had no relevant expectation of privacy to ground a Fourth Amendment-based suppression claim.

Even were we to understand, and in theory allow, defendant's suppression claim as one premised not on his expectation of privacy, but entirely upon his property rights and the State's alleged wrongful interference with them, the claim would not be viable in light of the warrant's continued validity. Indeed, given the unabated probable cause to believe that the seized items contained contraband images, any reunification of defendant with his property would have been conditioned, as it in fact was, upon the conduct of the analysis and examination contemplated by the warrant, if only to assure that the release of the property would not entail the commission of a new possessory offense and the reintroduction of child pornography into the public domain. And, although the parties do not argue the point, it seems that some or all of the property here, even if not contraband, might have been subject to forfeiture as instrumentalities of crime in a proceeding brought under CPLR 1311.

We note that neither the Fourth Amendment nor its New York State analogue (NY Const, art I, § 12) specifically limit the length of time property may be held following a lawful seizure. Nor is such a limitation evident from the text of New York's statute governing the disposition of evidence obtained by warrant (CPL 690.55). But the statutory omission is likely no more than a concession to the impossibility of usefully prescribing uniform limitations in this context; it, of course, does not signify that private property obtained under the authority of a warrant

may be effectively confiscated without a further showing of justification. Obviously, it would not be compatible with due process for the state to retain property under color of a search warrant beyond the exhaustion of any law enforcement purpose adequate to justify the withholding (*see Matter of DeBellis v Property Clerk of City of N.Y.*, 79 NY2d 49, 57 [1992]). And, while we do not exclude the hypothesis that such a withholding would be redressable as well as an unreasonable seizure, the viability of that theory is a matter we need not and do not decide, since, as noted, no claim that would fit within it is made out by the present facts.

Accordingly, the order of the Appellate Division should be affirmed.

Judges GRAFFEO, READ, SMITH, PIGOTT and RIVERA concur.

Order affirmed.

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[986 NE2d 914, 964 NYS2d 80]

GEOFFREY GELMAN, Respondent, v ANTONIO BUEHLER, Appellant.

Argued February 7, 2013; decided March 26, 2013

**SUMMARY**

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered January 3, 2012. The Appellate Division order, insofar as appealed from, modified, on the law, an order of the Supreme Court, New York County (Barbara R. Kapnick, J.), which had granted defendant's motion to dismiss the amended complaint. The modification consisted of reinstating the breach of contract cause of action. The following question was certified by the Appellate Division: "Was the order of this Court, which modified in part and otherwise affirmed the order of the Supreme Court, properly made?"

*Gelman v Buehler*, 91 AD3d 425, reversed.

**HEADNOTE****Partnership — Dissolution — Unilateral Dissolution of Partnership Formed by Oral Agreement**

Defendant did not breach the parties' oral partnership agreement by unilaterally withdrawing from the partnership in the absence of a definite term of duration of the partnership or a particular undertaking to be achieved. Partnership Law § 62 (1) (b) states that a partnership formed by oral agreement may be dissolved unilaterally if "no definite term or particular undertaking is specified" in the underlying agreement. The parties, in forming the partnership, had planned to raise money in order to find and purchase a business and then manage the business until it could be sold at a profit to be shared with the investors. Plaintiff's complaint, however, lacked a fixed, express period of time during which the enterprise was expected to operate instead alleging a flexible temporal framework. Since the complaint did not set forth a specific or even a reasonably certain termination date, it did not satisfy the "definite term" element of section 62 (1) (b). Moreover, the alleged sequence of anticipated partnership events detailed in the complaint were too amorphous to meet the "particular undertaking" element. The stages of the plan, as alleged by plaintiff, were to: (1) raise money; (2) identify a business to buy; (3) raise more money to purchase the business; (4) "operate the business to increase its value"; (5) "achieve the liquidity event"; (6) "sell the business"; and (7) secure profit from the sale. Those objectives were fraught with uncertainty and were less definitive than the declarations referring to specific industries that have been found to be inadequate by other courts.

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Partnership §§ 90, 332, 333.



McKINNEY's, Partnership Law § 62 (1) (b).

NY JUR 2d, Business Relationships §§ 1561, 1773, 1800, 1802.

#### ANNOTATION REFERENCE

See ALR Index under Partnerships.

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#### POINTS OF COUNSEL

*Niehaus LLP*, New York City (*Paul R. Niehaus* and *S. Gabriel Hayes-Williams* of counsel), for appellant. I. The Appellate Division improperly reinstated plaintiff's breach of contract claim. (*Prince v O'Brien*, 234 AD2d 12; *Wahl v Barnum*, 116 NY 87; *Shandell v Katz*, 95 AD2d 742; *Bayer v Bayer*, 215 App Div 454; *Sanley Co. v Louis*, 197 AD2d 412; *Harshman v Pantaleoni*, 294 AD2d 687; *Eurycleia Partners, LP v Seward & Kissel, LLP*, 12 NY3d 553; *Cooke v Dodge*, 168 Misc 561; *Locke v Benton & Bowles, Inc.*, 253 App Div 369; *Haines v City of New York*, 41 NY2d 769.)

*Geoffrey Gelman*, respondent pro se. I. The instant partnership was not at will. (*Harshman v Pantaleoni*, 294 AD2d 687; *Sanley Co. v Louis*, 197 AD2d 412; *Scholastic, Inc. v Harris*, 259 F3d 73; *St. Lawrence Factory Stores v Ogdensburg Bridge & Port Auth.*, 202 AD2d 844; *Hooker Chems. & Plastics Corp. v International Mins. & Chem. Corp.*, 90 AD2d 991; *Hardin v Robinson*, 178 App Div 724; *Haines v City of New York*, 41 NY2d 769; *Napoli v Domnitch*, 18 AD2d 707, 14 NY2d 508; *Community Capital Bank v Fischer & Yanowitz*, 47 AD3d 667; *Matter of Steinbeck v Gerosa*, 4 NY2d 302.) II. There is no requirement for a written partnership agreement. (*Shandell v Katz*, 95 AD2d 742; *Mendelovitz v Cohen*, 20 Misc 3d 1146[A], 2008 NY Slip Op 51893[U]; *Hooker Chems. & Plastics Corp. v International Mins. & Chem. Corp.*, 90 AD2d 991; *F&K Supply v Willowbrook Dev. Co.*, 304 AD2d 918; *Zimmerman v Harding*, 227 US 489; *Klein v Greenberg*, 461 F Supp 653.)

#### OPINION OF THE COURT

GRAFFEO, J.

Partnership Law § 62 (1) (b) states that a partnership formed by oral agreement may be dissolved unilaterally if "no definite

term or particular undertaking is specified” in the underlying agreement. Because the parties in this case did not sufficiently address either of these provisions in their oral contract, we conclude that there was no breach of contract when one party withdrew from the enterprise.

According to the allegations in the complaint, which we must accept as true, plaintiff Geoffrey Gelman and defendant Antonio Buehler were recent business school graduates who decided to form a partnership in 2007. Buehler had proposed a plan to Gelman aimed at acquiring \$600,000 from investors for the purpose of establishing a “search fund” to research and identify a business with growth potential. A second investor solicitation was contemplated to raise any additional funding needed to pay the purchase price of the targeted business. Buehler and Gelman were to manage the business with the goal of increasing its value until it could be sold at a profit—they referred to this future occurrence as the “liquidity event”—and the investors would share in the profits realized from the sale. Gelman accepted Buehler’s proposal and the partnership was formed by oral agreement. Buehler and Gelman expected that the business plan would reach its objective in four to seven years.

The partners apparently pursued prospective investors for several months. Buehler withdrew from the venture after Gelman refused his demand for majority ownership of the partnership. As relevant to this appeal, Gelman sued Buehler for breach of contract, claiming that Buehler could not unilaterally terminate his obligations under the agreement. Buehler moved to dismiss the complaint on the ground that dissolution was permissible under Partnership Law § 62 (1) (b) because the oral agreement did not include a “definite term or particular undertaking.” Supreme Court granted Buehler’s motion to dismiss, concluding that the complaint failed to allege that the partnership agreement provided for a definite term or a defined objective.

The Appellate Division modified by reinstating the breach of contract cause of action, reasoning that the complaint adequately described a “definite term” by its reference to the liquidity event and sufficiently alleged a “specific undertaking of acquiring a business and expanding it until the investors would receive a return on their capital investments” (91 AD3d 425, 425-426 [1st Dept 2012]). Two Justices dissented, concluding that the partnership was dissolvable at will under Partnership Law § 62 (1) (b) because the oral agreement contained

neither a definite term nor a particular undertaking. Buehler now appeals on the basis of a question that the Appellate Division certified to us.

The common law provided that “a contract of partnership, containing no stipulation as to the time during which it shall continue in force . . . may be dissolved by either partner at his own will at any time” (*Karrick v Hannaman*, 168 US 328, 333-334 [1897]), unless the “partnership has for its object the completion of a specified piece of work, or the effecting of a specified result” (*Hardin v Robinson*, 178 App Div 724, 729 [1st Dept 1916]). The Uniform Partnership Act of 1914 proposed that these concepts be codified through the use of the phrase “definite term or particular undertaking” (Uniform Partnership Act § 31 [1] [b]).<sup>1</sup> When New York enacted its Partnership Law several years later, it incorporated the Act’s suggestion (*see* L 1919, ch 408). As it reads today, Partnership Law § 62 (1) (b) states that a partnership may be dissolved “[b]y the express will of any partner when no definite term or particular undertaking is specified” in the partnership agreement. In this appeal, we are asked to decide whether the allegations in Gelman’s complaint set forth a “definite term” or identify the particular objective sought to be achieved with the requisite specificity.

Since the enactment of the Partnership Law in New York, courts in other jurisdictions have held that the commonly-used statutory phrase—a “definite term”—is intended to be durational in nature and refers to an identifiable termination date (*see e.g. Scholastic, Inc. v Harris*, 259 F3d 73, 85-86 [2d Cir 2001]; *Johnson v Kennedy*, 350 Mass 294, 298, 214 NE2d 276, 278 [1966]; *Posner v Miller*, 356 Mich 6, 9, 96 NW2d 110, 111-112 [1959]; *Nicholes v Hunt*, 273 Or 255, 261-262, 541 P2d 820, 823-824 [1975]; *Willman v Beheler*, 499 SW2d 770, 775 [Mo 1973]; *Fisher v Fisher*, 83 Cal App 2d 357, 360, 188 P2d 802, 804 [1948]). A “particular undertaking” has been defined to require a specific objective or project that may be accomplished at some future time, although the precise date need not be known or ascertainable at the time the partnership is created (*see e.g. Tropeano v Dorman*, 441 F3d 69, 77-78 [1st Cir 2006] [“Business activities which may continue indefinitely are not

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1. The Uniform Act has been updated but continues to use “definite term or particular undertaking” (*see* Uniform Partnership Act [1997] §§ 406 [a]; 602 [b] [2]).

‘particular’ in nature and do not constitute particular undertakings”]; *Scholastic, Inc. v Harris*, 259 F3d at 86; *Fischer v Fischer*, 197 SW3d 98, 104 [Ky 2006], quoting *Girard Bank v Haley*, 460 Pa 237, 244, 332 A2d 443, 447 [1975]; *Miami Subs Corp. v Murray Family Trust*, 142 NH 501, 509, 703 A2d 1366, 1371 [1997]; *Harshman v Pantaleoni*, 294 AD2d 687, 688 [3d Dept 2002]).

Applying similar meanings to the terminology in Partnership Law § 62 (1) (b), we believe that Gelman’s complaint lacks a fixed, express period of time during which the enterprise was expected to operate. Instead, the complaint alleges a flexible temporal framework: the parties were to solicit investments for an indefinite length of time; conduct an open-ended (possibly two-year) search for an unidentified business in an unknown business sector or industry; secure additional capital investments over the course of an unspecified period of time; and then purchase and operate the enterprise for an indeterminate duration (perhaps four to seven years) until a liquidity event would hopefully occur. Since the complaint does not set forth a specific or even a reasonably certain termination date, it does not satisfy the “definite term” element of section 62 (1) (b).<sup>2</sup>

Furthermore, when the entire scheme is considered, the alleged sequence of anticipated partnership events detailed in the complaint are too amorphous to meet the statutory “particular undertaking” standard for precluding unilateral dissolution of a partnership. The stages of the plan, as alleged by Gelman, were to: (1) raise money; (2) identify a business to buy; (3) raise more money to purchase the business; (4) “operate the business to increase its value”; (5) “achieve the liquidity event”; (6) “sell the business”; and (7) secure profit from the sale. But these objectives are fraught with uncertainty and are less definitive than the declarations referring to specific industries that have been found to be inadequate by other courts (*see e.g. Scholastic, Inc.*, 259 F3d at 86 [objective of the partnership was the “‘development, packaging, production and distribution of theatrical feature films . . . while also involved . . . in television development and production’ ”]; *Sanley Co. v Louis*, 197 AD2d 412, 413 [1st Dept 1993] [partnership’s purpose was to acquire,

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2. The error in the Appellate Division’s rationale was that it equated “definite term” with the liquidity event—a possible future occurrence from which an identifiable termination date was not ascertainable at the outset of the partnership.

manage and resell real estate]). In contrast, the Third Department ruled that the “particular undertaking” requirement was satisfied in *St. Lawrence Factory Stores v Ogdensburg Bridge & Port Auth.* (202 AD2d 844, 845 [3d Dept 1994]) because the agreement identified the specific purpose of the partnership as the development and construction of a retail factory outlet center on an identified parcel of real property. Nothing in Gelman’s complaint approaches such precision.

In the absence of a definite term of duration or a particular undertaking to be achieved, the partnership agreement at issue, however well-intended, was dissolvable at will by either partner under Partnership Law § 62 (1) (b). Consequently, defendant Buehler is entitled to dismissal of the breach of contract cause of action.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, the breach of contract cause of action of the complaint dismissed, and the certified question answered in the negative.

Chief Judge LIPPMAN and Judges READ, SMITH and PIGOTT concur; Judge RIVERA taking no part.

Order, insofar as appealed from, reversed, with costs, the breach of contract cause of action of the complaint dismissed, and the certified question answered in the negative.

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[987 NE2d 233, 964 NYS2d 456]

In the Matter of KARRI BECK-NICHOLS, Respondent, v CYNTHIA A. BIANCO, as Superintendent of Schools of the City School District of the City of Niagara Falls, New York, et al., Appellants.

In the Matter of ROXANNE ADRIAN, Appellant, v BOARD OF EDUCATION OF CITY SCHOOL DISTRICT OF CITY OF NIAGARA FALLS et al., Respondents.

In the Matter of KELI-KORAN LUCHEY, Respondent, v BOARD OF EDUCATION OF CITY SCHOOL DISTRICT OF THE CITY OF NIAGARA FALLS et al., Appellants.

Argued January 8, 2013; decided February 19, 2013

#### SUMMARY

APPEAL, in the first above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 10, 2011, in a proceeding pursuant to CPLR article 78 (transferred to the Appellate Division by order of the Supreme Court, entered in Erie County). The Appellate Division (1) annulled, on the law, respondents' determination which had terminated petitioner's employment with the School District of Niagara Falls, and (2) granted the petition.

APPEAL, in the second above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 17, 2012. The Appellate Division (1) reversed, on the law, a judgment (denominated decision and order) of the Supreme Court, Niagara County (Ralph A. Boniello III, J.), entered in a proceeding pursuant to CPLR article 78, which had annulled respondents' termination of petitioner's employment and directed respondents to reinstate petitioner to her tenured position with full back pay and benefits retroactive to September 25, 2009; and (2) dismissed the petition.

APPEAL, in the third above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered February 17, 2012. The Appellate Division affirmed a judgment (denominated decision and order) of the Supreme Court, Niagara County (Ralph A. Boniello III, J.), entered in a proceeding pursuant to CPLR article 78, which had annulled



respondents' termination of petitioner's employment and directed respondents to reinstate petitioner to her tenured position with full back pay and benefits retroactive to September 25, 2009.

*Matter of Beck-Nichols v Bianco*, 89 AD3d 1405, reversed.

*Matter of Adrian v Board of Educ. of City School Dist. of City of Niagara Falls*, 92 AD3d 1272, affirmed.

*Matter of Luchey v Board of Educ. of City School Dist. of the City of Niagara Falls*, 92 AD3d 1276, reversed.

#### HEADNOTES

##### **Civil Service — Residence Requirement — School District's Residency Policy Not Ambiguous**

1. The residency policy of the School District of the City of Niagara Falls, which required those employees hired or promoted after the policy's effective date to reside in the City of Niagara Falls and maintain residency there during their employment, was not ambiguous and therefore was enforceable against petitioners, three former employees who were found to have violated the policy. The implementing regulations defined "residency" as "an individual's actual principal domicile at which he or she maintains usual personal and household effects." That definition was not ambiguous. The word "domicile" alone was enough to convey the sense that respondent Board of Education mandated that district employees live in Niagara Falls with intent to make it a fixed and permanent abode. Moreover, the regulations provided for notifying employees of the residency policy upon initial appointment and promotion; gave employees six months after appointment to come into compliance, and allowed respondent Board, in its discretion, to extend that grace period for another six months. The regulations also provided for a "seven-day letter" to afford an employee the opportunity to respond to allegations of noncompliance; included a hardship waiver; and exempted nonadministrative employees hired prior to the policy's effective date, subject to certain conditions. The detailed forms required by the regulations to carry out the policy called for employees to acknowledge that they read, understood and agreed to fulfill their responsibilities under the policy. Nothing in the policy or regulations might reasonably have led a prospective employee into supposing that a mail drop or pied-à-terre in Niagara Falls was sufficient.

##### **Schools — Teachers — Termination for Failure to Comply with Residency Policy — No Right to Hearing Prior to Termination**

2. Petitioner tenured employees were not entitled to hearings complying with Education Law §§ 2509 (2), 3020 and 3020-a before they were terminated for failing to comply with the residency policy of the School District of the City of Niagara Falls, which required those employees hired or promoted after the policy's effective date to reside in the City of Niagara Falls and maintain residency there during their employment. A residency requirement defines eligibility for employment, and so is unrelated to job performance, misconduct or competency. The Education Law provisions requiring pre-termination hearings deal with teacher discipline and were not applicable here. Due process mandated only notice and some opportunity to respond. The notice-and-hearing procedures followed by respondent prior to terminating petitioners

were more extensive than the provision in the policy's implementing regulations for a single notification and opportunity to respond via a "seven-day letter," and they complied with due process.

**Civil Service — Residence Requirement — Termination of School District Employee for Failure to Comply with Residency Requirement**

3. Respondent Niagara Falls Board of Education's determination to terminate petitioner school employee for violating the residency policy of respondent School District of the City of Niagara Falls, which required those employees hired or promoted after the policy's effective date to reside in the City of Niagara Falls and maintain residency there during their employment, was not arbitrary and capricious or an abuse of discretion. The fact that petitioner was domiciled in Niagara Falls when hired did not require respondent District to prove by clear and convincing evidence that she abandoned her domicile, the standard applied in the interpretation of statutes governing public officers. In any event, there was clear and convincing evidence that petitioner abandoned her domicile in Niagara Falls after her initial appointment; namely, she and her husband signed a New York State School Tax Relief Program (STAR) application after purchasing a residence in another municipality in which they certified that the new address was their "primary residence." Respondent Board was entitled to disregard the new STAR application that was signed only by respondent's husband and filed only after petitioner was questioned about the original STAR application at the meeting to review petitioner's residency status. Moreover, petitioner's husband and family lived at the house in the other municipality, where their children attended school, and petitioner spent little time at the address in Niagara Falls where she claimed to reside.

**Civil Service — Residence Requirement — Termination of School District Employee for Failure to Comply with Residency Requirement**

4. Respondent Niagara Falls Board of Education's determination to terminate petitioner school employee for violating the residency policy of the School District of the City of Niagara Falls, which required those employees hired or promoted after the policy's effective date to reside in the City of Niagara Falls and maintain residency there during their employment, was not arbitrary and capricious or an abuse of discretion. Petitioner lived in another municipality when initially appointed, and the evidence developed during the investigation might have reasonably caused respondent Board to conclude that she never abandoned her domicile there despite advising the District that she had moved into Niagara Falls about 11 months after she was hired. Research conducted after petitioner had claimed to have moved indicated that she still resided at the old address, and a record maintained by the State Education Department disclosed that petitioner had apparently used the old address when she applied for permanent certification, which was granted after she allegedly moved. Moreover, surveillance conducted on behalf of the District on four separate dates revealed that petitioner was observed leaving for work from, or returning from work to, the old address; she was never seen at the Niagara Falls address, including the one occasion when a second investigator was stationed there throughout the afternoon/evening hours until the following morning.

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Civil Service §§ 25, 54, 77; AM JUR 2d, Schools §§ 145, 168, 219, 222–224, 246, 247.

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 351, 507, 513, 514, 524; NY JUR 2d, Schools, Universities, and Colleges § 175.

**ANNOTATION REFERENCE**

Validity, construction, and effect of municipal residency requirements for teachers, principals, and other school employees. 75 ALR4th 272.

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**POINTS OF COUNSEL**

*Hurwitz & Fine, P.C.*, Buffalo (*Michael F. Perley, Todd C. Bushway, Cassandra A. Kazukenus and Angelo Massaro* of counsel), for appellants in the first above-entitled proceeding. I. Under either the substantial evidence or arbitrary and capricious standard of review, the Niagara Falls Board of Education's decision was rationally based and should be upheld. (*Matter of Jennings v New York State Off. of Mental Health*, 90 NY2d 227; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Silberfarb v Board of Coop. Educ. Servs., Third Supervisory Dist., Suffolk County*, 60 NY2d 979; *Matter of Bevacqua v Sobol*, 176 AD2d 1; *Sheerin v New York State Div. of Substance Abuse Servs.*, 844 F Supp 909; *Matter of County of Cayuga v McHugh*, 4 NY2d 609; *Matter of Hecht v Monaghan*, 307 NY 461; *Matter of Ridge Rd. Fire Dist. v Schiano*, 16 NY3d 494; 300 Gramatan Ave. Assoc. v State Div. of Human Rights, 45 NY2d 176; *Matter of Miller v DeBuono*, 90 NY2d 783.) II. The Appellate Division's misapplication of the standard of review improperly shifted the burden of proof to respondent. (*Matter of Condell v Jorling*, 151 AD2d 88; *Matter of Bergstein v Board of Educ., Union Free School Dist. No. 1 of Towns of Ossining, New Castle & Yorktown*, 34 NY2d 318; *Matter of Felix v New York City Dept. of Citywide Admin. Servs.*, 3 NY3d 498.) III. The Appellate Division exceeded its authority when it

usurped the Niagara Falls Board of Education's right to weigh the evidence. (*Matter of Marsh v Hanley*, 50 AD2d 687; *Matter of 780 P.P. Assoc. v State of N.Y. Div. of Hous. & Community Renewal*, 11 AD3d 392; *Matter of Stork Rest. v Boland*, 282 NY 256.)

*Reden & O'Donnell, LLP*, Buffalo (*Robert J. Reden* and *Terry M. Sugrue* of counsel), for respondent in the first above-entitled proceeding. I. Appellants' decisions to terminate Karri Beck-Nichols' employment was arbitrary and capricious. (*George Backer Mgt. Corp. v Acme Quilting Co.*, 46 NY2d 211; *Matter of Newcomb*, 192 NY 238; *Matter of Hosley v Curry*, 85 NY2d 447; *Matter of Larkin v Herbert*, 185 AD2d 607; *Matter of Felix v New York City Dept. of Citywide Admin. Servs.*, 3 NY3d 498; *Unanue v Unanue*, 141 AD2d 31; *Matter of Gadway*, 123 AD2d 83; *Gould v Gould*, 235 NY 14; *Matter of Gallagher v Dinkins*, 41 AD2d 946, 32 NY2d 839.) II. The Appellate Division properly found that this case did not involve a substantial evidence issue, as appellants did not hold a "hearing" and none was required by law. (*Matter of Gigliotti v Bianco*, 82 AD3d 1636; *Matter of Krajkowski v Bianco*, 85 AD3d 1577, 17 NY3d 712; *Matter of O'Connor v Board of Educ. of City School Dist. of City of Niagara Falls*, 48 AD3d 1254, 10 NY3d 928; *Matter of Felix v New York City Dept. of Citywide Admin. Servs.*, 3 NY3d 498.) III. The Appellate Division properly found that appellants' determination that there was clear and convincing evidence that Karri Beck-Nichols changed her domicile was arbitrary and capricious. (*Matter of Newcomb*, 192 NY 238; *Matter of Hosley v Curry*, 85 NY2d 447; *Matter of Westchester County Med. Ctr. [O'Connor]*, 72 NY2d 517; *George Backer Mgt. Corp. v Acme Quilting Co.*, 46 NY2d 211; *Matter of Babbin v State Tax Commn.*, 49 NY2d 846; *Matter of Gray v Tax Appeals Trib. of State of N.Y.*, 235 AD2d 641; *Matter of Felix v New York City Dept. of Citywide Admin. Servs.*, 3 NY3d 498.)

*Office of General Counsel, New York State United Teachers, Latham* (*Anthony J. Brock* and *Richard E. Casagrande* of counsel), for appellant in the second above-entitled proceeding. I. Petitioner was entitled to a hearing prior to being terminated for allegedly violating respondents' residency policy because, as a tenured teacher, she enjoyed a constitutionally protected property interest in her continued public employment. (*Matter of Gould v Board of Educ. of Sewanhaka Cent. High School Dist.*, 81 NY2d 446; *Board of Regents of State Colleges v Roth*, 408 US 564; *Cleveland Bd. of Ed. v Loudermill*, 470 US 532; *Matter of*

*Economico v Village of Pelham*, 50 NY2d 120; *Matter of Prue v Hunt*, 78 NY2d 364; *Matter of O'Connor v Board of Educ. of City School Dist. of City of Niagara Falls*, 48 AD3d 1254; *Mathews v Eldridge*, 424 US 319; *Holt v Board of Educ. of Webster Cent. School Dist.*, 52 NY2d 625; *Matter of Abramovich v Board of Educ. of Cent. School Dist. No. 1 of Towns of Brookhaven & Smithtown*, 46 NY2d 450; *Ricca v Board of Educ. of City School Dist. of City of N.Y.*, 47 NY2d 385.) II. The Board of Education of the City School District of the City of Niagara Falls and Cynthia A. Bianco violated Roxanne Adrian's statutory right to a hearing under the Education Law because the procedures under Education Law § 3020-a are the exclusive procedures for terminating a tenured teacher. (*Matter of Gould v Board of Educ. of Sewanhaka Cent. High School Dist.*, 81 NY2d 446; *Matter of Lynch v Nyquist*, 41 AD2d 363, 34 NY2d 588; *Matter of Mannix v Board of Educ. of City of N.Y.*, 21 NY2d 455; *Ricca v Board of Educ. of City School Dist. of City of N.Y.*, 47 NY2d 385; *People ex rel. Murphy v Maxwell*, 177 NY 494; *Matter of Boyd v Collins*, 11 NY2d 228; *Matter of Abramovich v Board of Educ. of Cent. School Dist. No. 1 of Towns of Brookhaven & Smithtown*, 46 NY2d 450; *Matter of Kobylski v Agone*, 37 Misc 2d 255, 19 AD2d 761; *Matter of Glass v Board of Educ. of City of N.Y.*, 21 AD2d 891, 16 NY2d 982; *Matter of Fitzpatrick v Board of Educ. of Mamaroneck Union Free School Dist.*, 96 AD2d 557, 61 NY2d 607.) III. The Appellate Division erred by reversing the Supreme Court determination because the Board of Education of the City School District of the City of Niagara Falls' and Cynthia A. Bianco's action terminating petitioner was arbitrary and capricious. (*Matter of O'Connor v Board of Educ. of City School Dist. of City of Niagara Falls*, 48 AD3d 1254, 10 NY3d 928; *Matter of Gigliotti v Bianco*, 82 AD3d 1636; *Matter of Krajkowski v Bianco*, 85 AD3d 1577; *Matter of Beck-Nichols v Bianco*, 89 AD3d 1405; *Matter of Luchey v Board of Educ. of City School Dist. of the City of Niagara Falls*, 92 AD3d 1276; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Frick v Bahou*, 56 NY2d 777; *Matter of Lehman v Board of Educ. of City School Dist. of City of N.Y.*, 82 AD2d 832; *Matter of Hosley v Curry*, 85 NY2d 447.)

*Hurwitz & Fine, P.C.*, Buffalo (Michael F. Perley, Todd C. Bushway and Cassandra A. Kazukenus of counsel), for respondents in the second above-entitled proceeding. I. The process used to terminate Roxanne Adrian fulfilled all necessary due process requirements. (*Cleveland Bd. of Ed. v Loudermill*, 470



US 532; *Board of Regents of State Colleges v Roth*, 408 US 564; *Perry v Sindermann*, 408 US 593; *Kinsella v Board of Educ. of Cent. School Dist. No. 7 of Towns of Amherst & Tonawanda, Erie County*, 378 F Supp 54; *Boddie v Connecticut*, 401 US 371; *Matter of Prue v Hunt*, 78 NY2d 364; *Hellenic Am. Neighborhood Action Comm. v City of New York*, 101 F3d 877; *Interboro Inst., Inc. v Foley*, 985 F2d 90; *Reed v Medford Fire Dept., Inc.*, 806 F Supp 2d 594.) II. Roxanne Adrian was not entitled to a hearing under Education Law § 3020-a because her removal was the result of her violation of a condition of employment rather than misconduct or incompetency. (*Matter of Orens v Novello*, 99 NY2d 180; *Matter of Auerbach v Board of Educ. of City School Dist. of City of N.Y.*, 86 NY2d 198; *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Matter of Mannix v Board of Educ. of City of N.Y.*, 21 NY2d 455; *Matter of Fitzpatrick v Board of Educ. of Mamaroneck Union Free School Dist.*, 96 AD2d 557; *Matter of Coriou v Nyquist*, 33 AD2d 580; *Matter of O'Connor v Board of Educ. of City School Dist. of City of Niagara Falls*, 48 AD3d 1254; *Matter of Felix v New York City Dept. of Citywide Admin. Servs.*, 3 NY3d 498; *Mandelkern v City of Buffalo*, 64 AD2d 279; *Matter of Moritz v Board of Educ. of Gowanda Cent. School Dist.*, 60 AD2d 161.) III. The standard of review by the Court is whether the Board of Education of the City School District of the City of Niagara Falls' decision to terminate Roxanne Adrian was arbitrary and capricious. (*Matter of Chauvel v Nyquist*, 43 NY2d 48; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of 508 Realty Assoc., LLC v New York State Div. of Hous. & Community Renewal*, 61 AD3d 753; *Matter of Poster v Strough*, 299 AD2d 127; *Matter of Rodriguez v Goord*, 260 AD2d 736; *Matter of Martin v Ambach*, 111 AD2d 1009; *Matter of Spaid v Liverpool Cent. School Dist.*, 169 Misc 2d 41; *Matter of 125 Bar Corp. v State Liq. Auth. of State of N.Y.*, 24 NY2d 174.) IV. The Board of Education of the City School District of the City of Niagara Falls' finding that Roxanne Adrian was not in compliance with the residency policy was not arbitrary and capricious. (*Matter of Stone v Gross*, 25 AD2d 753, 19 NY2d 675; *Town of Huntington v Park Shore Country Day Camp of Dix Hills*, 47 NY2d 61; *Marcus Assoc. v Town of Huntington*, 45 NY2d 501; *Robert E. Kurzius, Inc. v Incorporated Vil. of Upper Brookville*, 51 NY2d 338; *Lighthouse Shores v Town of Islip*, 41 NY2d 7; *Connally v General Constr. Co.*, 269 US 385; *People v Vetri*, 309 NY 401; *Brad H. v City of New York*, 17 NY3d 180;



*Currier, McCabe & Assoc., Inc. v Maher*, 75 AD3d 889; *Black & Decker [US] v New York State Dept. of Labor Indus. Bd. of Appeals*, 177 AD2d 948.) V. The Appellate Division did not have authority to review the weight of the evidence before it. (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of 125 Bar Corp. v State Liq. Auth. of State of N.Y.*, 24 NY2d 174.) VI. The Board of Education of the City School District of the City of Niagara Falls did not deviate from factually similar precedent in determining Roxanne Adrian was not in compliance with the residency policy. (*Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516; *Matter of Martin [Troy Publ. Co.—Roberts]*, 70 NY2d 679; *Matter of De La Concha v Fordham Univ.*, 292 AD2d 662.)

*Hurwitz & Fine, P.C.*, Buffalo (Michael F. Perley and Todd C. Bushway of counsel), for appellants in the third above-entitled proceeding. I. The residency policy was enforceable as written, and the lower courts erred in finding the policy vague and unenforceable. (*Town of Huntington v Park Shore Country Day Camp of Dix Hills*, 47 NY2d 61; *Marcus Assoc. v Town of Huntington*, 45 NY2d 501; *Connally v General Constr. Co.*, 269 US 385; *People v Vetri*, 309 NY 401; *Matter of Stone v Gross*, 25 AD2d 753, 19 NY2d 675; *Brad H. v City of New York*, 17 NY3d 180; *Currier, McCabe & Assoc., Inc. v Maher*, 75 AD3d 889; *Black & Decker [US] v New York State Dept. of Labor Indus. Bd. of Appeals*, 177 AD2d 948; *Evans v Famous Music Corp.*, 1 NY3d 452; *Nissho Iwai Europe v Korea First Bank*, 99 NY2d 115.) II. The appropriate standard of review on appeal in this matter is whether the Board of Education of the City School District of the City of Niagara Falls' determination was arbitrary and capricious. (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of 125 Bar Corp. v State Liq. Auth. of State of N.Y.*, 24 NY2d 174; *Matter of Jennings v New York State Off. of Mental Health*, 90 NY2d 227; *Matter of Shapiro v State Tax Commn.*, 67 AD2d 191, 50 NY2d 822; *Matter of Newcomb*, 192 NY 238; *Matter of Johnson v Town of Amherst*, 74 AD3d 1896; *Matter of Bodfish v Gallman*, 50 AD2d 457; *Matter of Bourne*, 181 Misc 238, 267 App Div 876, 293 NY 785; *Matter of Peck v Town Bd. of Town of Amherst*, 93 AD3d 1326; *Matter of Johnson*, 259 App Div 290, 284 NY 733.)

*Office of General Counsel, New York State United Teachers*, Latham (Anthony J. Brock and Richard E. Casagrande of

counsel), for respondent in the third above-entitled proceeding.

I. The Appellate Division correctly affirmed the Supreme Court determination because appellants' action terminating petitioner was arbitrary and capricious. (*Matter of O'Connor v Board of Educ. of City School Dist. of City of Niagara Falls*, 48 AD3d 1254, 10 NY3d 928; *Matter of Gigliotti v Bianco*, 82 AD3d 1636; *Matter of Krajkowski v Bianco*, 85 AD3d 1577; *Matter of Beck-Nichols v Bianco*, 89 AD3d 1405; *Matter of Adrian v Board of Educ. of City School Dist. of City of Niagara Falls*, 92 AD3d 1272; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516; *Matter of Frick v Bahou*, 56 NY2d 777; *Matter of Lehman v Board of Educ. of City School Dist. of City of N.Y.*, 82 AD2d 832; *Matter of Hason v Department of Health*, 295 AD2d 818.)

II. Appellants' residency policy is not entitled to a presumption of validity. (*Matter of Stone v Gross*, 25 AD2d 753.)

III. Respondent was entitled to a hearing prior to being terminated for allegedly violating appellants' residency policy because, as a tenured school counselor, she enjoyed a constitutionally protected property interest in her continued public employment. (*Matter of Gould v Board of Educ. of Sewanhaka Cent. High School Dist.*, 81 NY2d 446; *Board of Regents of State Colleges v Roth*, 408 US 564; *Cleveland Bd. of Ed. v Loudermill*, 470 US 532; *Matter of Economico v Village of Pelham*, 50 NY2d 120; *Matter of Prue v Hunt*, 78 NY2d 364; *Matter of O'Connor v Board of Educ. of City School Dist. of City of Niagara Falls*, 48 AD3d 1254; *Mathews v Eldridge*, 424 US 319; *Holt v Board of Educ. of Webutuck Cent. School Dist.*, 52 NY2d 625; *Matter of Abramovich v Board of Educ. of Cent. School Dist. No. 1 of Towns of Brookhaven & Smithtown*, 46 NY2d 450; *Ricca v Board of Educ. of City School Dist. of City of N.Y.*, 47 NY2d 385.)

IV. Appellants violated Keli-Koran Luchey's statutory right to a hearing under the Education Law because the procedures under Education Law § 3020-a are the exclusive procedures for terminating a tenured teacher. (*Matter of D'Angelo v Scoppetta*, 19 NY3d 663; *Matter of Lynch v Nyquist*, 34 NY2d 588, 41 AD2d 363; *Matter of Mannix v Board of Educ. of City of N.Y.*, 21 NY2d 455; *People ex rel. Murphy v Maxwell*, 177 NY 494; *Matter of Boyd v Collins*, 11 NY2d 228; *Matter of Abramovich v Board of Educ. of Cent. School Dist. No. 1 of Towns of Brookhaven & Smithtown*, 46 NY2d 450; *Matter of Kobylski v Agone*, 37 Misc 2d 255, 19 AD2d 761; *Matter of Glass v Board of Educ. of City of N.Y.*, 21 AD2d 891, 16 NY2d 982; *Matter of Fitzpatrick v Board*

of *Educ. of Mamaroneck Union Free School Dist.*, 96 AD2d 557, 61 NY2d 607; *Matter of Coriou v Nyquist*, 33 AD2d 580, 26 NY2d 610.)

### OPINION OF THE COURT

READ, J.

These three cases stem from a residency policy that calls for those employees of the School District of the City of Niagara Falls, New York (the District) hired or promoted after the policy's effective date, March 1, 1994, to reside in the City of Niagara Falls (Niagara Falls or the City), and maintain residency there during their employment. The policy's implementing regulations define "residency" as "an individual's actual principal domicile at which he or she maintains usual personal and household effects."

#### I.

##### Karri Beck-Nichols

The District hired Beck-Nichols as a computer operator in July 1994, and promoted her to the position of production control manager in 2005. When she first began to work for the District, Beck-Nichols resided at a house on J. Avenue in Niagara Falls, which she and her husband owned. In 2001, Beck-Nichols and her husband purchased a house in Lewiston, New York, and, upon being asked, Beck-Nichols informed the District's Administrator for Human Resources (the Administrator) that she remained domiciled in Niagara Falls. Beck-Nichols again assured the District she was domiciled in Niagara Falls on December 3, 2003, when she signed a "residency confirmation."

By letter dated June 7, 2004, the Administrator directed Beck-Nichols to attend an "interview conference" for her to present information substantiating compliance with the residency policy. At this meeting, Beck-Nichols, who was accompanied by her attorney, stated that she was residing with her parents and a nephew, of whom she had custody, at her parent's house on C. Avenue in Niagara Falls; that she and her husband were renting out their house on J. Avenue, but intended eventually to return there; and that her husband and three children were residing at the house in Lewiston, where the children attended school.

On January 21, 2009, Beck-Nichols filed an "Employee Change of Address Form" with the District's Office of Human Resources, claiming residency at the J. Avenue address again.

On February 10, 2009, the Administrator wrote to Beck-Nichols, telling her that the District had “reason to believe that [she was] in violation of [the residency] policy”; and scheduling a “residency affirmation meeting” with her for the District “to secure additional information and/or documentation supporting [her] affirmation and continued residency in [Niagara Falls].” This letter was prompted by a Westlaw database search conducted in December 2008, which turned up the Lewiston address for Beck-Nichols.

Beck-Nichols, with her attorney, appeared at the meeting, held on March 25, 2009. To verify compliance with the residency policy, she supplied copies of utility bills and a cable bill addressed to her at the J. Avenue address; a recent voter registration card and driver’s license, showing her address as J. Avenue; and a statement for a home equity line of credit for the J. Avenue house, addressed to Beck-Nichols and her husband. At this meeting, the District’s attorney brought up the application for exemption from school property taxes under the New York State School Tax Relief Program (STAR), signed by Beck-Nichols and her husband on May 10, 2001 as “resident owners,” in which they certified that they owned the Lewiston property; that it was their “primary residence”; and that they understood their obligation to notify the assessor if they relocated to another primary residence. He also raised information showing that tax bills for the J. Avenue property were sent to Beck-Nichols and her husband at the Lewiston address.

Meanwhile, the District had engaged a private company to conduct surveillance, which took place on four days in February, three in March and one in May. The investigators observed Beck-Nichols at the Lewiston address on the first two days of surveillance in February, which were weekdays that she did not work, and on the third day, another weekday, they spotted her vehicle in the parking lot at her workplace. On the fourth day, the investigators followed Beck-Nichols from work to the J. Avenue address, which she entered and exited eight minutes later, and to another residence in Niagara Falls, which she entered and exited 36 minutes later. The investigators noted that as they continued mobile surveillance, Beck-Nichols “[began] driving at high rates of speed and somewhat evasively”; and that she “continue[d] to travel at a high rate of speed pulling into [the] driveway and directly into the garage” at the Lewiston address. Surveillance was discontinued at 7:00 p.m.

The first day of surveillance in March, a Sunday, Beck-Nichols was observed at the Lewiston address; the second day, a

weekday, she drove after work to the J. Avenue address, which she entered and exited 29 minutes later; she then drove to the Lewiston address, and “quickly pull[ed] into the garage as the door close[d] behind”; surveillance was discontinued at 8:00 p.m. On the third day, a weekday, an investigator observed Beck-Nichols leaving the J. Avenue address in the morning, on her way to work. On the single day of surveillance in May, a weekday, Beck-Nichols drove to the Lewiston address after work; she left at 11:40 p.m., “travel[ing] at high rates of speed and rather evasively” toward Niagara Falls. She arrived at the J. Avenue address at 11:56 p.m., where she appeared to “take[ ] notice” of a second investigator’s “surveillance position[,] . . . walk[ing] around [the] vehicle before entering the residence.” The investigators then established a different observation point; they discontinued surveillance at 1:00 a.m. since it seemed that Beck-Nichols had retired for the night. In the case summary for the investigation, the author noted that Beck-Nichols “appeared to be very suspicious of our surveillance.”

On July 10, 2009, the Administrator wrote Beck-Nichols, enclosing a summary of the March 25th meeting and copies of documents referred to in the summary, as well as a copy of the new STAR application for the Lewiston property, dated June 9, 2009, which she had supplied to him the previous day. This application was signed only by Beck-Nichols’ husband as “resident owner[ ].” The Administrator noted that all this information would be submitted to the Niagara Falls Board of Education (the Board) for review, and later in July, the Board considered Beck-Nichols’ case. Based on the record compiled, the Board concluded that Beck-Nichols did not appear to comply with the residency policy. In accordance with the policy’s implementing regulations, the Administrator sent Beck-Nichols a “seven-day letter,” dated July 30, 2009, to notify her that the Board had “reason to believe” that she was in violation of the policy, and to give her seven days to respond in writing.

By letter dated August 4, 2009, Beck-Nichols replied that she had maintained the J. Avenue address as her “permanent domicile” throughout 15 years of employment in the District, and had furnished “voter registration, utility bills, driver’s license, and other information” to prove this was the case; that her promotion in 2005 led her to believe that the 2004 investigation had ended in her favor; and that she was a tireless worker whose record was “without blemish.” She requested the Board reconsider. By letter dated August 14, 2009, the Administrator



offered to meet with Beck-Nichols on August 18, 2009, to provide additional documents. At this meeting, Beck-Nichols was given a copy of the surveillance report; she and her attorney acknowledged that, at some point, she knew she was being followed. On August 21, 2009, the Administrator sent Beck-Nichols a “30-day letter” to notify her that, at the Board’s September meeting, the Superintendent of Schools (the Superintendent) would recommend termination of her services for failure to comply with the residency policy.

On September 24, 2009, the Board terminated Beck-Nichols’ employment, effective the next day;<sup>1</sup> on December 21, 2009, she commenced this CPLR article 78 proceeding against the Superintendent, the Board’s President, the Board and the District, seeking to set aside the Board’s determination. Beck-Nichols argued that the termination of her employment was arbitrary and capricious because the District did not prove by clear and convincing evidence that she had abandoned her domicile in Niagara Falls.

Supreme Court transferred the case to the Appellate Division, which annulled the determination, on the law, and granted the petition (89 AD3d 1405 [4th Dept 2011]). The court noted “at the outset” that Supreme Court had improperly transferred the case because the Board’s decision did “not involve a substantial evidence issue” (*id.* at 1406, citing *Matter of Krajkowski v Bianco*, 85 AD3d 1577, 1578 [4th Dept 2011], *lv denied* 17 NY3d 712 [2011]). Nonetheless, the Appellate Division reached the merits “in the interest of judicial economy” (*id.* [internal quotation marks omitted]). The Court agreed with Beck-Nichols that the District was required to muster clear and convincing evidence to show that she had changed her domicile, and did not meet this burden. We subsequently granted leave to appeal (18 NY3d 807 [2012]), and now reverse.

Roxanne Adrian and Keli-Koran Luchey

Adrian

Adrian was appointed a teacher in the District as of September 1, 2003, and later acquired tenure. When hired, she signed an

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1. According to the District’s attorney, the Board considered the residency of 27 employees, and final determinations were made with respect to 20 of them. Of these 20, seven were sent letters indicating that they complied with the residency policy; the employment of six employees (including Beck-Nichols) was terminated; court action blocked action in one case; four employees resigned; one employee retired; and another employee agreed in writing to comply with the residency policy within a reasonable period of time.



employment agreement, acknowledging that she was required to establish residency in Niagara Falls, within the meaning of the residency policy, within six months of her initial appointment; in this agreement, she identified her domicile at the time as an address in Williamsville, New York. On December 12, 2003, the Administrator wrote to Adrian, reminding her that the six-month grace period ended on March 1, 2004. In response, Adrian requested an extension, which the Board granted. On August 11, 2004, Adrian submitted a change of address form, notifying the District that she resided in Niagara Falls at an address on 73rd Street. On August 15, 2006, she submitted a change of address for mailing only; the mailing address was a post office box in Niagara Falls.

A Westlaw database search, conducted in January 2009, indicated that Adrian still resided at the Williamsville address; a record maintained by the State Education Department, obtained in March 2009, disclosed that Adrian had apparently used the Williamsville address when she applied for permanent certification, which was granted in 2007. On April 1, 2009, the Administrator wrote to Adrian, informing her that the District had “reason to believe that [she was] in violation of [the residency] policy”; and scheduling an “interview conference” with her for the District “to secure additional information and/or documentation supporting [her] affirmation and continued residency in [Niagara Falls].”

At this meeting, held on May 12, 2009, Adrian, accompanied by her attorney and union representatives, identified the 73rd Street address in Niagara Falls as her residence. She claimed to live on the second floor in an apartment with a bathroom, bedroom and living room, and a kitchen with a small refrigerator and microwave oven; she produced a lease for the period September 1, 2008 through June 30, 2009, and receipts for rent payments of \$350 per month since September 2008. She provided copies of correspondence or documents identifying her address as 73rd Street in Niagara Falls—i.e., cable bills, a voter registration card, a driver’s license and vehicle registration card. Adrian said that she resided at the Williamsville address with a friend only in the summertime, although she helped out the friend, who suffered from migraine headaches, in the morning before going to work; she did not pay rent at Williamsville; and there was a phone listing for her there, but not at the 73rd Street address.

In the meantime, surveillance was conducted on behalf of the District on two days in March, one in April and two in May. The

company engaged by the District to perform this investigation reported that Adrian was observed leaving for work from, or returning from work to, the Williamsville address; she was never seen at the 73rd Street address, including the one occasion when a second investigator was stationed there throughout the afternoon/evening hours until 8:00 a.m. the following morning.

Based on the record compiled, the Board in July 2009 concluded that Adrian did not appear to comply with the residency policy. In accordance with the policy's implementing regulations, the Administrator sent Adrian a "seven-day letter," dated July 30, 2009, to notify her that the Board had "reason to believe" that she was in violation of the policy, and to give her seven days to respond in writing. On August 4, 2009, Adrian's attorney wrote to the Administrator, seeking advice "as to what steps [were] necessary to resolve this matter to [his] client's satisfaction." By letter dated August 14, 2009, the Administrator offered to meet with Adrian on August 18, 2009 to provide additional documents. At this meeting, attended by both Adrian's attorney and union representatives, the District's attorney handed over a copy of the surveillance report. By letter dated August 20, 2009, Adrian's attorney furnished the District's attorney with a voter registration card and a letter and bill from the cable company, all showing a new address for Adrian on C. Avenue in Niagara Falls.

On August 21, 2009, the Administrator sent Adrian a "30-day letter" to notify her that, at the Board's September meeting, the Superintendent would recommend termination of her services for failure to comply with the residency policy. Adrian's attorney then wrote the District's attorney, inquiring as to "what other documentation [would be] necessary" to prevent this from happening; the District's attorney replied on September 10, 2009 that, after reviewing the information submitted by Adrian as to her change of address to C. Avenue in Niagara Falls, the Board "remain[ed] of the opinion" that she was out of compliance with the policy. By letter dated September 11, 2009, Adrian's attorney sent the District's attorney a lease signed by Adrian to rent the C. Avenue property as a personal residence for Adrian and two other individuals.<sup>2</sup>

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2. The rental agreement states that the lease term ran for a six-month period from April 1, 2009 through September 30, 2009, although Adrian claimed at the May 12th meeting that she then resided at 73rd Street in Niagara Falls.

(n. cont'd)

On September 24, 2009, the Board terminated Adrian's employment, effective the next day; on December 18, 2009, she commenced this CPLR article 78 proceeding against the Board and the Superintendent. Adrian contended that, as a tenured employee, she was entitled to a pre-termination hearing complying with Education Law §§ 2509 (2), 3020 and 3020-a; that the Board terminated her employment "without sound basis in reason or regard to the facts"; and that the Superintendent failed to establish administrative procedures to carry out the residency policy, rendering both the policy and the Board's action "incomplete, null, void and of no force and effect."

Luchey

Luchey signed an affirmation on November 2, 1999, signifying her understanding that she was required to become a resident of Niagara Falls within six months of her appointment to a position in the District, in accordance with the residency policy. On November 19, 1999, she signed an employment agreement to the same effect; in the agreement, she identified her domicile at the time as North Tonawanda, New York. Luchey's appointment as a school counselor was effective on December 13, 1999. By letter dated March 15, 2000, the Administrator reminded Luchey that the six-month grace period ended on June 13, 2000. In response, Luchey requested an extension, which the Board granted. Before the extension ended, she supplied the District proof of residency at an address on W. Avenue in Niagara Falls; in the fall of 2001, she supplied proof of residency at a new address, P. Road in Niagara Falls. On December 8, 2003, Luchey signed an affirmation in which she declared that her residence was P. Road in Niagara Falls.

A Westlaw database search, conducted in December 2008, indicated that Luchey resided at an address in Amherst, New York. On April 1, 2009, the Administrator wrote to Luchey, informing her that the District had "reason to believe that [she was] in violation of [the residency] policy"; and scheduling an "interview conference" with her for the District "to secure additional information and/or documentation supporting [her] affirmation and continued residency in [Niagara Falls]." At this meeting, held on April 28, 2009, Luchey, accompanied by her attorney and union representatives, identified an address on L.

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The lease, which was signed by the parties on September 1, 2009, also included a rider indicating that its term began as of September 1, 2009 until "move out date."

Avenue in Niagara Falls as her residence. She submitted her driver's license, car registration, voter registration card, bank statements and other bills or documents listing, or addressed to her at, this address. Luchey described her residence at L. Avenue as a heated basement, with its own shower and kitchen, in a single-family home; she stated that she paid her rent in cash, and had no receipts. Luchey also represented that she and her ex-husband had reached an oral agreement for their seven-year-old son to reside with him in Amherst, although Luchey retained full custody; her son attended school in Amherst.

Prior to the meeting, surveillance had been conducted on behalf of the District during five days in March (four workdays and a Sunday). In four separate observations (on one of the workdays, the investigator was unable to locate Luchey's vehicle in the school's parking lot), Luchey was never seen at her purported Niagara Falls address; instead, she left for work from, and returned from work to, the Amherst address discovered in the database search.

On July 10, 2009, the Administrator supplied Luchey with a summary of the April 28th meeting, and asked for further documentation verifying rent payment. Based on the record compiled, the Board in July 2009 concluded that Luchey did not appear to comply with the residency policy. In accordance with the policy's implementing regulations, the Administrator sent Luchey a "seven-day letter," dated July 30, 2009, to notify her that the Board had "reason to believe" that she was in violation of the policy, and to give her seven days to respond in writing.

Luchey's attorney wrote to the Administrator on August 4, 2009, submitting four receipts for rent paid by Luchey, prepared by the owner of the residence at the L. Avenue address; and requesting copies of the documentation relied on by the District. By letter dated August 14, 2009, the Administrator offered to meet with Luchey on August 18, 2009 to provide additional documents related to her compliance with the residency policy. When Luchey did not attend the meeting, apparently because her attorney was unavailable, the surveillance report was telefaxed to a union representative.

On September 24, 2009, the Board terminated Luchey's employment, effective the next day; on December 18, 2009, she commenced this CPLR article 78 proceeding against the Board and the Superintendent. Like Adrian, Luchey contended that, as a tenured employee, she was entitled to a pre-termination

hearing complying with Education Law §§ 2509 (2), 3020 and 3020-a; that the Board terminated her employment “without sound basis in reason or regard to the facts”; and that the Superintendent failed to establish administrative procedures to carry out the residency policy, rendering both the policy and the Board’s action “incomplete, null, void and of no force and effect.”

#### Decisions Below

Although Adrian’s and Luchey’s lawsuits were not consolidated, their claims were identical, and Supreme Court considered and granted their petitions together. The judge noted that petitioners were not entitled to pre-termination hearings because the residency requirement was “merely a . . . condition of employment,” citing *Matter of Felix v New York City Dept. of Citywide Admin. Servs.* (3 NY3d 498 [2004]). But considering the basis for petitioners’ job loss, he characterized the policy’s definition of residency as creating a “vague and ambiguous” standard which, coupled with the Superintendent’s failure to develop adequate procedures and guidelines, “resulted in varied and subjective interpretations leading to disparate results.” The judge therefore held that the residency requirement was unenforceable, and that any termination of Adrian’s and Luchey’s employment based on it was therefore arbitrary and capricious. He directed their reinstatement with full back pay and benefits. The Board and Superintendent appealed.

The Appellate Division considered these appeals separately. One panel reversed the judgment as to Adrian (92 AD3d 1272 [4th Dept 2012]). In the court’s view, the District established that Adrian was not domiciled in Niagara Falls, and therefore the Board’s determination was not arbitrary and capricious. The court also rejected Adrian’s alternative ground for affirmance—i.e., that the District did not conduct a pre-termination trial-type hearing—on the ground that this was not mandated by law. We granted Adrian leave to appeal (19 NY3d 804 [2012]), and now affirm. The other panel affirmed the judgment as to Luchey, without opinion (92 AD3d 1276 [4th Dept 2012]). We granted the Board and Superintendent leave to appeal (20 NY3d 851 [2012]), and now reverse.

## II.

A residency policy for municipal workers serves “the legitimate purpose of encouraging city employees to maintain a commitment and involvement with the government which employs

them by living within the city [citations omitted]” (*Felix*, 3 NY3d at 505, quoting *Mandelkern v City of Buffalo*, 64 AD2d 279, 281 [4th Dept 1978, Simons, J.]). The District’s residency policy states simply that “[t]he Niagara Falls Board of Education requires that employees hired or promoted after the effective date of this policy[ ] be residents of the City of Niagara Falls and maintain their residency during their term of employment.” The implementing regulations, as noted earlier, define “residency” as “an individual’s actual principal domicile at which he or she maintains usual personal and household effects.” This definition may be criticized for redundancy or surplusage, but not ambiguity. The word “domicile” alone is enough to convey the sense that the Board mandates that District employees live in Niagara Falls “with intent to make it a fixed and permanent home” (see *Matter of Newcomb*, 192 NY 238, 250 [1908]).

Further, the regulations provide for notifying employees of the residency policy upon initial appointment and promotion; give employees six months after appointment to come into compliance, and allow the Board, in its discretion, to extend this grace period for another six months; provide for a “seven-day letter” to afford an employee the opportunity to respond to allegations of noncompliance; include a hardship waiver; and exempt nonadministrative employees hired prior to the policy’s effective date, subject to certain conditions. The regulations also include detailed forms to carry out the policy. These forms, in one way or another, call for employees to acknowledge that they have read, understand and agree to fulfill their responsibilities under the policy.

[1] In short, the residency policy and its implementing regulations make clear that District personnel are expected to be domiciled in Niagara Falls within no more than a year after appointment, and throughout their subsequent employment. Nothing in the policy or regulations might reasonably lead a prospective employee into supposing that a mail drop or pied-à-terre in the City was sufficient. Indeed, the policy would be pointless if this were enough to satisfy the residency obligation.

[2] Next, we have held that a residency requirement defines eligibility for employment, and so is “unrelated to job performance, misconduct or competency” (see *Felix*, 3 NY3d at 505; see also *Matter of New York State Off. of Children & Family Servs. v Lanterman*, 14 NY3d 275, 282 [2010]). Consequently, Adrian



and Luchey were not entitled to hearings complying with Education Law §§ 2509 (2), 3020 and 3020-a, which deal with teacher discipline (see *Matter of O'Connor v Board of Educ. of City School Dist. of City of Niagara Falls*, 48 AD3d 1254 [4th Dept 2008], *lv dismissed* 10 NY3d 928 [2008]). And due process mandates only notice and some opportunity to respond (see *Matter of Prue v Hunt*, 78 NY2d 364, 368 [1991] [applying *Cleveland Bd. of Ed. v Loudermill*, 470 US 532, 543 (1985)]).

Here, the Administrator notified Beck-Nichols, Adrian and Luchey that they were suspected of violating the residency policy. There ensued individual meetings at which they appeared with counsel (and union representatives in two instances), where the District received and offered evidence bearing on their residency. Information developed as a result of the meetings and through surveillance was shared with the employees and submitted to the Board, which concluded that there was reason to believe that Beck-Nichols, Adrian and Luchey were violating the policy. The Administrator then sent a “seven-day letter,” which afforded a last-chance opportunity for these employees to make the case that they, in fact, resided in Niagara Falls within the meaning of the policy. When the evidence or argument presented in response to the letters proved unpersuasive, the Administrator issued a “30-day letter” to inform Beck-Nichols, Adrian and Luchey that the Superintendent would recommend at the next Board meeting that their services be terminated for failure to comply with the residency policy. These notice-and-hearing procedures, which are more extensive than the regulations’ provision for a single notification and opportunity to respond via a “seven-day letter,” easily comply with due process.

Finally, the proper standard for judicial review in these cases is whether the Board’s determination was arbitrary and capricious or an abuse of discretion (see CPLR 7803 [3]). This standard is, of course, an extremely deferential one: “The courts cannot interfere [with an administrative tribunal’s exercise of discretion] unless there is *no rational basis* for [its] exercise . . . or the action complained of is arbitrary and capricious,” a test which “chiefly relates to whether a particular action should have been taken or is justified . . . and whether the administrative action is *without foundation in fact*” (see *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222, 231 [1974] [citations and internal quotation marks omitted and

emphases added]). Beck-Nichols seeks to create a higher standard by arguing that because she was concededly domiciled in Niagara Falls when hired (unlike Adrian and Luchey), the District was obliged to prove by clear and convincing evidence that she abandoned her domicile; that the District did not meet this standard; and so the Board's decision to end her employment was perforce arbitrary and capricious. She relies principally on our decision in *Matter of Hosley v Curry* (85 NY2d 447 [1995]).

In that case, Hosley sought an order disqualifying Curry, the district attorney of Hamilton County, from acting in that capacity on the basis that Curry was, in fact, a resident of Warren County, and so did not satisfy the residency requirements of Public Officers Law §§ 3 and 30. Section 3 (1) provides that “[n]o person shall be capable of holding a civil office who shall not . . . [be] a resident of the political subdivision . . . of the state for which he shall be chosen”; section 30 (1) (d) concomitantly specifies that “[e]very office shall be vacant upon . . . [the incumbent’s] ceasing to be an inhabitant . . . of the political subdivision . . . of which he is required to be a resident when chosen.” Curry owned residences in both Hamilton and Warren Counties. Supreme Court decided that Hosley had not met the burden of proof necessary to declare that Curry was a nonresident of Hamilton County. The Appellate Division reversed, declaring that “Supreme Court’s conclusion could not be reached under any fair interpretation of the [facts],” which were essentially undisputed (207 AD2d 116, 118 [3d Dept 1995]).

First, we held that the terms “resident” and “inhabitant” in sections 3 and 30 were “properly understood to be synonymous with domicile” (*Curry*, 85 NY2d at 451). Next, we interpreted these statutory provisions to incorporate the definition of domicile and standard of proof specified in *Newcomb*, a will contest where the decedent’s domicile at death was disputed. As a result, we held that Hosley, who was alleging a change in Curry’s domicile from Hamilton to Warren County, bore the burden to demonstrate by “clear and convincing evidence” that the district attorney possessed a “present, definite and honest purpose to abandon the Hamilton County domicile and make the Warren County residence his fixed and permanent home” (*id.* at 452). We “conclude[d] that Supreme Court’s determination that [Hosley] failed to sustain the burden more nearly comport[ed] with the weight of the evidence” (*id.*; see also CPLR 5501 [b]).

[3] Beck-Nichols invites us to extend *Curry*, which involved the interpretation of statutes governing public officers, to municipal residency requirements applicable to public employees and enforced through administrative decision making. We decline to make this leap. In any event, there is clear and convincing and, indeed, dispositive evidence that Beck-Nichols abandoned her domicile in Niagara Falls after her initial appointment; namely, in May 2001 she and her husband signed a STAR application in which they certified that the Lewiston address was their “primary residence.” The Board was certainly entitled to disregard the new STAR application filed for the Lewiston property in June 2009 and signed only by Beck-Nichols’ husband. This happened after, and the Board might have reasonably concluded solely because, the District’s attorney questioned Beck-Nichols about the 2001 application at the meeting held in March 2009 to review her residency status. Additionally, of course, Beck-Nichols’ husband and family lived at the Lewiston residence; her children attended school in Lewiston; and Beck-Nichols, who apparently early on figured out that she was being followed and sought to evade surveillance, spent little time at the J. Avenue address in Niagara Falls.

[4] Likewise, the Board rationally concluded that Adrian did not comply with the residency policy. She lived in Williamsville when initially appointed, and the evidence developed during the investigation, discussed earlier, might have reasonably caused the Board to conclude that she never abandoned her domicile there. The trial judge did not decide whether the Board’s decision with respect to Luchey’s residency was rational because he disposed of her case (and Adrian’s) on the ground the policy was unenforceable. We can surmise that the Appellate Division affirmed in *Luchey* on alternative grounds, given its decision in *Adrian* upholding the Board’s application of the policy. The Appellate Division affirmed in *Luchey* without opinion, though, so we do not know the basis for its ruling. In light of this circumstance, we must presume that the Appellate Division, like Supreme Court, did not consider the merits; therefore, we remit for Supreme Court to resolve in the first instance whether the Board’s determination that Luchey did not comply with the residency policy was arbitrary and capricious or an abuse of discretion.

Accordingly, in *Beck-Nichols* the judgment of the Appellate Division should be reversed, with costs, and the petition dismissed; in *Adrian*, the order of the Appellate Division should

be affirmed, with costs; and in *Luchey*, the order of the Appellate Division should be reversed, with costs, and the matter remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH and PIGOTT concur; Judge RIVERA taking no part.

In *Matter of Beck-Nichols v Bianco*: Judgment reversed, with costs, and petition dismissed.

In *Matter of Adrian v Board of Educ. of City Sch. Dist. of City of Niagara Falls*: Order affirmed, with costs.

In *Matter of Luchey v Board of Educ. of City Sch. Dist. of the City of Niagara Falls*: Order reversed, with costs, and matter remitted to Supreme Court, Niagara County, for further proceedings in accordance with the opinion herein.

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[987 NE2d 257, 964 NYS2d 480]

M&T REAL ESTATE TRUST, Successor by Merger of M&T REAL  
ESTATE, INC., Appellant, v JAMES J. DOYLE, II, et al.,  
Respondents.

Argued February 14, 2013; decided March 26, 2013

### SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 23, 2012. The Appellate Division (1) reversed, on the law, so much of an order and judgment (one paper) of the Erie County Court (Michael L. D'Amico, J.), entered in a proceeding pursuant to RPAPL article 13, as had granted plaintiff a deficiency judgment against defendants; and (2) denied that part of plaintiff's motion which was for leave to enter a deficiency judgment.

*M&T Real Estate Trust v Doyle*, 93 AD3d 1331, reversed.

### HEADNOTE

#### **Mortgages — Deficiency Judgments — Timeliness**

Plaintiff's motion for leave to enter a foreclosure sale deficiency judgment against defendants pursuant to RPAPL 1371 (2), made within 90 days of the date plaintiff's attorney ultimately accepted the referee's deed after having twice declined to accept or retain physical possession of the referee's deed, was timely. Although the referee's deed was initially signed by the referee and mailed to plaintiff's attorney more than 90 days before plaintiff made its deficiency judgment motion, plaintiff's attorney returned that deed to the referee and asked the referee to hold it until further notice with the explanation that plaintiff was not yet prepared to accept the deed. More than two months later plaintiff's attorney requested and received the deed from the referee, and after returning it to the referee once more to have the referee execute the deed so that it would be concurrent with the date of delivery, plaintiff's attorney accepted the deed the same day. There is no statutory basis for treating a referee's deed in foreclosure differently from other deeds when pinpointing the moment title transfers; hence, "consummation of the sale by the delivery of the proper deed" within the meaning of section 1371 (2) takes place when the intended grantee accepts the proffered instrument. As a general rule, a deed is presumed to have been delivered and accepted at its date; however, this presumption must yield to opposing evidence. Here, plaintiffs attorney twice declined to accept or retain physical possession of the initial referee's deed, and, as a result, the referee took back the deed and ultimately executed a second deed, which was accepted by plaintiff's attorney. That constituted "opposing evidence" sufficient to rebut any presumption of delivery as of the date the referee initially executed the deed.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Mortgages §§ 693, 696, 700.

BOWMAR, MORTGAGE LIENS IN NEW YORK, ch 23, Surplus; Deficiency Judgment.

CARMODY-WAIT 2d, Foreclosure of Mortgages on Real Estate §§ 92:413, 92:416, 92:417, 92:441.

McKINNEY'S, RPAPL 1371 (2).

NY JUR 2d, Mortgages and Deeds of Trust §§ 803, 804, 815.

NEW YORK REAL PROPERTY SERVICE §§ 39:16, 39:134-39:137.

#### ANNOTATION REFERENCE

See ALR Index under Deficiency Judgments; Foreclosure; Mortgages.

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#### POINTS OF COUNSEL

*Jaekle, Fleischmann & Mugel, LLP*, Buffalo (*Howard S. Rosenhoch* and *Vincent O. Hanley* of counsel), for appellant. I. Under long-established principles of New York law, “delivery” of a deed is not complete without acceptance. (*Ten Eyck v Whitbeck*, 156 NY 341; *Brackett v Barney*, 28 NY 333; *First Fed. Sav. & Loan Assn. of Syracuse v Ivy Ridge*, 76 Misc 2d 208, 50 AD2d 1057; *Powderly v Aetna Cas. Co.*, 72 Misc 2d 251.) II. None of the cases relied upon by defendants-respondents regarding the interpretation and application of RPAPL 1371 (2) supports their position. (*National Bank of Sussex County v Betar*, 207 AD2d 610; *Lennar Northeast Partners Ltd. Partnership v Gifaldi*, 258 AD2d 240; *Arbor Natl. Commercial Mtge. v Carmans Plaza*, 305 AD2d 622; *River Bank Am. v Pan Am. Mall*, 221 AD2d 327.) III. Conveyances by referee’s deed are subject to the same acceptance requirement that applies to conveyances generally. (*Crossland Sav. v Patton*, 182 AD2d 496, 80 NY2d 755; *Savings Bank of Utica v 561-575 Delaware Ave.*, 201 AD2d 946.)

*Gross, Shuman, Brizdle & Gilfillan, P.C.*, Buffalo (*John K. Rottaris* and *Katherine M. Liebner* of counsel), for respondents. The Fourth Department correctly found that the referee’s deed was “delivered” within the meaning of RPAPL 1371 under the narrow circumstances of this case. (*Lennar Northeast Partners Ltd. Partnership v Gifaldi*, 258 AD2d 240; *Doctors Council v New York City Employees’ Retirement Sys.*, 71 NY2d 669; *State*



of *New York v Patricia II.*, 6 NY3d 160; *Kimmel v State of New York*, 76 AD3d 188; *Tompkins v Hunter*, 149 NY 117; *National Bank of Sussex County v Betar*, 207 AD2d 610; *Cicero v Aspen Hills II, LLC*, 85 AD3d 1411; *River Bank Am. v Pan Am. Mall*, 221 AD2d 327; *Ten Eyck v Whitbeck*, 156 NY 341; *Brackett v Barney*, 28 NY 333.)

#### OPINION OF THE COURT

READ, J.

On March 24, 2009, M&T Real Estate Trust (M&T) brought this action pursuant to article 13 of the Real Property Actions and Proceedings Law to foreclose certain commercial mortgages executed by defendant James J. Doyle, II with respect to property in Tonawanda, New York. These mortgages, given to secure Doyle's indebtedness on two promissory notes, were guaranteed by his company, defendant Jim Doyle Ford, Inc. On August 6, 2009, County Court granted judgment of foreclosure and sale to M&T for the sum of \$1,101,942.97; directed the mortgaged premises to be sold at public auction by the referee appointed for this purpose; and adjudged defendants liable for any shortfall, in accordance with RPAPL 1371. Subdivision (2) of this provision specifies that

“[s]imultaneously with the making of a motion for an order confirming the sale, provided such motion is made *within ninety days after the date of the consummation of the sale by the delivery of the proper deed of conveyance to the purchaser*, the party to whom such residue [of the debt remaining unsatisfied] shall be owing may make a motion in the action for leave to enter a deficiency judgment” (RPAPL 1371 [2] [emphasis added]).

At the auction held on September 24, 2009, the referee sold M&T the property for \$890,000, the highest sum bid. Soon afterwards, M&T's attorney advised the referee that his client planned to assign its bid to an affiliate, MAT Properties, Inc. (MAT), prior to the closing, which would be delayed for several months while MAT conducted a sealed bid sale of the foreclosure bid. On May 10, 2010, though, the attorney sent the referee a proposed deed naming MAT as grantee, report of sale and other closing documents, and requested that the referee sign and return these papers. The referee executed the documents on May 11, 2010, and placed them in the mail the next day.

On May 13, 2010, M&T's attorney—who had not yet received the papers—telephoned the referee to alert him that MAT was not then prepared to accept the deed because a potential purchaser had just stepped forward to express an interest in acquiring the bid. When he learned that the referee had already signed and mailed the deed, the attorney told the referee that he “did not intend to accept the referee’s deed and other papers when they arrived,” and would “return [the] cover letter and the enclosures . . . when he received them.” Accordingly, by letter dated May 17, 2010, M&T's attorney sent these documents back to the referee, to be held “until further notice” as agreed in their “recent exchange of telephone messages.” The attorney reiterated the reason why MAT was not yet ready to accept the deed, and promised to “be in touch with [the referee] shortly to let [him] know whether the bank [had] assigned its bid.” The referee accepted and kept possession of the returned papers without objection.

By letter dated July 26, 2010, M&T's attorney asked the referee to send along the deed and other closing documents as “M&T [had] instructed [him] to record the Referee’s Deed conveying title to [MAT].” The referee hand delivered these papers the next day; however, on August 6, 2010, the attorney emailed the referee a request to execute the deed so that it would be “dated concurrently with its delivery.” On August 9, 2010, the referee did so and M&T's attorney accepted the deed on behalf of MAT that same day. The deed was recorded in the Erie County Clerk’s Office on August 17, 2010.

On September 3, 2010, M&T filed a motion seeking to confirm the referee’s report of sale; determine the fair and reasonable market value of the mortgaged premises as of September 24, 2009, the date of the mortgage foreclosure sale; and enter a deficiency judgment. Defendants opposed the motion, arguing that M&T's request for a deficiency judgment was untimely under RPAPL 1371 (2) because made more than 90 days after consummation of the sale, which they claimed happened in May 2010.

By order entered June 29, 2011, County Court granted M&T's motion, and directed its attorneys to submit a proposed order pursuant to RPAPL 1371. The judge determined that the motion was timely because “brought within ninety (90) days of the consummation of the sale of the Premises by the Referee pursuant to the Referee’s Deed dated August 9, 2010 and recorded . . . on August 17, 2010.” By order and judgment entered July 20, 2011, County Court directed entry of a deficiency judgment

against defendants in the amount of \$426,657.11.\* Defendants appealed both orders, challenging the timeliness of M&T's motion.

On March 23, 2012, the Appellate Division dismissed the appeal from the order entered June 29, 2011 (*see* CPLR 5501 [a] [1]); and reversed so much of the order and judgment entered July 20, 2011 as granted M&T the deficiency judgment against defendants (93 AD3d 1331 [4th Dept 2012]). The Court agreed with defendants that M&T's motion was untimely because

“the foreclosure sale was consummated and the 90-day period commenced in May 2010 upon the delivery of the Referee's deed. Such delivery occurred within the meaning of [RPAPL 1371 (2)] at that time inasmuch as the Referee, acting as grantor on behalf of the court, executed and parted with control of the deed prepared by plaintiff's counsel with the intention to pass title [and] notwithstanding the refusal of plaintiff's counsel to accept and retain physical possession of the deed at that time” (*id.* at 1332 [citations omitted]).

We granted M&T leave to appeal (19 NY3d 808 [2012]), and now reverse.

Real Property Law § 244 states that a “grant takes effect, so as to vest the estate or interest intended to be conveyed, only from its delivery; and all the rules of law, now in force, in respect to the delivery of deeds, apply to grants hereafter executed.” The common law in 1909, when section 244 was enacted, contemplated that delivery encompassed both presentment and acceptance (*see e.g. Brackett v Barney*, 28 NY 333, 340-341 [1863] [“The delivery of a deed without acceptance is nugatory . . . . An intention to deliver on the one hand and to accept on the other, is necessary to give effect to the instrument”]; *Ten Eyck v Whitbeck*, 156 NY 341, 352 [1898] [“The delivery of a deed is essential to the transfer of title, and there can be no delivery without an acceptance by the grantee”]; *see also* 1 Rasch, New York Law and Practice of Real Property § 24:162 [2d ed] [“Acceptance of a deed is as essential to the change of title

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\* This amount represents the sum of \$1,113,942.31 (the debt remaining unsatisfied according to the referee's report of sale) and \$312,714.80 (the real estate taxes that were a lien on the premises as of September 24, 2009), minus \$1,000,000 (the fair and reasonable market value of the property on September 24, 2009).

as is delivery itself”]). And there is no statutory basis for treating a referee’s deed in foreclosure differently from other deeds when pinpointing the moment title transfers; hence, “consummation of the sale by the delivery of the proper deed” within the meaning of section 1371 (2) takes place when the intended grantee accepts the proffered instrument (see *Crossland Sav. v Patton*, 182 AD2d 496, 496 [1st Dept 1992], *lv denied* 80 NY2d 755 [1992] [title to the property vested and so the sale was consummated within the meaning of RPAPL 1371 (2) on the day that the plaintiff’s counsel “accepted and retained without objection” the deed delivered to him by the defendant]).

As a general rule, a deed is presumed to have been “delivered and accepted at its date”; however, this presumption “must yield to opposing evidence” (see *Ten Eyck*, 156 NY at 352). Here, M&T’s attorney twice declined to accept or retain physical possession of the referee’s deed dated May 11, 2010. As a result, the referee took back the deed and other closing documents and ultimately executed a deed on August 9, 2010, when M&T’s attorney accepted it on behalf of MAT. This constitutes “opposing evidence” sufficient to rebut any presumption of delivery in May 2010 (see *Manhattan Life Ins. Co. v Continental Ins. Cos.*, 33 NY2d 370, 372 [1974] [presumption overcome where there was no evidence that the grantor’s attorney, who later recorded the deed, received it as agent of the grantee; consequently, there was no passage of title]). M&T’s motion was therefore timely because brought within 90 days “after the date of the consummation of the sale by the delivery of the proper deed of conveyance to the purchaser” (RPAPL 1371 [2])—i.e., August 9, 2010.

Accordingly, the order of the Appellate Division should be reversed, with costs, and the order and judgment of County Court reinstated.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH, PIGOTT and RIVERA concur.

Order reversed, with costs, and order and judgment of County Court, Erie County, reinstated.

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[988 NE2d 473, 965 NYS2d 738]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v RANDOLFO DIAZ, Respondent.

Argued February 14, 2013; decided March 26, 2013

### SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered June 21, 2011. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Kings County (Debra Silber, J.), which had convicted defendant, upon a jury verdict, of course of sexual conduct against a child in the second degree and endangering the welfare of a child, and (2) remitted the matter for a new trial.

*People v Diaz*, 85 AD3d 1047, affirmed.

### HEADNOTES

#### **Crimes — Witnesses — Expert Witness — Behavior of Sexual Abusers**

1. In a prosecution alleging course of sexual conduct against a child and endangering the welfare of a child, it was not an abuse of discretion for the trial court to permit expert testimony regarding the behavior of sexual abusers. Expert testimony is properly admitted if it helps to clarify an issue calling for professional or technical knowledge, possessed by the expert and beyond the ken of the typical juror, and is permissible as helpful for the jury to understand victims' unusual behavior. Although some of the testimony discussed behavior similar to that alleged by the complainant, the expert spoke of such behavior in general terms. In addition, the jury heard the expert testify that she was not aware of the facts of the particular case, did not speak with the complainant and was not rendering an opinion as to whether sexual abuse took place.

#### **Crimes — Course of Sexual Conduct against Child — Evidence of Complainant's Prior False Allegations of Abuse**

2. In a prosecution alleging course of sexual conduct against a child and endangering the welfare of a child, the trial court erred in precluding the proffered testimony of a defense witness, the biological father of one of the complainant's brothers, that the complainant had made accusations of sexual abuse against him approximately two years before the allegations against defendant arose. Evidence of a complainant's prior false allegations of sexual abuse is not inadmissible as a matter of law, but may be permitted if the prior allegations suggest a pattern casting substantial doubt on the validity of the charges. The proposed testimony went to a material issue of defendant's defense, namely, whether the complainant had a history of making false allegations of sexual abuse by family members. Defense counsel sought to introduce the witness's testimony as a prior inconsistent statement; to confront the complainant's testimony that she never made an allegation

against the witness and to rebut the testimony of the complainant's mother who testified she was unaware of any accusation made by complainant against the witness. Those statements opened the door to the witness's rebuttal, which, if believed, suggested that the testimony of the complainant and her mother were not credible.

**Crimes — Harmless and Prejudicial Error — Failure to Allow Evidence of Complainant's Prior False Allegations of Sexual Abuse**

3. In a prosecution alleging course of sexual conduct against a child and endangering the welfare of a child, trial court's preclusion of proffered testimony of a defense witness that the complainant had made accusations of sexual abuse against him approximately two years before the allegations against defendant arose was not harmless error. The evidence of defendant's guilt was far from overwhelming. Not only was there no medical evidence or DNA evidence to corroborate the complainant's claims, but the medical evidence ran contrary to complainant's claim that defendant had vaginal intercourse with her. Moreover, the jury acquitted defendant of the top count, sexual conduct against a child in the first degree, indicating that it may well have discredited a portion of complainant's testimony.

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 654, 657, 659, 699–702;  
AM JUR 2d, Expert and Opinion Evidence §§ 22, 308; AM  
JUR 2d, Rape §§ 46, 48, 65.

CARMODY-WAIT 2d, Particular Types of Evidence  
§§ 194:174, 194:175; CARMODY-WAIT 2d, Appeals in  
Criminal Cases § 207:117.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4,  
27.6.

NY JUR 2d, Criminal Law: Procedure §§ 2046, 2188, 2192,  
2307, 3569, 3570, 3572, 3573; NY JUR 2d, Criminal Law:  
Substantive Principles and Offenses §§ 678, 679, 682, 695,  
723, 728, 729.

**ANNOTATION REFERENCE**

See ALR Index under Expert and Opinion Evidence;  
Harmless and Prejudicial Error; Sexual Relations and Of-  
fenses.

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**POINTS OF COUNSEL**

*Charles J. Hynes, District Attorney, Brooklyn (Ruth E. Ross and Leonard Joblove of counsel), for appellant. I. The trial court*



properly allowed the People's expert to testify about how adult sexual abusers may "groom" their child victims to comply with the abusers' sexual demands. (*Dougherty v Milliken*, 163 NY 527; *People v Taylor*, 75 NY2d 277; *De Long v County of Erie*, 60 NY2d 296; *People v Abney*, 13 NY3d 251; *People v Cronin*, 60 NY2d 430; *People v Lee*, 96 NY2d 157; *People v Carroll*, 95 NY2d 375; *People v Spicola*, 16 NY3d 441; *People v Keindl*, 68 NY2d 410; *People v Cintron*, 75 NY2d 249.) II. The trial court properly precluded defendant from calling a witness to testify about a purportedly false prior allegation of sexual abuse that the complainant had allegedly made against that witness. In any event, any error in precluding that testimony was harmless. (*People v Nieves*, 67 NY2d 125; *People v Alvino*, 71 NY2d 233; *People v Zabrocky*, 26 NY2d 530; *People v Mandel*, 48 NY2d 952, 446 US 949; *People v Smith*, 272 AD2d 713; *People v McKnight*, 55 AD3d 1315; *People v Perea*, 45 AD3d 978; *People v Frary*, 29 AD3d 1223; *People v Hill*, 17 AD3d 1081; *People v Breheny*, 270 AD2d 926.)

*Lynn W.L. Fahey, Appellate Advocates*, New York City (Anna Pervukhin of counsel), for respondent. I. The Appellate Division correctly held that precluding respondent from calling the complainant's mother's ex-boyfriend, whom the complainant had previously falsely accused of sexual abuse, as a defense witness deprived him of his constitutional rights to present a defense and to confrontation. (*People v Mandel*, 48 NY2d 952; *People v Bridgeland*, 19 AD3d 1122; *People v Badine*, 301 AD2d 178; *People v Harris*, 151 AD2d 981; *People v Gomez*, 79 AD3d 1065; *People v Vigliotti*, 203 AD2d 898; *People v Zabrocky*, 26 NY2d 530; *People v Alvino*, 71 NY2d 233; *People v Perez*, 40 AD3d 1131; *People v McFarley*, 31 AD3d 1166.) II. The Appellate Division correctly held that the testimony by the People's child sex abuse expert regarding how pedophiles "groom" children, which closely mirrored the complainant's claims, improperly bolstered the complainant's credibility. (*People v Ciaccio*, 47 NY2d 431; *People v Spicola*, 16 NY3d 441; *People v Carroll*, 95 NY2d 375; *People v Taylor*, 75 NY2d 277; *People v Bennett*, 169 AD2d 369; *United States v Scheffer*, 523 US 303; *United States v Barnard*, 490 F2d 907; *People v Kozlowski*, 11 NY3d 223; *United States v Raymond*, 700 F Supp 2d 142; *United States v Brand*, 467 F3d 179.)

#### OPINION OF THE COURT

PIGOTT, J.

Defendant, the step-grandfather of the complainant, is alleged to have sexually abused the complainant multiple times in

2006 and 2007, when she was in the fourth and fifth grades. He was charged with course of sexual conduct against a child in the first and second degrees (Penal Law §§ 130.75 [1] [a]; 130.80 [1] [a]) and endangering the welfare of a child (Penal Law § 260.10 [1]).

At a jury trial, the complainant testified that in September 2006, she was living with her mother, her brother, her grandmother, and defendant, in a three-bedroom apartment in Brooklyn. She testified that in the beginning of fourth grade, while the complainant's mother was at work, defendant began sexually abusing her.

The complainant's mother testified that prior to January 2, 2008, she saw nothing to suggest that the complainant might have been abused. Shortly after midnight on January 2, however, the mother found the complainant in her bedroom crying and gasping for air. Complainant told her mother about some of the alleged sexual misconduct of defendant. Mother called the police.

Detective Frank Agostini testified that he recovered sex toys and pornographic videos from a closet in the bedroom shared by defendant and complainant's grandmother. A forensic criminalist determined that DNA on the sex toys did not match that of the complainant.

A physician who examined the complainant testified that he conducted a full genital and anal examination and concluded that there was no "injury" to the complainant's hymen, but "90 percent" of girls who have disclosed sexual intercourse have "normal" intact hymens.

The People also presented the testimony of a psychologist with particular expertise in the field of child sexual abuse. The expert qualified her testimony by stating that she had no dealings with the parties in the case, did not interview the complainant, and reached no conclusions with respect to the case on trial. The witness explained that most children who were sexually abused did not "tell about this right away."

The prosecutor then asked about offender behavior:

"Q: Have studies been conducted about the manner in which offenders engage children in sexual behavior?"

"A: Yes.

"A: No, no, no. You have . . ."

"Q: Do all offenders operate in the same manner?"

Defense counsel objected, arguing that the testimony was “supposed to be about alleged victims not about an alleged suspect.” The prosecutor countered that studies had been conducted “in the manner in which offenders engage children in sexual behavior,” making this a legitimate part of a “general” discussion of “child sexual abuse.” The court agreed with the prosecutor.

Defense counsel then argued that the expert could discuss only matters outside the “ken” of the average juror, and “[t]he idea that a family member can create a sense of trust with a child is not beyond the knowledge of the juror”; rather, it is “simple common family interactions.” Counsel further argued that allowing such evidence would be outweighed by its prejudice.

When the court suggested that defense counsel address these concerns through cross-examination, counsel protested that “[b]y that time the cat [would be] out [of] the bag” and that it was not permissible to “attach expert testimony to these factors that make[ ] it consistent with our guy’s behavior.” Even without posing hypotheticals, counsel argued, the similarity between the complainant’s testimony and the evidence from the expert would be too great.

The court rejected these arguments and the prosecutor continued her examination:

“Q: Are there different ways that a child can be engaged in sexual activity?

“A: Sure. There are a number of different ways and part of this is age dependent. Sometimes the activities are introduced as games, sometimes the activities are introduced in the guise of sexual education, sometimes pornography is used.”

The court overruled defense counsel’s renewed objection. The expert then continued by providing the following definition of “grooming”:

“It refers to the process by which the offender, first of all, gains access and opportunity to the child, establishes themselves in a trusted authority position over the child and then begins the process of breaking down the child’s inhibitions about sex, in other words, how the offender normalizes sexual behaviors.”

During a break in the proceedings, defense counsel asked that portions of the expert's testimony be stricken, and a curative instruction given. Defense counsel argued that much of the testimony "had nothing to do" with explaining why a victim's behavior would be inconsistent with a layperson's beliefs. Rather, he argued that the expert testified about the ways in which a perpetrator can engage a young victim in sexual activities. She spoke of "ways that a perpetrator could step by step inculcate a young person into sexual acts" and "it mirrored exactly the testimony that we heard here with regard to the use of pornographic videos and with regard to the step by step touching which then leads to stronger touching, which mirrors what the complainant said in this case, the games that they play[ed]." The court denied defense counsel's request.

The defense called a board-certified pediatrician, who examined the complainant's medical records and the fact that she had a "normal" intact hymen. He concluded that given her allegations, the results of her exam were "unexpected," and stated that it was "extremely improbable" that there was penile-vaginal penetration.

The grandmother testified that the complainant used to watch television and frequently spent time online. There were two or three occasions where the complainant locked herself in the grandmother's room, where the grandmother and defendant kept pornographic movies and sex toys.

Four witnesses testified for the defense that the complainant had a poor reputation for honesty. The complainant's uncle stated that among her family, neighbors and friends, the complainant had a reputation as someone who "lies." The complainant's other uncle, and his wife, both stated that the complainant had a reputation for lying and testified as to an incident in which the complainant made a false accusation that someone inappropriately touched her in a park. A neighbor testified that the complainant had a reputation for lying and said that he no longer lets his children play with the complainant because "she lies so constantly."

For a short period of time, the complainant and her family had lived with her younger brother's biological father, Martinez. Defendant sought to call Martinez to testify that approximately five to six years earlier—approximately two years before the instant allegations arose against defendant—the complainant accused him of sexual abuse. The complainant and her mother

denied at trial that the complainant made these allegations against Martinez. The trial court disallowed Martinez's testimony on the grounds that the testimony was collateral and constituted inadmissible hearsay.

The jury acquitted defendant of course of sexual conduct against a child in the first degree, but convicted him of course of sexual conduct against a child in the second degree and endangering the welfare of a child. Defendant appealed, arguing, among other things, that (1) the trial court erred in allowing the expert to testify about how an adult sexual abuser may act to gain the compliance of a child victim without using threats or force; and (2) the trial court erred in precluding Martinez's testimony.

The Appellate Division reversed and remitted the matter for a new trial (85 AD3d 1047 [2d Dept 2011]). As relevant to this appeal, the court found that the trial court erred in precluding the testimony of Martinez and that the error was not harmless (*id.* at 1050). The court further found that the trial court erred in permitting the prosecutor to adduce testimony from the People's child abuse expert (*id.* at 1051). The court agreed with defendant that her testimony, regarding how a sex offender typically operates to win over the trust of a child victim, closely paralleled the testimony of the complainant (*id.*). Such testimony, the court found, improperly bolstered the complainant's credibility (*id.*). Under these circumstances, the court held, "the potential value of the evidence [was] outweighed by the possibility of undue prejudice to the defendant or interference with the province of the jury" (*id.*).

A Judge of this Court granted the People leave to appeal (18 NY3d 882 [2012]).

[1] Expert testimony is properly admitted if it helps to "clarify an issue calling for professional or technical knowledge, possessed by the expert and beyond the ken of the typical juror" (*De Long v County of Erie*, 60 NY2d 296, 307 [1983]). Here, it was not an abuse of discretion for the trial court to permit expert testimony regarding the behavior of sexual abusers. That testimony is permissible as helpful for the jury to understand victims' unusual behavior (*see People v Williams*, 20 NY3d 579 [2013] [decided today]). Although some of the testimony discussed behavior similar to that alleged by the complainant in this case, the expert spoke of such behavior in general terms (*cf.*

*id.* [finding it was improper for the prosecutor to pose hypothetical questions to the expert that mirrored the abuse that occurred in that particular case]). In addition, the jury heard the expert testify that she was not aware of the facts of the particular case, did not speak with the complainant and was not rendering an opinion as to whether sexual abuse took place.

[2] We agree with the Appellate Division, however, that the proffered testimony of Martinez should have been permitted at trial. Evidence of a complainant's prior false allegations of sexual abuse is not inadmissible as a matter of law (*see People v Hunter*, 11 NY3d 1, 6 [2008]). Rather, it may be permitted if the prior allegations "suggest a pattern casting substantial doubt on the validity of the charges" (*People v Mandel*, 48 NY2d 952, 953 [1979]).

Here, Martinez's proposed testimony went to a material issue of defendant's defense, namely, whether the complainant had a history of making false allegations of sexual abuse by family members. Defense counsel sought to introduce the testimony as a prior inconsistent statement; to confront the complainant's testimony that she never made an allegation against Martinez and to rebut the testimony of the complainant's mother who testified she was unaware of any accusation made by complainant against Martinez. These statements opened the door to Martinez's rebuttal, which, if believed, suggested that the testimony of the complainant and her mother were not credible.

[3] The evidence of defendant's guilt was far from overwhelming in this case. There was no medical evidence or DNA evidence to corroborate the complainant's claims. Indeed, the medical evidence ran contrary to complainant's claim that defendant had vaginal intercourse with her. Moreover, the jury acquitted defendant of the top count, indicating that the jury may well have discredited a portion of complainant's testimony. Thus, the trial court's error in excluding the testimony of Martinez was not harmless.

Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (concurring). I concur in the result, and write separately because I believe the majority incorrectly concludes that the expert testimony was properly admitted under our prior decision in *People v Spicola* (16 NY3d 441 [2011]) and today's decision in *People v Williams* (20 NY3d 579 [2013]).



I would hold that the expert testimony crossed the line from testimony “helpful for the jury to understand victims’ unusual behavior” (majority op at 575), and instead described abuser conduct that was analogous to the complainant’s testimony. Thus, it would tend to imply the complainant’s testimony was credible. The expert’s testimony discussing similar behavior to that alleged by the complainant was not of such a general matter that it avoids the problems we noted in *Williams*. By referencing as abuser conduct the use of pornography, and the escalation in physical intimacy and sexual touching, the expert described conduct supporting the complainant’s testimony of abuse. The expert also used terminology characterizing abusers as “smooth and savvy,” clearly meant as a descriptor of the abuser. The expert further described how she trains people to distinguish between a fabrication and real experience, which included her description of tactile differentiation. By testifying about increased and escalating touching, the expert bolstered complainant’s testimony that she had physical encounters with the defendant that increased in intimacy over time.

It is unclear how a response from an expert to a hypothetical that mirrors the victim’s testimony is more problematic than expert testimony submitted outside the context of a hypothetical situation. Potentially the latter is more prejudicial because it is an organic response from the expert, rather than one that might appear “coached.” As the majority states in this Court’s factual summary of the case below, the trial judge indicated to defense counsel that he could cross-examine the expert. Specifically, she told counsel that he could ask if the expert “never looked at the file, doesn’t know anything about the kid, never met this kid, was never told about any of the particular facts of the case.” However, such cross-examination may only solidify in the jurors’ minds the expert’s testimony.

To the extent the expert’s testimony attempts to explain the victim’s responses and conduct, it demonstrates the difficulty in drawing the line between permissible and impermissibly suggestive testimony. Unlike *Williams*, where we found harmless error, I would hold the testimony in this case is prejudicial, warranting reversal. Here, as the majority concludes, there is a lack of overwhelming proof of defendant’s guilt, and medical evidence contrary to the complainant’s claim.

On the issue of the preclusion of testimony by Mr. Martinez, I agree with the majority that the preclusion was reversible error, and therefore concur in affirming the Appellate Division’s order, reversing and remitting for a new trial.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Judge RIVERA concurs in result in an opinion.

Order affirmed.

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[1987 NE2d 260, 964 NYS2d 483]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v BILL WILLIAMS, Appellant.

Argued February 14, 2013; decided March 26, 2013

### SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered January 10, 2012. The Appellate Division modified, on the law and as a matter of discretion in the interest of justice, a judgment of the Supreme Court, Kings County (John G. Ingram, J.), which had convicted defendant, after a nonjury trial, of rape in the first degree, criminal sexual act in the first degree (four counts), course of sexual conduct against a child in the second degree, sexual abuse in the second degree (11 counts), and endangering the welfare of a child (two counts). The modification consisted of (1) vacating the convictions of sexual abuse in the second degree under counts 8, 15, 16, and 17 of the indictment, vacating the sentences imposed on those counts, and dismissing those counts; and (2) providing that the sentence imposed upon the conviction of course of sexual conduct against a child in the second degree run concurrently with all other sentences. The Appellate Division affirmed the judgment as modified.

*People v Williams*, 91 AD3d 679, affirmed.

### HEADNOTES

**Crimes — Witnesses — Expert Witness — Child Sexual Abuse Accommodation Syndrome — Testimony Concerning Behavior of Sexual Abusers**

1. In the prosecution of defendant for various sex crimes pertaining to separate incidents involving two 12-year-old girls, the trial court properly exercised its discretion when it admitted testimony from an expert witness concerning the behavior of sexual abusers that was relevant to explain child sexual abuse accommodation syndrome (CSAAS). Expert testimony regarding rape trauma syndrome, abused child syndrome or similar conditions may be admitted to explain behavior of a victim that might appear unusual or that jurors may not be expected to understand. Such testimony is allowed to explain why a child may not have immediately reported sexual abuse. It is not permitted, however, for the purpose of showing that the expert considers a particular complainant to be credible. Here, the expert explained that he did not meet the complainants nor was rendering any opinion about any facts specific to the case. Rather, his testimony concerned CSAAS and its five stages: “engagement,” “sexual interaction,” “secrecy,” “disclosure,” and “repression.” The expert’s testimony concerning abusers’ behavior assisted in explaining victims’ subsequent behavior that the factfinder might not understand, such as why victims accommodate abusers and why they wait before disclosing the abuse.

**Crimes — Harmless and Prejudicial Error — Testimony of Expert Witness Not Adequately Limited — Improper Bolstering of People's Proof in Sex Crimes Prosecution**

2. In the prosecution of defendant for various sex crimes pertaining to separate incidents involving two 12-year-old girls, the testimony of an expert witness on child sexual abuse accommodation syndrome (CSAAS) exceeded permissible bounds when the prosecutor tailored certain hypothetical questions to include facts concerning the abuse that occurred in the case, improperly bolstering the People's proof that defendant was the perpetrator. The expert explained that he did not meet the complainants nor was rendering any opinion about any facts specific to the case, and the admission of his testimony regarding the five stages of CSAAS was a proper exercise of the trial court's discretion. However, the prosecutor then presented the expert with a series of hypothetical questions that mirrored the girls' testimony and asked if various facets of that testimony were consistent with CSAAS. The expert's testimony went beyond explaining victim behavior that might be beyond the ken of a jury, and had the prejudicial effect of implying that the expert found the complainants' testimony to be credible—even though the witness began his testimony claiming no knowledge of the case before the court. This error, however, was harmless because the evidence of defendant's guilt was overwhelming and there was no significant probability that, but for the introduction of the erroneous portion of the expert's testimony, defendant would have been acquitted. Both victims testified in detail as to the sexual acts committed by defendant, and one victim's testimony was corroborated by the medical evidence presented.

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 654, 659, 665, 698; AM JUR 2d, Expert and Opinion Evidence §§ 62–65, 148, 149.  
CARMODY-WAIT 2d, Particular Types of Evidence §§ 194:174, 194:175, 194:186, 194:187, 194:197;  
CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:117, 207:119.  
LAFAYE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.4, 27.6.  
NY JUR 2d, Criminal Law: Procedure §§ 2188, 2191, 2197, 2211, 3569–3574.

**ANNOTATION REFERENCE**

Admissibility of expert testimony on child sexual abuse accommodation syndrome (CSAAS) in criminal case. 85 ALR5th 595.

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**POINTS OF COUNSEL**

*Lynn W.L. Fahey, Appellate Advocates, New York City (Kendra L. Hutchinson of counsel)*, for appellant. I. Appellant was denied a fair trial by sex abuse expert testimony that recounted the typical behavior of abusers, that provided a “professional opinion” that detail after detail of the complainants’ behavior was “consistent with” child sex abuse syndrome, and that the factfinder admitted he did not need. (*People v Rivers*, 18 NY3d 222; *De Long v County of Erie*, 60 NY2d 296; *People v Lee*, 96 NY2d 157; *People v Taylor*, 75 NY2d 277; *People v Cronin*, 60 NY2d 430; *People v Bennett*, 79 NY2d 464; *People v Carroll*, 95 NY2d 375; *People v Singh*, 186 AD2d 285; *People v McGuinness*, 245 AD2d 701; *People v Spicola*, 16 NY3d 441.) II. Appellant was denied the effective assistance of counsel when his attorney failed to (a) properly challenge the testimony of the People’s child sex abuse expert; (b) know under which statutory subdivisions the most serious crimes were charged; or (c) challenge or even seek to clarify the numerous vague and amorphous counts, some of which the People eventually conceded were either multiplicitous or legally insufficient. (*Strickland v Washington*, 466 US 668; *People v Baldi*, 54 NY2d 137; *Fisher v Gibson*, 282 F3d 1283; *Williams v Washington*, 59 F3d 673; *People v Zaborski*, 59 NY2d 863; *People v Hewitt*, 95 AD3d 1358; *People v Cortez*, 296 AD2d 465; *Eze v Senkowski*, 321 F3d 110; *Gersten v Senkowski*, 426 F3d 588; *People v Spicola*, 16 NY3d 441.)

*Charles J. Hynes, District Attorney, Brooklyn (Ruth E. Ross and Leonard Joblove of counsel)*, for respondent. I. Defendant has, in part, failed to preserve his claim regarding the admissibility of the expert testimony on the behaviors of child victims of sexual abuse. Moreover, that testimony was properly admitted. In any event, any error in admitting that testimony was harmless. (*People v Person*, 8 NY3d 973; *People v Garcia*, 83 NY2d 817; *People v Qualls*, 55 NY2d 733; *Dougherty v Milliken*, 163 NY 527; *People v Taylor*, 75 NY2d 277; *De Long v County of Erie*, 60 NY2d 296; *People v Abney*, 13 NY3d 251; *People v Cronin*, 60 NY2d 430; *People v Lee*, 96 NY2d 157; *People v Carroll*, 95 NY2d 375.) II. Defendant received the effective assistance of counsel. (*People v Henry*, 95 NY2d 563; *People v Benevento*, 91 NY2d 708; *People v Hobot*, 84 NY2d 1021; *Strickland v Washington*, 466 US 668; *People v Taylor*, 1 NY3d 174; *People v Caban*, 5 NY3d 143; *People v Satterfield*, 66 NY2d 796; *People v Stultz*, 2 NY3d 277; *People v Flores*, 84 NY2d 184.)

**OPINION OF THE COURT**

PIGOTT, J.

Defendant was charged with various sex crimes pertaining to separate incidents involving two 12-year-old girls. At a bench trial, the People presented the testimony of an expert witness on the subject of child sexual abuse accommodation syndrome (CSAAS). We agree with defendant that the expert's testimony was not adequately limited because certain hypothetical questions posed by the prosecutor improperly bolstered the People's proof that defendant was the perpetrator. However, because the evidence of defendant's guilt was otherwise overwhelming, we find the error harmless and affirm.

In 2006 and 2007, defendant lived with his girlfriend, NW, and her 12-year-old twin daughters. NW's 12-year-old sister, PW, who lived nearby, often visited overnight, sharing the twins' bedroom. In May of 2007, PW reported to an assistant principal that defendant was sexually abusing her. Defendant was indicted for second-degree course of sexual conduct against a child as to AW, one of NW's daughters, and for rape and numerous additional counts as to PW.

At a bench trial, the People presented, along with the testimony of both AW and PW, the testimony of a physician who examined PW. Her findings were consistent with a report of the type of sexual abuse to which PW testified.

The People also called an expert on CSAAS. He explained that he did not meet the complainants nor was rendering any opinion about any facts specific to the case. Rather, his testimony concerned CSAAS and its five stages. He began by describing actions of a perpetrator as opposed to the victim, i.e. the "engagement" phase, during which an adult who is an authority figure with respect to the child utilizes his or her position within the family to change from a caretaking relationship with the child to a sexual relationship.

He then moved on to the second stage, "sexual interaction," which he also explained in terms of the abuser's actions:

"That's where the adult, in some way, has a physical relationship with a child. The sexual acts that occur may be progressive, meaning, that over time they may become more intrusive. This may be more than one act, and the sexual interaction phase may last for a long period of time or it may be a brief period of time depending on the circumstances."



The third stage, described as “secrecy,” was explained in terms of both what an abuser does and why the child keeps the matter secret—because of embarrassment or shame, “sometimes enforced” by the adult telling the child to keep it secret or suggesting negative consequences if it is revealed. Only then did the expert reach the stage of “disclosure,” which, he opined, may be delayed because of the child’s fear, shame, or emotional confusion. A final stage called “repression,” was said to involve the child’s difficulty in thinking about or remembering the abuse.

The prosecutor then presented the expert witness with a series of hypothetical questions that mirrored the girls’ testimony and asked if various facets of that testimony were consistent with the syndrome. He asked, for example:

“Now, Doctor, is it consistent with the syndrome of a child living in her own home with a man who is her mother’s live-in boyfriend, is it consistent with a syndrome that this man would have this child straddle him . . . that this child would not call out to another child similar in age who is sleeping in the very next room?”

The Court overruled objections to this type of questioning. Defendant was ultimately found guilty on all counts.

On appeal, the Appellate Division modified, on grounds not relevant here, but otherwise affirmed (91 AD3d 679 [2d Dept 2012]). The court held that the trial court had providently exercised its discretion in admitting the expert testimony. Citing this Court’s decision in *People v Spicola* (16 NY3d 441, 465-466 [2011], *cert denied* 565 US —, 132 S Ct 400 [2011]), the court held:

“While the hypothetical situation described by the prosecutor during the direct examination of the expert bore some similarities to the facts of this case, the expert did not offer an opinion with respect to the credibility of the complainants, and expressly disavowed any intention of rendering an opinion as to whether the complainants were victims of sexual abuse” (91 AD3d at 681).

A Judge of this Court granted defendant leave to appeal.

[1] The admissibility of expert testimony is dependent on whether the expert testimony “would help to clarify an issue calling for professional or technical knowledge, possessed by the

expert and beyond the ken of the typical juror” (*De Long v County of Erie*, 60 NY2d 296, 307 [1983]). Generally, that determination is left to the sound discretion of the trial court (*id.*).

This Court has held that “expert testimony regarding rape trauma syndrome, abused child syndrome or similar conditions may be admitted to explain behavior of a victim that might appear unusual or that jurors may not be expected to understand” (*People v Carroll*, 95 NY2d 375, 387 [2000]). Such testimony is allowed to explain, as originally offered here, why a child may not have immediately reported sexual abuse. It is not permitted, however, for the purpose of showing that the expert considers a particular complainant to be credible (*id.*).

Recently, in *People v Spicola*, we upheld the admission of expert testimony regarding CSAAS to rehabilitate the complainant’s credibility (16 NY3d 441). There, as in this case, the expert had not met the victim and explained that the testimony was not to be construed as giving an opinion as to whether the victim was indeed a victim of abuse. The expert’s testimony explained unusual behavior of child abuse victims and, particularly, why a child may wait a long time before reporting the alleged abuse. This testimony, we held, was permissible in explaining CSAAS (*id.* at 466-467).

Defendant argues that the expert testimony here was inadmissible because it did not focus only on the victim’s behavior but also discussed the behavior of sexual abusers. The typical behavior of a sexual abuser, defendant argues, is not beyond the ken of a typical juror. Here, the admission of the expert’s testimony concerning abusers’ behavior that was relevant to explain the accommodation syndrome was a proper exercise of discretion. That testimony assisted in explaining victims’ subsequent behavior that the factfinder might not understand, such as why victims may accommodate abusers and why they wait before disclosing the abuse.

[2] We agree with defendant, however, that the expert’s testimony exceeded permissible bounds when the prosecutor tailored the hypothetical questions to include facts concerning the abuse that occurred in this particular case. Such testimony went beyond explaining victim behavior that might be beyond the ken of a jury, and had the prejudicial effect of implying that the expert found the testimony of this particular complainant to be credible—even though the witness began his testimony claiming no knowledge of the case before the court.

This error, however, was harmless because the evidence of defendant's guilt was overwhelming and there was no significant probability that, but for the introduction of the erroneous portion of his testimony, defendant would have been acquitted. Here, both victims testified in detail as to the sexual acts committed by defendant. In addition, PW's testimony was corroborated by the medical evidence presented at trial.

Finally, we conclude that defendant's claim that he was denied the effective assistance of counsel is without merit.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and RIVERA concur.

Order affirmed.

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[987 NE2d 621, 965 NYS2d 61]

OVERSTOCK.COM, INC., Appellant, v NEW YORK STATE DEPARTMENT OF TAXATION AND FINANCE et al., Respondents.

AMAZON.COM, LLC, et al., Appellants, v NEW YORK STATE DEPARTMENT OF TAXATION AND FINANCE et al., Respondents.

Argued February 6, 2013; decided March 28, 2013

### SUMMARY

APPEAL, in the first above-entitled action, on constitutional grounds, from a stipulation of discontinuance (deemed a judgment of the Supreme Court, New York County) entered December 13, 2011. The stipulation discontinued plaintiffs' as-applied constitutional challenges to Tax Law § 1101 (b) (8) (vi). The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 4, 2010. The Appellate Division had modified, on the law and the facts, an order of that Supreme Court (Eileen Bransten, J.), which granted defendants' motion to dismiss the complaint in an action to declare Tax Law § 1101 (b) (8) (vi) unconstitutional and denied plaintiff's cross motion for summary judgment. The modification consisted of declaring that Tax Law § 1101 (b) (8) (vi) is constitutional on its face and does not violate the Equal Protection Clause either on its face or as applied, and reinstating the complaint for further proceedings with regard to the claims that, as applied, the statute violates the Commerce and Due Process Clauses.

APPEAL, in the second above-entitled action, on constitutional grounds, from a stipulation of discontinuance (deemed a judgment of the Supreme Court, New York County) dated February 8, 2012. The stipulation discontinued plaintiff's as-applied constitutional challenges to Tax Law § 1101 (b) (8) (vi). The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 4, 2010. The Appellate Division had modified, on the law and the facts, a judgment of that Supreme Court (Eileen Bransten, J.; op 23 Misc 3d 418 [2009]), which granted defendants' motion to dismiss the complaint in an action to declare Tax Law § 1101 (b) (8) (vi) unconstitutional and denied plaintiffs' cross motion for summary judgment. The modification consisted of declaring that Tax Law § 1101 (b) (8) (vi) is constitutional on its face and does not violate the Equal

Protection Clause either on its face or as applied, and reinstating the complaint for further proceedings with regard to the claims that, as applied, the statute violates the Commerce and Due Process Clauses.

*Amazon.com, LLC v New York State Dept. of Taxation & Fin.*, 81 AD3d 183, affirmed.

#### HEADNOTES

##### **Constitutional Law — Validity of Statute — Collection of Sales Tax by Out-of-State Internet Vendors — Commerce Clause**

1. Tax Law § 1101 (b) (8) (vi) (the Internet tax), which subjects online vendors, without a physical presence in New York, to state sales and compensating use taxes if the vendors use in-state residents to solicit business in New York through the residents' websites, is facially valid under the Commerce Clause. The Internet tax is constitutional on its face under either standard for evaluating a facial challenge pursuant to the Commerce Clause—that there is “no set of circumstances” under which the statute would be valid, or the stricter test of whether the statute has a plainly legitimate sweep. The relevant inquiry is whether the tax is applied to an activity with a substantial nexus with the taxing state. Although an in-state physical presence is necessary, it need not be substantial, but demonstrably more than a slightest presence, and the presence requirement will be satisfied if economic activities are performed in New York by the seller's employees or on its behalf. The Internet tax statute satisfies the substantial nexus requirement, as active, in-state solicitation that produces a significant amount of revenue qualifies as demonstrably more than a slightest presence. Further, although not a dispositive factor, vendors are not required to pay the taxes out-of-pocket. Rather, they are collecting taxes that are due, which are exceedingly difficult to collect from the individual purchasers themselves, and as to which there is no risk of multiple taxation. The statutory language allows for a range of possible types of compensation, which would include flat fee arrangements, and although a substantial nexus would be lacking if New York residents were merely engaged to post passive advertisements on their websites, a vendor paying New York residents to actively solicit business in New York should shoulder the appropriate tax burden.

##### **Constitutional Law — Validity of Statute — Collection of Sales Tax by Out-of-State Internet Vendors — Due Process Clause**

2. Tax Law § 1101 (b) (8) (vi) (the Internet tax), which subjects online vendors, without a physical presence in New York, to state sales and compensating use taxes if the vendors use in-state residents to solicit business in New York through the residents' websites, is facially valid under the Due Process Clause. An in-state physical presence is not required in order to satisfy due process. Instead, the focus is on whether a party has purposefully directed its activities toward the forum state and whether it is reasonable, based on the extent of a party's contacts with that state and the benefits derived from such access, to require it to collect taxes for that state. The Internet tax statute says that a seller “shall be presumed to be soliciting business through an independent contractor or other representative” if it enters an agreement under which a New York resident, “for a commission or other consideration, directly or indirectly refers potential customers, whether by a link on an internet website or otherwise.” The statutory presumption is not

irrational or irrebuttable. It is rational to presume that, given the direct correlation between referrals and compensation, it is likely that residents will seek to increase their referrals by soliciting customers. More specifically, it is not unreasonable to presume that affiliated website owners residing in New York State will reach out to their New York friends, relatives and other local individuals in order to accomplish this purpose. Moreover, the agency charged with enforcing the statute has expressly acknowledged that mere advertising is beyond the scope of the provision, and it has set forth a method (contractual prohibition and annual certification) through which the retailers will be deemed to have rebutted the presumption.

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#### RESEARCH REFERENCES

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AM JUR 2d, Commerce §§ 20, 41, 108; AM JUR 2d, Constitutional Law §§ 965, 968; AM JUR 2d, Sales and Use Taxes §§ 8, 22-24.

McKINNEY'S, Tax Law § 1101 (b) (8) (vi).

NY JUR 2d, Constitutional Law §§ 126, 387; NY JUR 2d, Taxation and Assessment §§ 53, 54, 73, 74, 1688, 1690.

#### ANNOTATION REFERENCE

Validity, construction, and application of sales, use, and utility taxes on retail transactions of Internet sellers and Internet access providers. 30 ALR6th 341.

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#### POINTS OF COUNSEL

*Bracewell & Giuliani LLP*, New York City (*Daniel S. Connolly* and *Rachel B. Goldman* of counsel), for appellant in the first above-entitled action. I. New York's Internet tax is facially invalid under the Commerce Clause. (*Quill Corp. v North Dakota*, 504 US 298; *Healy v Beer Institute*, 491 US 324; *General Motors Corp. v Tracy*, 519 US 278; *Northwestern States Portland Cement Co. v Minnesota*, 358 US 450; *Dutchess Sanitation Serv. v Town of Plattekill*, 51 NY2d 670; *Wardair Canada Inc. v Florida Dept. of Revenue*, 477 US 1; *Hughes v Oklahoma*, 441 US 322; *National Bellas Hess, Inc. v Department of Revenue of Ill.*, 386 US 753; *Oklahoma Tax Comm'n v Jefferson Lines, Inc.*, 514 US 175; *Complete Auto Transit, Inc. v Brady*, 430 US 274.) II. The Internet tax violates due process. (*People v Leyva*, 38 NY2d 160; *Speiser v Randall*, 357 US 513; *Bailey v Alabama*, 219 US



219; *Vlandis v Kline*, 412 US 441; *Central Sav. Bank v City of New York*, 280 NY 9; *Usery v Turner Elkhorn Mining Co.*, 428 US 1; *Heiner v Donnan*, 285 US 312; *Eff-Ess, Inc. v New York Edison Co.*, 237 App Div 315; *County Court of Ulster Cty. v Allen*, 442 US 140.)

*Gibson, Dunn & Crutcher LLP*, New York City (Randy M. Mastro and Oliver M. Olanoff of counsel), and *Gibson, Dunn & Crutcher LLP* (Julian W. Poon, of the California bar, admitted pro hac vice, and Kahn A. Scolnick, of the California bar, admitted pro hac vice, of counsel) for appellants in the second above-entitled action. I. Tax Law § 1101 (b) (8) (vi) violates due process on its face. (*Complete Auto Transit, Inc. v Brady*, 430 US 274; *Quill Corp. v North Dakota*, 504 US 298; *Scripto, Inc. v Carson*, 362 US 207; *Tyler Pipe Industries, Inc. v Washington State Dept. of Revenue*, 483 US 232; *National Bellas Hess, Inc. v Department of Revenue of Ill.*, 386 US 753; *Miller Brothers Co. v Maryland*, 347 US 340; *Speiser v Randall*, 357 US 513; *Bailey v Alabama*, 219 US 219; *United States v Romano*, 382 US 136; *Tot v United States*, 319 US 463.) II. Tax Law § 1101 (b) (8) (vi) violates the Commerce Clause on its face. (*Quill Corp. v North Dakota*, 504 US 298; *Scripto, Inc. v Carson*, 362 US 207; *Tyler Pipe Industries, Inc. v Washington State Dept. of Revenue*, 483 US 232; *Miller Brothers Co. v Maryland*, 347 US 340; *National Bellas Hess, Inc. v Department of Revenue of Ill.*, 386 US 753; *St. Tammany Parish Tax Collector v Barnesandnoble.Com*, 481 F Supp 2d 575; *Matter of Orvis Co. v Tax Appeals Trib. of State of N.Y.*, 86 NY2d 165; *General Trading Co. v State Tax Comm’n of Iowa*, 322 US 335; *Felt & Tarrant Mfg. Co. v Gallagher*, 306 US 62; *American Libs. Assn. v Pataki*, 969 F Supp 160.) III. The Appellate Division, First Department, applied the wrong legal standard to decide Amazon.com, LLC’s and Amazon Services LLC’s facial constitutional claims. (*United States v Salerno*, 481 US 739; *Doe v City of Albuquerque*, 667 F3d 1111; *Washington State Grange v Washington State Republican Party*, 552 US 442; *Chicago v Morales*, 527 US 41; *Washington v Glucksberg*, 521 US 702; *County Court of Ulster Cty. v Allen*, 442 US 140; *Leary v United States*, 395 US 6.) IV. Even under the “no set of circumstances” test, Tax Law § 1101 (b) (8) (vi) would still be unconstitutional on its face. (*Roe v Meese*, 689 F Supp 344; *United States v Arizona*, 295 US 174; *Speiser v Randall*, 357 US 513; *Washington State Grange v Washington State Republican Party*, 552 US 442.)

*Eric T. Schneiderman*, Attorney General, New York City (Steven C. Wu, Barbara D. Underwood and Andrew D. Bing of

counsel), for respondents in the first and second above-entitled actions. I. Facial invalidation requires proof that a statute is indisputably unconstitutional regardless of individual factual circumstances. (*People v Stuart*, 100 NY2d 412; *Cohen v Cuomo*, 19 NY3d 196; *Paterson v University of State of N.Y.*, 14 NY2d 432; *Cohen v State of New York*, 94 NY2d 1; *United States v Salerno*, 481 US 739; *Matter of Moran Towing Corp. v Urbach*, 99 NY2d 443; *Washington State Grange v Washington State Republican Party*, 552 US 442; *Matter of McGee v Korman*, 70 NY2d 225; *Sabri v United States*, 541 US 600; *Department of Taxation & Finance of N. Y. v Milhelm Attea & Bros.*, 512 US 61.) II. Tax Law § 1101 (b) (8) (vi) complies with the dormant Commerce Clause. (*Matter of Zelinsky v Tax Appeals Trib. of State of N.Y.*, 1 NY3d 85; *Matter of Moran Towing Corp. v Urbach*, 99 NY2d 443; *Matter of Orvis Co. v Tax Appeals Trib. of State of N.Y.*, 86 NY2d 165; *Quill Corp. v North Dakota*, 504 US 298; *Scripto, Inc. v Carson*, 362 US 207; *National Geographic Soc. v California Bd. of Equalization*, 430 US 551; *Standard Pressed Steel Co. v Department of Revenue of Wash.*, 419 US 560; *Felt & Tarrant Mfg. Co. v Gallagher*, 306 US 62; *Tyler Pipe Industries, Inc. v Washington State Dept. of Revenue*, 483 US 232; *Complete Auto Transit, Inc. v Brady*, 430 US 274.) III. Tax Law § 1101 (b) (8) (vi)'s presumption of solicitation satisfies the Due Process Clause. (*Mobile, J. & K. C. R. Co. v Turnipseed*, 219 US 35; *Matter of Casse v New York State Racing & Wagering Bd.*, 70 NY2d 589; *Usery v Turner Elkhorn Mining Co.*, 428 US 1; *United States v Gainey*, 380 US 63; *County Court of Ulster Cty. v Allen*, 442 US 140; *Lavine v Milne*, 424 US 577; *Trump v Chu*, 65 NY2d 20; *Matter of Grace v New York State Tax Commn.*, 37 NY2d 193; *Matter of 31/32 Lexington Assoc. v Tax Appeals Trib. of State of N.Y.*, 258 AD2d 684; *Matter of Orvis Co. v Tax Appeals Trib. of State of N.Y.*, 86 NY2d 165.)

#### OPINION OF THE COURT

Chief Judge LIPPMAN.

Plaintiffs challenge Tax Law § 1101 (b) (8) (vi) (the Internet tax), alleging that it is unconstitutional on its face because it violates the Commerce Clause by subjecting online retailers, without a physical presence in the state, to New York sales and compensating use taxes. They also maintain that the Internet tax violates the Due Process Clause by creating an irrational, irrebuttable presumption of solicitation of business within the state. We reject plaintiffs' facial challenges.

I.

Plaintiff Amazon.com, LLC is a limited liability company formed in Delaware; Amazon Services LLC is a limited liability company formed in Nevada (collectively Amazon). Its principal corporate offices are located in the State of Washington. Amazon is strictly an online retailer—selling its merchandise solely through the Internet—and represents that it does not maintain any offices or property in New York.

Amazon offers an “Associates Program” through which third parties agree to place links on their own websites that, when clicked, direct users to Amazon’s website. The Associates are compensated on a commission basis. They receive a percentage of the revenue from sales generated when a customer clicks on the Associate’s link and completes a purchase from the Amazon site. The operating agreement governing this arrangement states that the Associates are independent contractors and that there is no employment relationship between the parties. Thousands of entities enrolled in the Associates Program have provided a New York address in connection with their applications.

Plaintiff Overstock.com is a Delaware corporation with its principal place of business in Utah. Overstock likewise sells its merchandise solely through the Internet and does not maintain any office, employees or property in New York. Similar to Amazon, Overstock had an “Affiliates” program through which third parties would place links for Overstock.com on their own websites.<sup>1</sup> When a customer clicked on the link, he or she was immediately directed to Overstock.com, and if the customer completed a purchase, the Affiliate received a commission. According to the parties’ Master Agreement, the Affiliates were independent contractors without the authority to obligate or bind Overstock.

In April 2008, the legislature amended the Tax Law to include the subparagraph at issue here. In connection with the statutory definition of “vendor,” the Internet tax provides that

“a person making sales of tangible personal property or services taxable under this article (‘seller’) shall be presumed to be soliciting business through an independent contractor or other representative if

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1. Overstock suspended its Affiliates program (for those who provided a New York address) shortly after the enactment of the Internet tax at issue here.

the seller enters into an agreement with a resident of this state under which the resident, for a commission or other consideration, directly or indirectly refers potential customers, whether by a link on an internet website or otherwise, to the seller, if the cumulative gross receipts from sales by the seller to customers in the state who are referred to the seller by all residents with this type of an agreement with the seller is in excess of ten thousand dollars during the preceding four quarterly periods” (Tax Law § 1101 [b] [8] [vi]).

The statutory presumption, however, can “be rebutted by proof that the resident with whom the seller has an agreement did not engage in any solicitation in the state on behalf of the seller that would satisfy the nexus requirement of the United States constitution during the four quarterly periods in question” (Tax Law § 1101 [b] [8] [vi]).

Shortly after the legislation was enacted, the Department of Taxation and Finance (DTF) issued a memorandum to provide taxpayer guidance on the recent amendment. The document clarified that advertising alone would not invoke the statutory presumption, but further observed that, for purposes of this statute, the placement of a link to the seller’s website where the resident was compensated on the basis of completed sales deriving from that link would not be considered mere advertising (*see* NY St Dept of Taxation & Fin Mem No. TSB-M-08[3]S). The memorandum also explained that the statutory presumption could be rebutted through proof that the residents’ only activity in New York on behalf of the seller was to provide a link to the seller’s website and that the residents did not engage in any in-state solicitation directed toward potential New York customers (*see* NY St Dept of Taxation & Fin Mem No. TSB-M-08[3]S).

The following month, DTF issued a second memorandum, further detailing how sellers could rebut the statutory presumption. The presumption would be deemed successfully rebutted if the seller satisfied two conditions: (1) if the parties’ contract prohibited the resident representative from engaging in any solicitation activities in New York State on behalf of the seller, and (2) if each resident representative submitted an annual, signed certification stating that the resident had not engaged in any of the proscribed solicitation (*see* NY St Dept of Taxation & Fin Mem No. TSB-M-08[3.1]S).

Amazon commenced this action on April 25, 2008, seeking a judgment declaring that the statute was unconstitutional both on its face and as applied. Overstock commenced its action on May 30, 2008, making essentially the same arguments and also seeking injunctive relief. Supreme Court, in separate decisions, granted DTF's motions to dismiss the complaints for failure to state a cause of action and denied plaintiffs' cross motions for summary judgment as moot, rejecting all of plaintiffs' challenges to the constitutionality of the statute (*see Amazon.com LLC v New York State Dept. of Taxation & Fin.*, 23 Misc 3d 418 [Sup Ct, NY County 2009]).

The Appellate Division affirmed the portions of the orders that dismissed the facial challenges under the Commerce and Due Process Clauses and declared the statute constitutional on its face (81 AD3d 183 [1st Dept 2010]). However, the Court modified by reinstating the as-applied challenges, finding that further discovery was required before those claims could be determined. Plaintiffs then entered into stipulations of discontinuance withdrawing their as-applied constitutional challenges with prejudice, which were deemed the final judgments. They now appeal pursuant to CPLR 5601 (b) (1) and (d), bringing up for review the prior nonfinal Appellate Division order.

## II.

Having elected to forgo their as-applied challenges, plaintiffs now confront the substantial hurdle of demonstrating that the Internet tax is unconstitutional on its face. It is well settled that facial constitutional challenges are disfavored. "Legislative enactments enjoy a strong presumption of constitutionality . . . [and] parties challenging a duly enacted statute face the initial burden of demonstrating the statute's invalidity 'beyond a reasonable doubt.' Moreover, courts must avoid, if possible, interpreting a presumptively valid statute in a way that will needlessly render it unconstitutional" (*LaValle v Hayden*, 98 NY2d 155, 161 [2002] [citations omitted]).

[1] There is some dispute as to the appropriate standard for evaluating a facial challenge under the Commerce Clause—whether we must determine that there is "no set of circumstances" under which the statute would be valid (*see Matter of Moran Towing Corp. v Urbach*, 99 NY2d 443, 448 [2003], quoting *United States v Salerno*, 481 US 739, 745 [1987]) or apply the stricter test of whether "the statute has a plainly legitimate sweep" (*see Washington State Grange v Washington State*



*Republican Party*, 552 US 442, 449 [2008] [internal quotation marks and citation omitted]; *Crawford v Marion County Election Bd.*, 553 US 181, 202 [2008]). Under either standard, however, the Internet tax is constitutional on its face.

The dormant Commerce Clause has been interpreted to prohibit states from imposing an undue tax burden on interstate commerce (see *Matter of Orvis Co. v Tax Appeals Trib. of State of N.Y.*, 86 NY2d 165, 170-171 [1995]). However, in the absence of an improper burden, entities participating in interstate commerce will not be excused from the obligation to pay their fair share of state taxes (see *Orvis*, 86 NY2d at 171). To that end, a state tax impacting the Commerce Clause will be upheld “ ‘[1] when the tax is applied to an activity with a substantial nexus with the taxing State, [2] is fairly apportioned, [3] does not discriminate against interstate commerce, and [4] is fairly related to the services provided by the State’ ” (*Moran Towing*, 99 NY2d at 449, quoting *Complete Auto Transit, Inc. v Brady*, 430 US 274, 279 [1977]). The parties agree that the only prong at issue here is whether the statute satisfies the “substantial nexus” test.

In *National Bellas Hess, Inc. v Department of Revenue of Ill.* (386 US 753 [1967]), the United States Supreme Court held that a use tax could not be imposed on an out-of-state mail-order business that did not have offices, property or sales representatives in Illinois. The Court noted that it had never permitted such a tax where the seller’s sole connection with its customers in the forum state was by mail or common carrier (see *Bellas Hess*, 386 US at 758). Rather, the Court observed that, if Illinois were permitted to impose that type of tax burden, every other taxing jurisdiction in the country could do the same, which would result in a morass of obligations to local governments (see *Bellas Hess*, 386 US at 759-760).

The Supreme Court confronted a similar issue involving a mail-order business in *Quill Corp. v North Dakota* (504 US 298, 314 [1992]) and considered whether the emphasis in *Bellas Hess* on physical presence within the state had been rendered obsolete by the Court’s shift toward “more flexible balancing analyses” under the Commerce Clause. While allowing that the result might have been different if the issue was being considered for the first time, the Court retained the bright-line presence requirement articulated in *Bellas Hess*, recognizing the benefits provided by a clear rule that established the limits of state taxing authority (see *Quill*, 504 US at 311, 315).



The world has changed dramatically in the last two decades, and it may be that the physical presence test is outdated. An entity may now have a profound impact upon a foreign jurisdiction solely through its virtual projection via the Internet. That question, however, would be for the United States Supreme Court to consider. We are bound, and adjudicate this controversy, under the binding precedents of that Court, the ultimate arbiter of the meaning of the Commerce Clause.

Subsequent to *Quill*, we further explained that, although an in-state physical presence is necessary, it “need not be substantial. Rather, it must be demonstrably more than a ‘slightest presence’ ” (*Orvis*, 86 NY2d at 178, quoting *National Geographic Soc. v California Bd. of Equalization*, 430 US 551, 556 [1977]). The presence requirement will be satisfied if economic activities are performed in New York by the seller’s employees or on its behalf (*see Orvis*, 86 NY2d at 178).

There are clearly parallels between a mail-order business and an online retailer—both are able to conduct their operations without maintaining a physical presence in a particular state. Indeed, physical presence is not typically associated with the Internet in that many websites are designed to reach a national or even a global audience from a single server whose location is of minimal import. However, through this statute, the legislature has attached significance to the physical presence of a resident website owner. The decision to do so recognizes that, even in the Internet world, many websites are geared toward predominantly local audiences—including, for instance, radio stations, religious institutions and schools—such that the physical presence of the website owner becomes relevant to Commerce Clause analysis. Indeed, the Appellate Division record in this case contains examples of such websites urging their local constituents to support them by making purchases through their Amazon links. Essentially, through these types of affiliation agreements, a vendor is deemed to have established an in-state sales force.

Viewed in this manner the statute plainly satisfies the substantial nexus requirement. Active, in-state solicitation that produces a significant amount of revenue qualifies as “demonstrably more than a ‘slightest presence’ ” under *Orvis*. Although it is not a dispositive factor, it also merits notice that vendors are not required to pay these taxes out-of-pocket. Rather, they are collecting taxes that are unquestionably due, which are exceedingly difficult to collect from the individual purchasers themselves, and as to which there is no risk of multiple taxation.

Clearly, the statutory language allows for a range of possible types of compensation (“commission or other consideration”), which would include flat fee arrangements. However, no one disputes that a substantial nexus would be lacking if New York residents were merely engaged to post passive advertisements on their websites. The bottom line is that if a vendor is paying New York residents to actively solicit business in this state, there is no reason why that vendor should not shoulder the appropriate tax burden. We will not strain to invalidate this statute where plaintiffs have not met their burden of establishing that it is facially invalid.

### III.

As explained in *Quill*, although Due Process and Commerce Clause challenges are “closely related,” each provision “pose[s] distinct limits on the taxing powers of the States” (504 US at 305). Unlike the bright line presented by the Commerce Clause, physical presence is not required in order to satisfy due process. Instead, the focus is on whether a party has purposefully directed its activities toward the forum state and whether it is reasonable, based on the extent of a party’s contacts with that state and the benefits derived from such access, to require it to collect taxes for that state (see *Quill*, 504 US at 307-308). Indeed, an entity “that is engaged in continuous and widespread solicitation of business within a State . . . clearly has fair warning that [its] activity may subject [it] to the jurisdiction of a foreign sovereign,” even in the absence of physical presence (*Quill*, 504 US at 308 [internal quotation marks and citation omitted]). In this respect, we believe that a brigade of affiliated websites compensated by commission is the equivalent of “a deluge of catalogs” and “a phalanx of drummers” (*Quill*, 504 US at 308).

Plaintiffs argue that the Internet tax violates due process because the statutory presumption is irrational and essentially irrebuttable. In order for the presumption to be constitutionally valid, there must be “a rational connection between the facts proven and the fact presumed, and . . . a fair opportunity for the opposing party to make [a] defense” (*Matter of Casse v New York State Racing & Wagering Bd.*, 70 NY2d 589, 595 [1987]).

[2] Here, the fact proved is that the resident is compensated for referrals that result in purchases. The fact presumed is that at least some of those residents will actively solicit other New Yorkers in order to increase their referrals and, consequently,

their compensation.<sup>2</sup> It is plainly rational to presume that, given the direct correlation between referrals and compensation, it is likely that residents will seek to increase their referrals by soliciting customers. More specifically, it is not unreasonable to presume that affiliated website owners residing in New York State will reach out to their New York friends, relatives and other local individuals in order to accomplish this purpose. As noted above, the record contains examples of this type of solicitation by schools and certain other organizations.

The presumption would appear decidedly less rational if it were applied to those who receive some types of “other consideration”—i.e., those whose compensation is unrelated to actual sales. It is difficult to distinguish that arrangement from traditional advertising. Nonetheless, plaintiffs have chosen to limit our review to a facial challenge, and the fact that plaintiffs can posit a potential constitutional infirmity does not require the statute’s invalidation on its face. This is particularly true where, as here, the agency charged with enforcing the statute has expressly acknowledged that mere advertising is beyond the scope of the provision.

Plaintiffs also claim that the presumption is irrebuttable because it will be extremely difficult, if not impossible, to prove that none of their New York affiliates is soliciting customers on the retailers’ behalf. However, as noted above, DTF has set forth a method (contractual prohibition and annual certification) through which the retailers will be deemed to have rebutted the presumption. Obtaining the necessary information may impose a burden on the retailers, but inconvenience does not render the presumption irrebuttable. In addition, while not determinative, it is notable that the presumption sensibly places the burden on the retailers to provide information about the activities of their own affiliates—information that DTF would have significant difficulty uncovering on its own (*see Lavine v Milne*, 424 US 577, 585 [1976]).

In sum, plaintiffs have failed to demonstrate that the statute is facially unconstitutional under either the Commerce or the Due Process Clause.

Accordingly, in both cases, the judgment appealed from and the order of the Appellate Division brought up for review should be affirmed, with costs.

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2. The presumption only applies in the first instance to a company that has sold at least \$10,000 in products or services as the result of such referrals.

SMITH, J. (dissenting). The rules that govern this case are laid down in a series of United States Supreme Court decisions and are not in dispute. Under the Commerce Clause, a state may require an out-of-state retailer to collect use tax from in-state purchasers only if the retailer has a physical presence within the state (*National Bellas Hess, Inc. v Department of Revenue of Ill.*, 386 US 753 [1967]; *Quill Corp. v North Dakota*, 504 US 298, 309-319 [1992]). The solicitation of customers for the retailer by in-state sales representatives counts as a physical presence, even where the sales representatives are independent contractors (*Scripto, Inc. v Carson*, 362 US 207 [1960]; *Tyler Pipe Industries, Inc. v Washington State Dept. of Revenue*, 483 US 232, 250-251 [1987]; cf. *Matter of Orvis Co. v Tax Appeals Trib. of State of N.Y.*, 86 NY2d 165, 180 [1995]); but mere advertising by the out-of-state retailer in in-state media does not (see *Quill*, 504 US at 302-303 [North Dakota statute making tax obligation dependent on advertisements held invalid]). Thus, the majority correctly summarizes the law by saying that “if New York residents were merely engaged to post passive advertisements on their websites” no tax could be collected, but that a vendor who “is paying New York residents to actively solicit business in this state” may be required to remit tax (majority op at 596).

Our task here is to decide whether certain New York-based websites—Overstock’s “Affiliates” and Amazon’s “Associates”—are the equivalent of sales agents, soliciting business for Overstock and Amazon, or are only media in which Overstock and Amazon advertise their products. I think they are the latter.

The Overstock and Amazon links that appear on websites owned by New York proprietors serve essentially the same function as advertising that a more traditional out-of-state retailer might place in local newspapers. The websites are not soliciting customers for Overstock and Amazon in the fashion of a local sales agent. Of course the website owners solicit business for themselves; they encourage people to visit their websites, just as a newspaper owner would seek to boost circulation. But there is no basis for inferring that they are actively soliciting for the out-of-state retailers.

It does not make sense to envision a website owner trying to persuade members of the public, as a sales agent would, that Overstock and Amazon are high quality merchants that the public should want to do business with: persuasion of that sort

does the website owner no good. A traditional sales agent—say, a vacuum cleaner salesman—would promote a particular brand of vacuum cleaner so that customers would order the product through him and he would get a commission. But no website owner promotes Overstock or Amazon for a similar reason, because everyone who wants to buy from either of those firms can go to the retailer’s website directly. It is true, as the majority mentions (majority op at 595), that certain kinds of website owners—churches and schools, for example—may ask their supporters to show their loyalty by using the website when they buy from Amazon, but that is not the same as soliciting business that Amazon would not otherwise get. In any event, a rule applicable to websites generally cannot be justified on the basis of the special characteristics of volunteer-supported organizations.

The statute at issue here tries to turn advertising media into an in-state sales force through a presumption. The statute says that a seller “shall be presumed to be soliciting business through an independent contractor or other representative” if it enters an agreement under which a New York resident “for a commission or other consideration, directly or indirectly refers potential customers, whether by a link on an internet website or otherwise” (Tax Law § 1101 [b] [8] [vi]). But of course a statutory presumption cannot by itself permit a state to do what the United States Constitution forbids. To presume that every website that has an agreement under which it carries an Overstock or Amazon link is a sales agent for Overstock or Amazon would be to nullify the rule that advertising in in-state media is not the equivalent of physical presence.

Read literally, the statute would reach essentially all Internet advertising that links to a seller’s website: it includes any agreement for referral of customers, by a link or otherwise, “for a commission or other consideration.” Since this literal reading would unquestionably render the statute unconstitutional, the Department of Taxation and Finance has adopted a narrowing construction, largely ignoring the words “or other consideration,” and applying the presumption only where the website receives a commission or similar compensation—i.e., where “the consideration for placing the link on the Web site is based on the volume of completed sales generated by the link” (NY St Dept of Taxation & Fin Mem No. TSB-M-08[3]S at 2). The narrowing construction, in my view, does not save the statute.

It was no doubt true before the Internet existed that advertising was usually sold for a flat fee, while sales agents usually

worked on commission, but that has changed. When an advertisement takes the form of a link on a website, it is easy, as well as efficient, for the advertiser to compensate the website on the basis of results. But the link is still only an ad. It seems quite unlikely, and the record contains no evidence, that compensation “based on the volume of completed sales” is an unusual way of charging for web advertising, or that such compensation is primarily associated with active solicitation on the seller’s behalf by the website owner.

A number of tests have been stated for deciding the validity of a statutory presumption. In *People v Leyva* (38 NY2d 160, 165-166 [1975]), we described certain United States Supreme Court cases as requiring “a rational connection between the facts which are proved and the one which is to be inferred with the aid of the presumption” (see *Tot v United States*, 319 US 463, 467-468 [1943]; *United States v Romano*, 382 US 136, 139-141 [1965]), and others as requiring a “substantial assurance that the presumed fact is more likely than not to flow from the proved fact on which it is made to depend” (*Leary v United States*, 395 US 6, 36 [1969]). New York, according to the *Leyva* case, “has exacted an even higher standard of rational connection,” one that “must assure ‘a reasonably high degree of probability’ that the presumed fact follows from those proved directly” (38 NY2d at 166, quoting *People v McCaleb*, 25 NY2d 394, 404 [1969]).

I do not think it necessary to decide here what test should apply to a presumption enacted by a state for the purpose of expanding its own power over interstate transactions (though I would think it should be a relatively demanding one); whatever the test is, this statute fails. To infer, from an agreement to put a link on a website and to compensate the website owner in proportion to the resulting sales, that the website owner is actively soliciting business for the seller “is so strained as not to have a reasonable relation to the circumstances of life as we know them” (*Tot v United States*, 319 US at 468).

I would therefore hold that the statute challenged in this litigation is invalid under the Commerce Clause.

Judges GRAFFEO, READ and PIGOTT concur with Chief Judge LIPPMAN; Judge SMITH dissents in an opinion; Judge RIVERA taking no part.

In each case: Judgment appealed from and order of the Appellate Division brought up for review affirmed, with costs.

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[987 NE2d 268, 964 NYS2d 491]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v KIRK  
HANLEY, Appellant.

Argued February 12, 2013; decided March 28, 2013

### SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 28, 2011. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Charles H. Solomon, J.), which had convicted defendant, upon his plea of guilty, of kidnapping in the second degree, criminal possession of a weapon in the second degree (two counts), and reckless endangerment in the first degree.

*People v Hanley*, 85 AD3d 659, affirmed.

### HEADNOTE

#### **Crimes — Appeal — Preservation of Issue for Review — Mode of Proceedings Error — Merger Claim in Kidnapping Prosecution**

A defendant charged with kidnapping and another offense must preserve the argument that the kidnapping count merged with the other crime because the mode of proceedings exception to the preservation rule is not applicable to a merger claim. Here, defendant pleaded guilty to kidnapping, reckless endangerment and criminal weapon possession charges based on an incident at a college where he brandished a loaded handgun, grabbed a nearby woman, pointed the gun at her head and threatened to kill her, but he did not preserve the argument at the trial court that the kidnapping count merged with the reckless endangerment offense. As a general rule, the Court of Appeals does not consider claims of error not preserved by appropriate objection in the court of first instance. A mode of proceedings error is a narrow exception to the general preservation rule and encompasses only the most fundamental flaws that implicate jurisdictional matters or rights of a constitutional dimension that go to the very heart of the process. The merger doctrine, a judicially-devised concept created to rectify the problem of overcharging in kidnapping prosecutions, does not fit within the purpose of the mode of proceedings exception. It was designed to prevent inordinately punitive sentences, but is not jurisdictional in nature and does not implicate any fundamental constitutional concerns that strike at the core of the criminal adjudicatory process.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Abduction and Kidnapping §§ 48, 53; AM JUR  
2d, Criminal Law § 21.

CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:21.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 27.2, 27.5.

NY JUR 2d, Criminal Law: Procedure §§ 2706, 3466, 3520;  
NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 754, 755.

#### ANNOTATION REFERENCE

See ALR Index under Abduction and Kidnapping; Appeal and Error; Criminal Procedure Rules.

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#### POINTS OF COUNSEL

*Dechert LLP*, New York City (*Matthew L. Mazur* and *Robert J. Jossen* of counsel), and *Office of the Appellate Defender* (*Richard M. Greenberg* of counsel) for appellant. I. Kirk Hanley’s kidnapping conviction must be dismissed because it is based upon the same conduct as, and is incidental to, his conviction for reckless endangerment. (*People v Cassidy*, 40 NY2d 763; *People v Geaslen*, 54 NY2d 510; *People v Gonzalez*, 80 NY2d 146; *People v Cain*, 76 NY2d 119; *People v Leonard*, 19 NY3d 323; *People v Smith*, 47 NY2d 83; *People v Rodriguez*, 70 NY2d 523; *People v Miles*, 23 NY2d 527.) II. Kirk Hanley did not forfeit his kidnapping merger claim by pleading guilty to the indictment, and the merger issue may be raised for the first time on appeal. (*People v Patterson*, 39 NY2d 288; *People v Hansen*, 95 NY2d 227; *People v Plunkett*, 19 NY3d 400; *People v Brown*, 156 AD2d 204; *People v Plummer*, 122 AD2d 285; *People v Rios*, 60 NY2d 764; *People v Ahmed*, 66 NY2d 307; *Johnson v Zerbst*, 304 US 458; *People v Taylor*, 65 NY2d 1; *People v Morales*, 148 AD2d 325.)

*Cyrus R. Vance, Jr.*, District Attorney, New York City (*Gina Mignola* and *Alan Gadlin* of counsel), for respondent. Defendant’s merger doctrine claim is unpreserved because he never raised it before the trial court, having forfeited the claim by his guilty plea, and cannot provide any basis for relief on the incomplete record available. In any event, kidnapping was not incidental because defendant’s main objective was to take a woman hostage to avoid capture by the police. (*People v Gonzalez*, 80 NY2d 146; *People v Bussey*, 19 NY3d 231; *People v Cassidy*, 40 NY2d 763; *People v Becoats*, 17 NY3d 643; *People v*

*Hawkins*, 11 NY3d 484; *People v Martin*, 50 NY2d 1029; *People v Grega*, 72 NY2d 489; *People v Michael*, 48 NY2d 1; *People v Kruppenbacher*, 81 AD3d 1169.)

#### OPINION OF THE COURT

GRAFFEO, J.

The issue in this appeal is whether a defendant charged with kidnapping and another offense must preserve his argument that the kidnapping count merged with the other crime. We hold that preservation is required because the mode of proceedings exception is not applicable to such a claim.

In 2008, defendant Kirk Hanley was a 21-year-old college student attending City College in Manhattan. Defendant had a history of mental health problems and in his journal he stated that he admired notorious mass murderers such as Timothy McVeigh and the Columbine killers. His fantasies took a step toward reality in April 2008 when defendant launched a plot to commit a school shooting at City College so that he could “die in a blaze of glory.” In furtherance of his plan, defendant acquired a six-shot, .44 caliber revolver and two interchangeable six-shot cylinders that would allow him to fire 18 bullets without the need to reload. He explained in his journal that he wanted to kill at least five persons at the school in hopes of “trigger[ing] a race war.”

In furtherance of his plan, defendant loaded the gun and cylinders with bullets and headed to City College. There he met a female acquaintance near the school’s financial aid office and revealed his intentions to her. Defendant showed her the gun and handed her two suicide notes that he had written. Upon hearing defendant’s disturbing disclosure, she told defendant that she had to go into the financial aid office, where she immediately divulged defendant’s plan to a school employee. The police were summoned and arrived quickly at the scene.

As the police officers approached defendant, he brandished the fully-loaded handgun, yanked a nearby woman out of her seat, pointed the pistol at her head and threatened to kill her if anyone moved. Defendant begged the police to shoot him and, when that didn’t occur, he freed the hostage and pointed the gun at himself. Two police officers eventually convinced defendant to relinquish the firearm. When taken into custody, defendant reiterated his desire for the police to kill him and declared that the Columbine killers were his heroes.

A grand jury indicted defendant for second-degree kidnapping, two counts of second-degree weapon possession and first-degree reckless endangerment. After extensive psychiatric evaluations, defendant was found competent to proceed to trial. Defense counsel filed a notice of intent to present psychiatric evidence.

Instead of proceeding to trial, defendant abandoned his potential defenses and pleaded guilty to the indictment after the court promised to impose a determinate prison sentence between 12 and 15 years on the kidnapping charge, with five years of postrelease supervision, together with lesser concurrent sentences on the remaining offenses. During the plea colloquy, defendant admitted that he “held another person at gunpoint against [her] will.” The court sentenced defendant to an aggregate prison term of 14 years and five years of postrelease supervision.<sup>1</sup>

On appeal, defendant sought reversal of the kidnapping conviction, arguing that his restraint of the female hostage was allegedly incidental to the conduct constituting reckless endangerment and, therefore, the kidnapping count “merged” with the reckless endangerment offense. The Appellate Division declined to address the merger theory since defendant’s entry of a guilty plea forfeited this claim and the lack of a trial record rendered the issue unreviewable (85 AD3d 659 [2011]). A Judge of this Court granted defendant leave to appeal (18 NY3d 994 [2012]) and we now affirm.

As a general rule, our “Court does not consider claims of error not preserved by appropriate objection in the court of first instance” (*People v Becoats*, 17 NY3d 643, 650 [2011], *cert denied* 566 US —, 132 S Ct 1970 [2012]). A narrow exception exists for “so-called ‘mode of proceedings’ errors” (*People v Kelly*, 5 NY3d 116, 119 [2005]). The exception encompasses only “the most fundamental flaws” (*People v Becoats*, 17 NY3d at 651) that implicate “jurisdictional matters . . . or rights of a constitutional dimension that go to the very heart of the process” (*People v Parilla*, 8 NY3d 654, 659 [2007] [internal quotation marks omitted]; see *People v Patterson*, 39 NY2d 288, 295-296 [1976],

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1. The sentence consisted of 14 years (along with five years of postrelease supervision) for kidnapping; seven years (and five years of postrelease supervision) for each count of weapon possession; and 1 to 3 years for reckless endangerment.

*affd* 432 US 197 [1977]).<sup>2</sup> Aside from this “tightly circumscribed class” of claims (*People v Kelly*, 5 NY3d at 120), we have consistently held that other types of legal issues—including most “errors of constitutional dimension” (*People v Alvarez*, 20 NY3d 75, 81 [2012])—must be preserved in the trial court.

Defendant concedes that he did not preserve his merger argument in Supreme Court but maintains that we should review its merits because the failure to apply the merger doctrine constitutes a mode of proceedings error premised on due process and double jeopardy concerns. The People dispute this contention, claiming that preservation should apply since the merger doctrine is a judicially-created maxim that is nonjurisdictional in nature and does not affect any fundamental constitutional protections or the integrity of the criminal proceeding.

From a historical perspective, the crime of kidnapping had a broad reach because it included “any restraint” (*People v Levy*, 15 NY2d 159, 164 [1965], *cert denied* 381 US 938 [1965]). As a result, it could “literally overrun several other crimes”—most notably robbery or rape—“since detention and sometimes confinement, against the will of the victim, frequently accompany” those offenses (*id.*). When *Levy* was decided, the minimum sentence for kidnapping was 20 years to life, a punishment more severe than that permitted for rape or robbery (*see id.*). Hence, prosecutors were able to charge a defendant with kidnapping “in order to expose him to the heavier penalty” even if the underlying criminal conduct constituted a robbery, rape or some other offense carrying a lesser term of incarceration (*People v Cassidy*, 40 NY2d 763, 765 [1976]).

This Court created the merger doctrine to rectify this problem of overcharging (*see People v Levy*, 15 NY2d at 164-165). The aim of merger is to prohibit a “‘conviction for kidnapping based on acts which are so much the part of another substantive crime that the substantive crime could not have been committed

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**2.** Examples include: jurisdictional issues (*see e.g. People v Correa*, 15 NY3d 213, 222 [2010]; *People v Pierce*, 14 NY3d 564, 570 n 2 [2010]; *People v Kalin*, 12 NY3d 225, 229 [2009]; *People v Carvajal*, 6 NY3d 305, 312 [2005]); double jeopardy (*see People v Williams*, 14 NY3d 198, 220-221 [2010], *cert denied* 562 US —, 131 S Ct 125 [2010]); constitutional speedy trial (*see People v Blakley*, 34 NY2d 311, 315 [1974]); shifting the People’s burden of proof to the defense (*see People v Patterson*, 39 NY2d at 296); delegation of a judicial function (*see People v Ahmed*, 66 NY2d 307, 310-311 [1985]); prohibiting the defense from meaningful participation in the criminal proceeding (*see People v O’Rama*, 78 NY2d 270, 279 [1991]); and the imposition of an illegal sentence (*see People v Samms*, 95 NY2d 52, 56 [2000]).

without such acts' ” and independent criminal responsibility for kidnapping may not fairly be attributed to the accused (*People v Bussey*, 19 NY3d 231, 237 [2012], quoting *People v Cassidy*, 40 NY2d at 767). Although each case should be considered independently, a kidnapping is generally deemed to merge with another offense only “where there is minimal asportation immediately preceding” the other crime or “where the restraint and underlying crime are essentially simultaneous” (*People v Gonzalez*, 80 NY2d 146, 153 [1992]). But where “the abduction and underlying crime are discrete” or “the manner of detention is egregious, regardless of other considerations,” there is no merger and the kidnapping conviction should be sustained (*id.*).

Applying this precedent, we believe that the merger doctrine does not fit within the purpose of the mode of proceedings exception to the preservation rule. Merger is a judicially-devised concept premised on fundamental fairness and an aversion to prosecutorial abuse. It is designed to prevent inordinately punitive sentences (*see People v Levy*, 15 NY2d at 164), but it is not jurisdictional in nature and does not implicate any fundamental constitutional concerns that strike at the core of the criminal adjudicatory process. As such, it is not akin to the types of claims that have been classified as mode of proceedings errors.

In light of our case law on preservation, all four Appellate Divisions have concluded that a merger claim must be raised in the trial court (*see e.g. People v Leiva*, 59 AD3d 161 [1st Dept 2009], *lv denied* 12 NY3d 818 [2009]; *People v Rambali*, 27 AD3d 582, 583 [2d Dept 2006], *lv denied* 7 NY3d 761 [2006]; *People v Kruppenbacher*, 81 AD3d 1169, 1170 [3d Dept 2011], *lv denied* 17 NY3d 797 [2011]; *People v Nelson*, 57 AD3d 1441, 1442 [4th Dept 2008]). We employed a similar rationale in *People v Grega* (72 NY2d 489, 497 n 2 [1988]). Defendant has offered no compelling justification for deviating from this established view and we see no valid reason to do so. Consequently, because the preservation rule applies to a merger claim in a kidnapping prosecution, defendant’s failure to assert the claim in Supreme Court precludes review by our Court (*see* CPL 470.05 [2]; 470.35 [1]).<sup>3</sup>

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3. In light of our preservation determination, it is unnecessary for us to consider whether a guilty plea forfeits a merger claim (*see generally People v Konieczny*, 2 NY3d 569, 573-574 [2004] [a guilty plea generally forfeits appellate review of nonjurisdictional defects in the underlying proceedings]) or whether merger can be raised prior to a guilty verdict (*see People v Morales*, 148 AD2d 325, 326-327 [1st Dept 1989]).



Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges READ, SMITH, PIGOTT and RIVERA concur.

Order affirmed.

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[987 NE2d 272, 964 NYS2d 495]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v KEITH A. ADAMS, Appellant.

Argued February 13, 2013; decided March 28, 2013

### SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Monroe County Court (Vincent M. Dinolfo, J.), entered October 26, 2011. The County Court affirmed a judgment of the Rochester City Court (Stephen D. Aronson, J.), which had convicted defendant, upon a jury verdict, of aggravated harassment in the second degree.

### HEADNOTE

**District and Prosecuting Attorneys — Disqualification — Unacceptably Great Appearance of Impropriety — Sitting Judge as Complainant in Criminal Matter**

In a prosecution resulting in defendant's conviction of aggravated harassment in the second degree for sending a sitting city court judge and ex-paramour three offensive text messages, a significant appearance of impropriety was created requiring disqualification of the local District Attorney's office, where that office failed to take steps to dispel the appearance of inappropriate disparate treatment. Although no constitutional right to a plea bargain exists, an appearance of impropriety may arise when the record provides an objective basis to question whether the prosecutor is exercising pretrial prosecutorial discretion in an evenhanded manner, based on the merits of the case or other legitimate prosecutorial concerns. Despite protracted plea negotiations, the District Attorney's office did not offer defendant a reduced charge or agree to a plea that included a favorable sentence and while this alone would not be enough to raise an appearance of impropriety, other aspects of the record did. Defendant's original counsel from the Public Defender's office, who had represented defendants in cases involving the District Attorney's office for more than a decade, averred that he had never before seen the office take such a hard-line position in a case involving comparable charges and a similar defendant. Furthermore, the District Attorney's office replied with nothing more than conclusory denials, failing to rebut the allegations with even a single example of a comparable case it had similarly refused to resolve. Here, while no actual impropriety occurred, there was an unacceptably great appearance of impropriety—the appearance that the District Attorney's office refused to accept a reduced charge because the complainant was a sitting judge who demanded that the matter go to trial, rather than because a trial was, in its own disinterested judgment, appropriate.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Criminal Law § 639; AM JUR 2d, Prosecuting Attorneys § 24.

CARMODY-WAIT 2d, Conduct of Trial § 190:49.  
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) § 13.2.  
NY JUR 2d, Criminal Law: Procedure §§ 1494, 2607.

**ANNOTATION REFERENCE**

See ALR Index under Prosecuting Attorneys.

**FIND SIMILAR CASES ON WESTLAW®**

Database: NY-ORCS

Query: disqualif! /6 district /2 attorney & appearance /3  
impropriety & complainant /s judge

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**POINTS OF COUNSEL**

*Timothy P. Donaher, Public Defender, Rochester (David R. Juergens of counsel)*, for appellant. I. The mandatory legal relationship between the prosecutor (the Monroe County District Attorney) and the complainant (a sitting Rochester City Court Judge) created a per se conflict of interest (the appearance of impropriety itself), and the motion court erred by refusing to grant defendant's request for a special prosecutor. (*Matter of Schumer v Holtzman*, 60 NY2d 46; *Berger v United States*, 295 US 78; *Matter of Curry v Hosley*, 86 NY2d 470; *People v Zimmer*, 51 NY2d 390; *People v Fielding*, 158 NY 542; *People v Di Falco*, 44 NY2d 482; *People v Baker*, 99 AD2d 656; *People v Shinkle*, 51 NY2d 417; *People v Schrager*, 74 Misc 2d 833; *Matter of Brostoff v Berkman*, 79 NY2d 938.) II. Based upon the wishes of the complainant (a sitting Rochester City Court Judge), the Monroe County District Attorney refused to offer defendant a plea to a reduced charge. This conduct caused actual prejudice to defendant arising from a demonstrated conflict of interest, and the motion court erred by denying his request for a special prosecutor. (*Weatherford v Bursey*, 429 US 545; *People v Urbaz*, 10 NY3d 773; *People v Dietze*, 75 NY2d 47; *People v Shack*, 86 NY2d 529; *People v Duran*, 25 Misc 3d 1210[A], 2009 NY Slip Op 52020[U]; *People v Seaberg*, 74 NY2d 1; *People v Selikoff*, 35 NY2d 227; *Matter of Sedore v Epstein*, 56 AD3d 60; *Kinberg v Kinberg*, 48 AD3d 387; *People v Robinson*, 27 Misc 3d 635.) III. The motion court erred when it denied defendant's request for the appointment of a special prosecutor without conducting any hearing on his assertion that the prosecutor was improperly treating him more severely than similarly-situated defendants. (*People v Gruden*, 42 NY2d 214; *People v Cahill*, 2 NY3d 14; *People v Eboli*, 34 NY2d 281; *People v Cruz*, 55 AD2d 921.)

*Sandra Doorley, District Attorney, Rochester (Kelly Wolford and Leslie E. Swift of counsel), for respondent.* There should be another affirmance because defendant was properly refused a special prosecutor as correctly found by County Court on appeal. (*People v Keeton*, 74 NY2d 903; *People v Gray*, 86 NY2d 10; *People v Thomas*, 50 NY2d 467; *People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *People v Michael*, 48 NY2d 1; *People v Martin*, 50 NY2d 1029; *People v Carncross*, 14 NY3d 319; *Matter of Holtzman v Goldman*, 71 NY2d 564; *People v Gilmour*, 98 NY2d 126; *Matter of Johnson v Pataki*, 91 NY2d 214.)

#### OPINION OF THE COURT

PIGOTT, J.

On September 20, 2009, complainant, a sitting Rochester City Court Judge, accused defendant, her neighbor and ex-paramour, of committing a crime by sending her three offensive text messages by cell phone earlier that day. The messages were vulgar and personal in nature, and unrelated to complainant's judicial duties. Defendant was charged, by way of an information/complaint filed in Rochester City Court, with two misdemeanor counts of aggravated harassment in the second degree (Penal Law § 240.30 [1] [a], [b]). All the Rochester City Court Judges recused themselves from the case. A Monroe County Court Judge presided over the arraignment.

Almost two months elapsed, and no plea bargain could be reached. At this point, at defense counsel's request, the case returned to Rochester City Court, where a visiting judge from a neighboring county was assigned, without objection, to preside over pretrial hearings in City Court. The parties remained at an impasse, despite numerous efforts by defense counsel to reach a plea deal.

In January 2010, the Public Defender filed an omnibus motion including a request that the Monroe County District Attorney be disqualified "on the grounds of actual prejudice and the existence of a conflict of interest" and that a special prosecutor be appointed. The motion also requested the assignment of new defense counsel, on the basis of the conflicting duties of the Public Defender to cross-examine complainant vigorously and to represent indigent clients seeking favorable treatment from her in City Court.

City Court granted the request for the assignment of new defense counsel; the Public Defender's office was relieved and an attorney from a neighboring county was assigned to represent

defendant. However, defendant's motion to disqualify the Monroe County District Attorney's office and for appointment of a special prosecutor, pursuant to County Law § 701 (1), was denied, without prejudice to the filing of such a motion in County Court.

The new defense counsel spoke with the District Attorney's office regarding a possible settlement of the case, in which defendant would plead guilty to harassment in the second degree, a violation, in return for a sentence that would include 40 hours' community service and psychiatric treatment. As defense counsel later recalled their conversation, the prosecutor told him that, while in most cases this would be an adequate resolution, he was rejecting the offer "due to the position of the victim." Defense counsel then spoke with complainant herself, who told him that she was "not willing to reduce the charges" and "wanted to go to trial." No plea offers were extended to defendant.

In February 2010, defendant renewed his disqualification motion, in County Court, alleging prejudice and the appearance of impropriety. Defendant contended "that the District Attorney's office is in a conflict of interest position; to wit: By giving undue weight to the wishes of the victim in screening their case, the District Attorney's office is no longer acting as a fair and impartial official."

Counsel recounted the communications he had had with the District Attorney's office in which the prosecutor stated, in essence, that complainant was unwilling to accept a reduced charge. In an accompanying affidavit, defendant's original counsel from the Public Defender's office stated that, in his view, the District Attorney's office was treating complainant's wishes much differently than it would any other victim's. The original defense counsel pointed out that the District Attorney's office, like his own office, appears before the complainant judge frequently each day and "would prefer not to engender any hostility from her." He opined that the District Attorney's office was

"forced to be an advocate for her, . . . beyond what they would normally do were she not a judge . . . In any other case, the District Attorney's Office would have offered an ACD or violation with an Order of Protection. However, the ADA assigned to this matter has said that after speaking with the complainant,

they would make no offer. In my twelve years of experience handling criminal cases in this county, I have never seen a similarly situated defendant receive no offer of an ACD or Violation. The District Attorney's office clearly feels constrained in how they can handle this matter due to the position of the complainant."

In response, though generally denying the allegation that defendant was being singled out for harsh treatment, the District Attorney's office did not specifically rebut the allegation that it consistently offered to accept pleas to a reduced charge in comparable cases. Nor did it offer an example of any other circumstance when it had refused to offer a plea to a violation or agree to dispose of the case by ACD in a comparable misdemeanor case.

County Court denied defendant's motion for the appointment of a special prosecutor. The case returned to City Court, where the visiting judge tried once more to facilitate a plea settlement. These efforts were unsuccessful and the case proceeded to a jury trial in City Court. Defendant was convicted of one count of aggravated harassment in the second degree. City Court sentenced defendant to time served and a one-year conditional discharge; an order of protection was filed.

Defendant appealed to County Court, which affirmed the judgment of conviction. A Judge of this Court granted defendant leave to appeal and we now reverse.

"The courts, as a general rule, should remove a public prosecutor *only* to protect a defendant from actual prejudice arising from a demonstrated conflict of interest or a substantial risk of an abuse of confidence" (*Matter of Schumer v Holtzman*, 60 NY2d 46, 55 [1983] [emphasis added]). The latter phrase refers to the "opportunity for abuse of confidences entrusted to [an] attorney" (*People v Shinkle*, 51 NY2d 417, 420 [1980], cited in *Schumer*). In general, "[t]he objector should demonstrate actual prejudice or so substantial a risk thereof as could not be ignored" (*Schumer*, 60 NY2d at 55).

However, in rare situations, the appearance of impropriety itself is a ground for disqualification, as our case law recognizes, when the appearance is such as to "discourage[ ] public confidence in our government and the system of law to which it is dedicated" (*People v Zimmer*, 51 NY2d 390, 396 [1980]). In a case of that nature, "[d]efendant[s], and indeed the public at large, are entitled to protection against the appearance of



impropriety” (*Shinkle*, 51 NY2d at 421). We are persuaded by the unique circumstances that this is such a case.

Although no constitutional right to a plea bargain exists (*see Lafler v Cooper*, 566 US —, —, 132 S Ct 1376, 1395 [2012]), an appearance of impropriety may arise when the record provides an objective basis to question whether the prosecutor is exercising pretrial prosecutorial discretion in an evenhanded manner, based on the merits of the case or other legitimate prosecutorial concerns. Here, while we do not find that any actual impropriety occurred, there is an unacceptably great appearance of impropriety—the appearance that the District Attorney’s office refused to accept a reduced charge because the complainant was a sitting judge who demanded that the matter go to trial, rather than because a trial was, in its own disinterested judgment, appropriate.

The complainant was a City Court Judge who had the authority to preside over cases involving this District Attorney’s office, and the criminal charges were unrelated to her official position, so that her status as a judge should not have been a factor in the resolution of the case. Nor was there anything unique or unusual about the charges, since they involved communications between two people who had formerly been in an intimate relationship—a scenario frequently seen in harassment cases. However, despite protracted and repeated plea negotiations, the District Attorney’s office did not offer defendant a reduced charge or agree to a plea that included a favorable sentence, such as an ACD, community service, or the like. While this alone would not be enough to raise an appearance of impropriety, there are other aspects of the record that do. Defendant’s original counsel from the Public Defender’s office, who had represented defendants in cases involving this District Attorney’s office for more than a decade, averred that he had never before seen the office take such a hard-line position in a case involving comparable charges and a similar defendant. Although provided ample opportunity to respond, the District Attorney’s office replied with nothing more than conclusory denials, failing to rebut the allegations with even a single example of a comparable case it had similarly refused to resolve with an ACD or a plea to a violation. Because the District Attorney’s office failed to take steps to dispel the appearance of inappropriate disparate treatment, we conclude that this is one of those rare cases in which a significant appearance of impropriety was created, requiring disqualification.

Accordingly, the order of County Court should be reversed and the case remitted to Rochester City Court for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and RIVERA concur.

Order reversed and case remitted to Rochester City Court for further proceedings in accordance with the opinion herein.

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[987 NE2d 276, 964 NYS2d 499]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant-Respondent,  
v GERARD IPPOLITO, Also Known as GERALD IPPOLITO,  
Respondent-Appellant.

Argued February 6, 2013; decided April 2, 2013

### SUMMARY

CROSS APPEALS, by permission of an Associate Judge the Court of Appeals and by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered November 10, 2011. The Appellate Division modified, on the law, a judgment of the Monroe County Court (Alex R. Renzi, J.), which had convicted defendant, upon a jury verdict, of grand larceny in the second degree and criminal possession of a forged instrument in the second degree (43 counts). The modification consisted of reversing the parts of the judgment convicting defendant of criminal possession of a forged instrument in the second degree under counts 2 through 15, 17 through 26, and 28 through 43 of the indictment and dismissing those counts of the indictment. The Appellate Division affirmed the judgment as modified and remitted the case to County Court for a hearing to determine the amount of restitution.

*People v Ippolito*, 89 AD3d 1369, affirmed.

### HEADNOTES

#### **Crimes — Possession of Forged Instrument — Sufficiency of Evidence — Checks Endorsed Pursuant to Power of Attorney**

1. In the prosecution of defendant, an accountant who had received from an elderly client a power of attorney (POA) granting him unlimited powers to act in her name, place and stead, for his alleged theft of the client's money by making checks out to her or obtaining bank checks made out to her from a business checking account he had set up using her money, endorsing the checks in her name without indicating the POA relationship and depositing the proceeds into his own accounts, the evidence was insufficient to support his conviction for 40 counts of second-degree criminal possession of a forged instrument based on the checks he endorsed. A person is guilty of second-degree criminal possession of a forged instrument "when, with knowledge that it is forged and with intent to defraud, deceive or injure another, he utters or possesses any forged instrument" (Penal Law § 170.25). A written instrument, such as a check, is forged when it is "falsely made," i.e., where it "purports to be an authentic creation of its ostensible maker or drawer, but . . . is not such either because the ostensible maker or drawer is fictitious or because, if real, he did not authorize the making or drawing thereof" (Penal Law § 170.00 [4], [7]). During the period the POA was in effect, the preferred way for an agent to execute an instrument in the name of the principal was to

add his own name as agent, but the writing of the name of the principal alone was sufficient. Here, the POA, until revoked, vested defendant with the unlimited power to sign the client's name on written instruments. Thus, the checks could not have been forgeries.

**Crimes — Appeal — Preservation of Issue for Review — Failure to Object to Court's Procedure in Answering Juror Question**

2. In a criminal prosecution, defendant failed to preserve his claim that the trial judge committed reversible error when he answered a juror question posed at the beginning of the jury charge without soliciting comments from the parties. Counsel must be afforded an opportunity to suggest a meaningful response to any jury question arising during deliberations (*see* CPL 310.30). However, where a juror voices a question in open court before deliberations begin, defense counsel is required to make a timely objection. Here, defense counsel was present when the question was asked and answered, yet failed to object at that time, when the judge could have easily cured the claimed error.

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Agency §§ 146, 148; AM JUR 2d, Forgery §§ 5, 9, 13, 31, 33, 49, 60; AM JUR 2d, Trial §§ 1335–1337, 1340, 1341.

CARMODY-WAIT 2d, Jury Conduct and Deliberation §§ 201:17, 201:19, 201:20; CARMODY-WAIT 2d, Appeals in Criminal Cases § 207:18.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 24.9, 27.5.

McKINNEY'S, CPL 310.30; Penal Law §§ 170.00 (4), (7); 170.25.

NY JUR 2d, Agency and Independent Contractors §§ 71, 147; NY JUR 2d, Criminal Law: Procedure §§ 2822–2825, 3465; NY JUR 2d, Criminal Law: Substantive Principles and Offenses §§ 1123, 1126, 1144, 1145, 1147, 1149, 1154.

**ANNOTATION REFERENCE**

See ALR Index under Appeal and Error; Forgery; Jury Trials; Power of Attorney.

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Database: NY-ORCS

Query: possess! /4 forged /2 instrument /p power /3 attorney /p check

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**POINTS OF COUNSEL**

*Sandra Doorley, District Attorney, Rochester (Geoffrey A. Kaeuper and Leslie E. Swift of counsel), for appellant-respondent. A reversal is required to reinstate defendant's*

criminal possession of a forged instrument convictions which were supported by legally sufficient evidence that the subject checks were forged when they misrepresented the true identity of the ostensible maker by using the victim's unauthorized signature and also concealing the power of attorney relationship. (*People v Clyde*, 18 NY3d 145; *People v Bleakley*, 69 NY2d 490; *People v Cabey*, 85 NY2d 417; *People v Contes*, 60 NY2d 620; *People v Foster*, 64 NY2d 1144, 474 US 857; *People v Malizia*, 62 NY2d 755; *People v Hines*, 97 NY2d 56; *People v Franov*, 17 NY3d 58; *People v Shanley*, 196 NY 574; *Matter of Ferrara*, 7 NY3d 244.)

*Timothy P. Donaher*, Public Defender, Rochester (*James Eckert* of counsel), for respondent-appellant. I. The Appellate Division properly dismissed those counts convicting Mr. Ippolito of criminal possession of a forged instrument where he possessed an unlimited power of attorney from the complainant, signed her name, then possessed those instruments. The People's only argument in opposition to the defense's trial order of dismissal motion—that it was “customary” to add the letters “POA” to such a signature—was an inadequate basis upon which to affix criminal liability to the performance of acts which were expressly authorized by that power of attorney. (*People v Miller*, 70 NY2d 903; *People v Contes*, 60 NY2d 620; *Burton v PNC Bank, N.A.*, 12 AD3d 264; *People v Ditta*, 52 NY2d 657; *People v P.J. Video*, 68 NY2d 296; *People v Cannarozzo*, 62 AD2d 503; *People v Shanley*, 132 App Div 821; *People v Cunningham*, 2 NY3d 593; *People v Cullen*, 50 NY2d 168; *People v Williams*, 84 NY2d 925.) II. The trial court committed reversible error by answering a juror question from the jury box, without giving Mr. Ippolito an opportunity to give input into the answer before the answer was provided to the jury, after indicating that it was fully aware that it was following an improper procedure. (*People v O'Rama*, 78 NY2d 270; *People v Bonaparte*, 78 NY2d 26; *People v Malloy*, 55 NY2d 296; *People v Torres*, 227 AD2d 242; *People v Agosto*, 73 NY2d 963; *People v Lykes*, 81 NY2d 767; *People v Damiano*, 87 NY2d 477; *People v Kisoona*, 8 NY3d 129; *People v Cook*, 85 NY2d 928; *People v Collins*, 99 NY2d 14.)

#### OPINION OF THE COURT

READ, J.

At some point in 2003, Katherine M. L., who was in her mid-80s, was steered to defendant Gerard Ippolito, an accountant, to help her deal with delinquent property taxes on her Rochester residence. On June 27th of that year, she executed a statutory

short-form durable general power of attorney (the POA), which granted Ippolito unlimited powers to act in her “NAME, PLACE AND STEAD in any way which [she herself] could do, if [she] were personally present . . . to the extent that [she was] permitted by law to act through an agent” with respect to a long list of subjects, including “real estate transactions,” “banking transactions,” “tax matters,” and “all other matters.” The POA was recorded at the Monroe County Clerk’s Office on July 9, 2003.

Shortly after securing the POA, Ippolito set up a business checking account at HSBC Bank denominated “Eastside Professional Services<sup>[1]</sup> Special Escrow Account for Katherine M. [L.],” under his sole control, into which he funneled Katherine M. L.’s income from Social Security, a pension, and payments from two trusts. By the time Katherine M. L. revoked the POA on July 28, 2006, Ippolito had allegedly stolen at least \$696,000 from her. Additionally, he did not pay all required federal and state taxes on Katherine M. L.’s income while he was managing her affairs, which resulted in a tax liability of roughly \$500,000. Ippolito was accused of carrying out his thefts principally by making out checks to Katherine M. L. or obtaining bank checks made out to her from the HSBC account, endorsing these checks in her name, and depositing the proceeds into accounts he maintained at another bank. Ippolito did not indicate on the checks that he, rather than Katherine M. L., was the actual signer of her name.

The grand jury handed down a 46-count indictment charging Ippolito with one count of second-degree grand larceny, a class C felony (Penal Law § 155.40 [1] [the value of the property alleged to have been stolen exceeds \$50,000]), and 45 counts of second-degree criminal possession of a forged instrument (CPFI), a class D felony (Penal Law § 170.25), 42 of which related to the checks that he endorsed in Katherine M. L.’s name, and three of which involved other instruments (a certificate of incorporation and two specific powers of attorney). At Ippolito’s jury trial in September 2007, the People presented evidence that the customary practice when signing a principal’s name pursuant to a power of attorney was for the agent to sign his own name as well, along with the letters “POA”; they argued that Ippolito defrauded the bank by neglecting to do this. At the close of the People’s case and again at the close of proof, Ippolito’s

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1. “Eastside Professional Services” was the corporate name of Ippolito’s business.



attorney unsuccessfully sought a trial order of dismissal. He maintained that because the POA vested Ippolito with the legal right to sign Katherine M. L.'s name on the checks, his act in doing so was not forgery.

Just as the judge began to charge the jury, the following exchange occurred:

“TRIAL JUROR: Can I ask a question?”

“THE COURT: You’re not supposed to, but go ahead.

“TRIAL JUROR: I just want to know if we would have a copy of the law in the room.

“THE COURT: Good question. The answer to that is no. I’ll read it to you as many times as you request, but you cannot get a copy to go back there.”

The jury found Ippolito guilty on all counts of the indictment save two: count 16, which related to a check Ippolito endorsed by signing both “Eastside Prof Services Escrow Acct” and Katherine M. L.’s name; and count 27, which related to a check he endorsed by signing his own name in addition to Katherine M. L.’s. On October 31, 2007, the judge sentenced Ippolito as a second felony offender to 14½ to 29 years in prison, and ordered him to pay \$696,595.14 in restitution.

On appeal, Ippolito made three arguments: that the proof was legally insufficient to support his convictions of the 40 check-related crimes; that the judge committed reversible error by answering the juror’s question without consulting the parties; and that the judge was required to hold a hearing with respect to the amount of restitution. By decision dated November 10, 2011, the Appellate Division, with one Justice dissenting, reversed Ippolito’s 40 check-related CPFJ convictions and dismissed those counts of the indictment;<sup>2</sup> vacated the amount of restitution ordered and remitted for a hearing to determine the proper sum; and otherwise affirmed (89 AD3d 1369 [4th Dept 2011]).

The court concluded that the evidence was not legally sufficient to convict Ippolito of the 40 check-related crimes because

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2. Because of the way in which the judge directed the sentences to run, dismissal of these 40 counts did not alter the minimum or maximum term of the indeterminate sentence imposed on Ippolito.

“the ostensible maker of the checks, i.e., the victim, authorized the actual maker of the checks, i.e., defendant, to make the checks, ‘which purport[ ] to be [the] authentic creation[s]’ of the victim. Thus, it cannot be said that the checks in question were falsely made, although ‘recitals in the instrument may be false’ or defendant may have exceeded the scope of authority delegated to him by the victim” (*id.* at 1369-1370 [citations omitted]).

Citing Penal Law § 60.27 (2), the court further ruled that the judge was required to conduct a hearing to determine the amount of restitution upon Ippolito’s request and “irrespective of the level of evidence in the record” (*id.* at 1370 [internal quotation marks omitted]); and considered the alleged error in responding to the juror’s question to be unpreserved and, in any event, meritless.

The dissenting Justice disagreed only with the majority’s reversal of the 40 check-related CPFI convictions. In his view, the checks were forgeries because Katherine M. L. testified that she did not “give [Ippolito] permission” to sign her name on the individual checks, which “bore no indication that [he] was acting in a representative capacity or under the authority of a power of attorney”; and the jury “obviously concluded” as a factual matter “that [Ippolito] did not act under the [POA]—regardless of any authority that it may have conferred upon him” (*id.* at 1370-1371 [Carni, J., dissenting]).

The dissenting Justice granted the People’s motion for leave to appeal (18 NY3d 929 [2012]);<sup>3</sup> thereafter, a Judge of this Court granted Ippolito permission to appeal as well (18 NY3d 925 [2012]). We now affirm.

### I.

A person is guilty of second-degree CPFI “when, with knowledge that it is forged and with intent to defraud, deceive or injure another, he utters or possesses any forged instrument” (Penal Law § 170.25); and a written instrument, such as a check, is “forged” when “falsely made, completed or altered” (Penal Law § 170.00 [7]). A “falsely made” written instrument “purports to be an authentic creation of its ostensible maker or drawer, but . . . is not such either because the ostensible maker or drawer is fictitious or *because, if real, he did not authorize*

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3. On this appeal, the People do not contest the Appellate Division’s ruling that a hearing must be conducted to determine the amount of restitution.

the making or drawing thereof” (Penal Law § 170.00 [4] [emphasis added]).

The People assert that “[e]ach time [Ippolito] signed [Katherine M. L.’s] name, without indicating the POA relationship, and offered the check, he presented an instrument which purported to be what it was not, the personal act of [Katherine M. L.]” They liken this case (as did the dissent below) to *People v Shanley* (132 App Div 821 [1st Dept 1909], *affd on op below* 196 NY 574 [1909]), stating that in both instances “an agent sign[ed] the principal’s name without any POA notation thereby offering a false instrument as being the personal act and signature of the principal, and in turn obtaining proceeds to benefit himself.”

In *Shanley*, the defendant, an attorney, was convicted of first-degree forgery (former Penal Law § 884)<sup>4</sup> in signing and uttering as true an instrument satisfying a mortgage on which he admittedly signed the name of his client, Miss Julia A. Smith, and to which an acknowledgment was annexed. He received \$25,000 in discharge of the mortgage, and spent it for his own purposes. When the fraud was discovered, the defendant fled the state. He subsequently surrendered under an agreement that he would not be indicted for grand larceny.

According to the trial testimony of the commissioner of deeds, who took the acknowledgment, the defendant introduced him to “a lady, Miss Smith” (*id.* at 823). Although the commissioner

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4. Former section 884 provided, as relevant to *Shanley*, that “[a] person [was] guilty of forgery in the first degree who with intent to defraud, forges:

“1. A will or codicil of real or personal property, or the attestation thereof, or a deed or other instrument, being or purporting to be the act of another, by which any right or interest in property is or purports to be transferred, conveyed, or in any way charged or affected; or,

“2. A certificate of the acknowledgment or proof of a will, codicil, deed, or other instrument, which by law may be recorded or given in evidence when duly proved or acknowledged, made or purporting to have been made by a court or officer duly authorized to make such a certificate[.]”

Former Penal Law § 880, in turn, defined

“[t]he expressions ‘forge,’ ‘forged[,]’ and ‘forging,’ as used in [article 84 (Forgery)], [to] include false making, counterfeiting and the alteration, erasure, or obliteration of a genuine instrument, in whole or in part, the false making or counterfeiting of the signature, of a party or witness, and the placing or connecting together with intent to defraud different parts of several genuine instruments.”

“had never met that woman before,” and she did not sign the satisfaction piece in his presence, “she acknowledged it” (*id.* at 823-824). He added that this “Miss Julia A. Smith” was not the same person as the Miss Julia A. Smith whom he later met at the district attorney’s office, and who was present in the courtroom. The defendant disputed this. He testified that he reached Miss Smith on the telephone and asked her to tell the commissioner, who was in his office at the time, that it was “all right” for him to have signed her name on the mortgage satisfaction; and that after speaking with Miss Smith over the telephone, the commissioner certified that she had executed this document (*id.* at 823). Miss Smith denied that any such conversation took place.

As the Appellate Division recounted, the defendant

“having admitted that he signed the name Julia A. Smith to the satisfaction of the mortgage, and having attempted to justify the acknowledgment by his story of a telephonic acknowledgment to [the commissioner, then sought] to justify this transaction upon the ground that he was acting under a power of attorney” (*id.* at 824).

Miss Smith had indeed given the defendant a power of attorney, which he contended was sufficiently broad so as to permit him to sign her name to the satisfaction of mortgage and to procure the acknowledgment.

The court explained that

“[w]hatever authority may have been conferred by that power of attorney[,] it certainly did not authorize the execution and acknowledgment of the instrument set up in the indictment. That instrument, upon its face, was a forgery; *upon its face it purported to bear the signature of Julia A. Smith, and that she had personally acknowledged it before the commissioner of deeds.* As it is conceded that she did not sign it, and as the evidence establishes that she did not appear personally before the commissioner of deeds and acknowledge the same, the People established in the first instance that it was a forged instrument. The burden of explanation then fell upon the defendant, who undertook to explain *dehors* the instrument that it had been executed by authority, and, therefore, he was not guilty of forgery” (*id.* at 829 [emphasis added]).

The Appellate Division, in affirming Shanley's conviction, considered his agency defense unavailing because

“as [a] matter of law . . . [the] power of attorney was not authority for the execution and delivery of the satisfaction of the mortgage and the acknowledgment thereto . . . . The whole instrument was a forgery; it purported to be what it was not, viz., *the personal act of Julia A. Smith in both signing and appearing personally before the commissioner of deeds and acknowledging her signature*” (*id.* at 830 [emphasis added]).

Although the People characterize *Shanley* as a “critical Court of Appeals case” that is “right on point both factually and legally,” this is simply not so. *Shanley* is factually very different from this case, involving, as it does, the execution of an acknowledgment falsely verifying that Miss Smith personally signed the satisfaction of mortgage. Additionally, there was some dispute as to the scope of the power of attorney, which is not the situation here. And further, when *Shanley* was decided New York's Penal Law did not define “false making,” whereas the revised Penal Law, adopted in 1965, clarifies that this term does not encompass documents whose making or drawing is authorized (*see* Penal Law § 170.00 [4]).

Finally, no matter what, if any, potency *Shanley* may retain as precedent, it does not, as the People claim, endorse the proposition that a written instrument is falsely made any time an agent signs the principal's name without indicating the principal-agent relationship. Precedent predating 1909 held that

“while it is the preferable way for an agent in executing any instrument in the name of the principal to add his own name as agent, so that the instrument may show by what person the signature was written, *still in law the writing of the name of the principal alone is sufficient*” (*Youngs v Perry*, 42 App Div 247, 248 [2d Dept 1899] [emphasis added]; *see also* 1 Williston on Contracts § 296 at 564 [1920] [“(T)hough it is desirable for the agent to indicate that the principal's name has been signed by the agent, and not by the principal personally, it is legally a sufficient execution to bind the principal if the agent, without disclosing in the body of the instrument or in the signature that the principal

was not acting personally signs the name of the principal”]; *id.* at 564 n 73 [commenting that the rule stated in *Wood v Goodridge* (60 Mass 117 [1850]), “that it should appear on the face of the instrument that it was executed by an agent and by virtue of authority delegated to him, cannot be supported”]).

In 2008, though, the legislature amended the General Obligations Law to mandate that agents engaging in a transaction where a handwritten signature is required must sign in a way that discloses the principal-agent relationship (*see* L 2008, ch 644; General Obligations Law § 5-1507 [1] [a]; *see also* General Obligations Law § 5-1507 [1] [b] [third parties do not incur any liability for accepting a handwritten signature that does not conform to the statutory requirements]).

[1] Here, the POA (until revoked) vested Ippolito with unlimited power to sign Katherine M. L.’s name on written instruments. As a result, the checks cannot have been forgeries (*see People v Cannarozzo*, 62 AD2d 503, 504 [4th Dept 1978, Simons, J.], *affd* 48 NY2d 687 [1979] [“(A) person does not ‘falsely make’ an instrument when he is authorized to execute it”]). Put another way, where the ostensible maker or drawer of a written instrument is a real person, a signature is not forged unless unauthorized (*see* Penal Law § 170.00 [4]). Since Ippolito was empowered to sign Katherine M. L.’s name at the times when he drew or endorsed the 40 checks at issue on this appeal, the People’s proof was legally insufficient to convict him of CPFI.

## II.

[2] Ippolito disputes his convictions for grand larceny and the three non-check-related counts of CPFI on the ground that the trial judge committed reversible error when he answered a juror’s question without first soliciting comments from the parties. As related earlier, just as the judge began to charge the jury a juror spoke up, asking whether jurors “would have a copy of the law” in the jury room, and the judge immediately answered that he would not permit this. Counsel must be afforded an opportunity to suggest a meaningful response to any jury question arising during deliberations (*see People v O’Rama*, 78 NY2d 270 [1991]; *see also* CPL 310.30 [a deliberating jury may request additional information or instruction “with respect



to any . . . matter pertinent to (its) consideration of the case . . . (and) the court . . . after notice to both the people and counsel for the defendant . . . must give such requested information or instruction as (it) deems proper”]). Whether or not section 310.30, as interpreted in *O’Rama*, applies in this situation, where a juror voices a question in open court before deliberations begin, Ippolito’s attorney was required to make a timely objection. He was present when the question was asked and answered, yet failed to object at that time, when the judge could have easily cured the claimed error (*see People v Ramirez*, 15 NY3d 824, 826 [2010]).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, SMITH and PIGOTT concur; Judge RIVERA taking no part.

Order affirmed.

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[987 NE2d 282, 964 NYS2d 505]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v ANTHONY  
GRIFFIN, Respondent.

Argued February 13, 2013; decided April 2, 2013

**SUMMARY**

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 15, 2011. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, New York County (Micki A. Scherer, J., at substitution of counsel; Edward J. McLaughlin, J., at plea and sentencing), which had convicted defendant, upon his plea of guilty, of robbery in the first degree and attempted robbery in the first degree, and (2) remanded the matter for further proceedings.

*People v Griffin*, 92 AD3d 1, affirmed.

**HEADNOTES**

**Crimes — Plea of Guilty — Forfeiture of Right to Raise Issues on  
Appeal — Discharge of Defense Counsel**

1. In a robbery prosecution which was marked by multiple adjournments initiated by both the People and defense, defendant's claim that the trial court improperly discharged his counsel was not forfeited by his guilty plea. Claims related to the integrity of the criminal justice system and rights of a constitutional dimension that go to the very heart of the process survive a guilty plea. A claim that removal of counsel was part of the trial court's disparate, unjustifiable treatment of defense counsel goes to the fundamental fairness of our system of justice. While the right to counsel of choice is qualified, and may cede, under certain circumstances, to concerns of the efficient administration of the criminal justice system, courts may not arbitrarily interfere with the attorney-client relationship. Defendant's claim that the court interfered with his representation by the Legal Aid Society implicated his plea and the plea bargaining process, a robust process in which Legal Aid was actively engaged immediately prior to removal. Defendant's claim and the constitutional right to counsel were close enough to immunize the claim from forfeiture by a guilty plea.

**Crimes — Right to Counsel — Improper Discharge of Defense  
Counsel by Court**

2. In a robbery prosecution which was marked by multiple adjournments initiated by both the People and defense, the Appellate Division did not err in concluding that the trial court abused its discretion and violated defendant's right to counsel by discharging defense counsel, who had requested an adjournment. The Appellate Division determined that defense counsel's request for an adjournment could have and should have been granted. Although such adjournments are strictly within the trial court's discretionary power, the Appellate Division characterized Supreme Court's denial as an "improvident exercise of discretion," thus substituting its own discretion for that of the

trial court. It cannot be said, given the record, that the Appellate Division abused its discretion, or otherwise committed an error of law.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 205, 646, 647; AM JUR 2d, Criminal Law §§ 670, 672, 1102, 1105.

CARMODY-WAIT 2d, Pleas and Plea Bargaining §§ 182:40, 182:48, 182:51; CARMODY-WAIT 2d, Right to Counsel §§ 184:103, 184:105, 184:178; CARMODY-WAIT 2d, Appeals in Criminal Cases §§ 207:171, 207:219.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.8, 21.3, 21.5, 21.6, 27.2, 27.5.

NY JUR 2d, Criminal Law: Procedure §§ 737, 745–747, 758, 871, 884, 1486, 3509, 3589, 3641, 3643.

### ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Attorneys; Guilty Plea.

### FIND SIMILAR CASES ON WESTLAW®

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### POINTS OF COUNSEL

*Cyrus R. Vance, Jr., District Attorney, New York City (Sheila O'Shea and Alan Gadlin of counsel), for appellant.* By pleading guilty, defendant forfeited his claim that the trial judge improperly relieved assigned counsel. In any event, the trial judge acted within her discretion in relieving the Legal Aid Society when it insisted that it should be relieved if it was not granted an adjournment the court found unwarranted. (*People v Hansen*, 95 NY2d 227; *People v Taylor*, 65 NY2d 1; *Blackledge v Perry*, 417 US 21; *People v Petgen*, 55 NY2d 529; *United States v Bohn*, 956 F2d 208; *Smith v Estelle*, 711 F2d 677; *Fields v Attorney Gen. of State of Md.*, 956 F2d 1290; *United States v Moussaoui*, 591 F3d 263; *Strickland v Washington*, 466 US 668; *People v Phillips*, 56 AD3d 1163.)

*Steven Banks, Legal Aid Society, New York City (Harold V. Ferguson, Jr., of counsel), for respondent.* I. This appeal must be dismissed because the Appellate Division's decision was not based on the law alone or upon the law and such facts which,

but for the determination of law, would not have led to reversal. (*People v Caban*, 14 NY3d 369; *People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *People v Gonzalez*, 68 NY2d 995; *People v Hinton*, 81 NY2d 867; *People v Schepis*, 86 NY2d 856; *People v Johnson*, 47 NY2d 124; *People v Washington*, 71 NY2d 916; *People v Butler*, 58 NY2d 1056; *People v Dercole*, 52 NY2d 956; *People v Tineo*, 64 NY2d 531.) II. The Appellate Division correctly determined that Justice Scherer violated respondent's constitutional right to counsel of choice when she unjustifiably relieved the Legal Aid Society as respondent's assigned counsel. (*People v Stith*, 69 NY2d 313; *People v Sawyer*, 57 NY2d 12; *People v Knowles*, 88 NY2d 763; *People v Childs*, 247 AD2d 319; *People v Arroyave*, 49 NY2d 264; *People v Espinal*, 10 AD3d 326; *People v Hansen*, 95 NY2d 227; *United States v Smith*, 618 F3d 657; *United States v Sanchez Guerrero*, 546 F3d 328.) III. The Appellate Division erred when it summarily rejected respondent's issue concerning the summary denial of his pro se motion to withdraw his guilty plea. (*People v Serrano*, 15 NY2d 304; *People v Tinsley*, 35 NY2d 926; *People v Frederick*, 45 NY2d 520; *People v Brown*, 14 NY3d 113; *People v Harris*, 61 NY2d 9; *People v Moissett*, 76 NY2d 909; *People v Nixon*, 21 NY2d 338; *People v Hill*, 204 AD2d 1015; *People v Leslie*, 98 AD2d 977; *People v Alicea*, 61 NY2d 23.)

#### OPINION OF THE COURT

RIVERA, J.

The People appeal an order of the Appellate Division concluding that the trial court improperly discharged defendant's counsel. The People argue that defendant's claim is forfeited by his guilty plea, and that the trial court properly invoked its discretion when it removed the Legal Aid Society. We reject the People's arguments, and affirm.

The five-month period after defendant's February 2006 arraignment on charges of attempted robbery (Penal Law §§ 110.00, 160.15 [4]) and robbery (Penal Law § 160.15 [4]) was marked by multiple adjournments, over the course of 15 appearances attended by a total of 10 different assistant district attorneys (ADAs), and defendant's assigned counsel, the Legal Aid Society. The case was adjourned for numerous reasons ranging from defendant's request to file pretrial motions, to the People's application for additional time to interview witnesses who were material to the prosecution's direct case. Supreme Court also accommodated the People's requests for adjournments related to the reassignment of a new ADA, and the

reassigned ADA's lack of preparation six weeks after reassignment because he admittedly "ha[d] not had an opportunity yet to meet with all the witnesses on the pattern robberies since the case was reassigned to him."

On July 10, 2006, one of several dates when the matter was set for hearing and trial, the ADA stated that the People were not ready and requested yet another adjournment until July 25. Following discussion regarding why the People were not ready, the court set July 25 as the new date for trial. Defendant's counsel then informed the court that he was leaving the Legal Aid Society, that he had conferred with the ADA, and that he was requesting a control date in the same week requested by the People so that a new Legal Aid attorney could be reassigned and prepare for trial. Supreme Court declined the request for a control date, and insisted that an attorney be immediately reassigned to meet with defendant and prepare for trial on July 25.

A supervisor from the Legal Aid Society, then present, asked to address the court, and argued in support of the request for an adjournment date that would allow for a new Legal Aid attorney to prepare for trial. He informed the court "[w]e're not going to be ready for trial on the next court date, and if you think that the Legal Aid Society should be relieved, you should do that." The supervisor sought to justify the request for adjournment based on the complex nature of the case, defendant's status as a mandatory persistent felon, the time spent on ongoing plea negotiations involving the supervisor, the assigned Legal Aid attorney, and the ADA, and the relatively recent resignation by the assigned attorney. The court again rejected the request for an adjournment, and relieved the Legal Aid Society over the supervisor's objections. Neither the ADA nor defendant spoke during this exchange.

After the assignment of 18-B counsel, and several more appearances and adjournments, the case was reassigned to a new judge in October 2006. On October 5, defendant pleaded guilty to robbery in the first degree and attempted robbery in the first degree, for a promised sentence of concurrent terms of 20 years to life. Defendant filed two pro se motions on October 13 seeking to withdraw his plea and have new counsel assigned. On October 19, the court denied defendant's motions and sentenced him to two concurrent terms of 20 years to life.

In a 3-2 decision, the Appellate Division reversed the conviction and remanded for further proceedings, concluding that

Supreme Court's "discharge of defendant's counsel without consulting defendant was an abuse of discretion and interfered with defendant's right to counsel" (92 AD3d 1, 3 [1st Dept 2011]). According to the majority, the court treated the parties differently, disparaging the Legal Aid Society while accommodating the People's numerous requests for adjournments. The dissent argued that in light of a trial court's broad discretion in handling its calendar, absent a showing of actual prejudice, the court did not improperly relieve Legal Aid, or otherwise interfere with an established attorney-client relationship. A Justice of the Appellate Division granted the People leave to appeal to this Court.

[1] The People assert that defendant forfeited his Sixth Amendment claim by pleading guilty. The Appellate Division rejected this argument, as do we.<sup>1</sup> "Not every claim is forfeited by a guilty plea" (*People v Taylor*, 65 NY2d 1, 5 [1985]). Claims related to the integrity of the criminal justice system, and "rights of a constitutional dimension that go to the very heart of the process," survive a guilty plea (*People v Hansen*, 95 NY2d 227, 230-231 [2000]; see also *Taylor*, 65 NY2d at 5 [a guilty plea does not "preclude certain rights of constitutional dimension"])). "The critical distinction is between defects implicating the integrity of the process, which may survive a guilty plea, and less fundamental flaws, such as evidentiary or technical matters, which do not" (*id.* at 231).

Here, the right to counsel is so deeply intertwined with the integrity of the process in Supreme Court that defendant's guilty plea is no bar to appellate review. A claim that removal of counsel was part of the court's disparate, unjustifiable treatment of defense counsel goes to the fundamental fairness of our system of justice. While the right to counsel of choice is qualified, and may cede, under certain circumstances, to concerns of the efficient administration of the criminal justice system, we have made clear that courts cannot arbitrarily interfere with the attorney-client relationship, and interference with that relationship for purpose of case management is not without limits, and is subject to scrutiny. In *People v Knowles* (88 NY2d 763

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1. The Appellate Division opinion lacks any specific discussion of forfeiture, but concluded that defendant's guilty plea did not result in a waiver of his claim, citing our decision in *People v Hansen* (95 NY2d at 230-231), a case decided on forfeiture grounds. While we explained in *Hansen* the distinction between waiver and forfeiture, we treat the Appellate Division's reliance on *Hansen* as a rejection of the People's forfeiture argument.



[1996]), which addressed a trial court's arbitrary refusal to allow cocounsel to sit at the defense table or cross-examine witnesses, we held that "in exercising its discretion to manage the courtroom, the court's interference with the defendant's established relationship with counsel must be justified by overriding concerns of fairness or efficiency—regardless of whether counsel is assigned or retained" (*id.* at 769).

The People's reliance on our decision in *People v Petgen* (55 NY2d 529 [1982]) is misplaced. In *Petgen*, we found that, as a result of his guilty plea, defendant forfeited his claim that counsel was ineffective where new counsel represented the defendant at the plea, and was aware of the prior attorney's asserted ineffectiveness. An ineffective assistance of counsel claim is not the legal equivalent to a claim based on deprivation of counsel of choice—even though both fall under the umbrella of the Sixth Amendment. Indeed, a counsel of choice violation cannot be cured by new counsel.

Furthermore, *Petgen* cannot support the People's argument that the plea forfeits a claim concerning the alleged taint of the process caused by the removal of counsel. In contrast to *Petgen*, where we concluded there was no suggestion that the ineffective assistance of counsel claim infected the plea (*id.* at 534-535), defendant's claim that the court interfered with his representation by the Legal Aid Society implicates the plea and the plea bargaining process, a robust process in which Legal Aid was actively engaged immediately prior to removal.

The choice of counsel's significant role in the plea and eventual disposition process has been recognized by the United States Supreme Court in *United States v Gonzalez-Lopez* (548 US 140 [2006]). The Court stated that

"the choice of attorney will affect whether and on what terms the defendant cooperates with the prosecution, plea bargains, or decides instead to go to trial. *In light of these myriad aspects of representation, the erroneous denial of counsel bears directly on the 'framework within which the trial proceeds'—or indeed on whether it proceeds at all*" (548 US at 150 [citation omitted and emphasis added]).

The Fifth and Seventh Federal Circuit Courts have both relied on *Gonzalez-Lopez* in finding that a deprivation of counsel claim survives a guilty plea (*see United States v Sanchez Guerrero*,

546 F3d 328, 331-332 [5th Cir 2008]; *United States v Smith*, 618 F3d 657, 663 [7th Cir 2010]).<sup>2</sup>

In holding that the claim is not forfeited, we do not decide that the removal of counsel in this case necessarily violated a constitutional right. However, the claim defendant makes here and the constitutional right to counsel are close enough to immunize the claim from forfeiture by a guilty plea.

We now turn to the People's argument that the Appellate Division erroneously concluded that the trial court abused its discretion in violation of the defendant's right to counsel. We also reject this argument.

[2] The Appellate Division determined that the Legal Aid Society's request for an adjournment could have and should have been granted. Such adjournments are strictly within the trial court's discretionary power (*People v Spears*, 64 NY2d 698, 699-700 [1984]; *People v Singleton*, 41 NY2d 402, 405 [1977]). Nevertheless, the Appellate Division characterized Supreme Court's denial as an "improvident exercise of discretion" (92 AD3d at 6), thus substituting its own discretion for that of the trial court (*see Spears*, 64 NY2d at 700).<sup>3</sup> We cannot say, on this record, that the Appellate Division abused its discretion, or otherwise committed an error of law (*People v Mahboubian*, 74 NY2d 174, 183 [1989]).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH and PIGOTT concur.

Order affirmed.

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2. The People seek to distinguish *Gonzalez-Lopez* and the federal circuit court decisions on the ground that those cases involved retained counsel, rather than assigned counsel, like the Legal Aid Society in this case. As discussed in this opinion, the right to counsel claim is inextricably intertwined with claims of different treatment in a way that we believe meaningfully places it outside the sphere of claims forfeited by a guilty plea, and implicates the entire criminal justice system. That claim survives the guilty plea in this case, regardless of defendant's ability to afford counsel, and regardless of whether counsel is assigned (*see Knowles*, 88 NY2d 763).

3. The Appellate Division could not have reversed, but for its determination of forfeiture, an issue of law, and thus the Court has jurisdiction of this appeal (CPL 450.90 [2] [a]).

[988 NE2d 488, 965 NYS2d 752]

LISA M. OAKES, Individually and as Executrix of DANIEL C. OAKES, Deceased, Respondent, v RAJNIKANT PATEL, M.D., et al., Appellants.

Argued February 14, 2013; decided April 2, 2013

### SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered August 19, 2011. The Appellate Division affirmed a judgment of the Supreme Court, Erie County (Timothy J. Drury, J.), which had awarded plaintiffs money damages upon a jury verdict. The following question was certified by the Appellate Division: “Was the order of this Court entered August 19, 2011, properly made?”

*Oakes v Patel*, 87 AD3d 816, modified.

### HEADNOTES

#### **Appeal — Preservation of Issue for Review — Claim That Additur was Excessive**

1. Defendants were not required, in order to preserve their claim before the Appellate Division that the trial court’s additur was excessive, to identify a specific amount that they considered reasonable. Defendants made clear in opposing plaintiffs’ motion for a new trial their view that the first jury’s award was reasonable, and that an additur in *any* amount would be inappropriate. The Appellate Division regularly reviews, and sometimes accepts, arguments that an additur or remittitur granted by a trial court is either excessive or inadequate. Requiring an appellant to specify a more reasonable increase or decrease in the damages would serve little purpose.

#### **Damages — Inadequate and Excessive Damages — Challenge to Amount of Additur**

2. Defendants’ claim that the trial court’s additur was excessive was not properly before the Appellate Division on defendants’ appeal following the second trial that took place after defendants rejected the trial court’s additur. A party that wants to challenge the amount of an additur or remittitur on appeal must do so before a new trial takes place. The chief benefit of the devices known as additur and remittitur is that, when they are accepted, they spare the parties and the court the burden and expense of a second trial. Deferring appellate review until after the second trial destroys that benefit. Such a deferral also gives the party opposing the additur or remittitur an unjustified tactical advantage: if successful on appeal, that party can choose whether to accept the new amount of the additur or remittitur, already knowing what the second jury has awarded. Moreover, review of an additur or remittitur after final judgment is inconsistent with the rule that an order granting a new trial—the only kind of order that can include an additur or remittitur—is not one that “necessarily affects” a final judgment and so is not brought up for review when the final judgment is appealed (*see* CPLR 5501 [a] [1]). If there is

not time for appellate review before retrial, and neither the trial court nor the appellate court will grant a stay, the party's remedy is to reject the proffered stipulation and retry the case, as defendants did here.

**Appeal — Matters Reviewable — Denial of Motion to Amend Answer to Assert Defense of Release**

3. The trial court's order denying a motion made by one of the defendants in plaintiffs' medical malpractice action to amend its answer to assert a defense of release was a nonfinal decision that necessarily affected the final judgment and therefore was brought up for review on an appeal from the final judgment. Under CPLR 5501 (a) (1) an appeal from a final judgment brings up for review a nonfinal judgment or order only when the nonfinal decision "necessarily affects the final judgment." Defendant's motion to amend, if granted, would have added a new defense to the case—one that, arguably, would have significantly changed the case's result. When an order granting or denying a motion to amend relates to a proposed new pleading that contains a new cause of action or defense, the order necessarily affects the final judgment.

**Appeal — Matters Reviewable — Grant or Denial of Motion to Amend Pleading**

4. The grant or denial of a motion to amend a pleading may be reviewable on appeal from a final judgment. There are times when such a ruling "necessarily affects" the final judgment under any common sense understanding of those words (CPLR 5501 [a] [1]). When an order granting or denying a motion to amend relates to a proposed new pleading that contains a new cause of action or defense, the order necessarily affects the final judgment. *Best v Yutaka* (90 NY2d 833, 834 n [1997]) and *Arnav Indus., Inc. Retirement Trust v Brown, Raysman, Millstein, Felder & Steiner* (96 NY2d 300, 303 n 1 [2001]), to the extent they hold otherwise, are overruled.

**Pleading — Amendment — Denial of Motion to Amend Answer to Assert Defense of Release**

5. The trial court did not abuse its discretion in denying a motion by one of the defendants in plaintiffs' medical malpractice action, made between the first and second trials, to amend its answer to assert a defense of release. The trial court had a basis for finding that defendant's unexcused delay in relying on the releases prejudiced plaintiffs. The release defense was based on proofs of claim that plaintiffs had submitted in liquidation proceedings relating to defendant's liability insurer that took place before the first trial in the medical malpractice action. Under the theory that defendant advanced for the first time between the two trials, it was released for its own actions, but not for the actions of the nonparty with which defendant's predecessor had an arrangement for the reading of CT scans. Had plaintiffs been aware of that defense earlier, they would have made an effort to persuade the jury at the first trial that more fault should be attributed to the nonparty than to defendant itself. Instead, during the first trial plaintiffs, uncertain of establishing defendant's vicarious liability for the nonparty's negligence, directed significant effort at showing that defendant's predecessor, rather than the nonparty, was at fault. Moreover, it was reasonable to infer that plaintiffs' approach to settlement would have been altered if a defense of release had been in the case before the first trial, as a claim that is subject to a release defense has a lower settlement value than one that is not.

**Physicians and Surgeons — Malpractice — Causation — Damages Attributable to Preexisting Condition**

6. In a medical malpractice action where the jury at the first trial found that defendants were negligent in failing to detect an aneurysm in a blood

vessel near plaintiff's brain before it ruptured and caused a severe stroke that left plaintiff permanently disabled, the trial court erred in prohibiting defendants from litigating issues of causation at the second, damages-only trial. Where a condition existing before the malpractice occurred may have contributed to a plaintiff's injury, the plaintiff is not entitled to recover those damages that the preexisting condition would have caused in the absence of malpractice. Plaintiff's aneurysm was a preexisting condition, and defendants should have been allowed to show that, even with appropriate medical care, some of the injuries that plaintiff suffered were inevitable. The trial court was mistaken in thinking that the first jury's verdict resolved that question. The first jury did decide that the malpractice was a substantial factor in causing plaintiff's stroke, but defendants were entitled to show that some of the pain and suffering that plaintiff endured was not preventable.

**Physicians and Surgeons — Malpractice — Causation — Damages Attributable to Preexisting Condition**

7. In a medical malpractice action where the jury at the first trial found that defendants were negligent in failing to detect an aneurysm in a blood vessel near plaintiff's brain before it ruptured and caused a severe stroke that left plaintiff permanently disabled, the trial court's error in prohibiting defendants from litigating issues of causation at the second, damages-only trial required reversal of the second jury's awards for pain and suffering. There was testimony at the second trial, which the court ordered the jury to disregard, that an angiogram, resulting in a wound in plaintiff's groin that became infected and caused serious difficulty, would have been necessary to deal with plaintiff's aneurysm even if the stroke had not occurred. Even if the groin injury was "minor" in the context of plaintiff's other very serious injuries, plaintiffs chose to present vivid and detailed testimony about it and it could not be said that the testimony had no significant effect on the jury's verdict. There was no need, however, to disturb the awards of the second jury in the other categories of damages that were submitted to it: custodial care and supportive services for plaintiff, plaintiff spouse's past and future loss of plaintiff's services and society, and plaintiff spouse's future loss of household services. Plaintiffs' damages in those categories, as far as could be inferred from the record, were attributable simply to the fact that plaintiff had a disabling stroke.

**Physicians and Surgeons — Malpractice — Sufficiency of Evidence**

8. In a medical malpractice action where the jury found that defendants were negligent in failing to detect an aneurysm in a blood vessel near plaintiff's brain before it ruptured and caused a severe stroke that left plaintiff permanently disabled, there was sufficient evidence before the jury to support the finding of fault by the nonparty responsible for reading and interpreting head scans taken at the hospital where plaintiff had a CT scan taken 15 days before his stroke. The evidence showed that there was an arrangement between the nonparty and the hospital, which was found by the jury to be vicariously liable for the nonparty, by which any head scans taken at the hospital were read and interpreted by the nonparty. There was expert testimony that the CT scan of plaintiff's head, taken 15 days before his stroke, would, if properly interpreted, have disclosed a hemorrhage, and that that finding should have led to the taking of measures that could have stopped the stroke from occurring. No written report was made of the nonparty's reading of the CT scan, and that the scan was orally reported to plaintiff and to doctors treating him as showing no abnormality. From those facts, the inference that the scan was either misread or not read at all, and that the nonparty was at fault for that error, was compelling.

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Appellate Review §§ 151, 575, 618, 623; AM JUR 2d, Damages §§ 811, 812, 824–826; AM JUR 2d, New Trial §§ 25, 279, 282; AM JUR 2d, Physicians, Surgeons, and Other Healers §§ 230, 307, 308, 343; AM JUR 2d, Pleading §§ 708–711, 718, 722–726, 747.

CARMODY-WAIT 2d, Amendment of Pleadings §§ 34:17, 34:20–34:23, 34:25, 34:31, 34:34, 34:35, 34:47, 34:48, 34:51, 34:83; CARMODY-WAIT 2d, Post-Trial Motion for New Trial or Judgment Notwithstanding the Verdict §§ 62:14–62:17; CARMODY-WAIT 2d, Appeals in General §§ 70:16, 70:75, 70:93, 70:95, 70:327–70:329, 70:348–70:350, 70:374; CARMODY-WAIT 2d, Appeals to the Court of Appeals §§ 71:7, 71:12–71:15, 71:117, 71:122.

McKINNEY'S, CPLR 5501 (a) (1).

NY JUR 2d, Appellate Review §§ 38, 491, 556–558, 560, 636, 684, 708, 852, 853, 884, 885, 888, 892; NY JUR 2d, Malpractice §§ 89, 102, 105, 138, 343, 344; NY JUR 2d, Pleading §§ 234, 235, 241, 253; NY JUR 2d, Trial § 600.

PROSSER AND KEETON, TORTS (5th ed) §§ 32, 69.

SIEGEL, NY PRAC §§ 237, 407, 529, 530, 543.

**ANNOTATION REFERENCE**

See ALR Index under Additur and Remittitur; Amendment of Pleadings; Appeal and Error; Malpractice By Medical or Health Professions; New Trial.

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**POINTS OF COUNSEL**

*Brown & Tarantino, LLC*, Buffalo (Ann M. Campbell of counsel), for Rajnikant Patel, M.D., appellant. I. This Court has jurisdiction over this appeal and the authority to review the issues raised herein. (*Quain v Buzzetta Constr. Corp.*, 69 NY2d 376; *Adams v Genie Indus., Inc.*, 14 NY3d 535; *Whalen v Kawasaki Motors Corp., U.S.A.*, 92 NY2d 288; *Williams v Niske*, 81 NY2d 437; *Matter of Aho*, 39 NY2d 241.) II. The Appellate Division created a preservation requirement not heretofore required of defendants presented with an intolerable additur. (*Murphy v Lewry*, 235 AD2d 968; *Carlson v Porter*, 53 AD3d 1129, 11 NY3d



708; *Jacques v Sears, Roebuck & Co.*, 30 NY2d 466; *Phoenix Mut. Life Ins. Co. v Conway*, 11 NY2d 367; *Majauskas v Majauskas*, 61 NY2d 481; *Kover v Kover*, 29 NY2d 408; *Knight v Long Is. Coll. Hosp.*, 106 AD2d 371; *Brady v Ottaway Newspapers*, 63 NY2d 1031; *Perlin v King*, 36 AD3d 495; *Reed v City of New York*, 304 AD2d 1.) III. The Appellate Division should be required to evaluate the trial court's proposed additur using the proper standard of review. (*Marshall v Lomedico*, 292 AD2d 669; *Matter of Greatsinger*, 67 NY2d 177; *H & J Blits v Blits*, 65 NY2d 1014; *O'Connor v Graziosi*, 131 AD2d 553, 70 NY2d 613; *Auer v State of New York*, 289 AD2d 626; *Coque v Wildflower Estates Devs., Inc.*, 58 AD3d 44; *Rappold v Snorac, Inc.*, 289 AD2d 1044, 98 NY2d 614; *Coker v Bakkal Foods, Inc.*, 52 AD3d 765; *Harvey v Mazal Am. Partners*, 79 NY2d 218; *Matter of Rochester Urban Renewal Agency [Patchen Post]*, 45 NY2d 1.) IV. The release executed by plaintiffs should be recognized by this Court, and Rajnikant Patel, M.D. should be afforded the benefit of General Obligations Law § 15-108. (*Whalen v Kawasaki Motors Corp., U.S.A.*, 92 NY2d 288; *Hartford Ins. Co. v County of Nassau*, 46 NY2d 1028; *Matter of Greatsinger*, 67 NY2d 177; *H & J Blits v Blits*, 65 NY2d 1014; *Varkonyi v S.A. Empresa De Viacao Airea Rio Grandense [Varig]*, 22 NY2d 333; *Cohen v Hallmark Cards*, 45 NY2d 493; *Matter of New York City Asbestos Litig. [Brooklyn Nav. Shipyard Cases]*, 82 NY2d 342; *Williams v Niske*, 81 NY2d 437.) V. The trial court should not have denied defendants' request that they be permitted to explore plaintiff's underlying medical condition at the second trial, as the issue was crucial to the proper measurement of damages. (*Monahan v Weichert*, 82 AD2d 102; *McCahill v New York Transp. Co.*, 201 NY 221; *J.R. Loftus, Inc. v White*, 85 NY2d 874; *Alpha Auto Brokers v Continental Ins. Co.*, 286 AD2d 309; *Grawer Bear Constr. Corp. v Bellino Constr. Co.*, 195 AD2d 499; *Coty v Steigerwald*, 291 AD2d 796, 98 NY2d 604; *Francey v Rutland R.R. Co.*, 222 NY 482; *McGovern v Attie*, 37 AD2d 961; *Stewart v Olean Med. Group, P.C.*, 17 AD3d 1094, 19 AD3d 1185; *Syrkett v Burden*, 176 AD2d 938.)

*Roach, Brown, McCarthy & Gruber, P.C.*, Buffalo (Gregory T. Miller and Elizabeth G. Adymy of counsel), for Satish K. Mongia, M.D., appellant. I. Important questions of law concerning additur and preservation are ripe for the Court's review. (*Camacho v Rochester City School Dist.*, 20 AD3d 916; *Kmiotek v Chaba*, 60 AD3d 1295; *Hafner v County of Onondaga*, 278 AD2d 799; *Tate v Colabello*, 58 NY2d 84; *O'Connor v Papertsian*, 309 NY 465; *Murphy v Lewry*, 235 AD2d 968; *Rivera v Lincoln Ctr.*

for Performing Arts, Inc., 16 AD3d 274; *Carlos v W.H.P.* 19, 301 AD2d 423; *Carlson v Porter*, 53 AD3d 1129, 11 NY3d 708; *Gerbino v Tinseltown USA*, 13 AD3d 1068.) II. The construct of a trial on damages and the proof that may be adduced therein is ripe for this Court's review. (*Nestorowich v Ricotta*, 97 NY2d 393; *Carney v Memorial Hosp. & Nursing Home of Greene County*, 64 NY2d 770; *McCahill v New York Transp. Co.*, 201 NY 221; *Dunham v Village of Canisteo*, 303 NY 498; *Monahan v Weichert*, 82 AD2d 102; *Mortensen v Memorial Hosp.*, 105 AD2d 151; *Rokina Opt. Co. v Camera King*, 63 NY2d 728; *McGovern v Attie*, 37 AD2d 961; *Melito v Genesee Hosp.*, 167 AD2d 842; *Stewart v Olean Med. Group, P.C.*, 17 AD3d 1094.) III. The Appellate Division erred, as a matter of law, in concluding the releases executed by plaintiffs to be null and void. (*Hartford Ins. Co. v County of Nassau*, 46 NY2d 1028; *Allstate Ins. Co. v Gross*, 27 NY2d 263; *Henner v Everdry Mktg. & Mgt., Inc.*, 74 AD3d 1776; *Booth v 3669 Delaware*, 92 NY2d 934; *Amherst Coll. v Ritch*, 151 NY 282; *Dittmar Explosives v A. E. Ottaviano, Inc.*, 20 NY2d 498; *Edenwald Contr. Co. v City of New York*, 60 NY2d 957; *Bryndle v Safety-Kleen Sys., Inc.*, 66 AD3d 1396; *Whalen v Kawasaki Motors Corp., U.S.A.*, 92 NY2d 288; *McCasky, Davies & Assoc. v New York City Health & Hosps. Corp.*, 59 NY2d 755.)

*Damon Morey LLP*, Buffalo (*Amy Archer Flaherty* and *Michael J. Willett* of counsel), for Kaleida Health, appellant. I. The Appellate Division erred in ruling that Kaleida Health's motion for leave to amend its answer to include the affirmative defenses of release and General Obligations Law § 15-108 was properly denied. (*McMahan & Co. v Bass*, 250 AD2d 460, 92 NY2d 1013; *Wells v Shearson Lehman/American Express*, 72 NY2d 11; *Amherst Coll. v Ritch*, 151 NY 282; *Matter of Natural Resources Defense Council v New York City Dept. of Sanitation*, 83 NY2d 215; *Jiggetts v Grinker*, 75 NY2d 411; *Matter of Knickerbocker Agency [Holz]*, 4 NY2d 245; *Hartford Ins. Co. v County of Nassau*, 46 NY2d 1028; *Allstate Ins. Co. v Gross*, 27 NY2d 263; *First Fin. Ins. Co. v Jetco Contr. Corp.*, 1 NY3d 64.) II. The Appellate Division erred in refusing to review the appropriateness of the trial court's additur on the ground, raised sua sponte by the Appellate Division, that defendants had failed to preserve the issue. (*O'Connor v Graziosi*, 131 AD2d 553, 70 NY2d 613; *Reed v City of New York*, 304 AD2d 1, 100 NY2d 503; *Perlin v King*, 36 AD3d 495; *Rivera v Lincoln Ctr. for Performing Arts, Inc.*, 16 AD3d 274; *Carlos v W.H.P.* 19, 301 AD2d 423; *Misicki v Caradonna*, 12 NY3d 511; *Adams v Genie Indus., Inc.*, 14 NY3d

535.) III. The trial judge erred in precluding the proposed expert testimony on the measure of damages. (*Monahan v Weichert*, 82 AD2d 102; *McCahill v New York Transp. Co.*, 201 NY 221; *Stewart v Olean Med. Group, PC.*, 17 AD3d 1094; *Mihileas v State of New York*, 266 AD2d 866; *Beck v Spinner's Recreational Ctr., Inc.*, 78 AD3d 1695; *Steinhauser v Hertz Corp.*, 421 F2d 1169; *Evans v S. J. Groves & Sons Co.*, 315 F2d 335.) IV. There was insufficient evidence to support the verdict as to Dent Neurologic Institute and Kaleida Health's vicarious liability for Dent Neurologic Institute. (*Cohen v Hallmark Cards*, 45 NY2d 493; *Stephenson v Hotel Empls. & Rest. Empls. Union Local 100 of AFL-CIO*, 6 NY3d 265; *Bleiler v Bodnar*, 65 NY2d 65; *Spiegel v Goldfarb*, 66 AD3d 873, 15 NY3d 711; *Flaherty v Fromberg*, 46 AD3d 743; *Lowe v State of New York*, 35 AD3d 1281; *Koehler v Schwartz*, 48 NY2d 807; *Lyons v McCauley*, 252 AD2d 516, 92 NY2d 814.)

*Law Office of Francis M. Letro*, Buffalo (*Ronald J. Wright* and *Francis M. Letro* of counsel), for respondents. I. The additur amount issue was not preserved before the trial court and was waived on appeal by defendants' failure to address the issue. (*Robillard v Robbins*, 78 NY2d 1105; *Merrill v Albany Med. Ctr. Hosp.*, 71 NY2d 990; *Misicki v Caradonna*, 12 NY3d 511; *Sherry v North Colonie Cent. School Dist.*, 39 AD3d 986; *Zeigler v Neely*, 220 AD2d 345; *Libman v McKnight*, 204 AD2d 856; *Perlin v King*, 36 AD3d 495; *Rivera v Lincoln Ctr. for Performing Arts, Inc.*, 16 AD3d 274; *Carlos v W.H.P. 19*, 301 AD2d 423; *Camacho v Rochester City School Dist.*, 20 AD3d 916.) II. A rejected additur or remittitur followed by a second trial is not subject to appellate review. (*O'Connor v Papertisian*, 309 NY 465; *Feathers v Walter S. Kozdranski, Inc.*, 129 AD2d 975; *Ladd v Parkhurst*, 87 AD2d 971; *Tate v Colabello*, 58 NY2d 84; *Mayers v D'Agostino*, 58 NY2d 696; *Carter v Shah*, 31 AD3d 1151; *Zeigler v Neely*, 220 AD2d 345; *Best v Yutaka*, 90 NY2d 833; *Buffalo Elec. Co. v State of New York*, 14 NY2d 453; *Atkinson v County of Oneida*, 57 NY2d 1044.) III. The trial court and the Appellate Division did not abuse their discretion by denying defendants leave to amend their answers. (*Mayers v D'Agostino*, 58 NY2d 696; *Murray v City of New York*, 43 NY2d 400; *Jablonski v County of Erie*, 286 AD2d 927; *Sewkarran v DeBellis*, 11 AD3d 445; *Smith v Sarkisian*, 63 AD2d 780, 47 NY2d 878; *Morris v Queens Long Is. Med. Group, PC.*, 49 AD3d 827; *England v Sanford*, 78 NY2d 928; *Matter of McIntosh v State of New York*, 7 AD3d 890; *Stajano v United Tech. Corp.*, 5 AD3d 260; *Shepherd v New York City Tr. Auth.*, 129 AD2d 574.) IV. The trial

court properly precluded defendants from relitigating causation during the second damages-only trial where causation was determined in full at the first trial. (*McCahill v New York Transp. Co.*, 201 NY 221; *Dunham v Village of Canisteo*, 303 NY 498; *Monahan v Weichert*, 82 AD2d 102; *McGovern v Attie*, 37 AD2d 961; *Melito v Genesee Hosp.*, 167 AD2d 842; *Stewart v Olean Med. Group, P.C.*, 17 AD3d 1094; *Schneider v Memorial Hosp. for Cancer & Allied Diseases*, 100 AD2d 583; *Steinhauser v Hertz Corp.*, 421 F2d 1169; *Crawford v Town of Hamburg*, 19 AD2d 100; *Gray v Jaeger*, 49 AD3d 287.) V. Kaleida Health was properly found to be vicariously liable for the negligence of Dent Neurologic Institute. (*Adamy v Ziriakus*, 92 NY2d 396; *Cohen v Hallmark Cards*, 45 NY2d 493; *Quain v Buzzetta Constr. Corp.*, 69 NY2d 376; *Niagara Vest v Alloy Briquetting Corp.*, 244 AD2d 892; *Russell v City of Buffalo*, 34 AD3d 1291; *Kerker v Hurwitz*, 163 AD2d 859.)

#### OPINION OF THE COURT

SMITH, J.

Defendants challenge a large medical malpractice judgment against them on various grounds. We reject most of their arguments, but modify the Appellate Division's order to require a new trial on damages for pain and suffering, because the courts below erred in holding that causation issues could not be litigated at a damages trial.

#### I

On July 18, 1998 Daniel Oakes suffered a sudden, severe headache that was accompanied by vomiting and sensitivity to light. The headache persisted over the next three weeks. Evidence at trial showed that it resulted from an aneurysm (i.e., a balloon-like bulge) in a blood vessel near the brain; the aneurysm went undetected until it ruptured on August 7, 1998, causing a severe stroke that left Mr. Oakes permanently disabled. During the 20-day interim, Mr. Oakes consulted several doctors, including two who now remain as defendants: his primary care doctor, Rajnikant Patel, and a neurologist, Satish Mongia. He also had a CT scan at Millard Fillmore Suburban Hospital; Fillmore Suburban was owned by Millard Fillmore Hospitals, a corporation to which defendant Kaleida Health is the successor in interest. There was evidence at trial supporting a finding that the CT scan was either misread or not read at all,

and that if it had been read properly the aneurysm could have been detected and the stroke prevented.

Mr. Oakes and his wife brought this action in 2000.\* In 2008, after a trial on liability and damages, a jury found that Dr. Patel, Dr. Mongia and Fillmore Suburban were negligent and that their negligence was a substantial factor in causing the injuries complained of. The jury assigned 5% of the fault to Dr. Patel, 1% to Dr. Mongia, and 75% to Fillmore Suburban. It assigned the remaining 19% of the fault to Dent Neurologic Group, a nonparty with which Fillmore Suburban had an arrangement for the reading of CT scans. The jury also found that Millard Fillmore Hospitals was vicariously liable for Dent's negligence. The jury awarded plaintiffs damages in various categories totaling approximately \$5.1 million. The main issues on this appeal arise from three motions that were made after this verdict was rendered.

First, plaintiffs moved to set aside as inadequate the damages portion of the verdict. As to the most significant categories of damages, on which the jury had awarded approximately \$4 million, the trial court granted the motion, ordering a new trial as to these items unless defendants agreed to increase the amounts to a total of \$17.4 million. Defendants rejected the additur, and a new trial on damages took place.

Secondly, between the first and second trials, Kaleida (which was sued for Millard Fillmore Hospitals' liability) moved to amend its answer to assert a defense of release, and to dismiss conditionally, on the ground of release, most of plaintiffs' claims against Kaleida. The release defense was based on proofs of claim that plaintiffs had submitted in 2003 in liquidation proceedings relating to Kaleida's liability insurer, which we will explain in more detail below. The trial court denied the motion, holding that plaintiffs would be prejudiced by the belated amendment.

Thirdly, shortly before the new trial on damages, plaintiffs moved in limine to preclude, among other things, "any testimony or evidence contesting . . . causation." The trial court granted this relief, concluding that the issue of causation had been decided by the first jury, and could not be relitigated.

In 2009, the jury at the second trial awarded damages totaling approximately \$16.7 million, in addition to the undisturbed

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\* Mr. Oakes died while this appeal was pending. We use "plaintiffs" to include Mr. Oakes or Mrs. Oakes as his executrix, as the context requires.



\$1.1 million portion of the first verdict. The trial court entered judgment accordingly, and the Appellate Division affirmed, with two Justices dissenting in separate opinions (*Oakes v Patel*, 87 AD3d 816 [4th Dept 2011]).

The Appellate Division majority held, among other things, that Kaleida's motion to amend was properly denied because the releases it sought to rely on were "null and void" (87 AD3d at 819); and that defendants had failed to preserve their argument that the trial court's additur was excessive (*id.* at 819-820). The majority did not discuss the preclusion of defendants' causation testimony at the second trial. Justice Smith dissented on the ground that the damages awarded by the second jury were excessive (a claim defendants do not pursue in this Court). Justice Peradotto dissented from the majority's ruling on the additur: she would have found that defendants preserved the issue, by opposing the motion for a new trial on damages and by rejecting the proposed additur, and would have held the additur to be excessive.

The Appellate Division granted defendants leave to appeal (87 AD3d 1414 [4th Dept 2011]). We now modify the Appellate Division's order to direct a new trial on the issue of damages for Mr. Oakes's pain and suffering, and otherwise affirm.

## II

We agree with the Appellate Division majority that the claimed excessiveness of the trial court's additur was not properly before it, though we reach that conclusion by a route different from the one the Appellate Division took.

[1] Defendants were not required, in order to preserve their claim that the additur was excessive, to identify a specific amount that they considered reasonable. As Justice Peradotto pointed out, defendants made clear in opposing plaintiffs' motion for a new trial their view that the first jury's award was reasonable, and "that an additur in *any* amount would be inappropriate" (*Oakes v Patel*, 87 AD3d at 823 [Peradotto, J., dissenting]). The Appellate Division regularly reviews, and sometimes accepts, arguments that an additur or remittitur granted by a trial court is either excessive or inadequate (*see e.g. Perlin v King*, 36 AD3d 495 [1st Dept 2007]; *Rivera v Lincoln Ctr. for Performing Arts, Inc.*, 16 AD3d 274 [1st Dept 2005]; *Carlos v W.H.P.* 19, 301 AD2d 423 [1st Dept 2003]). In no such case, as far as we are aware, has the appellant's claim been held unpreserved for failure to specify a more reasonable



increase or decrease in the damages, and imposing such a requirement would serve little purpose.

[2] But a party that wants to challenge the amount of an additur or remittitur on appeal must do so before a new trial takes place. The chief benefit of the devices known as additur and remittitur is that, when they are accepted, they spare the parties and the court the burden and expense of a second trial. Deferring appellate review until after the second trial destroys that benefit. Such a deferral also gives the party opposing the additur or remittitur an unjustified tactical advantage: if successful on appeal, that party can choose whether to accept the new amount of the additur or remittitur, already knowing what the second jury has awarded.

No case has been cited to us in which an appellate court has modified an additur or remittitur after the increased or decreased judgment has been rejected and a new trial has taken place. The Supreme Court of Florida, in the only case we are aware of that addresses a similar question, was also unable to find any such decision anywhere (*Poole v Veterans Auto Sales & Leasing Co., Inc.*, 668 So 2d 189, 191 [Fla 1996]). And under New York appellate practice, review of an additur or remittitur after final judgment would seem inconsistent with the rule that an order granting a new trial—the only kind of order that can include an additur or remittitur—is not one that “necessarily affects” a final judgment and so is not brought up for review when the final judgment is appealed (*see* CPLR 5501 [a] [1]; Karger, Powers of the New York Court of Appeals § 9:5 at 312 [3d ed rev]).

We see no unfairness in requiring a party dissatisfied with the size of an additur or remittitur to obtain appellate review before any retrial. If there is not time for such review, and neither the trial court nor the appellate court will grant a stay, the party’s remedy is to reject the proffered stipulation and retry the case. Defendants here pursued that remedy. They are not entitled to another remedy because they are displeased with the result.

### III

Kaleida argues that its motion to amend its answer to assert a defense of release, made between the first and second trials, should have been granted. The other defendants join the argument, because a release of Kaleida would reduce their exposure to damages under General Obligations Law § 15-108. Before considering the argument, however, we must decide whether we

have the power to do so. The question arises because, as we mentioned above, under CPLR 5501 (a) (1) an appeal from a final judgment brings up for review a nonfinal judgment or order only when the nonfinal decision “necessarily affects the final judgment.” The reviewability of the order denying Kaleida’s motion to amend depends on whether it meets that description.

Our opinions have rarely discussed the meaning of the expression “necessarily affects” in CPLR 5501 (a) (1). (*Matter of Aho*, 39 NY2d 241, 248 [1976] and *Siegmund Strauss, Inc. v East 149th Realty Corp.*, 20 NY3d 37 [2012] are exceptions.) We have never attempted, and we do not now attempt, a generally applicable definition. Various tests have been proposed, but how to apply them to particular cases is not self-evident, and our decisions in this area may not all be consistent (*see generally* Karger, Powers of the New York Court of Appeals § 9:5 at 304-314 [3d ed rev 2005]).

The application of the “necessarily affects” rule to orders granting or denying motions to amend pleadings has been particularly vexing. We have at times reviewed such orders, thus implicitly assuming that they necessarily affected the final judgment (*see Whalen v Kawasaki Motors Corp., U.S.A.*, 92 NY2d 288, 293 [1998]; *Edenwald Contr. Co. v City of New York*, 60 NY2d 957, 959 [1983]). On the other hand, in *Best v Yutaka* (90 NY2d 833, 834 n [1997]) and in *Arnav Indus., Inc. Retirement Trust v Brown, Raysman, Millstein, Felder & Steiner* (96 NY2d 300, 303 n 1 [2001]) we dismissed appeals insofar as they were taken from orders ruling on motions to amend pleadings. In each of these cases we said in a footnote, without further elaboration, that the order did not “necessarily affect the final determination.”

**[3, 4]** We now conclude that we cannot adhere to the rule that the grant or denial of a motion to amend is always unreviewable on appeal from a final judgment. There will be times, of which this is one, when such a ruling “necessarily affects” the final judgment under any common sense understanding of those words. Here, Kaleida’s motion to amend, if granted, would have added a new defense to the case—one that defendants argue, with at least colorable justification, would have significantly changed the case’s result. We hold that in such cases—when an order granting or denying a motion to amend relates to a proposed new pleading that contains a new cause of

action or defense—the order necessarily affects the final judgment. *Best* and *Arnav*, to the extent they hold otherwise, are overruled.

Having found the order denying the motion to amend reviewable, we must begin our review by explaining the rather complicated background of Kaleida’s asserted release defense. Kaleida was insured, subject to a \$2 million self-insured retention, by PHICO Insurance Company. PHICO entered liquidation in Pennsylvania in 2002, while this action was pending. In 2003, plaintiffs, seeking to protect their right to whatever insurance proceeds might become available, filed claims with the liquidator.

A Pennsylvania statute says that, when a third party having a claim against an insured files a claim with the liquidator of an insurer, the filing “shall operate as a release of the insured’s liability to the third party . . . in the amount of the applicable policy limit” (40 Pa Cons Stat § 221.40 [a]). The Pennsylvania Supreme Court has held that, under this statute, a party filing such a claim makes a binding election to grant a release to the insured, and cannot later change his mind (*Koken v Reliance Ins. Co.*, 586 Pa 269, 290-295, 893 A2d 70, 82-85 [2006]). The third party must “make a choice between pursuing his claim against the insured and presenting his claim in the liquidation” (586 Pa at 293, 893 A2d at 84). Thus, when plaintiffs here made their claim in liquidation, they effectively released their claims against Kaleida to the extent those claims were covered by insurance—i.e., all their claims in excess of the \$2 million retention. Indeed, the claim forms plaintiffs signed said, immediately above their signatures: “The undersigned hereby *releases any and all claims* which have been or could be made against such PHICO insured . . . up to the amount of the applicable policy limits and subject to coverage being accepted by the Liquidator, regardless of whether any compensation is actually paid to the undersigned.”

The Pennsylvania statute also provides, however, that a claimant’s release “shall be null and void if the insurance coverage is avoided by the liquidator” (40 Pa Cons Stat § 221.40 [a])—and here the liquidator has avoided coverage of Kaleida for part of the claims now in suit. Relying on Kaleida’s decision to abandon a third-party claim against Dent, the liquidator has declined to accept coverage to the extent that Kaleida is held vicariously liable for Dent’s conduct. The liquidator has acknowledged liability for the 75% of the fault attributed

directly to Kaleida by the first jury, but not for the 19% attributed to Dent, and thus to Kaleida vicariously. The impact of this on plaintiffs' releases of Kaleida is unclear under Pennsylvania law; presumably, it voids the releases at least to the extent of the Dent share of the obligation, but whether it voids them entirely—or, perhaps, gives plaintiffs the option of voiding them entirely—is at least disputable.

[5] The Appellate Division resolved this question of Pennsylvania law against Kaleida, holding that the releases were entirely “null and void,” and that therefore the trial court did not err when it barred Kaleida from relying on them. But unlike the Appellate Division, we do not decide the merits of the release defense. Rather we hold that, even assuming that Kaleida's release defense had merit, the trial court did not abuse its discretion in denying the motion to amend as untimely.

Kaleida claims that the releases did not come to its counsel's attention until 2008, after the first jury's verdict. It is clear, however, that Kaleida could have discovered the existence of the releases much sooner. Indeed, in 2007, before the first trial, Kaleida itself, as PHICO's insured, submitted a claim to the liquidator—using a form identical to the ones, including release language, that plaintiffs had signed in 2003.

The trial court found, and had a basis for finding, that Kaleida's unexcused delay in relying on the releases prejudiced plaintiffs. Under the theory that Kaleida advanced for the first time between the two trials, it was released for its own actions, but not for the actions of Dent. Had plaintiffs been aware of that defense earlier, they would surely have made an effort to persuade the jury at the first trial that more fault should be attributed to Dent than to Kaleida itself—and they might have succeeded in getting a more favorable apportionment of fault between Dent and Kaleida than the 19% and 75% the first jury adopted. Instead, during the first trial plaintiffs, uncertain of establishing Kaleida's vicarious liability, directed significant effort at showing that Kaleida's predecessor Millard Fillmore Hospitals, rather than Dent, was at fault; they even joined Kaleida in an unsuccessful effort to persuade the court not to submit the issue of Dent's fault to the jury.

It is also reasonable to infer that plaintiffs' approach to settlement would have been altered if a defense of release had been in the case before the first trial. A claim that is subject to a release defense obviously has a lower settlement value than one that is not.

The decision whether to grant the belated amendment of its answer that Kaleida sought was within the discretion of the trial court (*e.g. Whalen*, 92 NY2d at 293). That discretion was not abused here.

#### IV

[6] The trial court erred in prohibiting defendants from litigating issues of causation at the second, damages-only trial.

It is often true, as it is in this case, that causation issues are relevant both to liability and to damages. Thus, in a medical malpractice case, liability cannot be established unless it is shown that the defendant's malpractice was a substantial factor in causing the plaintiff's injury (*Mortensen v Memorial Hosp.*, 105 AD2d 151, 158 [1st Dept 1984]). But even where liability is established, the plaintiff may recover only those damages proximately caused by the malpractice. More specifically, where a condition existing before the malpractice occurred may have contributed to the plaintiff's injury, the plaintiff is not entitled to recover those damages that the preexisting condition would have caused in the absence of malpractice (*see McCahill v New York Transp. Co.*, 201 NY 221, 224 [1911] [in a wrongful death case, "the probability of later death from existing causes for which a defendant was not responsible would probably be an important element in fixing damages"]; *Schneider v Memorial Hosp. for Cancer & Allied Diseases*, 100 AD2d 583, 584 [2d Dept 1984] [medical malpractice award excessive because "it failed to take into account the fact that the underlying disease . . . could in the future be expected to be the cause" of much of the damage complained of]; *Steinhauser v Hertz Corp.*, 421 F2d 1169, 1173 [2d Cir 1970] [where an accident precipitated plaintiff's schizophrenia, her "latent psychotic tendencies . . . may have a significant bearing on the amount of damages"]).

Here, Mr. Oakes had a preexisting condition, an aneurysm in a blood vessel near his brain. Defendants' malpractice did not cause the aneurysm. Defendants should have been allowed to show that, even with appropriate medical care, some of the injuries that Mr. Oakes suffered were inevitable. The trial court was mistaken in thinking that the first jury's verdict resolved this question. The first jury did decide that the malpractice was a substantial factor in causing Mr. Oakes's stroke, but defendants were entitled to show that some of the pain and suffering that Mr. Oakes endured was not preventable.

Thus, the trial court should not have granted plaintiffs' motion in limine to preclude causation proof at the second trial. A

closer question is whether this error had any practical impact on the case. Defendants did not respond to the trial court's ruling by making a specific offer of proof. Dr. Mongia had served an "expert disclosure" pursuant to CPLR 3101 (d) (1) (i), saying that an expert witness would testify "with respect to the degree of likelihood, if any, that the Plaintiff DANIEL OAKES's alleged pain and suffering could have been avoided, the degree to which his alleged future medical costs could have been prevented, if at all, and consequently, the degree to which the Plaintiff LISA OAKES's alleged losses could have been prevented, if at all." But the disclosure is phrased in general terms and does not tell us specifically what the expert would have said. While it may be adequate for disclosure purposes, it does not serve the function of an offer of proof, which is to enable an appellate court to understand clearly what evidence a trial court has excluded. If we had no more than the expert disclosure to go on, we would not feel justified in reversing any part of the judgment in this case, despite our disagreement with the in limine ruling.

During the course of the second trial, however, Dr. Mongia did present causation evidence, which the court, relying on its in limine ruling, ordered the jury to disregard. Plaintiffs had proved in support of their pain and suffering claim, through the testimony of Mrs. Oakes and an expert, that Mr. Oakes's treatment for his stroke had resulted in a wound in his groin that became infected and caused serious difficulty. Mrs. Oakes had testified:

"Q. Did you see that infection?

"A. Yes.

"Q. Can you describe what that looked like and where it was?

"A. Well, when I saw when it was opened up and left open . . . it was about the size of a pita pocket, and it was just like raw meat, just raw meat in there, pussy and smelled terrible.

"Q. And how long did that wound remain open?

"A. That remained open for a long time. It started healing when he was at the last hospital that he was at. But the slightest little thing would rip it all open again, and he had a lot of problems with that area."



Responding to this evidence, counsel for Dr. Mongia elicited testimony, while cross-examining plaintiffs' expert witness, that the groin wound was the result of an angiogram (a means of obtaining images of the inside of blood vessels), and that an angiogram would have been necessary to deal with Mr. Oakes's aneurysm even if his stroke had not occurred. The trial court ruled this and certain other testimony inadmissible, saying to the jury: "the issues of the responsibility and the tie to the injuries as far as causation have been determined, and we're not revisiting that again." The court thus told the jury, in substance, that it could not consider the extent to which plaintiffs' injuries resulted from the malpractice.

[7] We conclude that this error requires reversal of the second jury's awards (totaling \$9.6 million) for pain and suffering. Plaintiffs argue that the groin injury was "minor" in the context of Mr. Oakes's other very serious injuries, and perhaps it was; but plaintiffs chose to present detailed and vivid testimony about it. We cannot say that this testimony had no significant effect on the jury's verdict.

We see no need, however, to disturb the awards of the second jury (totaling \$7.12 million) in the other categories of damages that were submitted to it: custodial care and supportive services for Mr. Oakes, Mrs. Oakes's past and future loss of Mr. Oakes's services and society, and Mrs. Oakes's future loss of household services. Defendants have identified no evidence and made no argument which suggests to us that proof on causation could have affected these awards. Plaintiffs' damages in these categories, as far as we can infer from the record, are attributable simply to the fact that Mr. Oakes had a disabling stroke. Any contention that the stroke would have occurred even in the absence of malpractice is essentially a defense to liability, not damages, and is foreclosed by the verdict of the first jury.

## V

[8] There is one remaining argument before us: Kaleida claims that there was insufficient evidence before the first jury to support the finding of fault by Dent. The argument is without merit.

The evidence showed that there was an arrangement between Dent and Millard Fillmore Suburban Hospital, by which any scans of the head taken at Fillmore Suburban were read and interpreted by Dent. There was expert testimony that the CT scan of Mr. Oakes's head, taken 15 days before his stroke, would,

if properly interpreted, have disclosed a hemorrhage, and that that finding should have led to the taking of measures that could have stopped the stroke from occurring. It was undisputed that no written report was made of Dent's reading of the CT scan, and that the scan was orally reported to Mr. Oakes and to doctors treating him as showing no abnormality. From these facts, the inference that the scan was either misread or not read at all, and that Dent was at fault for this error, is compelling.

Accordingly, the order of the Appellate Division should be modified, without costs, in accordance with this opinion, and as so modified, affirmed. The certified question is unnecessary and should not be answered.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and RIVERA concur.

Order modified, without costs, in accordance with the opinion herein, and as so modified, affirmed, and certified question not answered upon the ground that it is unnecessary.

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[988 NE2d 481, 965 NYS2d 746]

In the Matter of CITY OF YONKERS, Respondent, v YONKERS FIRE  
FIGHTERS, LOCAL 628, IAFF, AFL-CIO, Appellant.

Argued February 13, 2013; decided April 2, 2013

### SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 27, 2011. The Appellate Division (1) reversed, on the law, so much of a judgment of the Supreme Court, Westchester County (Mary H. Smith, J.), entered in a proceeding pursuant to CPLR article 75, as had denied the petition to permanently stay arbitration and dismissed the proceeding; and (2) granted the petition.

*Matter of City of Yonkers v Yonkers Fire Fighters, Local 628, IAFF, AFL-CIO*, 90 AD3d 1043, affirmed.

### HEADNOTE

#### **Arbitration — Matters Arbitrable — Firefighters' Retirement Benefits**

Arbitration of respondent union's improper practice charge alleging that petitioner municipality erred in failing to apply the parties' collective bargaining agreement (CBA) and noncontributory pension benefits provision to firefighters hired after the CBA had expired was barred, as an impermissible negotiation of pension benefits, by Civil Service Law § 201 (4) and Retirement and Social Security Law § 470. The parties' CBA had expired on June 30, 2009, and, in the absence of a successor CBA, the Triborough doctrine applied and the CBA's terms continued, unless contradicted by statute. The part of the CBA that required noncontributory plans was rendered unlawful by the enactment of Retirement and Social Security Law article 22 (L 2009, ch 504, part A), effective in January 2010, which prohibits such plans. The exception to the prohibition against noncontributory plans for CBAs "in effect" on the effective date of article 22, as set forth in section 8 of part A of chapter 504 of the Laws of 2009, did not apply to the parties' CBA, which had expired prior to article 22's effective date and was only deemed to continue through the Triborough doctrine (*see* Civil Service Law § 209-a). The legislature, having set forth the section 8 exception for CBAs that are "in effect," expressly stated that eligibility to join a CBA's retirement plan "shall not apply upon termination of such agreement" (L 2009, ch 504, part A, § 8). That language and similar language in the Governor's Program Bill Memorandum in support of the legislation made clear that the legislature did not intend to apply the section 8 exception to CBAs that had expired and could only be deemed to continue through the Triborough doctrine.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Labor and Labor Relations §§ 2266, 2397, 2400,  
2517.

McKINNEY'S, Civil Service Law § 201 (4); Retirement and Social Security Law § 470.

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 451, 462; NY JUR 2d, Employment Relations §§ 453, 672; NY JUR 2d, Pensions and Retirement Systems §§ 134, 135.

#### ANNOTATION REFERENCE

See ALR Index under Arbitration and Award; Civil Service; Collective Bargaining; Labor and Employment; Pension and Retirement.

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#### POINTS OF COUNSEL

*Meyer, Suozzi, English & Klein, P.C.*, New York City (Richard S. Corenthal and Joni H. Kletter of counsel), for appellant. I. New York State courts favor arbitration and discourage judicial interference. (*Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1; *Steelworkers v Warrior & Gulf Nav. Co.*, 363 US 574; *Matter of Board of Educ. of Yonkers City School Dist. v Yonkers Fedn. of Teachers*, 40 NY2d 268; *Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122; *Matter of City of Johnstown [Johnstown Police Benevolent Assn.]*, 99 NY2d 273; *Matter of Board of Educ. of Dover Union Free School Dist. v Dover-Wingdale Teachers' Assn.*, 61 NY2d 913; *Matter of Board of Educ. of Norwood-Norfolk Cent. School Dist. [Hess]*, 49 NY2d 145; *Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132; *Matter of Union Free Dist. #15, Town of Hempstead v Lawrence Teachers Assn.*, 33 AD3d 808; *Matter of City of Oswego [Oswego City Firefighters Assn., Local 2707]*, 93 AD3d 1243.) II. The collective bargaining agreement is still in effect pursuant to Civil Service Law § 209-a (1) (e), the Triborough Law and tier 5 legislation. (*Matter of Professional Staff Congress-City Univ. of N.Y. v New York State Pub. Empl. Relations Bd.*, 7 NY3d 458; *Matter of Board of Trustees of Maplewood-Colonie Common School Dist. [Maplewood Teachers' Assn.]*, 57 NY2d 1025; *County of Nassau v New York State Pub. Empl. Relations Bd.*,

151 AD2d 168; *Association of Surrogates & Supreme Ct. Reporters Within City of N.Y. v State of New York*, 79 NY2d 39; *Matter of Cobleskill Cent. School Dist. v Newman*, 105 AD2d 564, 64 NY2d 1071; *Matter of County of Niagara v Newman*, 104 AD2d 1; *Smith v People*, 47 NY 330; *Matter of Hartnett v Village of Ballston Spa*, 152 AD2d 83, 75 NY2d 711.) III. Affirming the Appellate Division, Second Department's decision will result in an unconstitutional impairment of contract. (*United States Trust Co. of N. Y. v New Jersey*, 431 US 1; *Equipment Mfrs. Inst. v Janklow*, 300 F3d 842; *General Motors Corp. v Romein*, 503 US 181; *Educational Empls. Credit Union v Mutual Guar. Corp.*, 50 F3d 1432; *Energy Reserves Group, Inc. v Kansas Power & Light Co.*, 459 US 400; *Condell v Bress*, 983 F2d 415; *Association of Surrogates & Supreme Ct. Reporters Within City of N.Y. v State of New York*, 940 F2d 766; *University of Hawai'i Professional Assembly v Cayetano*, 183 F3d 1096; *Association of Surrogates & Supreme Ct. Reporters Within City of N.Y. v State of New York*, 79 NY2d 39; *American Fedn. of State, County & Mun. Empls. v City of Benton, Ark.*, 513 F3d 874.) IV. The Appellate Division, Second Department, incorrectly held that arbitration of this grievance is barred by statute. (*Matter of City of Oswego [Oswego City Firefighters Assn., Local 2707]*, 93 AD3d 1243; *Matter of Peters v Union-Endicott Cent. School Dist.*, 77 AD3d 1236; *Matter of Village of Fairport v Newman*, 90 AD2d 293; *Board of Educ. of Union Free School Dist. No. 3 of Town of Huntington v Associated Teachers of Huntington*, 30 NY2d 122; *Matter of City of Plattsburgh [Plattsburgh Police Officers Union AFSCME Local 82]*, 250 AD2d 327; *Matter of County of Chautauqua v Civil Serv. Empls. Assn., Local 1000, AFSCME, AFL-CIO, County of Chautauqua Unit 6300, Chautauqua County Local 807*, 8 NY3d 513; *Matter of City of Long Beach v Civil Serv. Empls. Assn., Inc.—Long Beach Unit*, 8 NY3d 465; *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 6 NY3d 563.)

*Bond, Schoeneck & King, PLLC*, Garden City (Terence M. O'Neil and Christopher T. Kurtz of counsel), for respondent. The Appellate Division, Second Department, correctly held that a stay of arbitration pursuant to CPLR 7503 was proper. (*Matter of Acting Supt. of Schools of Liverpool Cent. School Dist. [United Liverpool Faculty Assn.]*, 42 NY2d 509; *Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132; *Matter of City of Johnstown [Johnstown Police Benevolent Assn.]*, 99 NY2d 273; *Matter of City of Oswego [Oswego City Firefighters Assn., Local 2707]*, 93 AD3d 1243; *Matter*

of Board of Educ. of City School Dist. of City of N.Y. v New York State Pub. Empl. Relations Bd., 75 NY2d 660; Matter of Peters v Union-Endicott Cent. School Dist., 77 AD3d 1236; Matter of City of Plattsburgh [Plattsburgh Police Officers Union AFSCME Local 82], 250 AD2d 327; Association of Surrogates & Supreme Ct. Reporters Within City of N.Y. v State of New York, 79 NY2d 39; Matter of Professional Staff Congress-City Univ. of N.Y. v New York State Pub. Empl. Relations Bd., 7 NY3d 458; Matter of Cobleskill Cent. School Dist. v Newman, 105 AD2d 564.)

*Hinman Straub, P.C.*, Albany (Joseph M. Dougherty of counsel), for New York State Professional Firefighters Association, I.A.F.F., AFL-CIO, amicus curiae. I. The Second Department erred in holding that the collective bargaining agreement was not “in effect” for purposes of article 22 of the Retirement and Social Security Law pursuant to section 8 of part A of chapter 504 of the Laws of 2009. (*Matter of Professional Staff Congress-City Univ. of N.Y. v New York State Pub. Empl. Relations Bd.*, 7 NY3d 458; *Matter of Goodman [Barnard Coll.—Commissioner of Labor]*, 95 NY2d 15; *Association of Surrogates & Supreme Ct. Reporters Within City of N.Y. v State of New York*, 79 NY2d 39; *Matter of City of Oswego [Oswego City Firefighters Assn., Local 2707]*, 93 AD3d 1243; *United States Trust Co. of N. Y. v New Jersey*, 431 US 1; *General Motors Corp. v Romein*, 503 US 181; *Allied Structural Steel Co. v Spannaus*, 438 US 234; *Energy Reserves Group, Inc. v Kansas Power & Light Co.*, 459 US 400; *Association of Surrogates & Supreme Ct. Reporters Within City of N.Y. v State of New York*, 940 F2d 766; *Donohue v Paterson*, 715 F Supp 2d 306.) II. The Second Department erred in holding that arbitration of this dispute is barred by statute. (*Matter of Professional, Clerical, Tech. Empls. Assn. [Buffalo Bd. of Educ.]*, 90 NY2d 364; *Board of Educ., Bellmore-Merrick Cent. High School Dist., Nassau County v Bellmore-Merrick United Secondary Teachers*, 39 NY2d 167; *Matter of New York City Tr. Auth. v Transport Workers Union of Am., Local 100, AFL-CIO*, 99 NY2d 1; *Matter of New York City Dept. of Sanitation v MacDonald*, 87 NY2d 650; *Matter of United Fedn. of Teachers, Local 2, AFT, AFL-CIO v Board of Educ. of City School Dist. of City of N.Y.*, 1 NY3d 72; *Matter of City of Johnstown [Johnstown Police Benevolent Assn.]*, 99 NY2d 273.)

#### OPINION OF THE COURT

PIGOTT, J.

At issue in this case is the meaning of the words “in effect” as contained in Laws of 2009, chapter 504 (part A, § 8), specifi-



cally whether expired collective bargaining agreements are “in effect” for purposes of that statute because of the so-called Tri-borough Law.

Petitioner, the City of Yonkers, and respondent, Yonkers Fire Fighters, Local 628, IAFF, AFL-CIO, entered into a collective bargaining agreement (CBA), dated July 1, 2002, which, by stipulation, was extended to June 30, 2009. In the CBA, the City agreed to offer its firefighters the option of enrolling in one of two retirement plans, and agreed that it would bear “the complete cost” of contributions, “pursuant to . . . State law.”

In 2009, in response to the fiscal crisis, Governor Paterson and the legislature ended the right of newly hired firefighters to join such noncontributory pension plans. The legislature enacted article 22 of the Retirement and Social Security Law, effective in January 2010, which placed new members of the New York State and Local Police and Fire Retirement System in a new tier of pension benefits—tier 5—requiring members to contribute 3% of their salaries toward their pensions (*see* Retirement and Social Security Law § 1204).

The focus of this appeal is a narrow exception provided in section 8 of the 2009 legislation.

“Notwithstanding any provision of law to the contrary, nothing in this act shall limit the eligibility of any member of an employee organization to join a special retirement plan open to him or her pursuant to a collectively negotiated agreement with any state or local government employer, where such agreement is *in effect* on the effective date of this act and so long as such agreement remains in effect thereafter; *provided, however, that any such eligibility shall not apply upon termination of such agreement* for employees otherwise subject to the provisions of article twenty-two of the retirement and social security law” (L 2009, ch 504, part A, § 8 [emphasis added]).

Following the 2009 legislation, no agreement on a new CBA was reached in Yonkers. The City, noting the June 30, 2009 termination date of the CBA, required firefighters who were hired after that date to pay 3% of their wages towards retirement benefits. In response, the Union filed an improper practice charge with the New York State Public Employment Relations Board (PERB), alleging that the City had erred in failing to apply the CBA to firefighters hired by the City after the CBA’s

termination date. The Union relied on the exception contained in section 8, as well as Civil Service Law § 209-a (1) (e), often referred to as the Triborough Law.\*

After PERB referred the matter to arbitration, the City commenced this proceeding for a permanent stay of arbitration on the ground that arbitration is barred by Civil Service Law § 201 (4) and Retirement and Social Security Law § 470. Supreme Court rejected this argument, and dismissed the proceeding; but the Appellate Division reversed, and granted the petition, holding that the statutes cited are a bar to arbitration. “[T]he CBA, which terminated by its own terms in June 2009, was no longer ‘in effect’ at the time of the effective date of article 22 of the Retirement and Social Security Law,” with the result that “the exception set forth in section 8 of that article is inapplicable” (90 AD3d 1043, 1044-1045 [2d Dept 2011]). We granted the Union leave to appeal (19 NY3d 802 [2012]), and now affirm.

A grievance may be submitted to arbitration only if (1) it is lawful for the parties to arbitrate the dispute and (2) the parties agreed to arbitrate that kind of dispute (*see e.g. Matter of City of Johnstown [Johnstown Police Benevolent Assn.]*, 99 NY2d 273, 278 [2002]). The City argues that the first condition is not met, because arbitration of the present dispute is prohibited by statute.

Public employers executing a CBA are prohibited from negotiating and granting retirement benefits that are not already expressly provided under state law. (A CBA may provide for retirement benefits as authorized by law, which is why the CBA here was valid until article 22 was enacted.) Civil Service Law § 201 (4) prohibits the negotiation of “benefits provided by or to be provided by a public retirement system, or payments to a fund or insurer to provide an income for retirees, or payment to retirees or their beneficiaries.” Retirement and Social Security Law § 470 similarly proscribes “[c]hanges negotiated between any public employer and public employee . . . with respect to any benefit provided by or to be provided by a public retirement system, or payments to a fund or insurer to provide an income for retirees or payment to retirees or their beneficiaries.”

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\* *See Matter of Triborough Bridge & Tunnel Auth. (District Council 37 & Local 1396, Am. Fedn. of State, County & Mun. Empls., AFL-CIO)*, 5 PERB ¶ 3037 (1972), *confirming* 5 PERB ¶ 4505 (1972); *Matter of Professional Staff Congress-City Univ. of N.Y. v New York State Pub. Empl. Relations Bd.*, 7 NY3d 458, 466 (2006).

As the parties frame their dispute, whether the arbitration sought by the Union would amount to negotiation prohibited by these statutes depends on whether the CBA was “in effect” pursuant to section 8, when article 22 of the Retirement and Social Security Law became effective, or had terminated within the meaning of that statute. If it was not “in effect,” then arbitration would be an attempt at negotiation of the 3% now imposed on new firefighters and is barred.

The Triborough doctrine, upon which the Union relies, was codified by the enactment of Civil Service Law § 209-a (see L 1982, ch 868). With an exception not applicable here, that section provides that it is “an improper practice for a public employer or its agents deliberately . . . to refuse to continue all the terms of an *expired* agreement until a new agreement is negotiated” (Civil Service Law § 209-a [1] [e] [emphasis added]). The law “requires an employer to continue all the terms of an expired CBA while a new agreement is being negotiated . . . [U]nder the statute, the assumption is that all terms of a CBA remain in effect during collective bargaining of a successor agreement” (*Matter of Professional Staff Congress-City Univ. of N.Y. v New York State Pub. Empl. Relations Bd.*, 7 NY3d 458, 466, 469 [2006]). The purpose is “to preserve the status quo in situations where a [CBA] between a public employer and its employees has expired and a new one has yet to be agreed upon” (*id.* at 467, quoting *Matter of Goodman* [Barnard Coll.—Commissioner of Labor], 95 NY2d 15, 22 [2000]).

Because no successor CBA was negotiated in the present case, the Triborough Law would apply, and the CBA’s terms would be continued, unless contradicted by statute. Here, however, the part of the CBA that required noncontributory plans is rendered unlawful by article 22 of the Retirement and Social Security Law, which prohibits such plans, unless the section 8 exception is applicable.

The Union argues that the section 8 exception applies because it extends to CBAs that have expired but are deemed to remain in effect because of the Triborough Law. This was not the legislature’s intent. If the legislature had intended to invoke the Triborough doctrine, it would certainly have made that explicit. Instead, the legislature, having set forth the section 8 exception for CBAs that are “in effect,” expressly states that eligibility to join a CBA’s retirement plan “shall not apply upon termination of such agreement” (L 2009, ch 504, part A, § 8). This language makes clear that the legislature did not intend to apply the

exception to agreements that had expired and could only be deemed to continue through the Triborough Law.

This interpretation is further supported by the legislative history. Governor Paterson noted in a Program Bill Memorandum that section 8 of the bill ensures “that members of an employee organization that are eligible to join a special retirement plan pursuant to a collectively negotiated agreement with any state or local government employer, would be able to continue to enroll in that special plan after the enactment of this bill, *until the date on which such agreement terminates*” (Governor’s Program Bill Mem, Bill Jacket, L 2009, ch 504 at 9 [emphasis added]). Again, the chosen language indicates that a noncontributory plan does not outlast the expiration of the CBA.

Under the Union’s interpretation of the statute, the legislature would have been creating a loophole whereby a union, by the simple expedient of refusing to reach agreement on a new CBA, could ensure the continuation of noncontributory pension benefits to new hires, conceivably *ad infinitum*. Instead, it is clear that the legislature intended to honor only agreements providing for noncontributory status that had not expired at the time the statute became effective.

The Union further argues that if section 8 did not encompass a CBA deemed to continue under the Triborough Law, then section 8 would run afoul of the Contract Clause of the United States Constitution—“No State shall . . . pass any . . . Law impairing the Obligation of Contracts” (US Const, art I, § 10 [1]). This argument begs the question of whether the contract at issue here remains in effect. Under our analysis, there were no contractual obligations to impair.

Finally, we disagree with the dissent’s position that the language of tier 6 (L 2012, ch 18, § 80) is evidence that, in enacting article 22 of the Retirement and Social Security Law, the legislature intended to authorize participation in noncontributory pension benefits pursuant to agreements that had expired. Significantly, the dissent points to no legislative history supporting its theory that the express references to “unexpired” CBAs were included in 2012 because the legislature reached a different policy judgment than it had in 2009. Rather, the natural inference is that the legislature intended to be more plain, the second time around, and avoid language that would invite disputes such as this.

We conclude that the exception to Retirement and Social Security Law article 22 contained in section 8 (L 2009, ch 504,

part A) does not apply to the CBA at issue here, so that the noncontributory pension benefits to which firefighters were entitled pursuant to the CBA are prohibited by article 22, despite the Triborough Law. Therefore, the arbitration sought by the Union is barred, as an impermissible negotiation of pension benefits, by Civil Service Law § 201 (4) and Retirement and Social Security Law § 470.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Chief Judge LIPPMAN (dissenting). Because I believe the majority has disregarded the plain language of the exception to Retirement and Social Security Law article 22 contained in section 8 of the enacting legislation (L 2009, ch 504, part A) and incorrectly applied a bar to arbitration, I respectfully dissent.

Article 15 of the CBA between the City and the Union provides that the City shall pay the full cost of pension contributions to the New York State Police and Fire Retirement System (PFRS) for all members of the Union. Article 15 states, in relevant part,

“[m]embers shall be entitled, pursuant to existing State law . . . alternate optional retirement plans as follows: . . .

“[a] Twenty (20) year retirement plan as authorized by law with the City pay[ing] the complete cost of said pension plan . . . and . . .

“[a] Twenty-five (25) year retirement plan . . . to be paid for in full by the City.”

Article 29 of the CBA sets forth that disputes between the parties are to be resolved through a multi-level grievance procedure, and unresolved grievances may be submitted for arbitration.

The majority errs in determining that the CBA was not “in effect” for purposes of article 22 of the Retirement and Social Security Law. Under the *Triborough* doctrine, it is improper for a public employer “to refuse to continue all the terms of an expired [employment] agreement until a new agreement is negotiated” (Civil Service Law § 209-a [1] [e]). Section 8 states that nothing in article 22 will prevent an employee from joining a special retirement plan pursuant to a CBA that is “in effect,” mirroring our Court’s language in *Matter of Professional Staff Congress-City Univ. of N.Y. v New York State Pub. Empl. Relations Bd.* (7 NY3d 458, 469 [2006]). This Court stated clearly in

*Matter of Professional Staff Congress* that “all terms of a CBA remain *in effect* during collective bargaining of a successor agreement” (7 NY3d at 469 [emphasis added]). Consequently, when the Yonkers CBA expired in June 2009, the agreement between the City and the Union continued to be in effect until a new CBA was negotiated (*see generally Association of Surrogates & Supreme Ct. Reporters Within City of N.Y. v State of New York*, 79 NY2d 39, 45 [1992]).

It follows that the newly hired firefighters, who were employed under a CBA “in effect” within the meaning of well-known New York law, fall within the section 8 exception to the requirement of joining contributory retirement plans. Absent action by the legislature, the Court cannot ignore the provisions of the *Triborough* doctrine. The majority’s interpretation of the statute, in reality, does just that. Under section 8, employees covered by CBAs, which are “in effect” and offer noncontributory pension plans, have the option of participating in such plans. It was unnecessary for the legislature to invoke the *Triborough* doctrine explicitly in section 8, as the majority’s ruling suggests. The plain language of section 8 expresses the legislature’s intention, and the similarity between the wording in section 8 and *Matter of Professional Staff Congress* cannot be ascribed to mere coincidence.

Moreover, when the legislature revisited the pension contribution issue by creating tier 6 in March 2012, the drafters changed the statutory language and specified that the exception to the 3% contribution applied to “unexpired” CBAs (L 2012, ch 18, § 80). The legislature also stated in the tier 6 language that members who join PFRS *after* the effective date of the legislation are not authorized to participate in specified noncontributory retirement plans (*id.*). None of this language was included in article 22 of the Retirement and Social Security Law. The contrast between the tier 5 and tier 6 statutory language is compelling evidence that the two statutes must be interpreted differently.

The proviso in section 8, “that any such eligibility shall not apply upon termination of such agreement,” does not alter the analysis. Termination of a CBA is not the equivalent of expiration, and the legislature made clear with the tier 6 statutory language that they understood the term “expired” and its meaning. The “termination” language also does not render the “in effect” language meaningless, as they can and should be read together. The Governor’s 2009 Program Bill Memorandum, the



only legislative history cited by the majority, in no way detracts from a harmonized view of these terms. It should be apparent, absent a strained interpretation inconsistent with the legislative language, that a terminated agreement under section 8 refers to an agreement that is superceded by a newly negotiated CBA. The majority's interpretation incorrectly adds the term "unexpired" to the section 8 language and imposes the legislature's newly created tier 6 rule on this earlier legislation.

While the controlling of governmental costs is a commendable aim, the majority's interpretation of the statute is belied by the language of section 8, which must control. The stated concern that a union would refuse to reach agreement on a new CBA to allow its new membership to participate in noncontributory pension plans (under the Union's interpretation of section 8) fails to accord with reality. This Court has previously explained in *Matter of Professional Staff Congress* that "[t]he concern that continuation of [a contract term] after expiration of a CBA will result in [the term being in effect] 'in perpetuity' is unfounded" because a party may propose that the term be amended to include a sunset clause or taken out during the course of future collective bargaining (7 NY3d at 469). Unmistakably, it is self-defeating for unions to forever defer negotiating new CBAs for the singular purpose of permitting its new members to participate in noncontributory pension plans.

Furthermore, in concluding that arbitration is barred by statute, the Court's ruling fundamentally misconstrues the nature of the present dispute as one involving the negotiation of retirement benefits. The majority relies on Civil Service Law § 201 (4) and Retirement and Social Security Law § 470 for the proposition that arbitration is prohibited. Civil Service Law § 201 (4) states "benefits provided by or to be provided by a public retirement system" are not to be "negotiated pursuant to this article, and any benefits so negotiated shall be void." Retirement and Social Security Law § 470 likewise conveys that "[c]hanges negotiated between any public employer and public employee . . . with respect to any benefit provided by or to be provided by a public retirement system . . . shall be prohibited."

Here, the Union is seeking arbitration to interpret an existing CBA provision, not to negotiate the terms of retirement benefits. This Court concluded in *Matter of City of Johnstown (Johnstown Police Benevolent Assn.)* (99 NY2d 273, 279 [2002]) that a dispute over the computation of certain retirement benefits in an existing CBA was not a "negotiation of a provision of a CBA

. . . , but the *interpretation* of a CBA provision.” The inclusion of the special noncontributory pension plans in article 15 of the CBA was negotiated in 2002, and there was no prohibition against negotiating over whether to provide those plans at the time (*see* Retirement and Social Security Law §§ 384-d, 384-e). The Union is simply asking for the Court to require the City to adhere to the terms of the CBA. Enforcing the agreement’s arbitration clause would not return the parties to the negotiation table. Today’s ruling circumvents the arbitration process and is contrary to this Court’s precedent which “has overwhelmingly rejected contentions by public employers that particular issues fall outside the scope of permissible grievance arbitration” (*Matter of Board of Educ. of Watertown City School Dist. [Watertown Educ. Assn.]*, 93 NY2d 132, 138-139 [1999]).\*

Accordingly, because I believe the City and the Union should proceed to arbitration, I dissent and would reverse the order of the Appellate Division.

Judges GRAFFEO, READ and SMITH concur with Judge PIGOTT; Chief Judge LIPPMAN dissents and votes to reverse in an opinion in which Judge RIVERA concurs.

Order affirmed, with costs.

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\* The Union’s argument that preventing arbitration would be unconstitutional impairment of contract need not be reached under this analysis.

[988 NE2d 879, 966 NYS2d 351]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v DAY-  
SHAWN P. HANDY, Appellant.

Argued February 6, 2013; decided March 28, 2013

### SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 1, 2011. The Appellate Division affirmed a judgment of the Monroe County Court (Richard A. Keenan, J.), which had convicted defendant, upon a jury verdict, of assault in the second degree.

*People v Handy*, 83 AD3d 1454, reversed.

### HEADNOTES

#### **Crimes — Instructions — Adverse Inference Charge — State’s Destruction of Evidence Reasonably Likely to be Material**

1. When a criminal defendant, acting with due diligence, demands evidence that is reasonably likely to be of material importance, and that evidence has been destroyed by the State, the defendant is entitled to a permissive adverse inference charge that instructs the jury that it may draw an inference in defendant’s favor. An adverse inference charge mitigates the harm done to the defendant, resulting from the risk that the State has lost exculpatory evidence, without terminating the prosecution. Furthermore, the rule gives the State an incentive to avoid the destruction of evidence. In cases that arise out of events captured on surveillance video in jails or prisons, the authorities in charge should, when something that will foreseeably lead to criminal prosecution occurs, take whatever steps are necessary to insure that the video will not be erased. The rule is unlikely to increase greatly the risk that a good faith error by the State will lead to a guilty defendant’s acquittal, since the jury should be told it *may* draw an inference in defendant’s favor. The instruction neither establishes a legal presumption nor furnishes substantive proof.

#### **Crimes — Instructions — Adverse Inference Charge — State’s Destruction of Jail Surveillance Video**

2. In defendant’s prosecution for three alleged assaults on three different deputy sheriffs, based on events that occurred while defendant was an inmate at county jail, the trial court should have given a permissive adverse inference charge with respect to the State’s pretrial destruction of a surveillance video that captured part of the encounter between defendant and the first deputy, where defendant had asked for the preservation of the video. A permissive adverse inference charge should be given where a defendant, using reasonable diligence, has requested evidence reasonably likely to be material, and where that evidence has been destroyed by agents of the State. The first deputy, who viewed the video before it was destroyed and testified that the images captured a “very small part” of the encounter, nevertheless recognized the importance of the video by choosing to look at it himself. Defendant should have had the same opportunity. And while the video was most directly relevant to the

alleged assault on the first deputy, of which defendant was acquitted—the alleged assault on the second deputy, of which he was convicted, followed immediately afterwards and was part of the same chain of events. A video showing that defendant either was or was not a violent aggressor in the first incident would have been helpful to a jury trying to decide whether the second deputy's or defendant's account of the later incident was true.

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#### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Depositions and Discovery §§ 270, 280, 281; AM JUR 2d, Evidence § 256; AM JUR 2d, New Trial § 139; AM JUR 2d, Trial § 1100.

CARMODY-WAIT 2d, Discovery §§ 187:96, 187:131; CARMODY-WAIT 2d, Charge and Instruction to Jury §§ 200:37, 200:222.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 20.3, 20.6, 24.8.

NY JUR 2d, Criminal Law: Procedure §§ 1658, 1699, 1703, 1723, 1729, 1731, 2728, 2754, 3621, 3647.

#### ANNOTATION REFERENCE

Failure of police to preserve potentially exculpatory evidence as violating criminal defendant's rights under state constitution. 40 ALR5th 113.

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#### POINTS OF COUNSEL

*Timothy P. Donaher, Public Defender, Rochester (Janet C. Somes of counsel), for appellant.* I. The People failed to present legally sufficient evidence of intent to cause physical injury. (*People v Danielson*, 9 NY3d 342; *People v Contes*, 60 NY2d 620; *Jackson v Virginia*, 443 US 307; *People v Hines*, 97 NY2d 56; *People v Gallagher*, 69 NY2d 525; *People v Steinberg*, 79 NY2d 673; *People v Fero*, 156 AD2d 582; *People v Bueno*, 18 NY3d 160; *People v Getch*, 50 NY2d 456; *People v Mahoney*, 6 AD3d 1104.) II. The trial court's failure to impose any sanction for the prosecution's failure to preserve material and critical evidence requires reversal. (*People v Steinberg*, 79 NY2d 673; *People v Smith*, 79 NY2d 309; *People v Rosario*, 9 NY2d 286; *People v Jackson*, 78 NY2d 638; *Brady v Maryland*, 373 US 83; *People v*

*Martinez*, 71 NY2d 937; *People v Gee*, 99 NY2d 158; *People v Walsh*, 262 NY 140; *Jencks v United States*, 353 US 657.)

*Sandra Doorley*, District Attorney, Rochester (*Geoffrey Kaeuper* of counsel), for respondent. I. The evidence was legally sufficient to prove defendant guilty of an intentional assault. (*People v Bleakley*, 69 NY2d 490; *Matter of Kadeem W.*, 5 NY3d 864; *People v Steinberg*, 79 NY2d 673; *People v Bueno*, 18 NY3d 160; *People v Barnes*, 50 NY2d 375; *People v Contes*, 60 NY2d 620.) II. The trial court did not abuse its discretion in denying defendant's request for a mandatory adverse inference instruction as to count 2. (*People v Gibbs*, 85 NY2d 899; *People v Bryant*, 31 NY2d 744; *People v Jordan*, 62 NY2d 825; *People v Martinez*, 71 NY2d 937; *People v Iannelli*, 69 NY2d 684; *People v Liccione*, 50 NY2d 850; *People v Kelly*, 62 NY2d 516; *People v Banch*, 80 NY2d 610; *People v Joseph*, 86 NY2d 565; *People v Wallace*, 76 NY2d 953.)

#### OPINION OF THE COURT

SMITH, J.

We hold that when a defendant in a criminal case, acting with due diligence, demands evidence that is reasonably likely to be of material importance, and that evidence has been destroyed by the State, the defendant is entitled to an adverse inference charge.

#### I

Defendant was charged with three assaults on three different deputy sheriffs, based on events that occurred while defendant was an inmate at the Monroe County Jail. Counts one and two referred to alleged assaults on November 8, 2006, and count three to an event on January 8, 2007. Defendant was acquitted on the first and third counts, but was convicted on the second. Though only the second count is before us, we will describe the evidence relating to counts one and two, because they arose out of a single sequence of events.

According to the testimony of Deputy Brandon Saeva, he approached defendant in his cell just after defendant had returned from a shower. Saeva noticed that defendant had sandals and boxer shorts that were not "jail issue," and asked defendant to give them to him. After some discussion, defendant refused to give Saeva the sandals and took a swing at him, leading to a fistfight in which Saeva's hand was injured. Another deputy helped Saeva get defendant under control, and defendant was then handed off to other staff who came to help.

Deputy Timothy Schliff testified that he was among those who took charge of defendant after his altercation with Saeva. When Schliff arrived on the scene, defendant was struggling with the men who were escorting him, and Schliff reached for defendant's right leg to help control him. Defendant kicked back, injuring Schliff's thumb.

Defendant testified, giving a different version of events. He said that, after a verbal argument, Saeva started the physical fight by swinging at defendant, and that Saeva then tackled him. Defendant did not remember seeing Schliff among the deputies who escorted him away afterwards, but he denied kicking at or trying to hurt any deputies. The jury acquitted him of assaulting Saeva, but convicted him of assaulting Schliff.

The main issue before us concerns a video camera located in the cell block where defendant and Saeva had their altercation.\* Saeva testified that the camera faced toward defendant's cell, but not "directly" toward it; it showed "only part of his doorway, but not much." He testified that he had himself looked at the images recorded by that camera, and had been able to see a "very small part" of the November 8 incident. He testified that others were present when he looked at the images, but he could not remember who they were; nor could he remember whether he had looked at the images only once, or several times.

It is undisputed that these video images were destroyed before trial. According to a statement the prosecutor made on the first day of trial, it was jail policy to record over such images after 30 days. That time elapsed while defendant was being held on a felony complaint relating to the two November 8 incidents, but before he was indicted.

In an omnibus motion made before trial, defendant asked among other things to be told "[w]hether any electronic surveillance in any form was utilized in this case" and "the location of any such tapes." The People responded in general terms that they "have provided all discoverable material in their possession" and that "[t]o the extent that there may be" any videotapes defendant would be permitted to view or inspect them. There was more specific pretrial discussion of video relating to the January 2007 incident—discussion that is now irrelevant, because the jury acquitted defendant of the charge

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\* Another camera might also have recorded images of the interaction between defendant and Schliff, but the record on this is not clear. Our decision does not turn on whether any video of the Schliff incident ever existed.



relating to January—but the parties do not appear to have focused specifically on video of the November incidents until the time of trial.

At trial, the court agreed to give an adverse inference charge with respect to any video of the January incident, because defendant had asked for the preservation of that video before it was destroyed. Defendant, arguing that “[w]e made our request for preservation of the [November] video as soon as we could,” asked that the same charge be given as to counts one and two, but the court refused. The language of the charge given as to count three, but rejected as to counts one and two, was:

“You may consider the failure of the People to preserve that material in determining the weight to be given to the testimony of the People’s witnesses regarding this specific incident. The law permits, but does not require you to infer, if you believe it proper to do so, that had the material been preserved its contents would not support or be inconsistent with the witnesses['] testimony as to this incident.”

The Appellate Division affirmed defendant’s conviction on count two, rejecting his argument that an adverse inference charge should have been given (*People v Handy*, 83 AD3d 1454 [4th Dept 2011]). The Appellate Division said that “[t]here is no support in the record for defendant’s assertion that the alleged videotape was exculpatory and thus his contention that the alleged videotape was *Brady* material is merely speculative” (*id.* at 1455). A Judge of this Court granted leave to appeal (18 NY3d 924 [2012]), and we now reverse.

## II

The questions that arise when a criminal defendant claims that evidence favorable to him has become unavailable through the fault of the prosecution take many forms, and have been answered in a number of ways.

Under the familiar *Brady* rule, “the suppression by the prosecution of evidence favorable to an accused upon request violates due process where the evidence is material . . . irrespective of the good faith or bad faith of the prosecution” (*Brady v Maryland*, 373 US 83, 87 [1963]). Even without a request, disclosure of such evidence is required “if the omitted evidence creates a reasonable doubt that did not otherwise exist” of the defendant’s guilt (*United States v Agurs*, 427 US 97, 112 [1976]). The

application of these rules to cases where evidence has been lost or destroyed, so that it is impossible to know for sure whether it would have helped the defendant or not, has caused much debate. The United States Supreme Court has held that any duty of a state to preserve evidence “must be limited to evidence that might be expected to play a significant role in the suspect’s defense” (*California v Trombetta*, 467 US 479, 488 [1984]). And in *Arizona v Youngblood* (488 US 51, 58 [1988]), the Court held that “unless a criminal defendant can show bad faith on the part of the police, failure to preserve potentially useful evidence does not constitute a denial of due process of law.”

A number of state courts have rejected the *Youngblood* holding in interpreting their state constitutions, while others have followed it (see generally *State v Tiedemann*, 2007 UT 49, ¶ 42, 162 P3d 1106, 1116 [Utah 2007] [collecting cases]; Daniel R. Dinger, Note, *Should Lost Evidence Mean a Lost Chance to Prosecute?: State Rejections of the United States Supreme Court Decision in Arizona v Youngblood*, 27 Am J Crim L 329 [2000]). Our Court has not addressed the *Youngblood* issue directly, though we have considered related issues (see *People v Hayes*, 17 NY3d 46, 50-52 [2011] [rejecting a rule that would require the prosecution affirmatively to obtain evidence for the benefit of a criminal defendant]; *People v Jardin*, 88 NY2d 956, 958 [1996] [rejecting claim that due process required the prosecution “to gather and adequately preserve a sample of semen sufficient for DNA testing”]; *People v Haupt*, 71 NY2d 929, 930-931 [1988] [rejecting dismissal where inadvertently destroyed evidence “had little or no relevance” to the main issue at trial]; *People v Kelly*, 62 NY2d 516, 518-522 [1984] [rejecting dismissal for failure to preserve evidence because “less drastic sanctions would have cured any prejudice”]). Several Appellate Division decisions follow *Youngblood* (e.g. *People v Feliciano*, 301 AD2d 480 [1st Dept 2003]; *People v Callendar*, 207 AD2d 900 [2d Dept 1994]; *People v Bridges*, 184 AD2d 1042 [4th Dept 1992]).

Here, defendant asks us to depart from *Youngblood* and adopt an interpretation of the New York Constitution that is more favorable to defendants. We see no need, however, either to agree or disagree with *Youngblood*, or indeed to address any constitutional issue. *Youngblood* held only that dismissal of an indictment was not required by the Due Process Clause; defendant here did not seek dismissal of the indictment based on the People’s failure to preserve the video images. The only question

before us is whether an adverse inference charge should have been given.

[1] We resolve this case, following the approach taken by the Maryland Court of Appeals in *Cost v State* (417 Md 360, 10 A3d 184 [2010]), by holding that, under the New York law of evidence, a permissive adverse inference charge should be given where a defendant, using reasonable diligence, has requested evidence reasonably likely to be material, and where that evidence has been destroyed by agents of the State. This rule is not in tension with the holding of *Youngblood*: an adverse inference charge was given in that case, as Justice Stevens emphasized in his concurring opinion (488 US at 59-60).

A principal advantage of the *Youngblood* rule is that it avoids the drastic sanction of dismissal, except in cases where the bad faith of the police shows their own belief “that the evidence could form a basis for exonerating the defendant” (*Youngblood*, 488 US at 58). A disadvantage is that it subjects defendants to the risk that exculpatory evidence has been lost, even where the loss is the State’s fault. Thus, the Appellate Division here characterized “defendant’s assertion that the alleged videotape was exculpatory” as “merely speculative” (*People v Handy*, 83 AD3d at 1455). But it was State agents who, by destroying the video, created the need to speculate about its contents. An adverse inference charge mitigates the harm done to defendant by the loss of the evidence, without terminating the prosecution.

At least as important, the rule gives the State an incentive to avoid the destruction of evidence. It is surely desirable to raise the consciousness of State employees on this subject. For example, in cases, like the one before us, that arise out of events in jails or prisons, the authorities in charge should, when something that will foreseeably lead to criminal prosecution occurs, take whatever steps are necessary to insure that the video will not be erased—whether by simply taking a tape or disc out of a machine, or by instructing a computer not to delete the material. The rule we adopt today increases the chance that the staffs of these institutions will act accordingly.

Our rule is unlikely, we think, to increase greatly the risk that a good faith error by the State will lead to a guilty defendant’s acquittal. We hold only that the jury should be told it *may* draw an inference in defendant’s favor. This instruction, as the Maryland court suggested in *Cost*, could be labeled a “missing

evidence” instruction (417 Md at 369, 10 A3d at 190)—not unlike the “missing witness” instruction given when a party fails to call a witness who is under that party’s control and might be expected to give favorable testimony (see *People v Savinon*, 100 NY2d 192 [2003]). The instruction “neither establishes a legal presumption nor furnishes substantive proof” (*Cost*, 417 Md at 382, 10 A3d at 197).

### III

[2] The application of the rule to this case is clear: defendant was entitled, as he requested, to have the adverse inference charge the court gave made applicable to all counts. The evidence in question—the destroyed video images—admittedly captured part of the encounter between Saeva and defendant. We cannot unquestioningly accept Saeva’s assertion that it was a “very small part.” Saeva recognized the potential importance of the video by choosing to look at it himself. Defendant should have had the same opportunity. And while the video was most directly relevant to count one—the alleged assault on Saeva, of which defendant was acquitted—the alleged assault on Schliff, of which he was convicted, followed immediately afterwards and was part of the same chain of events. A video showing that defendant either was or was not a violent aggressor in the Saeva incident would be helpful to a jury trying to decide whether Schliff’s or defendant’s account of the later incident was true.

Defendant’s argument that the evidence was insufficient to support the jury’s guilty verdict is without merit.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Chief Judge LIPPMAN and Judges GRAFFEO, READ and PIGOTT concur; Judge RIVERA taking no part.

Order reversed and a new trial ordered.

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[988 NE2d 502, 965 NYS2d 767]

In the Matter of DEBORAH SAGAL-COTLER, Appellant, v BOARD OF EDUCATION OF THE CITY SCHOOL DISTRICT OF THE CITY OF NEW YORK et al., Respondents.

In the Matter of JOSEPHINE THOMAS, Appellant, v NEW YORK CITY DEPARTMENT OF EDUCATION et al., Respondents.

Argued March 20, 2013; decided April 25, 2013

### SUMMARY

APPEAL, in the first above-entitled action, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 5, 2012. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, New York County (Carol E. Huff, J.; op 2010 NY Slip Op 32657[U] [2010]), entered in a proceeding pursuant to CPLR article 78, which, among other things, had (a) granted the petition seeking a judgment declaring that respondents' denial of legal representation and indemnification of expenses petitioner incurred in defense of a civil action was arbitrary and capricious and contrary to law, and (b) directed respondents to provide petitioner with legal representation and reimburse her for all reasonable legal fees incurred in defense of the action; (2) denied the petition; and (3) dismissed the proceeding.

APPEAL, in the second above-entitled action, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 5, 2012. The Appellate Division, with two Justices dissenting, affirmed an order and judgment (one paper) of the Supreme Court, New York County (Judith J. Gische, J.; op 33 Misc 3d 629 [2011]), entered in a proceeding pursuant to CPLR article 78, which had (1) denied the petition seeking a judgment directing respondents to provide legal representation and reimbursement for legal fees and expenses incurred in defense of a civil action arising out of petitioner's discipline of a student, and (2) dismissed the proceeding.

*Matter of Sagal-Cotler v Board of Educ. of the City School Dist. of the City of N.Y.*, 96 AD3d 409, reversed.

*Matter of Thomas v New York City Dept. of Educ.*, 96 AD3d 401, reversed.

**HEADNOTE****Public Officers — Duty to Defend or Indemnify Public Employee —  
New York City Public School Employee Sued for Using Corporal  
Punishment**

Petitioners, paraprofessional employees of the New York City Department of Education who were sued in civil actions for using corporal punishment against students, were entitled to a defense provided by the City of New York, notwithstanding that petitioners' conduct violated a state regulation. Education Law § 3028 requires a board of education to provide an attorney for and pay attorney's fees and expenses incurred in defense of an employee in any civil or criminal action arising out of disciplinary action taken against any pupil of the district "while in the discharge of his duties within the scope of his employment." An act is within the scope of employment if it was done while the servant was doing his master's work, no matter how irregularly or with what disregard of instructions. The terms "scope of employment" and "discharge of duties" are regarded as interchangeable. Thus, the statutory words "discharge of . . . duties" do not restrict the right to a defense to cases where an employee has acted in the proper and lawful discharge of his or her duties. The language requiring a defense in criminal cases suggested that the legislature wanted even employees who engaged in highly questionable conduct to be defended at public expense. Had the legislature meant to exclude cases in which corporal punishment was forbidden by regulation, it could have done so explicitly. Further, petitioners' rights under section 3028 were unaffected by the later-enacted General Municipal Law § 50-k (2), which entitles New York City Department of Education employees to a defense only where their actions are "not in violation of any rule or regulation of [their] agency." Under section 50-k (9), section 50-k should not be construed in a way to impair, limit, modify, abrogate or restrict any right to defense in accordance with any other provision of state law.

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**RESEARCH REFERENCES**

By the Publisher's Editorial Staff

AM JUR 2d, Municipal, County, School, and State Tort Liability §§ 539, 542; AM JUR 2d, Public Officers and Employees § 396; AM JUR 2d, Schools §§ 181, 318.

McKINNEY'S, Education Law § 3028; General Municipal Law § 50-k (2), (9).

NY JUR 2d, Civil Servants and Other Public Officers and Employees §§ 218–221; NY JUR 2d, Government Tort liability §§ 52, 56, 57; NY JUR 2d, Schools, Universities, and Colleges § 339.

**ANNOTATION REFERENCE**

See ALR Index under Corporal Punishment; Public Officers and Employees; Schools and Education.

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POINTS OF COUNSEL

*Office of General Counsel, New York State United Teachers*, New York City (*Ariana A. Gambella* and *Richard E. Casagrande* of counsel), for appellant in the first above-entitled action. Education Law § 3028 controls respondents' duty to provide appellant legal representation in the civil action because this statute specifically governs legal actions arising out of disciplinary action taken against a pupil. (*Blood v Board of Educ. of City of N.Y.*, 121 AD2d 128; *Matter of Cutler v Poughkeepsie City School Dist.*, 73 AD2d 967; *Riviello v Waldron*, 47 NY2d 297; *Matter of Inglis v Dundee Cent. School Dist. Bd. of Educ.*, 180 Misc 2d 156; *Matter of Board of Mgrs. of Park Place Condominium v Town of Ramapo*, 247 AD2d 537; *Iazzetti v City of New York*, 94 NY2d 183; *Matter of Consolidated Edison Co. of N.Y. v Department of Envtl. Conservation*, 71 NY2d 186; *Alweis v Evans*, 69 NY2d 199; *Ricca v Board of Educ. of City School Dist. of City of N.Y.*, 47 NY2d 385; *Matter of Scanlan v Buffalo Pub. School Sys.*, 90 NY2d 662.)

*Lichten & Bright, P.C.*, New York City (*Stuart L. Lichten* of counsel), for appellant in the second above-entitled action. Josephine Thomas is accused of acts arising out of discipline, and is therefore entitled to an attorney provided by the City of New York. (*Timmerman v Board of Educ. of the City School Dist. of the City of N.Y.*, 50 AD3d 592; *Matter of Cutler v Poughkeepsie City School Dist.*, 73 AD2d 967; *Riviello v Waldron*, 47 NY2d 297; *Matter of Board of Mgrs. of Park Place Condominium v Town of Ramapo*, 247 AD2d 537; *Joseph v City of Buffalo*, 83 NY2d 141; *Matter of Williams v City of New York*, 64 NY2d 800; *Kosiba v City of Syracuse*, 287 NY 283; *Lundberg v State of New York*, 25 NY2d 467; *Perez v City of New York*, 79 AD3d 835; *Jones v Weigand*, 134 App Div 644.)

*Michael A. Cardozo, Corporation Counsel*, New York City (*Paul T. Rephen* and *Leonard Koerner* of counsel), for respondents in the first and second above-entitled actions. In view of the prohibition against corporal punishment contained in the Regulations of the State Board of Regents and the Rules of the Chancellor of the City Department of Education, it was not arbitrary or capricious to deny legal representation to an employee who had engaged in corporal punishment and was subsequently sued by the victim for damages. (*Matter of Williams v City of New York*, 64 NY2d 800; *Perez v City of New York*, 43 AD3d 712; *Blood v Board of Educ. of City of N.Y.*, 121

AD2d 128; *Timmerman v Board of Educ. of City School Dist. of City of N.Y.*, 50 AD3d 592; *Matter of Inglis v Dundee Cent. School Dist. Bd. of Educ.*, 180 Misc 2d 156; *Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149; *Farrington v Pinckney*, 1 NY2d 74; *Matter of Board of Mgrs. of Park Place Condominium v Town of Ramapo*, 247 AD2d 537.)

#### OPINION OF THE COURT

SMITH, J.

We hold that employees of the New York City Department of Education who are sued for using corporal punishment are entitled to a defense provided by the City, even though the employees' conduct violated a state regulation.

Both petitioners are paraprofessionals employed in the New York City schools, and are defendants in civil suits brought by students who allege that petitioners hit them. Petitioner in *Sagal-Cotler* admits that she slapped a student in the face after he refused three times to go with her to the cafeteria. Petitioner in *Thomas* allegedly hit a student on the head when the child did not do his work properly; she denied the allegation, but her principal found the charge to be substantiated, and that finding is not challenged here. Petitioners do not dispute that the actions they were found to have committed violated a rule of the Board of Regents, 8 NYCRR 19.5 (a), which prohibits corporal punishment.

Both petitioners asked the City of New York to defend the lawsuits for them, and the City refused in both cases. Petitioners brought these proceedings to annul the City's determinations. In *Sagal-Cotler*, Supreme Court granted the relief sought, but the Appellate Division reversed and dismissed the proceeding (*Matter of Sagal-Cotler v Board of Educ. of the City School Dist. of the City of N.Y.*, 96 AD3d 409 [1st Dept 2012]). In *Thomas*, Supreme Court dismissed the proceeding (*Matter of Thomas v New York City Dept. of Educ.*, 33 Misc 3d 629 [Sup Ct, NY County 2011]), and the Appellate Division affirmed (96 AD3d 401 [1st Dept 2012]). Two Justices dissented in each case, and petitioners appeal to us as of right pursuant to CPLR 5601 (a). We now reverse.

Petitioners' claim that they are entitled to a defense rests upon Education Law § 3028, which says:

“Notwithstanding any inconsistent provision of any general, special or local law, or the limitations

contained in the provisions of any city charter, each board of education, trustee or trustees in the state shall provide an attorney or attorneys for, and pay such attorney's fees and expenses necessarily incurred in the defense of a teacher, member of a supervisory or administrative staff or employee . . . in any civil or criminal [sic] action or proceeding arising out of disciplinary action taken against any pupil of the district *while in the discharge of his duties within the scope of his employment.*" (Emphasis added.)

Section 3028, enacted in 1960, controls these cases. It is true that later-enacted legislation applicable to employees of the New York City Department of Education entitles such employees to a defense only where their actions were "not in violation of any rule or regulation of [their] agency" (General Municipal Law § 50-k [2]; *see* Education Law § 2560). Petitioners, all parties agree, have no rights under section 50-k (2), which was enacted in 1979. However, General Municipal Law § 50-k (9) says that section 50-k "shall not be construed in any way to impair, alter, limit, modify, or abrogate or restrict . . . any right to defense . . . in accordance with, or by reason of, any other provision of state . . . law." Thus petitioners' rights under section 3028 are unaffected by section 50-k (2).

The decisive issue is whether the actions that resulted in the students' lawsuits against petitioners were taken "while in the discharge of [their] duties within the scope of [their] employment," as section 3028 requires. The City does not dispute that petitioners were acting within the scope of their employment. It is well-established that an act is within the scope of employment if it "was done while the servant was doing his master's work, no matter how irregularly, or with what disregard of instructions" (*Riviello v Waldron*, 47 NY2d 297, 302 [1979] [internal quotation marks and citations omitted]). But the City says that the statutory words "discharge of . . . duties" have a more restrictive meaning, and that an employee who is violating her employer's regulations cannot be acting in the "discharge of [her] duties." The City points out that, when section 3028 was enacted in 1960, corporal punishment was permissible in much of the state (though it had already been prohibited in New York City), and argues that the statute was intended to benefit only employees whose conduct was within the rules.

We reject the City's argument. "Scope of employment," "discharge of duties" and similar phrases have long been regarded

as interchangeable. Thus in *Joseph v City of Buffalo* (83 NY2d 141, 145 [1994]), we considered whether a police officer was acting “in the performance of his duties and within the scope of his employment” within the meaning of General Municipal Law § 50-j; we made no distinction between the two phrases. In *Matter of Williams v City of New York* (64 NY2d 800, 802 [1985]) we stated a single “issue”: “whether petitioner’s acts were committed within the scope of his public employment and the discharge of his duties.” And in *Lundberg v State of New York* (25 NY2d 467, 470 [1969]), we observed: “[a]n employee acts in the scope of his employment when he is doing something in furtherance of the duties he owes to his employer and where the employer is, or could be, exercising some control . . . over the employee’s activities.”

Thus we do not read the statutory words “discharge of . . . duties” to restrict the right to a defense to cases where an employee acted in the proper and lawful discharge of his or her duties. Rather, we conclude that the authors of Education Law § 3028 intended to provide a defense even where an employee’s use of corporal punishment violated regulations. Section 3028 requires the City to provide an attorney not just in civil, but also in criminal cases—suggesting that the legislature wanted even employees who engaged in highly questionable conduct to be defended at public expense. If the 1960 legislature meant to exclude cases in which corporal punishment was forbidden by regulation—as it was in New York City when section 3028 was enacted—it could have done so explicitly. Indeed, it could have said what the 1979 legislature said in General Municipal Law § 50-k (2): that there is no duty to provide a defense to an employee who has acted “in violation of any rule or regulation of his agency.” Section 3028 contains no such language.

Accordingly, in each case, the order of the Appellate Division should be reversed, with costs, the challenged determination annulled and the matter remitted to Supreme Court for further proceedings in accordance with this opinion.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, PIGOTT and RIVERA concur.

In each case: Order reversed, with costs, the challenged determination annulled, and the matter remitted to Supreme Court, New York County, for further proceedings in accordance with the opinion herein.

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[988 NE2d 509, 965 NYS2d 773]

In the Matter of BRYAN R. HEDGES, a Judge of the Family Court,  
Onondaga County, Petitioner. STATE COMMISSION ON JUDICIAL  
CONDUCT, Respondent.

Argued March 19, 2013; decided April 25, 2013

### SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 22 and Judiciary Law § 44, to review a determination of respondent State Commission on Judicial Conduct, dated August 17, 2012. The Commission determined that petitioner should be removed from the office of Judge of the Family Court, Onondaga County.

### HEADNOTE

#### **Judges — Removal from Office — Act of Moral Turpitude with Child**

A determination of the State Commission on Judicial Conduct that petitioner Family Court Judge should be removed from office was accepted. Petitioner, who had resigned his position as a Family Court Judge, engaged in misconduct warranting removal from office by committing an act of moral turpitude involving a child. Petitioner's admissions, by themselves, were sufficient to warrant the finding of judicial misconduct, which undermined the integrity and impartiality of the judiciary and therefore rendered petitioner unfit for judicial office. While the petition was based solely on conduct that occurred 40 years ago, 13 years before petitioner was elevated to the bench, the misconduct alleged was grave by any standard. Further, the significant danger of fading memories was tempered somewhat under the circumstances given petitioner's admissions.

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### RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d, Judges §§ 13, 16, 17, 19.

CARMODY-WAIT 2d, Officers of Court §§ 3:114, 3:131, 3:134,  
3:138, 3:139, 3:150.

NY JUR 2d, Courts and Judges §§ 439, 444, 447–449, 454,  
464.

### ANNOTATION REFERENCE

Sexual misconduct as ground for disciplining attorney or judge. 43 ALR4th 1062.

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## POINTS OF COUNSEL

*Robert F. Julian*, Utica, for petitioner. I. The determination by the State Commission on Judicial Conduct that petitioner should be removed from office is not supported by the evidence. (*Matter of Benjamin*, 77 NY2d 296; *Mishkin v Roreck*, 202 Misc 653; *Partyka v Attorney Gen. of U.S.*, 417 F3d 408.) II. The procedures of the State Commission on Judicial Conduct violate due process, the hearing was prejudicially conducted, and the Commission was adversely impacted by the violations and prejudice. (*Matter of Daley v Board of Estimate of City of N.Y.*, 186 Misc 905; *Matter of Gelfand*, 70 NY2d 211; *Cotilletta v Tepedino*, 151 Misc 2d 660; *Matter of Doe v State Commn. on Jud. Conduct*, 137 Misc 2d 268; *Toussie v United States*, 397 US 112; *Matter of Kelemen v Coughlin*, 100 AD2d 732; *Matter of Murray v Murphy*, 24 NY2d 150; *Mathews v Eldridge*, 424 US 319; *Grayned v City of Rockford*, 408 US 104; *Withrow v Larkin*, 421 US 35.) III. The victim's most recent version of events of 1972 is incredible and was properly not considered by the State Commission on Judicial Conduct in the determination.

*Robert H. Tembeckjian*, Albany (*Edward Lindner*, *John J. Postel*, *Mary C. Farrington* and *David M. Duguay* of counsel), for respondent. I. Petitioner committed an abhorrent act that is prejudicial to the administration of justice, reflects adversely on his fitness for judicial office and warrants his removal. (*Matter of Quinn v State Commn. on Jud. Conduct*, 54 NY2d 386; *Matter of Tamsen*, 100 NY2d 19; *Matter of Benjamin*, 77 NY2d 296; *People v Rousseau*, 245 AD2d 915; *Allstate Ins. Co. v Mugavero*, 79 NY2d 153; *Laurie Marie M. v Jeffrey T.M.*, 159 AD2d 52; *Matter of Steinberg*, 51 NY2d 74; *Matter of Shilling*, 51 NY2d 397; *Matter of Douglas v New York City Bd./Dept. of Educ.*, 87 AD3d 856; *Matter of Tenenbaum*, 61 AD3d 162.) II. The State Commission on Judicial Conduct's determination does not rely on uncharged allegations. The formal written complaint provided petitioner with reasonably specific notice of the charge against him sufficient to allow for preparation of a defense. (*Matter of Marshall*, 8 NY3d 741; *Matter of Gelfand*, 70 NY2d 211; *Matter of Block v Ambach*, 73 NY2d 323; *Matter of D'Ambrosio v Department of Health of State of N.Y.*, 4 NY3d 133; *Matter of Steckmeyer v State Bd. for Professional Med. Conduct*, 295 AD2d 815; *Matter of Board of Educ. of Monticello Cent. School Dist. v Commissioner of Educ.*, 91 NY2d 133; *Matter of Holtzman*, 78 NY2d 184; *Allstate Ins. Co. v Mugavero*, 79 NY2d 153; *Matter of St. Lucia v Novello*, 284 AD2d 591; *Matter*



of *Giffone v DeBuono*, 263 AD2d 713.) III. The State Commission on Judicial Conduct's procedures do not violate due process. (*Matter of Seiffert*, 65 NY2d 278; *Matter of FMC Corp. [Peroxygen Chems. Div.] v Unmack*, 92 NY2d 179; *Matter of Mason [State Commn. on Jud. Conduct]*, 100 NY2d 56; *Matter of Steinberg*, 51 NY2d 74; *Matter of Sims [State Commn. on Jud. Conduct]*, 61 NY2d 349; *Matter of Spargo v New York State Commn. on Jud. Conduct*, 23 AD3d 808; *Matter of Children of Bedford v Petromelis*, 77 NY2d 713, 502 US 1025; *Town of Oyster Bay v Kirkland*, 81 AD3d 812; *Matter of Miller v Schwartz*, 72 NY2d 869; *Matter of Pfau v Public Empl. Relations Bd.*, 69 AD3d 1080.) IV. The mere passage of time does not deprive the State Commission on Judicial Conduct of jurisdiction and did not deprive petitioner of the opportunity to present a defense. (*Matter of King v Cuomo*, 81 NY2d 247; *Matter of Sarisohn*, 26 AD2d 388; *New York Pub. Interest Research Group v Steingut*, 40 NY2d 250; *Matter of Tamsen*, 100 NY2d 19; *Matter of Boulanger*, 61 NY2d 89; *Matter of O'Keefe v Murphy*, 38 NY2d 563; *Matter of Rojas v Sobol*, 167 AD2d 707; *Matter of Louis Harris & Assoc. v deLeon*, 84 NY2d 698; *Matter of Diaz Chem. Corp. v New York State Div. of Human Rights*, 91 NY2d 932; *Matter of Pearl v New York State Board for Professional Medical Conduct*, 295 AD2d 764.) V. Removal is the only appropriate sanction, notwithstanding petitioner's resignation from judicial office. (*Matter of Backal*, 87 NY2d 1; *Matter of Quinn v State Commn. on Jud. Conduct*, 54 NY2d 386; *Matter of Flynn v State Ethics Commn., Dept. of State, State of N.Y.*, 87 NY2d 199.)

#### OPINION OF THE COURT

Per Curiam.

Petitioner, a former Judge of Family Court, Onondaga County, seeks review of a determination of the State Commission on Judicial Conduct, which sustained one charge of judicial misconduct against him and determined that he should be removed from office (*see* NY Const, art VI, § 22; Judiciary Law § 44 [1]).\*

Petitioner served as Family Court Judge from January 1, 1985 until he resigned on April 5, 2012. The catalyst for his resignation was the allegation that, in 1972, when petitioner was 25 years old, he had engaged in sexual misconduct involving a five-

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\* Judiciary Law § 47 provides the Commission and this Court with continued jurisdiction over a judge who resigns from office to prevent the judge from circumventing removal and then seeking judicial office in the future (*see Matter of Backal*, 87 NY2d 1, 7 [1995]).

year-old girl. While the exact events are subject to dispute, petitioner has admitted to sexual contact with the child, which he has described as indefensible.

The complaint consisted of a single charge, alleging that petitioner should be disciplined for violating sections 100.1 and 100.2 (A) of the Rules Governing Judicial Conduct (22 NYCRR 100.1, 100.2 [A]). The Commission sustained the charge and ordered petitioner's removal, finding that his admissions, by themselves, without consideration of the complainant's testimony, provided a sufficient basis for the determination. Two Commission members dissented in part on the ground that petitioner removed himself from his judgeship by resigning, and that post-resignation removal proceedings "served no purpose" in this case.

We measure the necessity for removal "with due regard to the fact that Judges must be held to a higher standard of conduct than the public at large" (*Matter of Going*, 97 NY2d 121, 127 [2001]). Because "relatively slight improprieties subject the judiciary as a whole to public criticism and rebuke," it is essential that we consider "the effect of the Judge's conduct on and off the Bench upon public confidence in his [or her] character and judicial temperament" (*Matter of Aldrich v State Commn. on Jud. Conduct*, 58 NY2d 279, 283 [1983]).

Upon our independent review of the record, we conclude that petitioner engaged in misconduct warranting removal from office by committing an act of moral turpitude involving a child. We agree with the Commission that petitioner's admissions, by themselves, are sufficient to warrant the finding of judicial misconduct. The admitted conduct undermined the integrity and impartiality of the judiciary and therefore rendered petitioner unfit for judicial office.

It is troubling that the petition is based solely on conduct that occurred 40 years ago—13 years before petitioner was elevated to the bench. Nevertheless, the misconduct alleged is grave by any standard. Further, the significant danger of fading memories is tempered somewhat under the circumstances of this particular case, where petitioner admits that conduct of this nature in fact occurred.

Petitioner's remaining arguments are without merit.

Accordingly, the determined sanction of removal should be accepted without costs, and petitioner should be removed from the office of Judge of the Family Court, Onondaga County.

Chief Judge LIPPMAN and Judges GRAFFEO, READ, SMITH,  
PIGOTT and RIVERA concur.

Determined sanction accepted, without costs, and Bryan R.  
Hedges removed from the office of Judge of the Family Court,  
Onondaga County.

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